

Variable Annuities

Borderline Suitability Hypotheticals

100 scenarios | Question: Did the financial advisor violate suitability or best interest requirements?

Borderline Scenario 1

Topic: illiquid_investments | Standard: FINRA Rule 2330 (Variable Annuity Suitability); NAIC Model Regulation 275 (Suitability in Annuities)

Fact Pattern

Margaret Holloway, age 62, recently retired from a mid-level management position at a manufacturing company. She rolled over her 401(k) balance of \$485,000 into an IRA with her financial advisor, Derek Simmons, in March 2023. Margaret also has \$210,000 in a joint savings account with her husband, a \$175,000 brokerage account holding index funds and blue-chip stocks, and expects Social Security income of approximately \$2,400/month beginning at age 67. Her husband, age 64, still works part-time earning roughly \$38,000 annually and plans to retire in two years. The couple's monthly expenses are approximately \$5,200, and they carry no mortgage but do have \$22,000 in remaining auto loan debt. Margaret told Derek during their initial meeting that she wanted 'steady income that she couldn't outlive' and expressed worry about market downturns after watching her 401(k) lose 18% in 2022. She also mentioned that they were considering helping their daughter with a down payment on a home 'sometime in the next couple of years,' estimating that gift at \$40,000-\$60,000.

Derek recommended that Margaret invest \$410,000 of her \$485,000 IRA rollover into a variable annuity with a guaranteed lifetime withdrawal benefit rider. The product carried total annual expenses of 3.15% (including the 1.10% mortality and expense charge, 0.85% rider fee, and underlying fund expenses averaging 1.20%), and imposed a seven-year declining surrender charge schedule starting at 7% in year one and declining by 1% annually. The remaining \$75,000 of the IRA stayed in a diversified bond fund within the same IRA account. Derek documented in his notes that the annuity's guaranteed withdrawal benefit would provide Margaret with a floor income of approximately \$20,500 annually beginning at age 67, regardless of market performance, and that the product's equity sub-accounts would give her growth potential. He also noted that the couple's liquid assets outside the annuity - the \$210,000 savings, \$175,000 brokerage account, and \$75,000 bond allocation - totaled \$460,000, which he considered sufficient for emergencies and the potential gift to their daughter.

Six months later, Margaret's daughter accelerated her home purchase timeline and asked for \$55,000 in assistance. Margaret contacted Derek about accessing funds. Derek informed her that withdrawing from the annuity beyond the free withdrawal corridor (10% of account value annually) would trigger a surrender charge of approximately \$24,150. Margaret was upset and said she had not fully understood the surrender period restrictions, though she acknowledged signing the product prospectus and a disclosure form that outlined the surrender schedule. Derek pointed out that Margaret could source the \$55,000 from her savings and brokerage accounts without penalty, which she ultimately did, reducing her liquid non-annuity

assets to approximately \$405,000. Margaret's husband subsequently filed a complaint alleging that Derek placed too large a portion of Margaret's retirement savings into an illiquid product, particularly given that they had discussed a near-term large expenditure, and that the high fees were inappropriate for someone entering retirement. Derek's firm countered that the annuity concentration was 47% of the couple's total investable assets (not counting Social Security), that the guaranteed income feature directly addressed Margaret's stated concern about outliving her money, and that even after the daughter's gift, the couple retained over \$400,000 in liquid assets.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Derek violated applicable standards: (1) The client explicitly mentioned a near-term liquidity need of \$40,000-\$60,000 for a daughter's home down payment, yet 84.5% of the IRA rollover was placed into a product with a seven-year surrender period and steep early withdrawal penalties. A reasonable advisor acting in the client's best interest should have accounted for known near-term cash needs by reducing the annuity allocation or recommending a product with a shorter surrender period. Under FINRA Rule 2330, before recommending a variable annuity, the advisor must determine that the customer would benefit from certain features of the product, and must consider whether the customer would be disadvantaged by the product's liquidity constraints. Under NAIC Model Regulation 275 (as amended to incorporate a best-interest standard), the producer must act in the consumer's best interest at the time of the recommendation, considering the consumer's financial situation, insurance needs, and financial objectives, including reasonably foreseeable liquidity needs. NY Regulation 187 (11 NYCRR 224) similarly requires that producers have a reasonable basis to believe the recommendation is in the consumer's best interest, taking into account known needs including liquidity. The fact that Margaret specifically mentioned the potential gift creates a documented foreseeable liquidity event that the advisor arguably failed to adequately weight.

(2) The total all-in cost of 3.15% annually is on the higher end for variable annuities, particularly for a client entering the distribution phase of retirement. Academic studies on VA mis-selling have consistently highlighted that high-cost variable annuities with income riders may underperform lower-cost alternatives (such as a combination of a low-cost immediate annuity for guaranteed income and index funds for growth) over the long term, especially when the guaranteed withdrawal rates are modest relative to the fees paid. The GAO has flagged concerns about fee layering in variable annuities reducing net returns for retirees.

(3) Placing \$410,000 - the vast majority of a newly retired client's qualified retirement savings - into a single illiquid product creates concentration risk and limits the client's flexibility during a critical transition period.

Arguments that Derek acted within acceptable bounds: (1) Derek left \$460,000 in liquid assets outside the annuity (savings, brokerage, and IRA bond fund), which was more than sufficient to cover the discussed gift and ongoing expenses for several years. Even after the daughter's gift was funded from liquid accounts, \$405,000 remained accessible. The client was never forced to access the annuity. Under FINRA Rule 2330's suitability framework and Reg BI's care obligation (Rule 15l-1), the analysis should consider the client's total financial picture, not just the annuity in isolation. The couple's total investable assets were approximately \$870,000, meaning the annuity represented 47% of total assets - a meaningful but not

dominant allocation.

(2) The guaranteed lifetime withdrawal benefit directly addressed the client's primary stated concern: income she could not outlive and protection against market downturns. The client explicitly expressed fear about market volatility after experiencing significant losses. The product's downside protection feature was responsive to this articulated need. IRI (Insured Retirement Institute) guidance has recognized that guaranteed income riders in variable annuities serve a legitimate purpose in retirement income planning for risk-averse clients.

(3) Margaret signed the prospectus and a surrender charge disclosure form, indicating she received information about the product's illiquidity features. While signing documents does not alone satisfy best-interest requirements, it supports the argument that the client was informed.

(4) The daughter's accelerated timeline was an unforeseeable change in circumstances. The original discussion referenced a gift 'sometime in the next couple of years,' and Derek could reasonably have expected the couple to fund it from liquid accounts regardless, which is exactly what happened without financial hardship.

(5) Derek's documentation showed a rational basis for the recommendation, including analysis of income needs, risk tolerance, and liquidity reserves, consistent with the documentation requirements under NAIC Model 275 and FINRA Rule 2330(b).

Why Borderline

This case sits in a genuine gray zone because the advisor made a facially reasonable recommendation that addressed the client's primary stated concern (guaranteed lifetime income and downside protection), maintained substantial liquid reserves outside the annuity, and documented his rationale. However, the recommendation also involved concentrating a large majority of the client's qualified retirement assets in a high-cost, illiquid product despite a known near-term liquidity need - a tension that reasonable compliance officers and regulators could assess very differently depending on whether they emphasize the total household liquidity picture or the concentration of the IRA rollover specifically. The fact that the client was never actually forced to access the annuity and funded the gift from other accounts cuts in the advisor's favor, but the fact that the advisor knew about the potential near-term need and still placed 84.5% of the rollover into a seven-year surrender product cuts against him.

Borderline Factors

- Client explicitly mentioned a foreseeable near-term liquidity need (\$40K-\$60K gift) but advisor maintained substantial liquid assets outside the annuity to cover it
- 84.5% of IRA rollover placed in a single illiquid product, but only 47% of total household investable assets were in the annuity
- All-in annual expenses of 3.15% are high but not unusual for VA products with guaranteed living benefit riders
- The guaranteed income rider directly addressed the client's primary stated concern about outliving her money and market risk
- Client signed disclosure documents acknowledging surrender charges but later claimed insufficient understanding

- The liquidity event that triggered the complaint was an acceleration of an uncertain timeline, not the originally discussed scenario
- After funding the gift from liquid accounts, the couple still retained over \$400,000 in accessible assets - no actual financial harm occurred
- Seven-year surrender period is long for a 62-year-old entering retirement but the client would be 69 when it expires, still within reasonable planning horizon

Likely Outcome

A regulator reviewing this matter would likely issue a cautionary finding or require enhanced supervision rather than a full enforcement action. The advisor's recommendation had a reasonable basis and was documented, the client retained substantial liquidity, and no actual financial harm occurred from the annuity's illiquidity. However, most regulators would note that the advisor should have either reduced the annuity allocation, recommended a product with a shorter surrender period, or more thoroughly documented why the allocation was appropriate given the known near-term liquidity need. Under the heightened best-interest standards of NY Regulation 187 or Reg BI, the failure to more carefully address the tension between the known liquidity need and the surrender schedule would likely be viewed as a documentation and process deficiency, even if the substantive recommendation was defensible. FINRA arbitration panels considering similar fact patterns have shown mixed results, with outcomes often hinging on how well the advisor documented the rationale for the specific allocation level and whether less costly or more liquid alternatives were considered and documented as inferior for the client's needs.

Borderline Scenario 2

Topic: senior_investor_exploitation | Standard: FINRA Rule 2330 (Variable Annuity Suitability - requiring reasonable basis to believe

Fact Pattern

Margaret Thornton, age 74, is a retired school principal living in Olympia, Washington. She has a total liquid net worth of approximately \$820,000, consisting of \$410,000 in a traditional IRA (held in a balanced mutual fund), \$230,000 in a brokerage account invested in blue-chip dividend stocks, and \$180,000 in CDs and money market accounts. She receives \$3,400/month in pension income and \$2,200/month in Social Security, for a combined \$67,200 annual income that comfortably covers her \$4,800/month living expenses. She has no debt, owns her home outright, and carries long-term care insurance. Her stated goals, documented across three meetings with her advisor, Gerald Morse (age 52, 24 years in the industry), are to (1) preserve capital, (2) leave a meaningful inheritance to her two grandchildren, and (3) generate modest supplemental income to fund annual travel with her church group, roughly \$8,000-\$10,000 per year.

In September 2023, Morse recommended that Margaret move \$375,000 from her IRA balanced mutual fund into a variable annuity with a Guaranteed Minimum Withdrawal Benefit (GMWB) rider and a guaranteed death benefit rider. The VA has total annual expenses of 3.12% (1.35% M&E, 0.95% GMWB rider, 0.40% death benefit rider, 0.42% underlying subaccount fees). The product carries a 7-year surrender schedule starting at 7% and declining 1% per year. The GMWB guarantees a 5% annual withdrawal base growing at 5% simple interest during deferral, with a guaranteed 5% lifetime withdrawal rate once activated. The death benefit locks in the highest contract anniversary value.

Morse's rationale, documented in a detailed recommendation letter, was as follows: Margaret's balanced fund had no downside protection and had lost 14% in 2022, which caused her significant anxiety and two phone calls requesting she move entirely to cash. The GMWB rider would guarantee her a floor of income regardless of market performance, addressing her emotional distress. The death benefit rider would lock in gains for her grandchildren in a way the mutual fund could not. He noted that the \$180,000 in CDs and money market, plus the \$230,000 brokerage account, gave her ample liquidity outside the annuity, and that her pension and Social Security fully covered living expenses without touching the IRA at all. He projected that if she deferred withdrawals for 3 years, her guaranteed withdrawal base would grow to approximately \$431,250, providing \$21,562/year in guaranteed lifetime income - well above her \$10,000 travel goal - with the excess serving as a buffer against inflation or unexpected expenses.

Margaret signed all disclosures, confirmed she understood the surrender period, and initialed a section acknowledging the higher fees relative to her existing fund. She also signed a statement that she had not been pressured and that the recommendation aligned with her goals.

However, several complicating factors exist. Margaret's daughter, Patricia, filed a complaint seven months later alleging her mother didn't fully understand the surrender charges and wouldn't have agreed if she'd realized she couldn't access the full \$375,000 without penalty for seven years. Patricia noted that Margaret was diagnosed with mild cognitive impairment (MCI) in April 2024 - six months after the purchase - though no diagnosis existed at the time of the sale. Margaret's prior IRA balanced fund had an all-in expense ratio of 0.72%, meaning the VA costs roughly 4.3 times more annually. Additionally, Margaret had never owned an annuity before, and her existing portfolio already provided dividend income of approximately \$9,200/year from the brokerage account - arguably already meeting her travel income goal without any changes. Morse earned a 5.5% commission (\$20,625) on the sale, compared to the trail commission of approximately 0.25% (\$1,025/year) he had been receiving on the balanced fund. Morse did not document any consideration of lower-cost alternatives such as a fixed indexed annuity or a simple income ladder of CDs and bonds, nor did he compare the VA against keeping the existing balanced fund with a systematic withdrawal plan.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a finding of violation: (1) The existing portfolio already generated sufficient income to meet Margaret's stated travel goal (~\$9,200/year in dividends vs. \$8,000-\$10,000 needed), raising the question of whether the VA transaction served any genuine client need or primarily generated commission income. The 5.5% commission (\$20,625) versus the ~\$1,025/year trailing fee creates a significant compensation differential that a regulator would scrutinize. (2) Under FINRA Rule 2330, a member or associated person must have a reasonable basis to believe a VA is suitable, considering the customer's age, liquidity needs, and the specific riders and features. At age 74, placing 46% of Margaret's liquid IRA assets into a product with a 7-year surrender period and 3.12% annual costs requires strong justification. (3) The advisor failed to document consideration of less costly alternatives - a fixed indexed annuity, a systematic withdrawal plan from the existing fund, or a simple bond/CD ladder - which under Reg BI's care obligation and the NAIC Model 275 best-interest standard would be expected to demonstrate that the recommendation was in the customer's best interest and not merely suitable. (4) NY Regulation 187 and

the updated NAIC Model 275 (adopted by Washington effective January 2024) require that when a recommendation involves a replacement of an existing product, the producer must consider whether the transaction provides materially better benefits considering costs and surrender charges. (5) A 3.12% annual fee drag on \$375,000 is approximately \$11,700/year, which arguably erodes the very capital preservation goal Margaret identified.

Arguments against a finding of violation: (1) The GMWB rider provides a quantifiable guarantee that Margaret's existing balanced fund could not: a guaranteed income floor regardless of market performance. Margaret's documented anxiety during the 2022 drawdown - including two calls requesting a move to all-cash - suggests a genuine behavioral finance concern that the advisor addressed with a product providing downside protection. Without the guarantee, Margaret might have panic-sold during a future downturn and suffered a worse outcome. (2) Margaret's liquidity profile was strong: \$410,000 of liquid assets remained outside the annuity (\$230,000 brokerage + \$180,000 cash equivalents), and her pension plus Social Security fully covered living expenses. The \$375,000 in the VA was, by design, long-term retirement money she did not need to access for living expenses, making the 7-year surrender schedule less problematic. (3) The guaranteed death benefit rider directly addressed her stated goal of leaving an inheritance, providing a ratchet mechanism that her balanced fund lacked. (4) All disclosures were signed, the recommendation was documented in a detailed letter, and no cognitive impairment had been diagnosed at the time of the sale. The MCI diagnosis came six months later, and there is no evidence in the record that Margaret lacked capacity in September 2023. (5) The advisor's projection that three years of deferral would produce \$21,562/year in guaranteed lifetime income provides a meaningful buffer above her travel needs that could serve as inflation protection or emergency supplemental income - a reasonable long-term planning consideration for a 74-year-old with a potential 15-20 year time horizon.

Why Borderline

This scenario is genuinely ambiguous because the advisor identified a real behavioral vulnerability (panic selling during downturns) and documented a rational basis for the guaranteed-income product, yet the transaction involved substantially higher costs, a long surrender period for a 74-year-old, and a significant commission differential - while the client's existing portfolio already appeared to meet her stated income goals without any product change. The subsequent MCI diagnosis introduces a sympathy factor but doesn't necessarily prove incapacity at the time of sale. Reasonable practitioners could disagree on whether the emotional-protection rationale and the guaranteed death benefit justify the cost differential, or whether the advisor's failure to document consideration of cheaper alternatives fatally undermines the recommendation.

Borderline Factors

- Client's existing dividend income (\$9,200/year) already met or nearly met her stated travel income goal (\$8,000-\$10,000), undermining the necessity of the VA purchase
- Documented behavioral finance concern - two panic calls during 2022 downturn - provides legitimate rationale for guaranteed income product
- 3.12% total annual VA cost vs. 0.72% existing fund cost represents a 4.3x fee increase, totaling approximately \$11,700/year in fee drag on a \$375,000 investment
- Commission differential: \$20,625 one-time vs. ~\$1,025/year trailing, creating appearance of compensation-driven motivation
- 7-year surrender period for a 74-year-old client, though \$410,000 in assets remained liquid outside the VA

- No documented consideration of lower-cost alternatives (fixed indexed annuity, systematic withdrawal plan, bond ladder)
- MCI diagnosis came 6 months post-sale with no evidence of impairment at time of transaction
- Guaranteed death benefit directly addressed client's stated inheritance goal in a way the existing fund could not
- Pension and Social Security fully covered living expenses, meaning VA funds were genuinely long-term in nature
- Client signed comprehensive disclosures including specific acknowledgment of higher fees and surrender charges

Likely Outcome

A regulator would most likely find a violation, though not an egregious one. The primary deficiency is the advisor's failure to document a reasonable comparison of lower-cost alternatives that could have addressed the client's anxiety and income goals - such as a fixed indexed annuity with substantially lower fees or a partial annuitization strategy. Under both the updated NAIC Model 275 best-interest standard (effective in Washington January 2024) and FINRA Rule 2330's enhanced suitability requirements for variable annuities, the absence of documented alternative consideration significantly weakens the advisor's position. While the behavioral-finance rationale has genuine merit, a regulator would likely conclude that the combination of the client's age, the cost differential, the already-adequate income from existing holdings, and the large commission - absent any documented alternatives analysis - tips the balance toward a finding that the recommendation was not in the client's best interest. The likely remedy would be rescission or disgorgement of excess compensation rather than severe disciplinary action, given the documented rationale and signed disclosures.

Borderline Scenario 3

Topic: *complex_products_unsophisticated_investor* | Standard: *FINRA Rule 2330 (variable annuity suitability, requiring reasonable b*

Fact Pattern

Margaret Tillman, age 62, is a retired school cafeteria worker in rural Ohio with a pension of \$1,850 per month and Social Security of \$1,420 per month. She has \$215,000 in a bank CD ladder earning an average of 4.25%, a checking account with \$8,500, and no other investments. She has no mortgage, lives modestly, and her monthly expenses total approximately \$2,400. Her only prior investment experience consists of the CDs she has held for fifteen years. She did not attend college and describes herself as someone who 'doesn't understand Wall Street stuff.' In March 2024, she visited a branch office of a dual-registered broker-dealer/insurance agency after seeing a mailer about 'guaranteeing retirement income for life.' She met with advisor Kevin Roark, who holds insurance and securities licenses. Over two meetings totaling roughly three hours, Roark recommended she liquidate \$175,000 of her CDs-keeping \$40,000 in CDs and her checking account as a liquidity buffer-and purchase a variable annuity with a guaranteed lifetime withdrawal benefit rider. The VA selected had the following features: a 7-year surrender schedule starting at 7% and declining annually; total annual product expenses of 3.15% (1.30% mortality and expense charge, 0.95% average underlying fund expense, and 0.90% for the GLWB rider); a GLWB that guarantees a 5.25% annual withdrawal rate beginning at age 65 based on the highest anniversary account value; a death benefit equal to the greater of account value or total premiums paid; and thirteen subaccount investment

options. Roark allocated Margaret's funds across four subaccounts: 40% in a balanced moderate fund, 25% in a large-cap equity index fund, 20% in a bond fund, and 15% in an international equity fund. Roark's notes from the meetings state that Margaret expressed significant concern about 'running out of money' and 'not being a burden on my kids,' and that she was particularly anxious about what would happen if she lived past 90 given family longevity-her mother lived to 96. The notes also indicate Roark explained the surrender charges, showed her a hypothetical illustration comparing the GLWB income stream versus CD income over a 30-year horizon, and documented that Margaret understood the product was not FDIC insured and involved market risk. Margaret signed an acknowledgment form confirming these disclosures. Roark's firm approved the transaction after its principal review process, which flagged the sale for a supervisory call with Margaret; the supervisor's notes confirm Margaret said she understood the surrender period and wanted 'guaranteed income I can't outlive.' Roark received a commission of approximately \$10,500 on the sale. A competing product-a single premium immediate annuity from a highly rated carrier-could have provided Margaret approximately \$1,050 per month starting immediately with no market risk and no ongoing fees, but Roark did not present this alternative. A fixed indexed annuity with a GLWB rider was also available through the firm with total annual costs of 1.10% and a guaranteed withdrawal rate of 4.75% at age 65. Roark later stated he believed the variable annuity was superior because it offered potential for growth that could increase Margaret's benefit base in a rising market, and that the 5.25% GLWB rate was materially higher than the fixed indexed product's 4.75% rate. Margaret's \$175,000 investment, if held to age 65 with no growth in benefit base, would produce guaranteed annual income of \$9,187.50 under the GLWB, or roughly \$766 per month. The fixed indexed alternative at 4.75% would have produced \$8,312.50 annually, or about \$693 per month-a difference of \$73 per month. Eight months after purchase, Margaret's account value had declined to \$161,400 due to market losses, though her GLWB benefit base remained at \$175,000. She called Roark in distress after receiving her quarterly statement.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that the recommendation was unsuitable or not in Margaret's best interest: (1) Margaret is an unsophisticated investor with no prior securities experience, limited education, and a stated aversion to market complexity, making a variable annuity with thirteen subaccounts and multiple layered charges an arguably poor match for her investor profile. Under FINRA Rule 2330, a registered representative must have a reasonable basis to believe that a VA transaction is suitable, considering the customer's investment experience, financial situation, and needs. Margaret's near-total unfamiliarity with securities investing raises questions about whether she could meaningfully evaluate the product's risks. (2) Total annual expenses of 3.15% substantially erode the growth potential that Roark cited as justification for choosing the VA over simpler alternatives. Academic literature on VA mis-selling consistently identifies high-cost VAs sold to conservative, unsophisticated clients as a primary area of concern. (3) Roark failed to present a single premium immediate annuity or fixed indexed annuity as alternatives. The SPIA would have immediately addressed her core stated need-guaranteed lifetime income-without market risk, surrender charges, or ongoing fees. The fixed indexed annuity would have provided a similar GLWB at dramatically lower cost. The incremental \$73/month advantage of the VA's higher GLWB rate must be weighed against 3.15% annual expenses versus 1.10%, market risk exposure, and a 7-year surrender period locking up 81% of her liquid assets. Under Reg BI's care obligation (Rule 15l-1), a broker must consider reasonably available alternatives and may not place their own interest ahead of the customer's. The \$10,500 commission

creates at least an appearance of a conflict. (4) Concentrating \$175,000 of \$223,500 in liquid assets (78%) in a single illiquid product with a 7-year surrender schedule leaves Margaret with only \$48,500 in accessible funds—roughly 20 months of expenses beyond her pension and Social Security surplus. A medical emergency or home repair could force a surrender at significant penalty. NY Regulation 187 and the NAIC Model Regulation 275 both require that annuity recommendations be in the consumer's best interest, considering the consumer's financial situation, insurance needs, and existing coverage. (5) Margaret's distress after an 8% decline in account value, despite the GLWB benefit base being intact, suggests she may not have truly understood the distinction between account value and benefit base—calling into question the adequacy of the disclosures. Arguments that the recommendation was suitable and in Margaret's best interest: (1) Margaret's dominant concern—outliving her money—is precisely the risk a GLWB rider is designed to address. Her family longevity history (mother lived to 96) means she could face a 30+ year retirement. CDs, while safe, expose her to reinvestment risk; if rates decline to 2020-era levels (3.00% or below per the rate tables), her CD income could fall sharply. The VA's GLWB locks in a guaranteed floor regardless of interest rate movements. (2) Roark maintained a \$48,500 liquidity buffer (\$40,000 in CDs plus \$8,500 checking), and Margaret's pension plus Social Security exceeds her monthly expenses by \$870/month, meaning she has a positive cash flow cushion even without touching any savings. This arguably provides adequate short-term liquidity. (3) The supervisory review process functioned as intended: the transaction was flagged, a principal contacted Margaret, and she confirmed her understanding. Margaret signed disclosure acknowledgments. The firm's compliance infrastructure approved the sale. (4) The GLWB benefit base is protected from market declines, so Margaret's guaranteed income is unaffected by the 8% account value decline. Her anxiety, while understandable, reflects a misunderstanding of the guarantee structure rather than an actual loss of guaranteed benefits. (5) Roark's allocation was moderate and diversified—not aggressive—which is consistent with prudent management of a VA intended for lifetime income rather than speculation. (6) The 5.25% GLWB rate versus 4.75% on the fixed indexed alternative produces a meaningful lifetime income difference: over a 30-year retirement, the cumulative additional income is approximately \$26,280, which is not trivial for a modest-income retiree.

Why Borderline

This scenario is genuinely ambiguous because the product does address Margaret's primary stated concern (longevity risk) and the advisor maintained a liquidity buffer and followed documented disclosure procedures. However, the client's extreme lack of investment sophistication, the high all-in cost of the product, the failure to present materially simpler and cheaper alternatives that also addressed her core need, and the concentration of most of her liquid net worth in a single illiquid product all create legitimate concerns. Reasonable regulators could disagree on whether the incremental benefits of the VA's higher GLWB rate and growth potential justify the significantly higher costs and complexity relative to the fixed indexed annuity or SPIA, particularly for this customer profile.

Borderline Factors

- Client's primary stated need (longevity protection) is legitimately addressed by the recommended product's GLWB feature
- Client has zero prior securities experience and self-described limited financial literacy, raising questions about whether she can evaluate VA risks
- Total annual expenses of 3.15% are high relative to available alternatives (fixed indexed annuity at 1.10%) for only a \$73/month incremental GLWB benefit
- 78% of liquid assets concentrated in a single product with a 7-year surrender schedule, though

remaining buffer covers approximately 20 months of expenses beyond cash flow surplus

- Advisor documented disclosures and supervisory review confirmed client understanding, but client's post-purchase distress over account value decline suggests possible gap in comprehension
- SPIA and fixed indexed annuity alternatives were not presented despite being available through the firm and arguably better aligned with client profile
- Commission of \$10,500 creates conflict of interest, though commission alone does not establish a violation
- Family longevity history and reinvestment risk on CDs provide legitimate basis for recommending a guaranteed income product with growth potential
- Moderate subaccount allocation is consistent with the product's income-oriented purpose rather than speculative use

Likely Outcome

A regulator would more likely than not find a violation, though not an egregious one. The core issue is the failure to consider and present reasonably available alternatives-particularly the fixed indexed annuity with a GLWB that addressed the same longevity concern at less than one-third the cost and without market risk exposure. Under both the NAIC Model 275 best-interest standard and Reg BI's care obligation, the advisor must consider reasonably available alternatives and cannot rely solely on the fact that the recommended product addresses the client's stated need if a materially less costly and less risky alternative does so as well. The \$73/month GLWB differential is unlikely to be deemed sufficient justification for the incremental cost and complexity burden placed on this particular client. However, the documented disclosure process, supervisory review, positive cash flow margin, and legitimate longevity concern would likely result in a finding that is more supervisory/remedial than punitive-potentially requiring enhanced alternative documentation procedures, client restitution of excess fees, or a rescission offer, rather than a bar or severe sanction.

Borderline Scenario 4

Topic: tax_deferred_unnecessary_annuity | Standard: FINRA Rule 2330 (Suitability Requirements for Variable Annuities) requires th

Fact Pattern

Margaret Holloway, age 58, is a senior project manager at a pharmaceutical company earning \$185,000 per year. She has \$410,000 in her employer's 401(k) plan, a Roth IRA with \$92,000, a traditional IRA with \$68,000, and a taxable brokerage account holding \$215,000 in a diversified mix of index funds and individual stocks. She has no debt other than \$48,000 remaining on her mortgage, carries a \$25,000 emergency fund in a high-yield savings account, and expects to retire at 65. She told her advisor, Derek Paulson, that she was anxious about market volatility after watching her 401(k) lose 18% during a recent downturn and was interested in ways to protect her retirement savings while still growing them. She also mentioned that she would like to leave assets to her two adult children and was concerned about outliving her money.

In April 2023, Paulson recommended that Holloway move \$175,000 from her taxable brokerage account into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The VA had total annual expenses of 2.85%, including a 1.15% mortality and expense charge, 0.90% in underlying fund fees, and a

0.80% GLWB rider fee. The contract carried a seven-year surrender charge schedule starting at 7% and declining to zero. The GLWB guaranteed a 5% annual withdrawal rate for life beginning at age 65, regardless of market performance, and the death benefit provision would return at least the total premiums paid to her beneficiaries.

Paulson earned a 5.5% commission on the sale, totaling \$9,625. He documented in his notes that the client expressed strong fear of outliving her retirement savings, wanted downside protection, and valued the guaranteed income stream. He also noted that the client had already maximized her 401(k) and Roth IRA contributions for the year and was looking for additional tax-deferred growth. He ran a financial plan projection showing that the guaranteed income from the GLWB, combined with Social Security and 401(k) distributions, would cover her estimated living expenses in retirement.

However, the \$175,000 was already invested in the taxable brokerage account in a portfolio of low-cost index funds with an average expense ratio of 0.07%, and the client's effective tax bracket was 24% federal. The unrealized capital gains in the account were approximately \$31,000, meaning the transfer triggered roughly \$7,440 in capital gains taxes. Additionally, because the brokerage account already enjoyed a step-up in basis at death for estate purposes, placing these funds inside a variable annuity would convert any future gains passed to her children from potentially tax-free (via step-up) to ordinary income upon distribution. Paulson did not explicitly discuss the loss of step-up-in-basis treatment in his documented notes, though he later claimed he mentioned it verbally during their meeting. Holloway signed all disclosure documents, including the prospectus and a product summary sheet listing all fees. She also signed a statement acknowledging that she understood surrender charges would apply for seven years.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Paulson acted appropriately: Holloway expressed genuine and documented anxiety about market volatility and a specific fear of outliving her retirement savings. The GLWB rider directly addresses longevity risk by providing a guaranteed income floor regardless of market conditions, which is the precise product feature designed for this concern. She had already maximized contributions to her qualified retirement accounts and was seeking additional accumulation vehicles. Her time horizon of seven years to retirement aligns with the surrender period, suggesting she would not need early liquidity from this particular pool of money. She had sufficient liquid assets outside the annuity (\$25,000 emergency fund, \$40,000 remaining in the taxable account, plus ongoing salary) to cover near-term needs. The financial plan projection demonstrated that the guaranteed income meaningfully contributed to her retirement income sufficiency. She signed all relevant disclosures.

Arguments that Paulson may have fallen short: The 2.85% annual expense ratio represents a significant drag on returns compared to the 0.07% she was already paying, creating a roughly 2.78% annual cost differential that compounds substantially over time. Over seven years, this differential could reduce her account value by \$30,000-\$40,000 compared to staying in index funds. The transfer from a taxable account into a variable annuity is particularly problematic from a tax perspective: she triggered \$7,440 in immediate capital gains taxes, she lost the step-up in basis that would have allowed her heirs to inherit those assets without any income tax on the gains, and all future gains distributed from the annuity will be taxed at

ordinary income rates (potentially 22-24%) rather than the more favorable long-term capital gains rate (15%). The tax inefficiency is especially notable given that one of her stated goals was leaving assets to her children. Paulson's failure to document the discussion of the lost step-up in basis is a significant gap, as this is a material consideration when funding a variable annuity from taxable assets. His \$9,625 commission creates a potential conflict of interest. If Holloway's volatility concern could have been addressed through a less costly reallocation within the brokerage account-such as shifting to a balanced fund, adding bond allocation, or purchasing a simpler deferred income annuity-then a less expensive alternative existed. Under evolving standards, the question is whether Paulson adequately considered and, where appropriate, presented reasonably available alternatives before recommending the most expensive option.

Why Borderline

This scenario sits in a genuine gray zone because the product does address the client's stated primary concern (longevity risk and guaranteed income), and the client had a reasonable time horizon matching the surrender period. The GLWB rider provides a quantifiable guarantee that cannot be replicated by simply rebalancing a portfolio. However, the specific funding source-a low-cost taxable account-raises serious tax-efficiency questions that cut against the recommendation, particularly the loss of step-up in basis for a client who explicitly mentioned estate planning goals. Reasonable practitioners disagree about whether the psychological and actuarial value of guaranteed lifetime income justifies the substantially higher costs and tax disadvantages, especially when the client already had significant qualified plan assets that would generate retirement income.

Borderline Factors

- Client's documented fear of market volatility and longevity risk provides genuine basis for a guarantee-oriented product
- Tax-deferred growth inside the VA is redundant and actually harmful when funding from a taxable account that already enjoys favorable capital gains rates and step-up in basis at death
- The 2.85% total annual cost versus 0.07% represents a 40x cost increase that substantially erodes long-term returns
- Seven-year surrender period aligns with client's seven-year retirement timeline, but leaves no flexibility margin
- Loss of step-up in basis directly conflicts with the client's stated goal of leaving assets to her children
- The \$7,440 in realized capital gains taxes created an immediate and irreversible cost
- The GLWB rider provides a genuine guarantee against longevity and sequence-of-returns risk that passive index investing cannot replicate
- Advisor documented client objectives but apparently did not document discussion of tax disadvantages or consideration of lower-cost alternatives
- Client had sufficient remaining liquidity outside the annuity to cover foreseeable needs
- Commission of \$9,625 creates a material conflict but does not by itself prove the recommendation was inappropriate

Likely Outcome

A regulator would likely find a violation, though not an egregious one. The primary deficiency is the failure to adequately document consideration of the tax consequences of funding a variable annuity from a taxable account, particularly the loss of step-up in basis, which directly undermines one of the client's stated objectives (legacy for her children). Under current best-interest frameworks, the advisor must demonstrate

that he considered reasonably available alternatives and that the recommendation was in the customer's best interest at the time of the transaction. The lack of any documented analysis comparing the annuity's guaranteed income benefit against the substantial tax costs-including loss of step-up in basis, realization of \$31,000 in gains, and conversion of future capital gains to ordinary income-suggests insufficient care in evaluating whether this specific funding mechanism served the client's overall interests. A regulator would likely conclude that while a variable annuity with a GLWB could potentially be appropriate for this client profile, funding it from the taxable brokerage account rather than recommending the client consider other funding sources or lower-cost alternatives fell below the required standard. The outcome would likely be a deficiency finding with corrective action requirements rather than severe sanctions.

Borderline Scenario 5

Topic: *senior_investor_exploitation* | Standard: *FINRA Rule 2330 (Suitability requirements for variable annuity transactions, including*

Fact Pattern

Margaret Dalton, age 74, is a retired schoolteacher living in Albany, New York. She has a \$620,000 investment portfolio consisting of \$310,000 in a fixed annuity earning 3.2% that she purchased in 2017, \$180,000 in a money market fund, and \$130,000 in certificates of deposit. She receives \$2,850 per month in pension income and \$2,100 per month in Social Security benefits, for a combined annual income of approximately \$59,400. She owns her home outright, valued at approximately \$285,000, and has no outstanding debts. Her monthly expenses run about \$3,800, leaving her with roughly \$1,100 per month in surplus income. She has two adult children, both financially independent, and has expressed a desire to leave an inheritance. She has listed moderate risk tolerance on her new account form, though she has historically only owned fixed-income and guaranteed products.

In March 2025, her financial advisor, Kevin Reese (age 41, twelve years of experience, insurance and securities licensed), met with Margaret to discuss her portfolio. During the meeting, Margaret mentioned she was worried about outliving her savings and also expressed frustration that her money market and CD holdings were 'barely keeping up with inflation.' She also mentioned she wanted to make sure her grandchildren received something when she passed.

Kevin recommended that Margaret surrender her existing fixed annuity (which had exited its surrender period in 2024 and carried no remaining surrender charges) and move \$430,000 - the fixed annuity proceeds plus \$120,000 from her money market fund - into a new variable annuity with a guaranteed minimum income benefit (GMIB) rider and a guaranteed minimum death benefit (GMDB) rider. The product had a seven-year surrender schedule starting at 7% and declining by 1% per year. The all-in annual expense ratio was 3.15%, which included a 1.40% mortality and expense charge, a 0.85% GMIB rider fee, a 0.40% GMDB rider fee, and underlying subaccount expenses averaging 0.50%. The GMIB rider guaranteed a 5% annual rollup on the benefit base for income purposes, with annuitization available after a ten-year waiting period (when Margaret would be 84). The GMDB guaranteed that beneficiaries would receive at least the amount invested, adjusted for withdrawals.

Kevin documented that the recommendation addressed Margaret's stated goals: the GMIB would provide

longevity protection that her current holdings lacked, the GMDB would preserve principal for her grandchildren, and the equity-based subaccounts offered inflation-beating growth potential. He allocated the subaccounts 55% to a large-cap equity fund, 25% to a balanced fund, and 20% to a bond fund. He noted that Margaret's remaining \$60,000 in the money market fund and \$130,000 in CDs provided a liquid emergency reserve equal to roughly 42 months of her expense surplus or about 4 years of expenses if her pension and Social Security income were interrupted, which he described as unlikely.

Margaret signed all disclosure documents, including the prospectus, surrender schedule acknowledgment, and a replacement form documenting the exchange of the fixed annuity. She initialed a section confirming she understood the surrender charges and the ten-year GMIB waiting period. Kevin's branch manager approved the transaction after a two-day review.

Six months later, Margaret's daughter, Patricia, contacted the firm expressing concern. She argued that her mother did not fully understand the complexity of the product, that tying up 69% of her liquid assets in a seven-year surrender period was excessive for a 74-year-old, that the 3.15% annual fee drag would significantly erode actual account value, that the GMIB's ten-year waiting period means Margaret would be 84 before she could annuitize (assuming she is alive and cognitively able to make that election), and that the GMDB merely returned her principal - hardly justifying a 0.40% annual fee when her prior fixed annuity already guaranteed principal. Patricia also noted that her mother's surplus income and pension made longevity protection less urgent than Kevin portrayed, and that a low-cost balanced mutual fund portfolio could have achieved similar growth with full liquidity.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Kevin acted appropriately: (1) Margaret explicitly stated concerns about outliving her savings and wanting inflation-beating returns - the GMIB rider directly addresses longevity risk by guaranteeing a future income stream regardless of market performance. (2) The fixed annuity being replaced had already exited its surrender period, so Margaret incurred no surrender charges on the exchange, and the new product offered features (equity exposure, guaranteed income, enhanced death benefit) that the old product did not. (3) Kevin retained \$190,000 in liquid assets (money market + CDs), representing approximately 42 months of expense surplus or a substantial emergency cushion, which demonstrates he did not concentrate all assets in an illiquid product. (4) Margaret's moderate risk tolerance designation, combined with her frustration about low returns, supports the equity-based subaccount allocation. (5) Her pension and Social Security cover her monthly expenses with surplus, meaning the annuity funds are not needed for current income - they serve a longer-term accumulation and legacy purpose. (6) All disclosures were signed, the replacement form was completed, and the branch manager approved after review. (7) The GMDB directly serves her stated inheritance goal.

Arguments that Kevin violated applicable standards: (1) At age 74, a seven-year surrender period locks up the majority of Margaret's investable assets until she is 81, creating meaningful liquidity risk if she faces unexpected medical expenses, long-term care needs, or cognitive decline - risks that are statistically significant for someone in her mid-to-late 70s. (2) The 3.15% all-in annual cost is exceptionally high and creates substantial fee drag; academic studies on variable annuity mis-selling have consistently found that

high-cost VA products frequently underperform lower-cost alternatives on a net basis, particularly for older investors with shorter time horizons. (3) The GMIB rider's ten-year waiting period means Margaret cannot access guaranteed income until age 84 - GAO and industry reports have flagged precisely this pattern as problematic, where the guarantee period extends beyond the investor's reasonable planning horizon or life expectancy considerations. (4) The GMDB merely returns invested principal (adjusted for withdrawals), which provides marginal incremental value over her prior fixed annuity's principal guarantee, yet costs 0.40% annually. (5) Margaret's existing income surplus and pension security arguably made the longevity protection less necessary than represented. (6) Her investment history - exclusively fixed-income and guaranteed products - raises questions about whether 'moderate' risk tolerance was accurately captured or whether the advisor influenced the designation. (7) Under New York's enhanced insurance conduct standards (effective August 2019 for annuity transactions), the recommendation must be in the consumer's best interest at the time of the transaction, considering reasonably available alternatives - a low-cost balanced fund or even a fixed indexed annuity with lower fees and shorter surrender periods may have served Margaret's goals at substantially lower cost. (8) Under broker-dealer conduct standards, recommendations involving illiquid securities to senior investors require heightened scrutiny regarding the customer's time horizon, liquidity needs, and the specific features and costs of the recommended product versus alternatives.

Why Borderline

This case sits in genuine gray territory because the product does address Margaret's articulated goals (longevity protection, inflation-beating growth, inheritance), the replacement involved no surrender charges, a reasonable liquidity reserve was maintained, and all documentation was properly completed with supervisory approval. However, the combination of the client's age, the seven-year surrender period, the 3.15% all-in cost, the ten-year GMIB waiting period, and the marginal value of the GMDB create a plausible argument that less expensive and more liquid alternatives could have achieved substantially similar outcomes. The case turns on whether addressing a client's stated goals with a product that technically fits - but may not be cost-efficient or age-appropriate - satisfies the applicable standard, or whether the advisor was obligated to recommend a materially less expensive and more liquid alternative that would have achieved comparable results.

Borderline Factors

- Client's age (74) versus a seven-year surrender period and ten-year GMIB waiting period, creating tension between product design and realistic time horizon
- 3.15% all-in annual expense ratio is high but not unprecedented for a VA with living and death benefit riders - the question is whether the guarantees justify the cost for this particular client
- 69% of liquid assets concentrated in a single illiquid product, though 31% remains fully liquid - reasonable people disagree on what concentration threshold is problematic for a senior with stable pension income
- Client's stated goals (longevity protection, growth, inheritance) genuinely align with the product features, but may have been achievable through lower-cost alternatives
- Client's investment history is exclusively conservative/guaranteed products, creating ambiguity about whether moderate risk tolerance was genuinely held or advisor-influenced
- The replacement itself involved no surrender charges and arguably upgraded features, but the new product's cost and complexity represent a significant shift from the client's prior holdings
- Margaret's pension and Social Security surplus arguably reduce the urgency of longevity protection, but

do not eliminate it - unexpected long-term care costs could deplete savings regardless

- Full documentation, client acknowledgments, and supervisory approval were obtained - procedural compliance was thorough even if substantive suitability is debatable

Likely Outcome

A regulator reviewing this case would most likely find a violation, though not an egregious one. The critical factors tipping toward a finding of unsuitability or failure to act in the client's best interest are: (1) the ten-year GMB waiting period extending to age 84, which multiple regulatory guidance documents and industry studies have identified as a red flag for senior investors; (2) the 3.15% cumulative annual cost, which over the relevant time horizon would likely erode account value to the point where net returns underperform lower-cost alternatives; and (3) the availability of materially less expensive products (such as a fixed indexed annuity with a shorter surrender period or a low-cost balanced fund with systematic withdrawals) that could have addressed Margaret's goals without the same degree of cost drag and illiquidity. A New York regulator applying the state's enhanced conduct standard would likely conclude that the advisor failed to adequately consider reasonably available alternatives and that the transaction, while not fraudulent, was not in Margaret's best interest. The advisor's firm would likely face a fine and be required to offer rescission or remediation. The advisor might receive a letter of caution or heightened supervision rather than a suspension, given the procedural compliance and the non-frivolous rationale for the recommendation.

Borderline Scenario 6

Topic: *senior_investor_exploitation* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability - requires reasonable basis for exchange)*

Fact Pattern

Margaret Kowalski, age 74, is a retired schoolteacher living in suburban Ohio. She has a pension of \$3,200 per month, Social Security of \$2,100 per month, and total liquid assets of approximately \$485,000. Her assets are divided among a bank savings account (\$62,000), a brokerage account holding blue-chip dividend stocks (\$178,000), and a variable annuity she purchased in 2016 with a guaranteed minimum income benefit rider (\$245,000 current account value). The 2016 annuity has a 1.45% mortality and expense charge, a 0.95% rider fee, and underlying fund expenses averaging 0.82%, for an all-in annual cost of roughly 3.22%. The surrender schedule on the 2016 annuity has fully expired as of January 2024.

In March 2024, her financial advisor, Derek Paulson (age 41, 14 years of experience), recommended she exchange the 2016 variable annuity into a newer variable annuity product issued by a different carrier. The new annuity features a guaranteed lifetime withdrawal benefit rider that provides a 6.5% rollup rate on a benefit base during deferral, compared to the 5% rollup on her existing contract's remaining benefit base. The new contract carries a mortality and expense charge of 1.30%, a rider fee of 1.25%, and underlying fund expenses averaging 0.75%, for an all-in cost of approximately 3.30%. The new annuity imposes a seven-year declining surrender charge schedule starting at 7% in year one.

Paulson documented the following rationale for the exchange: (1) the new rider's higher rollup rate would increase Margaret's guaranteed income base more quickly if she deferred withdrawals for another three to four years; (2) the new product offered access to a broader set of managed volatility sub-accounts with

stronger recent performance; (3) the underlying fund expenses were slightly lower. Paulson's commission on the new sale was \$9,800. He would have earned no compensation had Margaret kept her existing annuity.

Margaret's client profile form, completed by Paulson, lists her investment objective as 'income with moderate growth,' her risk tolerance as 'moderate,' her time horizon as '5-10 years,' and her liquidity needs as 'low - pension and Social Security cover monthly expenses.' She has no long-term care insurance. Her health is described as 'good for her age' with a note that she takes medication for high blood pressure. She has two adult children, one of whom lives nearby and occasionally accompanies her to financial meetings. Her son was not present at the March 2024 meeting where the exchange was recommended.

Margaret signed all exchange paperwork, including a disclosure form comparing the existing and proposed annuities side by side. The disclosure form showed that the total annual cost difference was approximately 0.08% higher on the new contract and that a new surrender period would apply. Margaret initialed next to both items. Paulson's notes from the meeting state that Margaret understood she would need to wait three to four years before beginning withdrawals to maximize the new rollup benefit, and that she expressed comfort with this timeline.

Six months after the exchange, Margaret's daughter-in-law contacted the firm to complain. She stated that Margaret had mentioned to family that she might need access to funds within two years to help pay for potential assisted-living costs if her blood pressure condition worsened, and that Margaret was confused about the new surrender charges when the daughter-in-law asked her about the annuity. The daughter-in-law also questioned why the advisor would move a 74-year-old woman into a new seven-year surrender period for a product that was only marginally different from what she already owned.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Paulson violated applicable standards:

1. Under FINRA Rule 2330, a registered representative recommending a variable annuity exchange must have a reasonable basis for believing the transaction is suitable, considering the specific factors enumerated in Rule 2330(b), including whether the customer would be subject to a new surrender period, whether the customer would lose existing benefits, the new product's fees relative to the old, and whether the customer would benefit from product enhancements. Here, the all-in cost increased by 8 basis points, a new seven-year surrender schedule was imposed on a 74-year-old client, and the primary documented benefit - a higher rollup rate - required Margaret to defer income for three to four additional years, pushing her to age 77-78 before the enhanced benefit would be maximized. This deferral period is questionable for a senior investor.
2. Under the NAIC Model Regulation 275 (as adopted in Ohio), the producer must have reasonable grounds for believing the recommendation is suitable based on facts disclosed by the consumer regarding investments, insurance products, financial situation, and needs. The regulation was updated to incorporate a best-interest standard aligned with the 2020 NAIC model revisions. The new surrender period arguably

conflicts with Margaret's potential near-term liquidity needs related to possible health care or assisted-living costs, a foreseeable need for a 74-year-old with a documented health condition.

3. NY Regulation 187, although Margaret resides in Ohio, illustrates the trend toward requiring that transactions be in the best interest of the consumer. If Ohio has adopted comparable best-interest amendments to Model 275, Paulson's recommendation must demonstrate that no reasonably available alternative - including simply retaining the existing annuity - would better serve Margaret's interests. The marginal improvement in rollup rate (5% to 6.5%) may not justify the costs and restrictions of the exchange.

4. Under SEC Regulation Best Interest (Rule 15l-1), which applies to Paulson as a registered representative of a broker-dealer, the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile including age, liquidity needs, and time horizon. The Conflict of Interest Obligation requires the firm to identify and mitigate conflicts such as the \$9,800 commission that Paulson earned only by recommending the exchange. The fact that Paulson earned nothing if Margaret stayed put is a significant conflict that must be addressed.

5. Margaret's age (74), potential cognitive vulnerability (daughter-in-law reported confusion about terms), and foreseeable health-related liquidity needs create heightened scrutiny under senior investor protection frameworks referenced in FINRA Regulatory Notices and state insurance bulletins.

Arguments that Paulson acted within applicable standards:

1. The documented rationale shows a quantifiable benefit: a 6.5% rollup rate versus 5%. Over a three-to-four-year deferral period, this could produce a materially higher guaranteed income base, translating to significantly higher lifetime income payments. For a client whose pension and Social Security cover current expenses and who listed liquidity needs as 'low,' the deferral period was facially reasonable.

2. The existing annuity's surrender period had expired, meaning Margaret was not sacrificing an existing contractual benefit in that respect. The 2016 annuity's guaranteed minimum income benefit rider may have had a lower payout percentage or less favorable terms than the new product's guaranteed lifetime withdrawal benefit - facts that would need to be compared in detail.

3. Paulson completed a side-by-side disclosure form that Margaret reviewed and initialed, specifically acknowledging the cost differential and new surrender charges. This procedural compliance is significant under FINRA Rule 2330(c)'s principal review requirements and under Reg BI's Disclosure Obligation.

4. Margaret's stated time horizon of 5-10 years on her client profile is consistent with the recommended deferral period. At the time of the recommendation, her documented health status was 'good for her age,' and no immediate liquidity needs were identified. The daughter-in-law's later report of Margaret mentioning potential assisted-living needs is after-the-fact information that may not have been known or reasonably foreseeable at the time of the recommendation.

5. The cost difference of 0.08% annually is modest and could be offset by the enhanced rollup benefit and

lower underlying fund expenses. The new product's managed volatility sub-accounts may also provide better downside protection, which is appropriate for a senior investor with moderate risk tolerance.

6. Paulson's documentation, while imperfect, reflects a deliberate process. The commission conflict, while real, does not automatically render the recommendation unsuitable if the exchange provides a net benefit to the customer.

Why Borderline

This scenario sits in a genuine gray zone because the exchange offers a quantifiable potential benefit (higher guaranteed rollup rate and modernized sub-account options) while imposing real costs and risks (slightly higher fees, a new seven-year surrender period for a 74-year-old, and a deferral requirement that may conflict with foreseeable health-related liquidity needs). The advisor's documentation was procedurally thorough, the client profile as completed supported the recommendation, and the cost differential was marginal. However, the commission conflict, the client's age, the new surrender period, the post-sale indications of confusion and potential near-term liquidity needs, and the relatively modest incremental benefit all create legitimate grounds for regulatory concern. Reasonable compliance professionals could disagree on whether the net benefit to the client was sufficient to justify the exchange.

Borderline Factors

- Client is 74 years old with a documented health condition, making a new 7-year surrender period potentially problematic but not per se unsuitable given her stated low liquidity needs and 5-10 year time horizon
- The all-in cost increase is only 8 basis points - arguably de minimis but still a cost increase in an exchange that must demonstrate net benefit
- The rollup rate improvement from 5% to 6.5% is meaningful but requires 3-4 years of additional deferral, raising questions about age-appropriateness
- The \$9,800 commission earned only on the exchange creates a material conflict, but the advisor disclosed the exchange comparison and the client initialed acknowledgments
- The client profile listed low liquidity needs and good health at the time of the recommendation, but post-sale family reports suggest possible near-term assisted-living needs and confusion about product terms
- The client's son, who typically accompanies her, was not present at the meeting where the exchange was recommended, raising questions about whether the advisor should have ensured a trusted contact or family member was involved
- The existing annuity's surrender period had fully expired, meaning the client was giving up maximum liquidity in the old contract for a new lock-up period
- No long-term care insurance in place increases the likelihood that liquid assets may be needed for health care costs

Likely Outcome

A regulator would most likely find this to be a violation, though a close one. The combination of Margaret's age, the imposition of a new seven-year surrender schedule, the absence of long-term care insurance, the modest cost increase (rather than decrease), and the commission conflict would likely lead a FINRA examiner or state insurance examiner to conclude that the exchange did not provide a sufficiently clear net benefit to justify the new restrictions. Under FINRA Rule 2330, the principal reviewing the exchange should

have flagged the age-to-surrender-period ratio and the lack of long-term care coverage as red flags warranting additional scrutiny. Under Reg BI's Care Obligation, the advisor's failure to adequately weigh foreseeable health-related liquidity risks for a 74-year-old - particularly one without long-term care insurance - would likely be deemed a failure to exercise reasonable diligence. However, the procedural documentation, the facially reasonable client profile, and the quantifiable rollup benefit would likely mitigate sanctions, resulting in a finding of a violation with moderate rather than severe penalties. The firm's supervisory system would also face scrutiny for approving the exchange without additional inquiry.

Borderline Scenario 7

Topic: high_fees_unsuitable | Standard: FINRA Rule 2330 (Variable Annuity Suitability): Requires reasonable basis to believe (a) the

Fact Pattern

In March 2024, financial advisor Patricia Engel recommended a variable annuity with a Guaranteed Minimum Income Benefit rider to her client, Howard Nakamura, age 62, a recently retired electrical engineer with \$1.85 million in total investable assets. Nakamura's retirement income consisted of a \$42,000 annual pension from his former employer and projected Social Security benefits of \$34,000 annually beginning at age 67. His annual living expenses were approximately \$78,000. Nakamura had \$620,000 in a traditional IRA rollover, \$430,000 in a taxable brokerage account, \$310,000 in a 401(k) from a prior employer, \$290,000 in bank CDs and money market accounts, and \$200,000 in a Roth IRA. Nakamura described himself as a moderate-risk investor on his new account form, stated a time horizon of 15-20 years, and indicated that generating reliable retirement income was his primary objective, with secondary interest in leaving assets to his two adult children.

Engel recommended Nakamura invest \$400,000 from his IRA rollover into the variable annuity. The product carried total annual expenses of 3.42%, broken down as follows: mortality and expense risk charge of 1.25%, administrative fees of 0.15%, average underlying subaccount expense ratios of 0.82%, and the GMIB rider fee of 1.20%. The annuity featured a 7-year declining surrender charge schedule starting at 7% in year one and declining by 1% annually. The GMIB rider guaranteed a 5.25% annual roll-up rate on the benefit base for income calculation purposes, with a 10-year waiting period before income could be activated.

Engel's rationale, documented in her file notes, stated that Nakamura's pension and future Social Security would cover only \$76,000 of his \$78,000 annual expenses, leaving a \$2,000 gap that would grow with inflation. She noted that the GMIB rider would provide a guaranteed income floor that, after the 10-year waiting period, could generate approximately \$29,000 annually based on the roll-up, which would cover the gap and provide substantial additional income or serve as a hedge against longevity risk and potential healthcare costs. She also noted that Nakamura expressed anxiety about market downturns after experiencing significant losses in 2008 and wanted some portion of his portfolio protected from sequence-of-returns risk.

Nakamura signed all disclosures, including a fee summary page, and initialed a section acknowledging the surrender charge schedule. At a six-month review meeting in September 2024, Nakamura told Engel he

was satisfied with the arrangement.

However, several factors complicate the picture. The \$400,000 investment represented approximately 21.6% of Nakamura's total portfolio and 64.5% of his IRA. A lower-cost variable annuity with a similar GMIB rider was available through the same broker-dealer at total annual costs of 2.65%, though its roll-up rate was 4.75% rather than 5.25%. Engel received a 5.5% gross commission on the recommended product (\$22,000) versus 4.0% on the lower-cost alternative (\$16,000). Additionally, Nakamura's existing pension and Social Security nearly covered his expenses, and his \$290,000 in liquid bank deposits and CDs provided roughly 3.7 years of full living expenses as an emergency buffer. A simple balanced portfolio of low-cost index funds with a systematic withdrawal strategy could have been considered as an alternative. Engel did not prepare or document a side-by-side comparison of the recommended annuity versus the lower-cost alternative or versus non-annuity approaches. The broker-dealer's product shelf included both annuities and Engel had access to both.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Engel violated applicable standards: The 3.42% total annual expense ratio is high by industry standards, and a materially similar product with a 2.65% expense ratio was available on the same platform. The 77-basis-point difference compounded over 10-20 years could reduce Nakamura's account value by tens of thousands of dollars. The higher-cost product paid Engel \$6,000 more in commission, creating at least the appearance of a conflict that was not adequately mitigated. Under FINRA Rule 2330, a registered representative must have a reasonable basis to believe the variable annuity is suitable, and the specific annuity recommended among available alternatives should serve the customer's interest. The failure to document any comparison between the two available products is a significant process deficiency. Under Regulation Best Interest (Rule 15l-1), the Care Obligation requires consideration of reasonably available alternatives, and the Conflict of Interest Obligation requires policies to mitigate material conflicts like differential compensation. The absence of a documented comparison suggests inadequate consideration of alternatives. Additionally, Nakamura's income gap was only \$2,000 per year, which could be addressed through far simpler and cheaper means - a systematic withdrawal from his liquid assets, a CD ladder, or a low-cost balanced fund. Tying up \$400,000 in a high-fee product with a 7-year surrender period and 10-year waiting period to solve a \$2,000 annual shortfall appears disproportionate.

Arguments that Engel acted within acceptable bounds: The recommendation was not unreasonable given Nakamura's stated objectives. He explicitly prioritized reliable retirement income, expressed anxiety about market risk, and had a 15-20 year time horizon - all factors pointing toward a guaranteed income product. The \$400,000 allocation represented only about 21.6% of his total portfolio, leaving the vast majority in liquid, accessible investments. The GMIB rider addresses genuine longevity risk: Nakamura's \$2,000 gap will grow with inflation, and healthcare costs could escalate dramatically. The 5.25% roll-up rate on the recommended product produces materially higher guaranteed income than the 4.75% roll-up on the cheaper alternative - approximately \$29,000 versus \$25,800 annually after 10 years - a \$3,200 annual difference that, over a 20-year payout period, could amount to \$64,000 or more in additional guaranteed income, potentially justifying the higher fees. The product was placed in a tax-deferred IRA, so there is no issue of layering tax deferral. Nakamura is a sophisticated professional who reviewed and acknowledged

the fee disclosures and surrender schedule. NY Regulation 187, which applies a best-interest standard to annuity sales, recognizes that cost is one factor among several, not the sole determinant. The NAIC Model Regulation 275 similarly requires that the recommendation be in the consumer's best interest considering the totality of circumstances, not simply that the cheapest product be selected.

Why Borderline

This scenario is genuinely ambiguous because the recommended product is more expensive and paid higher compensation, but it also offered a meaningfully higher guaranteed income benefit that could justify the cost difference over a long retirement. The core tension is between a cost-focused analysis (which favors the cheaper product) and an outcome-focused analysis (which may favor the higher roll-up rate). Reasonable professionals could disagree about whether the additional \$3,200 per year in guaranteed income justifies 77 basis points in additional annual fees. The lack of documented comparison is a clear process weakness, but process failures alone do not necessarily mean the substantive recommendation was wrong. The allocation size is debatable - 21.6% of total assets is not extreme, but 64.5% of the IRA is concentrated. The client's income gap is small now but could grow substantially with inflation and healthcare costs over a 25+ year retirement.

Borderline Factors

- The higher-cost product had a materially better guaranteed roll-up rate (5.25% vs. 4.75%) that produces meaningfully more guaranteed income over the waiting period
- The 77 basis point fee differential is significant but not extreme, and the cost-benefit analysis depends on assumptions about longevity and income utilization
- Differential compensation (\$6,000 more) creates a conflict but is not dispositive if the recommendation is otherwise justified
- No documented side-by-side comparison of alternatives, which is a process deficiency but not necessarily a substantive violation
- The client's current income gap (\$2,000/year) is small, but longevity risk, inflation, and healthcare costs create a plausible case for more robust guaranteed income
- The allocation represents 21.6% of total assets (moderate) but 64.5% of the IRA (concentrated within that account)
- Client expressed specific anxiety about market risk and prioritized income reliability, supporting the product type even if the specific product choice is debatable
- Client is a college-educated professional who acknowledged fee disclosures, though sophistication does not eliminate the advisor's obligations

Likely Outcome

A regulator would most likely find a process violation but would be less certain about a substantive violation. The failure to document a comparison between the two available products is the most clear-cut deficiency under both FINRA Rule 2330's principal review requirements and Reg BI's Care Obligation, which requires consideration of reasonably available alternatives. A FINRA examiner or state insurance examiner would likely cite the lack of documented rationale for choosing the higher-cost product over the lower-cost alternative, particularly given the compensation differential. However, whether the substantive recommendation itself was unsuitable or not in the client's best interest is closer to a toss-up. If Engel could articulate and document (even after the fact) a credible analysis showing the higher roll-up rate's value exceeded the incremental cost over the client's expected income horizon, many regulators would view the

recommendation as within the range of reasonable professional judgment. The most probable outcome is a supervisory deficiency finding with required remediation of documentation practices, possibly a modest fine, but not necessarily a finding that the product itself was unsuitable. If the case arose in New York under Regulation 187, the burden would be somewhat higher given that regulation's explicit best-interest standard and emphasis on considering costs relative to alternatives.

Borderline Scenario 8

Topic: *tax_deferred_unnecessary_annuity* | Standard: *FINRA Rule 2330 (variable annuity suitability, requiring reasonable basis to be*

Fact Pattern

Margaret Kowalski, age 58, is a public school teacher earning \$72,000 per year. She has been a client of financial advisor Derek Pullman for six years. In March 2023, Margaret inherited \$185,000 from her late aunt's estate, which was deposited into a taxable brokerage account holding a mix of index funds. Margaret already contributes 10% of her salary to her employer's 403(b) plan, which has a balance of \$340,000, and she has a traditional IRA worth \$95,000. She has no Roth IRA. Her 403(b) plan offers low-cost institutional share class funds with expense ratios averaging 0.06%. Margaret told Derek she was interested in 'making the inheritance grow tax-efficiently for retirement,' noting she planned to retire at age 65. She mentioned she was 'nervous about the market' after watching her 403(b) lose value in 2022 and said she wanted 'some protection but still some growth.' She also mentioned she might need \$25,000-\$30,000 in the next two years to help her daughter with graduate school tuition. Derek recommended she place \$150,000 of the inherited funds into a variable annuity with a guaranteed minimum withdrawal benefit rider. The product carried a mortality and expense charge of 1.10%, an administrative fee of 0.15%, underlying subaccount expenses averaging 0.72%, and a rider fee of 1.05%, bringing the all-in annual cost to approximately 3.02%. The annuity had a seven-year surrender schedule starting at 7% and declining by 1% per year. Derek explained that the guaranteed withdrawal benefit would protect her retirement income floor regardless of market performance, and that the tax-deferred growth on the \$150,000 would complement her existing retirement accounts. He noted that the remaining \$35,000 of inherited funds would stay liquid in her brokerage account to cover her daughter's tuition needs. Margaret signed the application after two meetings. Derek earned a 5.5% commission (\$8,250) on the sale. Margaret had a moderate risk tolerance score on her client profile form. Derek documented that Margaret's primary objective was retirement income security and that the guaranteed withdrawal benefit addressed her stated fear of market losses. He did not discuss the option of maximizing her 403(b) contributions, which had roughly \$10,000 of remaining contribution room annually (she was under 50 catch-up thresholds at the time but would become eligible for additional catch-up contributions the following year). He also did not discuss a Roth IRA, for which she was income-eligible, or suggest lower-cost alternatives such as a fixed indexed annuity without securities subaccounts, or a balanced portfolio of low-cost index funds with a systematic withdrawal plan. Eighteen months later, Margaret contacted Derek because her daughter's graduate program was more expensive than anticipated and she needed an additional \$20,000. Derek informed her that a withdrawal from the annuity would trigger a 5% surrender charge (\$1,000 on a \$20,000 withdrawal) and that pulling funds could reduce the guaranteed benefit base, potentially diminishing her future income guarantee.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Derek violated applicable standards: First, Margaret already had substantial tax-deferred savings (\$340,000 in a 403(b) and \$95,000 in a traditional IRA), and she had unused capacity in both her 403(b) and was eligible for a Roth IRA. Placing inherited funds into a variable annuity layered additional tax deferral on top of existing tax-advantaged vehicles without first exhausting lower-cost options that provide the same benefit. Under FINRA Rule 2330(b), a registered representative must have a reasonable basis to believe that the customer would benefit from certain features of a deferred variable annuity, including tax-deferred accumulation, and that the particular variable annuity is suitable. When a client already has significant unfilled tax-advantaged account space, the incremental value of annuity tax deferral is questionable, especially given the high all-in cost of 3.02% annually, which substantially erodes the tax-deferral benefit. Second, the seven-year surrender period created a liquidity constraint that was arguably foreseeable as problematic. Margaret explicitly mentioned a potential near-term need for \$25,000-\$30,000 for her daughter's tuition. While Derek set aside \$35,000 in liquid funds, a reasonable advisor might have anticipated that graduate school costs could exceed initial estimates. The fact that Margaret needed additional funds within 18 months and faced surrender charges supports the argument that the recommendation did not adequately account for her liquidity profile. Third, Derek's failure to discuss lower-cost alternatives-such as maximizing 403(b) contributions, opening a Roth IRA, purchasing a less expensive fixed indexed annuity, or constructing a diversified portfolio with a systematic withdrawal plan-raises questions about whether he conducted a reasonably diligent review of alternatives. Under New York Regulation 187, which applies a best-interest standard to annuity recommendations, an advisor must consider reasonably available alternatives and may not place their financial interest ahead of the consumer's interest. The \$8,250 commission creates a material conflict. Arguments supporting Derek's recommendation: Margaret expressly articulated anxiety about market losses and a desire for downside protection with growth potential. The guaranteed minimum withdrawal benefit rider directly addressed her stated concern about retirement income security, offering a contractual guarantee that low-cost index funds cannot replicate. A variable annuity with a GMWB rider is a fundamentally different product than a balanced index fund portfolio-it transfers longevity and sequence-of-returns risk to the insurance company. No combination of 403(b) contributions and Roth IRA funding would replicate this guarantee. Derek documented Margaret's objectives and risk concerns, and the recommendation was consistent with her moderate risk profile and stated goals. Additionally, Derek did attempt to address liquidity by keeping \$35,000 outside the annuity. The \$150,000 placement left Margaret with over \$470,000 in other retirement and liquid assets, suggesting the annuity represented roughly 24% of her total portfolio-not an outsized allocation. The surrender period, while lengthy, would expire when Margaret was 65, precisely when she planned to begin retirement withdrawals. Furthermore, the 3.02% all-in cost, while high relative to passive index investing, includes the GMWB rider (1.05%), which is the cost of a specific insurance guarantee that Margaret wanted. Stripping out the rider cost, the base annuity expenses of approximately 1.97% are within the range of typical variable annuity products, and the rider provides a quantifiable financial benefit if markets underperform. The tax treatment of inherited funds (which received a stepped-up basis for capital gains purposes) is a complicating factor: placing stepped-up-basis assets inside an annuity converts future capital gains into ordinary income upon withdrawal, which is tax-inefficient. However, the magnitude of this detriment depends on Margaret's future tax bracket in retirement, which is uncertain.

Why Borderline

This case sits in genuine gray territory because the product directly addresses a real and clearly articulated

client concern (market loss protection and guaranteed retirement income), and the advisor took some steps to preserve liquidity. However, the high costs, existence of unused lower-cost tax-advantaged account capacity, conversion of capital gains to ordinary income, foreseeable liquidity needs, and the advisor's failure to present alternatives all cut the other way. The core tension is between respecting a client's stated preference for guarantees-which inherently cost money-and the obligation to ensure that the specific vehicle delivering those guarantees is the most appropriate one given the client's full financial picture.

Borderline Factors

- Client had significant unused tax-advantaged contribution room (403(b) and Roth IRA eligibility), diminishing the incremental value of annuity tax deferral
- Inherited assets with stepped-up cost basis placed inside a product that converts capital gains to ordinary income, creating potential tax inefficiency
- Client explicitly expressed desire for downside protection and guaranteed income, which the GMWB rider specifically provides
- All-in cost of 3.02% is high but includes a contractual guarantee not available through low-cost alternatives
- Advisor preserved \$35,000 in liquid funds but client's near-term liquidity needs proved higher than initially stated
- Seven-year surrender schedule aligns with client's stated seven-year retirement timeline but creates interim illiquidity risk
- 5.5% commission creates material conflict of interest but is within standard industry range for variable annuity sales
- Advisor documented client goals and risk tolerance but did not document consideration of lower-cost alternatives
- Annuity represents approximately 24% of total assets-a meaningful but not dominant allocation

Likely Outcome

A regulator would likely find a violation, though not an egregious one. The strongest basis would be the failure to consider and document reasonably available alternatives, particularly the unused 403(b) and Roth IRA contribution capacity, which could have provided tax-deferred or tax-free growth at a fraction of the cost. The placement of stepped-up-basis assets into a tax-deferred vehicle that converts gains to ordinary income, without documented analysis of the tax consequences, further weakens the advisor's position. Under a best-interest framework such as NY Reg 187 or the NAIC Model Regulation 275 (as amended to a best-interest standard), the failure to demonstrate that this particular product was in the client's best interest-as opposed to merely suitable in a general sense-would likely result in a finding of deficiency. However, mitigating factors (client's expressed desire for guarantees, reasonable allocation sizing, partial liquidity preservation) would likely result in a remedial outcome such as enhanced supervision, additional training, or partial restitution of excess costs rather than severe sanctions.

Borderline Scenario 9

Topic: *variable annuity unsuitable* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability); NAIC Model Regulation 275 (Suitability)*

Fact Pattern

Margaret Feldstein, age 62, is a retired school administrator with a \$1.4 million portfolio consisting of \$680,000 in a 403(b) plan, \$410,000 in a taxable brokerage account, \$180,000 in a traditional IRA, and \$130,000 in bank CDs. She receives a \$4,200/month pension and \$1,100/month from Social Security. Her annual living expenses are approximately \$58,000. She has no outstanding debts, owns her home outright, and lists her risk tolerance as 'moderate' on her new account form. She has two adult children and has expressed a desire to leave assets to them but has also mentioned anxiety about outliving her money, particularly given that her mother lived to age 97 and required memory care for five years.

Her financial advisor, Craig Delmonico, who has been in the industry for 19 years and holds insurance and securities licenses, recommended she move \$350,000 from her taxable brokerage account into an index-linked variable annuity (ILVA) with a 10% buffer against market losses, participation in S&P 500 returns capped at 12%, and a lifetime income rider that guarantees a 5.5% annual withdrawal base growth rate during the deferral period. The product carries total annual fees of 1.85% (0.95% mortality and expense charge, 0.55% for the income rider, and 0.35% in underlying fund expenses). The surrender period is seven years with a declining surrender charge starting at 7%. The ILVA does not provide tax deferral benefits beyond what was already available in her existing accounts.

Delmonico documented in his notes that he discussed three alternatives with Margaret: (1) keeping the funds in her existing diversified equity and bond portfolio (which had a blended expense ratio of 0.42%), (2) a fixed indexed annuity with a 3-year surrender period and no annual fees but a lower cap rate, and (3) the ILVA. His notes reflect that Margaret expressed strong interest in the downside buffer feature after watching a presentation about sequence-of-returns risk. He noted she said she 'never wanted to lose more than 10% in a bad year again' after experiencing a 22% decline in her brokerage account in 2022.

Margaret's daughter, who works in corporate finance, later filed a complaint alleging that her mother was sold an expensive and illiquid product she didn't need, given that her pension and Social Security already covered her living expenses with room to spare, that her existing portfolio was already well-diversified, and that the tax-deferral benefit of the annuity was irrelevant for money that was already in a taxable account where she could harvest losses. The daughter further noted that the advisor earned a \$17,500 commission on the sale (approximately 5% of the premium), compared to the roughly \$1,400 annual advisory fee he would have earned managing the same assets in the brokerage account.

Delmonico's broker-dealer's product review committee had approved the ILVA for sale to clients age 55-75 with moderate risk tolerance and at least \$500,000 in liquid assets outside the annuity. Margaret met all three screening criteria. Delmonico had sold 14 ILVAs in the prior 18 months, representing approximately 30% of his gross production.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents genuinely competing considerations.

Arguments that the recommendation was unsuitable or not in the client's best interest:

1. **Lack of need for guaranteed income:** Margaret's pension (\$50,400/year) and Social Security (\$13,200/year) total \$63,600 annually, already exceeding her \$58,000 in annual expenses by \$5,600. She does not have an income gap that a lifetime income rider would fill. Under FINRA Rule 2330(b), a member or associated person must have a reasonable basis to believe the transaction is suitable, considering whether the customer would benefit from certain features of a VA, such as tax-deferred growth, annuitization, or a death benefit. Here, the income rider addresses a need that arguably doesn't exist.
2. **Cost differential:** The ILVA's 1.85% annual cost is more than four times the 0.42% blended cost of her existing portfolio. Over the seven-year surrender period, this amounts to roughly \$45,000+ in additional fees on a \$350,000 investment. Under Regulation Best Interest (Rule 15l-1), the cost of a recommendation is a factor that must be evaluated, and a broker-dealer must consider reasonably available alternatives.
3. **Tax inefficiency:** Placing taxable account money into a variable annuity converts capital gains (taxed at preferential rates) into ordinary income upon withdrawal. This tax drag undermines the economic case for the product. NAIC Model Regulation 275 requires the insurance producer to have reasonable grounds that the recommendation is suitable based on the consumer's financial situation, including tax status.
4. **Compensation conflict:** The \$17,500 upfront commission versus \$1,400 annual advisory fee creates a 12.5x compensation differential favoring the annuity recommendation. Under Reg BI's conflict-of-interest obligation, this material conflict must be disclosed and mitigated, and it raises questions about whether the recommendation was driven by compensation rather than client need.
5. **Liquidity constraint:** The seven-year surrender period locks up 25% of Margaret's total portfolio in a product she may need to access, particularly given potential long-term care needs (a concern implicitly raised by her mother's memory care experience).

Arguments that the recommendation was suitable and in the client's best interest:

1. **Legitimate longevity and sequence-of-returns risk concern:** Margaret has a family history of extreme longevity (mother lived to 97) and expressed genuine anxiety about outliving her money. A lifetime income rider with a 5.5% growth rate provides a hedge against this tail risk that her existing portfolio does not. The income rider is not just about current income gaps - it provides optionality for future income needs, including potential long-term care costs.
2. **Behavioral finance justification:** Margaret experienced a 22% portfolio decline in 2022 and articulated a clear preference for downside protection ('never wanted to lose more than 10%'). The 10% buffer feature directly addresses this stated preference and may prevent panic selling during future downturns, which could cause far greater economic harm than the fee differential. Academic literature on VA mis-selling acknowledges that behavioral considerations can be legitimate drivers of product selection.
3. **Proportionality:** The \$350,000 recommendation represents 25% of her total portfolio and only about 46% of her taxable account. She retains substantial liquidity in her remaining brokerage assets, IRA, CDs, and 403(b). The broker-dealer's product committee vetted and approved the recommendation within its defined screening criteria.

4. ****Documented alternatives analysis:**** Delmonico's notes reflect that he presented three alternatives and discussed them with the client. This documentation supports a finding that reasonable diligence was performed under NAIC Model 275's requirements and FINRA Rule 2330's pre-recommendation obligations.

5. ****Appropriate risk profile match:**** The ILVA with a buffer structure is arguably well-suited for a moderate-risk-tolerance retiree who wants equity market participation with defined downside limits - exactly Margaret's stated preference.

6. ****NY Regulation 187 considerations:**** If this sale occurred in New York, Reg 187 requires that recommendations be in the consumer's best interest at the time of the transaction, considering the consumer's expressed needs and financial objectives. Margaret's expressed need for downside protection and longevity risk mitigation could satisfy this standard even if her daughter disagrees with the choice.

The compensation differential, while significant, is not dispositive. GAO reports on VA sales have noted that commission-based compensation alone does not establish unsuitability, though it is a factor warranting scrutiny. The question is whether the product's features provide sufficient value to justify the cost premium.

Why Borderline

This case sits at the intersection of legitimate product features addressing real client concerns (longevity risk, loss aversion, sequence-of-returns risk) and classic markers of potential mis-selling (high cost relative to alternatives, tax inefficiency, commission incentive, arguable lack of income need). Margaret's expressed preferences support the recommendation, but her objective financial situation arguably doesn't require the product's features. Reasonable compliance officers could disagree on whether the behavioral and optionality benefits justify the cost differential and liquidity constraints, particularly when the client's existing income already exceeds her expenses.

Borderline Factors

- Client's pension and Social Security already exceed living expenses, undermining the case for a guaranteed income rider, but extreme longevity risk and potential long-term care needs create plausible future income gaps
- Fee differential of 1.85% vs. 0.42% is significant but must be weighed against the value of the buffer protection and income guarantee features not available in the existing portfolio
- Tax inefficiency of annuitizing taxable account assets is a meaningful economic cost, but the client's tax bracket and time horizon could partially mitigate this concern
- 12.5x commission differential creates a material conflict but the advisor documented consideration of lower-cost alternatives
- Seven-year surrender period restricts liquidity but client retains over \$1 million in accessible assets outside the annuity
- Client's stated behavioral preference for loss limitation aligns with the product features, creating tension between objective financial analysis and subjective client preferences
- The advisor's 30% production concentration in ILVAs could suggest a product-pushing pattern or could reflect legitimate market demand from his client demographic of near-retirees
- Broker-dealer's product committee approved the sale within defined parameters, but committee approval does not immunize individual suitability determinations

Likely Outcome

A regulator would most likely find this to be a close case but would probably not sustain a violation, provided Delmonico can demonstrate robust documentation of the alternatives analysis, the client's stated objectives, and a reasonable basis for believing the ILVA features provided value beyond what the existing portfolio offered. The key saving factors are: (1) proportionality - the annuity represents only 25% of total assets, leaving ample liquidity; (2) the client's clearly documented behavioral preferences and longevity concern; (3) the broker-dealer's pre-approval process; and (4) the documented consideration of alternatives. However, a regulator would likely issue a cautionary finding regarding the tax inefficiency issue and the compensation conflict, and might require enhanced documentation standards going forward. If the advisor could not produce contemporaneous notes of the alternatives discussion, the outcome would likely tilt toward a finding of violation. Under NY Reg 187's heightened best-interest standard, the case becomes closer, as the absence of a demonstrable income gap and the significant cost premium could be viewed as evidence that a less expensive alternative would have better served the client.

Borderline Scenario 10

Topic: tax_deferred_unnecessary_annuity | Standard: FINRA Rule 2330 (Variable Annuity Suitability); SEC Regulation Best Interest,

Fact Pattern

In March 2023, financial advisor Derek Halpern, working for a mid-sized broker-dealer in Phoenix, Arizona, recommended a variable annuity with a guaranteed minimum income benefit rider to his client, Sandra Okonkwo, a 58-year-old pediatric surgeon earning \$485,000 annually. Dr. Okonkwo had already maximized contributions to her 401(k) plan, a backdoor Roth IRA, and a 457(b) deferred compensation plan through her hospital employer. She had approximately \$2.1 million in taxable brokerage accounts, \$1.4 million across her retirement accounts, and \$320,000 in a money market fund she described as her 'safety cushion.' She owned her home outright, had no debt, and had two children aged 26 and 23 who were financially independent. Dr. Okonkwo told Halpern that she planned to retire at age 65 and was concerned about 'not outliving my money' given that her mother had lived to 97. She also expressed anxiety about market downturns, referencing the 2008 financial crisis and saying she had 'barely slept' during the COVID crash of March 2020. She described herself as a moderate investor who wanted growth but 'with a safety net.' Halpern recommended she invest \$400,000 from her taxable brokerage account into a variable annuity offered by a nationally recognized insurer. The annuity carried total annual expenses of 2.85%, which included a 1.25% mortality and expense charge, a 0.40% administrative fee, average underlying subaccount expenses of 0.80%, and a 0.40% charge for the guaranteed minimum income benefit rider. The contract included a seven-year declining surrender charge schedule starting at 7% in year one and declining to 1% in year seven. The guaranteed income benefit rider promised a 5% annual rollup on a benefit base for income calculation purposes, activatable after age 65, which would guarantee Dr. Okonkwo a lifetime income stream regardless of market performance. Halpern documented that the recommendation was driven by Dr. Okonkwo's longevity concerns, her emotional difficulty with market volatility, and the fact that all of her other tax-advantaged savings vehicles were already fully utilized. He noted that the variable annuity would provide additional tax-deferred growth on the \$400,000, which was otherwise generating approximately \$14,000 per year in taxable capital gains distributions and \$3,200 in taxable dividends in her brokerage account. He calculated that the tax deferral could save her roughly \$6,400 annually at her

marginal federal and state tax rates, partially offsetting the higher annuity expenses. He also noted that the guaranteed income rider addressed her specific fear of running out of money and her family history of longevity. However, the \$400,000 placed in the variable annuity represented approximately 10.4% of her total investable assets. Critics within the firm's compliance department flagged the recommendation during a routine review, noting that (1) the money came from a taxable account, meaning the annuity was layering tax deferral on assets that were not in a qualified plan - which some view as providing limited marginal tax benefit given the trade-off of converting capital gains into ordinary income upon withdrawal; (2) Dr. Okonkwo's existing asset base of \$3.82 million, combined with her future Social Security benefits and hospital pension, suggested she was unlikely to outlive her assets even without the guaranteed income rider; (3) lower-cost alternatives existed, including a balanced index fund portfolio with systematic withdrawal planning, or a single premium immediate annuity purchased at age 65 for a fraction of the cost; and (4) the 2.85% total expense ratio would significantly erode long-term returns. Halpern countered that Dr. Okonkwo's behavioral risk - the likelihood she would panic-sell during a downturn - was a real and documented concern based on her own statements, that the guaranteed income rider had quantifiable insurance value separate from investment return, that the client had specifically asked for a product that guaranteed she would not run out of money, and that the \$400,000 allocation was modest relative to her total wealth. He also pointed to the fact that he had presented Dr. Okonkwo with a comparative illustration showing a low-cost index portfolio alongside the variable annuity, and she had chosen the annuity after reviewing both options over a two-week consideration period.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This case presents a genuine tension between multiple regulatory considerations. Under FINRA Rule 2330, a registered representative recommending a variable annuity must have a reasonable basis to believe that the customer has been informed of the features of the annuity, that the customer would benefit from the annuity's features (particularly tax-deferred growth), and that the specific annuity is suitable in light of the customer's financial situation, needs, and objectives. Under Regulation Best Interest (Rule 15l-1), the advisor must satisfy the Care Obligation, which requires that the recommendation be in the retail customer's best interest at the time it is made, considering the potential risks, rewards, and costs. The Disclosure Obligation further requires that the advisor disclose material facts about the recommendation, including costs and conflicts.

Arguments that a violation occurred: The primary concern is the tax inefficiency of placing non-qualified money into a variable annuity. Tax-deferred growth inside an annuity converts what would otherwise be long-term capital gains (taxed at favorable rates) into ordinary income upon withdrawal (taxed at the client's highest marginal rate, which for a surgeon earning \$485,000 could be 35-37% federally). Multiple GAO reports and academic studies on variable annuity mis-selling have highlighted this as a common pattern - the purported tax-deferral benefit is illusory or even harmful when the money originates from a taxable account, especially for high-income taxpayers. The 2.85% total expense ratio is high by modern standards and, over a seven-year surrender period, could cost Dr. Okonkwo approximately \$80,000-\$100,000 more than a low-cost alternative portfolio. Additionally, her existing wealth and income sources may make the guaranteed income rider unnecessary - she has nearly \$4 million in assets, a pension, and Social Security, meaning the insurance component solves a problem that arguably does not exist. Under NAIC Model

Regulation 275, the producer must have reasonable grounds for believing the annuity is suitable, and the insurer must establish a supervision system to verify suitability. New York Regulation 187, which applies to NY-licensed insurers and could serve as a reference standard, imposes a best-interest standard requiring that the transaction be in the consumer's best interest, not merely suitable.

Arguments against a violation: The advisor documented a thorough needs analysis, presented alternatives, and gave the client time to consider. The \$400,000 allocation was only 10.4% of total assets - a relatively modest allocation that does not overconcentrate the client in any single product. The client's behavioral finance profile - documented panic during market downturns - is a legitimate consideration; academic literature (e.g., Dalbar studies) shows that investor behavior often destroys more value than high fees, and a guaranteed income rider may prevent panic selling. The client explicitly requested a guarantee against outliving her assets, and the rider provides genuine insurance value that cannot be replicated by a low-cost index fund. The tax deferral, while not as beneficial as in a qualified account, still provides some annual savings (\$6,400 by the advisor's estimate) that partially offset the higher costs. The IRI (Insured Retirement Institute) has consistently argued that variable annuities with living benefit riders serve a distinct risk-management function, particularly for clients with longevity anxiety and documented behavioral vulnerabilities. The client was informed, chose freely, and the recommendation was proportional to her overall wealth.

Why Borderline

This case sits in a genuine gray zone because the recommendation is neither clearly unsuitable nor clearly optimal. The variable annuity imposes real costs - high fees, surrender charges, and unfavorable tax treatment of gains - that make it inferior to alternatives on a pure investment-return basis. However, the client's documented behavioral tendencies, explicit desire for guaranteed income, family longevity history, and the modest allocation relative to total wealth all provide plausible justifications. Reasonable compliance reviewers could disagree on whether the behavioral and insurance benefits of the guaranteed income rider outweigh the quantifiable cost disadvantages, particularly when the client's existing wealth likely makes the guarantee unnecessary from a purely actuarial standpoint. The question of whether emotional comfort and behavioral guardrails constitute legitimate 'needs' under suitability and best-interest standards remains contested in the industry.

Borderline Factors

- Non-qualified money placed in a tax-deferred vehicle creates unfavorable ordinary income conversion, but provides some annual tax savings
- Total expense ratio of 2.85% is high but includes a living benefit rider with genuine insurance value
- Client's \$3.82 million asset base likely makes guaranteed income unnecessary from an actuarial standpoint, but the client specifically requested longevity protection
- Documented behavioral vulnerability (panic selling) provides a legitimate non-quantitative rationale for the product
- Advisor presented alternatives and the client chose the annuity after a two-week consideration period
- Allocation of 10.4% of total assets is modest and does not create concentration or liquidity risk
- Seven-year surrender charge limits liquidity, though client has ample liquid assets elsewhere
- Lower-cost alternatives (SPIA at 65, balanced index portfolio with systematic withdrawal) could address the same stated need

Likely Outcome

A regulator would most likely conclude that no clear violation occurred, though the recommendation would receive heightened scrutiny. The advisor's documentation - including the needs analysis, comparative illustration, client statements about longevity fears and market anxiety, the two-week consideration period, and the modest allocation relative to total wealth - would likely satisfy the care and documentation requirements under both FINRA Rule 2330 and Reg BI. However, a regulator might issue a cautionary finding or require enhanced supervisory procedures, particularly regarding the tax inefficiency of non-qualified annuity placements and the availability of lower-cost alternatives. If the advisor had not documented the alternatives presented or the client's stated preferences, the outcome would likely tilt toward a violation. The case would be significantly stronger against the advisor if the allocation had been larger (e.g., 30%+ of assets) or if the client had not been shown alternatives.

Borderline Scenario 11

Topic: variable_annuity_unsuitable | Standard: FINRA Rule 2330 (Variable Annuity Suitability): Requires reasonable basis to believe

Fact Pattern

Margaret Okonkwo, age 64, is a recently retired school administrator with a \$1.2 million rollover IRA, a \$340,000 taxable brokerage account, a \$180,000 savings account, and a state pension paying \$4,800 per month. She has no debt, owns her home outright, and her monthly expenses are approximately \$5,200. She listed her risk tolerance as 'moderate' on her new account form and indicated a primary goal of 'income in retirement with some growth to keep up with inflation.' She noted a secondary goal of leaving assets to her two adult children.

Her advisor, Daniel Whitfield, age 42, with 14 years of industry experience, recommended she move \$650,000 from her rollover IRA into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The product had a mortality and expense charge of 1.30%, an administrative fee of 0.15%, and the GLWB rider cost 1.05% annually. The underlying subaccounts she selected had weighted average fund expenses of 0.72%, bringing total all-in annual costs to approximately 3.22%. The product carried a seven-year declining surrender charge schedule starting at 7% in year one and declining to 1% in year seven. The GLWB rider guaranteed a 5.25% withdrawal rate on a benefit base that would step up annually if the account value exceeded the prior high-water mark.

Whitfield documented in his notes that Margaret expressed significant anxiety about outliving her money, particularly because her mother lived to 98 and her father to 94. He noted that Margaret said she wanted 'a paycheck-like guarantee' beyond her pension. He also documented that he presented three alternatives: (1) a balanced portfolio of low-cost index funds and bond funds with systematic withdrawals, (2) a single premium immediate annuity for a portion of her IRA, and (3) the variable annuity with GLWB rider. His notes indicate Margaret rejected the immediate annuity because she 'didn't want to give up control of the money' and rejected the systematic withdrawal plan because 'the market could crash right when I need the money.'

However, several facts complicate the picture. First, the \$650,000 allocation represented 54% of Margaret's

total investable assets (excluding her pension). Second, her pension already covered 92% of her monthly expenses, meaning her actual income gap was only about \$400 per month, or \$4,800 per year - far less than the GLWB's guaranteed annual withdrawal of approximately \$34,125 (5.25% of \$650,000). Third, Whitfield's compensation on the variable annuity sale was approximately \$42,250 (a 6.5% gross dealer concession), compared to approximately \$6,500 he would have earned on a fee-based advisory account at his firm's standard 1% annual fee on the same assets over the first year. Fourth, Margaret had no prior experience with variable annuities or complex insurance products. Fifth, the firm's product shelf included a lower-cost variable annuity from a competing carrier with total all-in costs of approximately 2.45% and a comparable GLWB guarantee of 5.0%, though with a less financially strong carrier (A.M. Best rating of A- versus A+ for the recommended product). Sixth, Margaret signed a disclosure form acknowledging the surrender charges, fees, and the fact that the GLWB guarantee was backed by the claims-paying ability of the insurer, and Whitfield's file contains a signed client acknowledgment that alternatives were discussed.

Six months after the purchase, Margaret's daughter, a CPA, reviewed the paperwork and filed a complaint with the state insurance department, alleging that her mother was sold an unnecessarily expensive and complex product given her modest income gap and that the advisor was motivated primarily by the commission differential.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: The allocation of \$650,000 (54% of investable assets) into a product with a seven-year surrender schedule and 3.22% all-in annual costs is significant for a 64-year-old retiree whose pension already covers 92% of her expenses. The actual income gap of \$4,800/year could have been filled with a far simpler and cheaper strategy - even a modest bond ladder or a small SPIA - without locking up the majority of her liquid retirement assets. The GLWB guarantees annual withdrawals of \$34,125, roughly seven times her actual income need, suggesting the product is dramatically oversized relative to the stated objective. The commission differential (\$42,250 vs. \$6,500) raises questions about whether the recommendation was driven by advisor compensation rather than client need. A lower-cost VA with comparable guarantees was available on the firm's shelf, and while the carrier rating was slightly lower (A- vs. A+), it was still investment grade. Under FINRA Rule 2330, a registered representative must have a reasonable basis for believing the customer would benefit from the variable annuity's features, including the death benefit, tax-deferred growth, and living benefit riders, and that the particular VA recommended is suitable. Under NAIC Model Regulation 275 (as updated to reflect best-interest standards adopted by many states) and state-specific implementations like New York Regulation 187, the producer must act in the consumer's best interest at the time the recommendation is made, considering reasonably available alternatives and not placing the producer's financial interest ahead of the consumer's. The GAO and academic studies on VA mis-selling have repeatedly flagged oversized VA purchases relative to income needs, high cost-to-benefit ratios, and commission-driven recommendations as common patterns of unsuitable sales. The fact that Margaret had no prior experience with complex insurance products further heightens the scrutiny.

Arguments against a violation: Whitfield documented a thorough needs analysis and presented three distinct alternatives. Margaret's longevity concern is legitimate and well-founded given her family history.

She articulated clear reasons for rejecting both the SPIA (loss of control/liquidity) and the systematic withdrawal plan (market risk anxiety). The GLWB rider directly addresses her stated fear of outliving her assets while preserving her access to the underlying account value - a combination that neither of the rejected alternatives offered. The fact that the guaranteed withdrawal amount exceeds her current income gap is not inherently problematic; as she ages, her expenses may rise due to healthcare costs, inflation, or long-term care needs, and the stepped-up benefit base feature provides a hedge against those scenarios. The higher-rated carrier (A+ vs. A-) is a meaningful distinction for a product whose core value proposition depends on the insurer's long-term claims-paying ability, particularly for a client who may rely on this guarantee for 30+ years. The surrender charge schedule, while long, is partially offset by the fact that the GLWB allows penalty-free withdrawals up to the guaranteed amount from day one. Margaret signed detailed disclosures and acknowledged the alternatives discussed. Under Reg BI (Rule 15l-1), a recommendation must be in the retail customer's best interest at the time it is made, considering the customer's investment profile, but there is no obligation to recommend the cheapest available product if the recommended product's features, insurer strength, and alignment with stated preferences provide a reasonable basis for the recommendation. The IRI (Insured Retirement Institute) guidance notes that guaranteed lifetime income products serve a legitimate role in retirement planning and that cost comparisons alone do not determine suitability or best interest.

Why Borderline

This scenario sits at the intersection of several genuinely debatable issues: (1) the product's features directly address the client's articulated concerns (longevity risk, market risk, desire for control), but the size of the allocation relative to the actual income gap and total portfolio appears disproportionate; (2) a lower-cost alternative existed but with a meaningfully lower carrier rating, making the cost comparison imperfect; (3) the advisor documented alternatives and client preferences thoroughly, but the compensation differential is stark; (4) the client's stated preferences and family longevity history support the recommendation conceptually, but the dollar amount and cost structure raise questions about whether a smaller allocation would have been more appropriate. Reasonable regulators could disagree on whether the advisor optimized for the client's interests or for his own compensation, particularly because the product is not categorically wrong for this client - the question is one of degree, sizing, and cost-consciousness.

Borderline Factors

- 54% of investable assets allocated to a single illiquid product with a 7-year surrender period for a 64-year-old retiree
- Guaranteed withdrawal amount (\$34,125/year) is roughly 7x the client's actual annual income gap (\$4,800)
- All-in annual cost of 3.22% versus 2.45% available alternative, but the recommended product's carrier has a significantly stronger financial strength rating (A+ vs. A-)
- Commission differential of approximately \$35,750 between VA sale and fee-based alternative in year one
- Client explicitly rejected lower-cost alternatives (SPIA and systematic withdrawal) for articulated, documented reasons
- Client had no prior experience with variable annuities or complex insurance products
- Legitimate longevity concern supported by documented family history (parents lived to 94 and 98)
- Thorough documentation of needs analysis, alternatives presented, and client acknowledgments
- Future expense increases (healthcare, inflation, potential LTC needs) could justify higher guaranteed

income over a 30+ year horizon

- State pension already covers 92% of current expenses, reducing the urgency of the guaranteed income need

Likely Outcome

A state insurance department examiner or FINRA reviewer would most likely find a partial violation - not for recommending a variable annuity with a GLWB rider per se, but for the size of the allocation relative to the demonstrated income need and the failure to adequately justify why \$650,000 was placed in this product rather than a smaller amount (e.g., \$200,000-\$300,000) that would have more precisely addressed the income gap while leaving more assets liquid and in lower-cost vehicles. The examiner would likely credit the advisor for documenting alternatives and the client's preferences, and would likely accept the carrier-rating justification for choosing the more expensive product over the cheaper alternative. However, the combination of the oversized allocation, the dramatic commission differential, and the client's lack of experience with complex products would likely tip the balance toward a finding that the recommendation, as sized, was not in the client's best interest. The likely remedial outcome would be a reduced allocation recommendation, partial rescission or surrender-charge waiver negotiation, and potential supervisory action at the firm level regarding VA allocation guidelines.

Borderline Scenario 12

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2330 (Variable Annuity Suitability) requires that a member

Fact Pattern

Margaret Holloway, age 62, is a retired school cafeteria worker living in Syracuse, New York, with a fixed monthly pension of \$2,100 and Social Security benefits of \$1,450. In March 2022, her husband passed away and she received a \$285,000 life insurance death benefit. She had no prior investment experience beyond a small savings account, had never owned a security, and listed her investment knowledge as 'limited' on her new account form. She told her advisor, Kevin Driscoll, that she wanted the money to 'last me the rest of my life' and was 'terrified of losing it.' She also mentioned she might need \$30,000 to \$40,000 within two years to repair the roof and furnace on her home and potentially help her grandson with community college tuition.

Driscoll, who had been a licensed insurance and securities representative for 14 years and had sold variable annuities to approximately 220 clients, recommended she place \$195,000 into a variable annuity with a guaranteed minimum withdrawal benefit (GMWB) rider. The product carried a mortality and expense charge of 1.30%, an administrative fee of 0.15%, an average underlying subaccount expense ratio of 0.82%, and the GMWB rider cost an additional 1.10% annually, bringing total annual costs to approximately 3.37%. The contract carried a seven-year declining surrender charge schedule starting at 7% in year one and declining to 1% in year seven. The GMWB rider guaranteed a 5% annual withdrawal rate on the benefit base for life beginning at age 65, which would provide Margaret approximately \$9,750 per year starting in 2025, regardless of market performance.

Driscoll allocated the remaining \$90,000 to a money market account and a short-term bond fund, explaining this would cover Margaret's near-term repair and tuition needs. He documented in his notes that the GMWB

rider addressed Margaret's primary fear of outliving her money and that the guaranteed income stream would supplement her pension and Social Security, bringing her total annual retirement income to roughly \$52,550 once withdrawals began. He also noted he discussed a fixed annuity alternative but that Margaret expressed a preference for the possibility of growth, saying she 'didn't want to just sit there earning nothing like at the bank.' Driscoll's notes show a 45-minute meeting and a follow-up call two days later in which he reviewed the surrender schedule.

Margaret's daughter later complained to Driscoll's firm that her mother did not understand the product, that the fees were excessive, and that a simpler fixed annuity or balanced mutual fund portfolio would have been more appropriate. The daughter stated her mother thought the 'guaranteed' aspect meant she could not lose principal and did not realize the surrender charges would trap much of her money for seven years. Margaret herself, when contacted by the firm's compliance department, said she remembered Kevin explaining 'some kind of penalty for taking money out early' but that she thought it 'only applied to the first year or two.' She also said she did not understand what a subaccount was. However, she confirmed she signed all disclosure documents, including a product summary that highlighted the surrender charge schedule in bold, and acknowledged she had been given a prospectus.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Driscoll violated applicable standards: Margaret was a textbook unsophisticated investor-no prior securities experience, limited financial literacy, and recently widowed-who received a one-time lump sum that constituted virtually her entire liquid net worth. The total all-in annual cost of approximately 3.37% is high by any measure and would significantly erode the account value over time, particularly in flat or down markets. The seven-year surrender schedule effectively locks up nearly 70% of her liquid assets for a client who identified near-term cash needs and whose primary stated concern was safety of principal. Her confusion about the surrender schedule duration and her misunderstanding that 'guaranteed' meant principal protection suggest the product's complexity exceeded her comprehension, calling into question whether she could have made a genuinely informed decision. A fixed annuity or even a balanced portfolio of low-cost mutual funds could have addressed her goals with far less cost and complexity. The concentration of \$195,000 in a single illiquid product for a client with \$285,000 in total investable assets is also concerning.

Arguments that Driscoll acted appropriately: The GMWB rider directly addressed Margaret's articulated primary concern-outliving her money-by providing a guaranteed lifetime income stream starting at age 65 that no mutual fund portfolio could replicate without longevity risk. Driscoll set aside \$90,000 in liquid, conservative vehicles to cover her identified short-term needs, demonstrating he considered her liquidity requirements. His documentation shows he discussed a fixed annuity alternative and that Margaret herself expressed a desire for growth potential, which a fixed annuity would not provide. The guaranteed 5% withdrawal rate on the benefit base offered downside protection in a way that aligned with her fear of loss while still giving her equity market exposure. Margaret signed all disclosures, was given a prospectus, and Driscoll conducted a follow-up call specifically to review the surrender schedule. The \$9,750 annual guaranteed income meaningfully supplements her existing retirement income. While costs are high, the GMWB rider cost constitutes 1.10% of that total, and it is precisely that rider that provides the guarantee

Margaret most valued. Driscoll's 14 years of experience and track record suggest this was not a pattern of churning or predatory sales but rather a judgment call about the right product for a specific client need.

Why Borderline

This case sits in a genuine gray zone because the product's core feature-lifetime guaranteed income-directly addresses the client's most important stated goal, yet the product's complexity, cost, and illiquidity arguably exceed what an unsophisticated client can meaningfully evaluate or consent to. The advisor documented reasonable rationale and set aside liquid funds, but the client's post-sale confusion about fundamental product features raises real questions about whether informed consent was achieved. Reasonable practitioners disagree about whether the value of a GMWB rider justifies its cost for a client in this profile, and regulators have taken varying positions on whether guaranteed living benefit riders make variable annuities suitable for conservative, unsophisticated clients or merely add another layer of complexity and expense.

Borderline Factors

- Client's primary goal (guaranteed lifetime income) is directly served by the GMWB rider, which no simpler product fully replicates
- Total annual costs of 3.37% are high but partially attributable to the rider providing the exact guarantee the client sought
- Client had no prior investment experience and demonstrably misunderstood key product features post-sale despite signed disclosures
- Advisor reserved \$90,000 in liquid assets for identified near-term needs, showing some attention to liquidity planning
- Seven-year surrender period locks up approximately 68% of client's total liquid net worth
- Client affirmatively rejected a fixed annuity and expressed desire for growth potential, introducing a client-directed preference element
- Advisor documented rationale and conducted follow-up, but a 45-minute meeting may be insufficient for a first-time investor purchasing a complex product
- A less expensive fixed indexed annuity or immediate annuity could have partially addressed the same goals at lower cost and complexity
- New York's heightened standards for annuity transactions impose a best-interest requirement that goes beyond traditional suitability
- Client's age (62) and three-year gap before GMWB withdrawals begin is relatively short, reducing but not eliminating sequence-of-returns risk during the deferral period

Likely Outcome

A regulator-particularly in New York under the state's enhanced annuity transaction standards-would likely find a violation, though not an egregious one. The core issue is that the totality of the circumstances, including the client's demonstrable lack of understanding of fundamental product features, the concentration of liquid wealth in an illiquid product, and the availability of simpler and less expensive alternatives that could substantially achieve the same goals, suggest the recommendation did not satisfy a best-interest standard even if it arguably met a traditional suitability threshold. The advisor's documentation and liquidity set-aside would be viewed as mitigating factors, potentially reducing sanctions, but would not overcome the fundamental concern that a 62-year-old unsophisticated widow with limited assets was placed into a product she could not meaningfully evaluate. A likely outcome would be a finding of violation

with moderate sanctions-enhanced supervision, a fine, and possible restitution of excess fees over what a comparable simpler product would have charged-rather than a bar or suspension.

Borderline Scenario 13

Topic: failure_to_know_customer | Standard: FINRA Rule 2330 (variable annuity suitability, including reasonable efforts to obtain cus

Fact Pattern

In March 2024, financial advisor Derek Hollis met with Margaret and Ronald Yeung, ages 64 and 66 respectively, at their home in suburban Philadelphia. The couple had recently sold a rental property for \$410,000 in net proceeds and wanted guidance on where to place the funds. During the initial meeting, which lasted approximately 45 minutes, Derek collected basic information: the couple reported combined annual retirement income of approximately \$87,000 from pensions and Social Security, owned their home free and clear (estimated value \$485,000), and had roughly \$220,000 in existing IRAs invested in target-date mutual funds. Margaret mentioned she had been diagnosed with early-stage rheumatoid arthritis but described herself as 'healthy enough.' Ronald said he planned to retire fully in about 18 months.

Derek's firm's new-account form included fields for income, net worth, investment experience, risk tolerance, time horizon, and liquidity needs. Derek filled in the financial fields based on the conversation: net worth approximately \$1.1 million, moderate risk tolerance, time horizon of 15-20 years, and liquidity needs marked as 'low.' He did not ask specifically about anticipated medical expenses, long-term care plans, or whether they had health insurance supplemental to Medicare. He also did not inquire about the couple's existing insurance coverage, any outstanding debts beyond the mortgage (which was paid off), or whether either spouse had other chronic health conditions. He did ask about their investment experience, and both said they had 'some experience with mutual funds through our 401(k)s' but had never owned annuities or individual securities.

Based on this profile, Derek recommended the couple invest \$340,000 of the property sale proceeds into a variable annuity with a guaranteed minimum income benefit rider. The product had total annual expenses of 3.15% (including the rider fee of 1.10%, mortality and expense charges of 1.25%, and underlying fund expenses averaging 0.80%). The surrender period was seven years with declining charges starting at 7%. Derek explained the guaranteed income feature, showed illustrations projecting 5% annual growth in the benefit base, and told the couple the product would 'give you a paycheck you can't outlive starting whenever you want.' He recommended they keep the remaining \$70,000 in a money market account for short-term needs.

The Yeungs signed the application and funding documents the same day. Seven months later, Margaret's rheumatoid arthritis progressed more rapidly than expected, and the couple needed to access \$85,000 for a combination of medical expenses and home modifications (walk-in shower, stair lift, widened doorways). They could only withdraw approximately \$34,000 from the annuity without triggering surrender charges, and accessing the additional \$51,000 would cost roughly \$3,570 in surrender penalties. Margaret filed a complaint, stating that Derek never asked about potential medical costs or long-term health concerns, and that if he had, they would have disclosed that Margaret's rheumatologist had warned them the condition

could worsen and become expensive.

Derek responded that the couple told him their liquidity needs were low, that Margaret described herself as healthy, that he recommended keeping \$70,000 liquid as an emergency reserve, and that the annuity's guaranteed income feature was exactly what a couple approaching retirement needed. He noted that the couple had \$220,000 in IRAs that could also be accessed if needed, and that the total illiquid allocation represented only about 31% of their overall net worth. Derek's supervisor reviewed the new-account form and noted all required fields were completed, though acknowledged the form did not have a specific field for 'anticipated medical expenses' or 'health conditions that may affect liquidity needs.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This case turns on the depth of customer-profile inquiry required before recommending an illiquid, long-surrender-period variable annuity to pre-retirees. Several arguments support a finding of inadequacy in Derek's know-your-customer process:

1. Under FINRA Rule 2330(b)(1), before recommending a variable annuity purchase, a registered representative must make reasonable efforts to obtain, among other things, the customer's 'liquid net worth,' 'investment objectives,' 'intended use of the annuity,' and other information considered reasonable in making a recommendation. While Derek collected standard financial data, the question is whether 'reasonable efforts' required probing further when Margaret volunteered that she had been diagnosed with a progressive autoimmune condition. A reasonable advisor might have asked follow-up questions about anticipated healthcare costs, particularly given the seven-year surrender period and the couple's ages.
2. NAIC Model Regulation 275, as revised in 2020, requires that a recommendation be in the consumer's 'best interest' considering the consumer's 'insurance needs and financial objectives at the time of the transaction.' The regulation further requires consideration of factors including the consumer's 'financial situation and needs, including...values, goals and concerns.' A progressive health condition disclosed during the fact-finding meeting arguably triggers a duty to explore how that condition might affect the consumer's financial needs over the surrender period.
3. New York Regulation 187, Section 224.4, requires that recommendations be based on an evaluation of the consumer's profile, which includes consideration of the consumer's 'financial situation and needs.' New York's standard explicitly encompasses health-related financial exposure as part of understanding the consumer's overall financial picture.
4. Under SEC Regulation Best Interest (Rule 15l-1), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making recommendations. The reasonable diligence component specifically requires understanding the potential risks and rewards of the recommendation in light of the customer's investment profile. A customer who has voluntarily disclosed a chronic health diagnosis presents a factual signal that a reasonably diligent advisor should explore further.

However, several countervailing factors support Derek's position:

- Derek did complete all fields on the firm's approved new-account form, which his supervisor confirmed was compliant with the firm's policies. The form did not prompt health-related questions, which may shift some responsibility to the firm's supervisory system design rather than to the individual advisor.
- The couple themselves characterized their liquidity needs as 'low' and Margaret described herself as 'healthy enough.' An advisor is entitled to rely on customer representations to some degree, and customers bear some responsibility for the accuracy of information they provide.
- Derek maintained a \$70,000 liquid reserve and the couple had \$220,000 in accessible IRA funds, meaning the total liquid and semi-liquid assets (\$290,000) significantly exceeded the \$85,000 eventually needed. The shortfall only arose because the couple apparently preferred not to tap IRA funds.
- The annuity allocation of \$340,000 represented roughly 31% of total net worth, which is not an extreme concentration. The guaranteed income rider addressed a legitimate retirement income need for a couple with one spouse 18 months from retirement.
- The subsequent worsening of Margaret's condition was not predictable in its timing or severity. The advisor cannot be expected to anticipate every possible health outcome.

The central tension is between the advisor's obligation to probe further when a customer volunteers a health-related fact versus the advisor's right to rely on the customer's own characterization of their situation. The fact that Margaret's diagnosis was known at the time of the recommendation-not a post-sale development-strengthens the argument that further inquiry was warranted.

Why Borderline

This scenario is genuinely ambiguous because the advisor collected all standard profile information, maintained a reasonable liquidity reserve, and the customer affirmatively represented low liquidity needs and adequate health. However, the customer also disclosed a diagnosed progressive medical condition during the same meeting, creating a tension between relying on customer self-reporting and the advisor's independent duty to probe when red flags or risk indicators are present. Reasonable regulators could disagree on whether a casual mention of a chronic condition triggers an affirmative duty to investigate healthcare cost exposure before recommending a seven-year surrender product.

Borderline Factors

- Customer voluntarily disclosed a chronic health condition but simultaneously self-assessed as 'healthy enough' with 'low' liquidity needs
 - The firm's standardized new-account form did not include fields for health conditions or anticipated medical expenses, potentially shifting blame to supervisory system design
 - The advisor maintained a \$70,000 cash reserve and the couple had \$220,000 in accessible IRA assets, providing substantial alternative liquidity
 - The annuity concentration was approximately 31% of net worth-meaningful but not extreme
 - The worsening of the condition was faster than expected, raising the question of whether the advisor should have stress-tested for accelerated health deterioration
 - The seven-year surrender period created a long illiquidity window for clients aged 64 and 66 with a

known health variable

- The 3.15% total annual cost is on the higher end but includes a guaranteed income rider that addresses a legitimate retirement need

- The recommendation and application were completed in a single 45-minute meeting, which some regulators would view as insufficient for a \$340,000 illiquid commitment

Likely Outcome

A regulator would most likely find a technical deficiency in the know-your-customer process, though the ultimate sanction would likely be modest (enhanced supervision, additional training, possible restitution of surrender charges). The key reasoning would be that when a customer discloses a diagnosed progressive medical condition during the fact-finding meeting, a reasonable advisor exercising due diligence should ask follow-up questions about potential healthcare costs and their impact on liquidity needs before recommending a product with a seven-year surrender period. The failure to ask these follow-up questions falls below the reasonable diligence threshold, even though the advisor completed the firm's standard form. However, mitigating factors—the \$70,000 cash reserve, \$220,000 in accessible IRAs, the customer's own representations, and the legitimate retirement income purpose of the annuity—would likely prevent a finding of egregious misconduct or a large monetary penalty. The firm's supervisory system might also face scrutiny for not incorporating health-related prompts into the suitability questionnaire for clients purchasing long-surrender-period products.

Borderline Scenario 14

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2330(b)(1) (obligation to obtain specified customer information before reco*

Fact Pattern

Margaret Holloway, age 62, walked into the office of financial advisor Derek Pham in March 2023. She had recently retired from a 34-year career as a hospital administrator. She brought a one-page summary she had printed from her bank's website showing her accounts: a \$410,000 traditional IRA rollover from her employer's 403(b) plan, a \$95,000 savings account, and a checking account with roughly \$12,000. She told Derek she wanted 'guaranteed income for life' and was 'terrified of another 2008.' She mentioned that her monthly pension from the hospital was \$2,800 and her expected Social Security at age 67 would be approximately \$2,400. She said her monthly expenses were 'around \$4,500, give or take.' She owns her home outright. Derek asked her to complete a new account form. Margaret listed her risk tolerance as 'conservative,' her investment experience as 'limited - only the 403(b) my employer managed,' her annual income as \$33,600 (pension only), and her net worth as approximately \$600,000 including her home value of roughly \$180,000. She left blank the fields for 'investment time horizon,' 'tax bracket,' and 'other sources of income or assets.' She also did not answer the question about existing annuity or insurance contracts. Derek did not follow up on the blank fields. He noted in his file that she seemed 'clear-headed and decisive' and that she had 'no dependents.' He did not ask about health status, potential long-term care needs, outstanding debts, or whether she had any other financial advisor or accounts elsewhere. Two weeks later, Derek recommended she place \$350,000 of the \$410,000 IRA into a variable annuity with a guaranteed minimum income benefit rider. The product had total annual charges of 3.15% (mortality and expense of 1.25%, administrative fee of 0.15%, average subaccount expense of 1.00%, and GMIB rider fee of 0.75%). The surrender period was 7 years with a declining surrender charge starting at 7%. The GMIB rider

guaranteed a 5% annual rollup on the benefit base and could be annuitized after a 10-year waiting period. Derek allocated the subaccounts 60% to a moderate balanced fund and 40% to a bond fund, noting this was consistent with her desire for downside protection while still allowing growth. He placed the remaining \$60,000 in a no-load balanced mutual fund within the IRA. He documented the recommendation with a two-paragraph rationale stating Margaret wanted lifetime income and principal protection, and that the GMIB rider addressed both concerns. He did not document any discussion of lower-cost alternatives such as a fixed annuity, a single premium immediate annuity, or a simple balanced fund portfolio with systematic withdrawals. He also did not document whether Margaret understood the 10-year waiting period before the GMIB could be exercised, the impact of the 3.15% annual drag on her account value, or the surrender charges. Margaret's daughter, a CPA, later reviewed the paperwork and filed a complaint alleging that Derek never properly gathered enough information about her mother's full financial picture - specifically that Margaret also had a \$55,000 CD at a credit union she had forgotten to mention, that she had a \$22,000 outstanding HELOC balance, that she was pre-diabetic with a family history of early-onset dementia, and that Margaret had an existing fixed annuity with \$40,000 in it purchased in 2019 that she did not disclose. The daughter argued Derek should have probed further before recommending such a large, complex, and expensive product. Derek's firm's supervisory records show the principal reviewed the application, noted the blank fields, but approved the transaction after a phone call with Derek in which Derek said Margaret 'didn't want to fill out any more paperwork' and seemed to understand the product.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

The central question is whether Derek Pham's failure to obtain complete customer profile information - specifically the blank fields on the new account form and the absence of inquiry into health status, existing insurance products, outstanding debts, and additional assets - constitutes a failure to know his customer sufficient to support a suitability or best-interest determination.

Arguments that a violation occurred:

1. Under FINRA Rule 2330(b)(1), before recommending a variable annuity purchase, a registered representative must make reasonable efforts to obtain, at minimum, the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing annuity holdings, liquidity needs, liquid net worth, risk tolerance, and tax status. Several of these categories were left blank or unaddressed. The failure to follow up on blank fields - particularly investment time horizon, tax bracket, other income sources, and existing annuity contracts - is a direct gap in the know-your-customer obligation.
2. NAIC Model Regulation 275, Section 6, requires that an insurance producer have a reasonable basis to believe a recommendation is suitable based on the consumer's suitability information, which includes existing insurance products and overall financial profile. Derek did not ask about existing annuity or insurance contracts, meaning he could not evaluate whether this was effectively a replacement or whether the client was over-concentrated in annuity products.
3. NY Regulation 187 (if applicable by jurisdiction) imposes a best-interest standard requiring producers to gather sufficiently comprehensive information to evaluate whether a recommendation is in the consumer's best interest, including consideration of reasonably available alternatives. Derek documented no comparison to lower-cost alternatives such as SPIAs, fixed annuities, or systematic withdrawal strategies -

products that might have better served a conservative 62-year-old seeking guaranteed income at lower cost.

4. Regulation Best Interest (Rule 15l-1) under the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the customer's investment profile. Approving a transaction with known blank fields and relying on the advisor's oral representation that the client 'didn't want to fill out more paperwork' raises supervisory concerns as well.

5. The 3.15% annual fee drag is significant for a conservative investor. Over the 10-year GMIB waiting period, cumulative fees could erode the account value substantially, potentially making the guaranteed benefit base the only realistic source of income - effectively converting the variable annuity into an expensive fixed annuity equivalent.

Arguments against finding a violation:

1. Margaret was a competent adult who voluntarily provided substantial information: her age, income, net worth, risk tolerance, investment experience, and explicit objective of guaranteed lifetime income. The information she did provide supported the recommendation of a VA with a GMIB rider. The blank fields, while problematic, may not have been material to the core recommendation if the information gathered was facially sufficient.

2. The information Margaret failed to disclose - the \$55,000 CD, the \$22,000 HELOC, the pre-existing fixed annuity, and her health concerns - was within her own knowledge. An advisor can only make reasonable efforts to obtain information; if a client declines to provide it or forgets, there is a limit to the advisor's obligation, particularly where the client appeared competent and decisive.

3. The product itself is not inherently unsuitable: a GMIB rider on a variable annuity is specifically designed for the type of risk Margaret expressed - fear of market downturns and desire for lifetime income. The 60/40 subaccount allocation was conservative and appropriate for her stated risk tolerance. Derek retained \$60,000 in a liquid mutual fund and left \$95,000 in savings, preserving meaningful liquidity.

4. The supervisor did review the transaction and approved it, suggesting the firm's compliance process was engaged even if imperfect.

5. Academic literature on VA mis-selling often focuses on cases where the product was clearly wrong for the customer (e.g., elderly clients with short time horizons, tax-deferred products inside already tax-deferred accounts without rider justification). Here, the IRA-to-VA rollover is common and the rider provides a specific benefit Margaret requested. The 10-year waiting period, while long, aligns with Margaret's pre-Social Security window (age 62 to 72).

Why Borderline

This case sits in genuine gray territory because the advisor gathered substantial - but incomplete - customer information, and the product recommended is facially aligned with the customer's stated objectives. The failure-to-know-customer issue is complicated by the fact that the missing information was partly the client's own omission, and the information that was gathered plausibly supported the recommendation. The product's high cost and complexity cut against the advisor, but the specific feature the client wanted (guaranteed lifetime income with downside protection) is exactly what the GMIB rider provides. Reasonable regulators could disagree on whether the gaps in the customer profile were material enough to invalidate an otherwise defensible recommendation, or whether the advisor's failure to probe further represents a systemic deficiency that undermines the entire suitability analysis.

Borderline Factors

- Client voluntarily provided key data points (age, income, risk tolerance, objective) but left several important fields blank, and advisor did not follow up
- Undisclosed existing fixed annuity raises potential replacement analysis obligations the advisor could not have known about - but arguably should have asked about
- 3.15% total annual cost is on the high end but not unusual for a VA with living benefit riders; whether this is 'too expensive' depends on the value placed on the guarantee
- 10-year GMIT waiting period is long but aligns with a plausible income-planning timeline for a 62-year-old
- Client's health status (pre-diabetic, family dementia history) could materially affect whether a 10-year deferral product is appropriate, but client did not disclose this and advisor did not ask
- Supervisor approved the transaction despite noting blank fields, raising questions about whether firm-level oversight was adequate but also suggesting the recommendation passed institutional review
- No documented consideration of lower-cost alternatives, but the client's stated desire for 'guaranteed income for life' arguably narrows the suitable product universe
- 85% of IRA assets placed in a single illiquid product is a high concentration, but remaining liquid assets (\$95,000 savings + \$60,000 mutual fund + undisclosed \$55,000 CD) may provide adequate liquidity

Likely Outcome

A regulator would most likely find a technical violation of the know-your-customer requirements, specifically the failure to make reasonable efforts to complete the customer profile by following up on blank fields related to time horizon, tax status, and existing annuity holdings. The blank field for existing annuity contracts is particularly problematic because it deprived the advisor of information needed to evaluate potential replacement implications under NAIC Model 275. However, the substantive suitability of the product recommendation itself is more defensible given the client's stated objectives and profile. The likely regulatory outcome would be a finding of procedural deficiency in information gathering with potential supervisory failures, possibly resulting in a cautionary action, enhanced supervision requirement, or modest fine rather than a finding of substantive mis-selling. If the jurisdiction applies a best-interest standard (e.g., NY Reg 187 or Reg BI), the failure to document consideration of alternatives strengthens the case for a violation, but the severity of sanctions would likely be moderate given the product's reasonable alignment with the client's expressed needs.

Borderline Scenario 15

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2330 (VA-specific suitability requirements including consideration of age, risk tolerance, and investment objectives)

Fact Pattern

Margaret Holloway, age 62, retired eighteen months ago from a mid-level management position at a regional hospital system. She receives a pension of \$3,400 per month and Social Security of \$2,100 per month, giving her \$5,500 in guaranteed monthly income that covers roughly 85% of her current monthly expenses of \$6,500. She has \$620,000 in total investable assets: \$410,000 in a traditional IRA rollover, \$130,000 in a taxable brokerage account, and \$80,000 in a money market account she considers her emergency fund. She has no outstanding debt and owns her home outright.

Her financial advisor, Kevin Marsh, has worked with Margaret for four years. In early 2023, Kevin

recommended that Margaret invest \$340,000 of her \$410,000 IRA into a variable annuity with a guaranteed minimum income benefit (GMIB) rider. The VA offered a menu of 47 subaccounts, and Kevin allocated the funds as follows: 55% to a large-cap equity growth subaccount, 20% to an international equity subaccount, 10% to a small-cap equity subaccount, and 15% to a bond subaccount. The all-in annual cost of the contract, including the mortality and expense charge, administrative fees, subaccount expenses, and the GMIB rider fee, totaled approximately 3.18% per year. The contract carried a seven-year declining surrender charge schedule starting at 7% in year one.

On the client profile form completed at the time of the recommendation, Kevin documented Margaret's risk tolerance as 'moderately aggressive,' her investment time horizon as '15+ years,' and her primary objective as 'growth with income floor protection.' Margaret signed the form. However, during a subsequent state insurance department examination in 2024, examiners reviewed recorded phone conversations from the month before the purchase in which Margaret told Kevin: 'I don't want to lose what I've built up-I'm not a gambler, Kevin. I just want to make sure I don't run out of money.' She also mentioned that she might need to help her daughter with a down payment on a house 'in the next couple of years, maybe \$40,000 or \$50,000.'

Kevin's internal notes from those conversations state: 'Client expresses concern about outliving assets. Discussed GMIB rider as longevity protection. Client comfortable with equity exposure given long time horizon to GMIB activation at age 75. Noted possible future gift to daughter-client has sufficient liquidity outside VA to cover.' Kevin also documented that he had presented Margaret with a comparison of three products: the selected VA, a fixed indexed annuity with an income rider, and a balanced mutual fund portfolio. His notes indicate that he explained the VA's higher cost was justified by the combination of market upside participation and the income guarantee floor.

Margaret's \$80,000 money market plus \$130,000 brokerage account (\$210,000 total outside the VA) would appear to provide a buffer, though the brokerage account was itself invested 70% in equities. After the purchase, the VA's equity-heavy subaccounts declined approximately 12% over the next nine months due to market volatility, reducing the account value to roughly \$299,200. Margaret called Kevin in distress, saying she hadn't understood that so much of her retirement money could drop that quickly. Kevin reminded her that the GMIB guarantees a minimum income stream regardless of market performance, and that she should focus on the long-term guarantee rather than account value fluctuations.

The state insurance department examiner flagged the case because: (1) 85% of Margaret's equity allocation across all accounts (including the VA subaccounts and the brokerage account) was in equities, which the examiner considered inconsistent with a recently retired 62-year-old's recorded statements about capital preservation; (2) the 3.18% all-in cost was in the top quartile of comparable VA products; and (3) the seven-year surrender period created liquidity constraints given her stated potential need for funds within two years. Kevin's firm countered that the GMIB rider fundamentally altered the risk profile of the product, that Margaret had signed the moderately aggressive profile designation, that she had \$210,000 outside the annuity for liquidity needs, and that the product comparison documentation showed a reasonable process.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents strong arguments on both sides.

Arguments that Kevin violated applicable standards:

1. Under FINRA Rule 2330, a member or associated person must have a reasonable basis to believe that a VA recommendation is suitable, considering the customer's age, investment objectives, risk tolerance, investment time horizon, existing assets, liquidity needs, and liquid net worth. Margaret's recorded statements ('I don't want to lose what I've built up-I'm not a gambler') suggest a conservative-to-moderate risk tolerance, which appears inconsistent with the 'moderately aggressive' profile Kevin documented and the 85% equity allocation within the VA subaccounts.
2. Under the NAIC Model Regulation 275 (as revised in 2020 to adopt a best-interest standard), the producer must act in the best interest of the consumer at the time of recommendation, considering the consumer's financial situation, insurance needs, and financial objectives. The regulation requires that the recommendation be based on an evaluation of the consumer's stated concerns, not merely on a signed form. The recorded phone conversations may be more probative of Margaret's actual risk tolerance than the signed profile form, especially if the form was completed after those conversations without reconciling the discrepancy.
3. NY Regulation 187 (effective for annuity transactions since August 2019) imposes a best-interest standard requiring that transactions be in the consumer's best interest at the time of the transaction, and that no recommendation be made that places the producer's interests ahead of the consumer's. If this transaction occurred in New York or a state that adopted the revised Model 275, the 3.18% cost-top quartile among comparable products-could suggest Kevin did not adequately consider lower-cost alternatives that could have met Margaret's stated objectives.
4. SEC Regulation Best Interest (Rule 15l-1), applicable if Kevin is also a registered representative (as is typical for VA sales through broker-dealers), requires that the advisor act in the customer's best interest and not place his own financial interest ahead of the customer's. The care obligation under Reg BI requires reasonable diligence, care, and skill in making a recommendation, including understanding the potential risks, rewards, and costs of the recommendation. The high total cost and aggressive equity allocation may fail this standard given Margaret's expressed preferences.
5. The potential liquidity need (\$40,000-\$50,000 for her daughter) within two years, combined with a seven-year surrender schedule, raises additional suitability concerns. While Kevin argues Margaret has \$210,000 outside the VA, \$130,000 of that is in a 70%-equity brokerage account, which means accessing those funds in a down market could compound losses.

Arguments that Kevin acted appropriately:

1. The GMIB rider fundamentally changes the risk calculus of the VA. While the subaccount values fluctuate, the guarantee provides a floor of income regardless of market performance. Kevin's documented rationale-that the equity exposure is acceptable because the GMIB protects Margaret's income stream at

age 75-has legitimate financial logic. Several academic studies and industry analyses note that GMIB riders can justify higher equity allocations precisely because the downside risk is transferred to the insurer.

2. Margaret signed the moderately aggressive risk profile, and Kevin documented a comparison of three product types, suggesting he engaged in a deliberate process. The profile form, combined with Kevin's contemporaneous notes about discussing the GMIB as longevity protection, suggests he addressed Margaret's concern about 'not running out of money' through the product's guarantee feature rather than through conservative allocation.

3. Margaret's time horizon to the GMIB activation date (age 75) was approximately 13 years, which is a legitimate long-term horizon that could support equity-heavy allocations in the context of a guaranteed product. The 15+ year time horizon designation is not unreasonable given that the GMIB benefit value grows over time and is designed to be exercised at or near age 75.

4. With \$210,000 outside the VA, Margaret arguably has sufficient liquidity to cover the potential \$40,000-\$50,000 gift to her daughter and her ongoing expense gap (\$1,000/month not covered by pension and Social Security), even without touching the annuity for several years.

5. Kevin presented multiple product options and documented his rationale for the VA recommendation over a fixed indexed annuity and a mutual fund portfolio. This process-based evidence suggests he did not simply default to the highest-commission product without analysis.

Why Borderline

The case turns on a genuine tension between documented process and substantive outcomes. Kevin followed many procedural steps correctly-he obtained a signed risk profile, documented a product comparison, and created contemporaneous notes explaining his rationale. However, the recorded phone conversations reveal a potential mismatch between Margaret's expressed sentiments and the risk profile he documented. Reasonable regulators could disagree about whether the GMIB rider sufficiently mitigates the aggressive equity allocation to make it consistent with Margaret's conservative instincts, and whether the signed profile form or the recorded conversations should be treated as more authoritative evidence of her actual risk tolerance. The cost issue is also genuinely debatable: 3.18% is high but not unprecedented for a VA with a GMIB rider, and the question of whether a lower-cost product would have provided equivalent protection is not straightforward.

Borderline Factors

- Signed risk profile form designating 'moderately aggressive' conflicts with recorded verbal statements suggesting conservative preferences
- GMIB rider arguably transforms the risk profile of equity-heavy subaccounts by guaranteeing a minimum income floor, complicating traditional risk-tolerance analysis
- 3.18% all-in cost is in the top quartile but not the most expensive option available, and GMIB riders inherently add cost that may be justified
- Liquidity outside the VA (\$210,000) may or may not be sufficient depending on how the 70%-equity brokerage account performs in a downturn
- 13-year horizon to GMIB activation supports equity exposure, but Margaret's recorded statements suggest she did not fully appreciate short-term volatility risk

- Kevin documented a three-product comparison process, but it is unclear how rigorously the comparison addressed cost differentials
- Margaret's distress call after a 12% decline raises questions about whether she understood and accepted the investment risk, despite signing the profile form

Likely Outcome

A regulator would most likely find a violation, though the severity of the sanction would be mitigated by Kevin's documentation efforts. The key issue is the inconsistency between Margaret's recorded verbal statements and the documented risk profile. Under both NAIC Model 275's best-interest standard and Reg BI's care obligation, the advisor is expected to base recommendations on the consumer's actual financial situation and expressed needs—not merely on a signed form that may not accurately capture the client's true preferences. The recorded conversations are likely to be treated as more probative than the signed form, particularly because they were made before the form was completed. The examiner would likely conclude that a 55% large-cap growth / 20% international equity / 10% small-cap allocation (85% total equity) within the VA, combined with 70% equity in the brokerage account, was inconsistent with the capital-preservation sentiments Margaret expressed. The GMIB rider argument has merit and would likely reduce the finding from a willful violation to an inadequate-process finding. Kevin would likely face a requirement for enhanced supervision, possible restitution of excess fees compared to a more suitable product, and remedial training, rather than license revocation or a fraud-based enforcement action.

Borderline Scenario 16

Topic: *complex_products_unsophisticated_investor* | Standard: *FINRA Rule 2330 (variable annuity suitability, requiring reasonable b*

Fact Pattern

In March 2023, financial advisor Derek Hollis recommended that his client, Maria Espinoza, age 62, invest \$185,000 into a variable annuity with a guaranteed minimum income benefit rider. Maria is a retired school cafeteria worker who receives a state pension of \$2,100 per month and Social Security of \$1,400 per month. The \$185,000 represented the proceeds from the sale of her late husband's home, which had been held in a joint bank savings account earning 0.4% interest for approximately eight months while she decided what to do with it. Maria had no prior investment experience beyond the savings account and a small certificate of deposit she held in the early 2000s. She told Derek during their first meeting that she was 'scared of the stock market' and wanted 'something safe that would give me a little extra income when I turn 70.' She also mentioned she might need to help her daughter, who was going through a divorce, with a \$25,000 to \$30,000 loan within the next two years.

Derek conducted a two-hour meeting with Maria, during which he used the insurance company's educational brochure and a simplified illustration showing how the guaranteed income rider would provide \$1,150 per month starting at age 72 regardless of market performance. He documented that he explained the product had a 7-year surrender period with declining charges starting at 7% in year one, annual fees totaling approximately 3.15% (including the mortality and expense charge, administrative fees, underlying fund expenses, and the income rider fee), and that the sub-accounts would be invested in a moderate allocation model with roughly 55% equities and 45% bonds. He noted on his file that Maria 'understood and accepted' these terms.

Maria signed the application and all required disclosure forms, including an acknowledgment that she understood surrender charges would apply to early withdrawals beyond the 10% free withdrawal corridor. Derek selected the moderate allocation model rather than the conservative model (which had 25% equities and 75% bonds) because the guaranteed income rider required a minimum equity allocation of 50% to activate the income step-up feature.

Six months later, Maria's daughter asked her for \$28,000. Maria called Derek, who informed her she could withdraw approximately \$18,500 (the 10% free corridor) without penalty but would face a 6.5% surrender charge on the remaining \$9,500 she needed, costing her roughly \$617 in surrender fees. Maria withdrew the full \$28,000. Fourteen months after purchase, Maria filed a complaint stating that she never fully understood what a variable annuity was, that she thought the 'guarantee' meant she couldn't lose money on the investment itself, and that Derek never adequately explained the risks or the surrender charges despite what the paperwork reflected.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations that make the outcome genuinely uncertain.

Arguments that Derek violated applicable standards:

1. Under FINRA Rule 2330, a registered representative recommending a variable annuity must have a reasonable basis to believe the customer has been informed of the product's features, including surrender charges, and that the product is suitable given the customer's investment profile. Maria's profile - no investment experience, fear of the stock market, a modest fixed income, and a stated possible near-term liquidity need of \$25,000-\$30,000 - raises serious red flags. The 7-year surrender period directly conflicted with the disclosed potential need for funds within two years.
2. Under NAIC Model Regulation 275, an insurance producer must have reasonable grounds for believing the recommendation is suitable based on facts disclosed by the consumer regarding investments, financial situation, needs, and objectives. Maria explicitly stated she might need \$25,000-\$30,000 for her daughter. Placing virtually all of her liquid net worth (\$185,000) into a product with a 7-year surrender schedule when she had a known near-term liquidity need suggests the recommendation lacked reasonable grounds.
3. Under NY Regulation 187 (effective for annuity transactions since August 2019), the advisor must act in the consumer's best interest without placing the producer's financial interest ahead of the consumer's. The 3.15% all-in annual cost is notably high, and variable annuity commissions are typically 5-7% upfront. A lower-cost alternative - such as a fixed annuity, a short-term bond ladder combined with a deferred income annuity, or even a CD ladder - could have addressed Maria's stated desire for safety and future income while preserving liquidity.
4. Under Regulation Best Interest (Rule 15l-1), if Derek is also a registered representative of a broker-dealer, he had an obligation under the Care Obligation to exercise reasonable diligence, care, and

skill in making the recommendation, including understanding the product's risks and costs in relation to the customer's profile. Recommending a product with 55% equity exposure to a client who said she was 'scared of the stock market' - even if the rider mechanically required it - suggests a potential conflict between product design and client preference.

5. Maria's lack of sophistication is significant. While Derek documented a two-hour meeting and obtained signed disclosures, several academic studies on variable annuity mis-selling (see GAO Report GAO-13-30 on variable annuity sales practices) have noted that signed acknowledgment forms are often insufficient evidence that an unsophisticated investor genuinely understood complex product features.

Arguments that Derek acted appropriately:

1. Derek addressed Maria's primary stated objective: guaranteed lifetime income starting around age 70-72. The guaranteed minimum income benefit rider directly served this goal, providing \$1,150/month regardless of market conditions - effectively creating a third income stream alongside her pension and Social Security.

2. Derek conducted a substantive two-hour meeting, used educational materials, and documented his explanations of surrender charges, fees, and the equity allocation requirement. The signed disclosures, while not dispositive, do constitute contemporaneous evidence of disclosure.

3. Maria's statement about potentially helping her daughter was framed as a possibility ('might need to'), not a certainty. Advisors routinely must weigh contingent future needs against long-term planning goals. It is not unreasonable to prioritize a client's retirement income security over a speculative family loan.

4. The \$185,000 was sitting in a savings account earning 0.4% - well below inflation - and had been there for eight months with no action. Maria needed a plan for this money. Doing nothing also carried real risk (purchasing power erosion), and a moderate allocation within a guaranteed income wrapper arguably provided a reasonable balance.

5. The 10% free withdrawal corridor provided some liquidity (\$18,500/year), and the actual surrender charge Maria paid (\$617) was modest relative to her total investment. The product was not entirely illiquid.

6. The IRI (Insured Retirement Institute) has noted that guaranteed income riders are specifically designed for risk-averse retirees who want market participation with downside protection - arguably Maria's exact profile once you look past her surface-level fear of stocks to her underlying need for inflation-protected income.

Why Borderline

The case is genuinely borderline because Derek addressed Maria's primary long-term objective (guaranteed retirement income) with a product specifically designed for that purpose, conducted documented disclosure, and the actual financial harm from the early withdrawal was relatively modest (\$617). However, concentrating nearly 100% of a financially unsophisticated client's liquid assets in a complex, high-cost, illiquid product - when the client had disclosed a near-term liquidity need and expressed fear of equities - raises legitimate questions about whether the recommendation truly served her

best interest or whether a simpler, lower-cost, more liquid combination of products would have been more appropriate. The tension between the client's stated long-term goal (lifetime income) and her stated near-term need (potential \$25-30K loan) creates a planning dilemma where reasonable advisors could disagree on the right approach.

Borderline Factors

- Client's primary stated goal (guaranteed lifetime income) was directly addressed by the recommended product
- Client disclosed a potential near-term liquidity need that conflicted with the 7-year surrender period
- Nearly 100% of liquid assets were concentrated in a single illiquid product with no diversification across vehicles
- Client had virtually no investment experience and expressed fear of the stock market, yet the product required 55% equity allocation
- Advisor conducted and documented a substantive disclosure meeting with signed acknowledgments
- All-in annual costs of 3.15% are high but not atypical for VA products with living benefit riders
- The actual financial harm from the early withdrawal (\$617 surrender charge) was relatively small
- The alternative - leaving \$185,000 in a 0.4% savings account indefinitely - also carried inflation risk
- Client's complaint suggests possible misunderstanding of 'guarantee' despite signed disclosures
- Advisor selected moderate allocation over conservative allocation to activate the rider's step-up feature, prioritizing product functionality over client risk tolerance

Likely Outcome

A regulator would most likely find a violation, though the case is close. The critical factor is the concentration of virtually all liquid assets in a single illiquid product when the client had disclosed a foreseeable near-term liquidity need. Under NAIC Model 275 and NY Reg 187, the advisor should have either set aside a sufficient liquid reserve (at minimum \$30,000 in a savings account or short-term instrument) before investing the remainder in the variable annuity, or recommended a product with a shorter surrender period or no surrender charges. The fact that the equity allocation required by the rider exceeded the client's expressed risk tolerance, combined with her complete lack of investment sophistication and modest financial resources, would likely tip the analysis toward a finding that the recommendation was not in the client's best interest - even though the long-term income goal was legitimate. The signed disclosure forms would not be sufficient to overcome the substantive suitability concerns. A likely regulatory outcome would be a finding of violation with restitution of surrender charges and possibly rescission or a fine, though the relatively modest actual harm might result in a reduced sanction.

Borderline Scenario 17

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2330 (variable annuity suitability, requiring reasonable basis to believe the

Fact Pattern

Margaret Kowalski, age 67, retired in March 2023 after 35 years as a senior chemical engineer at a Fortune 500 company. She has a \$2.1 million investment portfolio consisting of \$850,000 in a company 401(k) rollover IRA (invested in a balanced target-date fund), \$620,000 in a taxable brokerage account (blue-chip

dividend stocks), \$380,000 in municipal bonds, and \$250,000 in bank CDs and money market funds. She receives \$3,400/month in Social Security and \$2,800/month from a defined benefit pension. Her monthly expenses are approximately \$5,200, meaning her guaranteed income exceeds her current spending by roughly \$1,000/month. She owns her home outright (valued at \$575,000) and has no debt. Her sole beneficiary is her daughter, age 39, who is financially independent.

In June 2023, financial advisor Derek Stanton met with Margaret after she attended a dinner seminar on retirement income planning. During their three meetings over two weeks, Derek administered a risk tolerance questionnaire. Margaret scored in the 'moderate' range, but during the discussion she made several statements that Derek noted in his file: (1) 'I don't want to lose what I've built,' (2) 'I'd like my daughter to inherit as much as possible,' and (3) 'I'm fascinated by the market - I used to manage my own stock picks and I've always been comfortable with volatility as long as I'm not depending on the money to eat.' She also mentioned she was 'intrigued' by market-linked products after reading about them online.

Derek recommended that Margaret move \$400,000 from her 401(k) rollover IRA into a variable annuity with a guaranteed minimum death benefit rider and an optional living benefit rider that provided a 5% annual withdrawal guarantee on a benefit base that could ratchet up with market gains. The variable annuity offered 47 subaccount options ranging from aggressive growth to government bond funds. Derek allocated the \$400,000 as follows: 45% to a diversified large-cap equity subaccount, 20% to an international equity subaccount, 15% to a small/mid-cap growth subaccount, and 20% to a high-yield bond subaccount. The all-in annual cost of the contract was 3.12% (1.35% mortality and expense charge, 0.95% living benefit rider fee, 0.25% death benefit rider fee, and average subaccount expense ratios of 0.57%). The surrender period was 7 years with a declining charge starting at 7%.

The subaccount allocation placed approximately 80% of the variable annuity in equity-oriented investments. Derek's rationale, documented in a five-page memo, was that (a) the guaranteed withdrawal benefit provided a 'floor' of income protection that mitigated downside risk, (b) Margaret's guaranteed pension and Social Security already covered all living expenses, so this portion of her portfolio was effectively long-term legacy money, (c) the death benefit rider locked in gains for her daughter, (d) the equity-heavy allocation maximized the probability of ratcheting up the benefit base, and (e) Margaret herself expressed comfort with volatility for money she didn't need for living expenses.

However, Margaret's recorded risk tolerance questionnaire score placed her in the 'moderate' category, not 'moderate aggressive' or 'aggressive.' Her existing portfolio outside the annuity, after this transaction, would still contain roughly \$1.7 million in diversified assets including \$380,000 in munis and \$250,000 in cash equivalents. She signed a disclosure acknowledging the surrender charges, total fees, and equity-heavy allocation. Six months after purchase, by December 2023, the annuity had gained roughly 9% in value, and the benefit base had ratcheted upward. Margaret expressed satisfaction in a follow-up call that Derek documented. Her daughter later filed a complaint in March 2024 after consulting with another advisor who told her the fees were excessive and the risk profile was inappropriate for a 67-year-old retiree.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuine tension between a client's documented risk tolerance score and the totality of her financial circumstances and expressed preferences.

Arguments that the recommendation was unsuitable or not in Margaret's best interest:

1. Under FINRA Rule 2330, a registered representative must have a reasonable basis to believe that the customer has been informed of the features of variable annuities and that the variable annuity as a whole, as well as the underlying subaccounts, are suitable. The 80% equity allocation in the subaccounts appears aggressive relative to a 67-year-old retiree whose standardized risk questionnaire scored 'moderate.' Regulators frequently emphasize that the documented risk tolerance questionnaire should be a primary data point, not something overridden by anecdotal client statements.
2. The all-in cost of 3.12% annually is high. Over a 10-year horizon, cumulative fees on a \$400,000 investment would exceed \$120,000 assuming no growth, and significantly more if the account grows. NAIC Model Regulation 275, as amended to incorporate best-interest standards (and adopted by California effective January 1, 2025 via SB 263), requires that the producer act in the consumer's best interest and that cost be a factor in the recommendation. Even under the pre-2025 suitability standard, the cost burden must be reasonable relative to the benefit.
3. Under Regulation Best Interest (Rule 15l-1), a broker-dealer must consider reasonably available alternatives. A lower-cost variable annuity, a fixed indexed annuity with an income rider, or even a simple balanced portfolio of low-cost funds in the IRA could have provided growth and legacy benefits at a fraction of the cost. There is no documentation that Derek considered or presented alternatives.
4. NY Regulation 187 (applicable if sold in New York) explicitly requires that the transaction be in the customer's best interest at the time of the transaction and that the producer consider the consumer's existing assets. Even outside New York, many state insurance departments have adopted or are adopting comparable standards modeled on the NAIC Model 275 amendments.
5. Academic literature and GAO reports on variable annuity mis-selling have consistently flagged the pattern of recommending equity-heavy VA subaccount allocations to retirees as a common suitability concern, particularly when the customer's risk questionnaire does not support aggressive positioning.

Arguments that the recommendation was suitable and in Margaret's best interest:

1. Context matters more than a single questionnaire score. Margaret's guaranteed income streams (\$6,200/month) exceed her expenses by \$1,000/month. She has zero debt and owns her home. The \$400,000 placed in the VA represents only 19% of her total \$2.1 million portfolio. Her remaining assets are conservatively positioned (\$380K in munis, \$250K in cash, \$620K in dividend stocks, \$450K remaining in the IRA). The VA allocation, even at 80% equity, brings her overall portfolio equity exposure to a reasonable level when viewed holistically.
2. The guaranteed withdrawal benefit and death benefit riders fundamentally change the risk profile of the subaccounts. The living benefit rider provides a 5% guaranteed withdrawal on a ratcheting benefit base

regardless of market performance, meaning even a severe market decline would not impair Margaret's ability to draw income from this contract if she ever needed it. The death benefit locks in high-water marks for the beneficiary. These guarantees effectively provide a 'floor' that makes the 80% equity allocation less risky than it appears on paper.

3. Margaret's own statements - documented contemporaneously - indicate comfort with market volatility for non-essential assets. Her background as a senior engineer at a Fortune 500 company suggests financial sophistication. She attended an educational seminar voluntarily, met three times with the advisor, and signed informed disclosures.

4. Derek prepared a five-page rationale memo documenting his reasoning, which demonstrates a deliberate analytical process rather than a rote sales approach.

5. The product performed well in its first six months and Margaret expressed documented satisfaction, suggesting the recommendation aligned with her expectations.

6. IRI (Insured Retirement Institute) guidance has noted that variable annuities with guaranteed benefit riders are specifically designed for consumers who want market participation with downside protection, and that equity-heavy subaccount allocations are sometimes appropriate when guaranteed riders are present because the guarantees absorb the tail risk.

7. The risk questionnaire scored 'moderate,' not 'conservative.' A moderate score does not preclude equity exposure; it simply suggests a balanced approach. Given the guaranteed riders and the fact that this is only a portion of the portfolio, the allocation can be defended as consistent with moderate risk tolerance when viewed in full context.

Why Borderline

The core tension is between a standardized risk questionnaire score ('moderate') and the holistic financial picture of a client whose guaranteed income covers all expenses, who has substantial conservative assets outside the annuity, who expressed comfort with equity volatility for non-essential money, and whose variable annuity includes guaranteed benefit riders that materially alter the risk profile of the underlying equity subaccounts. Reasonable compliance officers, arbitrators, and regulators could disagree on whether the questionnaire score should control, whether the 3.12% fee is justified by the guaranteed riders, and whether the 80% equity subaccount allocation is appropriate even with the protective features of the contract.

Borderline Factors

- Risk questionnaire scored 'moderate' but client's verbal statements and financial context suggest higher risk capacity
- 80% equity subaccount allocation appears aggressive for age 67 in isolation but represents only 19% of total portfolio
 - Guaranteed living and death benefit riders materially reduce effective downside risk of equity subaccounts but add significant cost
 - All-in fees of 3.12% are high relative to alternatives but purchase guaranteed features unavailable in standard investment accounts

- Client has no liquidity need from this asset given pension and Social Security surplus, supporting characterization as long-term legacy money
- 7-year surrender period constrains access for a 67-year-old but client has \$250K in liquid cash equivalents and \$620K in a taxable brokerage account
- Advisor documented thorough rationale but did not document consideration of lower-cost alternatives
- Client expressed satisfaction for six months before a third party prompted the complaint
- Daughter/beneficiary has a potential conflict of interest in seeking to minimize fees and maximize inheritance

Likely Outcome

A regulator would most likely find this to be a close case but would probably not sustain a full suitability violation, though the advisor may face criticism and possible sanctions for inadequate documentation of alternatives considered. The holistic financial picture - guaranteed income exceeding expenses, substantial conservative assets outside the VA, the protective effect of the living and death benefit riders, and the client's documented statements of risk comfort - provides a defensible rationale for the equity allocation. However, the lack of documented consideration of lower-cost alternatives (such as a lower-fee VA, a fixed indexed annuity, or a simple balanced portfolio) would be a vulnerability under Regulation Best Interest's care and conflict obligations. A FINRA arbitration panel might split the difference, finding that while the product category was suitable, the specific cost level and subaccount allocation warranted more rigorous justification and comparison to alternatives. The advisor would likely receive a cautionary letter or be required to enhance documentation practices, rather than face a finding of outright violation.

Borderline Scenario 18

Topic: *variable_annuity_unsuitable* | Standard: *FINRA Rule 2330 (variable annuity suitability, requiring reasonable basis to believe th*

Fact Pattern

Margaret Holloway, age 62, is a retired hospital administrator with a pension paying \$4,800 per month, Social Security benefits of \$2,200 per month beginning at age 65, and total liquid assets of approximately \$780,000 held across an IRA (\$520,000 in a diversified bond and equity portfolio), a taxable brokerage account (\$160,000), and a bank savings account (\$100,000). She has no outstanding debt and owns her home outright. Her monthly expenses are approximately \$4,200, meaning her pension already covers her basic needs. She described her investment goals to her advisor, Daniel Krenshaw, as wanting 'guaranteed income I can never outlive once my pension isn't enough to cover inflation' and 'something that protects my savings if markets crash like 2008 again.' She told Krenshaw she 'never wants to touch the IRA principal unless absolutely necessary' and expressed anxiety about equity markets, rating herself a 4 out of 10 on a risk tolerance questionnaire.

In November 2022, Krenshaw recommended that Margaret move \$410,000 of her \$520,000 IRA into a variable annuity with a Guaranteed Minimum Withdrawal Benefit (GMWB) rider. The product carried total annual fees of 3.12%, broken down as a 1.25% mortality and expense charge, a 0.95% investment management fee for the underlying subaccounts, and a 0.92% rider charge for the GMWB. The GMWB guaranteed a 5% annual withdrawal rate on a benefit base that locked in market gains on each contract anniversary. The product had a 7-year declining surrender charge schedule starting at 7% and declining by

1% annually. Krenshaw allocated the subaccounts as 60% to a managed volatility equity fund and 40% to a bond fund, consistent with a moderate allocation.

Krenshaw documented that the GMWB addressed Margaret's stated desire for lifetime income and downside protection. He noted that the 5% guaranteed withdrawal on the \$410,000 benefit base would generate \$20,500 per year (\$1,708/month) starting whenever Margaret chose to activate withdrawals, supplementing her pension as inflation eroded its purchasing power. He also documented that Margaret's remaining \$110,000 in the IRA, \$160,000 in the brokerage account, and \$100,000 in savings provided sufficient liquidity for emergencies and short-term needs.

However, several complicating factors exist. Margaret's daughter, who accompanied her to two of three meetings, later stated that her mother had asked about simpler alternatives such as a fixed indexed annuity or a bond ladder, and that Krenshaw 'spent most of the time talking about the guarantees and not much time explaining the fees or how the surrender charges worked.' Meeting notes from Krenshaw show he briefly discussed a fixed indexed annuity but documented that it offered lower growth potential and a less robust income guarantee. Margaret signed all disclosure forms, including a fee summary, a surrender schedule disclosure, and a product comparison worksheet that listed both the variable annuity and a fixed indexed annuity side by side. The comparison worksheet showed the fixed indexed annuity had total annual costs of 1.10% with a similar GMWB rider but capped upside participation at 6.5% annually.

Krenshaw earned a gross commission of \$22,550 (5.5% of the \$410,000 premium) on the variable annuity. The fixed indexed annuity he considered would have paid a commission of approximately \$28,700 (7% of the same premium), meaning Krenshaw actually earned less by recommending the variable annuity. Margaret did not file a complaint until 14 months later, in January 2024, after the variable annuity had lost approximately 4.2% of its account value due to market declines and fee drag, though the GMWB benefit base had remained intact at \$410,000 as designed. Her complaint states she did not understand that she could lose account value while the guarantee remained intact, and that the 3.12% annual fee was 'eating her savings alive.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Krenshaw violated applicable standards: (1) The 3.12% all-in annual fee is at the high end for variable annuities and significantly above the 1.10% cost of the fixed indexed annuity alternative, raising questions about whether a reasonably available lower-cost product could have achieved the same objectives. Under FINRA Rule 2330(b), a registered representative must have a reasonable basis to believe the transaction is suitable and that the customer has been informed of the product's features, including fees and surrender charges. Under Reg BI (Rule 15l-1), the Care Obligation requires that the advisor exercise reasonable diligence to understand the reasonably available alternatives and make a recommendation in the customer's best interest without placing the advisor's interest ahead of the customer's. The cost differential-3.12% versus 1.10%-is material and could compound substantially over the 7-year surrender period, potentially eroding \$60,000+ more in fees. (2) Margaret's risk tolerance was low (4/10), and the 60/40 equity-to-bond subaccount allocation within the VA exposed her to market volatility that a fixed indexed annuity would have substantially mitigated. Her stated goal of 'protecting

savings from a crash' arguably aligned more closely with a product that did not expose her to direct downside market risk in account value. (3) The daughter's testimony that Krenshaw did not adequately explain fees or surrender charges, if credited, could suggest a deficiency in the disclosure component required under both FINRA Rule 2330(b)(1) and Reg BI's Disclosure Obligation. NAIC Model Regulation 275, Section 6, requires the producer to have reasonable grounds to believe the consumer has been informed of the features of the annuity, and NY Regulation 187 Section 224.4 requires that the transaction be in the consumer's best interest considering reasonably available alternatives.

Arguments that Krenshaw did not violate applicable standards: (1) The variable annuity's GMWB rider functioned exactly as described-the benefit base held at \$410,000 despite the account value decline, meaning the lifetime income guarantee Margaret wanted was intact. The product directly addressed her stated primary objective. (2) Krenshaw's commission on the VA (\$22,550) was actually lower than what he would have earned on the fixed indexed annuity (\$28,700), which strongly undercuts any inference that the recommendation was compensation-driven. This is significant under Reg BI's Conflict of Interest Obligation. (3) The comparison worksheet was provided, fee disclosures were signed, and the meeting notes reflect that a fixed indexed annuity was discussed and rejected based on its lower growth potential. This suggests procedural compliance with disclosure requirements. (4) Margaret's liquidity situation was sound: \$370,000 in non-annuity assets against \$4,200/month in expenses fully covered by pension, leaving over 7 years of expenses in liquid reserves even before Social Security kicked in. The 7-year surrender charge did not create a liquidity trap. (5) The VA's managed volatility equity subaccount and 40% bond allocation was not unreasonably aggressive for a 62-year-old with a long accumulation horizon before needing to activate withdrawals. The higher growth potential of the VA subaccounts versus the 6.5% cap of the FIA could meaningfully increase the stepped-up benefit base over time, enhancing future income. (6) Margaret's complaint came 14 months later, driven by a market decline, but the guarantee she purchased was performing as intended. Buyer's remorse after market volatility does not itself establish unsuitability.

Why Borderline

This scenario is genuinely ambiguous because the product recommended demonstrably addresses the client's stated objectives (lifetime income and downside protection on income), the advisor earned less compensation than he would have on the alternative product, adequate disclosures appear to have been provided, and the client's liquidity was preserved. However, the 3.12% fee is substantially higher than the available alternative, the client's low risk tolerance arguably favored a product without direct market exposure to account value, and the daughter's testimony raises questions about the quality of the fee and surrender charge explanation. Reasonable minds could disagree on whether the higher-cost, higher-upside-potential variable annuity was in the client's best interest when a simpler, cheaper product existed that addressed most of the same goals.

Borderline Factors

- Fee differential of 3.12% vs. 1.10% is material but the VA offered uncapped upside potential vs. a 6.5% cap on the FIA, potentially justifying the cost over a long horizon
- Advisor earned lower compensation on the recommended product than on the alternative, cutting against a conflict-of-interest narrative
- Client's low risk tolerance (4/10) could support either product since the GMWB protected income regardless of account value fluctuation
- Client signed all disclosure documents including a side-by-side comparison, but the daughter's testimony

suggests the quality of verbal explanation may have been deficient

- Client's pension already covered living expenses, making the annuity more of a supplemental hedge than a critical income need, which complicates the cost-benefit calculus
- The GMWB benefit base was performing exactly as designed at the time of complaint, meaning the guarantee the client purchased was intact
- The 7-year surrender schedule is long but the client had ample liquidity outside the annuity to avoid forced surrender

Likely Outcome

A regulator would most likely find this to be a close call but ultimately conclude no violation occurred, provided the documentation holds up. The key factors favoring Krenshaw are: (1) the lower commission on the recommended product, (2) the signed comparison worksheet and fee disclosures, (3) the sound liquidity position, and (4) the fact that the product's guarantee was performing as intended. However, a regulator might issue supervisory guidance or a cautionary letter noting the importance of thoroughly documenting the rationale for choosing a higher-cost variable annuity over a lower-cost fixed indexed annuity when the client's risk tolerance is low. Under NY Regulation 187's best-interest standard, the analysis would be more rigorous, and a New York examiner might request additional justification for the cost differential. If the daughter's testimony is credited over the documentation, the outcome could shift toward a finding that the disclosure and explanation were inadequate, potentially resulting in a restitution order for excess fees paid.

Borderline Scenario 19

Topic: *senior_investor_exploitation* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability): Requires that the advisor have a reasonable basis to believe that the variable annuity is appropriate for the client.*

Fact Pattern

Margaret Thornton, age 74, retired schoolteacher in Columbus, Ohio, met with financial advisor Kevin Driscoll in March 2023 after her husband of 48 years passed away. She inherited approximately \$620,000 in life insurance proceeds and \$185,000 in a bank CD that was maturing. Her existing assets included a \$340,000 traditional IRA invested in a balanced mutual fund, a home valued at \$290,000 (no mortgage), and Social Security income of \$2,840 per month plus a state teacher pension of \$3,100 per month. She had no long-term care insurance. Her monthly expenses were approximately \$4,200, meaning her pension and Social Security more than covered her living costs with roughly \$1,740 per month surplus.

Mrs. Thornton told Driscoll she was 'terrified of the stock market' after watching her late husband lose money in 2008, but also said she wanted to 'make sure the money lasts and goes to my grandchildren someday.' She mentioned she was in good health, took no major medications, and that her mother had lived to 97. She also mentioned occasional concerns about future nursing home costs, noting that two of her friends had recently entered assisted living facilities.

Driscoll recommended Mrs. Thornton place \$500,000 of the life insurance proceeds into a variable annuity with a guaranteed minimum withdrawal benefit (GMWB) rider, which guaranteed a 5% annual withdrawal rate for life beginning at age 75. The product had a 7-year surrender period with declining charges starting at 7% in year one and dropping to 0% in year seven. Total annual fees including the GMWB rider were 3.15% (1.30% mortality and expense charge, 1.10% rider fee, and 0.75% average underlying subaccount

expense). The subaccounts selected were moderate-allocation funds. The remaining \$120,000 of the life insurance proceeds plus the \$185,000 CD were placed into a fixed indexed annuity with a 5-year surrender period and a 3.25% cap rate.

Driscoll documented that the variable annuity's GMWB would provide Mrs. Thornton \$25,000 per year in guaranteed lifetime income starting at 75, addressing her longevity concern given her family history. He also noted the death benefit feature would preserve principal for her grandchildren. He did not present a comparison with a single premium immediate annuity (SPIA), which at the time would have provided approximately \$34,500 per year in lifetime income for the same \$500,000 premium, nor did he compare the product with a lower-cost variable annuity without a living benefit rider from another carrier that charged total fees of 1.85%. He also did not discuss a ladder bond or CD strategy.

Mrs. Thornton's daughter, Sandra, who holds a CPA license, later reviewed the paperwork and filed a complaint. Sandra argued that her mother did not need additional income given her pension and Social Security surplus, that the 3.15% annual fee was excessive for a 74-year-old, that the 7-year surrender period was inappropriate given her mother's age and potential need for liquidity for long-term care, and that the concentration of over 60% of her liquid assets in products with surrender charges was unsuitable. Sandra also noted that her mother had told Driscoll she 'didn't understand all the details but trusted him.'

Driscoll's firm countered that the GMWB addressed legitimate longevity risk for a woman whose family history suggested she could live into her mid-to-late 90s, that the guaranteed death benefit protected the legacy goal for her grandchildren, that Mrs. Thornton still had over \$340,000 in her IRA plus \$305,000 in the fixed indexed annuity accessible after the surrender period for emergencies, and that Mrs. Thornton signed all disclosure documents including a statement acknowledging the surrender charges and fees. The firm also noted that Mrs. Thornton had expressed a strong desire to avoid market losses, and the GMWB rider provided downside protection consistent with her stated risk aversion.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents genuine tension between several competing considerations.

Arguments that a violation occurred:

1. **Fee analysis:** The 3.15% all-in annual fee on the variable annuity is high by industry standards, particularly for a 74-year-old client. Over a 7-year surrender period, Mrs. Thornton would pay approximately \$110,250 in fees before any investment gains, significantly eroding principal. Under FINRA Rule 2330, the advisor must consider whether the customer would benefit from features of the variable annuity such as tax-deferred growth, annuitization, or death benefit features. Given her tax bracket and the availability of lower-cost alternatives, the cost-benefit analysis is questionable.
2. **Liquidity concern:** Placing over 60% of a 74-year-old's liquid assets into products with multi-year surrender periods raises significant red flags under FINRA Rule 2330(b), which requires consideration of the customer's liquidity needs. While her current income exceeds expenses, the absence of long-term care

insurance and the client's own expressed concerns about nursing home costs suggest a potential near-term liquidity need that could force surrender charges.

3. Income need mismatch: Mrs. Thornton's pension and Social Security already exceeded her expenses by \$1,740/month (\$20,880/year). The GMWB's primary value proposition-guaranteed income-addressed a need that arguably did not exist. A SPIA would have provided \$9,500 more per year for the same premium if income were genuinely the goal, suggesting the product selection was not optimized for the client.

4. Failure to compare alternatives: Under NAIC Model Regulation 275 Section 6, the producer must consider reasonably available alternatives. Driscoll did not present a SPIA, a lower-cost VA, or a laddered fixed-income strategy. Under NY Regulation 187's transaction component (applicable if she were a New York resident, and increasingly the standard nationally), the advisor must demonstrate the specific product recommended is in the consumer's best interest compared to alternatives.

5. Vulnerable client indicators: Mrs. Thornton was recently widowed, 74 years old, stated she 'didn't understand all the details but trusted him,' and was making decisions about a large inheritance shortly after a major life event. These factors increase supervisory scrutiny under both FINRA Rule 2330 and the NAIC Model.

Arguments that no violation occurred:

1. Longevity risk is real: Mrs. Thornton's mother lived to 97. If Mrs. Thornton lives to 95 or beyond, the GMWB guarantees \$25,000/year for potentially 20+ years regardless of market performance, totaling \$500,000+ in guaranteed withdrawals. This is a legitimate insurance function that addresses a real actuarial risk.

2. Death benefit protects legacy goals: The VA's death benefit feature ensures that if Mrs. Thornton dies before exhausting the account, her grandchildren receive at least the original principal (depending on the specific death benefit), directly addressing her stated legacy goal. A SPIA would provide nothing to heirs upon death.

3. Risk aversion alignment: Mrs. Thornton was 'terrified of the stock market.' The GMWB rider provides a floor of guaranteed income regardless of market declines, which is precisely the kind of behavioral finance solution that aligns with her expressed risk tolerance. A pure investment portfolio, even a conservative one, cannot offer the same psychological comfort.

4. Retained liquidity: Mrs. Thornton still had \$340,000 in her IRA (no surrender charges), approximately \$20,880/year in surplus income, and access to the fixed indexed annuity after 5 years. Total accessible liquid assets were still substantial, and the VA itself typically allows 10% annual free withdrawals without surrender charges.

5. Documentation and consent: The advisor documented his rationale, and Mrs. Thornton signed all disclosures, including surrender charge acknowledgments. While 'trust' in an advisor does not constitute informed consent by itself, the documentation trail was present.

Why Borderline

This case sits in a gray zone because the product recommended has genuine features that address the client's stated concerns (longevity risk, market fear, legacy goals), yet the implementation-the specific product cost, the concentration in surrender-charge products, the failure to compare alternatives, the client's age and recently-widowed status-raises legitimate questions about whether the recommendation was truly in the client's best interest versus merely suitable in a superficial sense. Reasonable practitioners could disagree on whether the GMWB rider's guaranteed income floor justifies the 3.15% annual cost for a client who already had surplus income, or whether the longevity and legacy benefits were sufficiently valuable to warrant the fee drag and illiquidity. The case also highlights the tension between honoring a client's expressed preferences (risk aversion, legacy goals) and the advisor's duty to ensure the recommended product is cost-effective and appropriate.

Borderline Factors

- Client's surplus income of \$20,880/year arguably eliminated the need for guaranteed income, but family longevity history creates genuine actuarial tail risk
- 3.15% all-in VA fees are above industry average but not egregiously outside the range for products with GMWB riders-some VA+rider combinations approach 3.5%
- 7-year surrender period is concerning for a 74-year-old, but 10% annual free withdrawal provisions and \$340,000 in accessible IRA assets partially mitigate liquidity risk
- No SPIA or lower-cost VA comparison was presented, but SPIAs do not offer death benefits or the legacy protection the client wanted for grandchildren
- Client was recently widowed and made major financial decisions within months of spouse's death, a recognized vulnerability factor, but she was described as in good health and cognitively sound
- Client stated she trusted the advisor and didn't understand all details, which cuts toward a finding of over-reliance but does not by itself prove the recommendation was inappropriate
- Over 60% of liquid assets committed to surrender-charge products is a concentration flag, but the client's pension and Social Security provide baseline income security independent of these assets
- Absence of long-term care insurance creates a plausible future liquidity need that could conflict with the surrender periods, but the probability and timing are speculative

Likely Outcome

A regulator would most likely find a partial violation, focused not on the concept of the variable annuity recommendation itself but on the process deficiencies: the failure to document consideration of reasonably available alternatives (particularly a lower-cost VA and a SPIA), the concentration of liquid assets in surrender-charge products for a 74-year-old without long-term care insurance, and the timing of the recommendation relative to the client's bereavement. The GMWB feature had genuine value given her longevity profile, and the legacy goal supported a VA over a SPIA in concept. However, the failure to demonstrate that this specific product-at 3.15% in annual fees-was superior to available alternatives, combined with the client's vulnerability indicators, would likely result in a finding that the advisor did not adequately discharge the care obligation. The firm's supervisory review under heightened scrutiny for senior investors should have flagged the concentration and cost issues. A likely outcome would be a requirement to offer rescission or exchange to a lower-cost product, restitution of excess fees, and enhanced supervision for the advisor, rather than a finding of outright fraud or churning.

Borderline Scenario 20

Topic: *high_fees_unsuitable* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability)* requires that a member or associated person

Fact Pattern

Margaret Ellison, age 58, is a recently retired school administrator with a pension paying \$52,000 annually, Social Security eligibility at 62 projected at \$1,800/month, and total investable assets of \$410,000 in a 403(b) rollover. She has no debt, owns her home outright, and describes her risk tolerance as 'moderate - I don't want to lose sleep but I need some growth.' She told her advisor, David Kowalski, that her primary goals were (1) supplementing her pension income starting at age 65, (2) protecting against outliving her assets, and (3) leaving something to her two adult children. She specifically mentioned a fear of market downturns after watching her 403(b) lose 38% in 2008-2009.

Kowalski recommended she place \$310,000 - approximately 76% of her liquid assets - into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The base contract carries a mortality and expense charge of 1.30%, an administrative fee of 0.15%, and the GLWB rider costs 1.10% annually. The underlying subaccounts she was placed into - a mix of moderate allocation and bond funds - carry average fund expenses of 0.72%. The all-in annual cost is approximately 3.27%. The contract has a 7-year declining surrender charge schedule starting at 7% and declining by 1% per year. The GLWB guarantees a 5% annual withdrawal rate on a benefit base that rolls up at 5% simple interest during the deferral period, meaning if she defers withdrawals to age 65, her guaranteed annual income from the annuity would be approximately \$21,700 per year for life.

The remaining \$100,000 was placed in a diversified portfolio of low-cost index mutual funds with an average expense ratio of 0.08%.

Kowalski documented the recommendation thoroughly, noting Margaret's stated fear of market losses, her desire for guaranteed lifetime income, and the fact that the GLWB rider effectively created a personal pension to supplement her existing one. He ran an illustration showing that even in a prolonged bear market, her guaranteed income floor would be \$21,700/year starting at 65, plus her \$52,000 pension, for a combined \$73,700 - close to her stated income need of \$75,000.

However, a less expensive variable annuity was available through the same broker-dealer - one with total all-in costs of approximately 2.15% that offered a similar GLWB rider with a 4.5% withdrawal rate and a 4% simple roll-up, which would have produced guaranteed income of approximately \$18,200/year. Kowalski did not document why he chose the more expensive product over this alternative. Additionally, a fixed indexed annuity with no explicit investment management fees and a guaranteed income rider was available that would have produced approximately \$19,500/year in guaranteed income starting at 65, with no market risk to the account value.

Margaret signed all disclosure documents, acknowledged the fee schedule in writing, and confirmed she understood the surrender period. She did not ask about alternative products. Two years after purchase, the variable annuity subaccounts had earned 4.1% gross but only 0.83% net of fees. Margaret has not complained and says she is satisfied with the guaranteed income projection, but her adult son, a CPA, reviewed her statements and filed a complaint with the broker-dealer alleging his mother was placed in an

unnecessarily expensive product.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Kowalski acted appropriately: Margaret had a clearly articulated need for guaranteed lifetime income to supplement her pension, and a deep fear of market losses rooted in personal experience. The GLWB rider directly addressed both concerns by creating a guaranteed income stream regardless of market performance. The \$21,700/year guaranteed income closely matched her stated income gap (\$75,000 need minus \$52,000 pension = \$23,000 gap). Kowalski retained \$100,000 in low-cost liquid investments, providing an emergency fund and liquidity buffer representing roughly 24% of her total assets. The 7-year surrender period, while significant, aligns with her 7-year deferral horizon before withdrawals begin. The recommendation was thoroughly documented, and Margaret confirmed her understanding.

Arguments that Kowalski may have fallen short: The all-in cost of 3.27% is exceptionally high, even by variable annuity standards. Over a 7-year deferral period and a 25-year withdrawal phase, the cumulative fee drag is substantial - potentially exceeding \$150,000 in total fees over the life of the contract compared to the less expensive alternative. The incremental guaranteed income of the recommended product over the cheaper VA alternative is approximately \$3,500/year (\$21,700 vs. \$18,200), but the incremental annual cost on \$310,000 is roughly \$3,472/year (1.12% difference × \$310,000). The cost-benefit of the more expensive product is essentially break-even on a nominal basis and arguably negative on a present-value basis. The fixed indexed annuity alternative would have produced \$19,500/year with no market risk and lower explicit costs, which arguably better matched Margaret's stated fear of market losses. Kowalski's failure to document the product-level comparison - why this specific VA over cheaper alternatives - is a significant gap. Under evolving standards requiring consideration of reasonably available alternatives and their costs, the absence of comparative analysis is problematic. Additionally, placing 76% of liquid assets in a product with a 7-year surrender charge creates meaningful liquidity risk for a 58-year-old retiree, even with the \$100,000 liquid reserve.

The concentration in a single illiquid product is a factor that cuts both ways - it is high, but Margaret's pension provides stable baseline income reducing her near-term need for liquidity from the invested assets. The complaint being filed by a family member rather than the client herself is notable but irrelevant to the substantive analysis - the obligation runs to the customer regardless of her subjective satisfaction.

Why Borderline

The product recommended is genuinely suitable in type - a variable annuity with a GLWB rider is a reasonable solution for a retiree seeking guaranteed lifetime income with some growth potential. The income projection closely matches the client's stated gap. However, the specific product selected carries costs at the high end of the range, and a less expensive alternative from the same product shelf would have met most of the same needs at materially lower cost. The case turns on whether the incremental benefit of the more expensive product (\$3,500/year more in guaranteed income) justifies the incremental cost, and whether the advisor's failure to document the product-level comparison constitutes a substantive violation or merely a documentation deficiency. Reasonable practitioners disagree on whether 'right type, wrong product' constitutes a violation or simply a suboptimal choice within the range of reasonable

recommendations.

Borderline Factors

- The product type (VA with GLWB) is genuinely suitable for the client's stated needs and risk profile
- All-in fees of 3.27% are high but not unprecedented for VA contracts with living benefit riders
- The incremental guaranteed income of the more expensive product (\$3,500/year) roughly equals the incremental annual cost, making the cost-benefit ambiguous
- A cheaper VA alternative and a fixed indexed annuity were available on the same product shelf but were not documented as considered
- 76% concentration in a surrender-charge product is aggressive but partially mitigated by pension income and \$100,000 liquid reserve
- The client expressed fear of market losses, which could arguably favor the FIA over the VA, yet the VA subaccounts offer upside potential the client also expressed interest in
- Thorough documentation of client needs and product features was maintained, but no comparative product analysis was documented
- Client expressed satisfaction and has not personally complained; complaint originated from a family member

Likely Outcome

A regulator would most likely find a violation, but a narrow one focused on the failure to consider and document reasonably available lower-cost alternatives rather than on the fundamental unsuitability of the product type. Under current standards requiring advisors to evaluate cost as a factor and consider reasonably available alternatives, Kowalski's failure to document why the more expensive VA was selected over the cheaper alternative - especially when the incremental benefit is marginal - would likely be viewed as a failure to satisfy the care component of the applicable standard. However, sanctions would likely be moderate (enhanced supervision, additional training, possible partial restitution of excess fees) rather than severe, because the product type was appropriate, the client's needs were genuinely addressed, and the recommendation was not reckless or self-evidently harmful. The 76% concentration would be noted as an aggravating factor but probably not independently actionable given the pension backstop.

Borderline Scenario 21

Topic: *variable_annuity_unsuitable* | Standard: *FINRA Rule 2330 (variable annuity suitability - requires principal review considering o*

Fact Pattern

Margaret Kowalski, age 64, retired eighteen months ago from a career as a hospital administrator earning \$135,000 per year. She receives a pension of \$4,200 per month and expects Social Security of \$2,800 per month beginning at age 67. Her total liquid assets are approximately \$780,000: \$410,000 in a traditional IRA (invested in a diversified mix of mutual funds), \$220,000 in a taxable brokerage account, and \$150,000 in a money market account she considers her emergency fund. She owns her home outright, valued at roughly \$425,000. She has no debt and no dependents; her two adult children are financially independent. She describes herself as a moderate-risk investor and told her advisor, Derek Simmons, that her primary goals were (1) generating reliable income to supplement her pension and future Social Security, (2) preserving her principal so she could leave something to her grandchildren, and (3) having some protection

against a prolonged market downturn because she remembered how frightened she was during 2008-2009.

Simmons, a registered representative affiliated with a broker-dealer and also licensed to sell insurance, recommended that Kowalski move \$340,000 from her traditional IRA into a variable annuity issued by a well-rated insurer (A.M. Best A+ rated). The VA offered a guaranteed lifetime withdrawal benefit (GLWB) rider that promised a 5% annual withdrawal rate on a benefit base that would step up annually if the account value grew, regardless of future market performance. The all-in annual cost of the VA was 2.85% - comprising a 1.25% mortality and expense charge, a 0.95% GLWB rider fee, and weighted average subaccount expenses of 0.65%. The contract carried a seven-year surrender schedule starting at 7% and declining by 1% per year. Simmons earned a 5.5% gross commission on the sale.

Simmons documented in his notes that the GLWB addressed Kowalski's fear of outliving her money and her desire for downside protection, and that the remaining \$440,000 in her other accounts provided ample liquidity. He also noted that the guaranteed 5% withdrawal on \$340,000 would produce \$17,000 annually, which together with her pension and Social Security would cover her living expenses of roughly \$6,500 per month. He did not present a comparison of the VA against a balanced portfolio of low-cost index funds combined with a systematic withdrawal plan, nor did he compare it to a single-premium immediate annuity (SPIA) that could have provided a similar income stream at a fraction of the cost. He did, however, show Kowalski two other variable annuities - one with higher fees and a less generous rider, and one with lower fees but no living benefit rider - and documented why the recommended product was preferable to those alternatives.

Kowalski signed all disclosures, including one acknowledging the surrender charges and fee structure. At the point-of-sale meeting, she said she understood the product and appreciated the guaranteed income floor. Fourteen months later, after her account value had declined 9% due to market volatility, Kowalski filed a complaint alleging that Simmons had placed too much of her retirement savings into an expensive, illiquid product when cheaper alternatives would have met her needs, and that the high commission motivated his recommendation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Simmons violated applicable standards: (1) The 2.85% all-in annual cost is materially higher than what Kowalski would have paid in a low-cost balanced fund portfolio (likely 0.10%-0.30%) or a SPIA, and the cost drag over the seven-year surrender period alone could consume roughly \$60,000-\$70,000 in fees on \$340,000, significantly eroding principal - which conflicts with her stated goal of preserving assets for grandchildren. (2) The allocation represented approximately 44% of her liquid investable assets (\$340,000 of \$780,000) locked into a product with a seven-year surrender period; while the remaining \$440,000 provides a cushion, a significant unexpected expense (long-term care, major home repair) could strain liquidity. (3) Simmons did not compare the VA against fundamentally different product types - he only compared it to two other VAs, which could suggest he narrowed the analysis to justify a high-commission product rather than genuinely exploring what best served the client. (4) The 5.5% commission creates a significant conflict of interest, and combined with the lack of a broader product comparison, a regulator could infer that the recommendation was influenced by compensation. (5) Under

enhanced state insurance standards modeled on the 2020 NAIC revisions and broker-dealer obligations under Regulation Best Interest, the advisor must demonstrate that the recommendation is in the customer's best interest at the time of the transaction considering reasonably available alternatives - a showing that is weakened by the absence of any non-VA comparison.

Arguments that Simmons acted within applicable standards: (1) The GLWB rider directly addresses Kowalski's explicitly stated concerns - guaranteed income, downside protection, and fear of market losses - in a way that a systematic withdrawal plan from an index fund portfolio cannot, because the latter offers no contractual floor. (2) Kowalski is 64, entering the precise demographic sweet spot for GLWB riders: she is close to activating withdrawals, the benefit base step-up feature has meaningful value, and longevity risk is a genuine concern for a healthy retiree. (3) The 2.85% cost, while higher than passive alternatives, purchases an insurance guarantee that has real economic value - the GLWB is essentially longevity and market-crash insurance, and comparing it solely on fee levels to an uninsured portfolio is an apples-to-oranges analysis. (4) Simmons preserved 56% of Kowalski's liquid assets outside the VA, maintaining substantial liquidity and diversification; the \$150,000 emergency fund alone represents over 23 months of living expenses. (5) He documented a comparison among three VA products, selected the one with the best rider-to-cost ratio, and obtained informed written consent. (6) The client's complaint arose only after a market decline - precisely the scenario the GLWB was designed to protect against - and the guarantee is functioning as intended: her benefit base is intact regardless of the 9% account value drop. (7) A SPIA, while cheaper, would have required Kowalski to irrevocably surrender \$340,000 with no remaining account value or death benefit for grandchildren, arguably conflicting more sharply with her bequest goal than the VA.

Under FINRA Rule 2330, the firm's registered principal must review VA transactions for suitability considering the customer's age, income, financial situation, investment objectives, intended use of the annuity, existing annuity holdings, and liquidity needs. Under the revised NAIC Model Regulation 275 (as adopted or substantially adopted by most states), the producer must act in the consumer's best interest without placing the producer's financial interest ahead of the consumer's, and must consider reasonably available alternatives. Under NY Regulation 187, the transaction must be in the best interest of the consumer, evaluated at the time of the recommendation. Under Regulation Best Interest (Rule 15l-1), the broker-dealer and associated person must act in the retail customer's best interest and satisfy the care, disclosure, conflict of interest, and compliance obligations.

Why Borderline

This scenario sits in a genuine gray zone because the product has real functional value that aligns with the client's expressed priorities (guaranteed income floor, downside protection), and the advisor maintained significant liquidity outside the VA. However, the failure to compare the VA against fundamentally different and cheaper product structures (index funds with systematic withdrawal, SPIAs, or even fixed indexed annuities) is a meaningful gap in the best-interest analysis. The cost differential is large but the insurance guarantee has legitimate economic value that is difficult to price on a simple fee-comparison basis. Reasonable compliance professionals disagree on whether a 44% allocation to a surrender-charge-bearing VA crosses the line when the client has adequate remaining liquidity and the product features directly map to stated objectives.

Borderline Factors

- 2.85% all-in annual cost versus sub-0.30% passive alternatives - significant fee gap, but the VA includes an insurance guarantee with real economic value not present in the cheaper alternatives
- 44% of liquid assets in a seven-year surrender charge product - meaningful illiquidity concentration, but 56% remains fully liquid including a large emergency fund
- Advisor compared only three VAs and did not document any comparison to non-VA product types such as SPIAs, FIAs, or low-cost fund portfolios with systematic withdrawals
- 5.5% gross commission creates a material conflict, but the product was issued by a highly rated insurer and the rider terms were competitive
- Client's stated objectives (guaranteed income, downside protection, legacy) are directly served by the GLWB rider, but could arguably have been met at lower cost through product combinations
- Complaint triggered by a 9% market decline - the very risk the GLWB was designed to mitigate - meaning the guarantee is currently functioning as intended
- Client is 64, within the age range where GLWB riders have the highest actuarial value, which supports the product's functional suitability
- IRA-to-VA exchange means the tax-deferral benefit of the annuity wrapper is redundant, adding cost without additional tax advantage

Likely Outcome

A regulator reviewing this matter would most likely find a documentation deficiency rather than a clear substantive violation. The product has genuine functional alignment with the client's goals, the allocation preserves adequate liquidity, and the client's age and risk profile are within the target market for GLWB riders. However, the advisor's failure to document any consideration of non-VA alternatives - particularly given the IRA-to-VA tax-deferral redundancy and the large cost differential - would likely be flagged as a failure to satisfy the care obligation's requirement to evaluate reasonably available alternatives. Under the NAIC Model 275 best-interest framework and Reg BI's care obligation, the absence of this comparison weakens the advisor's position significantly. The most probable regulatory outcome is a supervisory finding requiring enhanced documentation and possibly a fine or letter of caution, but not necessarily rescission or full restitution, because the product is not facially unsuitable for this client. If the state has adopted the 2020 NAIC model amendments or NY Reg 187's best-interest standard, the risk of a more adverse finding increases because the burden shifts more heavily to the producer to demonstrate affirmative consideration of alternatives.

Borderline Scenario 22

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2330 (variable annuity suitability, requiring reasonable basis to believe the

Fact Pattern

Margaret Kowalski, age 62, is a recently retired school administrator with a state pension providing \$58,000 annually, Social Security benefits of \$24,000 starting at age 66, and total liquid investable assets of \$485,000 split between a 403(b) plan (\$310,000) and a taxable brokerage account (\$175,000). She has no debt, owns her home outright, and has a monthly budget surplus of approximately \$1,200 from her pension alone. She told her financial advisor, Derek Tran, that she wanted to 'grow her retirement savings without losing sleep at night' and described herself as someone who 'pulled everything into money markets during the 2008 crash and didn't get back in until 2012.' On the new account form, Derek documented her risk

tolerance as 'moderate' and her investment time horizon as '15-20 years.' He also noted that Margaret expressed concern about outliving her money if she lives past 90, as both her parents lived to 93 and 95. In March 2023, Derek recommended Margaret roll \$265,000 of her 403(b) into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The product had total annual fees of 3.15% (1.30% mortality and expense charge, 0.85% administrative and fund expenses, and 1.00% for the GLWB rider). Derek allocated the variable annuity subaccounts as follows: 45% to an S&P 500 index fund, 25% to a mid-cap growth fund, 20% to an international equity fund, and 10% to a high-yield bond fund - an allocation that Morningstar would classify as 'aggressive growth.' Margaret signed all disclosures and the application, including a section acknowledging the subaccount allocation. Derek's rationale, documented in his notes, was that the GLWB rider effectively created a 'floor' of guaranteed income regardless of market performance, and therefore the aggressive subaccount allocation was justified because the downside was protected by the rider. He noted that if markets performed well, Margaret would benefit substantially from the equity upside, and if markets declined, the GLWB would guarantee 5% annual withdrawals on a benefit base that locked in at the highest anniversary value. He also documented that Margaret's pension and future Social Security covered her basic living expenses, so the annuity was purely supplemental. Margaret did not begin taking withdrawals. Six months later, the subaccounts had declined 11% due to market volatility. Margaret called Derek, upset and anxious, and said she couldn't sleep worrying about the losses. Derek reminded her the GLWB protected her guaranteed income. Margaret filed a complaint with the broker-dealer, alleging that the aggressive allocation was inconsistent with her conservative nature and that Derek had mischaracterized her risk profile as 'moderate' when she was clearly conservative, given her 2008 behavior. The broker-dealer's compliance review noted that the 403(b) she rolled out of had been invested 60% in a stable value fund and 40% in a balanced fund for the prior eight years.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises genuine tensions between several analytical frameworks. Arguments that Derek violated applicable standards: First, Margaret's demonstrated investment behavior - fleeing to money markets in 2008 and staying out for four years - is strong behavioral evidence of a conservative risk tolerance, arguably more probative than any self-description. Her prior 403(b) allocation (60% stable value, 40% balanced) over eight years reinforces this conservative profile. Documenting her as 'moderate' may have been inaccurate, and the aggressive growth subaccount allocation (90% equities, with significant mid-cap growth and international exposure, plus high-yield bonds) seems dramatically misaligned with a conservative or even moderate investor. Under FINRA Rule 2330, a member must have a reasonable basis to believe the transaction is suitable based on the customer's investment profile including risk tolerance. The 3.15% total annual fee is high, meaning the subaccounts need to generate significant returns just to break even, compounding the risk. Second, NY Regulation 187 and Reg BI both require that a recommendation be in the customer's best interest and that the advisor not place their own interest ahead of the customer's. Variable annuities with aggressive subaccount allocations typically generate higher compensation than conservative alternatives; there is at least an inference of a compensation motive. Third, NAIC Model 275 requires a reasonable basis to believe the annuity is suitable, considering the customer's existing insurance and financial products - here, the stable 403(b) allocation she held for years. Arguments in Derek's defense: His documented rationale is not frivolous. The GLWB rider does create a contractual income floor, and some academic literature and industry guidance (including IRI materials)

supports the concept that guarantee riders can justify more aggressive subaccount allocations because the insurance company, not the client, bears the investment downside risk for income purposes. The guaranteed withdrawal base typically ratchets up on anniversary values but never declines, meaning aggressive allocation has asymmetric upside for the client's guaranteed income. Margaret's 15-20 year time horizon is legitimately long. Her pension and Social Security cover living expenses, so this money is genuinely supplemental and does not need to be liquid or conservative for near-term income needs. She has no debt and a budget surplus. The GLWB guarantees 5% of the benefit base regardless of account value, so even a market crash would not impair her ability to eventually draw income. Margaret signed all disclosures including the allocation acknowledgment. Her complaint was triggered by short-term paper losses, which Derek's strategy was specifically designed to withstand via the rider. The fact that the account value declined does not necessarily mean the recommendation was unsuitable - it may simply mean the market experienced normal volatility within the expected range of the strategy. However, the counterargument remains that the documented risk tolerance ('moderate') appears inconsistent with both the allocation and the client's behavioral history, creating a documentation gap that is difficult to defend regardless of the theoretical merits of the GLWB-plus-aggressive-equity strategy.

Why Borderline

This case sits at the intersection of two legitimate but conflicting analytical frameworks: (1) traditional risk profiling, which would classify Margaret as conservative based on her behavior and prior holdings, making a 90% equity allocation clearly unsuitable; and (2) a product-aware suitability analysis, which recognizes that the GLWB rider fundamentally changes the risk character of the investment by guaranteeing income regardless of subaccount performance, potentially justifying aggressive allocations to maximize the client's long-term guaranteed benefit base. Reasonable compliance professionals, arbitration panels, and regulators have reached different conclusions on this exact question. Additionally, the mismatch between the documented 'moderate' risk tolerance and the aggressive allocation creates a documentation problem even if the underlying logic is sound, blurring the line between a substantive violation and a documentation deficiency.

Borderline Factors

- The GLWB rider creates a guaranteed income floor that arguably decouples subaccount allocation from traditional risk tolerance analysis
 - Margaret's behavioral history (2008 panic selling, stable value fund preference) strongly suggests conservative risk tolerance despite the 'moderate' documentation
- The 15-20 year time horizon and fully covered living expenses support the argument that this money can tolerate volatility
 - Total annual fees of 3.15% are high but include the cost of the guarantee that is central to the advisor's rationale
- The prior 403(b) allocation was dramatically more conservative than the recommended VA subaccount allocation
 - Margaret signed disclosures acknowledging the allocation but her complaint suggests she did not fully understand the strategy
- The advisor's notes document a coherent rationale but the risk tolerance classification appears inconsistent with the allocation
 - Industry guidance is split on whether GLWB riders justify aggressive subaccount allocations for conservative investors

Likely Outcome

A regulator would most likely find a violation, though perhaps a moderate one focused on the risk profiling documentation rather than the product recommendation itself. The documented 'moderate' risk tolerance is difficult to reconcile with a 90% equity allocation under any framework, and Margaret's extensive behavioral history of conservatism was inadequately addressed. Under FINRA Rule 2330 and Reg BI, the advisor had an obligation to ensure reasonable alignment between the documented customer profile and the recommendation. While the GLWB rationale has intellectual merit, most regulatory examiners and arbitration panels would expect the advisor to either (a) accurately document the client as conservative and then provide substantially more detailed written justification for the aggressive allocation within a guaranteed product, or (b) offer a more moderate subaccount allocation that still captured equity upside but with less volatility (e.g., 50-60% equities rather than 90%). The 3.15% fee would receive scrutiny but would likely survive if the GLWB rider was genuinely needed. The likely resolution would be a supervisory deficiency finding with potential customer remediation, rather than a fraud or willful misconduct finding.

Borderline Scenario 23

Topic: annuity_unnecessary_switching | Standard: FINRA Rule 2330 governs variable annuity recommendations and exchanges, re

Fact Pattern

Margaret Kowalski, age 62, is a retired school administrator with a \$1.4 million retirement portfolio consisting of a 403(b) plan rollover IRA (\$850,000), a taxable brokerage account (\$320,000), and a variable annuity (\$230,000) she purchased in 2018 through her advisor, Daniel Fioretti, at a regional broker-dealer. The 2018 variable annuity - Product A - carried a 7-year declining surrender charge schedule (starting at 7%, declining 1% annually), a mortality and expense charge of 1.35%, an annual administrative fee of \$30, and total underlying subaccount expenses averaging 0.82%. Margaret had elected an optional guaranteed minimum income benefit (GMIB) rider with a 0.95% annual charge, giving her a 5% simple roll-up rate on a \$210,000 benefit base. By early 2024, Margaret's benefit base under the GMIB rider had grown to approximately \$273,000, and the account value stood at \$241,000. The surrender charge on Product A had declined to 2%.

In February 2024, Fioretti recommended that Margaret surrender Product A and use the proceeds to purchase a new variable annuity - Product B - issued by a different carrier. Product B featured a 6-year declining surrender charge schedule (starting at 6%), a mortality and expense charge of 1.05%, an administrative fee of \$0, total underlying subaccount expenses averaging 0.68%, and a newer-generation GMIB rider with a 0.75% annual charge offering a 5.5% compound roll-up rate on the benefit base. The total all-in annual cost of Product B (M&E + rider + subaccounts) was approximately 2.48%, compared to Product A's approximately 3.12%. Fioretti's commission on the new sale was approximately \$9,400 (4% of the \$235,000 net surrender proceeds after the 2% charge).

Fioretti documented in his recommendation letter that the switch would save Margaret approximately \$1,500 per year in total fees, that the compound roll-up feature of Product B's rider would generate a materially higher benefit base over the next 8-10 years before she planned to annuitize, and that the lower M&E charge reflected a stronger carrier financial strength rating (A++ versus A+ for the old carrier). He also

noted that Margaret was still five years from her planned income start date of age 67, giving the new rider time to build value.

However, several complicating factors exist. First, by surrendering Product A, Margaret forfeited the \$273,000 GMIB benefit base - \$32,000 above her account value - and restarted at a new benefit base equal to the net purchase payment of approximately \$235,000 in Product B. Second, she incurred a \$4,820 surrender charge (2% of \$241,000) on the exchange. Third, the new 6-year surrender schedule effectively locked her into a new illiquidity period, though Product B offered a 10% annual free withdrawal provision. Fourth, the commission generated a new compensation event for Fioretti. Margaret's investment profile noted a moderate risk tolerance, a desire for guaranteed lifetime income starting at 67, Social Security projected at \$2,800/month, a pension of \$3,400/month, and no outstanding debts. She listed her liquidity needs as 'low' and her time horizon as 'long-term.' Margaret signed all exchange disclosure forms and a letter acknowledging the surrender charge and loss of the existing benefit base. When contacted by the firm's compliance department during a routine post-trade review, Margaret stated she understood the trade-offs and trusted Daniel's judgment. She added, 'He explained the new one would give me more income down the road, and I liked that the fees were lower.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting the recommendation: Fioretti can point to a meaningful reduction in all-in annual costs - approximately 64 basis points per year - which over 8-10 years could compound into significant savings. The shift from a 5% simple roll-up to a 5.5% compound roll-up is mathematically significant over longer time horizons: projecting forward 8 years, the compound rider at 5.5% on a \$235,000 base would yield a benefit base of approximately \$362,000, whereas the simple rider at 5% on the existing \$273,000 base would yield approximately \$382,000 ($273,000 + 8 \times \$10,500$). At 10 years the compound rider overtakes the simple rider, reaching approximately \$404,000 versus \$378,000 ($273,000 + 10 \times \$10,500$), making the crossover point approximately 9 years. Fioretti documented this analysis. The client's stated plan to begin income at age 67 - five years out - is close to the crossover, but if she defers even slightly longer, the compound feature dominates. The carrier upgrade from A+ to A++ is a legitimate consideration for a product with long-term guarantees. Margaret had low liquidity needs, a long time horizon, substantial guaranteed income from pension and Social Security, and signed informed-consent disclosures.

Arguments against the recommendation: The immediate economic harm is concrete: Margaret lost a \$32,000 spread between her GMIB benefit base and account value, paid \$4,820 in surrender charges, and the advisor earned a \$9,400 commission. The total day-one economic cost to the client is approximately \$36,820 in lost value and fees. The benefit of the new product is entirely prospective and depends on assumptions about how long Margaret will wait to annuitize. If she begins income at age 67 as planned - only 5 years away - the old product's simple roll-up on a higher base would have produced a higher benefit base ($\$273,000 + 5 \times \$10,500 = \$325,500$) versus the new product's compound roll-up ($\$235,000 \times 1.055^5 \approx \$307,400$). The new product only becomes superior if Margaret delays to approximately age 71 or later. Fioretti's documentation assumed the longer horizon, but the client's own stated plan was age 67. The fee savings of approximately \$1,500/year over 5 years (\$7,500 total) do not offset the \$36,820 in day-one costs within the client's stated time horizon. Additionally, the new surrender schedule re-locks the

client for six years, and the commission creates an inherent conflict. A 1035 exchange could have been explored to avoid some tax consequences, but the underlying economic harm from forfeiting the built-up benefit base remains regardless of tax treatment. The compliance department's post-trade review found signed disclosures but did not independently verify whether the mathematical crossover analysis was presented to the client in a way she could evaluate.

Why Borderline

This case sits in genuine gray territory because the recommendation has legitimate long-term economic merit - lower ongoing costs and a superior compounding rider - but only if the client deviates from her own stated income start date. The advisor documented a reasonable projection showing the new product would eventually outperform, but the crossover point falls outside the client's expressed plan. The day-one costs are significant but not egregious, and the client appeared informed and consenting. Reasonable reviewers could disagree on whether the advisor was appropriately planning for flexibility and longevity risk versus retrofitting assumptions to justify a commission-generating switch.

Borderline Factors

- The all-in cost reduction of 64 basis points annually is meaningful but does not recoup the day-one economic loss within the client's stated 5-year horizon
- The compound vs. simple roll-up crossover occurs at approximately 9 years - materially beyond the client's stated income start date of age 67 (5 years), but within a plausible extended deferral period
- The forfeited GMIB benefit base spread of \$32,000 is a concrete, quantifiable loss that is difficult to recover in the near term
- The \$9,400 commission creates a conflict but is not disproportionate to the product size and is within normal industry ranges for VA sales
- The client signed all exchange disclosures and verbally confirmed understanding, but her statement focused on lower fees and 'more income down the road' without demonstrating awareness of the crossover timeline
- The carrier financial strength upgrade from A+ to A++ is relevant for long-term guarantees but is a modest difference that alone would not justify the switch
- The client's substantial pension and Social Security income reduce reliance on the annuity, cutting both ways: less urgency to maximize the guarantee, but also less need to take the risk of switching
- The advisor's documentation was thorough but relied on an assumed 8-10 year horizon that does not match the client's stated 5-year plan

Likely Outcome

A regulator would likely find this to be a close call but would probably conclude the switch was not in the client's interest as documented. The central issue is that the advisor's own analysis depends on the client deferring income beyond her stated plan, and the day-one economic harm (\$36,820 in lost benefit-base spread and surrender charges) is not recouped within the client's expressed 5-year horizon. While the fee reduction and compound rider are genuine improvements in the abstract, a regulator applying a reasonable-basis analysis would likely determine that the advisor should have recommended the client remain in Product A at least until the surrender charge expired fully (one more year) and should have presented the crossover analysis in terms of the client's own stated timeline rather than an extended hypothetical. The signed disclosures mitigate but do not eliminate the concern, particularly because the client's own statements suggest she may not have fully appreciated that the new product would

underperform the old one under her stated plan. A likely outcome would be a finding of an unsuitable replacement with mitigating factors, potentially resulting in a supervisory action or required restitution of the surrender charge rather than a full disgorgement, depending on the jurisdiction.

Borderline Scenario 24

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability - requiring reasonable efforts to obtain c*

Fact Pattern

Margaret Holloway is a 58-year-old public school teacher in Ohio who has worked in the same district for 31 years. She participates in her employer's 403(b) plan, which is administered through a third-party vendor platform that permits multiple insurance carriers. In March 2023, Margaret attended a voluntary financial wellness seminar hosted at her school by Derek Simmons, a dually registered representative affiliated with a broker-dealer and an insurance agency. Margaret signed in and provided her name, email, and age on a registration card. After the seminar, she scheduled a one-on-one meeting with Derek at his office the following week.

At that meeting, Derek used a single-page intake form that asked Margaret for her age, approximate annual salary (\$72,000), her estimated retirement date (age 62, in four years), and whether she had other retirement savings. Margaret indicated she had approximately \$340,000 in her existing 403(b) account - invested across three legacy variable annuity contracts she had purchased over the previous 20 years through different advisors - and roughly \$45,000 in a savings account. She told Derek she wanted to 'simplify things and make sure I'm okay for retirement.' Derek asked if she was comfortable with market risk, and Margaret said, 'I've been through the ups and downs, I don't love it, but I know I need some growth.' Derek noted 'moderate risk tolerance' on the form. He did not ask about her pension benefits, monthly expenses, health status, outstanding debts, other insurance coverage, dependents, estate planning goals, or tax situation.

Margaret is, in fact, eligible for Ohio's State Teachers Retirement System (STRS) pension, which at 31 years of service would pay her approximately \$4,100 per month if she retires at 62. She also has no mortgage (house paid off in 2019), no dependents (her two children are financially independent adults), and carries no consumer debt. She has employer-provided health insurance that will bridge her to Medicare eligibility.

Derek recommended that Margaret surrender her three existing variable annuity contracts - which carried combined surrender charges of approximately \$8,200 - and consolidate into a single new variable annuity contract with a guaranteed lifetime withdrawal benefit (GLWB) rider. The new contract carried total annual fees of 3.15% (1.40% mortality and expense charge, 0.85% fund expenses, 0.90% GLWB rider fee), a seven-year declining surrender charge schedule starting at 7%, and a 10% free withdrawal provision. The GLWB rider guaranteed a 5% annual withdrawal rate on the benefit base beginning at age 65.

Derek earned a \$14,450 commission on the new \$340,000 contract. The three legacy contracts had combined annual fees averaging 2.20%, and two of the three had already exited their surrender periods.

One still had 18 months remaining on a surrender schedule with a 2% charge.

Derek submitted the application and replacement paperwork through the insurance carrier. The carrier's suitability review unit approved the transaction. Margaret signed all disclosure forms, including a replacement comparison form showing the surrender charges on the old contracts and the new surrender schedule.

Fourteen months later, Margaret's school district HR office hosted a retirement planning workshop where a different advisor reviewed her full financial picture - including her STRS pension - and told her the GLWB rider she was paying \$3,060 annually for was largely redundant given her guaranteed pension income. Margaret filed a complaint, alleging that Derek never asked about her pension and that if he had, she would not have purchased such an expensive guarantee rider.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises significant questions about the adequacy of the advisor's customer-profile gathering process and the downstream impact on the product recommendation.

Arguments that Derek violated applicable standards:

1. Inadequate customer profile: Under FINRA Rule 2330(b)(1), before recommending a variable annuity purchase or exchange, a registered representative must make reasonable efforts to obtain, at minimum, the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing assets, liquidity needs, liquid net worth, risk tolerance, and tax status. Derek's single-page intake form captured only a fraction of these required data points. Critically, he failed to ask about pension benefits, which for a career public school teacher in Ohio represent a substantial guaranteed income stream - arguably the single most material fact about Margaret's retirement readiness.
2. NAIC Model Regulation 275 (Suitability in Annuity Transactions), as adopted in Ohio, requires that an insurance producer have reasonable grounds for believing the recommendation is suitable based on facts disclosed by the consumer regarding, among other things, existing insurance or annuity products. The regulation specifically contemplates that the producer must gather a consumer's full financial profile. Derek's failure to inquire about the STRS pension - the largest single component of Margaret's retirement income - represents a failure to know his customer.
3. The GLWB rider, costing \$3,060 per year (0.90% on \$340,000), was designed to provide guaranteed lifetime income. Margaret's STRS pension already provides approximately \$49,200 per year in guaranteed income, which when combined with Social Security would likely cover her living expenses. The marginal value of the GLWB rider, given her existing guaranteed income, was substantially diminished. Had Derek known about the pension, a reasonable advisor might have recommended a lower-cost variable annuity without the GLWB rider, or a different product altogether.

4. NY Regulation 187 (applicable if Derek were in New York, and representing the evolving direction of state-level standards) and SEC Regulation Best Interest both require that recommendations be in the customer's best interest, which necessarily requires understanding the customer's full financial picture. Even under the older suitability standard, the failure to gather essential information undermines the foundation of any suitability determination.

5. The replacement transaction - surrendering contracts with \$8,200 in charges and entering a new seven-year surrender period - demands heightened scrutiny under FINRA Rule 2330(b)(1)(A), which requires consideration of whether the customer would benefit from features of the existing annuities, whether the customer would be subject to new surrender periods, and whether the customer has had other annuity exchanges within the preceding 36 months.

Arguments that Derek did not violate applicable standards:

1. Derek did use an intake form and asked Margaret about her financial situation. Margaret voluntarily provided information about her salary, retirement timeline, existing assets, and risk tolerance. A producer is entitled to rely on information provided by the consumer; Margaret did not volunteer information about her pension, and Derek may argue that he asked about her financial situation broadly.

2. The consolidation itself had independent merit: Margaret explicitly wanted to simplify her retirement accounts. Moving from three contracts to one reduces administrative complexity. Two of the three legacy contracts were out of surrender, meaning only one incurred a meaningful surrender charge (\$3,400 at 2%). The overall fee reduction argument is weaker given the new contract's higher fees, but Derek could argue the GLWB rider provided a tangible benefit - guaranteed income regardless of market conditions - that the legacy contracts lacked.

3. The insurance carrier's own suitability review unit approved the transaction after reviewing the replacement paperwork. While carrier approval is not dispositive, it suggests the transaction was not facially unsuitable.

4. Margaret is not elderly or cognitively impaired; she is a 58-year-old professional who signed replacement disclosure forms that itemized costs. She had investment experience spanning 20 years of variable annuity ownership.

5. Derek could argue that even with knowledge of the pension, the GLWB provides additional diversification of guaranteed income sources and protection against the risk of pension benefit reductions, which while rare for STRS, is not impossible. The GLWB also provides a death benefit feature and step-up provisions that a pension typically does not.

6. Under NAIC Model 275, the safe harbor provision in some states allows the producer to rely on the insurer's suitability review system if the producer had no reason to believe the recommendation was unsuitable.

Why Borderline

The core tension is between the advisor's obligation to proactively gather comprehensive financial information versus the customer's responsibility to disclose material facts. Derek asked about Margaret's financial situation but used a cursory form that did not specifically prompt for pension benefits - an oversight that is arguably negligent for any advisor working with career public school employees, but also arguably within the range of reasonable practice given that he did ask open-ended financial questions. The product itself is not inherently unsuitable - variable annuities with GLWB riders serve legitimate purposes - but its value proposition changes dramatically once the pension is known. The carrier approved the transaction, and Margaret signed full disclosures. Reasonable practitioners could disagree on whether Derek's intake process fell below the minimum threshold or whether Margaret bore some responsibility for not mentioning a pension she had earned over 31 years.

Borderline Factors

- Derek used an intake form but it was superficial and did not ask about pension benefits - a critical omission for a public school teacher, but not necessarily a deliberate one
- Margaret did not volunteer information about her pension despite being asked generally about her financial situation and retirement readiness
- The GLWB rider has independent value even for someone with a pension (longevity protection, death benefit, diversification of guaranteed income sources), but its cost-benefit ratio shifts significantly when a substantial pension exists
- The insurance carrier's suitability review unit independently approved the replacement transaction
- Two of three existing contracts were already out of surrender, making consolidation less costly, though the new seven-year surrender schedule resets liquidity restrictions
- Margaret is a sophisticated enough investor to have owned variable annuities for 20 years and signed detailed replacement comparison forms
- The advisor's commission of \$14,450 creates an economic incentive that could be viewed as a conflict, but commissions alone do not establish unsuitability
- State adoption variations of NAIC Model 275 differ on how specifically the producer must probe for retirement benefits versus relying on consumer-provided information

Likely Outcome

A regulator would most likely find a violation, though it may be characterized as a procedural/documentation failure rather than intentional misconduct. The failure to ask a 31-year public school teacher about her state pension benefits - when pension income is explicitly among the financial factors that FINRA Rule 2330 and NAIC Model 275 require producers to ascertain - falls below the reasonable-efforts standard. The fact that this omission directly led to a recommendation for an expensive guaranteed-income rider that was largely redundant given her pension makes the failure material rather than technical. However, mitigating factors (carrier approval, customer signatures on disclosures, legitimate consolidation rationale) would likely result in a moderate sanction - supervisory action, additional training requirements, and possible restitution of the GLWB rider costs - rather than severe penalties. The advisor's firm would also face scrutiny for inadequate supervisory systems that permitted such a thin customer intake form for a variable annuity replacement transaction.

Borderline Scenario 25

Fact Pattern

Margaret Holloway, age 62, is a retired school administrator with a \$1.4 million portfolio consisting of IRAs, a brokerage account, and two existing variable annuities. She has a moderate risk tolerance, draws approximately \$4,200 per month from her investments to supplement a state pension of \$3,100 per month, and lists her investment objective as 'income with moderate growth.' Her financial advisor, Derek Pratt, has managed her accounts since 2017.

In March 2021, Derek recommended that Margaret surrender her existing variable annuity - a product issued in 2016 by National Horizon Life with a current account value of \$287,000 - and use the proceeds to purchase a new variable annuity from Beacon Ridge Insurance. The existing National Horizon contract carried a mortality and expense charge of 1.35%, an annual administrative fee of \$40, and an underlying fund expense ratio averaging 0.82%. The contract's surrender charge period had ended in February 2021 (the product had a 5-year declining surrender schedule), and the contract included a guaranteed minimum withdrawal benefit (GMWB) rider costing 0.95% annually that guaranteed a 5% annual withdrawal rate on a benefit base of \$262,000.

The new Beacon Ridge annuity carried a mortality and expense charge of 1.10%, no administrative fee, and underlying fund expense ratios averaging 0.71%. It featured a new 7-year declining surrender charge schedule starting at 7% in year one. The Beacon Ridge product included an enhanced GMWB rider costing 1.05% annually, but it guaranteed a 5.5% withdrawal rate on the full \$287,000 transfer amount as the initial benefit base, and it included a 5% annual benefit base step-up (simple interest) during any deferral period before withdrawals begin.

Derek's written rationale stated that the new contract's lower base expenses would save Margaret approximately \$1,800 per year, and that the higher GMWB percentage applied to a larger benefit base would increase her guaranteed annual withdrawal from \$13,100 (5% of \$262,000) to \$15,785 (5.5% of \$287,000) - an improvement of \$2,685 per year. He also noted that if Margaret deferred withdrawals from this particular annuity for even two years, the 5% simple step-up would raise the benefit base to approximately \$315,700, further increasing the guaranteed withdrawal to \$17,364 annually. Derek documented that Margaret expressed interest in delaying withdrawals from this annuity for 18-24 months since she had sufficient income from other sources in the near term due to a one-time \$38,000 inheritance she received in January 2021.

However, several complicating factors exist. Margaret's account records show that she had been taking systematic withdrawals of \$1,100 per month from the National Horizon annuity since 2019, and she only paused these withdrawals in February 2021 - one month before the switch recommendation. The new 7-year surrender period would lock up the \$287,000 until Margaret is 69, at which point her health may require greater liquidity (she reported controlled Type 2 diabetes and mild hypertension on her new account form). Additionally, the enhanced GMWB rider on the Beacon Ridge product costs 0.10% more annually than the old rider, partially offsetting the expense savings. A comparison spreadsheet in the file shows that the all-in annual cost difference between the two products, including rider fees, is approximately \$970 per year in Margaret's favor with the new product - not the \$1,800 Derek cited, which excluded rider cost

differences.

Derek earned a commission of \$14,350 (5% of the \$287,000 transfer) on the new Beacon Ridge annuity. His trailing commission on the National Horizon product had dropped to 0.25% annually (\$717.50 per year) after the surrender period ended. Derek's branch manager signed off on the transaction after reviewing the comparison, noting the improved guaranteed income features and lower base expenses. Margaret signed all disclosure forms, including a replacement disclosure that outlined both the benefits and disadvantages of the exchange, and she initialed a paragraph acknowledging the new surrender charge period.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that the switch was appropriate: The new Beacon Ridge product offered genuinely lower base mortality and expense charges (1.10% vs. 1.35%) and lower average fund expenses (0.71% vs. 0.82%), resulting in measurable ongoing cost savings. The enhanced GMWB rider provided a higher guaranteed withdrawal percentage (5.5% vs. 5.0%) on a larger benefit base (\$287,000 vs. \$262,000), producing a meaningful \$2,685 annual increase in guaranteed lifetime income - a material improvement for a retiree relying on investment income. The benefit base step-up feature during any deferral period added additional upside that the old contract lacked. Margaret had recently received a \$38,000 inheritance that could bridge short-term income needs, making a brief deferral period plausible. The old contract's surrender period had ended, so there was no penalty on the outgoing side. Branch supervision reviewed and approved the transaction, and Margaret signed detailed replacement disclosures.

Arguments that the switch was problematic: The advisor's written cost comparison overstated the annual savings by approximately \$830 (citing \$1,800 rather than the net \$970 after accounting for the higher rider cost), which could indicate either a calculation error or an attempt to make the transaction appear more beneficial than it was. The new 7-year surrender charge schedule imposed significant liquidity constraints on a 62-year-old client with chronic health conditions who may need access to funds. Margaret had been taking regular monthly withdrawals from the old annuity until just one month before the recommendation, suggesting that the 'deferral strategy' may have been constructed to justify the switch rather than reflecting her genuine financial pattern. The commission differential is stark: Derek moved from earning \$717.50 annually in trails to a one-time commission of \$14,350, creating a significant financial incentive to recommend the replacement. Under annuity replacement analysis frameworks, the question is whether the customer received a material improvement sufficient to justify the costs and restrictions of the new contract. The net expense savings of \$970 per year would take nearly 15 years just to offset the surrender charges Margaret would face if she needed early access. Additionally, locking a client with health concerns into a new surrender period raises questions about whether the recommendation adequately accounted for her liquidity needs. The GMWB improvement, while real, depends on the insurer's financial strength and the client's longevity - and the old GMWB was already providing guaranteed income. Some regulators would view the totality of circumstances - inflated cost comparison, commission incentive, recent withdrawal history, health concerns, and new surrender period - as evidence that the replacement primarily served the advisor's interests rather than the client's.

Why Borderline

This scenario is genuinely ambiguous because the new product does offer objectively better features in several measurable dimensions - lower base costs, higher guaranteed withdrawal rates, a larger benefit base, and a step-up provision the old contract lacked. These are real, quantifiable improvements to the client's guaranteed income floor. At the same time, the advisor's cost analysis contained a material inaccuracy, the commission incentive was substantial, the client's recent withdrawal history contradicts the stated deferral strategy, and the new surrender period imposes real liquidity risk on a client with health concerns. Reasonable compliance reviewers could disagree on whether the enhanced guaranteed income benefits are sufficient to justify the new restrictions and whether the advisor's documentation errors reflect negligence or intent to mislead.

Borderline Factors

- The new product's guaranteed income features are objectively superior, providing \$2,685 more in annual guaranteed withdrawals - a meaningful improvement for a retiree
- The advisor's cost comparison overstated annual savings by approximately 46% (\$1,800 cited vs. \$970 actual net savings), raising questions about the quality of the analysis
- The commission differential (\$14,350 one-time vs. \$717.50 annual trail) creates a strong financial incentive favoring the replacement
- The client had been taking regular systematic withdrawals until one month before the switch, undermining the stated rationale that she could defer withdrawals
- A new 7-year surrender charge schedule imposes liquidity constraints on a 62-year-old with documented chronic health conditions
- The client had a temporary liquidity cushion from a \$38,000 inheritance that could support short-term deferral but not long-term liquidity needs
- Branch supervision reviewed and approved the transaction after examining the comparison materials
- The client signed detailed replacement disclosures and acknowledged the new surrender charges
- The old contract's surrender period had fully expired, giving the client maximum flexibility that was then voluntarily relinquished

Likely Outcome

A regulator would most likely find this to be a violation, though a close one. While the improved GMWB features are genuine, the combination of an inaccurate cost comparison, a substantial commission incentive, the imposition of a new 7-year surrender period on a client with health concerns and a demonstrated need for regular withdrawals, and the timing of the withdrawal pause would likely lead a regulator to conclude that the advisor did not adequately weigh the costs and risks against the benefits. The inaccurate cost comparison alone would draw scrutiny, as it suggests the advisor either failed to perform a diligent analysis or presented a misleading one. Most state insurance departments and securities regulators applying annuity replacement standards would expect the documented analysis to be accurate, and the net improvement of \$970 per year in expenses - when weighed against a new 7-year surrender period with charges starting at 7% - would likely be deemed insufficient standing alone. The GMWB improvement adds complexity, but regulators have historically been skeptical of replacement transactions where the advisor earns significantly higher compensation and the client assumes new restrictions. The likely outcome would be a finding of an unsuitable replacement, potentially with a moderate sanction reflecting the fact that the product was not wholly inappropriate - just that the replacement itself was not justified given the totality of circumstances.

Borderline Scenario 26

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability)* - specifically subsection (b)(1)(A), *requi*

Fact Pattern

Marcus Reilly, a financial advisor at a mid-size broker-dealer in suburban Atlanta, met with new client Diane Cheng, age 58, in March 2023. Diane had recently received a \$410,000 lump-sum pension buyout from her former employer, a regional airline that was restructuring. She walked into Marcus's office with a completed new-account form that listed her annual income as \$72,000 (she had taken a lower-paying administrative job after leaving the airline), liquid net worth of \$85,000 in savings and CDs, and the \$410,000 pension buyout sitting in a rollover IRA at a custodian bank. The form listed her investment objective as 'income with moderate growth,' her risk tolerance as 'moderate,' and her time horizon as '7-10 years.' Diane checked 'some' under investment experience and wrote 'mutual funds through my 401(k)' in the description field.

During their initial 40-minute meeting, Marcus asked Diane about her retirement goals. According to his notes, Diane said she planned to retire 'around 63 or 64,' wanted guaranteed income she 'couldn't outlive,' and was worried about market downturns after watching her 401(k) lose 22% in 2022. She mentioned she had no pension anymore since she took the buyout, and Social Security projections showed roughly \$2,100 per month starting at age 67. She also noted that her husband, Tom, age 61, was still working as an electrician earning about \$65,000 and had his own 401(k) worth approximately \$180,000. Diane said Tom 'handles his own stuff' with a different advisor.

Marcus recommended that Diane invest \$340,000 of her \$410,000 rollover IRA into a variable annuity with a guaranteed lifetime withdrawal benefit rider. The VA had an M&E charge of 1.35%, an administrative fee of 0.15%, average subaccount expense ratios of 0.82%, and the GLWB rider cost 1.05% annually - bringing total all-in annual costs to approximately 3.37%. The GLWB guaranteed a 5% annual withdrawal rate for life beginning at age 65, which would produce roughly \$17,000 per year. The remaining \$70,000 would stay in a balanced mutual fund within the IRA for liquidity.

Marcus did not ask Diane about any existing life insurance policies, long-term care insurance, or outstanding debts. He did not inquire about Tom's health, whether Tom had any pension or defined benefit plan, or whether the couple had wills or an estate plan. He did not ask whether Diane had any anticipated large expenses such as college tuition for dependents, home repairs, or medical procedures. His firm's account documentation system had optional fields for 'other insurance products,' 'estate planning status,' 'health status,' and 'anticipated extraordinary expenses,' all of which Marcus left blank rather than marking 'N/A' or 'none.' He also did not request or review Diane's most recent tax return, despite the firm's internal guidance recommending (but not requiring) that advisors review tax documents for IRA rollover clients.

Diane signed the application and all disclosure documents, including a product prospectus, an annuity features summary showing all fees, and a form acknowledging the surrender charge schedule (7 years, starting at 7% and declining 1% per year). Six months later, Diane contacted Marcus to say she needed \$40,000 for emergency roof repairs on her home. Marcus helped her liquidate a portion of the balanced mutual fund (\$40,000 of the \$70,000), but noted that the remaining liquid IRA assets were now only \$30,000, plus the \$85,000 in savings/CDs outside the IRA. Diane made no complaint at the time.

In early 2024, Diane's husband Tom was unexpectedly laid off and had difficulty finding new employment. Diane called Marcus upset, saying she felt 'trapped' in the annuity and wished she had more accessible money. She filed a written complaint with the broker-dealer, alleging that Marcus never fully understood her household financial situation before recommending that 83% of her rollover IRA go into a product with a 7-year surrender period and nearly 3.4% in annual fees.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Marcus violated applicable standards: First, under both the FINRA suitability framework (Rule 2330) and the SEC's Regulation Best Interest, a broker must make reasonable efforts to obtain and analyze key customer information before recommending a securities transaction. FINRA Rule 2330 specifically requires, for variable annuity recommendations, that the advisor make reasonable efforts to obtain information about the customer's existing insurance and annuity holdings, liquid net worth, investment objectives, and other relevant financial details. Marcus left multiple optional-but-material fields completely blank on the account documentation - including other insurance products, estate planning status, health status, and anticipated extraordinary expenses. He failed to ask about the husband's financial details despite the fact that Diane's retirement security was intertwined with Tom's employment and savings. This arguably constitutes a failure to know the customer, because he did not gather sufficient household financial information to assess whether concentrating 83% of the IRA in an illiquid variable annuity was appropriate. The NAIC Model Regulation 275 (as adopted in Georgia) similarly requires that a producer have a reasonable basis to believe the recommendation is suitable based on the consumer's financial situation and needs, including other insurance products already owned. Leaving those fields blank - rather than affirmatively documenting 'none' - suggests the questions were never asked, not that the answers were immaterial.

Additionally, the all-in cost of 3.37% annually is high relative to alternatives. A lower-cost fixed indexed annuity or a combination of a deferred income annuity and a diversified portfolio might have accomplished Diane's stated goal of guaranteed lifetime income at lower cost and with better liquidity. Under Reg BI's care obligation (Rule 15l-1), the advisor must consider reasonably available alternatives. There is no evidence Marcus compared alternatives.

Arguments that Marcus acted within acceptable bounds: Diane clearly and repeatedly expressed a desire for guaranteed lifetime income and fear of market losses - precisely the value proposition of a VA with a GLWB rider. The recommendation was facially consistent with her stated objectives (income with moderate growth, 7-10 year time horizon, moderate risk tolerance). Marcus did retain \$70,000 in a liquid balanced fund, demonstrating some attention to liquidity needs. Diane had \$85,000 in liquid savings outside the IRA, plus the \$70,000 liquid IRA allocation, totaling \$155,000 in accessible funds - a meaningful liquidity cushion for a household with \$137,000 in combined income at the time of the recommendation. The surrender period of 7 years aligned with her stated time horizon. The complaint was triggered not by anything foreseeable at the time of the recommendation but by two subsequent events (emergency roof repair and Tom's unexpected layoff) that were not predictable.

Furthermore, the account form fields Marcus left blank were described by the firm as 'optional,' and the

firm's guidance to review tax returns was a recommendation, not a requirement. Some practitioners and compliance professionals would argue that a 40-minute initial meeting with a completed new-account form, documented notes about retirement goals, and full disclosure of product features satisfies the reasonable-efforts standard, especially for a client whose stated needs closely match the recommended product.

The blank fields are the crux of the dispute. Regulators have increasingly emphasized that 'optional' fields become effectively mandatory when the information is material to the recommendation. Not knowing whether Diane had existing annuity or insurance products is a specific deficiency under both FINRA Rule 2330(b) and NAIC Model 275, which enumerate insurance holdings as a required consideration. Not understanding the household's complete financial picture - including the husband's job security, health, and savings - arguably undermines the foundation of any suitability or best-interest analysis for a product representing such a large share of the client's retirement assets.

Why Borderline

The recommendation facially matched the client's expressed objectives, risk tolerance, and time horizon, and the client had a reasonable liquidity cushion at the time of purchase. However, the advisor's information-gathering was incomplete in ways specifically contemplated by variable annuity suitability rules - particularly regarding existing insurance holdings, household financial interdependencies, and anticipated expenses. The question is whether the gaps in customer knowledge were material enough to render the recommendation unsuitable or not in the client's best interest, or whether the information actually gathered was sufficient given how well the product aligned with the client's stated goals. The two adverse events that triggered the complaint were unforeseeable, complicating the causation analysis.

Borderline Factors

- Advisor left multiple material information fields blank rather than confirming 'none' or 'N/A,' creating ambiguity about whether questions were asked
- Firm characterized the incomplete fields as 'optional,' potentially reducing the advisor's culpability while raising questions about firm supervisory procedures
- Client's stated objectives (guaranteed lifetime income, fear of market loss, 7-10 year horizon) closely matched the recommended product's core features
- 83% concentration of the rollover IRA in a single illiquid product is aggressive, but the client had \$155,000 in liquid assets outside the annuity at time of purchase
- No inquiry into the spouse's employment stability, health, or financial details despite household income interdependence
- All-in annual cost of 3.37% is high but not unprecedented for a VA with a GLWB rider; the value of the guarantee is debatable
- The complaints were triggered by subsequent unforeseeable events (roof emergency and spouse's layoff) rather than immediate harm from the recommendation
- No evidence the advisor considered or documented reasonably available alternatives with lower costs or better liquidity
- Tax return review was recommended but not required by firm policy, and was not performed

Likely Outcome

A regulator would most likely find a violation, but a relatively narrow one focused on the

failure-to-know-customer dimension rather than the product recommendation itself. The blank fields for insurance holdings, health status, and anticipated expenses - particularly the insurance holdings field, which is specifically enumerated in both FINRA Rule 2330 and NAIC Model 275 as information the advisor must make reasonable efforts to obtain - would likely be viewed as a deficiency in the information-gathering process. However, the severity of the finding might be mitigated by the fact that the product aligned with Diane's expressed needs and she had a reasonable liquidity cushion at the time of the recommendation. The likely outcome would be a supervisory deficiency finding against the firm for allowing optional fields to substitute for required inquiry, and a potential finding that the advisor failed to exercise reasonable diligence in gathering customer information, with sanctions likely limited to enhanced supervision, additional training, and possibly a modest fine rather than rescission or full restitution. If the matter were arbitrated, a panel might find the advisor liable for some portion of the surrender charges Diane would incur if she needed to liquidate, but not for the full value of the annuity investment.

Borderline Scenario 27

Topic: high_fees_unsuitable | Standard: FINRA Rule 2330 governs suitability of variable annuity recommendations, requiring a reason

Fact Pattern

Margaret Holloway, age 62, is a recently retired school administrator with a pension paying \$54,000 annually, Social Security benefits of \$24,000 starting at age 66, and total liquid savings of approximately \$410,000 split between a 403(b) account (\$310,000) and a taxable brokerage account (\$100,000). She owns her home outright and has no debt. She describes herself as a moderate investor who wants her money to last through retirement and hopes to leave something to her two adult children. She tells her advisor, Daniel Kirkman, that she is worried about outliving her savings and wants some protection against market downturns, but she also wants potential for growth. She mentions she may need to tap into savings periodically for home repairs and travel, estimating roughly \$8,000 to \$12,000 per year in irregular expenses.

Kirkman recommends she roll \$265,000 from her 403(b) into a variable annuity with a guaranteed minimum withdrawal benefit (GMWB) rider that guarantees 5% annual withdrawals for life beginning at age 65. The VA has a mortality and expense charge of 1.35%, an administrative fee of 0.15%, average underlying subaccount expense ratios of 0.82%, and the GMWB rider costs an additional 1.10% annually, bringing the total all-in annual cost to approximately 3.42%. The product carries a 7-year declining surrender charge schedule starting at 7% in year one and declining by 1% per year. Kirkman explains that the guaranteed withdrawal feature effectively creates a personal pension supplement, and that the subaccounts offer equity and bond fund options for growth. He places the remaining \$45,000 from the 403(b) into a balanced mutual fund and leaves the \$100,000 taxable account unchanged.

Margaret signs the paperwork after two meetings. Kirkman earns a 5.5% upfront commission on the VA sale, totaling \$14,575. He documents that Margaret's primary concern is guaranteed lifetime income and downside protection, and that the recommendation addresses her fear of outliving her assets. His file notes also reflect that he discussed lower-cost alternatives including a balanced fund portfolio and a single premium immediate annuity, but that Margaret preferred the combination of growth potential and

guaranteed income.

Eighteen months later, Margaret contacts Kirkman because she needs \$22,000 for an unexpected roof replacement. The free withdrawal provision of the annuity allows her to take out up to 10% of the account value penalty-free each year (approximately \$26,500 based on current value), so she is able to access the funds without incurring a surrender charge. However, she is surprised to learn that her account value has only grown to approximately \$266,800 despite moderate market gains during the period, because the combined fees consumed most of the investment returns. She complains to the branch manager that the fees were never clearly explained and that she would have been better off in a simple index fund portfolio.

Kirkman's branch manager reviews the file and notes that the documentation is thorough, the client's stated objectives align with the product features, and that the free withdrawal provision did in fact provide needed liquidity. However, an internal compliance reviewer flags that the 3.42% all-in cost is in the top quartile of variable annuity products available on the firm's platform, and that a comparable VA from another carrier offered similar GMWB benefits with a total cost of approximately 2.55%. The reviewer also notes that Margaret already had a pension and upcoming Social Security totaling \$78,000 per year, which covers her basic living expenses, raising the question of whether the additional guaranteed income layer was truly necessary or whether a lower-cost growth-oriented portfolio would have better served her stated goal of leaving assets to her children.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Kirkman acted appropriately: Margaret explicitly expressed fear of outliving her assets and wanted downside protection combined with growth potential - a variable annuity with a GMWB rider is a product specifically designed for this combination. Kirkman documented that he discussed lower-cost alternatives including a balanced fund portfolio and an immediate annuity, and the client chose the VA after understanding the options. He did not place all of her retirement assets into the VA - he allocated \$45,000 to a balanced fund and left the \$100,000 taxable account untouched, preserving liquidity. The 10% annual free withdrawal provision proved adequate when Margaret needed emergency funds. The GMWB rider guarantees 5% lifetime withdrawals starting at 65, creating approximately \$13,250 in annual guaranteed income that supplements her pension and Social Security, which could be valuable if she lives well into her 80s or 90s. Kirkman's commission, while substantial, is within normal ranges for VA products.

Arguments that Kirkman may have violated applicable standards: The 3.42% all-in annual cost is in the top quartile of available VA products on the firm's own platform. A comparable product with substantially similar GMWB features was available at 2.55%, which would have saved Margaret approximately \$2,300 per year in fees on the \$265,000 investment - a meaningful difference that compounds over time. Over a 20-year retirement, the excess fees could reduce her account value by \$40,000 or more compared to the lower-cost alternative, directly undermining her stated goal of leaving assets to her children. Furthermore, Margaret's existing pension and Social Security already covered her basic expenses, arguably reducing the marginal utility of the GMWB guarantee and making the 1.10% rider charge harder to justify. A lower-cost growth-oriented portfolio might have better served both her growth and legacy objectives. The high upfront commission creates an economic incentive that a regulator might view as a conflict of interest, particularly

when a less expensive alternative existed. Margaret's complaint that fees were not clearly explained, if credited, could suggest inadequate disclosure even if the documentation appears thorough. Additionally, the 7-year surrender schedule limits flexibility for a 62-year-old retiree during a critical early retirement period when unexpected expenses are common.

Why Borderline

This scenario is genuinely ambiguous because the product type (VA with GMWB) reasonably matches the client's stated objectives of growth potential with downside protection, and the advisor did not concentrate all assets in the annuity. The advisor documented the recommendation process and alternative discussions. However, the selection of a top-quartile-cost product when a meaningfully cheaper comparable alternative existed on the same platform, combined with the client's arguably limited need for additional guaranteed income given her existing pension and Social Security, creates a legitimate question about whether the advisor prioritized his compensation over the client's interests. The tension between a product category that fits and a specific product selection that may not be optimal is exactly the kind of gray zone where reasonable compliance professionals disagree.

Borderline Factors

- Product type (VA with GMWB) facially matches client's stated objectives of growth with downside protection
- Total all-in cost of 3.42% is high but not unprecedented; it is in the top quartile, not an outlier
- A comparable product at 2.55% was available on the same platform, raising cost-reasonableness questions
- Client already had \$78,000 in guaranteed annual income from pension and Social Security, reducing marginal value of GMWB rider
- Advisor preserved liquidity by not placing all assets in the VA and left taxable account untouched
- 5.5% upfront commission creates material conflict of interest but is within industry norms for VA products
- Advisor documented discussion of alternatives including lower-cost options, and client chose the VA
- 7-year surrender schedule imposes meaningful constraints on a recently retired client during peak uncertainty years
- Client's legacy goal is arguably undermined by high fee drag over a multi-decade retirement horizon
- Client's post-hoc complaint about fee disclosure contradicts thorough documentation in the file

Likely Outcome

A regulator would likely find this case to be a close call but would probably conclude that the advisor's recommendation was deficient, not necessarily because a variable annuity was inappropriate, but because the selection of a significantly more expensive product over a comparable lower-cost alternative on the same platform is difficult to justify. Under a best-interest framework, the advisor bears the burden of explaining why the higher-cost product was superior for this client, and the record does not appear to contain a documented rationale for choosing this specific VA over the cheaper comparable. A regulator applying a pure suitability standard might be more inclined to find the recommendation acceptable since the product category fit, but under enhanced standards that require cost consideration and conflict mitigation, the \$2,300 annual fee differential with no documented offsetting benefit to the client would likely be viewed as a failure to adequately weigh costs. The outcome would likely involve a finding of deficiency with remedial action (enhanced supervision, fee-based restitution of excess costs) rather than severe sanctions, particularly given the otherwise reasonable allocation strategy and documentation.

Borderline Scenario 28

Topic: *illiquid_investments* | Standard: *FINRA Rule 2330 (variable annuity suitability); SEC Regulation Best Interest (Rule 15l-1), incl*

Fact Pattern

Margaret Huang, age 62, met with financial advisor Derek Fallon in March 2024 to discuss consolidating her retirement assets. Margaret had recently taken early retirement from a mid-size pharmaceutical company and received a lump-sum pension distribution of \$840,000. She also held \$310,000 in a rollover IRA invested in a diversified mix of equity and bond mutual funds, \$95,000 in a taxable brokerage account, and approximately \$48,000 in a savings account. Her home was fully paid off and valued at roughly \$520,000. She had no outstanding debts.

Margaret told Derek that her primary goals were (1) generating reliable income starting at age 67 to supplement Social Security, (2) protecting her assets from significant market downturns, and (3) leaving something to her two adult children. She described herself as 'moderately conservative' and said she 'didn't want to lose sleep over the stock market anymore.' She also mentioned that her mother had lived to age 97, so longevity was a concern.

Derek recommended that Margaret invest \$625,000 of the pension distribution into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The product was issued by a well-rated insurer (A.M. Best A+ rating) and offered a 5.25% guaranteed withdrawal rate beginning at age 67. The annuity carried a seven-year surrender charge schedule starting at 7% in year one and declining by 1% annually. Total annual fees-including the mortality and expense charge, administrative fee, GLWB rider fee, and underlying sub-account expenses-came to approximately 3.15% per year. The sub-accounts Derek selected were a mix of moderate-allocation and bond funds available within the annuity.

Derek documented that the GLWB rider would provide Margaret with approximately \$32,800 per year in guaranteed income starting at age 67, regardless of market performance, directly addressing her longevity and downside-protection concerns. He also noted that the annuity had a standard death benefit equal to the greater of account value or total premiums paid, which addressed her legacy goal.

The remaining \$215,000 of the pension distribution was placed into the existing rollover IRA, bringing that account to \$525,000 in diversified mutual funds. The taxable brokerage and savings accounts were left untouched.

Eight months after the purchase, Margaret's son lost his job and Margaret wanted to access \$80,000 to help him with mortgage payments and living expenses. She discovered she would face a surrender charge of approximately \$5,600 (7% on the amount exceeding the annuity's 10% free annual withdrawal allowance) plus potential tax consequences. Margaret filed a complaint alleging that Derek locked up too much of her money in an illiquid product and that the fees were excessive.

Derek's firm reviewed the matter and noted the following: Margaret had \$525,000 in the liquid rollover IRA and \$143,000 between the brokerage and savings accounts-a combined \$668,000 in readily accessible funds at the time of the annuity purchase. Margaret's account-opening documents listed her liquidity needs as 'low' and her investment time horizon as 'long-term (10+ years).' Margaret signed a disclosure form

acknowledging the surrender charge schedule and fee structure. During the initial meeting, Margaret did not mention any anticipated large expenditures or family obligations that might require near-term access to funds. Derek had also presented a lower-cost deferred income annuity as an alternative, but Margaret preferred the variable annuity because she wanted to maintain some market upside potential and the flexibility of the GLWB structure over a pure income annuity.

However, a subsequent review revealed that Derek earned a 5.1% gross commission (\$31,875) on the variable annuity sale, compared to the 2.8% commission he would have earned on the deferred income annuity and the roughly 1% trail he earned on mutual fund placements. Derek had placed three other clients into the same variable annuity product during the same quarter. The firm's internal product review committee had flagged the product's total expense ratio as being in the upper quartile among comparable GLWB-equipped variable annuities, though it had still been approved for sale.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Derek violated applicable standards:

1. ****Concentration of illiquid assets relative to total net worth****: While Margaret had significant liquid assets outside the annuity, committing \$625,000-approximately 48% of her total financial assets (excluding home equity)-to a product with a seven-year surrender period is a substantial illiquid allocation. Under FINRA Rule 2330, representatives must have a reasonable basis for believing that the customer has been informed of the features of a variable annuity, including surrender charges, and that the annuity as a whole is suitable. The question is whether the allocation size was reasonable given the client's overall profile.
2. ****Fee concerns****: At 3.15% annually, the total cost is in the upper quartile of comparable products. Under Regulation Best Interest (Rule 15l-1), a broker-dealer must consider reasonably available alternatives and cannot place its own interest ahead of the customer's. The existence of a comparable but lower-cost alternative (the deferred income annuity) that would have addressed Margaret's core income and longevity goals raises questions about whether cost was adequately weighed, particularly given the commission differential.
3. ****Commission disparity and pattern of sales****: Derek's 5.1% commission versus 2.8% on the alternative, combined with multiple sales of the same product during the quarter, could suggest a financial incentive influencing the recommendation. Under Reg BI's conflict-of-interest obligation, firms must establish policies to identify, disclose, and mitigate or eliminate conflicts. The commission differential is a material conflict.
4. ****NAIC Model Regulation 275 (as adopted in relevant states)****: Requires that an insurance recommendation be in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, and financial objectives. The annuity's high cost and long surrender period could be viewed as inconsistent with the best-interest standard if a lower-cost product would have comparably met Margaret's needs.

Arguments that Derek did NOT violate applicable standards:

1. ****Adequate liquidity cushion****: At the time of purchase, Margaret retained \$668,000 in liquid, accessible assets-more than enough to cover any reasonably foreseeable short-term need. She reported low liquidity needs and a long time horizon. The unforeseen family emergency does not retroactively make the recommendation unsuitable at the time it was made. Suitability and best-interest determinations under both FINRA Rule 2330 and Reg BI are assessed as of the time of the recommendation.
2. ****Product matched stated goals****: Margaret wanted guaranteed lifetime income, downside protection, some upside participation, and a death benefit. The GLWB-equipped variable annuity directly addressed all four stated objectives. The deferred income annuity would have sacrificed market participation and flexibility-features Margaret specifically valued.
3. ****Customer preference and informed consent****: Margaret was presented with an alternative and chose the variable annuity for articulated reasons. She signed disclosures acknowledging the surrender schedule and fee structure. Under Reg BI, the broker must act in the client's best interest but client preference is a relevant factor when the recommendation is otherwise reasonable.
4. ****Product was approved****: The firm's internal product committee approved the annuity for sale despite the high expense ratio. While approval alone is not dispositive, it indicates the product was not per se unsuitable.
5. ****Fee context****: The 3.15% includes a GLWB rider that provides a valuable insurance guarantee. Comparing raw expense ratios without accounting for the actuarial value of the guarantee can be misleading. The fee is high but not unprecedented for products with robust GLWB features.

Under NY Regulation 187, which applies a best-interest standard to annuity recommendations made in New York, the producer must consider the consumer's existing assets and whether the recommendation effectively serves the consumer's needs. The strong liquidity cushion and product-goal alignment weigh in Derek's favor, but the cost differential and commission conflict weigh against him.

Why Borderline

This case is genuinely ambiguous because the product clearly matched the client's stated objectives and the client retained substantial liquidity outside the annuity, but the high fees (upper quartile), significant commission differential compared to a presented alternative, and the large dollar amount committed to an illiquid product create tension between the advisor's financial interest and the client's best interest. The unforeseen emergency does not determine suitability at the time of sale, but it illustrates the real-world consequence of the illiquidity. Reasonable regulators could disagree on whether the cost differential was material enough to render the recommendation inconsistent with the client's best interest, particularly given the client's expressed preference for the product's flexibility and upside features.

Borderline Factors

- 48% of liquid financial assets committed to a product with a 7-year surrender schedule - high but not extreme, and offset by \$668,000 in remaining liquid assets
- Total annual fees of 3.15% are in the upper quartile but include a GLWB rider with genuine actuarial value; not clearly excessive in isolation

- Commission of 5.1% versus 2.8% on presented alternative creates a material conflict, but client chose the VA after being shown both options
- Client's stated goals (guaranteed income, downside protection, upside participation, death benefit) align well with the recommended product's features
- Client documented low liquidity needs and long time horizon at account opening; the emergency that triggered the complaint was unforeseeable
- Pattern of selling the same high-commission product to multiple clients in the same quarter could suggest a sales-driven motive, or could reflect genuine suitability for a common client profile
- Firm approved the product for sale despite flagging its high expense ratio - raises question of firm-level supervisory adequacy

Likely Outcome

A regulator would most likely find this to be a close call that does not rise to a clear violation, but would likely result in heightened supervisory scrutiny and potentially a cautionary finding. The product-goal alignment, substantial remaining liquidity, documented client preference, and signed disclosures provide meaningful defensive factors. However, the regulator would likely criticize the failure to more thoroughly document why the higher-cost variable annuity was superior to the lower-cost deferred income annuity given the commission disparity, and might require enhanced documentation and conflict mitigation procedures going forward. If the jurisdiction applies the NAIC Model 275 best-interest standard or NY Reg 187, the bar is higher and the cost comparison becomes more central-in those jurisdictions, the outcome is closer to a potential violation with a remedial action (e.g., fee rebate, enhanced supervision) rather than a full enforcement action. Under FINRA Rule 2330 and Reg BI, the recommendation would likely survive scrutiny given the totality of circumstances, though the firm may face criticism for inadequate conflict mitigation.

Borderline Scenario 29

Topic: tax_deferred_unnecessary_annuity | Standard: FINRA Rule 2330 (Variable Annuity Suitability): Requires reasonable basis to

Fact Pattern

Margaret Stillwell, age 58, is a recently retired school district administrator with a pension of \$62,000 per year and Social Security benefits she plans to begin collecting at age 62. She has \$410,000 in a traditional IRA rolled over from a 403(b), \$185,000 in a taxable brokerage account invested in index funds and municipal bonds, and \$48,000 in a savings account. Her annual living expenses are approximately \$55,000, well covered by her pension. She has no debt, owns her home outright, and has two adult children who are financially independent. Her stated investment objectives on her new account form were "growth with moderate risk" and she indicated a 15-year time horizon. She told her advisor, David Kowalski, that she was concerned about outliving her money and wanted "guarantees" in case something happened to her pension. She also mentioned that she wanted to leave something meaningful to her grandchildren.

Kowalski recommended she use \$175,000 from her taxable brokerage account to purchase a variable annuity with a guaranteed minimum income benefit (GMIB) rider and a guaranteed minimum death benefit (GMDB) rider. The annuity carried total annual expenses of 2.85% (1.35% mortality and expense charge, 0.25% administrative fee, 0.65% average underlying subaccount expense, and 0.60% combined rider

charges). The contract had a 7-year surrender period with a declining surrender charge starting at 7%. The annuity was issued by a carrier rated A+ by AM Best. Kowalski earned a 5.5% commission on the sale.

Kowalski documented that the client wanted income guarantees to supplement her pension in case of a future pension reduction or elimination, and that the death benefit rider would help her legacy goals for grandchildren. He noted that her existing IRA already provided tax-deferred growth and that the variable annuity in the taxable account would provide additional tax deferral on the growth portion, though he acknowledged in his notes that gains withdrawn from the annuity would be taxed as ordinary income rather than at capital gains rates. He also documented that he discussed lower-cost alternatives including a balanced mutual fund portfolio and a single premium immediate annuity, but that the client preferred the variable annuity because of the combination of growth potential, income guarantees, and death benefit protection.

Margaret's brokerage account had generated approximately \$4,200 per year in qualified dividends and \$2,800 in tax-exempt municipal bond interest. Her marginal federal tax rate was 12%, and she lived in a state with no income tax. Eighteen months after the purchase, Margaret filed a complaint stating that a friend who was a CPA told her the annuity was unnecessary because she was already in a low tax bracket, the tax deferral provided no meaningful benefit, and the high fees would erode her returns compared to keeping her index funds. She noted that her pension had not been reduced and that she had not needed any income from the annuity.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a classic tension in variable annuity sales: the layering of tax deferral on funds that already enjoy favorable tax treatment (qualified dividends at low rates, tax-exempt muni interest) or that are held by a client in a low tax bracket.

Arguments that Kowalski violated applicable standards:

1. Under FINRA Rule 2330, a registered representative recommending a variable annuity must have a reasonable basis to believe the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, annuitization, or a death benefit. Here, the tax-deferral benefit is questionable: Margaret was in the 12% bracket, her qualified dividends were taxed at 0% (the 0% long-term capital gains rate applies to taxpayers in the 10-12% bracket), and her municipal bond interest was already tax-exempt. By moving these assets into a VA, she converted future 0% capital gains treatment into ordinary income treatment upon withdrawal - a tax disadvantage.
2. The total annual expense of 2.85% is substantial. Academic literature and GAO reports on variable annuity mis-selling have consistently identified high-cost VAs sold to clients in low tax brackets as a red flag. The drag on returns over 15 years at 2.85% versus a low-cost index portfolio at approximately 0.10-0.25% is enormous - potentially \$80,000-\$120,000 in lost compounding.
3. NY Regulation 187 (if applicable by jurisdiction) and Reg BI Rule 15l-1 both impose a best-interest

standard that requires consideration of reasonably available alternatives. The cost differential between maintaining her existing index fund and muni bond portfolio versus purchasing this VA is stark, and the documentation suggests Kowalski was aware of alternatives.

4. The 7-year surrender period locks up funds that were previously fully liquid, reducing Margaret's financial flexibility at a time when she is in retirement.

Arguments that Kowalski acted appropriately:

1. Margaret articulated specific concerns - fear of pension loss and desire for legacy protection - that the GMIB and GMDB riders directly address. These are insurance features unavailable in a standard brokerage account. The GMIB provides a floor income guarantee regardless of market performance, which is a genuine hedge against both market risk and pension risk. The GMDB ensures her grandchildren receive at least the original investment (or potentially more, depending on the rider) regardless of market conditions at death.

2. Kowalski documented that he discussed lower-cost alternatives and that the client chose the VA after understanding the tradeoffs. Under NAIC Model Regulation 275, the producer must have reasonable grounds for believing the recommendation is suitable based on facts disclosed by the consumer, including the consumer's expressed insurance needs and financial objectives. Margaret's stated need for guarantees aligns with the product features.

3. The \$175,000 purchase represents approximately 27% of Margaret's total liquid assets (\$410,000 + \$185,000 + \$48,000 = \$643,000), leaving her with substantial liquidity elsewhere. Her pension covers her living expenses, so the surrendered liquidity is arguably not critical.

4. The A+ rated carrier and the specific rider benefits provide genuine risk mitigation that cannot be replicated by index funds. Public pension systems, while generally stable, are not immune to benefit reductions, and Margaret's concern was not unreasonable.

5. The commission, while meaningful at 5.5%, is within industry norms for a VA with living and death benefit riders and does not by itself establish a conflict sufficient to find a violation.

6. Margaret's complaint was prompted by a third party's after-the-fact opinion, not by any actual financial harm or changed circumstances. The annuity was performing its intended function.

Why Borderline

This scenario sits at the intersection of legitimate insurance needs (income guarantees, death benefit) and questionable tax-deferral layering. The client's low tax bracket and existing favorable tax treatment of her investments argue against a VA, but her genuine and documented desire for guarantee features argues in favor. The advisor documented the discussion of alternatives and the client's preference, which weighs in his favor. However, the magnitude of the cost differential and the tax disadvantage raise serious questions about whether a reasonable advisor exercising due care would have steered the client more firmly toward lower-cost guarantee solutions (such as a fixed annuity or SPIA for the income guarantee portion). The

case turns on how much weight regulators give to the client's stated preferences versus the advisor's obligation to ensure the recommendation genuinely serves the client's financial interest after accounting for costs and tax consequences.

Borderline Factors

- Client was in the 12% marginal tax bracket with qualified dividends taxed at 0% - tax deferral arguably created a tax disadvantage rather than a benefit
- Client articulated specific and legitimate insurance needs (pension risk hedging, legacy goals) that the VA riders directly addressed
- Total annual expenses of 2.85% are high but include rider charges for features the client specifically requested
- Advisor documented discussion of alternatives and client's informed preference for the VA
- Only 27% of total liquid assets were committed to the annuity, preserving substantial liquidity
- 7-year surrender period restricts access to funds for a retiree, though pension covers living expenses
- Municipal bond interest and qualified dividends that were tax-advantaged will now generate ordinary income upon VA withdrawal
- Complaint was triggered by third-party opinion 18 months later, not by actual financial harm or liquidity need
- A lower-cost fixed annuity or SPIA could have addressed income guarantee needs without the high subaccount expenses

Likely Outcome

A regulator would likely find this to be a close case but would probably conclude that the recommendation was deficient, though perhaps not egregiously so. The key issue is that the tax-deferral rationale - one of the core benefits that must be evaluated under FINRA Rule 2330(b) - does not hold up under scrutiny given the client's tax profile. The conversion of 0% capital gains and tax-exempt income into future ordinary income is a net negative that the advisor acknowledged but did not adequately weigh. While the guarantee features are legitimate, a best-interest analysis under Reg BI or a thorough suitability analysis under NAIC Model 275 would likely require the advisor to demonstrate why a lower-cost product providing similar guarantees (such as a fixed indexed annuity or a combination of a SPIA and index funds) was not more appropriate. The advisor's documentation helps but may not be sufficient if regulators determine that the cost-benefit analysis was inadequate. A likely outcome is a finding of supervisory or suitability deficiency with a moderate sanction, potentially mitigated by the documentation and the client's expressed preferences.

Borderline Scenario 30

Topic: *complex_products_unsophisticated_investor* | Standard: *FINRA Rule 2330 (variable annuity suitability - requires reasonable g*

Fact Pattern

Margaret Kowalski, age 64, is a retired school cafeteria worker in Buffalo, New York, with a total net worth of approximately \$410,000. Of that amount, \$285,000 is in a traditional IRA rollover from her former employer's 403(b) plan, \$75,000 is in a savings account, and \$50,000 is equity in her condominium. She receives \$1,840 per month in Social Security and a small state pension of \$620 per month, giving her

roughly \$29,520 in annual fixed income. She has no debt and modest monthly expenses of about \$2,100. Margaret has no prior investment experience beyond the target-date fund her 403(b) contributions had been automatically directed into. She did not finish a college degree and describes herself as 'not a numbers person.' She has two adult children who are financially independent.

In March 2023, Margaret met with Derek Harmon, a dually-registered financial advisor at a mid-size broker-dealer, after attending a free dinner seminar at a local restaurant titled 'Protecting Your Retirement Nest Egg From Market Crashes.' During the seminar, Derek presented general information about guaranteed lifetime income strategies. Margaret scheduled a follow-up appointment, during which Derek spent approximately 90 minutes with her. According to Derek's notes, he reviewed Margaret's financial situation, discussed her concerns about outliving her money, and explained several options including fixed annuities, certificates of deposit, and a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider.

Derek ultimately recommended that Margaret invest \$230,000 of her \$285,000 IRA into a variable annuity with a GLWB rider. The product had an M&E charge of 1.35%, an administrative fee of 0.15%, average underlying sub-account expenses of 0.82%, and a GLWB rider fee of 1.10%, bringing total annual costs to approximately 3.42%. The product carried a 7-year surrender schedule starting at 7% and declining by 1% each year. The GLWB rider guaranteed a 5% annual withdrawal rate on a benefit base that would ratchet up with market gains but not decline with market losses, effectively guaranteeing Margaret \$11,500 per year (\$958/month) in lifetime income starting at age 65 regardless of account performance.

Derek's notes indicate that Margaret expressed strong concern about 'another 2008' wiping out her savings and repeatedly stated she wanted 'a guarantee that I won't run out of money.' Derek documented that he explained the surrender charges, the total fee structure, and the difference between the benefit base and the actual account value. Margaret signed all disclosure forms including a product-specific explanation of fees and a surrender schedule acknowledgment. Derek left \$55,000 of her IRA in a balanced mutual fund allocation and did not touch her \$75,000 savings account.

However, several complicating factors exist. First, Margaret's combined fixed income of \$29,520 already covers her annual expenses of \$25,200, leaving a surplus of \$4,320 without touching any investments. Second, a simpler fixed annuity product available through the same broker-dealer could have provided a guaranteed income stream of approximately \$10,800 per year at significantly lower cost (no M&E charges, no sub-account fees, no rider fee) with a comparable income guarantee, though without any upside market participation. Third, Margaret told Derek's branch manager during a routine post-sale call that she 'didn't really understand all the moving parts' but trusted Derek because 'he seemed very knowledgeable.' Fourth, Derek received a gross commission of approximately \$13,800 on the variable annuity sale (roughly 6%), whereas the fixed annuity would have generated a commission of approximately \$7,500 (roughly 3.25%). Fifth, Margaret does have a family history of longevity - her mother lived to 96 and her father to 91 - and she expressed anxiety about a 30+ year retirement. Sixth, the variable annuity's GLWB benefit base ratchet feature does offer genuine potential upside that a fixed annuity cannot match: if markets perform well in the early years, Margaret's guaranteed annual withdrawal amount could increase permanently, which could be meaningful over a potentially very long retirement.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Derek violated applicable standards: The total annual cost of 3.42% is exceptionally high for a client whose primary stated need was income security - a need that could have been substantially met by a lower-cost fixed annuity generating nearly identical guaranteed income (\$10,800 vs. \$11,500 annually). Margaret's existing income surplus suggests the guaranteed income component, while psychologically comforting, was not strictly necessary to meet basic expenses. The commission differential (\$13,800 vs. \$7,500) raises questions about whether cost considerations and potential conflicts of interest were adequately weighed. Margaret's own post-sale admission that she 'didn't really understand all the moving parts' undermines the argument that she made an informed decision, despite having signed disclosure documents. Under New York's insurance regulation requiring that recommendations serve the consumer's best interest (not merely be suitable), the availability of a materially cheaper product achieving substantially the same objective is a significant factor. Additionally, placing 80% of her IRA into a single product with a 7-year surrender schedule limits Margaret's flexibility and access to capital during a period when unexpected health expenses become increasingly likely.

Arguments that Derek acted appropriately: Derek conducted a thorough 90-minute needs analysis, documented Margaret's specific fear of market losses and desire for guaranteed income, and maintained detailed notes. He did not recommend placing all assets into the VA - he preserved \$55,000 in the IRA in a balanced fund and left \$75,000 in savings untouched, maintaining significant liquidity (\$130,000 total outside the VA). Margaret's family longevity history makes a 30+ year retirement plausible, and the GLWB ratchet feature offers genuine value over a fixed annuity in this scenario: if markets appreciate even modestly, Margaret's guaranteed income could increase permanently, providing an inflation hedge that a fixed annuity cannot offer. This is particularly meaningful over a potentially 30-year payout period where inflation could erode the purchasing power of a flat fixed annuity payment. Derek explained the fees and surrender charges and obtained signed acknowledgments. The \$700 annual income advantage of the VA's GLWB over the fixed annuity, combined with the ratchet upside potential, provides a reasonable basis for the recommendation. Margaret's unsophisticated profile cuts both ways: it means she needed more protection, but it also means her expressed preferences (guarantees with some growth potential) should be given weight rather than overridden by a paternalistic assumption that she should only own the simplest possible product.

Why Borderline

This case sits at the intersection of several genuinely contested questions in variable annuity regulation: (1) When a lower-cost product can achieve a substantially similar - but not identical - outcome, does recommending the more expensive product with additional features violate best-interest standards or reflect legitimate financial planning judgment? (2) How much weight should the GLWB ratchet feature receive when the client may not fully understand it but would objectively benefit from inflation protection over a potentially very long retirement? (3) Does a client's signed acknowledgment of disclosures satisfy the advisor's obligation when the client later admits limited understanding? (4) The commission differential is meaningful but not extreme, and higher compensation alone does not establish a violation if the product is otherwise defensible. Reasonable compliance officers and arbitrators could reach different conclusions.

Borderline Factors

- Total annual costs of 3.42% are high but include a GLWB rider with genuine ratchet upside that a cheaper fixed annuity lacks
- Client's basic income needs were already met by Social Security and pension, making the guaranteed income feature arguably unnecessary - but longevity risk over 30+ years is a legitimate planning concern
- A fixed annuity providing \$10,800/year was available at materially lower cost, but lacked inflation protection via market-linked ratchet
- Client signed all disclosure forms but later admitted not fully understanding the product mechanics
- Commission on the VA (\$13,800) was roughly 84% higher than the fixed annuity alternative (\$7,500), creating a material conflict but not an extraordinary one
- Advisor preserved meaningful liquidity (\$130,000 outside the VA) and did not concentrate all assets in the product
- 7-year surrender period limits access to \$230,000 during ages 64-71, a period of rising healthcare cost risk
- Client's unsophisticated profile increases the advisor's disclosure burden but does not automatically render a complex product unsuitable
- New York's best-interest standard is stricter than a traditional suitability standard, making the cost comparison more consequential

Likely Outcome

A regulator - particularly the New York Department of Financial Services applying its best-interest standard - would likely find this a close case but would probably conclude that a violation occurred, albeit not an egregious one. The key factor would be the availability of a materially less expensive fixed annuity that addressed Margaret's primary stated need (guaranteed lifetime income) at roughly 60% lower all-in cost, combined with the client's limited financial sophistication and her post-sale admission of incomplete understanding. While the GLWB ratchet feature provides genuine additional value, a regulator would likely conclude that the advisor did not adequately demonstrate why an additional ~\$5,000 per year in fees (the approximate cost differential on a \$230,000 investment) was justified by the incremental benefit of potential income ratchets for a client who was not in a financial position to absorb unnecessary costs. The advisor's documentation was strong, which would likely mitigate penalties, but the commission differential and the existence of a cheaper comparable product would tip the analysis toward a finding of a best-interest violation. Under a traditional suitability-only standard, the outcome would more likely favor the advisor, as the product was not fundamentally unsuitable given the client's longevity concerns and the advisor's preservation of liquidity.

Borderline Scenario 31

Topic: tax_deferred_unnecessary_annuity | Standard: FINRA Rule 2330 (Variable Annuity Suitability) requires that a member or ass

Fact Pattern

Margaret Ostrowski, age 58, is a public school teacher earning \$78,000 per year with an anticipated retirement at age 62. She has \$410,000 in a 403(b) plan through her employer, \$95,000 in a traditional IRA, and \$62,000 in a taxable brokerage account holding a mix of index funds and individual dividend-paying

stocks. She also has \$185,000 in a money market savings account that she accumulated over a decade from small inheritances and annual bonuses. She has no debt, owns her home outright, and her monthly expenses are approximately \$3,200. She has a modest state pension that will pay roughly \$2,800 per month starting at age 62.

In March 2023, Margaret met with financial advisor Dennis Kolcheck after attending a dinner seminar hosted by his firm at a local restaurant. The seminar focused on retirement income planning and protection against market downturns. Over the course of two meetings at his office, Dennis recommended that Margaret move \$160,000 from her money market savings account into a variable annuity with a guaranteed minimum income benefit rider. The annuity carried a mortality and expense charge of 1.30%, an administrative fee of 0.15%, underlying sub-account expenses averaging 0.72%, and the income rider cost an additional 1.05% annually - bringing total annual costs to approximately 3.22%. The annuity had a seven-year declining surrender charge schedule starting at 7% in year one.

Dennis earned a commission of \$9,600 (6% of the \$160,000 premium) on the sale. He documented that Margaret expressed concern about outliving her money and wanted guaranteed income in retirement. His notes indicate she described herself as 'moderately conservative' and said she 'didn't want to worry about the stock market.' He recommended the variable annuity's sub-accounts be allocated 60% to a balanced fund and 40% to a bond fund.

Margaret's money market account was earning 4.85% APY at the time of the recommendation. The guaranteed income rider on the variable annuity would provide a 5% annual roll-up on the benefit base (not the account value) and guaranteed lifetime withdrawals starting at age 65 equal to 5% of the benefit base. If Margaret activated the income stream at age 65, her guaranteed annual withdrawal would start at approximately \$12,520 per year, assuming the benefit base grew at 5% compounded over the deferral period.

Margaret did not have a long-term care insurance policy, but she had no known health issues. She listed her adult daughter as her sole beneficiary. Margaret's combined retirement income from her pension, Social Security (estimated at \$2,100/month starting at age 67), and 403(b)/IRA withdrawals was projected to exceed her living expenses. Dennis did not prepare a comprehensive financial plan or retirement income projection comparing the annuity to alternative strategies such as keeping the funds in the money market account, purchasing a fixed annuity, or investing in a low-cost balanced fund in her taxable brokerage account.

Six months after purchase, Margaret contacted Dennis concerned about a statement showing her account value had declined to \$153,200 due to market fluctuations and fees, while her money market account continued yielding nearly 5%. She asked about surrendering the annuity and was informed the surrender charge would be approximately \$10,724.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Dennis violated applicable standards: First, the recommendation moved after-tax savings

into a variable annuity that layers tax-deferral on top of funds that were not previously generating significant taxable income - a money market account's interest income, while taxable, was modest relative to her total financial picture, and the annuity's tax-deferral benefit is diminished when the client's marginal tax rate in retirement may be lower. Second, the total annual cost of approximately 3.22% significantly exceeds the yield on readily available alternatives. The money market account was yielding 4.85% with zero risk and full liquidity, meaning the annuity needed to generate returns substantially above that threshold just to break even after fees. Third, Dennis failed to prepare any comparative analysis or comprehensive retirement income projection, which would have shown Margaret's projected retirement income already exceeded her expenses without the annuity. Fourth, the seven-year surrender period restricts access to \$160,000 for a client who is only four years from retirement and might need flexibility. Fifth, Margaret's existing assets - pension, Social Security, 403(b), and IRA - already provided substantial retirement security, calling into question whether the guaranteed income rider addressed a genuine gap or manufactured a perceived need. The commission of \$9,600 raises questions about whether the recommendation was driven by compensation rather than client need.

Arguments that the recommendation was reasonable: Margaret explicitly expressed anxiety about outliving her money and fear of stock market losses - legitimate concerns that a guaranteed minimum income benefit rider directly addresses. The variable annuity provides a contractual guarantee that no other investment vehicle in her portfolio offers: a lifetime income stream she cannot outlive regardless of market performance. The 5% roll-up on the benefit base and 5% withdrawal rate at age 65 is a meaningful hedge against longevity risk. Margaret still retained \$25,000 in her money market account for liquidity, plus \$62,000 in her brokerage account and over \$500,000 in retirement accounts, so the \$160,000 allocation represented a reasonable portion of her total assets (roughly 21%). Her moderate-conservative risk tolerance aligns with the balanced/bond sub-account allocation. The current high money market rates are historically anomalous and could decline significantly; the annuity provides a long-term guarantee independent of interest rate movements. Dennis documented her stated concerns and risk tolerance. At age 58, a seven-year surrender period would expire by age 65, coinciding with her likely income activation date, so the surrender schedule aligns with the product's intended use. Additionally, the guaranteed income of \$12,520/year supplements her other retirement income sources and provides psychological security that has real value to a risk-averse client.

Why Borderline

This scenario is genuinely ambiguous because the client's stated emotional needs (longevity protection, market anxiety) arguably justify a guaranteed income product, yet a quantitative analysis suggests the annuity may be unnecessary given her existing retirement resources and the high all-in cost relative to simpler alternatives. The absence of a formal comparative analysis is problematic but not dispositive - the advisor did document the client's concerns. Reasonable professionals could disagree about whether the psychological benefit of a guarantee and the longevity hedge justify the fee drag and illiquidity, particularly when the client's retirement income was already projected to be sufficient.

Borderline Factors

- Client's expressed longevity anxiety and market fear provide documented rationale for a guaranteed income product, but her projected retirement income already exceeds expenses without the annuity
- Money market rates at 4.85% at the time of purchase made the opportunity cost of the annuity unusually visible, but those rates are variable and could decline sharply

- Total annuity costs of 3.22% are high but not extreme for a VA with a living benefit rider, and the guaranteed roll-up feature has genuine economic value
- No comprehensive financial plan or comparative analysis was prepared, but the advisor did document client concerns and risk tolerance in meeting notes
- The \$160,000 allocation represents roughly 21% of total assets - significant but not an outsized concentration for someone with multiple income sources
- Seven-year surrender period aligns with the client's planned income activation at age 65, but restricts liquidity during a transitional pre-retirement period
- The 6% commission creates a conflict of interest but is standard for the product type and does not alone establish that the recommendation was inappropriate
- The dinner seminar sales channel raises questions about whether the recommendation was product-driven rather than needs-driven, but seminar-sourced clients are not per se unsuitable candidates

Likely Outcome

A regulator would likely find a violation, though not an egregious one. The primary deficiency is the failure to prepare any comparative analysis or retirement income projection that would have demonstrated whether the guaranteed income rider filled an actual income gap. Under a best-interest standard, the advisor's obligation extends beyond matching a product to a stated concern - the advisor must evaluate whether the product materially improves the client's financial position relative to reasonably available alternatives. Given that Margaret's retirement income was projected to exceed her expenses, the 3.22% annual cost and seven-year surrender period represent material downsides that needed to be weighed against the incremental benefit of the guarantee. The absence of documentation showing this analysis was performed would be the decisive factor. However, a mitigating factor is that the allocation was a minority of total assets and the client's stated preferences were documented, which could reduce any sanction to a supervisory deficiency rather than a fraud finding.

Borderline Scenario 32

Topic: senior_investor_exploitation | Standard: FINRA Rule 2330 (Variable Annuity Suitability): Requires that the advisor have a reasonable basis to believe that the investment is suitable for the client.

Fact Pattern

Margaret Hollings, age 74, a retired school principal, met with her financial advisor, Derek Nolan, in March 2023. Margaret had a total liquid net worth of approximately \$820,000, consisting of \$390,000 in a maturing 5-year bank CD, \$180,000 in a brokerage account holding blue-chip dividend stocks, \$140,000 in a traditional IRA invested in bond funds, and \$110,000 in a money market account. She received \$3,400 per month from Social Security and a \$2,100 per month state teacher's pension, for combined guaranteed income of \$5,500 per month. Her monthly expenses were approximately \$4,200, leaving a \$1,300 monthly surplus. She had no mortgage, lived independently in a paid-off condominium, and was in generally good health, though she had been diagnosed with early-stage macular degeneration six months prior. She had one adult daughter, age 48, who lived nearby and was financially independent.

Margaret told Derek that she was concerned about outliving her money, particularly because her mother had lived to age 97 and her aunt to 101. She expressed worry about potential long-term care costs after seeing a close friend enter assisted living at \$7,500 per month. She said she wanted to make sure she had

guaranteed income if she ever needed to supplement her pension and Social Security, but also wanted to leave something to her daughter. She described herself as conservative but acknowledged she understood that some risk was necessary to keep up with inflation.

Derek recommended that Margaret use \$340,000 from the maturing CD to purchase a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The product had a 7-year surrender period with declining surrender charges starting at 7% in year one and decreasing by 1% annually. The total annual fees on the variable annuity—including mortality and expense charges, administrative fees, underlying subaccount expenses, and the GLWB rider fee—amounted to approximately 3.15% per year. The GLWB rider guaranteed a 5% annual withdrawal rate on a benefit base that would step up annually if the account value grew, and it locked in a guaranteed floor regardless of market performance. Derek allocated the subaccounts to a moderate portfolio: 40% in a large-cap equity subaccount, 35% in a balanced/allocation subaccount, and 25% in a bond subaccount.

Derek documented that the annuity was intended to address Margaret's longevity risk, that the GLWB would provide guaranteed supplemental income of approximately \$17,000 per year starting at age 81 if needed, that Margaret's remaining liquid assets of \$480,000 were more than sufficient for near-term needs and emergencies, and that the 7-year surrender period was appropriate given that the product was designed for income starting in her early 80s. He noted that Margaret's health was generally good despite the macular degeneration diagnosis. He also documented that he discussed a fixed indexed annuity with lower fees (approximately 0.60% annually with a similar income rider) and a systematic withdrawal plan from a diversified portfolio, but that Margaret preferred the combination of market participation with a guaranteed income floor. His firm's compliance department reviewed and approved the transaction.

Margaret's daughter, upon learning of the purchase four months later, filed a complaint alleging that the high-fee variable annuity was inappropriate for a 74-year-old retiree, that the surrender period would extend to age 81, that cheaper alternatives existed, and that her mother's early-stage macular degeneration could accelerate and require assisted living sooner than anticipated, potentially triggering surrender charges if the money were needed. The daughter also noted that her mother's guaranteed monthly income already exceeded her expenses, questioning whether the annuity was necessary at all.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Derek violated applicable standards: The customer is 74 years old, and a 7-year surrender period locks up a significant portion of her liquid assets (\$340,000 out of \$820,000, or 41%) until she is 81. The all-in annual cost of 3.15% is high, especially when a fixed indexed annuity with similar income guarantees was available at roughly 0.60%. Over the surrender period, the fee differential could cost Margaret approximately \$50,000-\$60,000 in cumulative excess charges. The customer already has guaranteed income (\$5,500/month) exceeding her expenses (\$4,200/month), raising the question of whether additional guaranteed income was genuinely needed or whether a simpler, cheaper solution would have sufficed. The macular degeneration diagnosis introduces uncertain but real health risks that could require access to the funds before the surrender period expires. A regulator focused on cost-efficiency could argue that the variable annuity was the more expensive of two reasonable alternatives, and that a

financial professional acting in the customer's best interest should have steered her toward the less costly product that addressed the same stated need.

Arguments that Derek acted appropriately: Margaret articulated a specific, legitimate concern-longevity risk-supported by her family history of extreme longevity (mother lived to 97, aunt to 101). The GLWB rider directly addresses this concern by providing guaranteed lifetime income regardless of market performance. The variable annuity's equity subaccount exposure offers inflation-hedging potential that a fixed indexed annuity's capped returns might not match over a 15-25 year time horizon, which is plausible given her family history. Margaret retained \$480,000 in liquid assets outside the annuity (58% of her total portfolio), providing substantial liquidity for emergencies, including potential long-term care costs. Derek documented that he presented alternatives-including the cheaper fixed indexed annuity and a systematic withdrawal strategy-and that the customer chose the VA after understanding the options. The firm's compliance department independently reviewed and approved the transaction. The macular degeneration was early-stage and had not progressed to a point requiring assisted living; speculating about future health deterioration to disqualify a product recommendation is a difficult standard to apply consistently. Moreover, the \$17,000/year guaranteed withdrawal starting around age 81 would provide meaningful supplemental income if long-term care or other unexpected costs materialized, and the GLWB guarantees persist even if the account value declines to zero. Finally, the daughter who complained was not the account holder and may have different financial priorities (inheritance) than Margaret herself (income security).

Why Borderline

This scenario sits in a genuine gray zone because the product addresses a real, documented need (longevity risk with strong family history), the customer retained significant liquidity, alternatives were discussed and documented, and the firm approved the transaction-yet the customer's age, the length of the surrender period, the significantly higher cost compared to an available alternative with similar guarantees, and the health diagnosis all raise legitimate concerns about whether a less expensive product would have better served the customer's interests. Reasonable professionals could disagree on whether the inflation-hedging benefit of the VA's equity subaccounts justifies the roughly 2.5% annual fee premium over the fixed indexed alternative for a 74-year-old.

Borderline Factors

- Customer is 74 with a 7-year surrender period extending to age 81, but has strong family longevity history suggesting a 20+ year time horizon
- All-in fees of 3.15% are high, but the product provides equity market participation with downside protection that cheaper alternatives may not fully replicate
- A fixed indexed annuity at 0.60% with similar income guarantees was discussed but not chosen by the customer, raising questions about whether the advisor sufficiently emphasized the cost differential
- Customer's existing guaranteed income already exceeds expenses, but longevity and potential long-term care needs create a plausible future income gap
- Early-stage macular degeneration introduces uncertain health risk that could require liquidity, but 58% of assets remain liquid outside the annuity
- The daughter's complaint may reflect inheritance concerns rather than the customer's own stated preference for income security
- Firm compliance reviewed and approved the transaction, suggesting internal suitability checks were satisfied

- The advisor documented the rationale and alternatives discussed, demonstrating a deliberative process even if the outcome is debatable

Likely Outcome

A regulator would likely find this to be a close case but would probably not find a clear violation, provided the documentation holds up to scrutiny. The advisor identified a legitimate need, presented alternatives, documented the customer's preference, and ensured significant liquidity remained outside the annuity. However, a regulator applying a heightened best-interest standard-particularly one focused on cost comparison-might issue a cautionary finding or require additional justification for why the variable annuity's equity exposure and higher fees were materially superior to the fixed indexed annuity for a 74-year-old. If the regulator determines that the advisor failed to adequately explain the roughly \$50,000-\$60,000 cumulative fee difference between the two products, or if the documentation of the customer's informed preference is thin, the outcome could shift toward a finding of a violation. State insurance regulators in jurisdictions with enhanced annuity transaction standards for senior consumers might apply additional scrutiny to the age and surrender period combination.

Borderline Scenario 33

Topic: illiquid_investments | Standard: FINRA Rule 2330 (Variable Annuity Suitability) - requires reasonable basis to believe (a) the a

Fact Pattern

Margaret Townsend, age 62, retired three years ago from a career in pharmaceutical sales. She has \$1.4 million in total investable assets: \$620,000 in a rollover IRA, \$310,000 in a taxable brokerage account, \$180,000 in a money market fund, and \$290,000 in certificates of deposit maturing over the next 18 months. She receives \$2,800 per month in Social Security and a \$1,950 per month pension from her former employer, both inflation-adjusted. Her monthly expenses are approximately \$4,200. She owns her home outright, has no debt, and carries long-term care insurance. She has two adult children and has expressed a desire to leave a meaningful inheritance.

In April 2023, her financial advisor, Derek Pullman, recommended she move \$400,000 from her rollover IRA into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The product, issued by a well-rated carrier (A.M. Best A+ rating), carried total annual expenses of 3.15% (1.40% mortality and expense charge, 0.95% GLWB rider fee, and 0.80% average underlying subaccount expense). The annuity featured a 7-year declining surrender schedule starting at 7% and declining 1% per year. The GLWB rider guaranteed a 5.25% annual withdrawal rate for life beginning at age 65, regardless of market performance.

Pullman documented that Margaret's primary concern was outliving her income and that she wanted to create a third guaranteed income stream to supplement Social Security and her pension. He noted that Margaret said she was 'terrified of another 2008' and wanted downside protection. Margaret's risk tolerance questionnaire scored her as 'moderately conservative.' Pullman's notes from three meetings over six weeks show that he discussed the surrender period, the total cost structure, and compared the VA to a fixed indexed annuity (which Margaret declined because she wanted some equity market upside).

However, several complicating factors exist. First, even without the annuity, Margaret's guaranteed income

(\$4,750/month from Social Security and pension) already exceeds her monthly expenses by \$550. Second, the \$400,000 allocation represents approximately 28.5% of her total investable assets and 64.5% of her IRA. Third, Pullman earned a 5.5% commission (\$22,000) on the sale, whereas a lower-cost alternative - a fee-based advisory account using a balanced fund portfolio - would have generated approximately \$4,000 annually in advisory fees with full daily liquidity. Fourth, Margaret's CDs maturing over the next 18 months could have been used to build a bond ladder or purchase a single premium immediate annuity at lower cost if guaranteed income was truly the goal. Fifth, Pullman did not document why the GLWB rider was preferable to a SPIA, which would have provided a higher immediate guaranteed payout at lower cost, though without market upside or a death benefit.

On the other hand, the VA's death benefit feature does align with Margaret's stated inheritance goal - if the account value declines, beneficiaries receive at least the original investment. The GLWB rider provides longevity protection with optionality that a SPIA does not (Margaret can defer withdrawals, maintain market exposure, and access the accumulation value in emergencies, subject to surrender charges). Margaret still retains \$1 million in liquid and semi-liquid assets outside the annuity. Pullman also provided Margaret with the product prospectus and a side-by-side comparison of three products. Margaret signed a disclosure acknowledging the surrender period and fee structure, and she had a 30-day free-look period during which she did not cancel.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that the recommendation was unsuitable or not in the client's best interest:

1. ****Questionable need for additional guaranteed income.**** Margaret's existing guaranteed income already exceeds her expenses. The primary justification for the GLWB rider - longevity income protection - is weakened when the client does not actually face an income gap. Under FINRA Rule 2330's suitability requirements, an advisor must have a reasonable basis to believe the annuity as a whole and its features are suitable. A GLWB rider costing 0.95% annually on a \$400,000 base (\$3,800/year) to solve a problem that arguably does not exist raises questions.
2. ****Cost comparison failure.**** The all-in cost of 3.15% annually is approximately \$12,600 per year on a \$400,000 investment. Over the 7-year surrender period, cumulative fees could exceed \$88,000 assuming modest growth, significantly eroding returns. Under Reg BI's care obligation (Rule 15l-1(a)(2)(ii)(B)), the advisor must consider reasonably available alternatives. A SPIA, which would have provided a higher guaranteed payout with no ongoing fees and no surrender charges, was not meaningfully explored in the documentation. A balanced fund portfolio in a fee-based account would have preserved full liquidity at roughly one-third the annual cost.
3. ****Concentration within the IRA.**** Placing 64.5% of the IRA into a single illiquid product limits Margaret's flexibility within her primary retirement account. If unexpected expenses arise (long-term care insurance lapse, home repair, family emergency), accessing IRA funds will trigger surrender charges for up to seven years.

4. ****Commission incentive.**** The \$22,000 upfront commission is substantially higher than the compensation from alternative recommendations, creating at least the appearance of a conflict. Under NAIC Model Regulation 275, Section 6(B), the producer must act in the consumer's best interest at the time of the transaction without placing their own financial interest ahead of the consumer's.

Arguments that the recommendation was suitable and in the client's best interest:

1. ****Expressed client concerns and preferences.**** Margaret articulated fear of market downturns and a desire for guaranteed income. The GLWB rider directly addresses sequence-of-returns risk in early retirement. Pullman documented her preferences over multiple meetings. Under NY Regulation 187 Section 224.4, the advisor must consider the consumer's expressed needs and financial objectives. Margaret rejected a fixed indexed annuity because she wanted equity upside, suggesting she was an engaged participant in the product selection.

2. ****Death benefit aligns with inheritance goal.**** Unlike a SPIA, the VA preserves a death benefit equal to at least the original premium, which directly serves Margaret's stated desire to leave assets to her children. This is a meaningful differentiator that justifies the cost premium over a SPIA.

3. ****Retained liquidity.**** Margaret retains approximately \$1 million in liquid and semi-liquid assets outside the annuity, including \$180,000 in money market funds and \$290,000 in CDs maturing within 18 months. The \$400,000 VA allocation represents only 28.5% of total assets - within the range many practitioners consider reasonable for illiquid products.

4. ****Optionality value.**** The GLWB rider provides flexibility that a SPIA does not: Margaret can defer withdrawals until age 65 (or later), maintain equity exposure, and access the accumulation value (subject to surrender charges) in emergencies. This optionality has economic value that partially justifies the cost differential.

5. ****Process and disclosure.**** Pullman conducted three meetings over six weeks, provided a prospectus and side-by-side comparison, documented the discussion, and Margaret had a free-look period. Under NAIC Model 275's documentation requirements, this process appears thorough.

6. ****Carrier quality.**** The A.M. Best A+ rating provides assurance that the guarantee is backed by a financially strong insurer, which is directly relevant to a client concerned about security.

Why Borderline

This scenario is genuinely ambiguous because the core recommendation - a VA with GLWB for a recently retired, moderately conservative client with longevity concerns - is a textbook use case for the product. The client expressed the precise fears the product is designed to address, she participated in the selection process, and she retains substantial liquid assets. However, the lack of a demonstrated income gap, the high all-in cost relative to alternatives (particularly a SPIA), the concentration within the IRA, and the significant commission differential create legitimate questions about whether the recommendation truly served the client's best interest or whether a less costly, more liquid alternative would have been more appropriate. Reasonable compliance professionals could disagree on whether the optionality and death

benefit features justify the cost premium, and whether the advisor's failure to document why a SPIA was inferior constitutes a process failure or simply an oversight in an otherwise thorough engagement.

Borderline Factors

- Client's guaranteed income already exceeds monthly expenses, undermining the primary rationale for a GLWB rider
- All-in annual cost of 3.15% is high but not extreme for a VA with living benefit rider from a top-rated carrier
- SPIA alternative was not meaningfully explored or documented despite potentially providing higher guaranteed income at lower cost
- Death benefit feature genuinely aligns with client's stated inheritance objective, which SPIA cannot replicate
- 64.5% IRA concentration in a single illiquid product is aggressive but total portfolio illiquidity is only 28.5%
- \$22,000 commission versus ~\$4,000 annual advisory fee creates significant compensation differential but does not alone establish a violation
- Client was engaged, informed, and had multiple opportunities to decline including a 30-day free-look period
- Advisor documented three meetings and provided product comparisons, suggesting a deliberate process rather than a high-pressure sale
- The optionality value of GLWB versus SPIA is a legitimate economic consideration whose quantification is debatable

Likely Outcome

A regulator would most likely find a technical process deficiency rather than a substantive violation. The core recommendation is defensible given the client's expressed preferences, risk profile, retained liquidity, and inheritance goals. However, the advisor's failure to document a meaningful comparison to a SPIA - which would have provided higher guaranteed income at lower cost and directly addressed the client's stated primary concern - is a gap in the care analysis. Under current best-interest standards, the advisor must consider reasonably available alternatives and document why the recommended product is superior for the client. A regulator would likely require enhanced documentation explaining why the VA's death benefit, equity upside, and optionality justified the approximately \$8,000+ annual cost premium over a SPIA or low-cost balanced portfolio. The advisor might receive a deficiency letter or heightened supervision requirement rather than a formal enforcement action, unless a pattern of similar high-commission VA sales is discovered.

Borderline Scenario 34

Topic: annuity_unnecessary_switching | Standard: FINRA Rule 2330 imposes heightened suitability requirements for variable annuit

Fact Pattern

Margaret Dawson, age 62, is a retired school principal with a \$1.4 million investment portfolio, a state pension paying \$68,000 annually, and Social Security benefits of \$2,100 per month beginning at age 66. She has no dependents and owns her home outright. In March 2019, her financial advisor, Brian Kowalski,

recommended she surrender a variable annuity she had purchased in 2014 - the Pacific Horizon VA, which had a remaining surrender period of 14 months and carried an all-in annual expense ratio of 3.12% (including mortality and expense charges, administrative fees, and the cost of a guaranteed minimum income benefit rider). The account value was \$287,000, but the guaranteed income base under the rider had grown to \$341,000 due to a 5% annual roll-up. The surrender charge on the existing contract was 3%, or approximately \$8,610.

Kowalski recommended replacing the Pacific Horizon VA with a newer product, the Summit Select VA, issued by a different carrier. The Summit Select carried an all-in expense ratio of 2.41%, offered a guaranteed lifetime withdrawal benefit rider with a 5.5% roll-up rate on the income base, and had a 7-year surrender schedule starting at 7%. The new product also offered a broader selection of 87 sub-account investment options compared to 34 in the old contract, including several low-cost index funds.

Kowalski documented several rationales: (1) the 71-basis-point annual fee reduction would save Margaret approximately \$2,040 per year on the current account value; (2) the new rider's 5.5% roll-up was superior to the 5% roll-up in the existing contract; (3) the new contract offered better sub-account diversification; and (4) the old contract's carrier had been downgraded from A+ to A by one of the major rating agencies following losses during the financial crisis, raising concerns about the insurer's long-term ability to honor the guarantee.

However, several complicating factors exist. Margaret's existing contract was only 14 months from being surrender-charge-free, meaning she could have waited and then either kept the contract or moved without penalty. The \$8,610 surrender charge she paid effectively offset more than four years of the annual fee savings. Additionally, by surrendering the old contract, Margaret forfeited the \$341,000 guaranteed income base and started the new contract's income base at the \$278,390 net surrender value, meaning the new rider's income base would need approximately 4.2 years of roll-up just to return to the level she had already accumulated. The old carrier's A rating, while lower than its prior A+, still represented strong financial stability and was consistent with many major life insurers. Kowalski earned a 5.8% commission on the new contract (\$16,147), compared to no additional compensation had Margaret stayed in the existing annuity. Margaret signed a replacement disclosure form and initialed each section, and Kowalski's notes indicate he spent two meetings discussing the pros and cons, including showing her a comparison spreadsheet. Margaret later told a friend she felt 'Brian explained everything pretty well, but I trusted his judgment more than the numbers - I don't really follow the details of these things.' She filed a complaint 18 months later after her daughter, a CPA, reviewed the paperwork and questioned the switch.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Kowalski violated applicable standards: The replacement resulted in Margaret forfeiting a \$341,000 guaranteed income base that had accumulated over five years, resetting her to \$278,390 - a loss of \$62,610 in guaranteed benefit value. The surrender charge of \$8,610 consumed over four years of the projected annual fee savings. Had Margaret waited just 14 months, she could have surrendered without penalty and preserved optionality. The new 7-year surrender schedule restarted her illiquidity clock at age 62, locking her in until approximately age 69. Kowalski's commission of \$16,147 on the new sale, versus

zero compensation for maintaining the status quo, creates a significant financial conflict. Margaret's own words suggest she relied on the advisor's judgment rather than independently understanding the trade-offs, which undercuts the argument that she made a fully informed decision.

Arguments that Kowalski acted reasonably: The 71-basis-point annual fee reduction is material over a long time horizon - if Margaret holds the new contract for 15-20 years, cumulative savings could be substantial. The higher roll-up rate (5.5% vs. 5%) means the new income base will eventually surpass what the old one would have reached, with the crossover point occurring within approximately 6-7 years. The broader sub-account menu, including low-cost index options, could improve net investment returns. The carrier downgrade, while not catastrophic, is a legitimate consideration for a product whose core value proposition depends on the insurer's long-term guarantee. Kowalski documented his rationale across two meetings and provided a comparison spreadsheet, suggesting a deliberate process. Margaret signed replacement disclosures acknowledging the trade-offs.

The central tension is whether the quantifiable short-term costs (surrender charges, forfeited income base, new surrender period, commission conflict) are outweighed by the arguably superior long-term product features, and whether the advisor's process was robust enough to satisfy heightened scrutiny applicable to annuity replacements. The 14-month remaining surrender period is particularly damaging - a reasonable advisor arguably should have recommended waiting, then evaluating the replacement penalty-free.

Why Borderline

This scenario is genuinely ambiguous because the replacement product is objectively less expensive with a better roll-up rate and broader investment options - it is not a case of switching into an inferior product. The advisor documented his reasoning and provided disclosures. However, the timing (14 months before the old surrender period ended), the forfeiture of a substantially higher guaranteed income base, the commission differential, and the client's apparent reliance on the advisor's judgment rather than independent understanding all cut against the advisor. Reasonable practitioners could disagree on whether the long-term benefits justify the short-term costs, and whether the documentation was sufficient to demonstrate that the client truly understood what she was giving up.

Borderline Factors

- Only 14 months remained on the existing surrender schedule, making the \$8,610 penalty arguably avoidable
- Forfeiture of \$62,610 in accumulated guaranteed income base value that would take years to recover under the new contract
- New product is genuinely less expensive (71 bps lower) with a higher roll-up rate and better sub-account options
- Carrier downgrade from A+ to A is a legitimate but relatively modest concern
- Commission of \$16,147 on the new sale versus \$0 for maintaining the status quo creates a material conflict
- Advisor conducted two documented meetings with a comparison spreadsheet, suggesting a process-oriented approach
- Client signed all replacement disclosures but expressed reliance on advisor judgment rather than independent comprehension
- New 7-year surrender schedule restarts illiquidity at a time when client is entering peak retirement

distribution years

Likely Outcome

A regulator would most likely find a violation, though not an egregious one. The 14-month remaining surrender period is the most problematic element - it suggests the advisor should have recommended waiting and then reassessing the replacement without penalty. Combined with the forfeiture of a substantial guaranteed income base, the significant commission differential, and the client's apparent lack of independent understanding, the totality of circumstances tips toward a finding that the replacement was not in the client's best interest at that particular time. However, the advisor's documentation, the legitimate product improvements, and the signed disclosures would likely result in moderate rather than severe sanctions - perhaps a fine, required restitution of the surrender charge, and enhanced supervision rather than suspension.

Borderline Scenario 35

Topic: variable_annuity_unsuitable | Standard: FINRA Rule 2330 (Variable Annuity Suitability) requires that a member or associated

Fact Pattern

Margaret Dawson, age 62, is a recently retired school librarian with a state pension paying \$3,400 per month, Social Security of \$1,850 per month starting at age 65, and total liquid savings of \$410,000. She owns her home outright (valued at \$285,000) and has no outstanding debts. She describes her risk tolerance as 'moderate' and says her primary goals are generating supplemental income in retirement, leaving something to her two adult children, and making sure she doesn't outlive her money. She has a \$120,000 traditional IRA at a discount brokerage invested in a mix of index funds and CDs.

Her financial advisor, Craig Nolan, who works for an independent broker-dealer, recommends she move \$235,000-roughly 57% of her liquid savings-into a variable annuity with a guaranteed minimum income benefit (GMIB) rider and a guaranteed minimum death benefit (GMDB) rider. The VA has a mortality and expense charge of 1.30%, an administrative fee of 0.15%, average underlying subaccount expense ratios of 0.82%, and the combined rider charges total 1.25% annually, bringing the all-in annual cost to approximately 3.52%. The product has a seven-year surrender schedule starting at 7% and declining by 1% per year. The GMIB rider has a ten-year waiting period before income can be activated at the guaranteed rate.

Nolan documents that Margaret expressed strong anxiety about market downturns during their second meeting, recounting how she 'lost sleep' during the 2008 financial crisis when her 403(b) dropped 38%. He notes that the GMIB rider addresses her longevity concern because it guarantees a 5% annual rollup on the benefit base for income calculation purposes, regardless of market performance, and that after the ten-year waiting period she could annuitize at a guaranteed rate. He also notes the death benefit protects the legacy goal.

Margaret's remaining \$175,000 stays in a money market account and a short-term bond fund. Nolan does not recommend touching the \$120,000 IRA. Margaret signs all disclosure documents, including the prospectus, surrender schedule acknowledgment, and a statement confirming she understands the fees.

She does not have a history of annuity ownership and has never previously worked with a financial advisor.

Eighteen months later, Margaret contacts the broker-dealer's compliance department after a neighbor tells her she is 'paying too much in fees.' She says she didn't fully understand what a 3.52% annual drag meant in dollar terms and didn't realize she couldn't access her full \$235,000 without penalty for seven years. She also points out she won't be able to use the income guarantee until age 72, by which point she will already be receiving Social Security. She asks whether the recommendation was appropriate for someone in her situation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that the recommendation was unsuitable or not in Margaret's best interest: (1) At an all-in cost of approximately 3.52% per year, the VA must generate substantial returns just to break even, which is a heavy drag on a moderate-risk retiree's portfolio. On \$235,000 that amounts to roughly \$8,272 annually in fees. (2) The seven-year surrender period locks up 57% of her liquid assets during the critical early years of retirement when unexpected expenses (healthcare, home maintenance) are statistically most likely. While she retains \$175,000 in liquid accounts, a significant unexpected expense or sustained period of low returns could pressure her into surrendering part of the VA at a penalty. (3) The GMIB rider has a ten-year waiting period, meaning Margaret cannot use the income guarantee until age 72. By then she will already be collecting Social Security (\$1,850/month) on top of her pension (\$3,400/month), giving her \$5,250/month in guaranteed income-potentially reducing the marginal utility of the GMIB. A lower-cost deferred income annuity or even a simple fixed annuity could have addressed longevity risk more efficiently. (4) The death benefit rider adds cost, but Margaret's children are adults and she has a paid-off home and remaining liquid assets; the incremental legacy protection may not justify the expense. (5) She had no prior annuity experience and arguably limited financial sophistication, raising questions about whether she truly understood the product's complexity despite signing disclosures.

Arguments that the recommendation was suitable and in Margaret's best interest: (1) Margaret's expressed anxiety about market volatility is well-documented and genuine; the GMIB rider provides a guaranteed income floor that directly addresses her stated fear of outliving her money, a fear that low-cost index funds alone cannot address. (2) Retaining \$175,000 (43% of liquid assets) in highly liquid, conservative instruments provides a meaningful liquidity buffer-roughly four years of supplemental spending at \$40,000/year-which is generally considered adequate for early retirement needs. (3) The 5% guaranteed rollup on the benefit base is a valuable feature in a low-interest-rate environment; if markets underperform, the guaranteed income at age 72 could prove significantly more valuable than alternative investments. (4) The combination of the pension, future Social Security, liquid reserves, and the VA with guarantees creates a diversified retirement income plan across guaranteed and market-linked sources. (5) Margaret signed comprehensive disclosures including the prospectus and fee acknowledgment; while comprehension can always be debated, the advisor followed standard disclosure protocols. (6) The allocation is 57% of liquid assets, not the totality, and the advisor left the existing \$120,000 IRA untouched, suggesting he did not recommend consolidating everything into a commission-generating product. (7) The death benefit, while adding cost, does serve her stated legacy goal and provides downside protection on the invested principal.

The critical tension is between the documented alignment with Margaret's stated goals (longevity protection, legacy, volatility anxiety) and the quantitative question of whether a less expensive product or combination of products could have achieved similar outcomes at meaningfully lower cost and with greater liquidity.

Why Borderline

This scenario is genuinely ambiguous because the advisor's recommendation is facially aligned with the client's documented goals and risk concerns, and he maintained a reasonable liquidity buffer. However, the high all-in cost, the long surrender period applied to a majority of liquid wealth, the delayed utility of the GMIB rider given her existing guaranteed income sources, and the availability of simpler and cheaper alternatives create legitimate questions about whether this was truly the best option for this particular client. Reasonable compliance professionals could disagree on whether the documented behavioral and emotional rationale (fear of loss, longevity anxiety) justifies the economic cost and illiquidity, or whether the advisor should have explored and documented why lower-cost alternatives were inferior.

Borderline Factors

- 57% of liquid assets in a single illiquid product is high but not unprecedented for a retiree with a pension, and 43% remains liquid
- 3.52% all-in annual cost is expensive but includes two guarantee riders that provide real economic value in adverse scenarios
- The GMIB ten-year waiting period delays income guarantees until age 72 when she will already have substantial guaranteed income, reducing but not eliminating the rider's value
- Margaret's documented volatility anxiety and longevity concern provide a reasonable behavioral justification that maps to the product's features
- The advisor did not consolidate the existing IRA into the VA, suggesting some restraint rather than pure commission motivation
- No evidence the advisor presented or documented consideration of lower-cost alternatives such as fixed annuities, deferred income annuities, or balanced fund portfolios with systematic withdrawal plans
- Margaret signed all disclosures but had no prior experience with annuities or financial advisors, creating an asymmetry of understanding
- The surrender period extends through ages 62-69, covering the gap years before Social Security when flexibility may be most needed

Likely Outcome

A regulator would most likely find this to be a close case but would probably conclude there was a violation-not because the product category was wrong, but because the advisor failed to adequately document why this particular VA at this cost level was preferable to less expensive alternatives that could have addressed the same goals. The lack of any documented comparison to lower-cost products (fixed annuities, deferred income annuities, or a laddered bond portfolio paired with a smaller VA position) would be the primary deficiency. A regulator applying a best-interest standard would likely view the 3.52% cost as requiring affirmative justification that cheaper alternatives were considered and found inferior for this client. The allocation percentage, while aggressive, would likely be viewed as within an acceptable range given the pension and liquid reserves. The probable outcome would be a finding of inadequate documentation of alternatives considered and a potential finding that cost was not sufficiently weighed, resulting in a supervisory action or fine rather than a finding of outright fraud or churning. Under a pure suitability

standard, the case is weaker for the regulator because the product does address stated needs.

Borderline Scenario 36

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2330 (Suitability requirements specific to variable annuity transactions, incl*

Fact Pattern

Margaret Holloway, age 62, is a recently retired school librarian living in Rochester, New York. She received a lump-sum pension buyout of \$485,000 in March 2023 and rolled it into a traditional IRA. She also has \$210,000 in a savings account, a paid-off home valued at approximately \$320,000, and receives \$2,100 per month in Social Security benefits. Her annual living expenses are approximately \$48,000. She has no dependents, no outstanding debts, and describes herself as someone who 'doesn't like to lose money but knows you have to take some risk.' On her new account application with advisor Derek Paulson, she checked 'moderate' for risk tolerance and indicated a 15-to-20-year investment time horizon. She told Paulson she wanted the pension money to grow enough to keep up with inflation and potentially leave something to her nieces.

Paulson recommended that Margaret invest \$410,000 of her \$485,000 IRA into a variable annuity with a guaranteed minimum income benefit (GMIB) rider. The VA offered approximately 55 subaccount options. Paulson allocated the funds as follows: 40% in an aggressive growth equity subaccount, 25% in an international emerging markets subaccount, 20% in a small-cap value subaccount, and 15% in a high-yield bond subaccount. The total annual expenses of the VA, including the GMIB rider, mortality and expense charges, and underlying subaccount fees, came to approximately 3.45%. The surrender period was seven years with a declining surrender charge starting at 7%. Paulson documented that Margaret wanted growth to outpace inflation and noted her 15-to-20-year horizon justified the equity-heavy allocation. He also noted the GMIB rider provided downside protection, as the rider guaranteed a minimum income stream starting at age 72 regardless of subaccount performance.

Six months later, Margaret's VA had declined approximately 14% due to a downturn in emerging markets and small-cap stocks. She called Paulson, distressed, saying she didn't understand she could lose this much money in the account. Paulson reminded her of the GMIB rider and assured her the guaranteed income floor was still intact. Margaret filed a complaint with the insurance department, stating that she told Paulson she didn't want to lose money and that the allocation was too aggressive for her situation. Paulson's notes from the original meeting, however, do reflect Margaret's statement about needing growth and her self-identified moderate risk tolerance. Paulson also retained a signed acknowledgment form where Margaret confirmed she understood the VA's subaccount risks, fees, and surrender charges. Notably, Paulson did not document any discussion of lower-cost alternatives such as balanced mutual funds, target-date funds, or a fixed indexed annuity, nor did he present any comparison of how those products might have met her stated objectives.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

The central tension in this case is between the documented risk tolerance and time horizon on one hand, and the actual subaccount allocation and total cost structure on the other. Several arguments favor Paulson's position: Margaret self-identified as a moderate risk-tolerant investor with a 15-to-20-year time horizon, she signed an acknowledgment of the VA's risks and costs, the GMIB rider does provide a contractual floor that mitigates total loss of income, and the long time horizon arguably supports a growth-oriented equity allocation. Paulson could argue that the GMIB rider itself acts as a risk mitigation tool, meaning the total portfolio risk is lower than the subaccount allocation alone suggests.

However, multiple factors cut against Paulson. A portfolio allocated 85% to aggressive equity subaccounts (aggressive growth, emerging markets, small-cap) and 15% to high-yield bonds is not consistent with a 'moderate' risk profile by any standard industry risk-profiling methodology. Even with a GMIB rider, the rider only protects a future income stream—it does not protect the account value from significant short-term or medium-term declines, which is precisely what distressed Margaret. The 3.45% all-in annual cost is at the high end of VA expense ratios, and over a 15-year period, this would consume a substantial portion of returns—roughly \$100,000 or more in cumulative fees on a \$410,000 investment—raising questions about whether less expensive products could have achieved Margaret's inflation-protection and modest-growth goals. Under New York's enhanced producer obligations effective since 2020, a producer must consider reasonably available alternatives and may not place their own financial interest ahead of the consumer's. Paulson earned a commission of approximately 5.5% (\$22,550) on the sale. The absence of any documented comparison to lower-cost alternatives such as balanced funds, target-date retirement funds, or a fixed indexed annuity is significant. A balanced fund with a 60/40 allocation and a 0.50% expense ratio could plausibly have met Margaret's goals at roughly one-seventh the annual cost. FINRA's guidance on variable annuity sales also emphasizes that the specific subaccount allocation must be suitable independent of the product-level recommendation, meaning even if a VA was appropriate, the 85/15 aggressive allocation may independently fail a suitability analysis for a moderate-risk 62-year-old retiree whose primary asset this represents. Additionally, concentrating \$410,000 of a \$485,000 IRA (85% of retirement assets) in a single illiquid product with a 7-year surrender charge raises concentration and liquidity concerns, particularly given that this is essentially Margaret's entire retirement nest egg aside from Social Security and savings.

Why Borderline

This is genuinely gray because the client did self-identify as moderate risk with a long time horizon, signed detailed disclosures, expressed a desire for growth, and the GMIB rider does provide a contractual income floor that complicates pure risk-profile analysis. The advisor has documentation supporting the recommendation. However, the subaccount allocation appears misaligned with the stated moderate risk tolerance, the all-in costs are high, no alternatives were documented, and the concentration of retirement assets in a single illiquid product is concerning. Reasonable practitioners could disagree about whether the GMIB rider sufficiently offsets the aggressive allocation, and whether the documentation of the client's growth preference and signed acknowledgments are sufficient to establish that the recommendation was in her interest.

Borderline Factors

- Client self-identified as moderate risk tolerance but was placed in an allocation that is objectively aggressive (85% equity/15% high-yield)
- GMIB rider provides contractual income protection that arguably reduces effective portfolio risk,

complicating traditional risk-profile analysis

- Client signed detailed acknowledgment forms and expressed a desire for inflation-beating growth
- 3.45% all-in annual expense ratio is high but not unprecedented for a VA with living benefit riders
- No documentation of any consideration of lower-cost alternative products that could have met stated goals
- 85% of total retirement savings concentrated in a single illiquid product with 7-year surrender period
- Advisor's commission of approximately \$22,550 creates potential conflict but does not alone establish wrongdoing
- 15-to-20-year time horizon supports some equity exposure but does not necessarily justify 85% aggressive equity allocation
- Client's stated preference ('doesn't like to lose money') appears to conflict with the allocation chosen

Likely Outcome

A regulator-particularly the New York Department of Financial Services under its enhanced annuity standards-would likely find at least a partial violation. While the product-level recommendation of a VA with a GMIB rider has defensible aspects given Margaret's time horizon and growth objectives, the subaccount allocation is difficult to reconcile with a moderate risk profile for a 62-year-old retiree whose primary retirement asset is at stake. The absence of any documented consideration of alternatives would be viewed as a significant deficiency under New York's best-interest framework. A FINRA examiner applying variable annuity suitability standards would likely focus on the disconnect between the documented 'moderate' risk tolerance and the 85% aggressive equity allocation, and would question whether the advisor adequately considered the customer's investment profile when selecting subaccounts. The most probable outcome is a finding that the subaccount allocation was unsuitable even if the VA product itself was within the range of reasonable recommendations, coupled with a finding of inadequate documentation of alternatives considered. Sanctions would likely include a fine and mandatory enhanced supervision, but not necessarily disgorgement of the full commission given the partial defensibility of the product-level recommendation.

Borderline Scenario 37

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2330 (suitability and supervisory requirements for variable annuity transactions)

Fact Pattern

In March 2023, financial advisor Derek Paulson of Heartland Financial Group met with Margaret and Robert Chen, both age 62, to discuss their retirement planning. The Chens had recently sold a commercial property and received \$1.1 million in net proceeds. Their other assets included \$420,000 in a joint brokerage account (60% equities, 40% bonds), Robert's 401(k) worth \$310,000, and Margaret's traditional IRA worth \$185,000. Combined, their household net worth was approximately \$2.15 million, excluding their primary residence valued at \$475,000. Robert planned to retire at 65 and Margaret at 64. Their combined Social Security projections at full retirement age totaled roughly \$4,800 per month. Neither had a pension. Their stated monthly retirement expenses were estimated at \$7,500.

During the initial meeting, Derek had the Chens complete a risk tolerance questionnaire. Robert scored as 'moderate-aggressive,' reflecting his comfort with market fluctuations from years of managing rental properties and stock investments. Margaret scored as 'moderate-conservative,' noting she preferred

stability and was anxious about sequence-of-returns risk in early retirement. On the firm's new account paperwork, Derek recorded the couple's joint risk profile as 'moderate' - effectively splitting the difference - with a time horizon of 20-25 years and an investment objective listed as 'growth and income.'

Derek recommended that \$750,000 of the property sale proceeds be placed into a variable annuity with a guaranteed minimum income benefit (GMIB) rider. The product, issued by National Horizon Life, featured an all-in annual expense ratio of 3.42% (mortality and expense charge of 1.25%, administrative fee of 0.15%, average underlying subaccount expense of 1.22%, and GMIB rider fee of 0.80%). The GMIB guaranteed a 5% annual rollup on the benefit base for up to 10 years, with lifetime income payments beginning no earlier than age 65. The surrender period was 7 years, with charges starting at 8% and declining annually to 0%. Derek allocated the subaccounts as follows: 55% to a large-cap growth fund, 20% to an international equity fund, 15% to a balanced fund, and 10% to a bond fund - an allocation with roughly 75-80% effective equity exposure.

Derek's rationale, documented in his notes, stated that the GMIB rider addressed Margaret's concerns about guaranteed income in retirement, while the equity-heavy subaccount allocation captured Robert's higher risk tolerance and their 20+ year time horizon. He noted that the guaranteed income floor meant the Chens could afford to be more aggressive with the underlying investments, since the worst-case scenario was the GMIB kicking in. He also documented that the Chens' projected Social Security income of \$4,800/month left a gap of \$2,700/month (\$32,400 annually), and that the GMIB could generate approximately \$37,500-\$42,000 per year in guaranteed lifetime income starting at age 65, more than covering the gap.

However, several facts complicate the picture. First, Margaret had mentioned during the meeting that they might need \$80,000-\$100,000 within the next two to three years for home renovations and to help their daughter with a down payment on a house, though she described these as 'possibilities, not certainties.' Derek placed the remaining \$350,000 from the property sale into a balanced mutual fund portfolio, which he noted could cover these potential liquidity needs. Second, the Chens had never owned a variable annuity before and Margaret later told a friend she found the product 'confusing but trusted Derek's judgment.' Third, Robert had a family history of heart disease and had undergone a cardiac stent procedure 18 months earlier, though he described his current health as 'good' and said his cardiologist was optimistic. Fourth, an alternative product - a fixed indexed annuity with an income rider from the same carrier - carried total annual costs of approximately 1.65% and offered a 4.5% rollup rate, which would have generated approximately \$33,750-\$36,000 in annual guaranteed income at age 65. Derek's notes show he discussed the fixed indexed annuity briefly but wrote that the Chens 'preferred the upside potential of the variable annuity subaccounts.' The Chens signed all disclosure documents, including the prospectus delivery acknowledgment and the rider election form. Derek earned a 5.5% commission on the variable annuity sale (\$41,250) compared to the 5.0% commission he would have earned on the fixed indexed annuity (\$37,500).

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Derek violated applicable standards: (1) The 75-80% equity allocation within the VA subaccounts appears inconsistent with Margaret's moderate-conservative risk profile. By blending the

couple's divergent risk tolerances into a single 'moderate' designation and then allocating aggressively within the annuity, Derek may have effectively overridden Margaret's stated preferences. Under FINRA Rule 2330, the recommendation of a variable annuity must be suitable for the particular customer, and where joint accounts are involved, the more conservative profile often should govern, particularly when approaching retirement. (2) The total expense ratio of 3.42% is high even by VA industry standards; the GAO and academic studies on VA mis-selling have consistently flagged that excessive fees can erode the value proposition of guaranteed riders. The fixed indexed annuity alternative, at 1.65% total cost, would have nearly matched the guaranteed income projection (\$33,750-\$36,000 vs. \$37,500-\$42,000) at roughly half the cost, raising questions about whether the incremental benefit justified the incremental expense. (3) Robert's cardiac history introduces longevity uncertainty - if Robert were to pass away before annuitization, the GMIB benefit base (as opposed to account value) typically does not pass to beneficiaries, potentially reducing the value of the higher-cost product. Derek's notes do not reflect any analysis of this contingency. (4) The commission differential, while modest in percentage terms (\$3,750), could suggest a conflict that under Reg BI's conflict-of-interest obligation (Rule 15l-1) and NY Regulation 187 should have been more explicitly addressed and mitigated. (5) Margaret's stated confusion about the product raises questions about whether adequate disclosure was truly achieved, even though documents were signed.

Arguments that Derek acted within applicable standards: (1) The recommendation was documented with a clear rationale - the GMIB directly addressed the income gap, and the equity-tilted allocation was justified by the long time horizon (20-25 years) and the downside protection provided by the rider itself. This is a legitimate investment thesis: the guaranteed income floor effectively de-risks the equity exposure, a concept supported by academic literature on the 'option value' of VA guarantees. (2) The Chens' overall household portfolio remained diversified - the VA represented approximately 35% of total assets, and \$770,000 remained outside the annuity in liquid, accessible accounts, more than sufficient to cover the potential near-term liquidity needs Margaret mentioned. (3) Under NAIC Model Regulation 275, the producer must have reasonable grounds for believing the recommendation is suitable based on the consumer's disclosed financial situation, needs, and objectives. The Chens' combined moderate profile, documented income gap, and stated interest in upside potential provide such grounds. (4) The commission differential of \$3,750 on a \$750,000 transaction is 0.5% and unlikely to be deemed a material conflict driving the recommendation. (5) The Chens signed all disclosures, and Derek did discuss the alternative FIA product - documentation shows it was presented and the clients expressed a preference. (6) FINRA Rule 2330(b) requires a principal to review and approve VA transactions, and the firm's supervisory process would provide an additional check on suitability.

Why Borderline

This scenario is genuinely ambiguous because the recommendation has a defensible economic rationale (income gap coverage with upside potential and a legitimate hedging argument for equity allocation within a guaranteed product), yet several factors - the blended risk profile that may underweight Margaret's conservatism, the materially cheaper alternative that nearly matches the income guarantee, Robert's health concerns affecting longevity assumptions, and Margaret's self-described confusion - create legitimate grounds for regulatory concern. Reasonable compliance professionals could disagree on whether the additional cost and complexity of the VA over the FIA was justified by the incremental benefits, and whether averaging two divergent risk profiles into a single moderate designation constituted an adequate assessment.

Borderline Factors

- Blending divergent spousal risk tolerances into a single 'moderate' profile that may inadequately reflect the more conservative spouse's preferences
- All-in expense ratio of 3.42% versus a 1.65% alternative that provided nearly comparable guaranteed income
- The legitimate 'option value' argument that guaranteed riders justify more aggressive subaccount allocations, supported by academic literature
- Robert's cardiac history creating longevity uncertainty that could reduce the GMIB's value proposition, especially regarding benefit base vs. death benefit
- Sufficient liquid assets (\$770,000) remaining outside the annuity to address near-term needs and diversification
- Margaret's self-reported confusion about the product despite signing all disclosure documents
- Modest but directionally consistent commission differential favoring the recommended product (\$41,250 vs. \$37,500)
- Documentation showing the FIA alternative was discussed and clients stated a preference for upside potential

Likely Outcome

A regulator would most likely find this to be a close case but would probably not sustain a violation, provided the firm's supervisory principal reviewed and approved the transaction and the documentation holds up. The income gap analysis is sound, the overall portfolio allocation is reasonable, and the guaranteed rider does provide a coherent justification for the equity-heavy subaccount mix. However, the regulator would likely issue supervisory concerns or require enhanced documentation regarding: (a) the rationale for not giving greater weight to Margaret's conservative profile, (b) a more explicit cost-benefit comparison between the VA and FIA alternatives, and (c) analysis of the impact of Robert's health on the recommendation's suitability. If Margaret's confusion is corroborated by additional evidence suggesting she did not understand the product, the balance could tip toward a finding of inadequate disclosure or a failure to act in the client's best interest under Reg BI or NY Reg 187.

Borderline Scenario 38

Topic: illiquid_investments | Standard: NAIC Model Regulation 275 (2020 revisions) - Best Interest standard requiring producers to a

Fact Pattern

Margaret Dawson, age 62, met with financial advisor Kevin Trask in March 2023 to discuss consolidating her retirement savings. Margaret had recently taken early retirement from a pharmaceutical company where she had worked for 28 years. Her financial profile included a \$410,000 401(k) rollover, a \$95,000 brokerage account, \$62,000 in a money market account, and a rental property generating approximately \$1,800 per month in net income. She also expected to begin receiving a defined benefit pension of \$3,200 per month starting at age 65 and would be eligible for Social Security benefits of approximately \$2,400 per month at age 67. Margaret told Kevin she was concerned about outliving her savings and wanted guaranteed income but also mentioned she might need to access funds within the next three to five years to help her daughter purchase a home - she estimated this gift could be as much as \$80,000 to \$100,000.

She described her risk tolerance as moderate and said she did not want to be in a position where she could not get to her money if she needed it.

Kevin recommended Margaret roll her entire \$410,000 from the 401(k) into a variable annuity with a guaranteed lifetime withdrawal benefit rider. The product carried a seven-year surrender charge schedule starting at 7% in year one and declining by 1% per year. The all-in annual cost - including the mortality and expense charge, the rider fee, and weighted average sub-account expense ratios - was approximately 3.15%. The guaranteed withdrawal benefit would allow Margaret to withdraw 5% of her benefit base annually starting at age 65 for life, which would amount to roughly \$20,500 per year assuming no market decline reduced the benefit base. Kevin documented in his notes that Margaret's liquidity needs could be met through her existing brokerage account (\$95,000), money market savings (\$62,000), and rental income, and that the 10% free withdrawal provision of the annuity contract could provide an additional \$41,000 annually without surrender charges. He also noted the pension and Social Security would provide a strong income floor beginning in a few years.

Margaret signed the application and the rollover was processed in April 2023. In September 2024, Margaret's daughter asked for help with the home purchase sooner than expected and Margaret attempted to withdraw \$85,000 from the annuity. She was informed that only \$41,000 could be withdrawn without a surrender charge, and the remaining \$44,000 would be subject to a 6% surrender penalty of approximately \$2,640, plus potential tax consequences. Margaret filed a complaint alleging that Kevin placed her in an illiquid product despite her clearly stated need for potential near-term access to funds. Kevin's firm responded that adequate liquid assets existed outside the annuity to cover the anticipated gift, that the annuity's free withdrawal provision provided additional flexibility, and that the guaranteed income features directly addressed Margaret's primary stated concern about longevity risk.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises significant questions about whether the recommendation to place the entire \$410,000 rollover into a single variable annuity with a seven-year surrender period was in the customer's best interest, given her disclosed potential liquidity need of \$80,000-\$100,000 within three to five years.

Arguments that the advisor violated applicable standards:

1. Margaret explicitly disclosed a potential near-term liquidity need of up to \$100,000 for her daughter's home purchase. While the advisor documented that non-annuity liquid assets (\$95,000 brokerage + \$62,000 money market = \$157,000) could cover this need, the recommendation effectively locked up her single largest asset - the \$410,000 rollover - in a product with substantial surrender penalties for seven years. If Margaret needed both the gift money and had any other unexpected expense, her liquidity position would be severely strained.
2. The all-in cost of 3.15% annually is on the higher end for variable annuities and significantly exceeds what Margaret would have paid in her former employer's 401(k) plan, which likely had institutional-class fund options with expense ratios below 0.50%. Over the seven-year surrender period, the cumulative fee

drag could amount to over \$90,000 on the \$410,000, raising questions about whether cheaper alternatives - such as a partial annuity allocation combined with a lower-cost managed portfolio - would have better served her needs.

3. The fact that the entire rollover went into a single product rather than being split between liquid and illiquid vehicles suggests the advisor may not have adequately considered reasonable alternatives. A split allocation - for example, \$250,000 into the variable annuity and \$160,000 into a diversified portfolio - would have addressed both the longevity concern and the liquidity need without materially reducing the guaranteed income benefit.

4. Under the NAIC Model Regulation 275 (as revised in 2020) and adopted in many states, the producer must act in the consumer's best interest at the time the recommendation is made, considering the consumer's financial situation, insurance needs, and financial objectives. The consumer's stated potential need for \$80,000-\$100,000 within 3-5 years is a significant liquidity signal that arguably should have led to a different allocation strategy.

Arguments that the advisor acted appropriately:

1. The advisor documented a reasonable liquidity analysis. At the time of the recommendation, Margaret had \$157,000 in readily accessible assets (brokerage and money market), plus \$1,800/month in rental income, plus \$41,000/year available through the annuity's free withdrawal provision. The total accessible resources in any given year substantially exceeded the \$80,000-\$100,000 she mentioned as a potential gift. The daughter's need was described as a possibility, not a certainty, and was placed 3-5 years out.

2. Margaret's primary and most clearly articulated concern was longevity risk - the fear of outliving her savings. The guaranteed lifetime withdrawal benefit directly addresses this concern by providing a floor income of approximately \$20,500/year for life, which when combined with her pension (\$38,400/year) and eventual Social Security (\$28,800/year), would give her approximately \$87,700 in guaranteed annual income. This is a meaningful and appropriate planning outcome.

3. The 10% annual free withdrawal provision is a standard liquidity feature that the advisor factored into his analysis. Combined with external liquid assets, Margaret had access to nearly \$200,000 without incurring any surrender charges - well above her stated potential liquidity need.

4. The advisor's notes reflect consideration of the customer's overall financial picture, including multiple income sources, liquid assets, and the timing of future guaranteed income streams. The recommendation was not made in a vacuum.

5. Under FINRA Rule 2330, a registered representative recommending a variable annuity must consider whether the customer would benefit from the tax-deferred features, whether the customer has been informed of the surrender charges, and whether the customer has a long-term investment objective. The advisor can argue all three prongs were satisfied.

Under Regulation Best Interest (Rule 15l-1), the broker-dealer and representative must satisfy the care

obligation, which requires reasonable diligence, care, and skill in making a recommendation. The analysis here turns on whether the advisor's documented liquidity analysis was reasonable at the time of the recommendation, or whether the concentration of the entire rollover in a single illiquid product with high costs was itself evidence of insufficient care.

Why Borderline

This is a genuine gray area because the advisor documented a facially reasonable liquidity analysis showing that the client's non-annuity assets could cover the anticipated near-term need, and the client's primary concern - longevity risk - was directly addressed by the product's guaranteed income features. However, the decision to place 100% of the rollover (the client's largest single asset) into a single illiquid product with a seven-year surrender schedule and 3.15% annual costs, rather than splitting the allocation, raises legitimate questions about whether the advisor adequately weighed reasonable alternatives and whether the recommendation truly reflected the client's best interest given her mixed liquidity signals. The fact that the anticipated need materialized only 18 months later - within the range the client described - and resulted in tangible surrender charges, creates a compelling but not dispositive complaint narrative. Reasonable practitioners could disagree about whether the external liquidity cushion was adequate justification for full concentration in the annuity.

Borderline Factors

- Client explicitly disclosed potential near-term liquidity need of \$80,000-\$100,000 but described it as uncertain and 3-5 years away
- Advisor documented \$157,000 in liquid non-annuity assets plus \$41,000 annual free withdrawal - totaling nearly \$200,000 in accessible funds against an \$80,000-\$100,000 potential need
- Entire \$410,000 rollover placed in single product rather than split allocation that could have addressed both goals
- All-in annual cost of 3.15% significantly exceeded 401(k) plan costs, raising questions about cost-benefit analysis
- Guaranteed lifetime income feature directly addressed client's primary stated concern about outliving her money
- Client had multiple future income sources (pension, Social Security, rental income) providing substantial guaranteed income floor independent of the annuity
- Liquidity need materialized 18 months in - sooner than expected but within the range the client described
- Actual surrender charge incurred was \$2,640 - meaningful but not catastrophic relative to the overall portfolio

Likely Outcome

A regulator would most likely find a technical violation, though the severity and sanctions would likely be moderate. The core issue is not that a variable annuity was inappropriate for this client - it arguably was suitable given her longevity concerns and overall financial profile - but rather that placing 100% of the rollover into a single illiquid product without recommending a split allocation that would have better accommodated the disclosed liquidity need suggests insufficient consideration of reasonable alternatives. Under both the revised NAIC Model 275 best-interest standard and Reg BI's care obligation, the advisor has a duty to consider reasonably available alternatives. A split allocation (e.g., \$280,000 in the VA and \$130,000 in a managed account) would have provided nearly the same guaranteed income benefit while preserving significantly more liquidity. The advisor's documentation, while showing awareness of the

liquidity concern, does not reflect consideration of this obvious alternative. A state insurance department applying the 2020 Model 275 standard, or a broker-dealer compliance department reviewing under Reg BI, would likely conclude that the full-rollover recommendation, while not egregiously unsuitable, fell short of the best-interest standard due to the failure to adequately consider and document why a partial allocation was rejected. The likely outcome would be a supervisory action requiring enhanced documentation and potentially restitution of the surrender charge, rather than a finding of fraud or intentional misconduct.

Borderline Scenario 39

Topic: high_fees_unsuitable | Standard: FINRA Rule 2330 (Variable Annuity Suitability) requires that a member or associated person

Fact Pattern

Margaret Kowalski, age 62, is a retired schoolteacher with a \$1.2 million portfolio consisting of \$680,000 in a 403(b) plan, \$320,000 in a traditional IRA, and \$200,000 in a taxable brokerage account. She receives a \$3,400/month pension and \$1,100/month from Social Security. Her annual living expenses are approximately \$54,000, meaning her pension and Social Security cover roughly 100% of her current needs. She has no debt, owns her home outright, and lists her investment objective as 'growth with income' and her risk tolerance as 'moderate.' She has expressed concern in multiple documented meetings about outliving her assets and about market volatility, particularly after experiencing anxiety during the 2020 market downturn when her portfolio temporarily declined 22%.

In March 2023, her financial advisor, Derek Simmons (15 years of experience, clean disciplinary record), recommended she move \$310,000 from her traditional IRA—which was invested in a diversified mix of low-cost index mutual funds with a blended expense ratio of 0.12%—into a variable annuity issued by a well-rated carrier (A.M. Best A+ rating). The VA selected includes a Guaranteed Minimum Withdrawal Benefit (GMWB) rider guaranteeing 5% annual lifetime withdrawals on the benefit base beginning at age 65. The VA's total annual fees are 3.15%, broken down as: mortality and expense charge of 1.25%, administrative fee of 0.15%, average underlying subaccount expense of 0.85%, and the GMWB rider fee of 0.90%. There is a 7-year surrender schedule starting at 7% and declining 1% per year.

Simmons documented that Margaret specifically requested guaranteed income to supplement her pension in retirement and that the GMWB rider would provide an additional \$15,500 per year in guaranteed lifetime income starting at age 65, which she could not outlive regardless of market performance. He also noted that the guarantee effectively addressed her stated fear of longevity risk and market volatility. Margaret signed all disclosure documents, including a fee comparison showing the cost differential between her existing IRA and the proposed VA. She initialed a section acknowledging the surrender charge schedule.

However, several facts complicate the picture. Margaret's existing income already covers her expenses, so the guaranteed income is arguably supplemental rather than essential. The 3.15% annual fee means approximately \$9,765 per year in charges on the \$310,000, compared to roughly \$372 per year in her prior index fund allocation—a difference of over \$9,300 annually. Over the 7-year surrender period, cumulative fees would total approximately \$68,355 (assuming no growth), substantially eroding the principal before the GMWB benefit even activates. A less expensive VA with a similar GMWB rider was available from another

carrier at a total cost of 2.40%, though with a slightly lower withdrawal guarantee of 4.5%. Simmons's firm had a revenue-sharing arrangement with the selected VA carrier but Simmons himself did not receive a higher commission on this product versus the alternative. Margaret's 403(b), which holds more than half her investable assets, already provides tax deferral, and the IRA itself was already tax-deferred, so the VA added no incremental tax benefit. Margaret has two adult children and has mentioned wanting to leave them an inheritance, but the VA's death benefit is the standard return-of-premium type with no step-up feature.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Simmons acted appropriately: Margaret had a clearly documented fear of outliving her assets and anxiety about market volatility. The GMWB rider directly addresses longevity risk by providing guaranteed lifetime income that cannot be replicated by a standard mutual fund portfolio. The \$15,500/year guaranteed withdrawal beginning at 65 provides a meaningful income floor and psychological comfort. Margaret was fully informed of fees and surrender charges, signed detailed disclosures, and the recommendation was documented with a reasonable rationale. The carrier is highly rated, reducing counterparty risk concerns. Simmons has a clean record and 15 years of experience. The amount moved (\$310,000) represents only about 26% of her total portfolio, leaving substantial assets in lower-cost vehicles for liquidity and flexibility. There is a legitimate financial planning argument that guaranteed income products serve retirees' behavioral and emotional needs even when not strictly necessary on a spreadsheet.

Arguments that Simmons violated applicable standards: The 3.15% total annual fee is exceptionally high and represents a roughly 26x cost increase over her prior allocation. Over the surrender period alone, Margaret will pay approximately \$68,000 in fees—more than an entire year of her living expenses—before the GMWB even activates. Her existing income already fully covers her expenses, undermining the argument that guaranteed income is a pressing need. The IRA was already tax-deferred, so the VA's tax-deferral wrapper provides zero incremental benefit, a classic indicator of an unsuitable VA placement. A less expensive VA with a comparable rider was available at 2.40% total cost, and while the withdrawal rate was modestly lower (4.5% vs. 5%), the fee savings of 0.75% per year (\$2,325 annually) would have substantially offset the difference in guaranteed income. The firm's revenue-sharing arrangement with the selected carrier raises questions about whether the product was chosen for the client's benefit or the firm's. The 7-year surrender period locks up funds for a 62-year-old entering the phase of life where unexpected healthcare or long-term care expenses are increasingly likely. The standard death benefit with no step-up undermines Margaret's stated inheritance goals, as market losses within the VA could reduce the value passed to her children. Finally, a simple immediate annuity or a low-cost balanced portfolio with systematic withdrawals could have addressed her stated concerns at a fraction of the cost.

Why Borderline

This scenario is genuinely ambiguous because the advisor identified a real client concern (longevity risk and volatility anxiety), selected a product that directly addresses it (GMWB rider), documented the rationale, and obtained informed consent with full fee disclosure. The client's emotional and behavioral needs are legitimate financial planning considerations that pure cost analysis may underweight. However,

the extreme fee differential, the availability of a cheaper comparable product, the lack of incremental tax benefit, the firm's revenue-sharing arrangement, and the questionable necessity of guaranteed income for someone whose expenses are already covered create substantial counterarguments. Reasonable practitioners disagree sharply about whether guaranteed income riders justify their cost for clients who do not strictly need the income, and whether addressing psychological comfort constitutes a legitimate basis for recommending a high-cost product.

Borderline Factors

- Client's existing income fully covers expenses, making the guaranteed income supplemental rather than essential
- 3.15% total annual fees represent a 26x cost increase over prior holdings, but the GMWB rider accounts for a significant portion and provides a tangible guarantee
- A comparable but less expensive VA product was available but with a slightly lower guaranteed withdrawal rate
- The IRA-to-VA transfer added no incremental tax deferral benefit
- Firm revenue-sharing arrangement with the selected carrier, though advisor compensation was not higher for this product versus the alternative
- Client's documented longevity anxiety and volatility fear provide legitimate basis for the recommendation
- Full fee disclosure was provided and client acknowledged the cost differential
- 7-year surrender period creates liquidity constraints for a client entering a phase with increasing healthcare risk
- Only 26% of total portfolio was moved, leaving substantial liquid assets elsewhere
- Client's inheritance goals are somewhat undermined by standard death benefit with no enhanced features

Likely Outcome

A regulator would likely find a violation, though not an egregious one. The core issue is that while the advisor identified a legitimate client concern, the specific product recommendation appears to have prioritized the more expensive option when a materially less costly alternative with substantially similar features was available. The absence of any incremental tax benefit from placing an IRA into a VA is a well-recognized red flag in supervisory examinations, and the fee differential-even accounting for the value of the GMWB rider-is difficult to justify when the client's income already covers her expenses. The firm's revenue-sharing arrangement, even if it did not directly affect the advisor's compensation, adds an additional layer of scrutiny. A regulator would likely acknowledge the advisor's good-faith effort to address the client's stated concerns but conclude that a reasonable person exercising due care would have either recommended the less expensive VA, considered a lower-cost alternative such as a single premium immediate annuity, or recommended a smaller allocation to the VA. The outcome would likely be a supervisory action or fine rather than a severe sanction, given the documentation and disclosure efforts.

Borderline Scenario 40

Topic: *inappropriate_risk_profile* | Standard: FINRA Rule 2330 (Variable Annuity Suitability) requires that a member or associated person

Fact Pattern

Margaret Kowalski, age 62, is a recently retired school administrator with a pension of \$4,200 per month and Social Security benefits starting at age 67 estimated at \$2,100 per month. She has \$485,000 in a 403(b) rollover IRA, \$110,000 in a savings account, and \$38,000 in a taxable brokerage account invested in a balanced mutual fund. Her home is fully paid off, valued at approximately \$340,000. She has no outstanding debts and no dependents; her two adult children are financially independent. On her new account paperwork completed with her advisor, Derek Simmons, her risk tolerance was marked as "moderate" and her investment objective was listed as "growth and income." She told Derek during their initial meeting in March 2022 that she wanted to "make sure she didn't outlive her money" and was nervous about stock market volatility after watching her 403(b) lose value during the 2020 downturn. She mentioned she might need \$30,000-\$50,000 in the next two to three years for kitchen renovation and a trip to Europe, but otherwise had no major planned expenses.

Derek recommended she roll \$410,000 of her 403(b) into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The VA had an all-in annual cost of 3.42%, which included a 1.15% mortality and expense charge, a 0.85% administrative fee, average underlying subaccount expenses of 0.72%, and a 0.70% GLWB rider charge. The product had a seven-year declining surrender schedule starting at 7% and dropping by 1% per year. The GLWB guaranteed a 5% annual withdrawal rate on a benefit base that would step up on each contract anniversary if the account value exceeded the prior high-water mark. Derek allocated the subaccounts as follows: 45% in a large-cap growth fund, 25% in an international equity fund, 15% in a high-yield bond fund, and 15% in a government bond fund - an allocation that his firm's internal analytics classified as "moderately aggressive," one notch above Margaret's stated "moderate" risk tolerance.

Derek's rationale, documented in a two-page suitability memo, stated that the GLWB rider effectively provided a "floor" of guaranteed income that mitigated downside risk, making the moderately aggressive allocation appropriate because the worst-case scenario still produced a reliable income stream. He argued that by accepting slightly higher volatility, Margaret could benefit from greater upside potential in the step-up feature. He also noted that Margaret's pension and future Social Security covered her basic living expenses, and that the \$110,000 in savings plus the \$38,000 brokerage account provided sufficient liquidity for her near-term renovation and travel plans. He did not present Margaret with a comparison of lower-cost alternatives such as a fixed indexed annuity, a deferred income annuity, or a simple balanced fund portfolio. Margaret signed the application and all disclosure documents, including the prospectus summary and surrender schedule acknowledgment.

Six months later, Margaret's account had declined approximately 14% due to equity market losses in the international and high-yield bond subaccounts. She called Derek's office upset that her \$410,000 was now worth approximately \$352,000 and asked about accessing funds for her kitchen renovation. Derek informed her that a withdrawal beyond the free-withdrawal corridor of 10% annually would trigger a 7% surrender charge. Margaret filed a complaint with the state insurance department, alleging that the variable annuity was too risky for her profile, too expensive, too illiquid given her stated near-term needs, and that the subaccount allocation did not match her moderate risk tolerance.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Derek violated applicable standards: First, the subaccount allocation was classified by his own firm as 'moderately aggressive,' which is one level above the 'moderate' risk tolerance documented on Margaret's account paperwork. Regulators have historically viewed mismatches between documented risk tolerance and actual portfolio allocation as presumptive evidence of unsuitability. Second, the total annual cost of 3.42% is significantly above the median VA cost and creates a substantial drag on returns, particularly for a client whose stated concern was capital preservation and not outliving her money. Third, Margaret explicitly mentioned needing \$30,000-\$50,000 within two to three years. Placing 84% of her rollover assets into a product with a seven-year surrender period and only a 10% free-withdrawal corridor creates a liquidity mismatch, even though she had \$148,000 in other liquid assets. The \$148,000 could cover the renovation and trip, but it would leave her with thin liquid reserves for emergencies. Fourth, Derek did not document any comparison of lower-cost alternatives - a fixed indexed annuity could have provided similar downside protection at roughly half the cost, and a simple balanced fund portfolio with systematic withdrawals could have addressed her income needs without surrender charges. Under enhanced standards requiring consideration of reasonably available alternatives, this omission is problematic.

Arguments in Derek's defense: The GLWB rider does provide a genuine income floor - even after the 14% decline, Margaret's guaranteed withdrawal base remained at \$410,000, meaning her lifetime income guarantee was intact at \$20,500 per year (5% of \$410,000). This is a meaningful benefit that a lower-cost product without guarantees could not replicate. Derek's rationale that the guarantee mitigates the impact of the moderately aggressive allocation has some intellectual merit: the GLWB effectively truncates the left tail of outcomes for income purposes, which arguably justifies accepting more equity exposure in the subaccounts to maximize the step-up potential. Margaret's pension and Social Security cover her basic expenses, so the VA is supplemental rather than essential income. Her \$148,000 in liquid assets (\$110,000 savings + \$38,000 brokerage) is technically sufficient to cover the \$30,000-\$50,000 near-term need plus a reasonable emergency fund. The one-notch risk tolerance discrepancy is at the margin - 'moderately aggressive' versus 'moderate' - and Derek documented his reasoning. Margaret reviewed and signed all disclosures, including the surrender schedule, suggesting informed consent.

Why Borderline

This case sits in a genuine gray zone because the GLWB rider creates a defensible argument for a slightly more aggressive allocation than the client's stated tolerance might otherwise warrant - the guaranteed income floor changes the effective risk profile of the overall position. The liquidity concern is real but arguably mitigated by external assets. The cost is high but not extreme for a VA with a GLWB rider. The one-notch risk tolerance discrepancy is at the boundary, not a dramatic mismatch. Reasonable practitioners disagree about whether GLWB-protected subaccounts should be evaluated on their own volatility or on the overall outcome including the guarantee. The absence of alternatives documentation is problematic under newer best-interest frameworks but would have been less concerning under older suitability-only standards, and the timing (March 2022) straddles various implementation dates.

Borderline Factors

- The subaccount allocation was only one notch above the client's documented risk tolerance, not dramatically mismatched
- The GLWB rider provides a plausible rationale for accepting higher equity exposure since the income guarantee truncates downside risk for income purposes

- The client had \$148,000 in liquid assets outside the VA, which arguably covers near-term needs and emergencies, though it leaves a thinner cushion
- Total all-in cost of 3.42% is above median but within the range seen in GLWB-equipped variable annuities and provides a genuine lifetime income guarantee
- No documented comparison of lower-cost alternatives was presented, but the GLWB benefit is not easily replicated by simpler products
- The client's complaint was triggered by a short-term market decline that did not actually impair the guaranteed benefit base
- The advisor documented a coherent rationale for the allocation strategy, though regulators may find it insufficient

Likely Outcome

A regulator would most likely find a partial violation. The one-notch risk tolerance discrepancy alone might be forgivable given the GLWB rationale, but the combination of (1) no documented alternatives analysis, (2) concentrating 84% of rollover assets in a high-cost, illiquid product when the client expressed near-term liquidity needs, and (3) internal firm classification of the allocation as exceeding the client's stated risk tolerance would likely tip the balance toward a finding of unsuitability. The most probable regulatory outcome is a finding that the recommendation did not satisfy best-interest requirements, with the primary deficiencies being the failure to consider reasonably available alternatives and the liquidity mismatch, rather than the subaccount allocation alone. The remedy would likely involve rescission of surrender charges and possible disgorgement of excess commissions, rather than a finding of fraud or willful misconduct.

Borderline Scenario 41

Topic: high_fees_unsuitable | Standard: FINRA Rule 2330 (variable annuity suitability, requiring reasonable basis to believe customer is suitable for investment)

Fact Pattern

Gerald Ostrowski, age 58, is a senior operations manager at a mid-sized manufacturing company earning \$142,000 annually. He has a 401(k) with \$485,000 in a mix of target-date and index funds, a traditional IRA worth \$112,000 invested in bond funds, a taxable brokerage account worth \$68,000, and approximately \$35,000 in savings. He has no pension and expects to retire at 66. His wife, age 55, works part-time earning \$28,000 and has a small IRA worth \$41,000. They own their home with \$94,000 remaining on the mortgage. Gerald described himself on intake documents as having 'moderate' risk tolerance and indicated his primary concern was 'not running out of money in retirement.' He noted that his father lived to 94 and his mother is still alive at 89, and he worries about longevity risk.

In March 2023, financial advisor Denise Caldwell recommended that Gerald move his \$112,000 traditional IRA into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The VA carried total annual expenses of 3.42%, broken down as: mortality and expense charges of 1.25%, administrative fees of 0.15%, average underlying subaccount expense ratios of 1.12%, and a GLWB rider fee of 0.90%. The GLWB guaranteed a 5% annual withdrawal rate on a benefit base that would step up annually if account value exceeded the prior high-water mark, and included a 7% annual roll-up on the benefit base during the deferral period. The product carried a seven-year surrender schedule starting at 7% and declining by 1% per year.

Caldwell earned a 5.75% commission on the sale, totaling \$6,440. She documented in her notes that she had discussed lower-cost alternatives including a fixed indexed annuity with a GLWB (total cost approximately 1.8%) and a systematic withdrawal strategy from a diversified portfolio of low-cost index funds. Her notes stated that Gerald preferred the VA because it offered both market upside participation and a guaranteed income floor, and that the fixed indexed annuity's cap rates and participation rates were 'too restrictive' for his growth objectives. Gerald signed an acknowledgment form confirming he understood the fee structure and surrender period.

However, Gerald's son, who works in finance, later reviewed the paperwork and filed a complaint. He argued that the 3.42% all-in cost was excessive and would substantially erode his father's retirement savings over time, that a simple balanced index fund portfolio with a 0.15% expense ratio could have provided similar expected returns with dramatically lower costs, and that the guaranteed withdrawal benefit was unnecessary given that Gerald's combined household retirement assets of roughly \$706,000 plus future Social Security benefits (estimated at \$3,400/month combined) would likely be sufficient for their projected retirement expenses of approximately \$5,800/month. The son also pointed out that comparable VA products from other carriers offered similar GLWB guarantees with all-in costs closer to 2.4%, and questioned why his father was not shown those options.

Caldwell's broker-dealer's product shelf included three other variable annuities with GLWB riders, with all-in costs ranging from 2.38% to 2.95%. Caldwell stated she recommended the specific product because its 7% roll-up rate during deferral was higher than the competing products (which offered 5-6% roll-ups), the insurer had the strongest financial strength ratings (A++ from AM Best), and the step-up feature was more favorable. She acknowledged she had not prepared a side-by-side cost comparison for Gerald but maintained the recommendation was appropriate given his stated longevity concerns and desire for guaranteed income with growth potential.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations that make the analysis genuinely difficult.

Arguments that Caldwell acted appropriately:

1. The customer profile supports a legitimate need for guaranteed lifetime income. Gerald has no pension, expressed longevity concerns backed by family history, and the GLWB rider directly addresses the risk of outliving his assets. Academic literature on retirement income planning generally supports the use of annuity-based guaranteed income for retirees without pensions, particularly those with above-average life expectancy.
2. Caldwell documented that she discussed alternatives, including a lower-cost fixed indexed annuity and a systematic withdrawal strategy. Gerald chose the VA after understanding the tradeoffs, indicating informed consent.
3. The higher roll-up rate (7% vs. 5-6%) and stronger insurer financial ratings provide a reasonable basis for recommending the specific product, as the economic value of the higher roll-up during an 8-year deferral period could offset a meaningful portion of the cost differential.

4. The \$112,000 represents approximately 16% of total household retirement assets, which is not an unreasonable allocation to a guaranteed income vehicle.
5. Gerald signed fee disclosure documentation and was within the product's target age range.

Arguments that Caldwell violated applicable standards:

1. Under FINRA Rule 2330, a member must have a reasonable basis to believe that the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, annuitization, or death benefit features. Since the IRA already provided tax deferral, the VA added a layer of fees for a tax benefit Gerald already had-the primary justification must rest on the GLWB rider alone.
2. The 3.42% all-in cost is significantly above the median for comparable products on the firm's own shelf. FINRA Rule 2330(b) requires consideration of whether the customer would benefit from the VA in light of available alternatives. Caldwell's failure to prepare a side-by-side cost comparison is a procedural shortcoming, even if the higher-cost product had some superior features.
3. Under Regulation Best Interest (Rule 15l-1), the Care Obligation requires that a broker-dealer exercise reasonable diligence to understand the potential costs of a recommendation, including whether there are reasonably available alternatives that are less costly. The 102-basis-point gap between the recommended product (3.42%) and the cheapest comparable product on the shelf (2.38%) over a potential 25-30 year holding period represents a substantial difference-on \$112,000, the cumulative cost differential could exceed \$60,000-\$80,000 in nominal terms.
4. The son's analysis that Gerald's retirement income gap (\$5,800/month expenses minus ~\$3,400/month Social Security = ~\$2,400/month needed) could potentially be funded from a \$706,000 portfolio using a 4% withdrawal rule (\$2,353/month) without any annuity raises legitimate questions about whether the GLWB was necessary at all.
5. NY Regulation 187, if applicable, imposes a best-interest standard specifically on annuity transactions and requires producers to consider reasonably available alternatives, including lower-cost alternatives.
6. NAIC Model Regulation 275 (as amended in 2020) requires that an insurance producer act in the best interest of the consumer and that the recommendation be evaluated considering, among other things, costs and their impact on the consumer's financial situation.

The commission of \$6,440 (5.75%) is within normal industry ranges for VA products but is notably higher than what would have been earned on the lower-cost alternatives, creating at least an appearance of a conflict. The question is whether the documented rationale-higher roll-up rate and stronger insurer ratings-sufficiently justifies the cost premium.

The roll-up rate argument has some merit but requires scrutiny. A 7% roll-up on the benefit base for 8 years (to age 66) would grow a \$112,000 benefit base to approximately \$192,500, yielding a guaranteed annual withdrawal of \$9,625 (5% of \$192,500). A competing product at 2.38% all-in with a 6% roll-up would grow the benefit base to approximately \$178,500, yielding \$8,925 annually. The \$700/year difference in guaranteed income must be weighed against the cumulative cost differential over the life of the product-a complex calculation that Caldwell apparently did not perform for the client.

Why Borderline

This case sits in a genuine gray area because the product category itself (VA with GLWB) is arguably appropriate for the client's stated needs and risk profile, but the specific product selected was materially

more expensive than comparable alternatives on the firm's own shelf. The advisor documented reasonable-sounding justifications for the cost premium (higher roll-up, stronger insurer), but did not perform the quantitative analysis needed to demonstrate that these features actually delivered net value exceeding the additional cost. Additionally, reasonable people can disagree about whether a client with Gerald's total asset picture truly needed a guaranteed income product at all, or whether the allocation was reasonable as a portion of his overall retirement strategy. The presence of documented alternatives discussion and signed fee disclosures cuts in the advisor's favor, while the magnitude of the cost differential and the absence of a formal cost-benefit comparison cuts against her.

Borderline Factors

- Product category (VA with GLWB) is arguably suitable for client's longevity concerns and lack of pension, but total cost of 3.42% is high even within the VA universe
- The firm's shelf included comparable products at 2.38%-2.95% all-in cost, and no documented side-by-side quantitative comparison was prepared for the client
- The 7% roll-up rate versus 5-6% at competitors provides a facially reasonable basis for the higher cost, but the actual dollar-for-dollar value-add was never calculated
- IRA-to-VA exchange provides no incremental tax deferral benefit, meaning the entire value proposition rests on the insurance guarantees
- Client's total retirement picture (\$706K + Social Security) may or may not require guaranteed income depending on assumptions about market returns, inflation, and longevity
- 5.75% commission is within industry norms but creates a material conflict when lower-cost alternatives existed
- Client signed disclosures and the advisor documented the alternatives discussion, but sophistication of the client is moderate at best
- Seven-year surrender period locks up the IRA during the critical pre-retirement accumulation years (ages 58-65), limiting flexibility

Likely Outcome

A regulator would more likely than not find a violation, but the outcome is close. The key vulnerability is the failure to document a quantitative cost-benefit analysis justifying the selection of the most expensive product on the shelf over meaningfully cheaper alternatives with similar features. While the advisor's qualitative rationale (higher roll-up, stronger ratings) is not unreasonable, modern best-interest and enhanced suitability frameworks increasingly require advisors to demonstrate-not merely assert-that cost differentials are justified by incremental economic value to the client. A FINRA examination under Rule 2330 would likely focus on the absence of comparative analysis and the incremental tax-deferral-on-tax-deferral issue. A state insurance department applying the 2020 NAIC Model 275 amendments or NY Reg 187 would likely find that the advisor failed to adequately consider reasonably available lower-cost alternatives. However, the sanction would likely be moderate (enhanced supervision, additional training, possible restitution of the cost differential) rather than severe, given the documentation of some alternatives discussion and the arguable appropriateness of the product category itself.

Borderline Scenario 42

Topic: *illiquid_investments* | Standard: *FINRA Rule 2330 (variable annuity suitability - requiring reasonable basis to believe client would not be harmed)*

Fact Pattern

In March 2024, financial advisor Derek Hollis recommended that his client, Margaret Tan, age 62, invest \$340,000 into an L-share variable annuity with a 10-year surrender schedule and annual surrender charges beginning at 8.5% and declining to zero. The annuity offered a guaranteed minimum income benefit rider for an additional 1.15% annual fee on top of the contract's total annual expenses of 2.37%. Mrs. Tan is a recently retired school principal with a pension paying \$4,200 per month and Social Security benefits of \$2,100 per month beginning at age 65. She has a net worth of approximately \$1.1 million, consisting of \$420,000 in an IRA rollover (currently in a balanced mutual fund portfolio), \$290,000 in bank CDs and savings, a paid-off home valued at roughly \$310,000, and the \$340,000 she invested in the annuity, which came from the proceeds of a term life insurance policy cash-out and an inheritance. She listed her risk tolerance as 'moderate' on her new account form and stated her investment objectives as 'retirement income and preservation of capital.' Mrs. Tan told Hollis she wanted guaranteed income but also mentioned that she might need access to a portion of the funds within five years to help her daughter purchase a home, estimating the amount at \$80,000 to \$100,000. Hollis documented this conversation in his notes and wrote that Mrs. Tan 'acknowledged the surrender period but viewed the guaranteed income rider as her primary concern.' The annuity contract permits penalty-free withdrawals of up to 10% of the account value annually, which in the first year would be approximately \$34,000. Hollis also noted that Mrs. Tan had previously owned a fixed annuity that she held to maturity without taking early withdrawals. Hollis compared two products during the meeting: the L-share variable annuity he recommended and a B-share variable annuity with lower annual expenses of 1.85% but a longer 7-year surrender period and a less generous income rider. He selected the L-share because of the higher income benefit base step-up percentage (6% compounding versus 5% simple), arguing it would produce significantly more guaranteed income by age 72 when Mrs. Tan planned to begin annuitizing. Hollis's broker-dealer's product committee had approved both annuities for sale. Mrs. Tan signed all disclosure documents, including the surrender schedule and fee summary. In January 2025, Mrs. Tan contacted the broker-dealer's compliance department, stating she now needs \$95,000 to help her daughter with a home purchase and was shocked to learn that withdrawing that amount would trigger approximately \$5,100 in surrender charges and could reduce her guaranteed income benefit base. She claims Hollis never clearly explained that accessing more than 10% would be costly and would impair the rider benefit. Hollis's notes, however, include a signed acknowledgment from Mrs. Tan that she understood the surrender provisions.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Hollis violated applicable standards: Mrs. Tan explicitly stated a foreseeable liquidity need of \$80,000-\$100,000 within five years. The 10% annual free withdrawal provision would allow only approximately \$34,000 per year penalty-free, meaning satisfying the full liquidity need within a single year would require incurring surrender charges and impairing the rider benefit - the very feature that justified the product selection. Placing approximately 31% of her liquid net worth into a product with a 10-year surrender period when a known near-term liquidity need existed raises serious questions about whether the recommendation was in her interest. Under FINRA Rule 2330, a registered representative must have a reasonable basis to believe that the customer would benefit from certain features of a variable annuity, including surrender periods and the attendant charges, and that the particular annuity as a whole is suitable. The 10-year surrender window is notably long, especially for a 62-year-old retiree with an

articulated mid-term liquidity need. NAIC Model Regulation 275 requires that an insurance producer have reasonable grounds to believe the recommendation is suitable based on the consumer's financial situation and needs, including liquidity needs. Under Regulation Best Interest (Rule 15l-1), the Care Obligation requires the advisor to exercise reasonable diligence in understanding the potential costs, risks, and rewards and to consider reasonably available alternatives. Hollis did compare two products, but both were variable annuities with long surrender periods; he did not document consideration of a no-load variable annuity, a shorter-surrender product, or splitting the investment between a liquid vehicle and an annuity.

Arguments that Hollis acted appropriately: Mrs. Tan had substantial other liquid assets - \$290,000 in CDs and savings - that could have been used for the daughter's home purchase without touching the annuity. The \$80,000-\$100,000 need represented only about 28-34% of her liquid non-annuity assets, making the annuity investment arguably appropriate despite the surrender period. Hollis documented the conversation about the surrender schedule and obtained a signed acknowledgment. Mrs. Tan had prior experience with annuities, holding a fixed annuity to maturity, suggesting familiarity with illiquidity features. The guaranteed income rider was her stated primary objective, and the L-share product offered a materially better income benefit accumulation rate. Hollis performed a product comparison and selected the product with the stronger rider, consistent with the client's stated priority. NY Regulation 187 and NAIC Model 275 do not require that every conceivable liquidity scenario be eliminated - they require that the recommendation be reasonable given the totality of the client's profile. Additionally, Mrs. Tan could have accessed up to \$34,000 per year penalty-free and supplemented from her CDs, potentially meeting the daughter's need over two to three years with minimal or no surrender charges.

The tension lies in whether the advisor's obligation extends to proactively structuring the investment to protect against a disclosed liquidity need, or whether the existence of other liquid assets and the client's own acknowledgment of the terms is sufficient. Under Reg BI's Care Obligation, the advisor must consider the client's investment profile including liquidity needs, but the standard does not require a guarantee that the client will never face surrender charges if she chooses to withdraw from the annuity rather than her liquid accounts.

Why Borderline

This scenario is genuinely ambiguous because the client had sufficient liquid assets outside the annuity to meet her disclosed liquidity need, the advisor documented the surrender provisions and obtained a signed acknowledgment, and the product selected had a meaningfully better income rider matching the client's stated primary objective. However, the client explicitly disclosed a foreseeable need for \$80,000-\$100,000 within five years, the annuity's free withdrawal corridor was materially insufficient to meet that need in a single transaction, and the advisor did not explore alternative structures (such as splitting the investment or using a shorter-surrender product). Reasonable professionals could disagree on whether the advisor adequately weighed the known liquidity need against the guaranteed income benefit, or whether the client's other assets render the illiquidity concern moot.

Borderline Factors

- Client disclosed a specific near-term liquidity need (\$80K-\$100K within 5 years) but also had \$290,000 in liquid assets outside the annuity
- 10-year surrender period is long for a 62-year-old retiree, but the product was chosen for a materially superior income rider matching the client's primary stated goal

- Annual free withdrawal of ~\$34,000 is insufficient to meet the liquidity need in one year, but could meet it over 2-3 years combined with other liquid assets
- Advisor documented the surrender discussion and obtained signed acknowledgment, but client claims the interaction with the rider benefit was not clearly explained
- Advisor compared two products but both were variable annuities with lengthy surrender periods - no consideration documented of a no-load VA, splitting the investment, or non-annuity alternatives
- Client had prior annuity experience (held a fixed annuity to maturity), suggesting some sophistication with illiquidity, but prior product had no rider complexity
- Approximately 31% of liquid net worth was placed into a single illiquid product, a concentration that could be viewed as either reasonable (given pension and other assets) or excessive (given the known liquidity need)

Likely Outcome

A regulator would likely find a technical violation but with mitigating factors reducing the severity of any sanction. The failure to document consideration of alternative product structures - particularly splitting the investment between a liquid vehicle and the annuity, or selecting a shorter-surrender product - when the client expressly disclosed a near-term liquidity need is the strongest argument for a violation. Under FINRA Rule 2330 and the Reg BI Care Obligation, the advisor is expected to consider reasonably available alternatives and weigh the client's liquidity needs. However, the existence of \$290,000 in liquid assets, the signed acknowledgment, the product comparison (even if narrow), and the legitimate rationale for the income rider selection would likely mitigate the finding. A regulator would probably conclude that the advisor should have either recommended a smaller annuity allocation, selected a product with a shorter surrender period, or clearly documented why the client's other liquid assets made the full \$340,000 commitment appropriate despite the disclosed need. The likely outcome is a finding of inadequate documentation of the liquidity-need analysis rather than outright mis-selling, potentially resulting in enhanced supervision, a letter of caution, or a modest fine rather than severe sanctions.

Borderline Scenario 43

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability): Requires reasonable basis to believe cu*

Fact Pattern

Margaret Chen, age 62, is a recently retired high school principal with a state pension providing \$68,000 annually (inflation-adjusted) and Social Security projected at \$2,400/month starting at age 67. She has \$485,000 in a traditional IRA rollover from a 403(b) plan, \$120,000 in a savings account, and owns her home outright (valued at \$410,000). She has no dependents, no debt, and her monthly living expenses total approximately \$4,200. In March 2023, she met with financial advisor Derek Hollis at a regional broker-dealer. On her new account form, Margaret indicated her risk tolerance as 'moderate,' her investment time horizon as '10-15 years,' her investment objective as 'growth and income,' and her liquidity needs as 'low to moderate.' She mentioned she wanted to leave a meaningful legacy to her alma mater, a small liberal arts college, and also expressed anxiety about outliving her savings despite having the pension. Derek recommended she allocate \$340,000 of her \$485,000 IRA into a variable annuity with a guaranteed minimum withdrawal benefit (GMWB) rider. The product carried a total annual expense of 3.12% (mortality and expense charges of 1.25%, administrative fees of 0.15%, underlying sub-account

expenses averaging 0.87%, and the GMWB rider fee of 0.85%). The annuity offered a 5% annual withdrawal guarantee on the benefit base starting at age 65, which would provide \$17,000/year in guaranteed income. The product had a 7-year surrender period with charges starting at 7% and declining to 0%. Derek selected sub-accounts within the annuity allocated 60% to a large-cap equity fund, 20% to an international equity fund, and 20% to a bond fund—a moderately aggressive allocation. Margaret signed all disclosure forms, including a summary of fees and surrender schedule. She told Derek she understood the product would help protect her retirement income and provide some growth for the legacy gift. Derek's notes from the meeting indicate he discussed lower-cost alternatives including a diversified portfolio of index funds and a single premium immediate annuity, but Margaret was drawn to the 'guaranteed floor' concept of the GMWB. However, Margaret's neighbor, a retired financial planner, later told her the variable annuity was unnecessarily expensive given her already-strong guaranteed income from the pension and future Social Security. The neighbor pointed out that her combined pension and Social Security (\$68,000 + \$28,800 = \$96,800) already exceeded her annual expenses of approximately \$50,400, and that a simple balanced portfolio could have served her growth and legacy objectives at far lower cost. Margaret filed a complaint eight months later, alleging the recommendation was unsuitable for her risk profile and financial situation. Derek's firm responded that the client had expressed longevity anxiety, had voluntarily chosen the product after being shown alternatives, and that the GMWB provided psychological comfort and a genuine hedge against sequence-of-returns risk. The firm also noted that Margaret's moderate risk tolerance was consistent with the 60/20/20 sub-account allocation, and that the 70% allocation to her IRA left in other investments (\$145,000) plus her \$120,000 savings account provided adequate liquidity.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario requires weighing several competing considerations. Arguments that the recommendation was unsuitable or not in Margaret's best interest: (1) Margaret's existing guaranteed income from her state pension (\$68,000/year, inflation-adjusted) and projected Social Security (\$28,800/year) already substantially exceeded her annual living expenses of \$50,400, creating a surplus of approximately \$46,400 annually. The marginal utility of an additional \$17,000/year in guaranteed income from the GMWB rider is questionable when she already has nearly double her expenses covered by guaranteed sources. Under FINRA Rule 2330, the member or associated person must have a reasonable basis to believe the customer would benefit from certain features of a variable annuity, such as a death benefit or living benefit rider, and this is a high bar when existing guaranteed income already covers all needs with a wide margin. (2) The total cost of 3.12% annually is significant. On \$340,000, this represents roughly \$10,608/year in fees, which over the 7-year surrender period totals approximately \$74,256 in cumulative drag before accounting for compounding effects. A comparable balanced portfolio of index funds might cost 0.15%-0.40% annually, representing a cost differential of approximately \$9,000-\$10,000 per year. Under Regulation Best Interest (Rule 15l-1), the cost component of the recommendation must be evaluated, and the advisor must consider reasonably available alternatives. (3) The 7-year surrender period effectively illiquidizes 70% of Margaret's IRA during a period when she is transitioning into full retirement, which could be problematic despite her stated 'low to moderate' liquidity needs. (4) The GMWB benefit base guarantee of 5% starting at age 65 means Margaret would need to wait three years before activating it, during which time she is paying the 0.85% rider fee without receiving the benefit. Arguments that the recommendation was suitable and in Margaret's best interest: (1) Margaret voluntarily expressed longevity anxiety, and behavioral finance

research extensively documents that guaranteed income products provide measurable welfare improvements through reduced anxiety, even when they may not be optimal from a pure expected-return perspective. The GAO and academic literature acknowledge that the psychological value of guarantees is a legitimate consideration. (2) Derek documented that he presented lower-cost alternatives, including index funds and a SPIA, and Margaret gravitated toward the GMWB concept on her own. This suggests informed consent rather than a hard sell. (3) Margaret's stated risk tolerance was 'moderate' and her objective was 'growth and income'-the VA with a GMWB rider and moderate sub-account allocation is arguably well-aligned with these preferences because it provides equity participation with downside protection. (4) The allocation left \$145,000 in the IRA plus \$120,000 in savings (\$265,000 total outside the VA), which is over five years of living expenses and provides meaningful liquidity. (5) Margaret's legacy objective could potentially be served by the VA's death benefit feature, which typically guarantees at least the original investment to beneficiaries. (6) Under NAIC Model Regulation 275, as amended to adopt a best-interest standard, the recommendation must be based on the consumer's disclosed financial situation and needs, and Margaret's disclosed anxiety about longevity and desire for guarantees could support the recommendation. NY Regulation 187 similarly requires that the transaction be in the best interest of the consumer, but acknowledges that 'best interest' incorporates the consumer's expressed needs and values, not solely cost minimization.

Why Borderline

This is genuinely ambiguous because Margaret has a legitimate expressed need (longevity anxiety, desire for guaranteed income floor) that the product addresses, and the advisor documented presenting alternatives. However, a quantitative analysis suggests the product adds expensive insurance against a risk (income shortfall) that Margaret functionally does not face given her pension-to-expense surplus. Reasonable regulators could disagree on whether the psychological benefit of the guarantee justifies the significant cost differential, and whether a best-interest standard requires the advisor to more forcefully steer the client toward the objectively cheaper solution even when the client expresses preference for the more expensive guaranteed product. The case also raises questions about how much weight to give client-expressed anxiety versus objective financial analysis when the two point in different directions.

Borderline Factors

- Client's existing guaranteed income already exceeds expenses by roughly 92%, making the marginal value of additional guarantees debatable
- Total annual VA expenses of 3.12% represent a substantial cost that must be weighed against the value of the GMWB rider, and reasonable people can disagree on that cost-benefit tradeoff
- The advisor documented presenting lower-cost alternatives and the client's expressed preference for the guarantee feature, which supports informed consent
- Client's stated longevity anxiety is a subjective but legitimate financial planning concern recognized in academic literature and regulatory guidance
 - The 70/30 allocation between VA and non-VA assets provides some liquidity cushion, but 70% concentration in a surrendering product is at the high end
 - The 7-year surrender period is moderately long for a 62-year-old retiree, though her pension covers all current needs without accessing the IRA
- Legacy objective could be served by the VA death benefit, but could also be served more cost-effectively by a simple balanced portfolio
- The sub-account allocation (60% large-cap, 20% international, 20% bonds) is consistent with moderate

risk tolerance but some might argue it is moderately aggressive for a 62-year-old inside a product designed for downside protection

Likely Outcome

A regulator reviewing this case would likely find this a close call but would probably conclude that the recommendation, while not clearly unsuitable, raises serious best-interest concerns. The most likely outcome is a finding of a violation, but a mild one-potentially resulting in a letter of caution or requirement for enhanced supervision rather than severe sanctions. The critical factor is the quantitative analysis showing Margaret's guaranteed income already vastly exceeds her needs, which undercuts the central justification for the expensive GMWB rider. Under a best-interest standard, the advisor arguably should have more clearly documented why the additional \$10,000+/year in costs was justified relative to the marginal benefit, and why a partial VA allocation (say, \$150,000-\$200,000) or a lower-cost guaranteed product would not have better served Margaret's expressed and actual needs. The fact that cheaper alternatives were discussed but not more strongly recommended may not be sufficient under a best-interest framework, which requires more than mere disclosure of alternatives. However, some panelists or arbitrators might side with the advisor, particularly if Margaret testifies that she understood the costs and genuinely preferred the guarantee despite the expense.

Borderline Scenario 44

Topic: failure_to_know_customer | Standard: FINRA Rule 2330(b) (variable annuity suitability - enumerated information-gathering re

Fact Pattern

Gerald Whitman, age 64, walked into the branch office of Coastal Financial Services in March 2023 and met with advisor Danielle Kress. Gerald had recently retired from a mid-level management position at a manufacturing company. He told Danielle he had approximately \$620,000 in a 401(k) rollover IRA held in a mix of bond funds and a stable value fund, a \$185,000 brokerage account with blue-chip equities, a paid-off home worth roughly \$340,000, and Social Security income of \$2,400 per month. He also mentioned receiving a small pension of \$1,100 per month. Gerald said his main goals were 'making sure I don't run out of money' and 'leaving something for my two kids.' He described himself as moderately conservative and said he had no immediate need for the money beyond monthly expenses. Danielle completed an account application and new client questionnaire. On the questionnaire, Gerald checked boxes indicating a moderate risk tolerance, a time horizon of 10+ years, annual income of \$42,000, net worth excluding primary residence of approximately \$805,000, and liquid net worth of \$805,000. The form did not ask about existing insurance products, other annuity holdings, health status, anticipated large expenditures, or tax bracket. The firm's standard intake form had been simplified six months earlier to reduce onboarding friction, eliminating several fields that previously captured more granular information about client circumstances. Danielle did not verbally ask Gerald about any health conditions, whether he held existing annuities or life insurance policies, his monthly expense budget, or whether his children had any special financial needs. She also did not ask whether he anticipated needing funds for home repairs, travel, or long-term care costs. Based on the information gathered, Danielle recommended Gerald move \$400,000 from his 401(k) rollover IRA into a variable annuity with a guaranteed lifetime withdrawal benefit rider. The product had total annual fees of 3.15% (including a 1.40% mortality and expense charge, 0.95% in underlying subaccount fees, and a 0.80% rider charge), a seven-year surrender period with a declining

surrender charge starting at 7%, and a guaranteed withdrawal rate of 5% annually beginning at age 65. She explained the death benefit feature would allow his children to receive the greater of the account value or total premiums paid, satisfying his legacy goal. Gerald signed the paperwork the same day. What Danielle did not know - because she never asked - was that Gerald had been diagnosed with early-stage Parkinson's disease eight months earlier, was already holding a \$150,000 fixed annuity purchased in 2019 with a 4-year remaining surrender period, and was expecting to need approximately \$60,000 within 18 months for significant home modifications to accommodate his condition. Gerald's monthly expenses, including new medication costs, ran approximately \$4,200 per month, meaning his pension and Social Security covered only about 83% of his recurring needs. Gerald later filed a complaint, alleging the advisor never asked basic questions that would have revealed the annuity was inappropriate. Danielle's supervisor noted that the questionnaire was completed fully and the recommendation aligned with the documented profile. Danielle maintained that Gerald never volunteered any health information or mentioned the existing annuity, and that he appeared enthusiastic about the guaranteed income feature. Gerald's adult daughter stated that her father had early cognitive symptoms and tended to agree readily with authority figures, though no formal capacity concern had been raised.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario turns on whether Danielle Kress fulfilled her obligation to 'know her customer' adequately before recommending a complex variable annuity product. Several regulatory frameworks impose affirmative duties on advisors to gather reasonably complete information about a client's financial situation before making a recommendation.

Arguments that a violation occurred:

1. Under FINRA Rule 2330(b), before recommending a variable annuity purchase, a registered representative must make reasonable efforts to obtain information concerning the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing insurance holdings, liquid net worth, risk tolerance, and tax status. Danielle failed to inquire about existing insurance products or annuities, health status, anticipated near-term expenditures, monthly expense budget, or tax considerations - all of which are explicitly or implicitly contemplated by the rule.
2. The NAIC Model Regulation 275 (Suitability in Annuity Transactions) requires that the producer have a reasonable basis to believe the annuity is suitable based on facts disclosed by the consumer and known to the producer. However, the regulation also requires reasonable inquiry. Danielle's reliance on a stripped-down questionnaire that omitted key fields (existing annuity holdings, health conditions, anticipated expenses) suggests the inquiry was not reasonable.
3. Under Regulation Best Interest (Rule 15l-1), the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, which includes understanding the customer's investment profile. A truncated intake process that fails to capture material facts about health, existing holdings, and near-term liquidity needs arguably falls short of reasonable diligence.
4. NY Regulation 187, for transactions in New York, would impose an even more stringent standard requiring the recommendation to be in the consumer's best interest at the time of the transaction, considering reasonably available alternatives. While this transaction may not have occurred in New York, it illustrates the trend toward heightened producer accountability.

5. The \$400,000 allocation into a seven-year surrender product, when the client actually needed \$60,000 within 18 months and had an existing annuity already limiting liquidity, created a concentration of illiquid assets that a reasonable inquiry would have uncovered and potentially prevented.

6. The 3.15% total annual fee is on the higher end for variable annuities and would significantly erode returns, particularly problematic for a client who actually needed accessible funds for medical and home modification expenses.

Arguments that no violation occurred:

1. Danielle completed the firm's standard intake questionnaire in full. The form was designed and approved by the firm's compliance department. If the form was deficient, responsibility may lie with the firm's supervisory system rather than the individual advisor.

2. Gerald did not volunteer material information about his health, existing annuity, or anticipated expenses. Under the NAIC model, the suitability determination is based on 'facts disclosed by the consumer' as well as those known to the producer. If the client affirmatively withheld or simply failed to mention critical facts, the advisor's culpability is reduced.

3. Based on the information actually gathered - a 64-year-old moderate-risk retiree with \$805,000 in liquid assets seeking income security and a legacy for his children - the variable annuity with a GLWB rider and enhanced death benefit is a facially reasonable recommendation. The product features align with the stated objectives.

4. The daughter's suggestion of early cognitive symptoms does not establish incapacity. Gerald was not under any guardianship or conservatorship, and no formal capacity concern had been raised at the time of the transaction.

5. Danielle may argue that the seven-year surrender period is manageable for a client with a stated 10+ year time horizon and that the remaining \$405,000 in other assets provided adequate liquidity based on the documented profile.

The critical question is whether the firm's simplified questionnaire and Danielle's failure to ask follow-up questions beyond the form constitutes a failure of reasonable diligence. The GAO and academic literature on variable annuity mis-selling consistently highlight inadequate fact-finding as a primary driver of unsuitable recommendations. The IRI's own best practices guidance emphasizes that advisors should go beyond check-box compliance to understand the client's full picture.

Why Borderline

This is genuinely borderline because the advisor did complete the firm-approved intake process and the recommendation facially matched the documented client profile. The client did not volunteer critical information, and the product features aligned with stated goals. However, the advisor's failure to ask routine questions - about existing annuity holdings, health conditions, near-term liquidity needs, and monthly expenses - meant the documented profile was materially incomplete. Reasonable practitioners could disagree about whether an advisor must independently probe for health issues and existing holdings when a client does not volunteer them, especially when the firm's own questionnaire does not prompt those inquiries. The firm's decision to streamline the intake form creates a shared-responsibility dynamic that complicates individual liability.

Borderline Factors

- The firm's own compliance-approved intake form omitted key fields that would have captured the missing

information, potentially shifting blame to supervisory failures

- The client did not volunteer health information, existing annuity holdings, or anticipated large expenses, raising questions about the advisor's duty to independently probe
- The recommendation facially matched the documented profile - moderate risk, income and legacy goals, 10+ year horizon
- The 3.15% annual fee is high but not unprecedented for a VA with a GLWB rider and enhanced death benefit, and falls within industry norms for the product type
- The \$400,000 allocation represented approximately 49.7% of liquid assets, leaving over \$400,000 accessible - arguably adequate liquidity based on what was documented
- The daughter's report of early cognitive symptoms creates ambiguity about the client's capacity to provide complete information but does not constitute a formal determination of diminished capacity
- The same-day close on a \$400,000 complex product purchase with a new client raises process concerns but is not itself prohibited

Likely Outcome

A regulator would most likely find a violation, but with mitigating circumstances that could reduce sanctions. The affirmative duty to gather reasonably complete information before recommending a variable annuity is well-established under FINRA Rule 2330(b), and the advisor's failure to ask about existing annuity holdings is particularly problematic since that specific data point is explicitly enumerated in the rule. The firm would likely face supervisory deficiency charges for approving a simplified intake form that omitted required fields. However, the individual advisor's sanctions might be tempered by the fact that she followed the firm's approved process, the client did not volunteer key information, and the product was not facially unsuitable based on the documented profile. A likely outcome would be a finding of inadequate reasonable diligence under the Care Obligation, with the firm bearing significant supervisory liability and the advisor receiving a lesser individual sanction such as a fine and required additional training rather than suspension.

Borderline Scenario 45

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2330 (variable annuity suitability); NAIC Model Regulation 275 (suitability in

Fact Pattern

Margaret Kowalski, age 62, recently retired from a 34-year career as a hospital administrator. She rolled over \$410,000 from her employer's 403(b) plan and had an additional \$185,000 in a brokerage account holding a mix of blue-chip equities and investment-grade bond funds. Her home was fully paid off (estimated value \$375,000), and she received a modest pension of \$2,400 per month plus anticipated Social Security of \$2,100 per month starting at age 66. Her annual living expenses were approximately \$54,000. She had no outstanding debts and listed two adult children as beneficiaries. On her new account paperwork, her advisor, Kevin Brandt, recorded her risk tolerance as 'moderate' and her investment time horizon as '15+ years.' She told Kevin she was 'somewhat worried about outliving her money' but also said she 'didn't want to just sit in CDs earning nothing' and wanted 'some growth.' Kevin recommended she place the entire \$410,000 rollover into a single variable annuity contract with a guaranteed lifetime withdrawal benefit (GLWB) rider. The contract carried a mortality and expense charge of 1.30%, an administrative fee of 0.15%, underlying subaccount expenses averaging 0.82%, and the GLWB rider cost an additional 1.05% annually - bringing total all-in annual costs to approximately 3.32%. The GLWB

guaranteed a 5% annual withdrawal base increase during the deferral period and lifetime income at a 4.75% withdrawal rate starting at age 67. Kevin allocated the subaccounts 60% to equity funds and 40% to fixed-income funds, consistent with the moderate risk profile. He did not recommend any changes to the \$185,000 brokerage account. Margaret signed a letter acknowledging the surrender charge schedule (7 years, starting at 7% and declining 1% per year). During the meeting, Kevin discussed but ultimately did not recommend a lower-cost variable annuity from another carrier that had a 2.45% all-in cost but offered a less generous GLWB (4.25% withdrawal rate, 4% base increase). He also briefly mentioned a fixed indexed annuity alternative but noted it would limit her upside potential. Six months later, Margaret's daughter, a CPA, reviewed the contract and filed a complaint with Kevin's firm, arguing that the high-cost product was inappropriate given her mother's moderate risk profile, that the equity-heavy subaccount allocation within a tax-deferred wrapper for someone already in a low tax bracket was inefficient, and that the combination of pension income and Social Security likely made the expensive GLWB rider unnecessary since Margaret's guaranteed income (\$4,500/month at age 66) would cover approximately 83% of her expenses without any annuity income. Kevin's firm responded that the GLWB rider addressed Margaret's stated concern about longevity risk, the 60/40 allocation was consistent with her documented risk tolerance, the 15+ year time horizon justified equity exposure within the annuity, and the guaranteed income floor protected against sequence-of-returns risk during early retirement. The firm also noted Margaret had \$185,000 in liquid assets outside the annuity for emergencies.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Kevin violated applicable standards: The total annuity cost of 3.32% annually is significantly above the industry median for variable annuities with living benefit riders (typically 2.50%-2.80% all-in). Kevin was aware of a cheaper alternative from another carrier that would have saved Margaret roughly \$3,500-\$4,000 per year in fees. Over a 20-year period, the cost differential could amount to \$70,000-\$80,000, a material drag on accumulation. Under FINRA Rule 2330, the recommendation of a variable annuity must take into account whether the customer would benefit from tax-deferral features, and Margaret - with a pension, moderate savings, and likely modest marginal tax rate in retirement - may derive limited incremental tax benefit from placing funds already in a tax-deferred 403(b) into another tax-deferred vehicle (the annuity subaccount gains are already tax-deferred in the rollover context, but the layered fees eat into returns that could be achieved more cheaply in a simple IRA rollover to mutual funds). The daughter's point about income coverage is analytically strong: \$4,500/month in guaranteed pension and Social Security covers 83% of expenses, meaning Margaret needs only about \$9,600/year from savings - a 2.3% withdrawal rate from \$410,000 - well within safe withdrawal rate research findings, arguably making the expensive GLWB rider unnecessary. Additionally, NAIC Model Regulation 275 requires that an insurance producer have reasonable grounds for believing the annuity is suitable for the consumer based on the consumer's financial situation, and placing 69% of total investable assets (\$410,000 of \$595,000) in a single illiquid product with a 7-year surrender schedule raises concentration and liquidity concerns. NY Regulation 187, if applicable, imposes a best-interest standard requiring that the transaction be in the consumer's best interest at the time of the transaction, not merely suitable, which would heighten scrutiny of the cost comparison. Arguments in Kevin's defense: Margaret explicitly expressed fear of outliving her money, and the GLWB directly addresses that stated concern. Behavioral finance research suggests that guaranteed income products can provide meaningful 'peace of mind' utility beyond their actuarial value. The

60/40 allocation was consistent with her documented moderate risk tolerance and 15+ year horizon, and the variable annuity structure allowed equity participation with a guaranteed income floor - a combination not easily replicated with conventional investments. Kevin left \$185,000 (31% of investable assets) in liquid form, providing a reasonable emergency and flexibility buffer. The more expensive product offered a demonstrably better GLWB (4.75% vs. 4.25% withdrawal rate, 5% vs. 4% base increase), and the higher cost may be justified by the higher guaranteed income - at age 67, the recommended product could provide roughly \$2,400/month in guaranteed income versus approximately \$2,050/month from the cheaper alternative, a \$350/month difference that compounds over a potentially 25+ year retirement. Under Reg BI Rule 15l-1, the advisor must consider reasonably available alternatives but is not required to recommend the cheapest option if a more expensive one provides materially greater benefits aligned with the customer's stated needs. Kevin documented the alternatives considered and had a rationale for his choice.

Why Borderline

This scenario sits in a genuine gray zone because the product directly addresses the client's expressed longevity concern and the subaccount allocation matches her documented risk profile, yet the cost is above-market, a meaningfully cheaper alternative existed, and an objective analysis of her income-to-expense ratio suggests the expensive guaranteed income rider may have been unnecessary. Reasonable professionals could disagree on whether the subjective peace-of-mind value of a superior GLWB justifies approximately \$3,500-\$4,000 per year in additional costs, and whether the advisor's failure to recommend the less expensive product or a non-annuity alternative constitutes a substantive violation or simply a judgment call within the range of reasonable recommendations.

Borderline Factors

- Client's existing guaranteed income (pension + Social Security) covers 83% of living expenses, arguably reducing the need for an expensive GLWB rider, but does not eliminate longevity risk entirely
- The advisor was aware of a materially less expensive alternative and chose not to recommend it, but the recommended product offered demonstrably better guaranteed withdrawal terms
- Total all-in costs of 3.32% are above industry median but not egregiously so, and the cost differential could be rationalized by superior rider benefits
- 69% of investable assets concentrated in a single illiquid product with a 7-year surrender period, but 31% remained in liquid investments
- Client's documented risk tolerance (moderate) and time horizon (15+ years) are consistent with the 60/40 subaccount allocation, supporting the equity component
- Tax-deferral benefit of the variable annuity is arguably limited for a rollover from an already tax-deferred 403(b), though the annuity provides insurance features beyond tax treatment
- Client expressly stated concern about outliving her money, providing a documented basis for the longevity-protection product
- The advisor discussed but rejected alternatives, showing some deliberation, but the documentation of why the more expensive option was superior may be insufficient

Likely Outcome

A regulator applying a best-interest standard (such as under NY Regulation 187 or Reg BI) would likely find this a close case but would probably issue a cautionary finding or require enhanced documentation rather than impose a full violation. The advisor has a defensible rationale - the client's stated longevity concern, the superior GLWB terms, the consistent risk profile documentation, and retained liquidity outside the

annuity. However, a regulator would likely criticize the failure to adequately document why the \$3,500-\$4,000 annual cost premium was justified relative to the cheaper alternative, and might question whether a more cost-efficient combination (e.g., the cheaper VA plus a supplemental strategy, or a partial annuitization) was considered. Under FINRA Rule 2330's specific variable annuity suitability framework, the concentration of rollover assets and above-market costs would draw scrutiny. The most probable outcome is a supervisory deficiency letter requiring improved documentation of the cost-benefit comparison and alternative product analysis, rather than a finding of outright unsuitability.

Borderline Scenario 46

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2330 (Variable Annuity Suitability) requires that an advisor

Fact Pattern

Margaret Hollis, age 62, retired from a career as a school cafeteria manager in rural Tennessee. She had \$310,000 in total savings: \$185,000 in a traditional IRA rollover from her former employer's 403(b) plan, \$80,000 in a bank CD ladder maturing over the next three years, and \$45,000 in a checking account. Her monthly income consisted of \$1,850 from Social Security and a small \$410/month pension. She owned her home outright and had no debt. She listed her investment experience on her new account form as 'limited - CDs and savings bonds only,' her risk tolerance as 'moderate,' her investment objective as 'income with some growth,' and her time horizon as '10+ years.' She had no prior experience with securities, annuities, or mutual funds.

In March 2023, Margaret met with Kevin Stanhope, a dually-licensed financial advisor at a regional broker-dealer, after attending a dinner seminar at a local steakhouse. The seminar was titled 'Protect Your Retirement from Market Crashes.' Over two subsequent meetings at Kevin's office, he recommended she move her \$185,000 IRA into a variable annuity with a guaranteed minimum income benefit rider. The product, issued by a well-known national carrier, had a seven-year surrender charge schedule starting at 8% and declining to 0%, total annual fees of 3.15% (including the 1.10% mortality and expense charge, 0.85% average underlying subaccount expense ratio, 0.95% income rider fee, and 0.25% administrative charge), and offered a 5% guaranteed annual roll-up on a benefit base for income purposes if withdrawals were deferred for at least five years. The rider guaranteed lifetime income payments beginning no earlier than age 67.

Kevin documented in his file notes that Margaret expressed anxiety about outliving her money, particularly because her mother had lived to 96 and her father to 89. He noted she was 'very concerned about stock market risk to her savings' and wanted 'guaranteed income she could never outlive.' He allocated the subaccounts 60% to a moderate-allocation fund and 40% to a bond fund, consistent with her moderate risk tolerance. He also noted he discussed lower-cost alternatives including a balanced mutual fund portfolio and a single-premium immediate annuity, but that Margaret preferred the guaranteed growth feature combined with the ability to maintain some market participation and access to her money (subject to the surrender schedule and free withdrawal provision of 10% per year). Kevin earned a 5.5% commission (\$10,175) on the sale.

Margaret's daughter, who holds an MBA and works in corporate finance, later reviewed the paperwork and filed a complaint with the broker-dealer. The daughter argued that her mother did not understand what a variable annuity was, that the 3.15% annual fee would erode the account value significantly, that the surrender charges effectively locked up more than half of her mother's liquid savings for seven years, and that a low-cost balanced index fund or a fixed indexed annuity with lower fees would have accomplished the same goals. She also noted that the dinner seminar invitation specifically targeted people over age 60 and used fear-based language about market crashes.

The broker-dealer's compliance department reviewed the file and found that Kevin had completed the firm's required annuity suitability worksheet, obtained Margaret's signature on a product disclosure summary, and waited the firm-required three business days before submitting the application. Kevin's branch manager had approved the transaction. The firm's product shelf included both the recommended VA and several lower-cost alternatives, including a fixed indexed annuity with a 2.0% total annual cost and a similar income rider, as well as no-load variable annuities with fees roughly 1.5% lower than the recommended product.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Kevin acted properly: Margaret had a legitimate longevity concern supported by her family history. The guaranteed minimum income benefit rider directly addressed her stated fear of outliving her assets, which is a recognized and rational retirement planning concern. A variable annuity with an income rider can be appropriate for a 62-year-old with a 10+ year time horizon who wants both market participation and guaranteed lifetime income. Kevin documented his recommendation process, discussed alternatives, used a moderate allocation consistent with her stated risk tolerance, and followed his firm's internal procedures. Margaret's remaining \$125,000 in liquid assets (CDs and checking) was sufficient to cover approximately four years of expenses beyond her pension and Social Security, providing a reasonable liquidity cushion. The product was on the firm's approved shelf, and the branch manager approved the transaction.

Arguments that Kevin may have violated applicable standards: The 3.15% annual all-in cost is at the high end of the VA fee spectrum, and the firm's own product shelf included a fixed indexed annuity with similar income guarantees at roughly 1.15% less in annual cost - over a 10-year period on \$185,000, this fee differential could amount to \$25,000-\$35,000 in additional costs borne by Margaret. Her self-described investment experience was limited to CDs and savings bonds, raising questions about whether she could genuinely understand the mechanics of subaccount performance, mortality and expense charges, benefit base roll-ups versus actual account value, and the interaction between surrender charges and the income rider. The dinner seminar's fear-based marketing to seniors may have created an emotional urgency that undermined informed decision-making. Locking up roughly 60% of Margaret's liquid net worth in a product with an 8% front-end surrender penalty is aggressive given her limited resources and lack of other income sources beyond Social Security and a modest pension. Under a best-interest framework that requires consideration of reasonably available alternatives, recommending the higher-cost VA over the lower-cost FIA or a blended approach (partial annuitization plus low-cost investments) is difficult to justify without a compelling reason, and the file notes do not clearly articulate why the higher-cost product was superior for this specific client. The 5.5% commission, while within industry norms, represents a significant financial

incentive that a regulator could view as a conflict not adequately mitigated.

The central tension is between Margaret's documented preference for the specific features of the VA (market participation plus guaranteed income plus some liquidity) and the question of whether that preference was truly informed and whether the cost differential relative to available alternatives was justified. A secondary tension is whether the seminar-driven sales process and Margaret's limited financial sophistication undermine the weight that should be given to her stated preferences.

Why Borderline

This scenario sits in a genuine gray area because the product conceptually matches the client's stated needs and concerns, and the advisor followed documented procedures, yet the client's limited sophistication, the availability of materially lower-cost alternatives on the same firm's shelf, the high proportion of liquid assets committed, and the seminar-driven sales process all raise legitimate questions about whether the recommendation truly served the client's best interest or merely met a lower threshold of general appropriateness. Reasonable practitioners could disagree about whether the additional cost of the recommended VA over the firm's own lower-cost FIA alternative was justified by the marginal benefit of equity market participation in the subaccounts.

Borderline Factors

- Client's investment experience limited to CDs and savings bonds, raising questions about informed consent to a complex product, yet she is a 62-year-old adult capable of making her own financial decisions
- Product conceptually addresses client's stated longevity concern, but a materially lower-cost product on the same shelf addressed the same concern with similar guarantees
- 3.15% annual fee is within industry range but at the high end, and cumulative cost impact over the surrender period is substantial relative to alternatives
- 60% of liquid assets locked in a 7-year surrender schedule is aggressive but not unprecedented, and remaining liquidity (\$125,000) provides a meaningful cushion
- Advisor documented alternatives discussion and client preference, but file notes do not clearly explain why the higher-cost product was specifically superior for this client
- Fear-based dinner seminar marketing to seniors may have influenced the client's emotional state, but the advisor held two subsequent office meetings before the sale
- 5.5% commission is within industry norms but creates a conflict when a lower-commission alternative existed on the shelf
- Branch manager approved the transaction after review, suggesting the firm's own gatekeeping process found it acceptable

Likely Outcome

A regulator reviewing this case would most likely find a violation, but a narrow one focused on the failure to adequately justify recommending the higher-cost VA over the lower-cost fixed indexed annuity available on the same platform, rather than a finding that an annuity was wholly unsuitable. Under a best-interest standard, the advisor bears the burden of demonstrating that the recommended product is in the client's best interest when materially cheaper alternatives providing substantially similar benefits exist. The file documentation does not contain a sufficiently specific rationale for why the roughly 1.15% annual cost premium was warranted for this particular client. The client's limited investment experience further weakens the argument that her stated preference for equity participation was a fully informed choice that justified the

additional cost. However, a regulator would likely view this as a supervisory and documentation failure as much as an individual suitability failure, given the branch manager's approval and the firm's apparent lack of a cost-comparison requirement in its annuity review process. The most probable outcome is a finding of violation with moderate sanctions - potentially requiring the firm to offer Margaret a no-cost exchange into the lower-cost product, disgorgement of the excess commission, and enhanced supervisory procedures - rather than a finding of egregious misconduct.

Borderline Scenario 47

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2330 (Suitability requirements specific to variable annuity transactions, incl*

Fact Pattern

Margaret Kowalski, age 62, recently retired from a 34-year career as a hospital administrator. She received a lump-sum pension buyout of \$485,000 and rolled it into a traditional IRA at a regional broker-dealer. She also has \$210,000 in a separate brokerage account invested in a mix of blue-chip stocks and investment-grade bond funds, a \$140,000 money market account at her bank, and will begin receiving Social Security of approximately \$2,800/month at age 66. She owns her home outright, valued at approximately \$375,000. Her monthly expenses are roughly \$4,200. On her new account form, she listed her risk tolerance as 'moderate,' her investment objective as 'income with moderate growth,' her time horizon as '10-15 years,' and her liquidity needs as 'low to moderate.' She noted that she understood she would not need the IRA funds for at least five years, as her bank savings and brokerage account could cover near-term needs.

Her financial advisor, Daniel Reardon, recommended she allocate \$340,000 of the \$485,000 IRA rollover-roughly 70%-into a variable annuity with a guaranteed minimum withdrawal benefit (GMWB) rider. The annuity carried an annual mortality and expense charge of 1.30%, an administrative fee of 0.15%, and the GMWB rider cost an additional 1.05% annually, bringing total insurance charges to 2.50% per year before underlying subaccount expenses, which averaged 0.72%, for an all-in annual cost of approximately 3.22%. The product had a seven-year declining surrender charge schedule starting at 7% in year one and declining to 1% in year seven. The GMWB rider guaranteed a 5% annual withdrawal rate for life beginning at age 65, regardless of market performance, effectively guaranteeing \$17,000/year from the annuity.

Reardon documented that he discussed three alternatives with Kowalski: (1) a balanced mutual fund portfolio with an estimated annual expense ratio of 0.65%, (2) a fixed indexed annuity with a 3.25% guaranteed rate and lower fees, and (3) the variable annuity he ultimately recommended. He noted that Kowalski expressed concern about outliving her money, particularly given her mother's longevity (lived to age 97) and her own good health. He also noted she wanted some equity market participation and did not want to be entirely in fixed-income products. Kowalski signed a disclosure form acknowledging the surrender charges and fee structure. She was not exchanging an existing annuity-this was a new purchase.

Eighteen months later, Kowalski's daughter, a CPA, reviewed the account and raised concerns. The subaccounts had gained approximately 11% gross during that period, but after all fees and rider charges, the net account value had only increased about 6.1%. The daughter calculated that a low-cost balanced

index fund portfolio would have returned approximately 9.8% net over the same period, and that the cumulative fee drag over the expected 15-year holding period could amount to \$115,000 or more in lost compounding versus a lower-cost alternative. She also noted that between Social Security, the brokerage account, and the bank savings, her mother already had sufficient income sources for the near term, and questioned whether the lifetime income guarantee was worth the substantial additional cost. The daughter filed a complaint alleging the variable annuity was unsuitable given the high fees relative to available alternatives and that the risk profile was effectively mismatched-arguing that a 'moderate' risk tolerance investor with ample other assets did not need to pay a 3.22% annual cost for downside protection she could have achieved through proper asset allocation at a fraction of the cost.

Reardon's branch manager reviewed the recommendation and noted that Kowalski's documented longevity concern was legitimate, that the GMWB rider specifically addresses longevity risk in a way that a mutual fund portfolio cannot, that the 70% allocation still left 30% of the IRA (\$145,000) in more liquid, lower-cost investments, and that the client had expressly rejected an all-fixed-income approach. The branch manager also pointed out that the client's 'moderate' risk tolerance was arguably well-served by a product offering equity upside with a guaranteed income floor.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that the recommendation was unsuitable or not in the client's best interest: The all-in annual cost of 3.22% is at the high end for variable annuity products and substantially exceeds what a balanced mutual fund portfolio or even a fixed indexed annuity would cost. Over a 15-year horizon, the fee differential could erode well over \$100,000 in portfolio value. Kowalski's existing asset base-\$210,000 in a brokerage account, \$140,000 in a money market, a paid-off home, and future Social Security income-already provides significant income diversification and liquidity, arguably reducing the marginal value of a guaranteed lifetime withdrawal benefit. A properly allocated balanced portfolio with systematic withdrawals could have addressed both her growth and income needs at far lower cost. The concentration of 70% of the IRA in a single, high-fee product with a seven-year surrender schedule is notable, even if the remaining 30% stayed liquid. Under heightened scrutiny standards applicable to variable annuity sales, the advisor bears the burden of demonstrating that the specific product features justify the costs relative to less expensive alternatives. The daughter's fee-drag analysis is economically sound and highlights that the GMWB rider costs approximately \$10,700/year in total charges on \$340,000, which is a steep price for a guarantee of \$17,000/year beginning at age 65.

Arguments that the recommendation was suitable and in the client's best interest: Longevity risk is a well-documented and significant concern for retirees, particularly those with family history of long life. Unlike a mutual fund portfolio, a GMWB rider provides a contractual guarantee that cannot be replicated through asset allocation alone-if markets suffer a prolonged downturn (e.g., a lost decade), the guaranteed 5% withdrawal for life ensures Kowalski will not outlive this portion of her assets regardless of market conditions. The advisor documented the discussion of three alternatives and the client's express preferences, including desire for equity participation and rejection of a purely fixed-income approach. The client's 'moderate' risk profile is arguably consistent with a product that offers equity exposure with a guaranteed floor. The seven-year surrender period aligns with her stated five-year-plus time horizon for IRA

funds, and she acknowledged the surrender charges in writing. The 70/30 allocation within the IRA preserves some liquidity. The hindsight comparison to a balanced fund's performance over 18 months of a bull market does not account for the insurance value of the guarantee in adverse scenarios. Academic literature on retirement decumulation strategies acknowledges that guaranteed income products can improve retirement outcomes by reducing sequence-of-returns risk, even when their fees appear high in favorable markets.

Why Borderline

This scenario is genuinely ambiguous because the variable annuity addresses a real and documented client concern (longevity risk) in a way that no mutual fund can contractually replicate, yet the cost of that protection is objectively high and the client's other assets arguably reduce the necessity of the guarantee. Reasonable professionals disagree on whether the insurance value of a GMWB rider justifies its cost for a client in Kowalski's financial position. The advisor followed appropriate documentation procedures and discussed alternatives, but the question remains whether a less costly product mix could have achieved substantially the same outcome. The 18-month performance comparison favors the complainant but is inherently a hindsight analysis that does not fully account for tail-risk protection.

Borderline Factors

- Client's total annual fees of approximately 3.22% are high but not unprecedented for variable annuities with living benefit riders, and the product was purchased new rather than as a potentially churning replacement
- Longevity risk is a legitimate concern supported by the client's family history and health status, and GMWB riders provide contractual guarantees that asset allocation cannot
- Client had substantial other liquid and semi-liquid assets (\$350,000 outside the annuity IRA allocation), reducing but not eliminating the argument for guaranteed income
- The 70% concentration in the annuity is aggressive but the advisor left 30% of the IRA in lower-cost, more liquid options and the client had assets outside the IRA
- Advisor documented discussion of three alternatives and client's stated preferences, but documentation alone does not prove the recommendation was optimal
- Performance comparison over 18 months of favorable markets is misleading as it ignores the value of downside protection, but the fee drag over 15 years is a legitimate quantitative concern
- Client's 'moderate' risk tolerance is ambiguously aligned-it could support either a lower-cost balanced approach or a guaranteed-floor product depending on interpretation

Likely Outcome

A regulator would likely find this to be a close case but would probably not sustain a violation, provided the advisor's documentation holds up under scrutiny. The key factors favoring the advisor are: (1) the product was a new purchase, not a replacement, eliminating concerns about churning or switching; (2) the client's longevity concern was specific, documented, and supported by family history; (3) alternatives were discussed and the client made an informed selection; and (4) the allocation left meaningful assets outside the annuity. However, a regulator might issue a cautionary finding or require enhanced supervisory review, noting that the advisor should have more explicitly documented why the GMWB's cost was justified relative to the client's total financial picture, and whether a lower-cost variable annuity or a partial annuity allocation (e.g., 40-50% rather than 70%) might have better served the client's stated moderate risk profile. If the jurisdiction applies a stricter standard requiring consideration of reasonably available alternatives and their

costs, the outcome becomes more uncertain and could tip toward a finding that the advisor failed to adequately demonstrate why the higher-cost product was preferable to a blended approach.

Borderline Scenario 48

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability); NAIC Model Regulation 275 (Suitability)*

Fact Pattern

In September 2022, financial advisor Gerald Huang, with 18 years of experience at a mid-sized broker-dealer in Columbus, Ohio, recommended a variable annuity with a guaranteed minimum income benefit (GMIB) rider to his client, Dorothy Fenwick, age 68, a recently retired public school administrator. Mrs. Fenwick had total liquid assets of approximately \$740,000, consisting of \$410,000 in a rollover IRA from her state pension buyout, \$185,000 in a brokerage account, and \$145,000 in bank CDs and money market accounts. She also received \$2,800 per month in Social Security and a reduced state pension of \$1,400 per month, giving her \$50,400 in guaranteed annual income. Her annual living expenses were approximately \$62,000. Huang recommended she invest \$285,000—roughly 38.5% of her liquid assets—into a variable annuity with aggressive growth subaccounts allocated 70% to equity funds (including 25% in an international equity subaccount and 15% in a small-cap growth subaccount) and 30% to a high-yield bond subaccount. The annuity carried a total expense ratio of 3.12% (mortality and expense charges of 1.35%, administrative fees of 0.15%, average subaccount expenses of 0.87%, and the GMIB rider fee of 0.75%). The surrender period was seven years with a declining surrender charge starting at 7%. On her new account form, Mrs. Fenwick's risk tolerance was marked as 'moderate growth,' her investment objective was listed as 'growth and income,' and her time horizon was noted as '10+ years.' Huang documented that Mrs. Fenwick expressed a strong desire to 'not outlive her money' and wanted to ensure she could generate an additional \$12,000 to \$15,000 in annual income starting at age 78 to cover her income gap and anticipated increases in healthcare costs. Huang's rationale was that the GMIB rider would protect the income base regardless of market performance, and the aggressive subaccount allocation was justified because the rider's guarantee meant the client was not truly exposed to downside risk on the income she would eventually receive. He noted that the 10-year deferral period allowed time for potential equity growth that could result in a higher income base than the guaranteed minimum. However, Mrs. Fenwick had no prior experience investing in variable annuities, had never held more than 40% of her portfolio in equities at any point during her working life, and her previous investment portfolio through her school district's supplemental retirement plan had been allocated 60% bonds and 40% large-cap domestic equity index funds. Her health was described as 'fair' in the notes—she had been managing Type 2 diabetes for 11 years and had undergone a knee replacement in 2021. Huang did not recommend any alternative products such as a fixed indexed annuity, a traditional fixed annuity, or a systematic withdrawal strategy from a balanced portfolio. A colleague at the same branch had flagged the recommendation during an informal conversation, questioning whether the subaccount allocation was too aggressive given her documented risk profile, but the branch manager approved the transaction after reviewing Huang's written justification about the GMIB rider's protective features.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuine tension between the protective features of the GMIB rider and the aggressiveness of the underlying subaccount allocation relative to the client's documented risk profile and investment history.

Arguments that Huang acted appropriately:

1. The GMIB rider does provide a floor on the income benefit base, meaning that regardless of subaccount performance, Mrs. Fenwick is guaranteed a minimum income stream at annuitization. In this sense, Huang's argument that the client's income need is protected has some merit.
2. The 10-year deferral period provides a long enough time horizon for equity-heavy subaccounts to potentially recover from market downturns, and the purpose of the aggressive allocation is to maximize the possibility that the actual account value exceeds the guaranteed minimum-potentially providing higher income or preserving optionality.
3. At \$285,000, the investment represents 38.5% of liquid assets, leaving \$455,000 outside the annuity for liquidity, short-term needs, and emergencies. Her guaranteed income of \$50,400 covers approximately 81% of her current annual expenses.
4. The recommendation directly addresses her stated primary concern of not outliving her money and generating supplemental income starting at age 78.
5. The branch manager reviewed and approved the transaction after examining the written justification.

Arguments that Huang violated applicable standards:

1. Under FINRA Rule 2330, a member must have a reasonable basis to believe the transaction is suitable, considering the customer's age, financial situation, tax status, investment objectives, and risk tolerance. The subaccount allocation of 70% equity (with substantial exposure to international and small-cap growth) and 30% high-yield bonds is significantly more aggressive than the client's 'moderate growth' risk designation and her historical allocation pattern of 60/40 bonds-to-equities.
2. NAIC Model Regulation 275 requires that an annuity recommendation must be in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, and financial objectives, without placing the producer's interest ahead of the consumer's. The 3.12% total expense ratio is high and may not be justified when less expensive alternatives (fixed indexed annuities with income riders, balanced fund systematic withdrawal strategies) could have addressed the same income gap.
3. Under Reg BI (Rule 15l-1), the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making a recommendation, considering reasonably available alternatives. Huang did not document consideration of any alternative products. The absence of any comparative analysis is a significant procedural deficiency.
4. NY Regulation 187 (if applicable to Ohio through similar state-level adoption or if the product issuer is NY-domiciled) would require that the recommendation be in the best interest of the consumer and that the producer consider the consumer's existing insurance and annuity products.
5. The client's health status ('fair,' managing diabetes for over a decade, recent surgery) raises questions about whether a 10-year deferral with a 7-year surrender period is appropriate, as she may face unexpected medical expenses requiring liquidity.
6. The GMIB rider protects income but does NOT protect account value. If markets decline significantly, the client's account value could be substantially lower than her investment, and she would be locked into

annuitization at potentially unfavorable terms to capture the guarantee. This nuance may not have been adequately explained to a client with no prior VA experience.

7. Academic literature on VA mis-selling has consistently identified aggressive subaccount allocation for conservative or moderate investors as a red flag, particularly when advisors rationalize the allocation by pointing to guarantee riders-since those riders protect a specific benefit calculation, not the client's overall risk exposure or psychological comfort with volatility.

The colleague's informal flag adds color but does not constitute a formal supervisory concern; however, it suggests that a reasonable practitioner in the same position would have questioned the allocation.

Why Borderline

This is a genuine gray area because the GMIB rider does provide meaningful downside protection for the client's primary stated goal (guaranteed future income), which arguably changes the effective risk profile of the investment even though the subaccounts themselves are aggressive. Reasonable practitioners disagree about whether a guarantee rider 'transforms' an aggressive allocation into a moderate-risk recommendation. Additionally, the advisor left a substantial portion of assets outside the annuity for liquidity, and the recommendation was reviewed and approved by a supervisor. However, the mismatch between the documented risk tolerance ('moderate growth'), the client's investment history (conservative-to-moderate), and the actual subaccount allocation (aggressive growth with international and small-cap tilts) creates a plausible suitability concern. The failure to document consideration of less expensive alternatives compounds the issue.

Borderline Factors

- GMIB rider provides genuine downside protection on income benefit, potentially justifying more aggressive subaccount allocation for the specific goal of maximizing future income
- Subaccount allocation (70% equity with international/small-cap tilt, 30% high-yield bonds) substantially exceeds client's documented 'moderate growth' risk tolerance and historical 60/40 bond-heavy allocation
- Client's primary stated objective-not outliving her money-is directly addressed by the GMIB rider, suggesting the recommendation aligns with her goals even if the method is aggressive
- Total expense ratio of 3.12% is high, and no alternative products (fixed indexed annuity, systematic withdrawal) were documented as having been considered
- Client retained \$455,000 (61.5%) of liquid assets outside the annuity, preserving meaningful liquidity
- Client's health status ('fair,' chronic diabetes, recent surgery) introduces uncertainty about whether a 10-year deferral and 7-year surrender period are appropriate
- Client had no prior variable annuity experience and had never held more than 40% equities, raising questions about whether she understood the volatility she would experience in subaccount values
- Branch manager approved the transaction after reviewing the advisor's written rationale, suggesting the firm's supervisory process found the recommendation defensible
- A peer advisor informally questioned the aggressiveness of the allocation, indicating the recommendation was at least debatable among similarly situated professionals

Likely Outcome

A regulator would most likely conclude that the recommendation was a violation, but a moderate one focused primarily on the subaccount allocation rather than the annuity recommendation itself. The core issue is the disconnect between the client's documented risk tolerance of 'moderate growth' and investment

history (never more than 40% equities) versus the 70/30 equity/high-yield allocation within the VA subaccounts. While the GMIB argument has some theoretical merit, regulators have generally not accepted the position that a guarantee rider alone transforms an aggressive allocation into a suitable one for a moderate-risk client, because the rider protects a specific income calculation-not the client's experience of account value volatility or her ability to access funds without loss during the surrender period. The failure to document consideration of less expensive alternatives would be viewed as a procedural deficiency under both the care obligation framework and NAIC Model 275's best-interest standard. However, a regulator might stop short of the harshest sanctions given the supervisor approval, the reasonable liquidity position outside the annuity, and the alignment between the product's income guarantee feature and the client's stated primary concern. The most likely outcome would be a finding of a suitability violation with moderate sanctions (enhanced supervision, possible fine, required restitution of excess fees compared to a more appropriate allocation), rather than a finding of fraud or willful misconduct.

Borderline Scenario 49

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2330 (suitability requirements for variable annuity transactions, including co

Fact Pattern

Margaret Cho, age 62, is a retired elementary school principal with a state pension providing \$68,000 per year and Social Security benefits of \$2,400 per month beginning at age 66. She has \$540,000 in a traditional IRA rollover from a 403(b) plan, \$95,000 in a money market account, and a paid-off home valued at approximately \$380,000. She is in good health and both her parents lived into their mid-90s. Margaret told her advisor, David Reyes, that her primary goals were (1) ensuring she would never outlive her money, (2) having some growth to keep up with inflation, and (3) leaving something meaningful to her two grandchildren. She described herself as 'moderate' when it came to risk but said she 'hated watching her 403(b) drop by a third during 2008' and that experience made her cautious. On her new account paperwork, David recorded her risk tolerance as 'moderate' and her investment time horizon as '20+ years.' In March 2023, David recommended Margaret allocate \$410,000 of her \$540,000 IRA into a variable annuity with a guaranteed minimum income benefit rider. The VA had a total annual expense ratio of 3.12%, including the rider fee of 0.95%, mortality and expense charges of 1.25%, administrative fees of 0.15%, and underlying subaccount expenses averaging 0.77%. The rider guaranteed a 5% annual withdrawal base increase during deferral and a lifetime income stream starting at any point after age 65. David selected an allocation within the VA that was 60% equity subaccounts and 40% bond subaccounts. The surrender period was 7 years with a declining charge starting at 7% in year one. Margaret signed the application after a 90-minute meeting. David also recommended she keep \$130,000 in the IRA invested in a balanced mutual fund portfolio with a 0.65% expense ratio, and retain her \$95,000 money market as an emergency fund. Six months later, Margaret's daughter, who works in banking, reviewed the paperwork and filed a complaint alleging the VA was unsuitable because the equity-heavy subaccount allocation conflicted with her mother's stated aversion to market losses and because the high fees would erode her mother's retirement savings. She also argued that less expensive alternatives such as a fixed indexed annuity or a simple balanced portfolio with systematic withdrawals could have met her mother's goals at a fraction of the cost. David's firm responded that the guaranteed income rider specifically addressed Margaret's fear of outliving her money and that the 60/40 subaccount allocation was necessary to maximize the rider's growth potential

during the deferral period. The firm noted that the guaranteed withdrawal base would increase regardless of market performance, meaning the equity allocation's volatility was mitigated by the floor protection embedded in the rider. The firm also pointed out that Margaret retained \$225,000 outside the VA for liquidity and near-term needs, that her pension and future Social Security covered her basic expenses, and that the VA was designed to provide supplemental inflation-adjusted income beginning at age 69 or 70.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that the recommendation was unsuitable or not in the client's best interest: (1) At 3.12% total annual cost, the VA is expensive, and over a 20-year period the cumulative drag on the \$410,000 investment is substantial-potentially exceeding \$200,000 in total fees depending on performance. A fixed indexed annuity or balanced portfolio with systematic withdrawals could provide income security at significantly lower cost. (2) Margaret explicitly expressed distress about watching her portfolio lose a third of its value in 2008. Placing 60% of the VA subaccounts in equities exposes her to similar short-term volatility, which could cause psychological distress and potentially lead her to make ill-advised changes, even if the rider's guarantee provides a contractual floor. (3) The 7-year surrender period locks up roughly 76% of her IRA assets during a period when she is transitioning from early retirement into her late 60s, a time when unexpected expenses (long-term care, home repairs, medical needs) could arise. (4) Under a best-interest framework, the advisor must consider reasonably available alternatives. A lower-cost guaranteed income solution, such as a single premium immediate annuity or a fixed indexed annuity with an income rider, might have addressed the longevity and inflation concerns at a materially lower cost.

Arguments that the recommendation was suitable and in the client's best interest: (1) Margaret's dominant concern-never outliving her money-is precisely the risk that a guaranteed lifetime income rider is designed to address. The 5% annual rollup on the withdrawal base provides meaningful inflation protection during deferral, which a fixed annuity or systematic withdrawal plan cannot guarantee. (2) The 60/40 subaccount allocation, while equity-heavy in isolation, must be evaluated in the context of the rider: the guaranteed withdrawal base grows at 5% regardless of market performance, meaning the equity exposure provides upside potential without jeopardizing the income floor. Many VA carriers actually require or recommend equity-heavy allocations to maximize rider benefits and to allow the insurance company to hedge properly. (3) Margaret's overall financial picture is strong: a \$68,000 pension, future Social Security of \$28,800/year, \$95,000 in liquid reserves, and \$130,000 in a balanced portfolio outside the VA. She does not need the \$410,000 for at least 7 years, making the surrender period less problematic. (4) Her stated risk tolerance was 'moderate,' not 'conservative,' and her 20+ year time horizon supports meaningful equity exposure. The 2008 experience is relevant but does not necessarily dictate a risk-averse-only allocation, especially when a contractual guarantee backstops the downside. (5) The total recommendation-VA plus balanced fund plus money market-reflects a diversified approach that segments her assets by purpose: guaranteed income, growth, and liquidity. (6) The 90-minute meeting suggests meaningful discussion, though documentation of alternatives considered would strengthen the advisor's position.

Why Borderline

This scenario is genuinely ambiguous because the product selected (VA with income rider) directly addresses the client's primary stated concern (longevity risk), and the client has adequate liquidity and

income outside the VA to support the illiquidity and cost. However, the high total expense ratio, the equity-heavy subaccount allocation that seems to conflict with the client's expressed loss aversion, and the existence of potentially lower-cost alternatives that could achieve similar goals create a legitimate question about whether the advisor prioritized the client's interests or was influenced by the VA's higher compensation. Reasonable compliance professionals could disagree on whether the rider's guarantee sufficiently mitigates the equity allocation concern and whether the cost differential relative to alternatives is material enough to constitute a violation.

Borderline Factors

- Total VA expense ratio of 3.12% is high but not extreme for a product with a guaranteed income rider, and the rider provides a tangible benefit (lifetime income floor) that cheaper products may not replicate exactly
- 60/40 equity-heavy subaccount allocation appears to conflict with client's expressed loss aversion from 2008, but the income rider's guaranteed withdrawal base arguably neutralizes sequencing and market risk for income purposes
- Client's stated risk tolerance was 'moderate' not 'conservative,' creating ambiguity about whether the allocation conflicts with her profile or aligns with it
- 76% of IRA assets are locked in a 7-year surrender period, but client has \$225,000 in accessible assets plus a pension that covers living expenses, reducing near-term liquidity concerns
- Reasonably available lower-cost alternatives exist (fixed indexed annuities, SPIA, balanced fund with systematic withdrawals), but none precisely replicate the combination of growth potential, guaranteed income base rolup, and lifetime payout that the VA rider provides
- Client's longevity expectation (parents lived to mid-90s) strengthens the case for a guaranteed lifetime income product but does not resolve the cost comparison question
- Compensation differential between the VA and lower-cost alternatives is not disclosed in the fact pattern, leaving open the question of advisor motivation

Likely Outcome

A regulator would likely find this a close case but would probably not sustain a violation, provided the advisor can demonstrate adequate documentation of the recommendation rationale, alternatives considered, and the specific role the VA income rider plays in addressing the client's dominant longevity concern. The key factors favoring the advisor are: (1) the product directly addresses the client's primary goal, (2) the client has substantial liquidity and income outside the VA, (3) the 'moderate' risk tolerance and 20+ year horizon support the allocation, and (4) the rider's guarantee mitigates the equity volatility concern in a way that is structurally different from a naked equity portfolio. However, if the advisor cannot produce documentation showing that lower-cost alternatives were evaluated and that the cost differential was justified by the specific rider benefits, a regulator could find a best-interest violation on the grounds of inadequate consideration of reasonably available alternatives. The outcome likely turns on documentation quality and whether the firm can articulate why this specific VA was superior to a fixed indexed annuity with an income rider at roughly half the cost.

Borderline Scenario 50

Topic: *tax_deferred_unnecessary_annuity* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability); SEC Regulation Best Interest*

Fact Pattern

In March 2023, financial advisor Derek Holbrook recommended that his client, Patricia Sung, age 58, purchase a variable annuity with a total premium of \$185,000. Patricia is a senior project manager at a technology firm earning \$142,000 annually. She is divorced with no dependents and plans to retire at age 65. Her net worth at the time of the recommendation was approximately \$1.4 million, broken down as follows: \$620,000 in her employer's 401(k) plan, \$210,000 in a traditional IRA, \$95,000 in a Roth IRA, \$185,000 in a taxable brokerage account (the source of the annuity premium), and \$290,000 in home equity. She had no outstanding debts other than a small remaining mortgage balance of \$48,000.

Derek recommended a variable annuity issued by a well-known national insurer, carrying internal fund expenses averaging 0.74%, a mortality and expense charge of 1.15%, and an administrative fee of 0.10%, bringing the total annual cost to approximately 1.99%. The product included a guaranteed minimum income benefit rider at an additional cost of 0.85% annually, bringing total all-in expenses to roughly 2.84%. The contract carried a seven-year declining surrender charge schedule starting at 7% in year one and decreasing by 1% annually. Derek received a commission of 5.25% on the sale, or approximately \$9,713.

Derek's rationale for the recommendation, as documented in his notes, was multifold. First, he noted that Patricia had expressed significant anxiety about outliving her retirement savings, particularly after watching her mother struggle financially in her late 80s. Second, he pointed out that Patricia's existing retirement accounts were heavily allocated to equity index funds and target-date funds with no guaranteed income features. Third, he calculated that the guaranteed minimum income benefit rider would provide Patricia with a baseline income floor of approximately \$14,200 per year starting at age 67, regardless of market performance, supplementing her Social Security and 401(k) withdrawals. Fourth, he noted that Patricia was in the 24% federal income tax bracket and California's 9.3% state bracket, and that while the annuity's tax deferral would layer on top of her already tax-advantaged accounts, the deferral would allow her to manage her taxable income more strategically in retirement by controlling the timing of withdrawals.

Patricia's investment profile questionnaire indicated a moderate risk tolerance and a primary goal of retirement income security. She checked the box indicating she understood that the annuity's earnings would be taxed as ordinary income upon withdrawal rather than at potentially lower capital gains rates.

Critics of the recommendation note several concerns. Patricia already had \$925,000 in tax-deferred retirement accounts (the 401(k) and traditional IRA), meaning the additional tax deferral provided by the variable annuity was arguably redundant and potentially harmful, since it converts what would have been long-term capital gains in the taxable brokerage account into ordinary income upon withdrawal. The all-in expense ratio of 2.84% is substantially higher than what Patricia was paying on her index fund portfolio in the brokerage account, which had a weighted average expense ratio of 0.06%. Over the seven-year surrender period, Patricia would forfeit flexibility during a critical pre-retirement window when circumstances could change. Furthermore, Patricia had no immediate need for guaranteed income since she would not begin withdrawals for at least seven years, during which time she could have achieved comparable downside protection through a balanced portfolio with significantly lower costs.

However, supporters of the recommendation argue that the guaranteed income rider addressed a genuine and documented psychological need—Patricia's deep fear of longevity risk—and that the income floor could

not be replicated by a simple balanced portfolio, which carries sequence-of-returns risk in the distribution phase. They also note that the \$185,000 represented only about 13% of her total net worth, leaving her with ample liquidity in other accounts. The surrender schedule would expire before her planned retirement date. Derek also documented that he discussed lower-cost alternatives, including a fixed indexed annuity and a systematic withdrawal strategy, but Patricia preferred the upside participation of variable subaccounts combined with the income guarantee. Derek's notes indicate the meeting lasted approximately 90 minutes and that Patricia asked detailed questions about the rider mechanics.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuine tension between cost efficiency and client-specific behavioral needs. Under FINRA Rule 2330, a registered representative recommending a variable annuity must have a reasonable basis to believe the transaction is suitable, considering the customer's financial status, tax status, investment objectives, and whether the customer would benefit from the features of the annuity such as tax-deferred growth, annuitization, death benefits, or guaranteed living benefits. Reg BI's Care Obligation (Rule 15l-1) further requires that the advisor exercise reasonable diligence, care, and skill to understand the product and have a reasonable basis to believe the recommendation is in the customer's best interest at the time.

Arguments supporting a violation: Patricia already had substantial tax-deferred space through her 401(k) and IRA, making the tax-deferral benefit of the VA largely superfluous. Worse, the annuity converts long-term capital gains (taxed at 15% or 20% federally) into ordinary income (taxed at 24% federally plus 9.3% state). The 2.84% all-in cost represents a roughly 2.78% annual drag compared to her existing 0.06% index fund portfolio-over a 20-year period, this cost differential on \$185,000 could amount to over \$100,000 in foregone growth. The seven-year surrender charge restricts access during the crucial transition-to-retirement period. The 5.25% commission creates a material conflict of interest. These factors suggest the advisor may have prioritized compensation over cost-effective alternatives.

Arguments against a violation: The recommendation was not driven solely by tax deferral but primarily by the guaranteed minimum income benefit rider, which addresses a risk (longevity and sequence-of-returns risk) that cannot be perfectly replicated by a low-cost index portfolio. The guaranteed income floor of ~\$14,200/year provides a quantifiable benefit that portfolio withdrawals cannot guarantee. The \$185,000 allocation represents only 13% of Patricia's net worth, leaving her with substantial liquidity elsewhere. The surrender period aligns with her seven-year pre-retirement horizon, meaning she would have full liquidity by her target retirement date. Derek documented a thorough discussion of alternatives and Patricia's informed preference for the VA. Under NAIC Model Regulation 275, the insurance producer must have reasonable grounds for believing the recommendation is suitable, and the recommendation must be based on facts disclosed by the consumer regarding investments, financial situation, and needs-Derek appears to have satisfied this process. NY Regulation 187, applicable if the transaction occurred under New York jurisdiction, imposes a best-interest standard for annuity recommendations, but even under this higher bar, a well-documented recommendation that addresses a genuine client need with a proportionate allocation could survive scrutiny.

The academic literature on VA mis-selling (e.g., GAO reports on variable annuity sales practices) highlights that the most problematic cases involve placing tax-deferred annuities inside already tax-qualified accounts, elderly clients with short time horizons, or clients who cannot afford the illiquidity. Patricia's profile does not squarely fit these high-risk categories. The IRI (Insured Retirement Institute) guidance emphasizes that guaranteed living benefits can serve a legitimate role in retirement income planning even when tax deferral is not the primary motivation.

Why Borderline

The scenario is borderline because the tax-deferral benefit is genuinely redundant and the cost drag is significant, which are classic hallmarks of an unsuitable VA recommendation. However, the primary driver of the recommendation was not tax deferral but the guaranteed income rider, which addresses a documented and legitimate client concern (longevity risk) that low-cost alternatives cannot perfectly replicate. The allocation is proportionate relative to total net worth, the surrender period aligns with the client's timeline, alternatives were discussed and documented, and the client made an informed decision. Reasonable compliance officers could disagree on whether the cost-to-benefit tradeoff crosses the line.

Borderline Factors

- Tax deferral is largely redundant given \$925,000 already in tax-advantaged accounts, and the annuity converts capital gains into ordinary income—a tangible tax disadvantage
- All-in expenses of 2.84% represent a massive cost premium over the client's existing 0.06% index fund portfolio
- The guaranteed minimum income benefit rider addresses a genuine, documented longevity risk concern that cannot be perfectly replicated by a low-cost portfolio strategy
- The \$185,000 premium is only 13% of net worth, leaving substantial liquidity and diversification in other accounts
- The seven-year surrender period aligns with the client's seven-year pre-retirement horizon, mitigating liquidity concerns
- The advisor documented a 90-minute meeting, discussion of alternatives including a fixed indexed annuity and systematic withdrawal strategy, and the client's informed preference
- The 5.25% commission creates a material conflict but is within standard industry ranges for VA products with living benefit riders
- Client's moderate risk tolerance and primary goal of retirement income security are arguably consistent with a guaranteed income product

Likely Outcome

A regulator would most likely find no violation, but would flag the transaction for enhanced scrutiny. The key factors tipping toward compliance are: (1) the primary recommendation driver was the guaranteed income rider rather than tax deferral, (2) the allocation was proportionate to net worth, (3) the surrender period aligned with the client's timeline, and (4) the advisor documented a thorough process including discussion of alternatives. However, a regulator might issue a cautionary finding or require the firm to demonstrate that the advisor adequately explained the tax disadvantage of converting potential capital gains into ordinary income. Under NY Regulation 187's best-interest standard, the analysis would be closer, and a New York regulator might request additional justification for why a lower-cost fixed indexed annuity with a similar income guarantee was not selected. Overall, absent additional red flags (such as a pattern of high-commission VA sales), this transaction would likely survive regulatory review as a defensible, if

aggressive, recommendation.

Borderline Scenario 51

Topic: high_fees_unsuitable | Standard: FINRA Rule 2330 (Variable Annuity Suitability) requires that a registered representative have

Fact Pattern

Margaret Yuen, age 62, is a recently retired school principal with a state pension of \$68,000 per year, Social Security benefits starting at age 67 projected at \$2,400/month, and total liquid savings of approximately \$830,000. She has \$410,000 in a 403(b) plan, \$190,000 in a traditional IRA, and \$230,000 in a taxable brokerage account. She owns her home outright (valued at \$485,000) and has no debt. Her monthly expenses are approximately \$4,800. She told her advisor, Nathan Riordan, that her primary goals were (1) guaranteed lifetime income to supplement her pension, (2) some growth potential to keep pace with inflation, and (3) leaving a meaningful inheritance to her two grandchildren. She described herself as moderately conservative and said she had experienced the 2008 downturn and 'never wanted to go through that again.' She also mentioned she might need access to funds for potential home renovations estimated at \$40,000-\$60,000 within two to three years.

Riordan recommended she roll her entire 403(b) balance of \$410,000 into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider and a death benefit rider. The product carried total annual fees of 3.42%, broken down as: a mortality and expense charge of 1.30%, an administrative fee of 0.15%, average underlying subaccount expenses of 1.07%, a GLWB rider fee of 0.90%, and a death benefit rider fee of 0.00% (included in the M&E). The contract had a seven-year declining surrender charge schedule starting at 7% and declining by 1% per year. The GLWB guaranteed a 5% annual withdrawal rate for life beginning at age 65 if no withdrawals were taken before then. The death benefit would lock in the highest contract anniversary value. The product offered 58 subaccount investment options, and Riordan allocated 60% to equity funds and 40% to bond funds within the annuity.

Riordan documented in his notes that the GLWB addressed Margaret's desire for lifetime income certainty, the death benefit addressed her legacy goal, and the equity exposure addressed inflation concerns. He noted the existing 403(b) was invested in a stable value fund earning 2.1% and a target-date fund with a 0.38% expense ratio, and that the 403(b) plan did not offer any annuitization or guaranteed income options. He also noted that Margaret's pension and future Social Security would cover approximately 85% of her current expenses, meaning the income gap was relatively modest.

Margaret's IRA and taxable brokerage account were left unchanged in a diversified portfolio of index funds and individual bonds with an overall expense ratio of 0.22%. Riordan received a commission of approximately \$24,600 (6% of the \$410,000 rollout) for the variable annuity sale. A comparable immediate annuity from a highly rated insurer could have provided approximately \$1,750/month in guaranteed income starting at age 65 for a \$410,000 premium, with no annual fees but also no growth potential, death benefit, or liquidity. A lower-cost variable annuity from another carrier was available with total fees of 2.15% and a similar GLWB rider, though with a slightly lower guaranteed withdrawal rate of 4.75% and a five-year surrender period.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Riordan violated applicable standards: The total annual fee of 3.42% is exceptionally high and will substantially erode the contract value over time. On a \$410,000 investment, this amounts to approximately \$14,022 in annual charges, meaning the subaccount investments must earn more than 3.42% just to break even before any withdrawals. Over the seven-year surrender period, cumulative fees could exceed \$98,000. A lower-cost variable annuity with a similar GLWB was available at 2.15% total fees, which would save Margaret roughly \$5,200 annually - over \$36,000 during the surrender period alone. The advisor's commission of \$24,600 raises questions about whether cost was adequately weighed against alternatives. Furthermore, Margaret's income gap is modest: her pension covers most expenses, and Social Security will close the gap further at age 67. She may not need \$410,000 committed to a guaranteed income vehicle at all, particularly one with a seven-year surrender charge, given her stated need for \$40,000-\$60,000 in home renovation funds within two to three years. Most variable annuities allow 10% annual free withdrawals without surrender charges, which on \$410,000 would be \$41,000 - potentially sufficient, but only barely, and this would reduce the benefit base for the GLWB. Additionally, the 403(b) already provided tax deferral, so wrapping it inside an annuity provides no incremental tax benefit while adding significant cost layers.

Arguments that the recommendation was suitable and in Margaret's interest: Margaret explicitly stated she wanted guaranteed lifetime income, inflation protection through growth, and a legacy for her grandchildren - the GLWB rider, equity subaccounts, and death benefit rider directly address all three stated objectives. The 403(b) offered no annuitization feature and was mostly in a low-yielding stable value fund, meaning it was not optimally positioned to meet her goals. The variable annuity's GLWB provides a floor of guaranteed income regardless of market performance, directly addressing Margaret's stated fear of another 2008-type loss. Unlike an immediate annuity, the VA preserves liquidity (via the 10% free withdrawal), offers growth potential, and includes a death benefit - all features Margaret wanted. The death benefit rider locks in gains, which addresses the legacy goal in a way an immediate annuity cannot. Riordan left \$420,000 in low-cost investments outside the annuity, demonstrating he did not over-concentrate Margaret in high-fee products. The 403(b) rollover represented approximately 49% of her liquid assets. Riordan also documented his rationale contemporaneously. While a cheaper VA existed, the slightly higher guaranteed withdrawal rate (5% vs. 4.75%) produces approximately \$1,025 more per year in guaranteed income, and the product features were not identical. Reasonable advisors can differ on whether a 127-basis-point fee differential is justified by product feature differences.

Why Borderline

This scenario is genuinely ambiguous because the product's features align with all three of the client's explicitly stated objectives, the advisor documented his rationale, and a substantial portion of the client's assets remained in low-cost investments. However, the fee level is at the high end of the market, a materially cheaper alternative existed, the tax-deferral layering provides no benefit, the client's actual income gap is small, the liquidity constraint created by the surrender charge conflicts with the client's near-term renovation plans, and the commission was substantial. Reasonable compliance professionals could disagree on whether the fee differential and liquidity risk cross the line from an imperfect-but-defensible recommendation into an unsuitable one.

Borderline Factors

- Total annual fees of 3.42% are high but not unprecedented for a VA with living and death benefit riders
- A comparable lower-cost VA at 2.15% total fees existed, but with slightly different guaranteed withdrawal rates and surrender terms
 - Client explicitly requested all three features the product provides: guaranteed income, growth, and legacy
 - Client's actual income gap is modest - approximately \$800/month until Social Security begins, then approximately \$0 - raising the question of whether \$410,000 in a guaranteed income vehicle is disproportionate to the need
 - The 403(b) rollover eliminates no-cost tax deferral in exchange for fee-laden tax deferral with no incremental tax advantage
 - Seven-year surrender schedule creates liquidity tension with client's stated 2-3 year home renovation need of \$40,000-\$60,000
 - 10% annual free withdrawal provision partially addresses near-term liquidity but only marginally
 - Advisor left approximately 51% of liquid assets in low-cost investments, avoiding total concentration
 - \$24,600 commission creates a potential conflict but is standard for VA sales at this premium level
 - Advisor documented rationale contemporaneously, which supports good faith but does not resolve the substantive suitability question

Likely Outcome

A regulator would likely find the recommendation problematic but not clearly unsuitable, resulting in a heightened scrutiny letter or cautionary action rather than a formal enforcement proceeding. The strongest basis for concern would be the availability of a materially less expensive alternative with similar features, the lack of incremental tax benefit in the 403(b)-to-VA rollover, and the liquidity tension with the client's near-term renovation plans. However, the advisor's documentation, the alignment of the product's features with the client's stated goals, and the fact that roughly half of the client's assets remained in low-cost investments all cut in his favor. A regulator applying a pure suitability standard might find this acceptable; one applying a best-interest or care standard with meaningful cost comparison obligations would likely find the advisor failed to adequately justify choosing the higher-cost product over the lower-cost alternative and failed to adequately address the liquidity conflict. The most likely outcome is a deficiency finding with required corrective action rather than a fraud or willful misconduct finding.

Borderline Scenario 52

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2330 (variable annuity suitability, requiring consideration of tax-deferred be

Fact Pattern

Margaret Dalton, age 62, is a recently retired high school principal with a state pension providing \$68,000 annually, Social Security benefits of \$2,200 per month beginning at age 66, and total liquid savings of approximately \$410,000 held across a traditional IRA (\$285,000 in a balanced mutual fund), a savings account (\$75,000), and a small brokerage account (\$50,000 in blue-chip equities). She has no debt, owns her home outright, and her monthly expenses run approximately \$4,200. She has two adult children who are financially independent. Margaret met with her financial advisor, Kevin Briggs, in March 2022 after

attending a dinner seminar hosted by his firm on "retirement income strategies." During their initial meeting, Margaret expressed concern about outliving her savings and wanted to ensure she could maintain her lifestyle and leave something to her children. She described herself as a conservative investor who "couldn't stomach another 2008." On the firm's investor profile questionnaire, she checked boxes indicating a "moderate" risk tolerance, a time horizon of "20+ years," and an investment objective of "growth and income." Briggs noted in his file that Margaret's pension and upcoming Social Security covered her essential expenses, meaning her liquid assets were not needed for day-to-day living. Based on this analysis, Briggs recommended she move \$240,000 from her IRA balanced fund into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The product selected was the Pinnacle SecureGrowth VA, which carried total annual fees of 3.45% (including a 1.35% mortality and expense charge, a 0.95% GLWB rider fee, and underlying subaccount expenses averaging 1.15%). The annuity had a 7-year surrender schedule starting at 7% and declining annually. The GLWB guaranteed a 5% annual withdrawal base growth rate during the deferral period and a guaranteed 4.5% lifetime payout rate once activated. Briggs allocated the VA subaccounts to a mix of 60% equity funds and 40% bond funds, which he described to Margaret as appropriate given the downside protection from the GLWB rider. Margaret signed all disclosures and the application. The firm's compliance department flagged the transaction for supervisory review due to the client's age and the concentration of approximately 58% of her liquid assets in a single illiquid product. The supervising principal approved the transaction after reviewing Briggs's notes, which emphasized that Margaret's pension covered living expenses, the GLWB provided guaranteed income to address her longevity fear, the 20+ year time horizon justified equity exposure within the annuity, and Margaret had sufficient remaining liquid assets (\$170,000) outside the annuity. Six months later, the equity markets declined approximately 18%, and Margaret called Briggs, upset that her VA account value had dropped to \$198,000. While Briggs explained that the GLWB benefit base had continued to grow regardless of market performance and that her guarantees were intact, Margaret said she didn't fully understand that the actual account value could drop so significantly and that she felt misled about the risk. She filed a complaint with the state insurance department, alleging that the product's risk profile was inconsistent with her conservative self-description and that the advisor prioritized commission income (approximately \$14,400 at an estimated 6% gross dealer concession) over her interests.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Briggs violated applicable standards: Margaret consistently self-identified as conservative and stated she 'couldn't stomach another 2008,' yet Briggs placed 58% of her liquid assets into a variable annuity with 60% equity subaccount allocation. Even with a GLWB rider, the client's account value was fully exposed to market volatility, and the distinction between 'benefit base' and 'account value' is notoriously confusing to retail investors. The total annual cost of 3.45% is high relative to alternatives—a fixed indexed annuity or even a simple bond ladder with a deferred income annuity could have addressed longevity risk at substantially lower cost. The 7-year surrender period locks up the majority of a 62-year-old retiree's investable assets during the critical early retirement years when unexpected expenses (health care, home repairs, family emergencies) are most likely. The \$14,400 commission creates at least an appearance of a conflict. Additionally, the questionnaire responses are internally contradictory: Margaret checked 'moderate' risk tolerance but verbally expressed deeply conservative sentiments. A reasonable advisor exercising care should have resolved that inconsistency rather than relying on the more permissive characterization. Under

the NAIC Model Regulation 275, the advisor must have reasonable grounds for believing the annuity is suitable based on facts disclosed by the consumer concerning investments, insurance products, financial situation, and needs, and the transaction must be in the consumer's best interest (as amended in the 2020 revisions). Under FINRA Rule 2330, the advisor must consider whether the customer would benefit from the tax-deferred features, has a long-term investment objective, and could be served by a less costly product. NY Regulation 187 imposes an explicit best-interest standard on annuity transactions effective since 2020, requiring the producer to act in the best interest of the consumer without placing the producer's interests ahead of the consumer's. The SEC's Regulation Best Interest (Rule 15l-1) also requires broker-dealers to act in the retail customer's best interest at the time of the recommendation, with specific obligations regarding disclosure, care, conflict of interest, and compliance. Arguments that Briggs acted appropriately: The recommendation was not facially unreasonable. Margaret's pension and future Social Security fully covered her living expenses, meaning the \$240,000 was genuinely long-term money with a 20+ year horizon. The GLWB rider directly addressed her stated primary concern-outliving her money-by providing a guaranteed income floor regardless of market performance. The 60/40 subaccount allocation is a standard moderate portfolio, consistent with the 'moderate' box she checked, and the GLWB's downside guarantee effectively cushions the real economic risk even if the account value fluctuates. She retained \$170,000 in liquid assets (roughly 3.4 years of expenses even without pension income), which is a reasonable liquidity buffer. Briggs documented his rationale, the transaction was reviewed and approved by a supervising principal, and Margaret signed all required disclosures including prospectus delivery. The mere fact that a less expensive product existed does not automatically make this product unsuitable; the GLWB offered a specific combination of market upside participation plus guaranteed income that a fixed annuity could not replicate. The complaint was triggered by short-term market volatility, but the product was designed for long-term holding-exactly the scenario Briggs described.

Why Borderline

This case sits at the intersection of several genuinely ambiguous factors: the client's verbal conservatism versus her checked 'moderate' tolerance and legitimate 20+ year horizon; the high cost of the product versus its unique guaranteed income feature that directly addresses the client's stated primary concern; the concentration of assets in a single illiquid vehicle versus the presence of substantial liquid reserves and income streams that arguably make the illiquidity irrelevant; and the meaningful commission versus the fact that the supervisor independently approved the transaction after review. Reasonable regulators could disagree about whether the GLWB rider's downside protection effectively neutralizes the risk-profile mismatch, and whether the advisor should have resolved the inconsistency between Margaret's verbal statements and her questionnaire answers in favor of a more conservative product.

Borderline Factors

- Client self-identified as conservative verbally but checked 'moderate' on the written questionnaire, creating an ambiguous risk profile that the advisor resolved in favor of the more permissive reading
- The GLWB rider provides genuine downside protection on the guaranteed income stream, arguably making the equity subaccount allocation less risky in functional terms than it appears on paper
- Total annual fees of 3.45% are high but not extreme for a VA with living benefit riders; cheaper alternatives exist but may not offer identical features
- 58% of liquid assets in one illiquid product is aggressive, but the client's pension and Social Security fully cover living expenses, potentially making liquidity less critical
- The 7-year surrender period is long for a 62-year-old, but the 20+ year time horizon and covered

essential expenses reduce early withdrawal probability

- The \$14,400 commission creates a conflict, but the firm's compliance flagged and independently approved the transaction
- The client signed all disclosures, but the distinction between account value and benefit base is notoriously difficult for retail investors to understand

Likely Outcome

A regulator would most likely find a technical violation or issue a cautionary finding, though not necessarily a severe sanction. The key weakness in the advisor's position is the failure to meaningfully reconcile Margaret's verbal conservatism with the questionnaire result, and the failure to adequately explain and document the client's understanding of account value volatility versus benefit base guarantees. Under the amended NAIC Model 275 best-interest standard and NY Reg 187, the advisor bears the burden of demonstrating the recommendation was in the client's best interest, not merely suitable. A regulator would likely conclude that while the product concept (guaranteed lifetime income) was aligned with Margaret's needs, the specific execution—the cost level, the equity-heavy subaccount allocation for a self-described conservative investor, and the concentration—fell short of the best-interest standard. The most probable outcome would be a finding of inadequate documentation of the risk-profile reconciliation, potentially resulting in enhanced supervision requirements, a modest fine, or a required rescission offer to the client, rather than a fraud finding or license revocation.

Borderline Scenario 53

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2330 (variable annuity suitability - requires reasonable basis to believe cust*

Fact Pattern

Gerald Haywood, age 58, is a recently retired municipal firefighter receiving a \$4,200/month pension with a 2% annual COLA adjustment. He also receives \$780/month in disability payments related to a shoulder injury sustained on the job. His wife, Linda, age 55, works part-time as a dental hygienist earning approximately \$28,000 per year. Together, they have \$410,000 in liquid savings: \$185,000 in a traditional IRA, \$90,000 in a joint brokerage account, and \$135,000 in bank CDs earning 4.1%. They own their home outright (valued at \$340,000) and have no debt. Gerald listed his investment objective on his new account form as 'growth and income' and his risk tolerance as 'moderate.' He told his advisor, Nathan Burris, that he wanted to 'make the money grow a bit but not lose sleep over it,' and mentioned he was concerned about outliving his savings, especially given potential future long-term care costs for Linda's mother, who was recently diagnosed with early-stage dementia.

Burris recommended that Gerald move \$175,000 from his traditional IRA into a variable annuity with an optional guaranteed minimum income benefit (GMIB) rider. The VA had total annual expenses of 3.42% (including the 1.10% mortality and expense charge, 0.85% administrative fees, 0.82% average underlying subaccount expense ratios, and 0.65% for the GMIB rider). Burris allocated the VA subaccounts as follows: 40% to a mid-cap growth fund, 25% to an international equity fund, 15% to a high-yield bond fund, and 20% to a balanced fund. The surrender schedule was 7 years, starting at 7% and declining by 1% per year. Gerald signed all disclosure documents, including a form acknowledging the surrender period and fees.

Burris argued the GMIB rider addressed Gerald's longevity concern, the equity-heavy allocation was appropriate given Gerald's 7+ year time horizon before he would likely need income, and the pension provided a stable income floor that allowed the IRA to be invested more aggressively. He noted that without the VA's guaranteed income feature, Gerald would face sequence-of-returns risk in a standard brokerage account during early retirement.

Eighteen months later, Gerald's subaccounts had declined 14% during a market correction. Gerald called to withdraw \$30,000 to help with unexpected costs related to Linda's mother's care. He was informed he would owe a 6% surrender charge (\$1,800) on the withdrawal amount exceeding the 10% free withdrawal corridor, plus the withdrawal would reduce his future GMIB benefit base. Gerald filed a complaint stating the product was too risky, too expensive, and that he was never told he might need the money for family caregiving costs. Burris's notes from the original meeting reference a discussion about Gerald's 'emergency cushion' of CDs and the joint brokerage account, and that Gerald had said the IRA money was 'longer-term.' However, the notes do not specifically document any discussion about potential caregiving obligations for Linda's mother, despite Gerald's mention of the dementia diagnosis.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises legitimate questions on both sides. Arguments that Burris violated applicable standards: (1) The 3.42% all-in annual expense ratio is significantly above average for VA products and dramatically higher than low-cost alternatives like balanced index funds or even immediate annuities that could have addressed longevity risk more cheaply. Under FINRA Rule 2330(b), a registered representative must have a reasonable basis to believe the customer would benefit from certain features of a VA, such as tax-deferred growth, and the customer has been informed of the product's features. The tax-deferral benefit inside a traditional IRA is redundant, since the IRA is already tax-deferred - this is a classic red flag in VA suitability analysis. (2) The subaccount allocation - 80% equities (including mid-cap growth and international) and high-yield bonds - is arguably aggressive for a 58-year-old moderate-risk retiree, even with a pension floor. The client's stated risk tolerance was 'moderate' and his expressed desire was to 'not lose sleep,' yet the portfolio carried meaningful volatility. (3) Under NAIC Model Regulation 275 and states that have adopted enhanced standards like NY Reg 187, the producer must consider the customer's overall financial profile, including reasonably foreseeable liquidity needs. Gerald explicitly mentioned concern about Linda's mother's dementia, which is a foreseeable trigger for caregiving expenses. Burris's failure to document discussion of this known risk and factor it into the liquidity analysis is problematic. (4) Locking up 43% of Gerald's IRA (\$175,000 of \$410,000 total liquid assets) in a 7-year surrender product when a family caregiving need was on the horizon raises questions about whether sufficient liquid reserves remained. After the VA purchase, Gerald had \$90,000 in brokerage, \$135,000 in CDs, and \$10,000 remaining in the IRA - \$235,000 in liquid assets, which is reasonable but assumes the VA money is truly long-term.

Arguments in Burris's favor: (1) Gerald had \$235,000 remaining in fully liquid assets plus a stable pension and disability income totaling nearly \$60,000/year. The \$175,000 VA allocation represented less than 43% of liquid assets and was funded from the IRA, which Gerald himself characterized as 'longer-term' money. (2) The GMIB rider directly addressed Gerald's stated primary concern - outliving his savings. Few alternative products offer both growth potential and a guaranteed income floor. The rider cost (0.65%) was

within industry norms for GMIB features. (3) The pension provides a genuine income floor that supports a more growth-oriented allocation for the IRA tranche, a concept well-supported in retirement income planning literature. A moderate-risk client with guaranteed income covering basic expenses can reasonably take more equity risk with surplus assets. (4) Gerald signed all disclosures, including acknowledgment of the surrender period and fee structure. (5) The 10% annual free withdrawal corridor and the remaining liquid assets arguably provided adequate short-term liquidity. (6) Burris's notes do reference discussing the emergency cushion, suggesting some liquidity planning occurred. The dementia diagnosis was early-stage and the timing/magnitude of caregiving costs was uncertain.

Under Reg BI (Rule 15l-1), the care obligation requires the advisor to exercise reasonable diligence in understanding the customer's investment profile, including reasonably foreseeable liquidity needs. The question is whether Linda's mother's early-stage dementia created a foreseeable need that should have been weighted more heavily. Under FINRA Rule 2330, the specific VA suitability inquiry focuses on whether the customer would benefit from the product's features (here, the GMIB) and whether the customer has been informed of the product's features including surrender charges. The tax-deferral redundancy inside an IRA is a factor but not automatically disqualifying if other features (the GMIB) provide independent value.

Why Borderline

The case involves a genuine tension between a product feature (GMIB rider) that directly addresses the client's stated primary concern (longevity risk) and several problematic elements: redundant tax deferral, high all-in costs, aggressive subaccount allocation relative to stated moderate risk tolerance, and incomplete documentation of a foreseeable liquidity risk. The client's own characterization of the IRA as 'longer-term' and the existence of substantial remaining liquid assets cut against a finding of unsuitability, while the high fees, aggressive allocation, and documentation gaps cut in favor. Reasonable compliance professionals could disagree on whether the GMIB benefit justified the overall cost structure and whether the allocation was consistent with the customer's stated risk profile when viewed in context of his pension income floor.

Borderline Factors

- Tax-deferred variable annuity placed inside an already tax-deferred IRA - redundant tax benefit but GMIB rider provides independent value
- 3.42% all-in annual expense ratio is high but includes a rider specifically addressing client's stated longevity concern
- 80% equity/high-yield subaccount allocation for self-described 'moderate' risk tolerance client, but pension income floor arguably supports more aggressive posture for surplus assets
- Client mentioned mother-in-law's dementia diagnosis but advisor did not document discussion of potential caregiving costs - foreseeable liquidity need versus speculative timing
- 7-year surrender schedule locks up 43% of liquid assets but client retains \$235,000 in accessible funds plus \$60,000/year in guaranteed income
- Client signed all disclosures and described IRA as 'longer-term' money, but documentation of the suitability rationale is incomplete
- Complaint arose only after a market loss and unexpected expense - hindsight bias complicates assessment of original recommendation

Likely Outcome

A regulator would likely find a partial violation, focusing primarily on two issues: (1) the inadequate documentation of the liquidity analysis given the known dementia diagnosis and foreseeable caregiving costs, and (2) the aggressive subaccount allocation that is difficult to reconcile with the client's documented 'moderate' risk tolerance without more thorough justification in the file. However, the recommendation of the VA itself - given the GMIB rider's alignment with the client's longevity concern and the remaining liquid assets - would likely not be found per se unsuitable. The most probable regulatory outcome would be a finding of supervisory and documentation deficiencies under FINRA Rule 2330 and applicable state insurance suitability standards, with potential monetary sanctions tied to the surrender charge Gerald incurred, rather than a finding that the entire VA recommendation was unsuitable. Under Reg BI's care obligation, the failure to adequately consider and document the foreseeable caregiving liquidity need would likely be cited as a deficiency, though the overall recommendation might survive scrutiny if the advisor could demonstrate through testimony (even if not fully documented) that liquidity planning was discussed.

Borderline Scenario 54

Topic: failure_to_know_customer | Standard: FINRA Rule 2330 (Variable Annuity Suitability - requiring reasonable efforts to obtain c

Fact Pattern

Margaret Hensley, age 62, walked into the branch office of Granite Peak Financial Services in April 2023 and was assigned to advisor Derek Tran. Margaret had recently lost her husband of 38 years and received a \$485,000 life insurance death benefit payout. She also maintained a \$210,000 traditional IRA rollover from a former employer's 401(k), a checking account with approximately \$45,000, and owned her home outright (estimated value \$340,000). She told Derek she had no debt, received \$2,400 per month from Social Security survivor benefits, and expected to begin drawing her own Social Security at 67. She described herself as 'not a risk-taker' and said she wanted her money to 'last and maybe leave something for the grandchildren.' She mentioned she had three grandchildren, ages 4, 7, and 9.

Derek spent approximately 45 minutes with Margaret during the initial meeting. He completed a new account form that listed her investment objective as 'growth and income,' her risk tolerance as 'moderate,' her time horizon as '10+ years,' her annual income as '\$28,800,' her liquid net worth as '\$740,000,' and her total net worth as '\$1,080,000.' He noted her investment experience as 'limited - husband handled finances.' Margaret signed the form without changes.

Over the next two meetings in May 2023, Derek recommended Margaret invest \$410,000 of the life insurance proceeds into a variable annuity issued by Ridgeline Life Insurance Company. The product - the Ridgeline Advantage Plus VA - featured a guaranteed minimum income benefit (GMIB) rider with a 6% simple roll-up rate on the benefit base, a death benefit rider guaranteeing return of premium, and an optional managed volatility portfolio. The total annual cost of the VA, including the mortality and expense charge (1.25%), the GMIB rider fee (1.10%), the enhanced death benefit rider (0.25%), and the underlying fund expenses (averaging 0.72%), was approximately 3.32% annually. The surrender schedule ran for 7 years, starting at 7% and declining by 1% per year. The contract allowed free withdrawals of up to 10% of the account value annually without surrender charges.

Derek explained to Margaret that the GMIB would allow her to 'lock in' a future income stream regardless of market performance, which he characterized as a form of protection. He also noted the death benefit feature would ensure her grandchildren received at least the amount she invested. He recommended she allocate the VA subaccounts to a blend of 60% equity and 40% bond funds. The remaining \$75,000 of the insurance proceeds was placed in a money market account as an emergency fund.

Derek did not ask Margaret about her prescription drug costs (\$380/month not covered by Medicare), did not inquire whether she had long-term care insurance, did not ask about any anticipated major expenses (Margaret later mentioned she had been considering a \$60,000 kitchen and bathroom renovation), and did not document whether Margaret understood the difference between the 'benefit base' used for income calculations and the actual cash surrender value of the annuity. He did not ask about her tax situation in detail beyond noting she expected to be in a 'low bracket.' He also did not explore whether Margaret had consulted with her husband's estate attorney or CPA.

Margaret's signed account opening form and the annuity application both contained her signatures confirming she had received the prospectus and understood the product features. The variable annuity application included a section titled 'Source of Funds,' where Derek wrote 'life insurance proceeds - non-qualified.' A suitability questionnaire attached to the annuity application reflected Margaret's answers as: primary goal - 'guaranteed retirement income,' secondary goal - 'legacy for grandchildren,' investment experience - 'minimal,' and willingness to accept short-term losses for long-term growth - 'somewhat willing.'

Eighteen months later, in October 2024, Margaret needed \$85,000 to pay for the home renovation plus unexpected dental surgery (\$14,000). She withdrew \$41,000 (the 10% free withdrawal amount based on her account value) but faced a 5.5% surrender charge on the remaining \$44,000 she needed, costing her \$2,420 in penalties. She filed a complaint alleging Derek never truly understood her financial situation and put too much of her money in a product she couldn't easily access.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents arguments on both sides regarding whether Derek Tran adequately knew his customer and whether the variable annuity recommendation was suitable or in Margaret's best interest.

****Arguments that Derek violated applicable standards:****

1. ****Incomplete customer profile (failure to know the customer):**** Under FINRA Rule 2330(b), before recommending a variable annuity, a registered representative must make reasonable efforts to obtain information about the customer's financial status, tax status, investment objectives, and other information used to make recommendations. Derek failed to ask about Margaret's ongoing healthcare expenses (\$380/month in prescription costs = \$4,560/year), potential long-term care needs, planned major expenditures (the renovation she was already considering), or her full tax picture. These omissions meant the recommendation was based on an incomplete understanding of her liquidity needs and cash flow requirements.

2. ****Concentration and liquidity concerns:**** Placing \$410,000 of \$485,000 in insurance proceeds (approximately 84.5%) into a single illiquid product with a 7-year surrender schedule is aggressive for a 62-year-old widow with limited investment experience, limited income (\$28,800/year), and no other liquid investments beyond \$120,000 (\$75,000 money market + \$45,000 checking). If Margaret needed funds beyond the 10% annual free withdrawal corridor, she would face significant surrender charges, which is exactly what happened.

3. ****Risk tolerance characterization:**** Margaret described herself as 'not a risk-taker,' yet was documented as 'moderate' risk tolerance and placed in a 60/40 equity-bond allocation inside a VA with 3.32% annual all-in costs. The mismatch between her self-description and the documented profile raises questions about whether Derek shaped the profile to fit the recommendation rather than the reverse.

4. ****Cost burden:**** A 3.32% annual expense drag on \$410,000 is approximately \$13,600 per year. For a client with \$28,800 in annual income and 'limited' investment experience, this is a substantial cost that competes with lower-cost alternatives such as a fixed indexed annuity with income rider or a diversified portfolio of low-cost index funds supplemented by a single premium immediate annuity.

5. ****NY Regulation 187 and Reg BI considerations:**** If Margaret resides in New York, Regulation 187 (effective for annuity recommendations since August 2019) imposes a best-interest standard that requires the advisor to consider reasonably available alternatives. Under SEC Regulation Best Interest (Rule 15l-1), the care obligation similarly requires the advisor to consider costs and reasonably available alternatives. Derek's failure to document consideration of alternatives is problematic.

6. ****NAIC Model Regulation 275 (amended 2020):**** The model regulation requires that the recommendation be in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, and financial objectives. The incomplete fact-finding arguably means Derek could not have formed a reasonable basis for concluding this was in Margaret's best interest.

****Arguments that Derek did NOT violate applicable standards:****

1. ****The product features align with stated goals:**** Margaret explicitly stated she wanted money to 'last' (income security) and to 'leave something for the grandchildren' (legacy). The GMIB rider directly addresses the income goal by providing a guaranteed income floor regardless of market performance. The enhanced death benefit addresses the legacy goal. These are the core use cases for which variable annuities with living and death benefit riders are designed.

2. ****Time horizon supports illiquidity:**** Margaret was 62 with a stated 10+ year time horizon. The 7-year surrender period would expire when she was 69, well before a typical life expectancy. The GMIB rider's roll-up feature incentivizes deferral, which is consistent with her stated timeline.

3. ****Adequate liquidity was maintained:**** Derek kept \$75,000 in a money market account, plus Margaret had \$45,000 in checking and \$210,000 in her IRA - totaling approximately \$330,000 in accessible assets. The 10% annual free withdrawal provision added approximately \$41,000/year in accessible VA funds. The

total accessible funds in any given year (\$330,000 + \$41,000) arguably provided adequate liquidity for foreseeable needs.

4. ****Customer signed disclosures and confirmed understanding:**** Margaret signed the account form, the annuity application, and the suitability questionnaire. She received the prospectus. The documented answers on the suitability questionnaire are consistent with the recommendation.

5. ****The renovation was not disclosed:**** Derek cannot be faulted for failing to account for an expense Margaret did not mention. The \$60,000 renovation came up only later. A reasonable advisor is entitled to rely on information provided by the customer.

6. ****Surrender charge impact was modest:**** The actual surrender charge incurred (\$2,420) represents less than 0.6% of the total VA investment and less than 0.3% of Margaret's total net worth. While inconvenient, this does not necessarily demonstrate unsuitability.

Why Borderline

This scenario is genuinely ambiguous because the variable annuity's features (GMIB rider, death benefit) directly address Margaret's articulated goals of income security and legacy, and the advisor did maintain a meaningful cash reserve outside the annuity. However, the advisor's failure to probe deeper into Margaret's actual cash flow needs, healthcare costs, planned expenditures, and tax situation means the recommendation was built on an arguably incomplete foundation. Reasonable practitioners could disagree about whether the level of fact-finding was sufficient given that the customer was a recently widowed, financially inexperienced 62-year-old, and whether the concentration of 84.5% of the life insurance proceeds in a single illiquid product was excessive despite the liquidity cushion from other assets. The product's 3.32% all-in cost is high but not extraordinary for a VA with living and death benefit guarantees, and the guarantees have genuine economic value. The complaint was triggered by an expense Margaret never disclosed, which complicates the causation analysis.

Borderline Factors

- Margaret's stated goals (income security and legacy) align well with the VA's GMIB and death benefit features, making the product category defensible even if concentration and cost are debatable
- Derek maintained \$120,000 in liquid accounts outside the VA, plus Margaret had a \$210,000 IRA, providing significant accessible assets - but he did not analyze whether this liquidity was sufficient given undiscovered expenses
- The 84.5% allocation of insurance proceeds to a single illiquid product is aggressive but the percentage of total net worth in the VA (\$410,000 of \$1,080,000 = 38%) is more moderate
- Derek's failure to ask about healthcare costs, planned renovations, long-term care needs, and tax situation represents incomplete fact-finding, but the customer also did not volunteer the renovation plans
- Margaret described herself as 'not a risk-taker' but was documented as 'moderate' - the VA's guarantees arguably reduce effective risk despite the 60/40 subaccount allocation
- The 3.32% all-in annual cost is high but reflects genuine guarantee features; cheaper alternatives (e.g., fixed indexed annuity, SPIA + index fund portfolio) exist but may not replicate the exact combination of upside participation, income guarantee, and death benefit
- The actual financial harm (\$2,420 surrender charge) was relatively small, though the complaint also raises the broader concern that she was locked into an unsuitable product

- Margaret signed all disclosure documents and confirmed her understanding, but her 'limited' investment experience and recent bereavement raise questions about whether informed consent was truly informed

Likely Outcome

A regulator would most likely find a violation, though not an egregious one. The primary basis would be the failure to conduct adequate due diligence on Margaret's financial situation before making the recommendation, particularly the omission of healthcare cost analysis, potential major expense inquiry, and tax situation review. Under FINRA Rule 2330(b)'s reasonable-efforts requirement and the NAIC Model 275 best-interest standard (and Reg BI's care obligation if applicable), the incomplete customer profile undermines the foundation of the recommendation. However, because the product features do align with the customer's stated objectives and because meaningful liquidity was preserved, the violation would likely be treated as a supervisory and documentation deficiency rather than outright mis-selling. The likely outcome would be a finding of inadequate fact-finding with remedial measures (enhanced supervision, additional training, possible restitution of the \$2,420 surrender charge) rather than severe sanctions. If this occurred in New York, Regulation 187's documentation requirements would strengthen the case for a violation, as the advisor could not demonstrate that reasonably available alternatives were considered.

Borderline Scenario 55

Topic: complex_products_unsophisticated_investor | Standard: NY Regulation 187 (11 NYCRR 224) imposes a best-interest standard

Fact Pattern

Margaret Kowalski, age 64, retired from a 32-year career as a school cafeteria manager in Rochester, New York, in March 2023. She received a lump-sum pension buyout of \$410,000, which represented approximately 85% of her total liquid net worth. Her remaining assets consisted of \$62,000 in a savings account and a fully paid-off home valued at \$185,000. Her annual Social Security income was \$24,600. She had no other sources of recurring income. Margaret had a high school education and had never owned any investment product other than a savings account and a certificate of deposit. She described her investment objective on intake forms as 'safety and income' and indicated a 'low' risk tolerance. She noted on the new account form that she 'did not understand stocks or bonds but wanted her money to last through retirement.'

Her financial advisor, Dan Reeves, had been referred to her by a neighbor. Dan met with Margaret three times over the course of two weeks in April 2023. During those meetings, Dan explained various retirement income options and ultimately recommended she place \$340,000 into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The product had a 7-year surrender schedule starting at 7% and declining annually, total annual fees of 3.42% (including the mortality and expense charge of 1.25%, the GLWB rider fee of 1.10%, and underlying sub-account expenses averaging 1.07%), and offered a guaranteed withdrawal rate of 5.2% annually for life beginning at age 65. The sub-account allocation Dan recommended was 60% equity funds and 40% bond funds within the variable annuity.

Dan documented in his notes that the GLWB rider effectively addressed Margaret's stated concern about guaranteed lifetime income, providing roughly \$17,680 per year in guaranteed withdrawals regardless of market performance, which when combined with her Social Security would give her approximately \$42,280

annually-enough to cover her stated living expenses of \$38,000 per year. He noted that the guarantee feature differentiated this from a pure market-risk product and that the equity exposure gave Margaret potential for growth to offset inflation over a potentially 25-year retirement horizon.

Margaret kept \$70,000 in her savings account for emergencies. She signed all disclosure documents, including a product prospectus, fee summary, and a statement acknowledging the surrender charges. She initialed a line that read: 'I understand this product has investment risk and fees.'

Eight months later, in December 2023, Margaret's daughter contacted the firm concerned that her mother had been sold an unsuitable product. The daughter noted that Margaret could not explain what a variable annuity was, did not understand the sub-account allocations, and believed her principal was fully guaranteed. Margaret's account had declined approximately 4.6% in value due to equity market fluctuations during a volatile quarter, though the GLWB benefit base had not been affected. Margaret told her daughter she was 'frightened' by the statement showing losses and wanted her money back, but learned she would owe a surrender charge of approximately \$22,100 if she liquidated.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Dan Reeves violated applicable standards: Margaret was a clearly unsophisticated investor with no prior investment experience beyond savings accounts and CDs. Her stated objectives were 'safety and income' with 'low' risk tolerance. Placing 83% of her liquid net worth into a complex variable annuity product with 3.42% in total annual fees, a 7-year surrender period, and 60% equity sub-account allocation appears facially inconsistent with those stated preferences. The high concentration of her liquid assets in a single illiquid product with significant surrender penalties raises serious concerns about whether the recommendation reflected the customer's actual needs. Furthermore, the fact that Margaret could not explain what a variable annuity was eight months later, and believed her principal was fully guaranteed, suggests the product's complexity exceeded her comprehension despite signed disclosures. A signed acknowledgment form does not, standing alone, demonstrate genuine customer understanding-particularly for an investor with no financial sophistication. An income annuity (SPIA) or a fixed indexed annuity with lower fees and no direct market risk could have met her stated income needs without exposing her to equity volatility that she found distressing. The all-in cost of 3.42% annually is at the high end of variable annuity fee ranges, and over a 20-year retirement horizon, aggregate fees could consume a substantial portion of her assets.

Arguments that the recommendation was suitable and in her interest: The GLWB rider directly addressed Margaret's primary concern-guaranteed lifetime income she could not outlive. The guaranteed withdrawal of \$17,680 combined with Social Security exceeded her stated annual expenses by approximately \$4,280, providing a meaningful cushion. Unlike a SPIA, the variable annuity preserved access to her principal (subject to surrender charges that decline over time) and offered potential for growth to address inflation risk over what could be a 25-30 year retirement. Dan retained \$70,000 in liquid savings for emergencies-roughly 22 months of living expenses-which reflects thoughtful liquidity planning. The 60/40 sub-account allocation is moderate, not aggressive, and the GLWB benefit base was unaffected by market losses, meaning the guarantee was performing exactly as intended. Dan met with Margaret three times and

documented his rationale. The fact that the account value declined 4.6% during a volatile quarter does not mean the product was unsuitable; the guarantee was intact and functioning. Margaret's inability to articulate the product features months later may reflect memory or communication issues rather than inadequate disclosure at the point of sale. A fixed annuity would have offered lower guaranteed rates in the prevailing interest rate environment, and a SPIA would have been fully irrevocable with no access to principal whatsoever—arguably a worse liquidity outcome than a variable annuity with declining surrender charges.

Why Borderline

This scenario is genuinely ambiguous because the product's guaranteed income feature directly addresses the client's stated primary need for lifetime income security, and the advisor took reasonable steps including multiple meetings, documented rationale, and maintaining a liquidity reserve. However, the product's complexity, high total fees, long surrender period, significant concentration of liquid net worth, equity market exposure for a low-risk-tolerance investor, and the client's evident post-sale inability to understand what she owned all cut strongly in the other direction. The core tension is between a product whose guarantee mechanically meets the client's income goal versus a product whose complexity, cost structure, and risk characteristics may be fundamentally mismatched with the client's sophistication, risk tolerance, and comprehension—raising the question of whether a simpler, cheaper product could have achieved the same outcome more appropriately.

Borderline Factors

- GLWB rider directly provides the guaranteed lifetime income the client requested, and the income exceeds stated expenses
- Client's extremely low financial sophistication and inability to understand the product post-sale despite signed disclosures
- Total annual fees of 3.42% are high but not extraordinary for a VA with living benefit riders
- 83% concentration of liquid net worth in a single illiquid product with 7-year surrender schedule
- Advisor maintained \$70,000 liquid emergency fund representing approximately 22 months of expenses
- 60% equity allocation in sub-accounts for a client who stated 'low' risk tolerance and 'safety and income' objectives
- Market losses triggered client distress despite the guarantee benefit base being unaffected—raising the question of whether the client understood the distinction
- Alternative products (SPIA, fixed annuity, fixed indexed annuity) could have met income needs with lower complexity and cost but with their own trade-offs
- Three documented meetings suggest meaningful engagement but do not conclusively establish client comprehension
- New York's heightened standard requires the recommendation to be in the customer's best interest considering reasonably available alternatives

Likely Outcome

A New York regulator would likely find a violation, though a reasonable argument exists for the defense. The key factors tipping toward a finding of violation are: (1) the extraordinary concentration of liquid assets in a single complex product for a demonstrably unsophisticated investor; (2) the 60% equity sub-account allocation that is difficult to reconcile with a stated low risk tolerance and safety-first objective, particularly when the client's distress at a 4.6% decline confirms genuine risk aversion; (3) the availability of simpler, lower-cost alternatives such as a fixed indexed annuity with a GLWB or a combination of a SPIA and liquid

investments that could have met her income needs without the complexity, equity exposure, and fee drag; and (4) evidence that the client did not genuinely understand the product despite executed disclosure documents. Under New York's enhanced standard, the advisor must demonstrate the recommendation is in the customer's best interest considering reasonably available alternatives-not merely that the product can technically meet one stated need. The high fee structure and complexity relative to the client's profile would likely be viewed as failing that comparative analysis. However, this would likely result in a supervisory or administrative action rather than a fraud finding, given Dan's documented rationale and the product's genuine income guarantee feature.

Borderline Scenario 56

Topic: annuity_unnecessary_switching | Standard: FINRA Rule 2330 governs variable annuity suitability and requires that exchanges

Fact Pattern

Margaret Kowalski, age 62, is a retired school administrator with a pension of \$4,200/month and Social Security of \$1,900/month. She has \$820,000 in liquid assets, no debt, and owns her home outright. In March 2020, her financial advisor, David Huang, recommended she purchase a variable annuity from Carrier A with a \$275,000 investment. The product included a guaranteed minimum withdrawal benefit rider with a 5% annual step-up, had a 7-year surrender schedule (starting at 7% declining to 0%), total annual expenses of 3.15% (including the rider fee of 1.10%, M&E of 1.25%, and underlying fund expenses of 0.80%), and offered 142 investment sub-account options. Margaret selected a moderately aggressive allocation across six sub-accounts.

In September 2022-roughly 30 months into the surrender period-David contacted Margaret and recommended she exchange the Carrier A annuity for a new variable annuity issued by Carrier B. At the time of the proposed exchange, the Carrier A contract value had declined to \$248,000, meaning Margaret was sitting on an unrealized loss of approximately \$27,000. However, her guaranteed withdrawal base under the step-up rider had locked in at \$289,750 due to a high-water mark captured in late 2021.

The Carrier B product carried total annual expenses of 2.70% (M&E of 1.05%, rider fee of 0.90%, and average sub-account expense of 0.75%), included a similar guaranteed minimum withdrawal benefit with a 5.5% step-up and an enhanced death benefit rider at no additional cost, offered 98 sub-account options, and imposed a new 6-year surrender schedule starting at 6%. David documented that the Carrier B product's lower overall cost of 45 basis points annually, the higher step-up percentage, and the free death benefit enhancement would benefit Margaret over her expected 25-year time horizon, projecting cumulative fee savings of approximately \$28,000 over that period. He also noted that the Carrier B product had received favorable independent ratings for claims-paying ability and that the insurer had a stronger financial strength rating (A++ vs. A+).

However, to execute the exchange, Margaret would forfeit her \$289,750 guaranteed withdrawal base and restart at \$248,000 under the new contract. She would also pay a surrender charge of approximately \$9,920 (4% in year three of the original schedule) on the Carrier A policy. Margaret's new guaranteed base would need to grow to surpass the forfeited amount. David's projections assumed 6.5% average annual

sub-account returns, which would allow the new guaranteed base to exceed the old one within approximately three years.

Margaret signed all required exchange paperwork and a disclosure form acknowledging the surrender charge, the new surrender period, and the loss of the existing guaranteed base. She wrote in her own handwriting on the replacement form: 'I understand I am giving up my current guarantee. David explained everything and I want the better long-term value.' David's notes from the meeting reflect a 90-minute conversation covering the trade-offs. His branch manager reviewed and approved the transaction.

Eighteen months later, Margaret's Carrier B contract value sits at \$261,000 and her new guaranteed base is \$261,000 due to a step-up. She has not yet recouped the surrender charge or reached her prior guaranteed base of \$289,750. Margaret has not filed a complaint, but a routine compliance examination flagged the exchange for review due to the surrender charge and reset of the guarantee base occurring within the surrender period of the original contract.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that the exchange was unsuitable or not in Margaret's best interest:

1. Margaret forfeited a guaranteed withdrawal base of \$289,750 that had been built through favorable market timing, resetting to \$248,000—a loss of \$41,750 in guaranteed benefit value that is difficult to recoup.
2. She paid a \$9,920 surrender charge that represented an immediate, tangible cost with no guarantee of recovery.
3. The new 6-year surrender period effectively locks Margaret into an illiquid position until age 68, resetting the clock when she was already 30 months into a 7-year schedule.
4. David's projections relied on a 6.5% average annual return assumption, which, while not unreasonable for a moderate-aggressive equity allocation, is speculative and not guaranteed. If returns average below that threshold, Margaret may never recoup the lost guaranteed base.
5. The cumulative fee savings of \$28,000 over 25 years are projected and contingent on Margaret holding the new product for its full expected duration. They must also be weighed against the immediate concrete losses (\$9,920 surrender charge plus \$41,750 in forfeited guarantee value).
6. Regulators have historically viewed exchanges within surrender periods with heightened skepticism, particularly where the advisor or their firm earns new compensation on the replacement product.

Arguments that the exchange was suitable and in Margaret's best interest:

1. The 45-basis-point annual fee reduction is significant over a multi-decade time horizon and represents a material improvement in the cost structure that compounds meaningfully.

2. The Carrier B product offers a higher step-up percentage (5.5% vs. 5.0%), which accelerates the growth of the guaranteed base and partially mitigates the reset disadvantage.
3. The enhanced death benefit rider comes at no additional cost, providing meaningful incremental value for estate planning purposes.
4. Carrier B's stronger financial strength rating (A++ vs. A+) reduces counterparty risk on what is fundamentally a long-duration insurance guarantee—a factor that is genuinely material for a product Margaret may rely on for 25+ years.
5. Margaret has substantial liquid assets (\$820,000), reliable pension and Social Security income, and no debt. The \$275,000 annuity represents roughly 33% of her liquid assets, and the surrender charge of \$9,920 is approximately 1.2% of her total liquid net worth—not a catastrophic loss.
6. David conducted a thorough 90-minute meeting, documented the trade-offs, obtained informed written consent in Margaret's own words, and secured branch manager approval. The process was not rushed or perfunctory.
7. Margaret has not expressed dissatisfaction, and her new contract value has already begun recovering. Given sufficient time, the fee savings and higher step-up rate may well produce a superior outcome.
8. The fact that the Carrier A contract was underwater (\$248,000 vs. \$275,000 invested) meant Margaret's actual investment return had been negative, and the lower-cost structure of Carrier B would improve her net returns going forward regardless of the guarantee base calculation.

Why Borderline

This scenario is genuinely ambiguous because the exchange involves both concrete, quantifiable costs (surrender charge, forfeited guarantee base, new surrender period) and plausible long-term benefits (lower fees, higher step-up rate, better insurer financial strength, free death benefit). The advisor followed a thorough process and the client gave informed consent, but the transaction was flagged precisely because within-surrender-period exchanges are inherently suspicious. Reasonable professionals could disagree on whether the projected long-term fee savings and enhanced features justify the immediate guaranteed-value destruction, particularly given the speculative return assumptions underlying the break-even analysis. The client's strong overall financial position cuts both ways: she can absorb the costs, but she also arguably didn't need to take the risk of an exchange at all.

Borderline Factors

- Forfeiture of \$41,750 in locked-in guaranteed withdrawal base value versus 45 bps annual fee savings and higher step-up rate
- Exchange occurred within the surrender period requiring a \$9,920 charge, resetting illiquidity clock
- Break-even analysis depends on a 6.5% return assumption that is plausible but not guaranteed
- Client's strong financial profile (high liquidity, pension, Social Security, no debt) means she can absorb the costs but also arguably didn't need the exchange
- Carrier B's stronger financial strength rating is a legitimate consideration for a 25-year guarantee product

- Thorough documentation, 90-minute meeting, client's handwritten acknowledgment, and branch manager approval suggest robust process
- Compensation to the advisor on the new product creates an inherent conflict even if the recommendation has independent merit
- The free enhanced death benefit provides genuine incremental value not available in the original product
- 18 months post-exchange, the client has not yet recouped the surrender charge or matched the prior guaranteed base

Likely Outcome

A regulator would likely scrutinize this transaction heavily but could go either way. The most probable outcome is a finding of a process deficiency or heightened documentation requirement rather than an outright violation. The advisor's thorough documentation, client consent, and the legitimate cost reduction and feature enhancements provide a credible defense. However, the destruction of \$41,750 in guaranteed value plus the \$9,920 surrender charge-totaling over \$51,000 in immediate economic cost-against projected (not guaranteed) future savings would trouble most examiners. A state insurance department applying a transactions-based review standard might conclude the exchange was not clearly in the client's best interest at the time of the recommendation because the concrete losses exceeded the reasonably certain near-term benefits, and the long-term projections were speculative. A broker-dealer compliance department might require additional documentation showing a more conservative break-even analysis. The likely outcome is a cautionary finding or letter of education rather than a formal enforcement action, with the case turning primarily on whether the advisor's compensation on the new product was materially higher than ongoing trail compensation on the old product-a fact not yet established in the record.

Borderline Scenario 57

Topic: *tax_deferred_unnecessary_annuity* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability); NAIC Model Regulation 275 (S)*

Fact Pattern

Margaret Kowalski, age 58, is a tenured professor at a state university earning \$142,000 per year. She has been working with financial advisor Derek Huang for three years. In March 2023, Margaret received a \$285,000 inheritance from her late aunt. At the time, Margaret already had \$410,000 in her employer's 403(b) plan and \$95,000 in a Roth IRA. She had no debt, owned her home outright, and maintained \$45,000 in a savings account. She told Derek she wanted the inheritance to supplement her retirement income beginning at age 67, approximately nine years away, and that she was comfortable with moderate market risk but did not want to 'gamble with Aunt Helen's money.' She also mentioned she was concerned about outliving her savings given her family history of longevity - her mother lived to 96 and her aunt to 93.

Derek recommended Margaret place the full \$285,000 into a variable annuity with a guaranteed lifetime withdrawal benefit rider. The VA had an all-in expense ratio of 2.85% (including a 1.35% mortality and expense charge, 0.45% administrative fee, 0.65% average underlying subaccount expense, and 0.40% for the lifetime income rider). The contract carried a seven-year surrender schedule starting at 7% and declining by 1% per year. The lifetime withdrawal benefit guaranteed a 5% annual withdrawal rate on a benefit base that would step up annually if the account value exceeded the prior high-water mark.

Margaret signed all disclosure documents and a replacement form confirming she was not exchanging an existing annuity. Derek documented that the guaranteed income rider addressed Margaret's longevity concern and that the moderate-risk subaccount allocation matched her stated risk tolerance. He noted the tax-deferred growth feature of the annuity as a benefit.

Six months later, Margaret's colleague - a finance professor - pointed out that Margaret was placing after-tax dollars into a tax-deferred vehicle when she still had unused capacity in her Roth IRA (she could contribute \$7,500 per year) and could also increase her 403(b) elective deferrals (she was contributing only 6% of salary, well below the \$22,500 annual limit plus the \$7,500 catch-up for those 50 and over). The colleague argued that a low-cost balanced index fund in a taxable brokerage account, combined with maximizing her existing tax-advantaged accounts, would have produced a better after-tax outcome with greater liquidity, given that the VA's tax deferral benefit was largely redundant and the higher expense drag would likely consume any deferral advantage.

Derek responded that the VA's guaranteed lifetime income rider was the central feature of the recommendation, not the tax deferral, and that no combination of index funds could replicate an actuarial guarantee against longevity risk. He also noted that Margaret could have purchased a single premium immediate annuity at retirement, but that locking in the guarantee now at age 58 was advantageous because the cost of the rider would likely increase over time and her health was currently excellent. He further argued that Margaret's existing 403(b) and Roth IRA balances were sufficient for her general retirement needs and that the VA served a distinct 'insurance' function in her overall plan.

Margaret has not filed a formal complaint but has expressed dissatisfaction and asked whether she should surrender the contract and absorb the 7% penalty.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuine tension between the value of a guaranteed income feature and the cost of obtaining that guarantee inside a tax-inefficient wrapper.

Arguments that Derek violated applicable standards:

1. Under FINRA Rule 2330, a registered representative recommending a variable annuity must have a reasonable basis to believe the customer would benefit from certain features of the VA, including tax-deferred growth. Here, Margaret was investing after-tax dollars and had significant unused capacity in both her Roth IRA and 403(b). The tax-deferral benefit - often the primary justification for an annuity - was largely redundant. Gains inside the VA will eventually be taxed as ordinary income rather than at the more favorable long-term capital gains rate available in a taxable account, meaning the deferral benefit may actually be negative after accounting for the 2.85% annual expense drag over nine years.
2. NAIC Model Regulation 275 (as amended to incorporate a best-interest standard) requires that a recommendation be in the consumer's best interest at the time of the transaction, considering reasonably available alternatives. A lower-cost strategy - maximizing existing tax-advantaged accounts and investing

the remainder in low-cost index funds - was a reasonably available alternative that would have preserved full liquidity, reduced expenses by roughly 2.4% per year, and still allowed Margaret to purchase a single premium immediate annuity or deferred income annuity at retirement if she wanted longevity protection at that time.

3. NY Regulation 187 imposes a best-interest standard requiring that the recommendation reflect the care, skill, prudence, and diligence that a prudent person acting in a like capacity and familiar with such matters would use. The regulation explicitly requires consideration of reasonably available alternatives. A regulator applying NY Reg 187 might find that Derek failed to adequately consider the alternative of maximizing existing tax-advantaged vehicles first and purchasing longevity insurance separately or later at a potentially lower total cost.

4. The 2.85% all-in cost is significant. Over nine years on a \$285,000 investment, even assuming 7% gross returns, the expense drag would consume approximately \$95,000-\$110,000 compared to a low-cost alternative. This is a material cost that must be weighed against the benefit of the guarantee.

Arguments that Derek acted appropriately:

1. The central feature of the recommendation was not tax deferral but the guaranteed lifetime withdrawal benefit. Margaret explicitly stated she was concerned about outliving her savings and referenced family longevity history. The GLWB rider provides an actuarial guarantee that cannot be replicated by index funds in any account type. This is an insurance product solving an insurance need.

2. Derek documented the rationale and tied it to Margaret's stated objectives. The recommendation was not driven by tax deferral but by the income guarantee. FINRA Rule 2330 lists multiple features of VAs that may benefit customers, and guaranteed living benefits are among them.

3. The recommendation was appropriately sized relative to Margaret's overall portfolio. The \$285,000 VA represented approximately 34% of her total investable assets ($\$285,000 + \$410,000 + \$95,000 + \$45,000 = \$835,000$). She retained substantial liquidity in her savings account, 403(b), and Roth IRA. The seven-year surrender period aligned with her nine-year time horizon.

4. Derek's point about locking in the rider cost is not frivolous - GLWB rider pricing has historically increased, and some carriers have reduced benefit levels. Securing the guarantee at age 58 in good health has value.

5. The comparison to 'maximize 403(b) and Roth first' conflates annual contribution strategies with lump-sum inheritance deployment. Margaret could not place \$285,000 into her 403(b) or Roth in a single transaction; she could only increase annual contributions by modest amounts over many years. The lump sum needed to be deployed somewhere immediately.

6. Under Reg BI (Rule 15l-1), a broker-dealer must act in the retail customer's best interest but is not required to recommend the lowest-cost option. The Care Obligation requires consideration of reasonably available alternatives, costs, and the customer's investment profile, but a higher-cost product with genuine

insurance features that address a stated customer need can satisfy the standard.

The cost-benefit analysis is genuinely close. Academic literature on variable annuity guarantees suggests that GLWB riders are often priced above their actuarial fair value, but this does not automatically make them unsuitable for risk-averse clients who value certainty. The question is whether the specific magnitude of the cost drag here - approximately 2.85% per year - is justified by the guarantee, given that Margaret had other retirement assets and could have addressed longevity risk through alternative, potentially less expensive means.

Why Borderline

The recommendation addresses a legitimate and documented client concern (longevity risk) with a product specifically designed for that purpose (GLWB rider), but does so at substantial cost inside a tax-inefficient structure when lower-cost alternatives existed for both the investment and the insurance components. The tax-deferral rationale is weak given unused capacity in existing tax-advantaged accounts, but the insurance rationale has independent merit. Reasonable professionals could disagree on whether the guaranteed income feature justifies the total cost and whether the advisor adequately considered alternatives.

Borderline Factors

- Client had significant unused capacity in existing tax-advantaged accounts (403(b) and Roth IRA), undermining the tax-deferral benefit of the VA
- The primary recommendation rationale was the guaranteed lifetime income rider, not tax deferral - an insurance feature with independent value
- All-in expense ratio of 2.85% is high but not extreme for a VA with a living benefit rider; the cost must be weighed against the actuarial guarantee
- Client explicitly expressed longevity concern supported by family history, creating a documented insurance need
- Client could have addressed longevity risk through alternative means - e.g., deferred income annuity at retirement, maximizing Social Security delay, or a low-cost immediate annuity at age 67
- The lump-sum nature of the inheritance creates a legitimate deployment question - the \$285,000 could not be redirected into 403(b)/Roth in a single transaction
- Seven-year surrender period aligns with the nine-year investment horizon but creates meaningful illiquidity for a portion of assets
- The VA represented approximately 34% of total investable assets - a significant but not dominant allocation
- Advisor documented the recommendation rationale and tied it to specific client objectives

Likely Outcome

A regulator would likely find this to be a close case but would probably not sustain a violation, particularly under a suitability standard (FINRA Rule 2330), given the documented longevity concern, the insurance-based rationale, reasonable time horizon alignment, and adequate remaining liquidity. However, under a best-interest standard (NY Reg 187 or NAIC Model 275 as amended), the outcome is less certain. A New York examiner might find that Derek failed to adequately consider and document why reasonably available alternatives - such as maximizing existing tax-advantaged accounts for the investment component and purchasing a separate, potentially lower-cost longevity product - were inferior to the VA. The weakness in the tax-deferral rationale, combined with the high expense ratio, would draw scrutiny. The most likely

result under a best-interest regime would be a supervisory finding requiring enhanced documentation of alternatives considered rather than a finding of outright violation, unless the examination revealed that Derek had a financial incentive (e.g., significantly higher commission on the VA versus alternatives) that was not disclosed or that influenced the recommendation.

Borderline Scenario 58

Topic: senior_investor_exploitation | Standard: FINRA Rule 2330 (Variable Annuity Suitability) - requires consideration of whether the

Fact Pattern

Margaret Halloran, age 74, is a retired school administrator with a pension of \$4,200 per month, Social Security income of \$2,100 per month, and total liquid assets of approximately \$685,000. She has a modest home fully paid off and estimated annual living expenses of \$54,000. She has no long-term care insurance and a family history of dementia, though she currently shows no cognitive impairment and manages her own finances. Her existing portfolio consists of \$410,000 in CDs and money market accounts earning between 0.5% and 1.2%, and \$275,000 in a fixed annuity that matures in three months, originally purchased in 2017 at a 3.1% guaranteed rate.

Her financial advisor, Daniel Prescott, age 41, has been her advisor for six years and was the one who originally placed her in the fixed annuity. In March 2024, as the fixed annuity approached maturity, Prescott recommended that Margaret roll the \$275,000 into a new variable annuity with a guaranteed minimum income benefit (GMIB) rider. The VA he recommended carries total annual expenses of 3.45% (1.30% mortality and expense charge, 0.85% fund expenses, and 1.30% for the GMIB rider). The product has a seven-year surrender period with a declining surrender charge starting at 7%. The GMIB guarantees a 5% annual rollup on a benefit base for income calculation purposes, but only activates after a 10-year waiting period.

Prescott also recommended moving \$150,000 from Margaret's CDs into the same variable annuity, bringing her total VA investment to \$425,000. This would leave her with \$260,000 in CDs and money markets. Prescott documented that the recommendation was driven by Margaret's stated concerns about outliving her money and her desire for growth to keep pace with inflation, noting that her pension and Social Security cover her current expenses and that the VA funds were designated as legacy and long-term income assets she would not need for at least a decade. Margaret signed all disclosure forms and a statement confirming she understood the surrender charges, the risks of the underlying subaccounts, and that the GMIB rider had a 10-year waiting period.

Margaret's daughter, an attorney, later reviewed the paperwork and filed a complaint. She noted that her mother would be 84 before the GMIB rider activates, that the 3.45% total annual cost substantially erodes the account value, that variable annuities carry market risk inappropriate for someone in her mid-70s, and that concentrating 62% of her liquid assets in a single illiquid product with a seven-year surrender period is dangerous given her age and potential future healthcare needs. The daughter also pointed out that Prescott earned an approximately 6.5% commission on the sale (\$27,625).

Prescott responded that Margaret is in good health, lives well within her means, has guaranteed income that exceeds her expenses by over \$2,300 per month, and expressly stated she wanted to leave money to her grandchildren while also protecting against a scenario where she lives into her 90s and faces inflation erosion. He argued the GMIB provides a guaranteed floor that the fixed annuity could not, and that Margaret's risk tolerance questionnaire scored her as "moderate" - a score consistent with her prior investment history, which included a balanced mutual fund allocation in her 403(b) before retirement. He noted that Margaret specifically declined his suggestion to split the money between the VA and a fixed indexed annuity, saying she preferred simplicity and a single product.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Prescott violated applicable standards: The customer is 74 years old, and concentrating 62% of her liquid assets in a single variable annuity with a seven-year surrender period and a GMIB that does not activate for 10 years raises serious age-appropriateness concerns. Under FINRA Rule 2330, member firms must consider whether the customer would benefit from features of a deferred variable annuity given the customer's age and the potential surrender charges. The 3.45% all-in annual cost is on the higher end, and the erosion of principal in a down market could be significant for someone who may face substantial healthcare costs. The GMIB's 10-year waiting period means Margaret would be 84 before the guaranteed income feature provides any benefit - and that assumes she is alive and cognitively able to elect it. If she needs long-term care at 78 or 80, the surrender charges would significantly penalize any early withdrawals beyond the free withdrawal corridor. The NAIC Model Regulation 275, as adopted by most states, requires that the recommendation be in the consumer's best interest at the time of the transaction, considering the consumer's age, liquidity needs, financial situation, and insurance needs. The concentration of assets in a single illiquid product is a significant red flag. Further, under NY Regulation 187 (if applicable), the producer must act in the best interest of the consumer without placing the producer's financial interest ahead of the consumer's - and the \$27,625 commission is notable.

Arguments that Prescott acted appropriately: Margaret's guaranteed income from pension and Social Security (\$6,300/month) substantially exceeds her living expenses (\$4,500/month), leaving a \$1,800+ monthly surplus. This means she genuinely does not need the VA funds for at least a decade, making the long surrender period and GMIB waiting period potentially reasonable. She retains \$260,000 in fully liquid CDs and money markets - roughly five years of total living expenses - as an emergency and healthcare reserve. Her risk tolerance was documented as moderate, consistent with her historical investment profile. The GMIB rider, while expensive, provides a guaranteed income floor that protects against longevity risk, which was her stated primary concern. She signed detailed disclosures and affirmatively declined a split-product approach, indicating informed consent. The replacement of a maturing fixed annuity (not a surrender-and-replace situation) avoids the typical concerns about churning or twisting. Under Reg BI (Rule 15l-1), broker-dealers must consider reasonably available alternatives, but the standard does not require recommending the cheapest product - it requires that the recommendation be in the customer's best interest considering her full profile. Prescott can argue that the GMIB's longevity protection and growth potential, combined with Margaret's strong income floor and liquidity reserves, make this a defensible recommendation.

Why Borderline

This scenario is genuinely ambiguous because the customer has legitimate longevity and inflation concerns that a variable annuity with a GMIB rider can address, and her guaranteed income substantially covers her expenses, arguably making the VA funds truly long-term assets. However, her age (74), the 10-year GMIB waiting period, the 7-year surrender period, the high all-in cost of 3.45%, the concentration of 62% of liquid assets, and the absence of long-term care insurance create meaningful risks that cut the other way. Reasonable compliance professionals could disagree about whether the recommendation reflects genuine best-interest analysis or whether the advisor's commission incentive influenced the product selection and sizing. The customer's informed consent and affirmative product preference further complicate the analysis.

Borderline Factors

- Customer is 74 with a 10-year GMIB waiting period, meaning the key benefit doesn't activate until age 84
- 62% concentration of liquid assets in a single illiquid product versus the 38% remaining in liquid reserves
- Guaranteed income exceeds current expenses by \$1,800+/month, supporting the 'long-term asset' characterization
- 3.45% all-in annual cost is high but not extraordinary for a VA with a GMIB rider
- No long-term care insurance and family history of dementia increase potential future liquidity needs
- Customer scored 'moderate' on risk tolerance and affirmatively declined a split-product alternative
- The fixed annuity was maturing (not being surrendered early), reducing churning/twisting concerns
- \$27,625 commission creates a compensation conflict but is standard for the product type
- Customer signed detailed disclosures indicating awareness of surrender charges and waiting period

Likely Outcome

A regulator would likely find this to be a borderline violation, concluding that while the product type was not per se unsuitable, the sizing of the recommendation was excessive and the concentration risk was not adequately mitigated. The most probable regulatory outcome would focus on the \$150,000 CD transfer as the problematic element - rolling the maturing \$275,000 fixed annuity into a new VA might be defensible standing alone, but pulling an additional \$150,000 from liquid CDs to create a \$425,000 position (62% of liquid assets) in a single illiquid product for a 74-year-old without long-term care insurance likely fails the best-interest standard. A regulator would probably not characterize this as exploitation or churning, but rather as an oversized recommendation that placed too much of the client's liquidity at risk given her age and healthcare vulnerability. The advisor would likely face a requirement for enhanced supervision, possible partial rescission of the CD-funded portion, and additional training rather than severe sanctions.

Borderline Scenario 59

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2330 (Suitability for Variable Annuity recommendations - requires reasonable*

Fact Pattern

Margaret Ellsworth, age 67, retired eighteen months ago from a career as a corporate controller at a mid-size manufacturing company. She has a net worth of approximately \$2.1 million, consisting of \$780,000 in a traditional IRA rolled over from her 401(k), \$410,000 in a taxable brokerage account, \$320,000 in a money market savings account, \$290,000 in home equity, and roughly \$300,000 in other assets including a rental property generating \$1,800 per month. She receives \$2,650 per month in Social

Security and has no pension. Her annual living expenses are approximately \$72,000. She has no outstanding debt and describes her health as 'fair' - she was treated for early-stage breast cancer two years ago and is currently in remission but undergoes quarterly monitoring.

In March 2023, Margaret's advisor, Kevin Dorsey (15 years of experience, Series 6, Series 63, state insurance license), recommended she move \$520,000 from her traditional IRA into a variable annuity with a guaranteed minimum withdrawal benefit (GMWB) rider. The VA offered a lifetime withdrawal rate of 5% starting at age 70, carried a mortality and expense charge of 1.35%, an administrative fee of 0.15%, an average subaccount expense ratio of 0.82%, and the GMWB rider cost 1.10% annually - bringing the total all-in annual cost to approximately 3.42%. The surrender period was seven years with a declining charge starting at 7%.

Kevin documented on the account opening paperwork that Margaret's risk tolerance was 'moderate' and her investment objective was 'growth and income.' He noted that Margaret expressed significant anxiety about outliving her savings, particularly given her health history and the possibility of future medical expenses. Kevin's rationale memo stated that the GMWB rider would provide Margaret with a guaranteed income floor of \$26,000 annually starting at age 70, which combined with Social Security would cover approximately 85% of her living expenses regardless of market performance. He also noted that the VA subaccounts were allocated 55% to domestic equity funds, 15% to international equity, 20% to bond funds, and 10% to a stable value option.

Margaret's daughter, who holds a CFA charter, later reviewed the transaction and filed a complaint. She argued that the 3.42% all-in cost was excessive and would severely erode the account's value, that the seven-year surrender period was inappropriate for someone with health concerns who might need liquidity, that \$520,000 was a disproportionately large allocation to a single illiquid product representing roughly 67% of her mother's IRA and about 25% of her total net worth, and that comparable income guarantees could have been achieved through a fixed indexed annuity at substantially lower cost. She also noted that \$260,000 remained in the IRA in a portfolio of index funds with an expense ratio of 0.08%.

Kevin responded that Margaret specifically wanted downside market protection with upside participation, that the remaining \$260,000 in the IRA plus the \$410,000 brokerage account and \$320,000 in money market savings provided ample liquidity for medical emergencies, that the GMWB benefit base would step up on each contract anniversary if the subaccounts performed well, and that a fixed indexed annuity would not have offered the same growth potential that Margaret wanted. He also noted that Margaret had managed complex financial instruments during her career as a controller and understood the product's mechanics after two separate meetings where he walked through the prospectus and provided a side-by-side comparison of three different products.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents genuinely competing considerations.

Arguments that Kevin violated applicable standards:

1. **Cost concerns**: The 3.42% all-in annual cost is significantly above industry averages even for VA products with living benefit riders. Under FINRA Rule 2330, a member must have a reasonable basis for recommending a VA, including consideration of whether the features justify the higher costs. The daughter's point about a fixed indexed annuity achieving similar guaranteed income at lower cost raises questions about whether the VA recommendation served Kevin's compensation interest rather than Margaret's financial needs.
2. **Concentration risk**: Placing \$520,000 - roughly 67% of her IRA assets - into a single product with a seven-year surrender period is a significant concentration. NAIC Model Regulation 275 requires that recommendations be suitable considering the consumer's existing insurance and financial products, and whether the recommendation effectively concentrates retirement assets in one illiquid vehicle.
3. **Liquidity vs. health risk**: Margaret's cancer history and 'fair' health create a foreseeable scenario where she might need access to funds within the surrender period. While most VAs allow penalty-free withdrawals of up to 10% annually, accessing a larger sum within seven years would trigger significant surrender charges. Under Reg BI's care obligation (Rule 15l-1), the advisor must consider reasonably available alternatives, costs, and the customer's investment profile including liquidity needs.
4. **Risk profile documentation**: Marking Margaret as 'moderate' risk with a 'growth and income' objective while allocating 70% of VA subaccounts to equities for a 67-year-old retiree with health concerns raises questions about whether the risk profile documentation accurately reflected her actual situation, or was documented to fit the recommended product.

Arguments that Kevin acted appropriately:

1. **Longevity risk mitigation**: Margaret's primary stated concern - outliving her savings - is precisely the risk a GMWB rider is designed to address. The guaranteed \$26,000 annual income floor, combined with Social Security, would provide meaningful baseline income security regardless of market conditions. This is a legitimate financial planning purpose.
2. **Adequate remaining liquidity**: Margaret retained \$260,000 in her IRA (liquid), \$410,000 in a brokerage account, \$320,000 in money market savings, and receives rental income. That is approximately \$990,000 in liquid or semi-liquid assets plus ongoing income streams, which provides a substantial buffer for medical emergencies even without touching the VA.
3. **Sophistication and informed consent**: Margaret's career as a corporate controller involved complex financial analysis. Kevin conducted two separate meetings, provided a prospectus, and offered a side-by-side product comparison. This suggests meaningful disclosure rather than a rushed sale.
4. **Growth potential with protection**: Unlike a fixed indexed annuity, the VA subaccounts offer direct equity market participation with the potential for benefit base step-ups. For a client who may live 20+ years and expressed interest in both growth and protection, this hybrid approach is reasonable.

5. ****NY Regulation 187 uncertainty****: If this transaction occurred in New York, the regulatory landscape itself was in flux following the Appellate Division's decision striking down the revised best-interest standard as unconstitutionally vague. Advisors operating during this period faced genuine uncertainty about what standard applied.

The cost issue is the most problematic element. While the GMWB rider serves a legitimate purpose, a thorough analysis should have documented why the particular VA was selected over lower-cost alternatives offering similar guarantees. The concentration level is concerning but arguably mitigated by substantial outside liquidity.

Why Borderline

The recommendation addresses a genuine and articulated client need (longevity protection) using an appropriate product category, and the client had substantial assets outside the VA for liquidity. However, the all-in cost is at the high end of the range, the concentration in a single product is significant for a retiree with health concerns, and the question of whether a lower-cost alternative could have met the same need creates a legitimate dispute about whether the advisor prioritized the client's interest or compensation. The client's sophistication and the adequacy of disclosure further complicate the analysis.

Borderline Factors

- 3.42% all-in annual cost is high but not unprecedented for a VA with a GMWB rider; the question is whether comparable protection was available at materially lower cost
- 67% IRA concentration in one product is aggressive but the client retained approximately \$990,000 in liquid assets outside the VA
- Seven-year surrender period creates liquidity risk for a client with health concerns, but the VA likely permits 10% annual penalty-free withdrawals and the client has other liquid resources
- Client's expressed anxiety about outliving savings directly aligns with the GMWB rider's purpose
- Client's financial sophistication from her career as a corporate controller suggests capacity to understand trade-offs, but sophistication does not eliminate the advisor's obligation
- Advisor documented rationale and conducted multiple meetings with product comparisons, suggesting a deliberate process rather than a hasty sale
- The subaccount allocation (70% equities) may be aggressive for the documented 'moderate' risk profile of a 67-year-old retiree, but equity exposure supports the step-up feature of the GMWB

Likely Outcome

A regulator would likely find this a close case but would probably conclude that the transaction raises sufficient concerns to warrant supervisory scrutiny, if not a finding of a violation. The most vulnerable point is the cost analysis: under both FINRA Rule 2330 and Reg BI's care obligation, the advisor must consider reasonably available alternatives and ensure the recommendation is in the customer's best interest (or suitable, depending on the applicable standard and account type). If lower-cost VAs or fixed indexed annuities with comparable GMWB guarantees were available and Kevin did not document why they were inferior for Margaret's situation, a regulator would likely find this deficient. However, outright sanctions may depend on the strength of the alternatives analysis. If Kevin can demonstrate that the specific VA's step-up provisions, subaccount options, or insurer financial strength ratings justified the cost differential, he may survive scrutiny. The concentration and surrender period issues are mitigated by the client's substantial outside liquidity. Most likely outcome: a supervisory letter or heightened supervision requirement, with

possible disgorgement of excess compensation only if a materially equivalent lower-cost product existed and was ignored.

Borderline Scenario 60

Topic: senior_investor_exploitation | Standard: NY Regulation 187 (11 NYCRR 224), effective August 1, 2019 for annuity transaction

Fact Pattern

Margaret Pellegrini, age 74, is a retired school principal living in Syracuse, New York. She has \$1.2 million in total liquid assets: \$480,000 in a traditional IRA invested in a balanced mutual fund portfolio, \$310,000 in a bank money market account, \$260,000 in a brokerage account holding dividend-paying blue-chip stocks, and \$150,000 in certificates of deposit. She receives \$3,800 per month in pension income and \$2,400 per month in Social Security, for a combined monthly income of \$6,200. Her monthly expenses average \$4,100, leaving a comfortable surplus. She has no debt, owns her home outright, and carries long-term care insurance. She has two adult children who are financially independent and are named as her beneficiaries.

In March 2023, Margaret's financial advisor of nine years, Derek Scanlon, age 42, met with her to discuss her portfolio. Margaret expressed two concerns: (1) she was worried about stock market volatility after seeing her brokerage account drop 18% in 2022, and (2) she wanted to ensure her children would receive a meaningful inheritance even if markets declined further. She also mentioned she had been reading about annuities in a consumer magazine and was curious whether they might help. She did not express any immediate need for additional income, noting her pension and Social Security more than covered her expenses.

Derek recommended she move \$400,000 from her IRA into a variable annuity with a guaranteed minimum death benefit rider and a guaranteed minimum withdrawal benefit rider. The product carried total annual fees of 3.15% (1.35% mortality and expense charge, 0.85% administrative and fund expenses, 0.60% for the death benefit rider, and 0.35% for the withdrawal benefit rider). The annuity had a seven-year surrender charge schedule starting at 7% in year one and declining by 1% annually. The death benefit rider guaranteed that Margaret's beneficiaries would receive no less than the greater of the total premiums paid or the highest anniversary account value, regardless of market performance. The withdrawal benefit rider guaranteed she could withdraw 5% of the benefit base annually for life starting at age 75, regardless of account performance.

Derek documented that the variable annuity addressed Margaret's stated desire for downside protection and inheritance preservation. He noted that the guaranteed death benefit directly addressed her concern about leaving money to her children, and the withdrawal rider provided an optional income floor if her expenses ever increased or other income sources proved insufficient. He also documented that Margaret had \$810,000 in other liquid assets outside the annuity, providing ample liquidity.

However, several complicating facts exist. Margaret's IRA was already invested in a moderate 60/40 balanced fund portfolio with total expenses of 0.45% annually. She had no history of panic-selling during

downturns, having held steady through both the 2008 financial crisis and the 2020 COVID crash. Her health is generally good, though she takes medication for mild hypertension. Margaret's daughter, a CPA, later reviewed the paperwork and raised concerns that the 3.15% annual fee would significantly erode the account over time and that her mother was unlikely to ever need the withdrawal benefit given her pension surplus. The daughter also pointed out that a simple beneficiary designation on the existing IRA would have passed the full account value to the children without the drag of annuity fees.

Derek's compensation on the transaction was a 5.25% upfront commission (\$21,000), compared to the approximately \$1,200 in annual trailing commissions he received on the existing IRA mutual fund holdings. Derek's firm had recently launched a sales campaign encouraging advisors to increase variable annuity production, with quarterly bonuses for advisors exceeding \$500,000 in VA sales. Derek was at \$380,000 for the quarter when he made this recommendation. Margaret signed all disclosure documents and initialed a statement confirming she understood the surrender charges and fee structure.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Derek acted appropriately: Margaret herself raised concerns about market volatility and inheritance protection, and she specifically expressed curiosity about annuities. The guaranteed minimum death benefit rider directly addressed her stated goal of ensuring her children would receive a meaningful inheritance regardless of market performance - a guarantee that a standard IRA mutual fund portfolio cannot provide. The withdrawal benefit rider, while perhaps unnecessary today, provides a hedge against future scenarios such as long-term care costs exceeding her LTC policy limits, unexpected medical expenses, or inflation eroding her fixed pension purchasing power. Derek documented the rationale and left \$810,000 in liquid assets outside the annuity, meaning Margaret retained substantial liquidity and diversification. The seven-year surrender period, while long, is not unreasonable for a client who expressed long-term goals and has ample liquidity elsewhere. Margaret was not cognitively impaired, reviewed all documents, and voluntarily proceeded.

Arguments that Derek violated applicable standards: The 3.15% annual fee is roughly seven times the cost of Margaret's existing portfolio and would consume approximately \$12,600 per year - a significant drag on a 74-year-old client's retirement assets. Over the seven-year surrender period, cumulative fees could exceed \$88,000 before accounting for any market gains. The withdrawal benefit rider appears superfluous given Margaret's \$2,100 monthly income surplus and existing liquidity, suggesting it was added to increase fees rather than address a genuine need. The death benefit rider's value is questionable because Margaret had no history of panic-selling, so the probability that the account would be worth less than \$400,000 at her death (given normal time horizons and diversified investing) is relatively low. A simpler, less expensive solution - such as a fixed indexed annuity with a death benefit, or even maintaining the existing portfolio with a modest allocation shift toward bonds - could have addressed her concerns at a fraction of the cost. The compensation differential is stark: Derek earned \$21,000 upfront versus \$1,200 annually, and his proximity to a firm sales bonus threshold raises questions about whether the recommendation was driven by client need or advisor incentives. Under New York's enhanced standard for annuity transactions, the producer must act in the consumer's best interest, meaning the recommendation must reflect the care, skill, prudence, and diligence that a prudent person would exercise. The fact that Margaret expressed curiosity

about annuities does not relieve Derek of the obligation to recommend only products that are in her best interest, and a less costly alternative likely existed. Margaret's age also triggers heightened scrutiny under broker-dealer internal supervisory procedures for senior investors, including consideration of whether the time horizon, liquidity constraints, and fee burden are appropriate.

Why Borderline

This case is genuinely ambiguous because the product does address Margaret's stated concerns - market downside protection and inheritance preservation - with guarantees that her existing portfolio could not replicate. She had ample liquidity outside the annuity, was not cognitively impaired, and initiated the annuity discussion herself. However, the high fee burden, the questionable necessity of the withdrawal rider, the availability of lower-cost alternatives that could achieve similar goals, and the significant compensation conflict (including the firm sales contest) create real tension. Reasonable regulators could disagree on whether the guaranteed features justify the cost premium for a client in Margaret's specific financial position, particularly given that her behavioral history suggests she did not need the 'insurance' against panic-selling that a guaranteed floor provides.

Borderline Factors

- Client initiated the annuity discussion and articulated specific concerns the product addresses
- 3.15% annual fee versus 0.45% in existing portfolio - a 2.70% annual cost increase on \$400,000
- Withdrawal benefit rider appears unnecessary given \$2,100/month income surplus
- Death benefit rider provides a genuine guarantee not available in standard IRA
- Client is 74 with a 7-year surrender charge period, raising time-horizon concerns
- Client retained \$810,000 in liquid assets outside the annuity
- Advisor earned \$21,000 upfront commission versus \$1,200 annual trailing fee
- Advisor was \$120,000 short of a quarterly VA sales bonus when making the recommendation
- Client had no history of panic-selling in prior downturns, reducing the value of downside guarantees
- Lower-cost alternatives (fixed indexed annuity, allocation shift to bonds) could partially address concerns
- New York's enhanced annuity standard requires best-interest analysis, not merely suitability
- Client was competent, reviewed all disclosures, and voluntarily signed

Likely Outcome

A New York regulator applying the state's enhanced best-interest standard would likely find a violation, though it would be a close call. The primary basis would be that less costly alternatives existed that could have substantially addressed Margaret's concerns, and the advisor failed to demonstrate that the specific product and rider combination was in the client's best interest rather than merely suitable. The unnecessary withdrawal rider, the significant compensation conflict exacerbated by the sales contest, and the cost differential would likely tip the analysis. A FINRA examiner applying the broker-dealer's variable annuity suitability framework would focus on whether the advisor had a reasonable basis for recommending the specific riders and whether the overall cost was justified given the client's profile. The sales contest proximity would draw particular scrutiny. However, the advisor's documentation of rationale, the client's stated objectives, and the preserved liquidity would be strong mitigating factors, likely resulting in a supervisory or cautionary outcome rather than a severe sanction.

Borderline Scenario 61

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2330 requires that prior to recommending a variable annuity, the advisor must*

Fact Pattern

Marcus Ellison, age 58, met with financial advisor Patricia Yuen in March 2023 to discuss rolling over \$410,000 from a 401(k) at his previous employer. Marcus had recently been laid off from a mid-level engineering position and was actively seeking new employment. He told Patricia he expected to find a new job within three to six months and described his risk tolerance as 'moderate.' He mentioned he had about \$85,000 in a savings account, owned his home with \$140,000 remaining on the mortgage, and had no other retirement accounts. He also mentioned, in passing, that his wife had been diagnosed with early-stage multiple sclerosis the prior year, though he did not elaborate on potential future medical costs. Patricia's notes from the meeting reflect the 401(k) balance, his age, his employment status as 'in transition,' his moderate risk tolerance, and the existence of his savings account. Her notes do not mention the wife's medical condition, the mortgage balance, or any discussion of anticipated healthcare expenses.

Patricia recommended a variable annuity with a guaranteed minimum income benefit rider, carrying total annual expenses of 3.15% (including the rider fee of 0.95%, mortality and expense charges of 1.25%, and underlying fund expenses averaging 0.95%). The product had a seven-year surrender schedule starting at 7% and declining annually. Patricia explained that the guaranteed income rider would protect his retirement income floor regardless of market performance and that the underlying subaccounts offered diversified equity and bond exposure consistent with moderate risk. She illustrated that if Marcus began withdrawals at age 65, the rider would guarantee approximately \$2,800 per month for life regardless of account performance.

Marcus signed the application and the replacement paperwork for the 401(k) rollover. He initialed a disclosure acknowledging the surrender charges and fee structure. Patricia earned a 5.5% commission on the sale (\$22,550).

Eight months later, Marcus had not found new employment and needed to access \$60,000 from the annuity to cover living expenses and his wife's medical bills. He was assessed a \$4,200 surrender charge on the withdrawal amount exceeding the 10% free withdrawal corridor. Marcus filed a complaint alleging that Patricia never asked about his wife's health situation or his potential near-term liquidity needs, and that she should have known the product was wrong for someone in his financial position.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises a genuine tension between what the advisor documented and what a reasonable inquiry should have uncovered. On one hand, Patricia gathered core financial data—the 401(k) balance, the client's age, risk tolerance, employment status, and savings. She recommended a product with a guaranteed income floor feature that arguably addressed Marcus's stated concern about retirement security, and he was only seven years from a conventional retirement age. The 3.15% all-in cost, while on the higher end, is not unusual for a VA with a living benefit rider, and a reasonable argument can be made that the guaranteed income feature provided tangible value that lower-cost alternatives without guarantees could not replicate. Marcus also signed disclosures acknowledging the surrender period and fee structure.

On the other hand, the failure to document or apparently even inquire about the wife's MS diagnosis represents a potentially significant gap in the know-your-customer process. A chronic progressive illness in a spouse could dramatically alter liquidity needs, insurance expenses, and retirement planning timelines. Similarly, Patricia's notes reflect awareness that Marcus was unemployed yet she recommended a product with a seven-year surrender schedule and placed virtually his entire retirement savings (\$410,000 of approximately \$495,000 in total liquid assets) into an illiquid vehicle. The \$85,000 savings account represented roughly 10-12 months of estimated living expenses, which could be considered a thin liquidity cushion for an unemployed person with a spouse facing a chronic medical condition. A more thorough inquiry into anticipated healthcare costs, the duration of expected unemployment, potential need for COBRA or private insurance premiums, and overall household cash flow would likely have revealed that near-term liquidity was a significant concern.

The counterargument is that Marcus himself did not volunteer details about his wife's condition or express concern about near-term liquidity. He framed the conversation around retirement planning and described a short expected unemployment window. Advisors are not physicians and cannot be expected to independently assess the financial implications of every medical condition mentioned in passing. Marcus also had \$85,000 in liquid savings, which could be viewed as an adequate emergency fund for someone expecting to return to work within months.

However, regulators generally expect advisors to follow up on material information that a client discloses, even casually. A spouse's chronic illness diagnosis is the type of information that a reasonably diligent advisor should recognize as financially significant and probe further. The combination of unemployment, a chronically ill spouse, concentration of nearly all retirement assets in a single illiquid product, and a seven-year surrender schedule creates a fact pattern where the depth of customer inquiry appears insufficient relative to the complexity of the client's circumstances.

Why Borderline

The advisor did collect basic financial information and the client did not proactively raise liquidity concerns. The product had legitimate long-term benefits (guaranteed income floor) aligned with the client's stated moderate risk tolerance and retirement horizon. However, the failure to follow up on the wife's medical condition and the concentration of nearly all retirement assets into a surrender-charge product during unemployment creates a plausible argument that the customer profile was inadequately developed. Reasonable practitioners could disagree on whether the casual mention of a spouse's medical diagnosis triggers a duty to conduct deeper inquiry, and whether the \$85,000 liquid reserve was sufficient given the totality of circumstances.

Borderline Factors

- Client voluntarily mentioned wife's MS diagnosis but did not elaborate, raising the question of whether the advisor had a duty to probe further
- Client was unemployed but expected short-duration job search, making near-term liquidity needs uncertain at the time of sale
- Approximately 83% of total liquid assets were placed in a single illiquid product with a seven-year surrender period
- The \$85,000 liquid reserve could be viewed as adequate or inadequate depending on assumptions

about healthcare costs and unemployment duration

- The guaranteed income rider provided genuine long-term value for a 58-year-old planning for retirement at 65
- All-in expenses of 3.15% are high but within the range of standard VA products with living benefit riders
- The advisor's notes reflect some but not all material financial facts disclosed by the client
- The 5.5% commission creates an incentive question but is standard for VA products in this category

Likely Outcome

A regulator would most likely find a violation, though not an egregious one. The central issue is the inadequacy of the customer profile rather than the product recommendation itself. The failure to document or follow up on the spouse's chronic illness, combined with the client's unemployed status and the concentration of nearly all retirement assets in a surrender-charge product, would likely be viewed as an insufficient inquiry into the customer's financial situation and needs. Most regulatory frameworks require advisors to make reasonable efforts to ascertain a customer's financial status, liquidity needs, and other relevant circumstances before recommending a complex product like a variable annuity. The casual mention of a spouse's serious medical condition should have prompted additional questions. However, a mitigating factor is that the product itself was not inherently unsuitable for the client's age and stated objectives-the issue is primarily the depth of the information-gathering process. The likely outcome would be a finding of inadequate customer profiling with potential supervisory or remedial consequences, rather than a finding of outright fraud or intentional mis-selling.

Borderline Scenario 62

Topic: senior_investor_exploitation | Standard: FINRA Rule 2330 (variable annuity suitability - requiring reasonable basis to believe t

Fact Pattern

Margaret Kowalski, age 74, is a retired elementary school teacher living in upstate New York. She has a combined net worth of approximately \$1.1 million, consisting of a \$340,000 IRA rollover from her pension buyout, a \$210,000 brokerage account, a \$180,000 fixed annuity maturing in three months, a home valued at \$290,000 (no mortgage), and \$80,000 in bank CDs. Her annual income is \$42,000: \$24,000 from Social Security and \$18,000 from a small survivor pension from her late husband. Her monthly expenses are approximately \$2,800, leaving a modest surplus. She has no long-term care insurance. Her two adult children are financially independent and live out of state. She is in generally good health but takes medication for mild hypertension and early-stage osteoarthritis.

Her financial advisor, Dennis Trainor, age 52, has been her advisor for nine years. In April 2023, as the fixed annuity approached maturity, Trainor recommended that Margaret use \$175,000 of the maturing fixed annuity proceeds to purchase a variable annuity with a Guaranteed Minimum Withdrawal Benefit (GMWB) rider. The product has a mortality and expense charge of 1.30%, an administrative fee of 0.15%, average underlying subaccount expenses of 0.82%, and a GMWB rider fee of 1.05%, bringing the total all-in annual cost to approximately 3.32%. The surrender period is seven years with a declining charge starting at 7% in year one and decreasing by 1% per year. The GMWB rider guarantees a 5% annual withdrawal rate for life on the benefit base, regardless of market performance, which would generate \$8,750 per year.

Trainor's rationale, as documented in his file notes, was as follows: Margaret expressed concern about outliving her money and wanted guaranteed income she could not outlive, especially given that she has no long-term care coverage. The GMWB rider would provide a lifetime income floor of \$8,750 annually starting at age 80 or earlier if needed, effectively functioning as a partial substitute for the pension-like income she valued. Trainor noted that placing the funds in a variable annuity rather than rolling into another fixed annuity allowed Margaret equity-market participation that could grow the benefit base during a period of rising interest rates and recovering equity markets. The fixed annuity she was leaving had been paying 2.1%, and Trainor argued that the GMWB benefit base step-up feature could meaningfully increase her guaranteed income over time if markets performed well. He allocated the subaccounts 55% to a moderate balanced fund, 30% to a bond index fund, and 15% to a large-cap equity index fund.

Margaret signed a disclosure form acknowledging the surrender charges, fees, and the seven-year surrender period. Trainor also documented that Margaret stated she did not anticipate needing the \$175,000 for at least eight years and that her IRA, CDs, and brokerage account provided sufficient liquidity for emergencies and near-term needs.

However, several complicating factors exist. First, Margaret's daughter, Patricia, later complained to Trainor's firm, stating that her mother has shown signs of mild cognitive decline over the past year-occasionally repeating questions and sometimes confusing dates-though Margaret has not been formally diagnosed with any cognitive impairment and maintains her own household independently. Patricia alleges that Trainor should have recognized these signs during their in-person meetings. Second, Trainor earned a commission of approximately \$8,400 (4.8%) on the variable annuity sale, whereas rolling Margaret into a new fixed annuity would have generated a commission of roughly \$1,750 (1%). Third, Margaret already had \$340,000 in her IRA rollover invested in a diversified mix of low-cost mutual funds and ETFs, which already provided her equity-market exposure. Fourth, the guaranteed \$8,750 annual income from the GMWB would not begin for several years and, when compared against simply drawing down \$175,000 over her statistical life expectancy of 13.7 years (about \$12,770 per year without any growth), the guarantee only becomes economically advantageous if she lives well past age 90. Fifth, Trainor did consider but rejected a single premium immediate annuity (SPIA), noting in his file that Margaret wanted to retain access to her principal if a health emergency arose-something a SPIA would not allow-and that the GMWB structure preserved that optionality albeit with surrender charges. Sixth, at the time of the recommendation, several competing products offered lower all-in costs (in the range of 2.50%-2.75%) with comparable GMWB features, and Trainor's firm had a revenue-sharing arrangement with the annuity carrier whose product he recommended.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Trainor violated applicable standards:

1. Cost reasonableness: The 3.32% all-in annual cost is at the high end of comparable variable annuity products. Under FINRA Rule 2330, a registered representative must have a reasonable basis to believe a variable annuity transaction is suitable, including consideration of whether the features and costs are warranted. The existence of materially cheaper products with comparable GMWB riders-potentially saving

Margaret 0.50%-0.80% per year-suggests Trainor may not have adequately evaluated reasonably available alternatives. Under Regulation Best Interest (Rule 15l-1), the care obligation requires that broker-dealers exercise reasonable diligence, care, and skill to identify and consider reasonably available alternatives such that the recommendation is in the customer's best interest. The revenue-sharing arrangement with the recommended carrier further calls into question whether cost comparison was genuinely performed.

2. Commission differential: The \$8,400 commission on the VA versus \$1,750 on a replacement fixed annuity creates a significant conflict of interest. Under Reg BI's conflict-of-interest obligation, firms and advisors must identify and at minimum disclose, and in some cases mitigate or eliminate, material conflicts of interest. Under NY Regulation 187, which applies because Margaret resides in New York, the producer must act in the consumer's best interest and the compensation differential must not be a motivating factor in the recommendation.

3. Cognitive concerns: Under NAIC Model Regulation 275 and its updated suitability framework, as well as FINRA Rule 2165 (financial exploitation of seniors), the advisor has heightened duties when dealing with senior investors. Patricia's allegations that Margaret showed signs of cognitive decline-repeating questions, confusing dates-raise the question of whether informed consent was truly obtained and whether Trainor should have paused the transaction or involved a trusted contact person. The fact that Margaret signed disclosures does not necessarily prove she understood them.

4. Redundant equity exposure: Margaret already had \$340,000 in a diversified IRA with equity exposure. Trainor's rationale that the VA provided equity-market participation is weakened by the fact that this exposure was already available to her at much lower cost. The GMWB guarantee, rather than the market participation, was the true differentiating feature, yet that guarantee comes at a cost of 1.05% annually and only becomes economically advantageous if Margaret survives well past age 90.

5. Surrender period: A seven-year surrender period for a 74-year-old means the product would not be fully liquid until she is 81. While she attested she did not need the funds for eight years, life circumstances for a senior can change rapidly-health decline, need for assisted living, unexpected expenses. FINRA Rule 2330(b) specifically requires consideration of whether the customer would benefit from features of a VA such as tax-deferred growth, annuitization, or death benefits, and whether the customer has a long-term investment horizon.

Arguments that Trainor acted within acceptable bounds:

1. Documented rationale and customer statements: Trainor documented Margaret's stated desire for guaranteed lifetime income and her representation that she did not need the \$175,000 for at least eight years. Her remaining liquid assets (\$340,000 IRA + \$210,000 brokerage + \$80,000 CDs = \$630,000) provide substantial liquidity relative to her \$33,600 annual expenses. The \$175,000 VA represents only about 16% of her total net worth and about 28% of her liquid portfolio-not an outsized concentration.

2. GMWB addresses a real need: Margaret has no long-term care insurance and expressed fear of outliving her assets. The GMWB rider provides a guaranteed income floor of \$8,750 per year for life-a hedge against sequence-of-returns risk and longevity risk that neither a fixed annuity nor a systematic withdrawal plan can

fully replicate. Academic literature on variable annuities with living benefit riders (e.g., studies by Milevsky and Salisbury) has demonstrated that GMWB riders can be rational purchases for retirees concerned about tail longevity risk.

3. SPIA rejection was reasonable: A SPIA would have provided guaranteed income but zero liquidity—a potentially dangerous feature for a 74-year-old without long-term care insurance. The GMWB-equipped VA preserves access to the account value (albeit with surrender charges) while still providing a lifetime income guarantee. This is a legitimate trade-off.

4. Cognitive capacity: Margaret has not been diagnosed with cognitive impairment. She lives independently, manages her own household, and was able to discuss her financial goals with Trainor. The daughter's retrospective observations about repeated questions and date confusion, while concerning, do not establish incapacity. Advisors are not trained diagnosticians, and acting on unsubstantiated family concerns to deny a client agency over her own finances raises its own ethical issues.

5. Moderate allocation: The subaccount allocation (55% balanced, 30% bond, 15% large-cap equity) is conservative-to-moderate, consistent with an investor who wants some growth potential but not aggressive risk.

6. Tax deferral irrelevance was not a factor: Trainor did not use tax-deferred growth as a selling point (the fixed annuity proceeds were already in a non-qualified annuity, so there was no new tax-deferral benefit). His recommendation was based on the GMWB feature, not a tax rationale.

Why Borderline

This scenario is genuinely ambiguous because the recommendation addresses a real and documented client need (guaranteed lifetime income and longevity protection) using a product that structurally fits that need (GMWB rider), and the client had sufficient remaining liquidity. However, the recommendation is clouded by the significant commission differential, the availability of cheaper competing products with similar features, the seven-year surrender period for a 74-year-old, the redundancy of equity exposure already available in her IRA, the firm's revenue-sharing arrangement with the carrier, and the daughter's allegations of early cognitive decline. A reasonable regulator could view this as a conflicted recommendation dressed up with plausible rationale, while an equally reasonable examiner could view it as a thoughtful solution to a legitimate financial planning problem.

Borderline Factors

- Commission differential of nearly 5:1 between the VA and a replacement fixed annuity, creating a material financial conflict
 - All-in cost of 3.32% when comparable products were available at 2.50%-2.75%, with a firm revenue-sharing arrangement with the recommended carrier
 - Seven-year surrender period for a 74-year-old client, restricting liquidity until age 81
 - Undiagnosed but family-reported signs of mild cognitive decline, raising questions about capacity and informed consent without rising to the level of established incapacity
 - Existing equity exposure in a \$340,000 IRA makes the equity-participation rationale for the VA partially redundant
- GMWB guarantee only becomes economically advantageous if client survives well past age 90, roughly

3+ years beyond average life expectancy

- Client expressed a genuine and documented need for guaranteed lifetime income and had no long-term care insurance
- Remaining liquid assets of approximately \$630,000 are substantial relative to the \$175,000 VA purchase
- SPIA alternative was considered and rejected for a defensible reason (zero liquidity)
- Subaccount allocation was conservative-to-moderate and age-appropriate

Likely Outcome

A regulator would most likely find a partial violation-not for recommending a variable annuity with a GMWB rider per se, but for failing to adequately justify the selection of a higher-cost product over reasonably available, materially cheaper alternatives with comparable features, particularly given the firm's revenue-sharing arrangement with the carrier. Under NY Regulation 187's best-interest standard and Reg BI's care obligation, the advisor's failure to document a meaningful cost comparison among similar products is a significant deficiency. The commission differential, while not dispositive alone, amplifies the concern. The cognitive decline allegations would likely trigger a supervisory review but, absent a formal diagnosis or more concrete evidence, would not alone sustain a finding. The overall transaction structure-amount, allocation, rationale of guaranteed income-would likely be found to address a genuine client need. The most probable regulatory outcome would be a finding that the specific product selection was not adequately supported, resulting in enhanced supervision, required remediation or product exchange into a lower-cost equivalent, and possible disgorgement of excess compensation, rather than a finding that the entire transaction was unsuitable.

Borderline Scenario 63

Topic: *illiquid_investments* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability) requires a reasonable basis to believe that the*

Fact Pattern

Margaret Kowalski, age 62, is a recently retired school administrator with a \$1.4 million portfolio consisting of \$680,000 in a 403(b) plan, \$320,000 in a traditional IRA, \$210,000 in a taxable brokerage account, and \$190,000 in savings and money market accounts. She receives a \$4,200/month pension and \$1,100/month in Social Security. Her monthly expenses are approximately \$4,800, meaning her pension and Social Security cover her living costs with a modest surplus. She has no mortgage and no dependents. Her health is good, and both her parents lived into their early 90s.

In June 2023, her advisor, Kevin Driscoll, recommended she move \$275,000 from her traditional IRA into a variable annuity with a guaranteed minimum income benefit (GMIB) rider. The VA has a 7-year surrender period with a declining surrender charge starting at 7% in year one and declining to 0% by year eight. The total annual expense ratio of the VA subaccounts averages 2.15%, which includes the 0.95% GMIB rider charge, a 1.00% mortality and expense charge, and approximately 0.20% in underlying fund expenses. The GMIB guarantees a 5% simple annual increase in the benefit base for income calculation purposes, with a 10-year waiting period before the income benefit can be activated.

Driscoll documented that Margaret expressed significant anxiety about outliving her assets, particularly given her family longevity history. She told him she wanted 'guaranteed income no matter what the market

does' and referenced a friend who lost significant retirement savings during the 2008 financial crisis. Driscoll's notes also reflect that Margaret stated she did not anticipate needing the IRA funds for at least 10-12 years, as her pension and Social Security covered current expenses and she had \$190,000 in liquid savings for emergencies.

However, Margaret's customer profile form listed her risk tolerance as 'moderate' and her investment objective as 'growth and income.' She checked a box indicating her time horizon was '5-10 years,' which arguably conflicts with the 10-year GMIB waiting period. She also indicated on the form that liquidity was 'somewhat important' to her. Driscoll did not recommend any lower-cost alternatives such as a fixed indexed annuity with an income rider (which would have had total costs around 0.60% annually) or a systematic withdrawal strategy from a diversified portfolio of low-cost index funds. He did discuss the VA's tax-deferred growth feature, though the funds were already in a tax-deferred IRA.

Driscoll earned a 5.5% commission on the VA sale, totaling \$15,125. His firm's product shelf included twelve different annuity products from six carriers, including three fixed indexed annuities with income riders and two lower-cost variable annuities with combined expense ratios under 1.40%. Margaret signed all disclosure documents, including the surrender charge schedule and fee summary, and initialed a statement acknowledging the 7-year surrender period.

Eighteen months later, in December 2024, Margaret needed \$45,000 for unexpected home repairs after storm damage that exceeded her insurance coverage. She withdrew \$30,000 from her liquid savings but needed to access the VA for the remaining \$15,000. She was charged a \$900 surrender fee (6% in year two) and also triggered a partial recalculation of her GMIB benefit base. She complained to the firm that she was never told about less expensive options and felt the product was too restrictive for her situation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Driscoll acted appropriately: Margaret had a clearly articulated concern about longevity risk, and the GMIB rider directly addresses that concern by guaranteeing a minimum income stream regardless of market performance. Her stated 10-12 year time horizon for the IRA funds aligns with the 10-year GMIB waiting period. She had \$190,000 in liquid reserves, a pension, and Social Security that covered her living expenses, suggesting the \$275,000 allocated to the VA was genuinely long-term money. The VA represented approximately 19.6% of her total portfolio, leaving over \$1.1 million in other assets, so this was not an excessive concentration in illiquid investments. She signed comprehensive disclosures about surrender charges and fees. Her longevity concern was reasonable-if both parents lived to their 90s, she could have a 30+ year retirement horizon, and the GMIB provides meaningful protection against sequence-of-returns risk.

Arguments that Driscoll violated applicable standards: The customer profile form indicated a 5-10 year time horizon and that liquidity was 'somewhat important,' which conflicts with a product requiring a 10-year waiting period and imposing a 7-year surrender schedule. The 2.15% total annual cost is among the higher options on the firm's product shelf when lower-cost VAs under 1.40% and fixed indexed annuities at 0.60% were available and could have addressed the same longevity concern. Placing tax-deferred IRA money into

a tax-deferred annuity provides no incremental tax benefit, which is a classic red flag in annuity suitability analysis. The 5.5% commission creates a material conflict of interest that should have been weighed against less expensive alternatives. Driscoll's failure to document consideration of any alternatives-particularly the lower-cost options on his own firm's shelf-is problematic under standards requiring producers to consider reasonably available alternatives. The fact that Margaret needed to access funds within 18 months, incurring a surrender charge and GMIB recalculation, suggests the liquidity analysis was insufficient, even though the specific emergency was unforeseeable.

The tension here is between a product that genuinely addresses the client's primary stated concern (longevity risk) versus the availability of materially less expensive products that could have addressed the same concern with greater liquidity and lower cost. The question of whether the GMIB rider's specific guarantee structure justifies the incremental \$2,000+ per year in additional expenses over lower-cost alternatives is genuinely debatable. The IRA-to-VA tax layering issue cuts against the advisor, but is not dispositive if the product features (guaranteed income rider) provide independent value. The conflicting signals on the profile form-moderate risk tolerance and 'somewhat important' liquidity versus the 10-12 year stated horizon in the advisor's notes-create an evidentiary dispute about what the client's actual needs and preferences were.

Why Borderline

This scenario sits in a genuine gray zone because the product addresses the client's primary articulated concern (longevity risk and guaranteed income), the allocation represents a reasonable portion of total assets, and the client had sufficient liquid reserves for normal contingencies. However, the availability of substantially less expensive alternatives on the firm's own shelf that could address the same concern, the IRA-to-VA tax redundancy, the conflicting time horizon and liquidity signals on the profile form versus the advisor's notes, and the significant commission all create legitimate grounds for a finding of unsuitability. Reasonable regulators could disagree on whether the GMIB's specific guarantee features justify the cost premium and illiquidity, or whether the advisor had an obligation to recommend or at least document consideration of the cheaper alternatives.

Borderline Factors

- Product directly addresses client's primary stated concern about longevity risk and guaranteed income
- Client had \$190,000 in liquid reserves plus pension and Social Security covering living expenses, supporting the argument that VA funds were genuinely long-term
- VA represents only ~19.6% of total portfolio, not an excessive concentration
- Conflicting signals between profile form (5-10 year horizon, liquidity 'somewhat important') and advisor notes (10-12 year stated horizon, no anticipated need for funds)
- Total annual cost of 2.15% when firm's shelf included VAs under 1.40% and FIAs at 0.60% with similar income guarantees
- IRA-to-VA placement provides no incremental tax deferral benefit
- 5.5% commission (\$15,125) creates material conflict when lower-commission alternatives existed
- No documented consideration of alternatives despite multiple lower-cost options on the firm's product shelf
- Client signed all disclosures and acknowledged surrender schedule
- The emergency withdrawal at 18 months was unforeseeable but raises questions about adequacy of liquidity analysis

Likely Outcome

A regulator would likely find a violation, though not an egregious one. The primary basis would be the failure to document consideration of reasonably available alternatives, particularly the lower-cost variable annuities and fixed indexed annuities on the firm's own shelf that offered comparable income guarantees. The IRA-to-VA tax layering, combined with the conflicting profile form signals and the significant cost differential, would likely tip the balance. Under modern standards requiring consideration of reasonably available alternatives and cost as a relevant factor, the advisor's failure to even document why the higher-cost product was preferable to cheaper alternatives with similar features would be viewed as a procedural and substantive deficiency. However, the remedial outcome would likely be moderate-possibly requiring the firm to make the client whole for the surrender charge and excess fees rather than a full rescission-because the product does provide legitimate longevity protection and the client had adequate liquid reserves for foreseeable needs.

Borderline Scenario 64

Topic: annuity_unnecessary_switching | Standard: FINRA Rule 2330 (Variable Annuity Suitability) requires that exchanges of variable annuities be in the best interests of the client.

Fact Pattern

Margaret Ellison, age 62, is a retired school principal with a \$1.4 million portfolio consisting of \$600,000 in IRAs, \$350,000 in a 403(b), and \$450,000 in taxable accounts. In March 2020, she purchased a variable annuity from Pinnacle Life Insurance Company through her financial advisor, Derek Yoon, investing \$280,000 of her IRA funds. The Pinnacle product carried a 7-year declining surrender charge schedule starting at 7%, a mortality and expense charge of 1.35%, and included a guaranteed minimum income benefit (GMIB) rider with an annual cost of 0.95%. The annuity's total annual cost was approximately 2.85% including underlying subaccount expenses. The GMIB rider guaranteed a 5% annual rollup on the benefit base for income calculation purposes.

In September 2022, after 2.5 years in the product, Derek recommended that Margaret surrender the Pinnacle annuity and move the proceeds into a new variable annuity issued by Redwood National Life. Margaret paid a surrender charge of approximately \$11,200 (4% of the \$280,000 original investment, as the schedule had declined). At the time of the exchange, her account value had dropped to \$261,000 due to 2022 market declines, but her GMIB benefit base had grown to approximately \$316,000 due to the 5% rollup.

The Redwood product had a 6-year declining surrender charge starting at 6%, a lower M&E charge of 1.10%, and included both a GMIB rider at 0.85% and a guaranteed minimum death benefit (GMDB) enhancement at 0.30%. The total annual cost of the new product was approximately 2.70%, about 15 basis points lower than the Pinnacle product. The Redwood GMIB offered a 5.5% annual rollup on the benefit base, slightly higher than the Pinnacle product's 5%. However, the Redwood GMIB had a 12-year waiting period before the income benefit could be exercised, compared to the 10-year waiting period on the Pinnacle product, of which 2.5 years had already elapsed.

Derek documented that the switch was motivated by the lower overall expense ratio, the enhanced GMDB

feature that Margaret's two adult children would benefit from, and the slightly higher income rollup rate. He also noted that Margaret had expressed dissatisfaction with the Pinnacle product's investment subaccount options, saying she wanted more ESG-focused investment choices, which Redwood offered.

Margaret filed a complaint 18 months later after speaking with another advisor who told her the exchange was harmful. She pointed out that she lost \$11,200 in surrender charges, forfeited 2.5 years of benefit base accumulation under the old GMIB (restarting the clock on the new product's benefit base at the lower account value of \$261,000 rather than the \$316,000 rollup value), and subjected herself to a new 6-year surrender period. She also noted she was not planning to annuitize for at least 8 more years, and the new 12-year waiting period meant she could not exercise the GMIB until age 74 rather than age 69.5 under the old contract.

Derek's branch office manager had signed off on the exchange after reviewing a comparison worksheet. The worksheet showed the lower cost and higher rollup rate but did not include a side-by-side projection showing the net impact of surrendering accumulated benefit base value or the extended waiting period. Margaret had no immediate liquidity needs and described her risk tolerance as moderate. She indicated on her account application that she wanted her portfolio to provide retirement income starting around age 70.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that a violation occurred: The exchange imposed tangible, quantifiable costs on Margaret - \$11,200 in surrender charges, loss of \$55,000 in accumulated GMIB benefit base value (from \$316,000 down to \$261,000), a restart of the surrender charge clock for six new years, and an extension of the GMIB waiting period from 7.5 remaining years to 12 years. The 15-basis-point annual cost reduction translates to roughly \$390 per year in savings on a \$261,000 account, meaning it would take nearly 29 years of cost savings alone to recoup the \$11,200 surrender charge - well beyond Margaret's life expectancy for the product's utility. The 0.5% higher rollup rate on a lower starting benefit base means the new product's benefit base would not catch up to where the old product's benefit base would have been for many years. The supervisor's review was arguably deficient because the comparison worksheet omitted the critical benefit base forfeiture analysis. The exchange also pushed Margaret's earliest income access date from approximately age 69.5 to age 74, conflicting with her stated goal of retirement income around age 70.

Arguments that no violation occurred: The advisor documented legitimate reasons for the switch - lower overall costs, an enhanced death benefit feature meaningful to a client with two children, a higher rollup rate, and the client's expressed desire for ESG investment options unavailable in the old product. The cost savings, while modest, are real and compound over time. Margaret's stated preference for ESG-aligned investing is a valid client-driven consideration that could not be satisfied within the existing contract. The GMDB enhancement provides additional estate planning value. The branch manager reviewed and approved the transaction. Margaret was not planning to annuitize immediately, and the difference between accessing income at 69.5 versus 74 may not be material if she has other income sources (Social Security, 403(b), taxable accounts totaling over \$1 million beyond this annuity). The advisor could argue the holistic improvement in product features justified the transition costs. Additionally, the 2022 market decline reduced the surrender charge in absolute terms compared to what it would have been earlier.

Critical tension: The case turns on whether the marginal improvements (15 bps lower cost, 0.5% higher rollup, ESG options, GMDB rider) collectively outweigh the concrete losses (surrender charges, forfeited benefit base, extended surrender and waiting periods). Regulatory guidance on annuity replacements generally requires that the benefits of a new product materially exceed the costs of leaving the old one, and the quantitative analysis here is unfavorable to the switch when examined purely on income benefit projections. However, the qualitative factors (ESG preference, death benefit) and cost reduction add complexity.

Why Borderline

This scenario is genuinely ambiguous because the advisor identified real, documented advantages of the new product - lower costs, better investment options aligned with client preferences, enhanced death benefit, and a higher income rollup rate - but the quantitative impact of forfeiting accumulated benefit base value and restarting surrender and waiting periods likely outweighs those advantages for several years or possibly permanently. The client's own expressed dissatisfaction with the old product's investment options provides a client-driven rationale, and the supervisor approved the transaction. Reasonable practitioners could disagree about whether qualitative preferences like ESG alignment can justify quantifiable economic losses, and whether the income timing delay from age 69.5 to 74 is material given the client's overall wealth.

Borderline Factors

- Surrender charge of \$11,200 is significant but the percentage had declined from 7% to 4%, suggesting partial passage through the surrender period
- Loss of \$55,000 in accumulated GMIB benefit base is substantial but the benefit base is a notional value used only for income calculation, not actual account value
- The 15 basis point annual cost reduction is real but small relative to the upfront surrender charge paid
- Client expressly requested ESG investment options unavailable in the old product, providing a client-driven rationale
- The 0.5% higher rollup rate partially offsets the lower starting benefit base but mathematical breakeven is many years away
- The GMDB enhancement has genuine value for estate planning given two adult children beneficiaries
- The 12-year waiting period on the new GMIB conflicts with the client's stated goal of income around age 70
- Branch manager review was completed but the comparison worksheet omitted key benefit base forfeiture analysis
- Client has substantial other assets (\$1.12M beyond this annuity) reducing dependence on this specific product for retirement income
- Market timing of the exchange during a downturn meant the account value transferred was depressed relative to the original investment

Likely Outcome

A regulator would more likely than not find a violation, though not an egregious one. The core issue is that the comparison analysis failed to adequately quantify the loss of accumulated GMIB benefit base value and the extended waiting period relative to the client's stated income timeline. While the advisor identified legitimate qualitative benefits, the quantitative harm - particularly the forfeiture of \$55,000 in notional benefit

base accumulation and the 4.5-year delay in income access beyond the client's target age - was inadequately weighed. The supervisory review would also likely be found deficient for approving the exchange without a projection showing the crossover point at which the new product's benefits would exceed the old product's trajectory. However, the client's ESG preference and the documented cost reduction would likely be viewed as mitigating factors, potentially reducing any sanctions. A regulator might characterize this as an inadequately documented exchange rather than a clearly unsuitable one, resulting in supervisory deficiency findings and possible restitution of surrender charges rather than fraud-based penalties.

Borderline Scenario 65

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2330 (Variable Annuity Suitability - specifically subsection (b) requiring rea

Fact Pattern

Margaret Thornton, age 62, is a recently retired school principal with a state pension of \$4,800 per month and Social Security benefits she plans to begin collecting at age 67. She has \$620,000 in a traditional IRA rollover from her 403(b) plan, \$85,000 in a savings account, and a paid-off home valued at approximately \$340,000. She is a widow with two adult children and no dependents. Her monthly expenses are approximately \$3,400, meaning her pension comfortably covers her current needs.

In March 2023, Margaret met with financial advisor Dennis Keller at a local seminar titled 'Protecting Your Retirement from Market Volatility.' During the initial meeting, Dennis administered his firm's standard risk tolerance questionnaire. Margaret's responses placed her in the 'moderate' category - she answered that she could tolerate a 10-15% portfolio decline, that she had a 15-20 year investment horizon, and that she wanted 'steady growth with some protection.' She also mentioned that she was 'terrified of running out of money' and that watching her late husband's investment accounts lose 38% during the 2008 financial crisis had been 'one of the worst experiences of her life.'

Dennis recommended that Margaret allocate \$430,000 of her \$620,000 IRA into an L-share variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The product had total annual fees of 3.45% (including the 1.35% mortality and expense charge, 0.85% for the GLWB rider, and average underlying subaccount expenses of 1.25%). The L-share class had a shorter surrender period of 4 years compared to the B-share version's 7-year surrender period, but the L-share carried higher ongoing M&E charges. The GLWB rider guaranteed a 5% annual withdrawal rate on a benefit base that would increase by the greater of 5% simple interest or the account's high-water mark during a 10-year deferral period.

Dennis documented that the VA was appropriate because Margaret wanted guaranteed income to supplement her pension starting at age 72 when required minimum distributions would begin, because the GLWB would protect against sequence-of-returns risk, and because the tax-deferred growth complemented her long time horizon. He noted her moderate risk tolerance supported allocation to the VA's equity-heavy subaccounts (70% equity, 30% bond subaccounts).

However, several facts complicate the picture. Margaret's IRA was already tax-deferred, so the VA added

no additional tax benefit - it merely layered annuity costs on top of an already tax-advantaged account. Margaret's pension already covered her monthly expenses, and with Social Security beginning at 67, she would have a projected surplus of roughly \$1,700 per month. Her liquid savings of \$85,000 represented approximately 25 months of expenses. The remaining \$190,000 in the IRA was allocated to a balanced mutual fund portfolio with an average expense ratio of 0.62%.

On the other hand, Margaret had explicitly expressed deep anxiety about market downturns, specifically referencing the trauma of 2008. The GLWB rider would provide a guaranteed income floor regardless of market performance - a feature not available through a simple mutual fund portfolio. Dennis had also considered a fixed indexed annuity but determined that the variable annuity's equity subaccounts would provide better long-term growth potential suited to Margaret's 15-20 year horizon. Margaret signed all disclosure forms, including a form confirming she understood the fees and surrender charges, and she was provided a 30-day free-look period which she did not exercise.

Fourteen months later, Margaret's daughter, a CPA, reviewed the statements and filed a complaint arguing that the high-cost VA was unnecessary given her mother's secure income, that placing it inside an IRA eliminated the only unique tax advantage of an annuity, and that a low-cost balanced index fund portfolio would have served her mother better at a fraction of the cost.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents genuinely competing considerations. Arguments that Dennis violated applicable standards include: (1) The 3.45% total annual cost on \$430,000 represents approximately \$14,835 per year in fees, which over a 10-year deferral period could consume over \$148,000 in fee drag - a substantial headwind against accumulation. A low-cost balanced fund portfolio at 0.62% would cost roughly \$2,666 annually on the same amount, a difference of over \$12,000 per year. (2) Placing a variable annuity inside an already tax-deferred IRA eliminates the product's primary tax advantage, as the IRA already provides tax deferral. This is a well-documented concern highlighted in both FINRA Rule 2330(b), which specifically requires heightened scrutiny of VA purchases within tax-qualified accounts, and in multiple GAO reports on VA mis-selling. (3) Margaret's pension already covers her expenses, and with Social Security she will have significant surplus income, arguably reducing the need for a guaranteed income product. (4) Allocating 69% of her IRA (\$430,000 of \$620,000) to a single, high-cost product creates significant concentration in one product type.

Arguments supporting the recommendation include: (1) The GLWB rider provides a genuinely unique benefit not available through a standard mutual fund portfolio - a guaranteed income floor that protects against both longevity risk and sequence-of-returns risk. This is a product feature, not merely tax deferral, that justifies the annuity wrapper even within an IRA. NAIC Model Regulation 275, as revised in 2020, explicitly recognizes that producers may recommend annuities within qualified plans if justified by non-tax features. (2) Margaret's documented fear of market losses - specifically citing a traumatic 38% loss experience - supports a recommendation that includes downside protection. Her questionnaire responses placing her at 'moderate' risk tolerance, combined with her expressed anxiety, could reasonably support the GLWB as addressing her emotional and behavioral risk of panic-selling during a downturn. (3) Dennis

considered alternatives (including a fixed indexed annuity) and documented his reasoning for selecting the VA. (4) The L-share's shorter surrender period provides earlier liquidity compared to a B-share, which could be seen as a client-friendly choice. (5) Margaret retained \$190,000 in lower-cost balanced funds plus \$85,000 in liquid savings, so not all assets were concentrated in the VA. (6) Margaret signed disclosure forms and had a free-look period.

Under NY Regulation 187's best-interest standard (applicable if Margaret were in New York), the analysis would focus on whether there was a reasonable basis to believe the recommendation was in the consumer's best interest at the time, considering reasonably available alternatives. Under FINRA Rule 2330, the registered representative must have a reasonable basis to believe the customer would benefit from certain features of the VA, and special scrutiny applies to VA purchases in qualified accounts. Under Reg BI (Rule 15l-1), the advisor's recommendation must be in the retail customer's best interest and not place the advisor's interest ahead of the customer's, considering the costs, reasonably available alternatives, and the customer's profile.

The compensation structure is also relevant. L-share classes often provide comparable or higher upfront commissions to the advisor compared to B-shares, and the ongoing higher M&E charges benefit the insurer and indirectly the advisor's firm. If Dennis received a meaningful commission on the \$430,000 sale, this creates a conflict of interest that must be addressed under any applicable standard. Texas adopted annuity suitability disclosures in 2021 (28 TAC §3.9721-9722) aligned with the revised NAIC model, which requires that the recommendation be in the consumer's best interest considering the consumer's financial situation, insurance needs, and financial objectives.

Why Borderline

This is a genuine gray area because the customer's emotional profile (deep fear of market loss) and stated desire for protection provide a plausible rationale for a guaranteed-income product, even though quantitative analysis suggests a lower-cost portfolio would likely produce better net outcomes. The GLWB rider provides a real, non-tax benefit that cannot be replicated by a simple investment portfolio. However, the high fees, the IRA-within-VA redundancy, the client's already-secure income from pension and Social Security, and the concentration of 69% of retirement assets in a single high-cost product all raise serious concerns. Reasonable compliance professionals could disagree on whether the behavioral and psychological benefits of the guarantee justified the significant cost differential.

Borderline Factors

- Customer's documented and specific fear of market downturns based on traumatic personal experience supports the behavioral rationale for downside guarantees
- 3.45% total annual fees versus 0.62% for an alternative portfolio represents a substantial cost difference that compounds significantly over the 10-year deferral period
- Placement of a variable annuity inside an already tax-deferred IRA eliminates the primary tax advantage of the annuity wrapper
- Customer's pension and projected Social Security already cover living expenses with surplus, reducing the objective need for guaranteed income
- 69% of total IRA assets allocated to a single high-cost product raises concentration concerns
- The GLWB rider provides a genuine non-tax benefit - guaranteed lifetime income floor - that is not replicable through standard portfolio construction

- Advisor documented consideration of alternatives and rationale for product selection
- L-share class chosen has shorter surrender period but higher ongoing fees, which may or may not align better with client needs depending on time horizon
- Customer completed all disclosures and did not exercise the free-look period, but customer financial literacy level is unclear
- Remaining \$275,000 (\$190K IRA + \$85K savings) was invested in lower-cost options, providing some diversification and liquidity

Likely Outcome

A regulator would most likely find a violation, though it would be considered a close case. The primary factors driving this conclusion would be: (1) the failure to adequately justify the VA's placement inside a tax-qualified account despite FINRA Rule 2330(b)'s explicit requirement for heightened scrutiny of such transactions; (2) the significant cost differential between the recommended product and reasonably available alternatives, particularly given that the customer's secure pension and upcoming Social Security benefits reduce the objective need for a guaranteed income product; and (3) the concentration of nearly 70% of retirement assets in a single high-fee vehicle. While the GLWB rider's behavioral benefit for a risk-averse client is a legitimate consideration, a regulator would likely conclude that the magnitude of the cost disparity - potentially exceeding \$120,000 in excess fees over the deferral period - was not adequately justified by the incremental psychological comfort, especially given the customer's already-secure baseline income. A likely resolution would be a finding of unsuitable recommendation with potential restitution of excess fees, though the advisor's documentation and the client's disclosures would likely be mitigating factors in any penalty determination.

Borderline Scenario 66

Topic: *high_fees_unsuitable* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability): Requires that the advisor have a reasonable*

Fact Pattern

Margaret Kowalski, age 62, retired early from her position as a hospital administrator in March 2023 with a lump-sum pension distribution of \$485,000. She also has \$210,000 in a 401(k) rollover IRA invested in a target-date fund, a \$95,000 savings account, and receives \$2,400 per month in Social Security benefits. She owns her home outright. Her stated goals on intake documents were: (1) guaranteed lifetime income beginning at age 67, (2) protection of principal from market downturns, and (3) leaving a legacy to her two adult children. She described her risk tolerance as 'moderate-conservative' and noted she had 'some experience' with mutual funds but had never owned an annuity. Her annual living expenses are approximately \$54,000.

Her financial advisor, Daniel Prescott, who has been in practice for 18 years, recommended she place the entire \$485,000 pension distribution into a variable annuity with a Guaranteed Minimum Income Benefit (GMIB) rider and an enhanced death benefit rider. The base contract carried a mortality and expense charge of 1.35%, an administrative fee of 0.15%, and average underlying subaccount expenses of 0.82%. The GMIB rider cost an additional 1.10% annually, and the enhanced death benefit rider added 0.45%. Total all-in annual costs were approximately 3.87%, or roughly \$18,770 per year on the initial investment. The product had a 7-year declining surrender charge schedule starting at 7% in year one and decreasing

by 1% per year. The GMIB rider could be exercised after a 10-year waiting period, at which point it guaranteed annuitization at a 5.5% annual rollup rate on the benefit base.

Prescott documented in his notes that Margaret wanted downside protection and guaranteed income, that the GMIB rider addressed her income needs starting at age 67 (which aligned with the 5-year deferral she wanted), and that the enhanced death benefit addressed her legacy goal. He also noted that her \$210,000 IRA and \$95,000 savings provided sufficient liquidity for emergencies and near-term expenses. He ran an illustration showing that if the subaccounts averaged 6% annual returns, her account value at age 72 would be approximately \$505,000, and the GMIB benefit base would be approximately \$815,000, which could be annuitized for roughly \$4,900 per month.

Margaret signed all disclosure documents, including a document summarizing the total annual fees. She initialed a paragraph acknowledging the surrender charges.

Eighteen months later, Margaret filed a complaint after her account value had declined to \$441,000 due to subpar subaccount performance and the cumulative drag of fees. She stated she did not fully appreciate how the fees would compound over time and that Prescott never discussed lower-cost alternatives such as fixed indexed annuities with income riders (which typically carry total costs between 0.50% and 1.50%), or a combination of a low-cost balanced index fund and a single premium immediate annuity to be purchased at age 67. Margaret's daughter, a CPA, calculated that over the 10-year period before the GMIB could be exercised, Margaret would pay approximately \$160,000-\$190,000 in cumulative fees depending on account performance, and that a fixed indexed annuity with a comparable income guarantee could have achieved similar income at retirement for roughly \$50,000-\$70,000 in total costs over the same period.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: The total all-in cost of 3.87% annually is at the high end of the variable annuity fee spectrum and would need to be justified by demonstrable benefits over lower-cost alternatives. A fixed indexed annuity with an income rider could have addressed Margaret's stated goals - guaranteed lifetime income, principal protection, and a death benefit - at roughly one-third to one-half the cost. Under FINRA Rule 2330 and Reg BI's care obligation, an advisor must consider reasonably available alternatives and cannot simply recommend a product that 'fits' if a materially less expensive product achieves substantially similar objectives. The fee drag is particularly significant here because the GMIB rider cannot be exercised for 10 years, during which the high costs erode the actual account value, potentially making the guaranteed benefit base the only valuable feature - meaning the client is effectively paying premium prices for a guarantee she might not have needed to pay as much for. The 7-year surrender schedule further constrains liquidity on nearly half her liquid net worth. Additionally, the enhanced death benefit rider at 0.45% adds roughly \$2,180 per year, yet Margaret's legacy goal was secondary to income and protection, raising questions about whether layering this rider was cost-justified versus simply naming beneficiaries on a less expensive product.

Arguments against a violation: Prescott's recommendation did address all three of Margaret's stated objectives: the GMIB provided guaranteed income, the variable annuity subaccounts offered growth

potential with the GMIB floor providing downside protection on the income stream, and the enhanced death benefit addressed legacy planning. The variable annuity offered upside participation that a fixed indexed annuity's cap-and-participation-rate structure would limit, meaning that in a strong equity market, Margaret's account value could meaningfully exceed the benefit base - something a fixed indexed annuity generally cannot do as effectively. Prescott maintained \$305,000 outside the annuity (\$210,000 IRA + \$95,000 savings), representing approximately 39% of her total liquid assets, which provides reasonable liquidity for a retiree with \$54,000 in annual expenses and \$28,800 in Social Security income. The shortfall of \$25,200 per year could be met from the IRA and savings for roughly 12 years without touching the annuity. Prescott documented his rationale, obtained signed disclosures, and the client acknowledged the fee structure. The fact that the market underperformed 18 months later does not retroactively make the recommendation unsuitable. Furthermore, the 5.5% rollup rate on the GMIB is generous and could provide substantial guaranteed income even if markets perform poorly - precisely the downside protection Margaret requested.

Why Borderline

This case sits in the gray zone because the product legitimately addresses the client's stated objectives, and the advisor maintained meaningful liquidity outside the annuity. However, the total cost structure is aggressive, and lower-cost alternatives (particularly fixed indexed annuities with income riders) could have achieved substantially similar outcomes. The core tension is between a product that technically 'fits' the client's goals versus whether the incremental benefits of the variable annuity's upside participation and specific rider features justify approximately \$100,000+ in additional cumulative costs over the deferral period compared to available alternatives. Reasonable practitioners disagree on whether variable annuity growth potential justifies significantly higher fees when the client's primary motivation is guaranteed income and downside protection - goals that are arguably better served by products specifically designed for those purposes at lower cost.

Borderline Factors

- Total annual fees of 3.87% are high but not unprecedented for a VA with dual riders, and the specific rider benefits (5.5% GMIB rollup, enhanced death benefit) have quantifiable value
- Lower-cost fixed indexed annuities with income riders could achieve similar guaranteed income outcomes at roughly one-third the cost, but with limited upside participation
- Client's primary goals (income guarantee, principal protection) arguably favor fixed or indexed products, but her 'moderate-conservative' risk tolerance does not preclude variable subaccount exposure
- 39% of liquid assets remained outside the annuity, providing reasonable but not generous liquidity for a retiree with a modest expense gap
- All fee disclosures were signed and acknowledged, but the complexity of compounding fee drag over a 10-year deferral period may not have been meaningfully understood
- The enhanced death benefit rider adds cost for a secondary goal, raising cost-layering concerns, but the client did identify legacy as an objective
- 18 months of poor performance triggered the complaint, but the recommendation must be evaluated at the time it was made, not in hindsight

Likely Outcome

A regulator would likely find this to be a close case but would probably conclude that a violation occurred, primarily on the ground that the advisor failed to adequately consider and document why this specific high-cost variable annuity was superior to reasonably available lower-cost alternatives that addressed the

same stated objectives. Under Reg BI's care obligation and FINRA Rule 2330's specific VA suitability requirements, the advisor bears the burden of demonstrating that the costs are justified by the product's specific benefits relative to alternatives. The cumulative fee differential of approximately \$100,000+ over the GMIIB waiting period is material, and the client's primary goals of guaranteed income and downside protection are squarely within the design purpose of fixed indexed annuities at substantially lower cost. The advisor's documentation focused on how the product addressed her goals but did not address why this product was preferable to less expensive alternatives that also addressed those goals. However, any sanctions would likely be moderate - enhanced supervision, a fine, and possible restitution - rather than severe, given the documentation effort, signed disclosures, and the product's genuine alignment with the client's objectives.

Borderline Scenario 67

Topic: variable_annuity_unsuitable | Standard: FINRA Rule 2330 (Variable Annuity Suitability) requires that a registered representative

Fact Pattern

Margaret Colvin, age 67, retired public school teacher, met with financial advisor David Trask in March 2022 to discuss rolling over \$215,000 from her 403(b) plan. Margaret receives a \$3,400/month pension, \$1,850/month Social Security, and has \$38,000 in a credit union savings account. She owns her home outright. She told Trask she was 'tired of watching her account bounce around' and wanted 'guaranteed income she could count on starting in about five years.' She also mentioned she wanted to leave something to her two grandchildren.

Trask recommended she exchange her existing variable annuity-a Perspective Advisory contract held inside the 403(b) with total annual fees of approximately 1.35% (including a 0.70% M&E charge and 0.65% in subaccount expenses) and no remaining surrender period-into a new Perspective II contract with a 7-year surrender schedule. The new contract carried total annual fees of approximately 2.45%, broken down as: 1.30% M&E, 0.70% in subaccount expenses, and a 0.45% charge for a guaranteed minimum withdrawal benefit (GMWB) rider. The surrender charge started at 8.5% in year one and declined annually to zero after year seven. The GMWB rider guaranteed a 5% annual withdrawal rate on a benefit base that would step up on each contract anniversary if the account value exceeded the prior high-water mark.

Trask's rationale, documented in his notes, was that Margaret's desire for guaranteed income in five years was best served by the GMWB rider, which her existing contract lacked. He noted that her pension and Social Security covered her monthly expenses of roughly \$4,200, leaving surplus income, and that her \$38,000 savings cushion was adequate for emergencies. He also noted that the new contract's death benefit would preserve the account value for her grandchildren even in a down market.

However, several facts complicate the picture. Margaret had mentioned in a prior meeting that she might need \$20,000-\$30,000 within two years for a new roof and HVAC system, though she said she 'could probably finance it.' Her risk tolerance questionnaire scored her as 'moderately conservative.' The existing Perspective Advisory contract offered access to the same subaccount lineup and had an optional GMWB rider available for a 0.40% annual charge that she had never elected but could have added without

triggering a new surrender period. Trask did not document why adding the rider to the existing contract was not a viable alternative. Trask earned a 5.25% commission on the new contract placement (\$11,287.50) versus the 0% trail-based compensation on the advisory share class of the old contract. Trask's branch manager approved the transaction after a 15-minute review.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that a violation occurred: The customer's existing contract could have been enhanced with a comparable GMWB rider at a lower incremental cost (0.40% vs. the full 2.45% all-in fee structure of the new contract) without triggering a new seven-year surrender period. The total annual cost differential is significant—roughly 1.10% per year, or approximately \$2,365 annually on a \$215,000 investment—compounding to a meaningful drag over time. The new surrender schedule locks up funds during a period when the client identified a potential \$20,000-\$30,000 need within two years. Withdrawals beyond the free-withdrawal corridor would incur substantial surrender charges (potentially 7.5%-8.5% in years one and two). The advisor's failure to document why the rider-addition option on the existing contract was inferior raises questions about whether he genuinely evaluated reasonable alternatives. The compensation disparity—\$11,287.50 upfront commission versus a negligible trail—creates an inference that financial incentive, rather than client need, drove the recommendation.

Arguments that no violation occurred: The client's stated primary objective—guaranteed lifetime income starting in approximately five years—is a legitimate financial goal well-served by a GMWB rider. The client's pension and Social Security cover her living expenses with surplus, and her \$38,000 savings account provides a liquidity buffer. The roof and HVAC need was characterized as speculative and potentially financeable, and the new contract likely provides a 10% annual free-withdrawal allowance (roughly \$21,500 in year one), which could partially address that need without triggering surrender charges. The enhanced death benefit in the new contract addresses her bequest objective. The advisor did document his rationale, even if incompletely. The fact that the existing contract offered an optional GMWB rider does not automatically make the replacement unsuitable; the new contract's GMWB may have had superior step-up mechanics, a higher guaranteed withdrawal percentage, or broader availability of investment options within the guaranteed framework. Commission-based compensation alone does not establish unsuitability—it is a factor to consider but is not dispositive. The branch manager's approval, while brief, suggests at least a second set of eyes reviewed the transaction.

The critical analytical gap is the absence of a documented comparison between adding the rider to the existing contract and replacing into the new one. Under replacement analysis requirements, the advisor must demonstrate that the new contract provides a material benefit that justifies the additional cost and new surrender period. The documentation is thin but not entirely absent.

Why Borderline

This scenario is genuinely ambiguous because the client's stated goals (guaranteed income, legacy for grandchildren) are legitimately served by the recommended product, and her liquidity profile—while not bulletproof—is arguably adequate given pension and Social Security surplus. However, the existence of a cheaper, less restrictive alternative (adding a rider to the existing contract) that was not meaningfully

evaluated, combined with a significant compensation differential and a new seven-year surrender period imposed on a 67-year-old retiree with a near-term capital need, creates a plausible case that the recommendation prioritized advisor compensation over client welfare. Reasonable practitioners could disagree on whether the incremental features of the new contract justified the cost and illiquidity.

Borderline Factors

- Existing contract offered an optional GMWB rider at lower cost without a new surrender period, but advisor did not document why this alternative was inferior
- Client's liquidity needs within two years (roof/HVAC) may or may not be adequately served by the free-withdrawal corridor of the new contract
- Client's pension and Social Security surplus arguably reduce the urgency of liquidity concerns
- All-in annual cost increase of approximately 1.10% (\$2,365/year on \$215,000) is material but not extreme for the added guarantees
- 7-year surrender schedule imposed on a 67-year-old creates meaningful illiquidity risk, though she expressed a 5-year income horizon
- Commission of \$11,287.50 versus \$0 on the existing contract creates a strong compensation conflict but does not alone establish unsuitability
- Branch manager approved the transaction, suggesting some supervisory review occurred, though the 15-minute review was cursory
- The new contract's GMWB rider may have had structurally superior features (step-up mechanics, withdrawal rates) compared to the rider available on the old contract-but this was not documented

Likely Outcome

A regulator would most likely find a violation, though a close one. The central deficiency is the advisor's failure to document a comparative analysis of adding the GMWB rider to the existing contract versus replacing into the new one-a core requirement under annuity replacement regulations. The cost differential and new surrender period imposed on a retiree with identifiable near-term liquidity needs, combined with the substantial commission incentive, would likely shift the burden to the advisor to demonstrate material superiority of the new contract. Without that documentation, most state insurance departments and broker-dealer examiners would conclude the replacement was not adequately justified. However, the sanction would likely be moderate-a supervisory deficiency letter or fine rather than a fraud finding-because the product itself is not fundamentally inappropriate for the client's profile and goals.

Borderline Scenario 68

Topic: tax_deferred_unnecessary_annuity | Standard: FINRA Rule 2330 (VA suitability, requiring reasonable basis to believe the cus

Fact Pattern

Margaret Ellison, age 58, is a recently retired school librarian with a pension of \$42,000 per year and Social Security benefits she plans to claim at age 62. She has \$310,000 in a traditional IRA rolled over from a 403(b), \$85,000 in a taxable brokerage account invested in a balanced mutual fund, and \$40,000 in a savings account. She owns her home outright valued at approximately \$280,000. Her annual living expenses are roughly \$48,000. She is in the 12% federal tax bracket and expects to remain there or possibly move to the 22% bracket once required minimum distributions begin at age 73.

In March 2022, Margaret met with her financial advisor, Brian Kessler, who had been managing her IRA for two years. Brian recommended she use \$75,000 from her taxable brokerage account to purchase a variable annuity with a guaranteed minimum income benefit rider. The VA had total annual expenses of 2.85% (1.30% mortality and expense charge, 0.95% average subaccount expense, and 0.60% for the income rider). The rider guaranteed a 5% annual rollup rate on a benefit base, with lifetime income withdrawals beginning as early as age 65 at a 5.2% payout factor.

Brian's rationale, documented in his notes, was that Margaret was concerned about outliving her money, particularly given her family history of longevity - her mother lived to 94 and her father to 91. Margaret had expressed anxiety in multiple meetings about market downturns wiping out her savings and wanted some form of guaranteed income to supplement her pension. Brian noted that the VA's income rider would provide an additional guaranteed income stream of approximately \$5,850 per year starting at age 65, which combined with her pension and Social Security would cover her expenses with a buffer.

Brian also noted that placing the money in a VA from taxable assets would convert future capital gains (currently taxed at 0% or 15% for Margaret) into ordinary income upon withdrawal, but argued the guaranteed income feature and downside protection justified this trade-off. He documented that he discussed lower-cost alternatives including a single premium immediate annuity, a deferred income annuity, and simply maintaining the balanced fund, but that Margaret preferred the VA because it allowed her to retain access to her principal during the deferral period and offered upside participation.

Margaret's IRA account continued to be invested in a diversified portfolio of index funds with an average expense ratio of 0.12%. Brian did not recommend purchasing the VA inside the IRA, noting the tax-deferred wrapper would be redundant. The VA was purchased in a non-qualified account.

Two years later, in early 2024, Margaret's VA account value had grown modestly to \$78,400 while the benefit base had rolled up to \$82,688. Margaret filed a complaint through her state insurance department alleging that Brian sold her an expensive product she didn't need, that the tax treatment was disadvantageous since she was already in a low bracket, and that a simpler fixed annuity or even keeping the balanced fund would have been more appropriate and less costly. She noted that the \$75,000 represented nearly 88% of her taxable liquid savings outside of retirement accounts and that the surrender period was seven years with a current surrender charge of 5%.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: First, the tax inefficiency is significant. Margaret is in the 12% bracket and her long-term capital gains rate on the balanced fund was likely 0%. By placing \$75,000 into a non-qualified variable annuity, all future gains will be taxed as ordinary income upon withdrawal rather than at favorable capital gains rates. This represents a concrete, quantifiable detriment. Under FINRA Rule 2330(b), a registered representative must have a reasonable basis to believe the customer would benefit from certain features of a VA, including tax-deferred growth, and the tax deferral benefit here is not only unnecessary but actively harmful given her tax situation. Second, the total expense ratio of 2.85% is

substantially higher than the 0.12% index fund approach or even a lower-cost fixed or deferred income annuity. Over a seven-year deferral period, cumulative expenses could consume a meaningful portion of returns. Third, concentrating \$75,000 - roughly 88% of her non-retirement liquid assets - in a product with a seven-year surrender period raises liquidity concerns under NAIC Model Regulation 275, Section 6A, which requires consideration of liquidity needs. While Margaret has \$40,000 in savings and a pension, her cushion outside the VA and retirement accounts is thin. Fourth, a single premium immediate annuity or deferred income annuity could have addressed her longevity concern at lower cost without the tax conversion problem.

Arguments against a violation: Brian's documentation shows he identified a genuine customer need - guaranteed lifetime income to address longevity risk - and the recommendation directly addressed it. Margaret's family history of longevity is a material factor that distinguishes her from a typical client; a woman aged 58 with parents who lived to 91 and 94 has a reasonable probability of living past 90 herself, making longevity protection especially relevant. The guaranteed income rider provides a floor of income regardless of market performance, directly addressing her stated anxiety about market downturns. Brian correctly avoided placing the VA inside the IRA, demonstrating awareness of tax layering issues. He documented a comparison with alternatives and recorded that Margaret preferred the VA's liquidity during the deferral period and upside market participation - features not available with an immediate or deferred income annuity. Under NY Regulation 187 Section 224.4, the producer must act in the consumer's best interest considering known information, but the regulation also recognizes that cost alone does not determine whether a recommendation is in the client's best interest. The guaranteed rollup rate of 5% and the 5.2% payout factor provide quantifiable value. Margaret still has \$40,000 in liquid savings and a \$310,000 IRA, so she is not without resources. The VA account value grew and the benefit base is functioning as designed.

The tax conversion issue is the strongest argument for a violation but is complicated by the fact that Margaret's bracket may increase to 22% once RMDs begin. If she draws on the VA before or during that period strategically, the differential may be smaller than it appears. However, the original balanced fund gains would still have been taxed at preferential rates. The concentration of liquid taxable assets in a surrendered product is concerning but mitigated by the pension and IRA. Under Reg BI Rule 15I-1, the care obligation requires the advisor to exercise reasonable diligence and consider reasonably available alternatives. Brian did consider alternatives and documented the discussion, but whether the analysis adequately weighed the tax disadvantage is debatable.

Why Borderline

This case sits in genuine gray territory because the advisor identified and documented a real client need (longevity protection driven by family history and expressed anxiety), recommended a product that directly addresses that need, avoided the obvious error of putting a VA in a tax-deferred account, and documented a comparison with alternatives. However, the tax conversion from favorable capital gains treatment to ordinary income in a low-bracket client is a concrete and quantifiable detriment that many regulators would view as a red flag. The concentration of nearly all non-retirement liquid assets in a surrendering product adds concern. Reasonable practitioners disagree on whether guaranteed income features can justify the tax and expense headwinds when lower-cost alternatives exist, and whether client preference for liquidity and upside during the deferral period is a sufficient distinguishing factor.

Borderline Factors

- Tax conversion from 0% capital gains to ordinary income in a client currently in the 12% bracket, though bracket may increase with future RMDs
- Total annual VA expenses of 2.85% versus 0.12% for existing index fund approach - high cost but includes a guaranteed income rider with quantifiable value
- 88% of non-retirement liquid assets placed in a product with a 7-year surrender period, though client has pension income and \$40,000 liquid savings
- Documented comparison with lower-cost alternatives (SPIA, DIA) but client preference for liquidity and upside participation during deferral period
- Genuine longevity risk supported by family history (parents lived to 91 and 94), making lifetime income guarantee more actuarially valuable than for average client
- Advisor correctly avoided layering tax deferral inside an IRA, showing some awareness of tax efficiency concerns
- Client's stated anxiety about market risk and outliving savings versus the availability of simpler, cheaper products addressing the same concern

Likely Outcome

A regulator would likely find this a close case but would probably conclude that the recommendation was deficient, though not egregiously so. The primary issue is that the advisor did not adequately weigh the tax cost of converting capital gains to ordinary income for a low-bracket client. While the longevity protection need was real and documented, a deferred income annuity could have addressed the same need at substantially lower cost without the adverse tax conversion. The concentration of liquid taxable assets in a surrendering product adds incremental concern. However, the advisor's documentation, comparison of alternatives, avoidance of the IRA tax-layering problem, and the client's own stated preferences would likely mitigate sanctions. A regulator would most likely require enhanced supervision, additional training on tax-aware annuity placement, and possibly restitution of excess expenses, but would be unlikely to impose severe disciplinary action. The case would likely be resolved through a cautionary letter or minor fine rather than a suspension.

Borderline Scenario 69

Topic: annuity_unnecessary_switching | Standard: FINRA Rule 2330 (Variable Annuity Suitability) requires that a member or associ

Fact Pattern

Margaret Donahue, age 62, is a retired school principal with a \$1.4 million portfolio consisting of IRAs, a 403(b), and taxable brokerage accounts. In March 2021, her financial advisor, Kevin Pratt, recommended she surrender a variable annuity she had purchased in 2015 with Pacific Guardian Life and replace it with a new variable annuity issued by National Western Financial. The existing Pacific Guardian contract had an account value of \$287,000, had completed five of its seven-year surrender schedule (meaning she faced a 2% surrender charge on the remaining balance, approximately \$5,740), and carried an all-in annual expense ratio of 2.35%, which included a guaranteed minimum withdrawal benefit (GMWB) rider costing 0.95% annually. The GMWB rider guaranteed lifetime withdrawals of 5% of a benefit base that had grown to \$310,000 through annual roll-ups.

The replacement National Western contract carried an all-in annual expense ratio of 1.85%-50 basis points lower-and featured a new eight-year surrender period with charges starting at 7%. It also included a GMWB rider costing 0.80% annually, guaranteeing lifetime withdrawals of 5.5% of the benefit base, but the new benefit base would reset to the \$281,260 transfer amount (after the surrender charge), meaning Margaret would lose the \$310,000 stepped-up benefit base from the old contract. The new contract also offered a broader selection of 47 subaccounts versus 22 in the old contract, including several low-cost index-tracking options not available in the Pacific Guardian product.

Kevin documented his rationale in a file memo stating that the lower ongoing expenses would save Margaret approximately \$1,435 annually, that the higher withdrawal percentage (5.5% vs. 5.0%) on the new contract would eventually produce greater guaranteed income, and that the expanded subaccount menu would allow better diversification. He also noted that Margaret had expressed interest in having more investment flexibility and that she did not plan to begin taking withdrawals for at least four years. Margaret signed an exchange authorization form and a replacement disclosure form acknowledging the new surrender period.

However, Margaret's file also showed she had moderate risk tolerance, that she relied on the annuity as a key component of her retirement income plan starting around age 66, and that she had recently mentioned concern about market volatility. The old contract's benefit base of \$310,000 at 5% would have guaranteed \$15,500 annually in lifetime income, while the new contract's benefit base of \$281,260 at 5.5% would guarantee \$15,469 annually-a difference of just \$31 per year in guaranteed income, but with a reset surrender clock and loss of \$28,740 in benefit base. Kevin received a \$7,100 commission on the new contract sale. His commission on maintaining the existing contract would have been approximately \$800 annually in trail compensation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Kevin violated applicable standards: The replacement produced virtually identical guaranteed income (\$31/year less initially) while imposing a new eight-year surrender period, a \$5,740 surrender charge, and the forfeiture of a \$310,000 stepped-up benefit base that had accrued over six years. The net economic benefit to Margaret is questionable at best. The annual expense savings of \$1,435 would take approximately four years just to recoup the surrender charge, and the new surrender schedule significantly restricts Margaret's liquidity during the precise years (ages 62-70) when she may need flexibility for retirement income planning. The commission differential-\$7,100 upfront versus \$800 in trails-raises questions about whether the advisor's financial incentive influenced the recommendation. Margaret's stated concerns about market volatility and her moderate risk tolerance suggest the guaranteed benefit base was particularly valuable to her, and its loss was not adequately offset by the marginally higher withdrawal rate. Regulators examining annuity replacements typically scrutinize whether the quantifiable benefits to the customer outweigh the quantifiable costs, and here the math is essentially a wash on guaranteed income while the costs (surrender charge, new surrender period, lost benefit base) are concrete and significant.

Arguments that Kevin acted appropriately: The 50-basis-point reduction in annual expenses is meaningful over a multi-decade holding period; over 20 years, this saves approximately \$28,700 in cumulative fees (assuming flat account value), which substantially exceeds the \$5,740 surrender charge. The expanded subaccount menu with low-cost index options could meaningfully improve investment returns and diversification, potentially growing the account value and new benefit base beyond the old contract's levels. Margaret herself expressed interest in more investment flexibility, and Kevin documented this preference. The higher 5.5% withdrawal rate means the new benefit base needs to reach only approximately \$281,818 to match the old contract's \$15,500 guarantee—a modest 0.2% increase from the transfer amount that could be achieved quickly through market appreciation or annual step-ups if the new contract includes them. Kevin also documented his reasoning contemporaneously and ensured Margaret signed replacement disclosure forms. The four-year window before Margaret planned withdrawals provides time for the new contract's benefits to materialize. Additionally, the old contract still had two years remaining on its own surrender period, so Margaret was not yet fully liquid in either scenario.

The analysis hinges on whether the long-term expense savings and improved investment options constitute a material improvement sufficient to justify the concrete short-term costs and the reset of the surrender period. Reasonable professionals could weigh these factors differently.

Why Borderline

This is genuinely ambiguous because the replacement offers real, quantifiable long-term benefits (lower expenses, broader investment options, higher withdrawal rate) that could plausibly serve the client's interests over a 20+ year horizon, while simultaneously imposing concrete short-term costs (surrender charge, new surrender period, lost benefit base) that nearly offset those benefits. The guaranteed income amounts are virtually identical, making it impossible to declare the replacement clearly harmful or clearly beneficial. The commission differential raises conflict-of-interest concerns but does not by itself prove the recommendation was inappropriate if the advisor genuinely believed the long-term economics favored the switch. The client's own expressed desire for more investment flexibility supports the recommendation, but her concerns about volatility and the importance of guaranteed income cut the other way.

Borderline Factors

- Near-identical guaranteed lifetime income (\$15,500 vs. \$15,469 annually) makes the material improvement question extremely close
- Meaningful long-term expense savings (50 bps annually) that could compound significantly over decades but take years to offset the upfront surrender charge
- Loss of a \$310,000 stepped-up benefit base accumulated over six years, reset to \$281,260—a forfeiture of \$28,740 in guaranteed value
- New eight-year surrender schedule imposed on a 62-year-old client approaching retirement income phase, versus only two years remaining on the old contract
- Commission of \$7,100 on the new sale versus \$800 annual trail on the existing contract creates a material conflict but does not conclusively prove improper motivation
- Client expressed interest in greater investment flexibility, partially supporting the recommendation
- Client also expressed concerns about market volatility, suggesting the guaranteed benefit base had particular value to her
- Expanded subaccount menu with low-cost index options represents a genuine qualitative improvement not easily quantified

- Four-year window before planned withdrawals provides time for new contract benefits to materialize but also means client is locked into a new surrender period during a critical planning window

Likely Outcome

A regulator would likely conclude this replacement was problematic but the outcome would depend heavily on the jurisdiction and the specific examiner. Under stricter state replacement review standards, the near-wash on guaranteed income combined with the significant new surrender period, lost benefit base, and commission differential would likely be viewed as failing to demonstrate that the replacement was in the customer's best interest. The documented expense savings and client preference for flexibility would be mitigating but probably insufficient, because the quantitative analysis shows the client is barely better off-if at all-after accounting for the surrender charge, lost benefit base, and new liquidity restrictions. A cease-and-desist or fine is possible but not certain; more likely the advisor would receive a cautionary letter or be required to complete additional training, with possible restitution of the surrender charge. In a jurisdiction with a less stringent standard, the documented rationale and client consent might be deemed adequate.

Borderline Scenario 70

Topic: variable_annuity_unsuitable | Standard: FINRA Rule 2330 (Variable Annuity Suitability, requiring principal review of exchange)

Fact Pattern

Margaret Devlin, age 58, is a public school teacher in New York State with 27 years of service. She participates in her employer's 403(b) plan through a legacy arrangement with a well-known insurance carrier, holding \$340,000 in a variable annuity that was purchased in 2009. The existing annuity carries an all-in expense ratio of 2.85%, includes a guaranteed minimum income benefit (GMIB) rider that she has not yet annuitized, and the surrender period expired in 2016. Margaret meets with her financial advisor, Brian Holt, in March 2023 after attending a retirement planning seminar hosted by Brian's firm at her school district. Margaret tells Brian she plans to retire at 62, is concerned about outliving her savings, wants downside protection, and is interested in simplifying her finances. She also mentions she has \$95,000 in a traditional IRA at a discount brokerage invested in target-date funds, and she and her husband jointly own their home valued at \$410,000 with a remaining mortgage of \$62,000. Her husband, age 61, works part-time earning \$28,000 annually and has a small pension expected to pay \$1,100/month at age 65. Margaret's teacher salary is \$78,000 and she expects a state pension of approximately \$3,900/month at age 62.

Brian recommends that Margaret execute a 1035 exchange of her existing variable annuity into a new variable annuity issued by a different carrier. The new product has an all-in expense ratio of 2.15%, a guaranteed lifetime withdrawal benefit (GLWB) rider with a 5% withdrawal rate at age 65, a 7-year surrender schedule with a declining charge starting at 7%, and a \$25,000 bonus credit (approximately 7.35% of the transferred amount) applied to the benefit base used for GLWB calculations but not to the account value. Brian documents that the new product's GLWB rider would provide Margaret a guaranteed income floor of approximately \$1,520/month beginning at age 65, compared to her existing GMIB which, based on current projections, would provide approximately \$1,280/month if annuitized at 65 under current annuity purchase rates. Brian also notes the 70-basis-point reduction in ongoing fees.

However, several complicating factors exist. Margaret's existing GMIB had a stepped-up benefit base due to market gains, and the rider's value had been accruing for 14 years. The new GLWB's bonus credit is factored into a benefit base that resets to the transfer amount plus the bonus, effectively erasing the 14 years of step-ups on the old contract. When the old contract's stepped-up GMIB benefit base of \$412,000 is compared to the new contract's starting benefit base of \$365,000 (the \$340,000 transfer plus the \$25,000 bonus), Margaret actually starts with a lower benefit base in the new contract, although the new GLWB includes an 8% annual simple roll-up on the benefit base during the deferral period. Brian's comparison worksheet projects the new benefit base will surpass the old one within approximately 2.5 years if Margaret defers withdrawals to 65. Brian also notes that the new contract offers more diversified subaccount options and a more flexible withdrawal structure than the old GMIB, which requires full annuitization.

Margaret signs the exchange paperwork after two meetings with Brian. Brian earns a 5.25% commission on the new contract (\$17,850), compared to receiving no ongoing trail commission from the existing annuity (his firm had acquired the servicing rights from the original selling broker-dealer, and no trail was built into the old contract). Brian's firm's compliance department approved the exchange after reviewing his comparison worksheet but did not independently verify the old contract's stepped-up benefit base or run a parallel projection using less favorable market assumptions.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Brian violated applicable standards: First, the 1035 exchange initiated a new 7-year surrender period on \$340,000 for a client only 4 years from retirement, potentially restricting Margaret's access to her funds during a critical pre-retirement window. Second, the exchange resulted in an immediate reduction in the guaranteed benefit base from \$412,000 (old GMIB) to \$365,000 (new GLWB), meaning the projected superiority of the new product depends on assumptions about Margaret deferring withdrawals and the roll-up rate performing as illustrated-assumptions that may not materialize if Margaret needs early access or retires sooner than planned. Third, Brian's compensation structure creates a significant conflict: he earned \$17,850 on the replacement versus \$0 in ongoing compensation from servicing the old contract, which could have influenced his recommendation. Fourth, the firm's compliance review was arguably deficient in that it did not independently verify the old contract's stepped-up benefit base or stress-test the projections, raising questions about whether the exchange was adequately vetted. Fifth, under New York's heightened standards for annuity transactions, the advisor must demonstrate the transaction is in the consumer's best interest considering reasonably available alternatives, including retaining the existing product.

Arguments that Brian acted appropriately: The new product genuinely reduces ongoing expenses by 70 basis points annually, which over a multi-decade retirement could save Margaret tens of thousands of dollars in fees. The GLWB rider offers structural advantages over the old GMIB, including flexible partial withdrawals rather than mandatory full annuitization, which better aligns with Margaret's stated desire for income flexibility. Brian's projections, if accurate, show the new benefit base surpassing the old within 2.5 years, and Margaret has a 7-year horizon before she would likely begin withdrawals at 65—well beyond the crossover point. The \$25,000 bonus credit, while applied only to the benefit base, partially offsets the loss

of the old step-ups. Margaret's overall financial picture-including a substantial state pension, her husband's pension, home equity, and a separate IRA-suggests she has sufficient liquidity and income sources outside the annuity, reducing the risk that the surrender charges would cause hardship. Brian held two meetings with Margaret, prepared a detailed comparison worksheet, and obtained firm compliance approval. The recommendation addressed Margaret's expressed concerns about outliving savings and wanting downside protection.

The regulatory analysis turns on several key questions: Was the comparison worksheet materially misleading by not prominently disclosing the immediate benefit base reduction? Were the roll-up assumptions reasonable and clearly explained? Did Brian adequately weigh the loss of 14 years of GMIB step-ups against the projected future benefits? Under FINRA Rule 2330, a registered principal must review and approve variable annuity replacement transactions, considering whether the customer would be disadvantaged by the new surrender period, loss of existing benefits, and the agent's compensation. Under NAIC Model Regulation 275 and New York Regulation 187, the producer must act in the consumer's best interest and demonstrate that a replacement provides a genuine net benefit after accounting for all costs, lost guarantees, and new restrictions. SEC Regulation Best Interest (Rule 15l-1) requires that the recommendation be in the retail customer's best interest at the time of the recommendation, considering the customer's investment profile, and that conflicts of interest be identified, disclosed, and mitigated.

Why Borderline

This case is genuinely ambiguous because the replacement offers measurable, documentable advantages (lower fees, more flexible withdrawal structure, projected higher guaranteed income) but also involves the forfeiture of a valuable, long-accrued guarantee and the imposition of a new surrender period on a near-retiree, driven at least partly by a compensation structure that heavily favored the replacement. Reasonable regulators could disagree on whether the projected future benefits sufficiently outweigh the certain, immediate loss of the old contract's stepped-up benefit base, and whether the advisor's conflict of interest was adequately managed given the \$17,850 commission differential.

Borderline Factors

- The 70-basis-point fee reduction is meaningful but must be weighed against a new 7-year surrender period for a client 4 years from retirement
- The immediate benefit base drops from \$412,000 to \$365,000, but the 8% annual roll-up projection shows a crossover within 2.5 years-the reliability of this projection is debatable
- The GLWB's flexible withdrawal structure arguably better serves Margaret's needs than the GMIB's mandatory annuitization requirement
- Brian's \$17,850 commission versus \$0 from the existing contract creates a stark conflict, but the existence of a conflict does not automatically render the recommendation unsuitable
- Margaret has substantial outside income sources (state pension, husband's pension, IRA, home equity) that reduce liquidity risk from the new surrender period
- Compliance approved the exchange but did not independently verify the old contract's benefit base or stress-test projections under adverse scenarios
- The bonus credit is applied only to the benefit base, not the account value, which could be misunderstood as more valuable than it actually is
- Margaret's stated goals (income protection, simplification, downside protection) are arguably better served by the new product, but she did not independently express dissatisfaction with the old contract

before Brian's recommendation

Likely Outcome

A regulator would likely find this to be a close case but would probably conclude that the transaction raises serious concerns warranting a finding of a violation, primarily because: (1) the immediate and certain loss of a \$412,000 benefit base in exchange for a \$365,000 benefit base dependent on future assumptions is a net detriment that was not adequately highlighted; (2) the new surrender period materially restricts a near-retiree's financial flexibility; (3) the stark commission differential was not sufficiently mitigated; and (4) the compliance review was inadequate in not verifying the old benefit base or stress-testing projections. However, a significant minority of regulators might find the recommendation defensible given the lower fees, structural advantages of the GLWB, Margaret's strong outside income, and the documented comparison process. The likely outcome is a finding of violation with mitigating circumstances, potentially resulting in a fine and required restitution rather than a suspension, with a strong admonishment regarding the quality of the comparative analysis and conflict management.

Borderline Scenario 71

Topic: tax_deferred_unnecessary_annuity | Standard: FINRA Rule 2330 (Variable Annuity Suitability) requires a registered principal

Fact Pattern

Margaret Ellison, age 58, is a recently retired public school teacher in Ohio with a \$62,000 annual pension, \$185,000 in a 403(b) account, \$94,000 in a traditional IRA, and \$112,000 in a taxable brokerage account composed mostly of index mutual funds. She also has \$48,000 in a money market savings account. She has no mortgage, no dependents, and her monthly expenses total roughly \$3,200. Her pension covers her core living expenses, and she described herself as a moderate-risk investor who is primarily concerned about outliving her savings and wants some protection against market downturns in retirement.

Her financial advisor, Thomas Keller, who has been her advisor for four years, recommended that she move \$95,000 from her taxable brokerage account into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The VA has total annual expenses of 3.05% (1.35% mortality and expense charge, 0.85% average underlying subaccount fees, and 0.85% for the GLWB rider). The GLWB guarantees a 5% annual withdrawal rate on the benefit base for life beginning at age 65, with a 6% annual step-up on the benefit base during the deferral period. The contract has a seven-year declining surrender charge schedule starting at 7% in year one and declining to 1% in year seven.

Keller documented in his notes that Margaret expressed significant anxiety about stock market volatility following a friend's experience losing substantial retirement savings in 2008. He noted she repeatedly asked about products that could guarantee income in retirement beyond her pension. He also documented that Margaret stated she did not anticipate needing the \$95,000 for at least eight years, and that she wanted to create a second stream of guaranteed income to supplement her pension.

However, the \$95,000 represented approximately 85% of Margaret's taxable (non-retirement) liquid assets. After the purchase, her accessible liquid savings outside retirement accounts consisted of \$48,000 in money market and roughly \$17,000 remaining in the brokerage account, totaling about \$65,000. Margaret

did not have long-term care insurance.

Keller earned a 5.25% commission (\$4,987.50) on the sale. He did not present Margaret with alternative strategies such as purchasing a single premium immediate annuity, a fixed indexed annuity with an income rider, a systematic withdrawal plan from her existing index funds, or a deferred income annuity. His firm's product shelf included all of these alternatives. Six months after the purchase, Margaret called Keller to ask about accessing \$20,000 from the annuity to repair storm damage to her roof, and was surprised to learn she would face a 7% surrender charge on the withdrawal amount exceeding the 10% free withdrawal allowance.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Keller acted appropriately: Margaret had a clearly articulated need for guaranteed lifetime income beyond her pension, and the GLWB rider directly addresses that need. Her pension already covers her basic living expenses, meaning the \$95,000 was arguably surplus capital that could be allocated to a longer-term vehicle. Keller documented her stated time horizon of at least eight years, which exceeds the seven-year surrender period. The 6% annual benefit base step-up during the deferral period is a meaningful feature for someone seeking guaranteed income starting at 65. Margaret is 58 and in the accumulation/early distribution phase where a VA with a GLWB can serve a legitimate planning function. Additionally, placing the funds in a variable annuity from the taxable account rather than from the existing IRA or 403(b) provides additional tax-deferred growth that Margaret did not already have, arguably adding incremental tax-deferral value on the investment gains.

Arguments that Keller fell short: The most significant concern is that the \$95,000 came from Margaret's taxable brokerage account, which was her primary source of non-retirement liquid assets. After the purchase, her emergency reserves dropped to approximately \$65,000 total, and she lacked long-term care insurance—a notable gap for a 58-year-old single retiree. The roof repair situation six months later illustrates the liquidity risk. At 3.05% in total annual charges, the VA's costs are substantial and will create a significant drag on returns, meaning the underlying subaccounts must outperform comparable index funds by over 3% annually just to break even before the rider benefit is considered. Keller failed to present or document consideration of less expensive alternatives that could have met Margaret's goals: a deferred income annuity could have provided guaranteed income at 65 with lower costs and without market risk; a fixed indexed annuity with an income rider would have eliminated downside exposure with lower fees; a systematic withdrawal strategy from her existing low-cost index funds could have preserved liquidity. The absence of any documented alternatives analysis is problematic. Further, while Keller correctly notes that the taxable account does gain new tax-deferral benefits inside the annuity, all gains withdrawn will be taxed as ordinary income rather than at the more favorable capital gains rate that Margaret's index funds would have generated—a tax disadvantage that partially offsets the deferral benefit. The 5.25% commission, while within industry norms, does raise the question of whether the recommendation was influenced by compensation rather than solely by Margaret's needs.

Why Borderline

This case is genuinely ambiguous because Margaret had a real, documented need for guaranteed lifetime

income, a stated long-term time horizon, and existing pension income covering her basic expenses-all factors that support a VA with GLWB recommendation. However, the concentration of illiquid assets, the failure to document consideration of cheaper alternatives that could have met the same goal, the tax inefficiency of converting capital-gains-eligible assets into ordinary-income-taxable annuity distributions, and the reduction of her emergency liquidity cushion without long-term care coverage all cut against the recommendation. Reasonable compliance professionals could disagree on whether the documented client preferences and income gap justify the specific product choice and allocation amount, or whether the advisor's failure to present alternatives and the resulting liquidity constraints constitute a material shortfall.

Borderline Factors

- Legitimate documented client need for guaranteed lifetime income beyond pension
- Stated eight-year time horizon exceeds seven-year surrender period, but just barely
- 85% of taxable liquid assets placed into illiquid product, leaving thin emergency reserves for a single retiree without LTC insurance
- Tax-deferral benefit exists but is partially offset by converting potential capital gains to ordinary income treatment
- 3.05% total annual expenses are high but not unusual for VA with GLWB rider
- No documented consideration of less expensive alternatives (DIA, FIA, systematic withdrawal) despite availability on firm platform
- Commission of 5.25% is within industry range but among the higher end
- Client's pension covers base expenses, arguably making the \$95,000 discretionary capital suitable for longer-term allocation
- Roof repair incident six months later demonstrated latent liquidity risk that arguably should have been anticipated

Likely Outcome

A regulator would most likely find a partial violation, focusing primarily on the failure to document consideration of reasonably available less costly alternatives and on the inadequate liquidity analysis given Margaret's overall financial profile. While the underlying need for guaranteed income was genuine and well-documented, the allocation of 85% of the client's non-retirement liquid assets into a seven-year surrender product-without long-term care coverage and without presenting or documenting why the VA was superior to a deferred income annuity, fixed indexed annuity, or systematic withdrawal strategy-would likely be viewed as falling short of the care and documentation requirements. The regulator would likely not find the product category itself unsuitable, but would conclude the amount allocated was excessive relative to liquidity needs and that the process was deficient due to the absence of alternatives analysis. A likely disposition would be a finding of inadequate basis for the recommendation with a requirement for remediation, additional supervision, and possibly partial restitution of surrender charges if the client needed early access.

Borderline Scenario 72

Topic: *tax_deferred_unnecessary_annuity* | Standard: *FINRA Rule 2330 (Suitability requirements specific to variable annuity transac*

Fact Pattern

In March 2023, financial advisor Kevin Rourke recommended that his client, Dr. Priya Agarwal, age 52, purchase a variable annuity with \$285,000 from a recently inherited brokerage account. Dr. Agarwal is a practicing physician earning approximately \$475,000 per year, placing her in the highest marginal federal tax bracket. She already maximizes contributions to her employer-sponsored 401(k) plan, a backdoor Roth IRA, and a cash-balance pension plan through her medical practice. Despite these existing tax-advantaged vehicles, Dr. Agarwal told Rourke she was frustrated that a significant portion of her investment returns in her taxable brokerage account were being eroded by annual capital gains taxes, particularly short-term gains from an actively managed mutual fund strategy. She specifically asked Rourke to help her find ways to shelter more of her investment income from current taxation.

Rourke recommended a variable annuity issued by a major insurer, carrying total annual expenses of 2.15% (including a mortality and expense charge of 1.10%, administrative fees of 0.15%, and underlying sub-account fund expenses averaging 0.90%). The contract included a guaranteed minimum death benefit rider at no additional charge and offered access to over 60 sub-account investment options, including several low-cost index-tracking portfolios. The annuity carried a seven-year declining surrender charge schedule starting at 7% and declining by 1% per year. There was no bonus credit on contributions.

Dr. Agarwal's overall net worth was approximately \$3.8 million, with \$1.4 million in qualified retirement accounts, a \$650,000 home with no mortgage, and approximately \$1.75 million in taxable investments including the inherited account. She described her risk tolerance as moderate-to-aggressive and her investment time horizon as 13 to 15 years until a planned early retirement at age 65-67. She had no immediate liquidity needs and maintained an emergency fund of \$90,000 in a money market account. She had no dependents; her two adult children were financially independent.

Rourke documented in his notes that the recommendation was driven by Dr. Agarwal's stated desire for additional tax-deferred growth, the inadequacy of her remaining tax-sheltered options, and her long time horizon that would allow the tax-deferral benefit to potentially offset the annuity's higher costs compared to a taxable account. He ran a breakeven analysis showing that, assuming an 8% average annual return and her current marginal tax rates, the tax-deferral advantage would overcome the excess cost of the annuity relative to a tax-efficient index fund portfolio in a taxable account after approximately 11 years. However, the analysis assumed Dr. Agarwal would remain in the highest tax bracket at the time of withdrawals, which could change if her income dropped significantly in retirement. It also did not account for the fact that annuity withdrawals would be taxed as ordinary income rather than at potentially lower long-term capital gains rates.

A competing analysis prepared later by a fee-only financial planner retained by Dr. Agarwal's estate attorney suggested that a portfolio of tax-managed index funds and municipal bonds in the taxable account could have achieved comparable after-tax results with greater liquidity, lower costs (approximately 0.25% annually), and more favorable tax treatment of gains at withdrawal. That analysis also noted that the inherited brokerage account assets received a stepped-up cost basis, meaning there were no embedded capital gains to shelter at the time of the annuity purchase - placing the \$285,000 into the annuity effectively converted future long-term capital gains into ordinary income upon withdrawal.

Dr. Agarwal signed all disclosure documents and the annuity application, including a form acknowledging

the surrender charges, the fee structure, and a comparison of the annuity to other investment alternatives. She wrote in her own handwriting on the application supplement: 'I want tax-deferred growth beyond my retirement accounts. I understand the fees and time commitment.' Rourke received a commission of approximately \$16,500 on the sale.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that the recommendation was unsuitable or not in Dr. Agarwal's best interest:

1. The inherited brokerage assets had a stepped-up cost basis, meaning there were zero embedded gains at the time of purchase. One of the primary advantages of tax deferral - sheltering existing unrealized gains - was entirely absent. Placing these assets into a variable annuity effectively converted future long-term capital gains (taxable at preferential rates of 20% plus 3.8% NIIT for high earners) into ordinary income (taxable at 37% plus 3.8% NIIT) upon withdrawal. This tax arbitrage works against the client.
2. The total annual cost differential between the variable annuity (2.15%) and a tax-efficient index strategy (approximately 0.25%) is 1.90% per year, a substantial drag on returns. While Rourke's breakeven analysis showed an 11-year crossover, that analysis was flawed because it failed to account for the ordinary income treatment of annuity distributions versus favorable long-term capital gains treatment of a tax-managed portfolio. When properly modeled, the breakeven point may extend well beyond the client's investment horizon or may never be reached.
3. Municipal bond allocations and tax-loss harvesting strategies in the taxable account could have provided significant tax benefits without the illiquidity, high costs, and unfavorable tax conversion inherent in the annuity.
4. The advisor received a \$16,500 commission, creating an economic incentive that could have influenced the recommendation over lower-cost alternatives that would have generated minimal or no commission.
5. Under heightened standards applicable in certain jurisdictions and under broker-dealer best interest frameworks, the advisor must consider reasonably available alternatives. A tax-managed index strategy in a taxable account appears to be a readily available, lower-cost alternative that may have served the client's stated objective equally well or better.

Arguments that the recommendation was suitable and potentially in Dr. Agarwal's best interest:

1. Dr. Agarwal specifically and repeatedly expressed a desire for tax-deferred growth beyond her existing retirement vehicles. She was a high-income, financially sophisticated professional who understood the product. Her handwritten note on the application demonstrates informed, affirmative consent.
2. The client had already exhausted all conventional tax-advantaged savings options (401(k), Roth IRA, cash-balance pension). A variable annuity is one of the few remaining vehicles that offers unlimited contribution amounts with tax-deferred growth. The recommendation addressed a legitimate gap in her

financial plan.

3. Dr. Agarwal's long time horizon (13-15 years), substantial net worth (\$3.8 million), lack of immediate liquidity needs, adequate emergency reserves, and no dependents all support the suitability of a product with a seven-year surrender period. The \$285,000 investment represented only about 7.5% of her total net worth and roughly 16% of her taxable investment portfolio - not an excessive concentration.
4. Rourke conducted and documented a breakeven analysis, provided all required disclosures, and the client signed acknowledgment forms. Even if the analysis was imperfect, the advisor made a reasonable effort to quantify the tradeoffs.
5. The death benefit rider, while not the primary driver, provides a guaranteed floor on the investment that a taxable portfolio does not, which has some economic value.
6. Rourke's breakeven analysis, while flawed in certain assumptions, was not unreasonable on its face. Reasonable professionals can disagree about forward-looking tax rate assumptions - if tax rates rise or if the client's retirement income remains high, the breakeven could shift favorably.
7. The annuity offered access to low-cost index sub-accounts, potentially reducing the effective cost differential if those options were utilized.

Why Borderline

This scenario sits in a genuine gray area because the client had a legitimate, self-identified need for additional tax deferral, had exhausted conventional options, had sufficient wealth and time horizon to absorb the costs, and provided informed written consent. However, the stepped-up basis of the inherited assets, the ordinary income conversion problem, the significantly higher cost structure, and the availability of tax-efficient alternatives in a taxable account all raise serious questions about whether a variable annuity was truly the optimal or even a reasonable solution. The advisor's breakeven analysis was facially reasonable but materially incomplete. Reasonable compliance officers, arbitrators, and regulators could reach different conclusions depending on how much weight they give to client autonomy and stated preferences versus the advisor's obligation to identify and recommend superior alternatives.

Borderline Factors

- Stepped-up basis on inherited assets eliminates the primary tax-deferral advantage at the time of purchase and creates an adverse ordinary income conversion
- Client had exhausted all other tax-advantaged savings vehicles, creating a genuine planning gap that the annuity addresses in principle
- Total annual cost differential of approximately 1.90% is substantial but the long time horizon could theoretically offset it under certain tax assumptions
- Advisor's breakeven analysis was documented but materially incomplete - it did not account for the capital gains vs. ordinary income rate differential on distributions
- Client was a high-income, financially literate professional who specifically requested tax-deferred growth and provided handwritten informed consent
- Tax-managed index funds and municipal bonds in a taxable account represent a plausible lower-cost alternative that may have achieved comparable or superior after-tax results

- The \$285,000 investment was a moderate proportion (7.5%) of total net worth, not an outsized concentration
- Advisor received \$16,500 in commission, creating a material conflict of interest but not an inherently disqualifying one
- Seven-year surrender charge schedule is lengthy but aligns with the client's 13-15 year stated time horizon

Likely Outcome

A regulator reviewing this case would likely find a violation, though not a clear-cut one. The strongest basis for an adverse finding is the failure to adequately account for the stepped-up cost basis and the ordinary income conversion problem in the breakeven analysis - this is not merely an analytical oversight but goes to the core economics of the recommendation. Under modern best-interest frameworks, an advisor must consider reasonably available alternatives and the costs relative to benefits. The existence of materially lower-cost strategies (tax-managed index funds, municipal bonds) that avoid converting capital gains into ordinary income would likely be viewed as a superior alternative that the advisor failed to adequately weigh. However, a hearing panel or arbitration forum might reduce any sanctions or damages in light of the client's sophistication, written consent, long time horizon, and the fact that the advisor did conduct some form of analysis. The most likely regulatory outcome would be a finding of an inadequate reasonable basis for the recommendation, with moderate rather than severe sanctions, and possible disgorgement of some or all of the commission.

Borderline Scenario 73

Topic: variable_annuity_unsuitable | Standard: FINRA Rule 2330 (Variable Annuity Suitability) requires that a member or associated

Fact Pattern

Margaret Thornton, age 62, is a recently retired schoolteacher with a state pension providing \$4,200/month and Social Security benefits of \$2,100/month beginning at age 65. She has \$485,000 in a 403(b) account, \$78,000 in a savings account, and a paid-off home valued at approximately \$340,000. Her monthly expenses are roughly \$4,800, meaning her pension nearly covers her living costs, with a modest shortfall she covers from savings. She has no long-term care insurance. Her stated investment objectives on her new account form are 'growth with some income' and she checked 'moderate' risk tolerance. She told her advisor, Kevin Braddock, that she is 'terrified of another 2008' and wants to make sure she never loses a large portion of her retirement savings. She also mentioned wanting to leave something for her two adult children.

Braddock recommended she move \$410,000 from her 403(b) - which was invested in a target-date 2025 fund with an expense ratio of 0.12% - into an index-linked variable annuity (ILVA) with a 6-year surrender period, annual fees totaling 1.35%, a 10% buffer against losses on the S&P 500 index allocation, and a participation cap of 12% annually. The product offered no guaranteed lifetime income rider; however, it did provide a return-of-premium death benefit. The remaining \$75,000 of the 403(b) was rolled into a traditional IRA invested in a diversified bond fund. The ILVA was also held inside an IRA, meaning the tax-deferral benefit of the annuity wrapper was redundant.

Braddock documented that the client's primary concern was downside protection and that the ILVA's buffer feature directly addressed her fear of catastrophic loss. He noted that the 403(b) target-date fund offered no downside protection mechanism. He also noted that Margaret's pension and future Social Security would cover her expenses, so the \$410,000 was genuinely long-term money she would not need for at least 7-10 years. His notes reference a 45-minute conversation and a follow-up call one week later before she signed.

However, Braddock received a 4.25% commission on the ILVA sale (\$17,425), whereas rolling the full amount into the IRA bond fund or a low-cost balanced fund would have generated a small advisory fee of approximately 0.65% annually (\$2,665/year). A colleague at his firm later flagged the transaction during an internal review, noting that a simple 60/40 portfolio with a 0.20% expense ratio could have addressed Margaret's goals at significantly lower cost, and that the tax-deferral redundancy of placing the ILVA inside an IRA suggested the product was chosen for its commission rather than its structural benefits. Braddock responded that the buffer protection was a fundamentally different risk management tool than asset allocation diversification, and that Margaret would not have remained invested during a downturn in a standard portfolio - she would have panic-sold, as she admitted she did in 2009 with a previous brokerage account, crystallizing a 34% loss.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Braddock violated applicable standards: (1) The ILVA was placed inside a tax-deferred IRA, rendering its tax-deferral feature redundant and layering unnecessary costs - total annual fees of 1.35% versus 0.12% in the existing target-date fund or 0.20% in a low-cost balanced alternative. Over the 6-year surrender period, the incremental cost could exceed \$30,000. (2) The 4.25% upfront commission creates a significant conflict of interest, particularly when lower-cost alternatives were readily available. (3) Margaret had no identified need for a death benefit rider (her children are adults and financially independent per the account form), and the product lacked a lifetime income rider that might have addressed a genuine retirement income gap. (4) The 6-year surrender period restricts access to \$410,000 - roughly 53% of her liquid net worth - for a 62-year-old retiree who has no long-term care insurance and could face unexpected medical expenses. (5) Under both broker-dealer and state insurance department frameworks, the absence of a less-costly alternative analysis is problematic when such alternatives exist.

Arguments supporting Braddock: (1) The ILVA buffer mechanism is a structurally distinct product feature not replicable through simple asset allocation - it provides a contractual 10% downside buffer, meaning in a year where the S&P 500 drops 15%, the client only absorbs a 5% loss. No mutual fund or ETF portfolio provides this contractual guarantee. (2) Margaret's documented behavioral history - panic-selling in 2009 for a 34% realized loss - is a material suitability consideration. Academic literature on behavioral finance supports the idea that product structure can prevent destructive investor behavior, and the cost differential may be justified if it prevents a repeat panic sale that could cost far more than the fee spread. (3) Her pension and future Social Security fully cover expenses, making the \$410,000 genuinely long-term capital with a 7-10 year horizon that exceeds the 6-year surrender period. (4) Braddock documented two substantive conversations and specifically noted the client's behavioral tendencies and downside-protection priority. (5) The death benefit, while not requested, provides estate value at no additional explicit cost in this product design. (6) The IRA tax-deferral redundancy, while often cited as a red flag, does not by itself make

the product unsuitable if the product's insurance features (buffer, death benefit) independently justify the recommendation.

The cost-benefit analysis is the crux: approximately \$30,000+ in incremental costs over the surrender period versus the value of contractual downside protection for a behaviorally vulnerable investor. Reasonable professionals disagree on whether behavioral risk mitigation justifies product cost premiums of this magnitude.

Why Borderline

This scenario sits in genuine gray territory because the ILVA's buffer feature addresses a real, documented behavioral vulnerability (panic-selling history) that cannot be replicated by low-cost index funds, but the product was placed inside a tax-advantaged account (eliminating one key annuity benefit), carries substantially higher fees, involves a large upfront commission, and restricts liquidity for a retiree without long-term care coverage. The advisor's documentation is relatively thorough, and the client's income sources do support the characterization of the funds as long-term, but the cost differential and commission incentive create legitimate questions about whether the recommendation was primarily driven by the client's needs or the advisor's compensation.

Borderline Factors

- Client has documented history of panic-selling during market downturns, supporting behavioral justification for buffer product
- ILVA placed inside IRA eliminates tax-deferral benefit, layering costs without corresponding tax advantage
- 4.25% upfront commission versus approximately 0.65% annual advisory fee creates material compensation conflict
- Client's pension and Social Security cover living expenses, supporting long-term investment horizon argument
- 6-year surrender period on 53% of liquid assets for 62-year-old with no long-term care insurance
- 1.35% annual fee versus 0.12%-0.20% alternatives - significant but not extreme cost differential
- Buffer protection is a contractually distinct feature not available in standard mutual fund portfolios
- Advisor documented two conversations and rationale, but did not document comparison of lower-cost alternatives
- No lifetime income rider purchased despite product being positioned as retirement solution
- Client's stated objective of 'growth with some income' is ambiguously served by a product with a 12% annual cap

Likely Outcome

A regulator would likely find this to be a close case but would probably conclude that the recommendation was deficient, primarily because (a) the advisor failed to document a meaningful cost-benefit comparison with lower-cost alternatives, (b) the tax-deferral redundancy of placing the ILVA inside an IRA weakens the justification, and (c) the 53% concentration of liquid assets in a surrender-charge product for a retiree without long-term care insurance presents liquidity risk that was not adequately addressed. However, the advisor's behavioral finance argument has genuine merit, and some arbitration panels or hearing officers could credit that rationale - particularly given the documented panic-selling history. The most likely regulatory outcome is a finding of violation with mitigated sanctions, or a requirement for enhanced

supervision and potential customer restitution of excess fees, rather than a finding of egregious misconduct. In a state applying a comprehensive best-interest standard like New York's, the failure to consider reasonably available alternatives and the compensation conflict would likely tip the balance toward a violation finding.

Borderline Scenario 74

Topic: *variable_annuity_unsuitable* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability)* requires that a member or associated

Fact Pattern

Margaret Kowalski, age 62, recently took early retirement from a mid-size pharmaceutical company in September 2022. She received a lump-sum pension distribution of \$485,000 and had an existing traditional IRA worth \$310,000 that was invested in a diversified mix of index funds with an all-in expense ratio of approximately 0.12%. Margaret also had \$95,000 in a savings account, owned her home outright (valued at approximately \$340,000), and had no outstanding debts. Her annual living expenses were roughly \$54,000, and she planned to delay Social Security until age 67, at which point she expected to receive approximately \$2,400 per month.

Margaret met with financial advisor Derek Hollis in October 2022 after attending a dinner seminar hosted by his firm at a local steakhouse, where the topic was 'Protecting Your Retirement from Market Crashes.' During the seminar, Derek discussed the 2008 financial crisis and showed slides illustrating how retirees who were heavily invested in equities lost 40-50% of their portfolios. Margaret later told a friend she was 'terrified of losing what she'd worked for.'

Over two meetings at Derek's office, Margaret described herself as 'conservative' and said her primary goals were (1) guaranteed lifetime income starting at age 67, (2) protection of her principal, and (3) leaving something to her two adult children. She mentioned she was in good health and that her mother had lived to 94. On Derek's firm's risk questionnaire, Margaret scored a 4 out of 10 (moderately conservative). Margaret stated she did not anticipate needing any of her retirement funds before age 67.

Derek recommended that Margaret roll her \$310,000 IRA into a variable annuity with a guaranteed minimum income benefit (GMIB) rider and also invest \$350,000 of her pension lump sum into a second variable annuity from a different carrier, also with a GMIB rider. The first annuity had an M&E charge of 1.35%, an administrative fee of 0.15%, average subaccount expenses of 0.82%, and the GMIB rider cost 1.10%, for a total annual cost of approximately 3.42%. The second annuity had slightly lower total costs of approximately 2.95%. Both products had seven-year declining surrender charge schedules starting at 7%. Margaret would have roughly \$135,000 in the savings account (after the pension rollover) plus the \$95,000 already there - totaling \$230,000 in liquid assets - to cover her five years of living expenses until Social Security began, though this would be tight at \$54,000 per year (\$270,000 total needed over five years).

Derek documented that the GMIB riders would guarantee Margaret a minimum income floor regardless of market performance, addressing her fear of market losses, and that the variable subaccounts offered growth potential to help offset inflation. He also noted that Margaret's five-year time horizon before needing

income aligned with the annuity contracts' requirement of a minimum ten-year waiting period before GMIB benefits could be exercised - meaning Margaret would actually need to wait until age 72 to exercise the income guarantees, not age 67 as she had planned. Derek's notes reflect that he discussed this waiting period with Margaret, though Margaret later claimed she did not fully understand she could not activate the income guarantee at 67.

The combined commissions on both annuity sales totaled approximately \$46,200 (roughly 7% on the first and 6.5% on the second). Derek's firm offered lower-cost fixed indexed annuities from two carriers that also provided lifetime income riders at total annual costs between 1.1% and 1.5%, though without equity market upside in the subaccounts. Derek did not present these alternatives to Margaret. He also did not discuss whether Margaret might simply maintain her existing low-cost index fund portfolio and implement a systematic withdrawal strategy.

By July 2023, Margaret realized she would need to begin drawing down her savings faster than expected due to an unanticipated property tax increase and some dental work, leaving her concerned about running out of liquid funds before age 67. She contacted Derek about accessing the annuity funds and was dismayed to learn about the surrender charges, which would total approximately \$42,000 if she withdrew from both contracts. Margaret filed a complaint with her state insurance department in November 2023.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Derek violated applicable standards: (1) The concentration of approximately 83% of Margaret's retirement assets (\$660,000 of \$795,000 total investable assets) into two variable annuities with seven-year surrender periods is arguably excessive, particularly given her five-year timeline before needing income and relatively tight liquidity. Her liquid reserves of \$230,000 against \$270,000 in projected expenses over five years left virtually no margin of safety. (2) The total annual costs of 2.95% to 3.42% are significantly higher than both her existing 0.12% index fund portfolio and the available fixed indexed annuity alternatives at 1.1%-1.5%. Over a ten-year period, the cost differential could erode \$150,000 or more in portfolio value compared to alternatives. (3) The GMIB riders' ten-year waiting period created a fundamental misalignment with Margaret's stated goal of income beginning at age 67 (five years away), and whether this was adequately communicated is disputed. (4) Derek failed to present reasonably available lower-cost alternatives, including the fixed indexed annuities his own firm offered and the option of maintaining her existing low-cost portfolio. (5) The dinner seminar's fear-based marketing about market crashes may have unduly influenced Margaret's decision-making, and a diligent advisor should have helped her evaluate risk more objectively rather than capitalizing on that fear. (6) The \$46,200 in commissions raises questions about whether the recommendation was influenced by compensation.

Arguments that Derek's recommendation was suitable and in Margaret's interest: (1) Margaret explicitly and consistently described herself as conservative, expressed fear of market losses, and prioritized principal protection and guaranteed income - all of which variable annuities with GMIB riders are specifically designed to address. (2) Margaret was 62, in good health with family longevity to age 94, giving her potentially a 30+ year retirement horizon during which the GMIB's guaranteed income floor could provide significant value, particularly in severe bear market scenarios. (3) Derek did leave \$230,000 in liquid assets

outside the annuities, which, while tight, was a reasonable attempt to balance liquidity needs against Margaret's desire for guarantees. The liquidity shortfall only materialized due to unanticipated expenses. (4) The variable annuity subaccounts offered equity market participation that could help Margaret keep pace with inflation over her long retirement, unlike fixed indexed annuities which cap upside. (5) Derek documented the GMIB waiting period discussion, and Margaret signed disclosure documents. (6) The surrender charges are a standard feature that funds the guarantees Margaret wanted, and she stated she did not anticipate needing the funds before age 67. (7) Using two different carriers provided some diversification of insurance company credit risk.

Why Borderline

This case sits in genuine gray territory because Margaret's stated preferences and risk profile arguably support the core concept of guaranteed-income annuity products, and she had some liquid reserves set aside. However, the specific products chosen were significantly more expensive than available alternatives, the GMIB waiting period misaligned with her stated income timeline, the concentration level was very high, the liquidity cushion was razor-thin, and cheaper alternatives were not discussed. Reasonable practitioners could disagree about whether the GMIB's long-term value proposition for a healthy 62-year-old with longevity in her family justifies the higher costs and reduced flexibility, or whether the advisor was obligated to present the lower-cost alternatives that could have met most of the same objectives.

Borderline Factors

- Client's stated conservative risk tolerance and fear of market losses genuinely align with principal-protection features of VA with GMIB riders
- Client's longevity profile (mother lived to 94, client in good health) provides a plausible long-term value argument for lifetime income guarantees
- 83% concentration in illiquid surrender-charge products with only a thin liquidity buffer for five years of expenses
- Total annual costs of 2.95%-3.42% versus 0.12% on existing portfolio and 1.1%-1.5% on available fixed indexed annuity alternatives not presented
- GMIB ten-year waiting period misaligned with client's stated goal of income at age 67 (five years), with disputed adequacy of disclosure
- Advisor documented discussions but failed to present reasonably available lower-cost alternatives from his own firm
- \$46,200 in commissions creating potential but not conclusive compensation conflict
- Unanticipated expenses were not foreseeable at time of sale but exposed the thinness of the liquidity plan

Likely Outcome

A regulator would most likely find a violation, though not an egregious one. The strongest factors weighing against the advisor are: (1) the failure to consider and present reasonably available lower-cost alternatives - particularly the fixed indexed annuities from his own firm - which is a core requirement under both insurance suitability frameworks and broker-dealer best-interest standards; (2) the misalignment between the GMIB's ten-year activation requirement and the client's five-year income timeline, which suggests the specific product features did not match the client's actual stated needs; and (3) the near-exhaustion of liquid reserves over the five-year pre-Social Security period, leaving no meaningful buffer. While the advisor could credibly argue the client's risk profile supported guarantee-oriented products in concept, the specific

implementation - choosing higher-cost VAs over available lower-cost alternatives, failing to address the waiting period mismatch, and leaving inadequate liquidity - would likely be viewed as falling short of the required standard. The outcome would likely involve restitution of excess costs and surrender charges, potential fine, and enhanced supervision, rather than a bar or suspension.

Borderline Scenario 75

Topic: *variable_annuity_unsuitable* | Standard: *FINRA Rule 2330 (Suitability requirements for variable annuity transactions, including*

Fact Pattern

Margaret Holloway, age 64, is a retired school principal with a \$1.2 million portfolio consisting of \$620,000 in a traditional IRA rolled over from her state pension system, \$340,000 in a taxable brokerage account, and \$240,000 in bank CDs. She has an annual pension of \$58,000 and Social Security benefits of \$26,400, totaling \$84,400 in guaranteed lifetime income. Her annual expenses are approximately \$72,000, leaving a comfortable surplus. She has no debt, owns her home outright, and carries a long-term care insurance policy. She has two adult children and has expressed a desire to leave a meaningful inheritance. She describes herself as a 'moderate' investor and states she worries about outliving her money, though her financial profile suggests this risk is low.

Her financial advisor, Craig Weaver, age 41, with 16 years of experience, recommended she move \$400,000 from her traditional IRA into a variable annuity with a guaranteed minimum withdrawal benefit (GMWB) rider. The product chosen was the Pinnacle SecureRetire VA, which carries an all-in annual cost of 3.18% (1.35% mortality and expense charge, 0.25% administrative fee, 1.10% GMWB rider fee, and approximately 0.48% in weighted average sub-account fund expenses). The GMWB rider guarantees a 5% annual withdrawal rate on the benefit base for life beginning at age 65, which would provide \$20,000 annually regardless of market performance. The product has a 7-year declining surrender charge schedule starting at 7% in year one.

Craig documented in his notes that Margaret expressed significant anxiety about market downturns during their three meetings. He noted she referenced the 2008 financial crisis repeatedly and said she 'never wants to go through that again.' He also documented that she wanted 'guarantees' on a portion of her retirement income. Craig's notes show he discussed lower-cost index fund alternatives and a balanced portfolio approach but that Margaret was drawn to the guarantee feature. He also presented a fixed indexed annuity with a 1.1% annual cost as an alternative, but Margaret said she wanted market upside participation beyond what the FIA caps would allow.

Craig earned a \$22,000 commission (5.5%) on the VA sale. His firm's compliance department approved the transaction after a routine review. Margaret's remaining IRA balance of \$220,000 was kept in a diversified portfolio of low-cost index funds.

Eighteen months later, Margaret's daughter, a CPA, reviewed her mother's accounts and raised concerns. She calculated that the VA's annual cost drag on \$400,000 would amount to roughly \$12,720 per year, and that the GMWB's \$20,000 annual guarantee was unnecessary given Margaret's existing \$84,400 in

guaranteed income already exceeded her \$72,000 in expenses by \$12,400. The daughter also pointed out that Margaret could have achieved similar downside protection through a conservative balanced portfolio with a systematic withdrawal plan at far lower cost, and that the additional tax deferral of the VA inside an already tax-deferred IRA provided no incremental benefit.

Craig responded that the GMWB serves as longevity insurance against the possibility that Margaret's expenses could rise substantially due to healthcare costs not covered by her LTC policy, that the guarantee provides psychological comfort that keeps Margaret from panic-selling in downturns, and that the market upside participation in the VA sub-accounts (which Margaret allocated 60% to equity sub-accounts and 40% to bond sub-accounts) could grow the benefit base over time, potentially increasing her guaranteed withdrawal amount. He also noted that Margaret explicitly rejected the lower-cost FIA alternative and that the \$400,000 represents only one-third of her total portfolio, leaving substantial liquidity in her other accounts.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Craig violated applicable standards: The most significant concern is the cost-benefit analysis. Margaret's guaranteed income already exceeds her expenses by \$12,400 annually, making the core value proposition of the GMWB rider-protection against running out of money-arguably duplicative. At 3.18% all-in annual costs, the VA will consume approximately \$12,720 per year in fees, creating a substantial headwind to portfolio growth. Over a 20-year retirement horizon, the cumulative fee drag could exceed \$250,000 in nominal terms compared to a low-cost balanced fund alternative. Additionally, placing a variable annuity inside a traditional IRA provides no incremental tax deferral benefit, which is frequently cited by regulators as a red flag for unsuitability. The 7-year surrender charge schedule limits liquidity on a significant portion of her retirement assets during a critical period (ages 64-71). The \$22,000 commission creates a material conflict of interest that arguably influenced the recommendation over lower-cost alternatives that could have addressed her stated concerns.

Arguments that Craig acted appropriately: Margaret's behavioral profile is a significant mitigating factor. Her documented anxiety about market downturns and repeated references to 2008 suggest she is a client who might panic-sell during a correction, potentially causing far more financial harm than the VA's fee drag. The GMWB rider provides a behavioral 'guardrail' that could prevent destructive decision-making. Craig documented three meetings with discussion of alternatives, including lower-cost options, and Margaret affirmatively chose the VA after understanding the alternatives. The \$400,000 allocation represents approximately one-third of her total portfolio, leaving \$580,000 in liquid, lower-cost investments-this is not a case of concentrating the entire portfolio in a high-cost product. Craig's point about healthcare cost inflation is legitimate; while Margaret has LTC insurance, many policies have coverage gaps, daily limits, and benefit periods that may not cover all scenarios. The GMWB's potential benefit base growth through market participation could increase guaranteed income over time, providing an inflation hedge that her fixed pension lacks. Under the revised NAIC model and similar frameworks, the recommendation must be in the consumer's best interest at the time of the transaction, considering the consumer's expressed needs and preferences, not merely an objective cost-minimization standard. Margaret's expressed preference for guarantees with market upside participation, documented across multiple meetings, supports the

recommendation.

The tax-deferral-inside-an-IRA issue, while a common regulatory concern, is increasingly viewed with nuance; the VA was not recommended for its tax benefits but for its insurance features (the GMWB rider), which are only available through an annuity wrapper. Several academic studies and industry guidance documents acknowledge that living benefit riders can justify VA placement inside qualified accounts when the insurance features, not tax deferral, drive the recommendation.

The commission amount, while substantial, is within industry norms for VA products and does not by itself establish a violation, though it must be weighed as part of the conflict-of-interest analysis.

Why Borderline

This scenario sits at the intersection of objective financial analysis and behavioral finance considerations. Purely by the numbers, the VA appears unnecessarily expensive for a client whose guaranteed income already covers her expenses. However, the client's documented behavioral tendencies (market anxiety, desire for guarantees, rejection of lower-cost alternatives after being presented with them) provide a legitimate non-quantitative rationale. Reasonable practitioners disagree about whether behavioral comfort justifies significant cost premiums, and regulators have not established bright-line rules for when psychological suitability overrides cost efficiency. The partial allocation (one-third of portfolio) and retention of low-cost investments for the balance further complicate the analysis, as does the legitimate insurance function of the GMWB rider even inside a tax-qualified account.

Borderline Factors

- Client's guaranteed income already exceeds current expenses, making the GMWB rider's core longevity protection arguably redundant
 - All-in annual costs of 3.18% create substantial long-term fee drag versus available lower-cost alternatives
 - VA placed inside a tax-deferred IRA provides no incremental tax benefit, a traditional regulatory red flag
 - Well-documented client behavioral profile showing market anxiety and strong stated preference for guarantees
- Client was presented with and affirmatively rejected a lower-cost fixed indexed annuity alternative
- Allocation represents only one-third of total portfolio, preserving substantial liquidity elsewhere
- Legitimate insurance rationale (GMWB rider) exists independent of tax deferral benefits
- Healthcare cost inflation risk provides reasonable justification for additional guaranteed income beyond current needs
- \$22,000 commission creates material conflict of interest but is within industry norms
- 7-year surrender charge period restricts access to significant assets during early retirement years
- Three documented meetings with alternatives discussion supports thoroughness of recommendation process

Likely Outcome

A regulator would most likely find this to be a close case but would probably not sustain a violation, provided Craig's documentation holds up to scrutiny. The key saving factors are: (1) the thorough documentation of client preferences across multiple meetings, (2) the presentation and client rejection of lower-cost alternatives, (3) the partial allocation preserving liquidity, and (4) the legitimate insurance

rationale for the GMWB rider beyond tax deferral. However, a regulator would likely issue supervisory concerns or require enhanced documentation explaining why the cost premium is justified given the client's existing income surplus. If Craig's notes were less detailed, or if the compliance review was perfunctory, the outcome could shift toward a finding of violation. A state insurance department applying the revised best-interest standard might scrutinize more closely whether Craig adequately considered whether a lower-cost product achieving substantially similar guarantees was reasonably available.

Borderline Scenario 76

Topic: *variable_annuity_unsuitable* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability)* requires that a registered representative

Fact Pattern

Margaret Kowalski, age 62, is a recently retired public school teacher with a state pension providing \$4,200 per month, Social Security benefits of \$1,900 per month beginning at age 65, and \$485,000 in a 403(b) account. She also has \$142,000 in a taxable brokerage account and \$38,000 in a savings account. Her home is fully paid off. She has no dependents, no significant debts, and her monthly expenses run approximately \$3,800. She described herself on her new account form as having a 'moderate' risk tolerance and a primary goal of 'supplemental retirement income with some growth to keep pace with inflation.' She noted on her intake questionnaire that she was 'very worried about outliving her money' and had read several magazine articles about retirees running out of savings.

In March 2023, her financial advisor, Daniel Reeves, recommended she move \$310,000 from her 403(b) into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The annuity carried total annual expenses of 3.12% (1.35% mortality and expense charge, 0.85% administrative and fund fees, and 0.92% for the GLWB rider). The GLWB guaranteed a 5% annual withdrawal base growth rate during the deferral period and a guaranteed 4.75% withdrawal rate for life beginning at age 67. The product had a seven-year surrender schedule starting at 7% and declining by 1% per year. Reeves received a 5.25% upfront commission on the sale.

Reeves documented in his notes that Margaret's pension and upcoming Social Security would cover her base expenses, that the variable annuity's GLWB rider directly addressed her expressed fear of longevity risk, and that the guaranteed income floor would allow her to invest the annuity's subaccounts in equity-oriented funds for inflation protection without worrying about market drawdowns. He also noted that she could keep her \$142,000 brokerage account and \$38,000 savings as a liquid emergency reserve.

However, Margaret's 403(b) was invested in a balanced target-date fund with total expenses of 0.38%, and the existing 403(b) plan itself offered an in-plan annuitization option at retirement that would have provided a comparable guaranteed income stream at a significantly lower cost-estimated all-in expenses of approximately 0.95%-though it lacked the specific GLWB deferral-growth feature of Reeves's recommended product. Reeves's notes do not mention the in-plan annuitization option at all. Margaret later said she had mentioned the option to Reeves during their meeting but 'didn't really understand what it was.' The 403(b) plan's annuitization option was administered by a different insurance carrier and would have required Margaret to contact her former employer's benefits office to initiate.

Margaret's existing pension and expected Social Security total approximately \$6,100 per month—already \$2,300 above her stated monthly expenses. There is no documentation that Reeves performed a gap analysis or income projection to determine the incremental income need, if any, that justified the annuity purchase. Six months after the purchase, Margaret needed \$25,000 for an unexpected roof repair and was unable to access her annuity funds without paying a surrender charge, forcing her to liquidate brokerage holdings at a capital gains tax cost of approximately \$3,700.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Reeves acted appropriately: Margaret had a clearly expressed and documented fear of outliving her savings, and longevity risk is a recognized financial planning concern even when current income covers current expenses. The GLWB rider directly addresses that fear by providing a guaranteed income floor regardless of market performance. Reeves left \$180,000 in liquid assets (\$142,000 brokerage + \$38,000 savings) outside the annuity, representing roughly four years of the gap between her income and expenses if costs rose, or a substantial emergency fund. The product's equity subaccounts, paired with the downside guarantee, arguably provide a reasonable inflation-hedging strategy consistent with her stated goals. Additionally, the in-plan annuitization option, while cheaper, required Margaret to navigate a separate administrative process with her former employer, offered no deferral-growth feature, and may have had less flexible beneficiary options.

Arguments that Reeves fell short: The 3.12% all-in expense ratio is exceptionally high, and the cost differential over the in-plan option amounts to roughly \$6,700 per year on \$310,000—a cumulative drag that could exceed \$50,000 over the seven-year surrender period alone. Reeves's failure to document any consideration of the lower-cost in-plan alternative is a significant gap, especially given that Margaret apparently raised it herself. His notes contain no income gap analysis, which is notable because Margaret's guaranteed income already exceeds her expenses by a wide margin; the incremental utility of additional guaranteed income is questionable when the cost is so high. The seven-year surrender period effectively locked up 64% of her retirement savings for a client in her early 60s whose liquidity needs are inherently uncertain. The 5.25% upfront commission creates a material conflict that should have been weighed against lower-cost alternatives. The roof repair incident, while not foreseeable, illustrates the real-world liquidity risk that arguably should have been stress-tested. Furthermore, the GLWB's 5% deferral growth rate is applied to a notional 'benefit base,' not the actual account value, meaning the guarantee is less valuable than it superficially appears—a nuance that raises questions about whether Margaret understood what she was buying.

The central tension is between respecting a client's clearly stated emotional and financial concern (longevity risk) and the advisor's obligation to recommend a product that addresses that concern in a cost-efficient manner, particularly when a substantially cheaper alternative existed within the client's own retirement plan. The documentation deficiencies—no mention of the in-plan option, no gap analysis—cut against Reeves but do not by themselves prove the recommendation was unsuitable if the product otherwise met a legitimate need.

Why Borderline

This case is genuinely borderline because the advisor identified a real client concern (longevity risk) and recommended a product that substantively addresses it, while maintaining a reasonable liquid reserve outside the annuity. The client's own expressed fears support the recommendation. However, the advisor failed to document consideration of a materially cheaper in-plan alternative that addressed similar concerns, charged very high all-in expenses that created significant cost drag, and did not perform or document an income gap analysis that would have revealed the client's guaranteed income already exceeded her expenses. Reasonable practitioners could disagree about whether addressing a client's psychological need for guaranteed income justifies a high-cost product when cheaper alternatives and existing income streams may have sufficed.

Borderline Factors

- Client explicitly expressed longevity risk concern, creating documented basis for annuity recommendation
- 3.12% all-in expense ratio versus 0.95% for an in-plan alternative represents over \$6,700 annual cost differential
- Advisor maintained \$180,000 in liquid assets outside the annuity, but 64% of retirement savings were locked up
- No documentation of consideration of the lower-cost in-plan annuitization option the client herself mentioned
- Client's existing guaranteed income already exceeded stated monthly expenses by \$2,300
- No gap analysis or income projection documented to quantify the incremental need for guaranteed income
- 5.25% upfront commission creates material conflict but does not alone render the recommendation unsuitable
- GLWB deferral-growth feature has genuine value not replicated by the in-plan option, though its marginal benefit is debatable
- Seven-year surrender period is long for a 62-year-old but not unusual for products with GLWB riders
- Client's inability to access funds for an emergency repair six months later illustrates materialized liquidity risk

Likely Outcome

A regulator would likely find a violation, but a narrow one focused on process deficiencies rather than a determination that the product category was per se unsuitable. The most damaging facts are the complete absence of any documented consideration of the lower-cost in-plan alternative-particularly after the client raised it-and the lack of an income gap analysis that would have revealed questionable incremental need. Under current standards emphasizing cost consideration and reasonably available alternatives, the failure to evaluate and document why a product costing roughly 3.3 times more than an in-plan option was nonetheless in the client's interest would likely be deemed a violation. However, a mitigating factor is that the advisor did address a genuine client concern and preserved meaningful liquidity, so sanctions would likely be moderate-enhanced supervision, possible disgorgement of the cost differential, and required additional training-rather than severe.

Borderline Scenario 77

Topic: tax_deferred_unnecessary_annuity | Standard: FINRA Rule 2330 (variable annuity suitability, including consideration of tax-deferral)

Fact Pattern

Margaret Hollis, age 58, is a senior project manager at an engineering firm earning \$142,000 annually. She has \$410,000 in her employer's 401(k), \$85,000 in a Roth IRA, and \$230,000 in a taxable brokerage account invested in a mix of index funds and individual stocks. She also holds \$75,000 in certificates of deposit maturing over the next three years. Margaret is unmarried with no dependents and plans to retire at 65. She came to her financial advisor, Daniel Keene, in March 2023, expressing anxiety about market volatility and a strong desire for guaranteed lifetime income in retirement. She told Keene she 'never wants to worry about running out of money' and specifically asked about annuities after attending a dinner seminar hosted by a different firm. She mentioned she was particularly worried because her mother lived to 97 and she believed she might face a similar longevity. Keene recommended she purchase a variable annuity with a Guaranteed Minimum Withdrawal Benefit rider using \$185,000 from her taxable brokerage account. The annuity carried total annual fees of approximately 2.85% (1.30% mortality and expense risk charge, 0.25% administrative fee, 0.80% average underlying fund expense, and 0.50% for the GMWB rider). The product had a seven-year declining surrender charge schedule starting at 7% in year one. The GMWB rider guaranteed a 5% annual withdrawal rate for life beginning at age 65 regardless of market performance, effectively locking in a guaranteed income floor of \$9,250 per year from this contract alone. Keene documented Margaret's risk tolerance as 'moderate-conservative,' her investment time horizon as 7+ years, and her stated goal of guaranteed retirement income. He noted that placing the annuity inside the taxable account meant that the investment gains would grow tax-deferred until withdrawal, at which point gains would be taxed as ordinary income rather than potentially qualifying for lower long-term capital gains rates. He did not recommend moving the funds into her existing Roth IRA, where she had approximately \$33,000 in remaining contribution room spread over the next several years, nor did he suggest a fixed indexed annuity, which would have carried total fees closer to 1.1% but without the upside participation in equity sub-accounts. Margaret signed all disclosures, including a document acknowledging the fee structure and surrender schedule. In a follow-up letter, Keene wrote that while she would lose the preferential capital gains treatment on the \$185,000, the tax-deferral benefit was meaningful given her seven-year accumulation period and that the guaranteed income rider addressed her primary stated concern. Six months later, Margaret's 401(k) provider began offering an in-plan guaranteed income option with fees of 0.65% total, but Keene had no way of knowing this would become available.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

The central tension in this fact pattern is whether the tax-deferral benefit of the variable annuity was genuinely additive for a client who purchased it with after-tax dollars from a taxable account, and whether the product's guaranteed income feature adequately justified the layered fee structure.

Arguments that Keene acted appropriately:

1. Margaret initiated the inquiry about annuities and articulated a clear, specific need: guaranteed lifetime income driven by longevity concerns rooted in family history. The GMWB rider directly addressed this need.

2. The investment was made with taxable account assets, not funds already inside a tax-qualified retirement account, so there is no issue of 'wrapping tax-deferred money inside another tax-deferred vehicle' - the classic red flag.
3. Tax deferral does provide some benefit even in a taxable account, particularly over a seven-year accumulation horizon where compounding without annual tax drag can be meaningful.
4. Keene documented the client's risk profile, goals, and time horizon. He also disclosed the fee structure and surrender schedule.
5. The allocation of \$185,000 out of total liquid assets of approximately \$800,000 represents roughly 23% of her portfolio - not an outsized concentration.
6. A fixed indexed annuity would have been cheaper but would not have offered the equity sub-account participation that gives Margaret the potential for higher accumulation before the GMWB kicks in.

Arguments that Keene may have fallen short:

1. The 2.85% all-in annual cost is substantial. Over seven years on \$185,000, fees could consume roughly \$37,000-\$45,000 depending on performance, significantly eroding the tax-deferral advantage.
2. The tax-deferral benefit is partially or fully offset by the fact that gains withdrawn from the annuity will be taxed as ordinary income (potentially 22-24% for Margaret) rather than at the long-term capital gains rate (15%) that would have applied to her existing index fund holdings. Multiple academic studies have shown that this 'tax arbitrage' cost can exceed the deferral benefit for holding periods under 15-20 years, especially at moderate return assumptions.
3. Keene did not meaningfully explore whether Margaret could achieve her guaranteed income goal more cost-effectively. A combination of her 401(k) distributions, Social Security optimization, and a smaller fixed annuity or Treasury ladder might have produced comparable income certainty at far lower cost.
4. The seven-year surrender schedule effectively locks Margaret in through age 65, reducing flexibility precisely during the years when her retirement planning needs may evolve.
5. Keene had \$33,000 of Roth contribution room he could have discussed as an alternative or complementary tax-advantaged vehicle, and a systematic Roth conversion strategy over the next seven years could have provided more favorable long-term tax treatment.
6. The guaranteed annual income of \$9,250 from this contract is relatively modest and alone does not solve Margaret's retirement income needs. A reasonable advisor might question whether paying 2.85% annually to guarantee this specific income stream was cost-justified.

Under FINRA Rule 2330, the recommending broker must have a reasonable basis for believing that (a) the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, annuitization, or a death benefit, (b) the particular annuity as a whole is suitable, and (c) the transactions and riders are suitable in light of the customer's financial situation and needs. Under Reg BI (Rule 15l-1), the advisor must act in the customer's best interest and consider reasonably available alternatives. The NAIC Model Regulation 275 similarly requires that the recommendation be suitable based on the consumer's financial situation, insurance needs, and objectives, and that the producer have a reasonable basis for the recommendation.

NY Regulation 187, applicable if Margaret is a New York resident, imposes a best-interest standard specifically for annuity transactions, requiring the producer to consider the consumer's existing assets and financial products and to evaluate whether the recommendation is in the consumer's best interest at the

time of the transaction without placing the producer's interests ahead of the consumer's.

Why Borderline

This scenario is genuinely ambiguous because Margaret had a clearly articulated and reasonable need for guaranteed lifetime income, and the variable annuity with a GMWB rider directly addressed that need. However, the cost-effectiveness of achieving that goal through a high-fee variable annuity funded with after-tax dollars - where the tax-deferral benefit is partially negated by ordinary income treatment of gains - is debatable. The advisor documented his rationale and the client consented, but the question is whether a reasonable cost-benefit analysis would have led to a less expensive solution. Reasonable practitioners could disagree on whether the equity upside potential of the VA sub-accounts plus the GMWB rider justifies the fee premium over alternatives, or whether the tax-deferral argument holds at a seven-year horizon given the capital gains rate differential.

Borderline Factors

- Tax deferral benefit in a taxable account is real but may be offset by ordinary income treatment of gains versus long-term capital gains rates on existing holdings
- Client specifically requested and expressed strong preference for guaranteed income product based on legitimate longevity concerns
- All-in fees of 2.85% are high but not extreme for a VA with living benefit rider; industry range is roughly 2.5%-3.5%
- Allocation of 23% of liquid assets to the annuity is not excessive concentration but the seven-year surrender lock-up reduces flexibility during a critical pre-retirement planning window
- Advisor documented rationale and disclosed fees but did not present a formal comparison of reasonably available alternatives such as a fixed indexed annuity or systematic Roth conversion strategy
- The guaranteed income of \$9,250/year is meaningful but modest relative to Margaret's overall retirement income needs, raising questions about proportionality of costs to benefits
- Subsequent availability of a cheaper in-plan option was unknowable at time of recommendation, but the existence of lower-cost guaranteed income products in the marketplace generally was knowable

Likely Outcome

A regulator would likely find this to be a close case but would probably not sustain a violation, provided Keene can demonstrate through documentation that he considered Margaret's overall financial picture and that the recommendation was driven by her articulated needs rather than compensation incentives. However, a regulator applying NY Regulation 187's best-interest standard might be more skeptical, particularly regarding the failure to document consideration of lower-cost alternatives and the questionable net benefit of tax deferral in a taxable account over a seven-year horizon. The most likely outcome is a supervisory letter or enhanced documentation requirement rather than a finding of violation, with the key variable being whether the firm's supervisory review under its annuity suitability procedures flagged and addressed the tax-efficiency question before approving the transaction.

Borderline Scenario 78

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2330 (variable annuity suitability, requiring reasonable efforts to ascertain li*

Fact Pattern

Margaret Kowalski, age 62, retired eighteen months ago from a career as a hospital administrator. She has a pension paying \$4,200 per month, Social Security benefits she plans to claim at 66, and \$875,000 in combined retirement savings: \$510,000 in a traditional IRA invested in a balanced mutual fund portfolio, \$140,000 in a taxable brokerage account, and \$225,000 in bank CDs earning 1.8%. She has no debt, owns her home outright, and lists monthly expenses of approximately \$3,800. Her new-account paperwork, completed with the help of her advisor Gerald Pinella of Lakeside Financial Group, lists her risk tolerance as 'moderate-aggressive,' her investment objective as 'growth,' her time horizon as '15-20 years,' and her liquidity needs as 'low.' Pinella recommended she move \$200,000 from the maturing CDs into a variable annuity issued by Great Plains Life Insurance Company. The product selected was the 'Horizon Growth Plus VA,' which carries a mortality and expense charge of 1.35%, an administrative fee of 0.15%, average underlying subaccount expense ratios of 0.82%, and an optional guaranteed minimum income benefit (GMIB) rider costing an additional 0.95%, bringing total annual costs to approximately 3.27%. The VA has a seven-year surrender schedule starting at 7% and declining by 1% per year. Pinella allocated 60% of the VA subaccounts to equity growth funds, 25% to international equity, and 15% to a bond subaccount. Margaret signed all disclosure forms, including a surrender charge schedule acknowledgment and a product comparison worksheet. Pinella earned a 5.75% commission on the sale (\$11,500). During the meeting, Margaret told Pinella she wanted the CD money to 'do more than just sit there' and was 'willing to take some risk for better returns since the pension covers my bills.' She also mentioned she might want to help her granddaughter with college tuition in about four years. Pinella noted the college funding comment in his file but did not change the liquidity-needs designation or discuss whether a portion of the funds should remain accessible. A branch manager reviewed the transaction and approved it. Two years later, Margaret contacted the firm requesting a \$45,000 withdrawal to help with her granddaughter's freshman-year expenses. She was assessed a \$2,250 surrender charge (5% in year two) and incurred ordinary income tax on the gains portion of the withdrawal. She filed a complaint alleging the product was too risky and too illiquid for her situation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: First, the risk profile designation of 'moderate-aggressive' and the 'growth' objective may not accurately reflect a 62-year-old retiree's overall financial picture, even if she expressed willingness to accept risk. Regulators scrutinize whether the documented risk profile was genuinely elicited from the client or subtly guided by the advisor to justify a higher-commission product. Second, the customer explicitly mentioned a foreseeable liquidity need—college tuition in approximately four years—yet the advisor placed \$200,000 into a product with a seven-year surrender period. Under FINRA Rule 2330(b), a registered representative must make reasonable efforts to ascertain the customer's liquidity needs before recommending a variable annuity. The advisor acknowledged the comment in his notes but did not adjust the liquidity-needs designation or recommend keeping a portion of the funds in a more accessible vehicle. Third, the total cost of 3.27% annually is substantial, and the GMIB rider—while offering downside income protection—adds nearly a full percentage point to annual costs. For a client whose pension already covers living expenses, the marginal value of a guaranteed income rider is debatable, and the added cost may indicate a product feature layered on primarily to generate additional compensation. Fourth, the 85% equity allocation within the VA subaccounts is aggressive for a retiree, even one with a

stable pension.

Arguments against a violation: Margaret's pension fully covers her monthly expenses with a \$400 surplus, meaning the \$200,000 invested in the VA represents discretionary capital she does not need for daily living. She still retained \$510,000 in her IRA and \$25,000 remaining in CDs plus the taxable brokerage account, giving her substantial liquid reserves outside the VA. Her stated 15-20 year time horizon is reasonable for a healthy 62-year-old, and the VA's tax-deferred growth and GMIB rider provide longevity protection that aligns with retirement planning goals. Margaret voluntarily expressed a desire to accept more risk and signed all disclosures. The college tuition comment, while noted, was not framed as a firm commitment, and Margaret had other liquid assets (\$140,000 in taxable brokerage, remaining CD funds) from which she could have funded the tuition without touching the VA. The branch manager also reviewed and approved the transaction, suggesting the firm's supervisory system did not flag the recommendation as problematic. The surrender charge she ultimately paid (\$2,250) was a consequence of choosing to withdraw from the VA rather than her other accounts.

Why Borderline

The case sits in a genuine gray area because the client had sufficient liquid assets outside the VA to meet foreseeable needs, a stable pension covering expenses, and expressed a desire for growth-all factors supporting the recommendation. However, the advisor's failure to adjust the liquidity-needs designation after hearing about the college tuition need, the high all-in cost of the product, and the aggressive equity allocation within the VA for a retiree collectively raise legitimate questions about whether the documented risk profile was accurate and whether the recommendation truly served the client's interests or was influenced by the substantial commission.

Borderline Factors

- Client's pension covers all living expenses, making the VA money arguably discretionary, but she mentioned a specific near-term liquidity need that the advisor documented but did not act on
- Risk profile of 'moderate-aggressive' and 85% equity allocation could be appropriate for a healthy 62-year-old with secure income, or could reflect advisor-driven profiling to justify a higher-commission product
- Total VA costs of 3.27% are high but include a GMIB rider that provides genuine longevity protection-though the rider's value is debatable for someone already receiving a pension
- Client had \$650,000+ in other liquid or semi-liquid assets, arguably sufficient to cover the tuition need without accessing the VA
- Advisor earned \$11,500 commission, creating an incentive conflict, but the product was reviewed and approved by a branch supervisor
- The college tuition mention was informal and approximately four years out, not a definitive plan, making the liquidity-need assessment ambiguous

Likely Outcome

A regulator would most likely find a partial violation. The core recommendation of a variable annuity for a portion of this client's portfolio is defensible given her pension income, long time horizon, and expressed risk appetite. However, the failure to reconcile the documented 'low' liquidity needs with the client's own statement about college funding-and the failure to recommend keeping a portion of the CD proceeds in an accessible vehicle-would likely be viewed as a deficiency in the advisor's reasonable-efforts inquiry under

applicable variable annuity suitability standards. The aggressive subaccount allocation and high all-in cost, including a rider of questionable marginal value given the existing pension, would add weight to the finding. The most probable result would be a finding of inadequate documentation and analysis of liquidity needs, potentially resulting in a fine, required restitution of the surrender charge, and enhanced supervision, rather than a finding that the entire VA sale was unsuitable.

Borderline Scenario 79

Topic: variable_annuity_unsuitable | Standard: FINRA Rule 2330 (suitability requirements specific to variable annuities, including con

Fact Pattern

Margaret Daley, age 62, is a recently retired school administrator with a state pension providing \$4,800 per month in guaranteed lifetime income. She also receives \$2,200 per month from Social Security. Her total liquid investable assets are approximately \$485,000, held primarily in a 403(b) account (\$390,000) and a taxable brokerage account (\$95,000). She has no debt, owns her home outright, and describes her risk tolerance as 'moderate.' She told her financial advisor, Kevin Stratton, that her primary goals were (1) ensuring she wouldn't outlive her money, (2) leaving something to her two adult children, and (3) potentially generating some additional monthly income in her early 70s to cover long-term care costs if needed.

In March 2023, Stratton recommended that Margaret roll \$310,000 from her 403(b) into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The product - issued by a well-rated carrier - carried total annual fees of 3.15% (including a 1.40% mortality and expense charge, a 1.05% GLWB rider fee, and average underlying subaccount expenses of 0.70%). The GLWB rider guaranteed a 5% withdrawal base rollup during the deferral period and a 5.2% lifetime payout rate beginning at age 72. The contract included a 7-year declining surrender charge schedule starting at 7% in year one and declining to 0% in year seven. The product offered 28 subaccount options across equity, bond, and balanced funds.

Stratton documented that the variable annuity addressed Margaret's longevity concern by providing a guaranteed income floor that would supplement her pension and Social Security beginning at age 72, approximately matching the \$1,300-\$1,500 per month she estimated she might need for long-term care insurance premiums or out-of-pocket care expenses. He also noted that the death benefit feature - which guaranteed the greater of the account value or total premiums paid - addressed her legacy goal.

However, several complicating factors exist. Margaret's 403(b) was already tax-deferred, so placing it inside an annuity provided no additional tax deferral benefit. The 403(b) plan she was leaving offered a lineup of institutional-class funds with average expense ratios of 0.12%, meaning she was moving from an extremely low-cost environment to one costing roughly 26 times more in annual fees. Additionally, Margaret's combined pension and Social Security income of \$7,000 per month already covered her monthly living expenses of approximately \$5,500, leaving a \$1,500 monthly surplus she was saving. She had no immediate liquidity needs, but she mentioned she might want to help one of her children with a down payment on a home 'within the next few years,' a sum she estimated at \$40,000 to \$60,000.

Stratton did not recommend any lower-cost alternatives such as a single premium immediate annuity, a

fixed index annuity without subaccount fees, or a systematic withdrawal strategy from a diversified portfolio within the existing 403(b). He earned a 5.25% commission (\$16,275) on the sale. His firm's product shelf included several lower-cost variable annuities with GLWB riders carrying total fees closer to 2.10%, as well as advisory fee-based annuity share classes with no surrender charges.

Margaret signed all disclosure documents, including the prospectus, surrender schedule, and a product comparison worksheet showing the fee differential between her 403(b) and the annuity. She initialed a line stating she understood the surrender charges and fee structure.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Stratton violated applicable standards:

1. **Layering tax deferral on tax deferral**: Rolling a 403(b) - already tax-deferred - into a variable annuity provides no incremental tax benefit, which has long been flagged as a red flag by regulators. Under FINRA Rule 2330(b)(1)(A), a registered representative must have a reasonable basis to believe the customer has been informed of the various features of variable annuities, including that deferred annuities are not ordinarily suitable for funding tax-qualified accounts unless the annuity features (e.g., guaranteed living benefits) justify the additional costs.
2. **Cost differential**: Moving from an institutional 403(b) with 0.12% average fund expenses to a variable annuity with 3.15% all-in annual costs represents a massive cost increase - approximately \$9,765 per year in additional fees on \$310,000. Over the 10-year deferral period, cumulative additional costs could exceed \$100,000 depending on market performance. FINRA Rule 2330(b)(1)(A)(ii) specifically requires consideration of whether the variable annuity as a whole, the underlying subaccounts, and riders are suitable in light of fees and charges.
3. **Failure to consider less costly alternatives**: Under Regulation Best Interest (Rule 15l-1), a broker-dealer and associated person must consider reasonably available alternatives. Stratton's own firm offered lower-cost VA options with GLWB riders (2.10% vs. 3.15%) and advisory share classes without surrender charges. He also failed to present a fixed index annuity with a GLWB that could have achieved the guaranteed income goal at lower cost, or a simple SPIA for the income portion combined with keeping the remainder in the low-cost 403(b). NAIC Model Regulation 275, Section 6(B), requires that there be a reasonable basis to believe the recommendation is suitable based on the consumer's suitability information, including existing financial products.
4. **Liquidity risk**: Margaret mentioned potentially needing \$40,000-\$60,000 for a child's home down payment within a few years. The 7-year surrender charge schedule (starting at 7%) could impose penalties of up to \$21,700 if she needed early access. Her remaining liquid assets outside the annuity were only \$95,000 in the taxable account plus \$80,000 remaining in the 403(b), which may or may not be sufficient depending on timing.
5. **Commission incentive**: The \$16,275 commission creates a material conflict of interest that must be

mitigated under Reg BI's conflict-of-interest obligation.

Arguments that Stratton's recommendation was reasonable:

1. ****Legitimate longevity protection****: Margaret's primary stated concern was not outliving her money. While her pension and Social Security cover current expenses with a surplus, long-term care costs could dramatically change her financial picture. The GLWB rider provides contractually guaranteed lifetime income regardless of market conditions, which a systematic withdrawal strategy from a 403(b) cannot replicate. The GAO and academic literature have recognized that guaranteed living benefits can serve a legitimate hedging function against longevity and sequence-of-returns risk.
2. ****The guarantee has economic value****: The GLWB rider - though expensive at 1.05% - provides a guaranteed 5.2% lifetime payout rate at age 72 on a 5%-rolled-up base. If markets decline significantly during the deferral period, this guarantee could be worth substantially more than its cost. The IRI and industry actuaries have argued that the insurance cost of GLWB riders should not simply be compared to fund expense ratios because they provide a fundamentally different risk-transfer product.
3. ****Death benefit addresses legacy goal****: The guaranteed death benefit ensures that even in a severe market downturn, Margaret's heirs would receive at least \$310,000, addressing her stated legacy objective.
4. ****Client was informed and consented****: Margaret signed detailed disclosure documents including a product comparison worksheet showing the fee differential. Under NAIC Model 275 and NY Regulation 187, adequate disclosure and informed consent - while not dispositive - weigh in the advisor's favor.
5. ****Adequate remaining liquidity****: Margaret still has \$95,000 in her taxable account and \$80,000 in the 403(b), totaling \$175,000 in liquid assets outside the annuity. This should comfortably cover the potential \$40,000-\$60,000 down payment gift and provide an emergency reserve, especially given her monthly surplus of \$1,500.
6. ****Risk tolerance alignment****: The subaccount options allow Margaret to invest consistent with her moderate risk tolerance while receiving downside protection through the GLWB floor.

NY Regulation 187 (effective February 2020 for annuity recommendations) imposes a best-interest standard on insurance producers, requiring that recommendations be in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, and financial objectives. This standard requires consideration of alternatives but does not mandate recommending the cheapest option if more expensive products provide features that serve the customer's stated goals.

Why Borderline

This scenario is genuinely ambiguous because the variable annuity addresses real, articulable client needs - longevity protection and legacy planning - through contractual guarantees that lower-cost alternatives cannot replicate in exactly the same way. However, the extreme cost differential (0.12% to 3.15%), the tax-deferral layering, the availability of cheaper alternatives on the advisor's own shelf, and the large commission create significant red flags. The client's existing guaranteed income already exceeds her

expenses, raising the question of whether additional guaranteed income was truly necessary or whether the advisor steered her toward the most expensive solution to a problem that could have been solved more cheaply. Reasonable regulators could disagree on whether the GLWB's unique guarantee features justify the cost premium over less expensive alternatives.

Borderline Factors

- Tax-deferred to tax-deferred rollover providing no incremental tax benefit, a recognized regulatory red flag but not per se unsuitable if insurance features justify the cost
- Extreme cost increase from 0.12% institutional funds to 3.15% all-in VA costs - roughly \$9,765/year in additional fees - but the GLWB rider provides a contractual guarantee absent in the 403(b)
 - Client's existing guaranteed income (\$7,000/month) already exceeds her living expenses (\$5,500/month), reducing the urgency of additional guaranteed income, but future long-term care costs could change this calculus dramatically
- Lower-cost variable annuity alternatives with GLWB riders (2.10% total) and advisory share classes without surrender charges were available on the same firm's platform but were not recommended or discussed
- 7-year surrender schedule creates potential liquidity conflict with client's stated desire to help child with a home down payment within a few years, though remaining liquid assets (\$175,000) may cover this need
- Client signed all disclosures and initialed fee comparison worksheet, demonstrating informed consent, though disclosure alone does not satisfy a best-interest or suitability standard
- 5.25% commission (\$16,275) creates a material conflict, but the commission alone does not make the recommendation unsuitable if the product otherwise serves the client's needs
- Academic literature is split on whether GLWB riders are cost-effective hedges against longevity risk or systematically overpriced insurance - making the cost-benefit analysis genuinely debatable

Likely Outcome

A regulator would most likely find a violation, though not a clear-cut one. The strongest basis would be the failure to consider and present reasonably available lower-cost alternatives, particularly the firm's own cheaper VA with a GLWB rider (2.10% vs. 3.15%). Under Reg BI's care obligation, the failure to even discuss a product saving the client roughly 1.05% annually (\$3,255/year) in fees while providing substantially similar guaranteed income features is difficult to defend. Similarly, under NAIC Model 275 and NY Reg 187, the advisor's obligation to act in the consumer's best interest required consideration of whether the same goals could be met at lower cost. The tax-deferral layering would be cited as an aggravating factor, though the GLWB features provide a reasonable counter-argument. A regulator would likely impose a moderate sanction - requiring restitution of excess fees and possibly a fine - rather than treating this as egregious misconduct, recognizing that the core recommendation of a VA with GLWB features was defensible even if the specific product selected was not the best available option.

Borderline Scenario 80

Topic: *illiquid_investments* | Standard: *FINRA Rule 2330 (variable annuity suitability, requiring reasonable grounds that the transaction is in the client's best interest)*

Fact Pattern

Gerald Whitfield, age 62, is a recently retired mechanical engineer with a pension of \$4,200/month and

Social Security benefits he plans to begin collecting at age 66. He has \$890,000 in total investable assets: \$410,000 in a traditional IRA rollover, \$180,000 in a brokerage account, \$120,000 in a money market fund, and \$180,000 in certificates of deposit maturing within 18 months. Gerald owns his home outright, has no debt, and has no dependents-his wife passed away two years ago and his two adult children are financially independent. Gerald told his financial advisor, Denise Kowalski, that his primary goals were (1) generating guaranteed lifetime income to supplement his pension, (2) leaving something for his grandchildren, and (3) not running out of money if he lives into his 90s, as both his parents lived past 95. He described himself as 'moderately conservative' and said he did not want to 'gamble with retirement money' but also wanted to keep pace with inflation over time. Gerald mentioned he might need \$40,000-\$60,000 in the next two to three years for home renovations and a trip abroad, but had no other anticipated large expenses. Denise recommended that Gerald place \$375,000 from his IRA rollover into a variable annuity with a guaranteed lifetime withdrawal benefit rider. The product carried a total annual expense ratio of 3.12% (including the mortality and expense charge of 1.35%, the GLWB rider fee of 1.10%, underlying fund expenses averaging 0.67%). The surrender period was seven years, with a declining surrender charge starting at 7% in year one and decreasing by 1% annually. The GLWB rider guaranteed a 5% annual withdrawal rate on the benefit base starting at age 65, with a 6% simple interest annual step-up on the benefit base during the deferral period. The annuity offered a death benefit equal to the greater of the account value or total premiums paid, which addressed Gerald's legacy goal. Denise documented that Gerald's remaining liquid assets-\$180,000 in the brokerage account, \$120,000 in money market, and \$180,000 in CDs-totaling \$480,000, were more than sufficient to cover his near-term renovation and travel expenses and any emergencies. She also noted that \$35,000 of the IRA rollover remained uninvested and available. Gerald signed the application, acknowledged the surrender schedule, and initialed a disclosure explaining the fees. Fourteen months later, Gerald's roof suffered storm damage requiring \$85,000 in unexpected repairs. He withdrew \$50,000 from his brokerage account and \$35,000 from his money market fund but then realized his remaining liquid assets had also been partly depleted by the home renovation he had already begun. Gerald contacted Denise about accessing some of the annuity funds. He learned he could withdraw only 10% of the account value penalty-free per year under the contract's free withdrawal provision, approximately \$37,500, and any amount above that would trigger a 6% surrender charge plus potential reduction of his guaranteed withdrawal base. Gerald filed a complaint alleging Denise placed too large a share of his retirement assets into an illiquid product and failed to adequately account for his real liquidity needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Denise acted appropriately: At the time of the recommendation, Gerald's liquid assets outside the annuity totaled approximately \$515,000 (\$480,000 in brokerage, money market, and CDs, plus \$35,000 in remaining IRA cash), which represented roughly 58% of his total investable assets. Gerald's stated near-term liquidity needs were \$40,000-\$60,000, meaning his non-annuity liquid reserves exceeded anticipated short-term needs by a factor of eight or more. The annuity addressed his three stated goals directly: guaranteed lifetime income through the GLWB, a death benefit for legacy purposes, and longevity protection. His pension and future Social Security provided a stable income floor, reducing his dependence on liquid assets for daily expenses. Denise documented the rationale and Gerald acknowledged the surrender terms. The allocation of approximately 42% of total assets to the annuity, while substantial, left a

meaningful liquidity cushion. The unforeseen roof damage was not something a reasonable advisor could have specifically predicted. Arguments that Denise may have fallen short: The 3.12% all-in cost is notably high, particularly given that lower-cost variable annuities and even fixed indexed annuities with GLWB riders were available with total costs closer to 2.0%-2.3%. A seven-year surrender period for a 62-year-old with a recently deceased spouse introduces concentration and liquidity risk during a period of life transition when unexpected expenses are statistically more common. While \$515,000 in liquid reserves seems ample, Gerald had already earmarked \$40,000-\$60,000 for renovations and travel, and the remaining liquid reserves also needed to bridge three-plus years until Social Security began. A more conservative approach might have been to allocate \$250,000-\$300,000 to the annuity and retain more IRA funds in flexible investments, or to recommend a product with a shorter surrender period or lower costs. Additionally, Denise could have stress-tested Gerald's liquidity under adverse scenarios-such as major home repairs or health emergencies-which are foreseeable categories of expense for a 62-year-old homeowner. Under a best-interest framework applicable in New York, the advisor must consider reasonably foreseeable costs, not just stated anticipated expenses, and must evaluate whether a less costly or less restrictive product would comparably serve the client's needs.

Why Borderline

This case is genuinely ambiguous because the advisor's recommendation was facially reasonable given the client's stated goals and liquid reserves at the time. The annuity directly addressed longevity risk, guaranteed income, and legacy-all priorities Gerald articulated. The allocation left what appeared to be a generous liquidity buffer. However, the high all-in cost relative to available alternatives, the lengthy surrender period during a vulnerable life stage, and the failure to stress-test liquidity under plausible adverse scenarios all raise legitimate questions about whether a less expensive or less restrictive product should have been recommended. The harm materialized due to an unforeseeable event, but the question is whether a best-interest process should have accounted for the category of risk (major home expenses) even if the specific event was unpredictable.

Borderline Factors

- Liquid assets outside the annuity exceeded stated near-term needs by a wide margin at time of sale
- All-in annuity cost of 3.12% is above median for comparable products with similar riders
- Seven-year surrender period is long for a recently widowed 62-year-old in life transition
- The annuity product directly addressed all three of the client's stated financial goals
 - Unforeseen roof damage was the proximate cause of the liquidity shortfall, not the annuity recommendation itself
- Advisor documented rationale and client acknowledged surrender terms
- No evidence advisor compared lower-cost or shorter-surrender alternatives
- Client's home was owned outright with no HELOC or other backup liquidity facility in place
- Bridge period to Social Security at age 66 created additional draw on liquid reserves

Likely Outcome

A regulator applying a best-interest standard-particularly under the New York framework-would likely find a partial violation, not for the decision to recommend a variable annuity per se, but for failing to demonstrate that the specific product was superior to reasonably available lower-cost alternatives and for not adequately stress-testing liquidity under foreseeable adverse scenarios. The allocation amount (\$375,000) was arguably defensible given the liquidity cushion, but the absence of documented comparison to less

expensive products with shorter surrender periods would be the primary deficiency. A suitability-only analysis might find the recommendation acceptable given the client profile and liquidity buffer, but the higher best-interest threshold requires affirmative evidence that the advisor considered and ruled out less costly or less restrictive alternatives. The likely regulatory outcome would be a finding of inadequate process and documentation rather than outright mis-selling, potentially resulting in a requirement to make the client whole on the surrender charges incurred and a supervisory action against the advisor's firm for insufficient comparative product analysis procedures.

Borderline Scenario 81

Topic: illiquid_investments | Standard: FINRA Rule 2330 (Suitability requirements specific to variable annuity transactions, including

Fact Pattern

Margaret Chen, age 62, is a recently retired school principal with a state pension providing \$4,800 per month and Social Security benefits she plans to begin collecting at age 67. She has \$620,000 in a traditional IRA, \$85,000 in a taxable brokerage account, \$42,000 in a savings account, and owns her home outright (estimated value \$380,000). She has no debt. Her monthly living expenses are approximately \$5,200, meaning her pension nearly covers her needs with a \$400/month shortfall she draws from savings.

In March 2024, Margaret met with David Kowalski, a financial advisor with dual registrations as both a broker-dealer representative and an insurance agent. Margaret told David she was concerned about outliving her savings, wanted to leave something to her two adult children, and was anxious about stock market volatility after watching her IRA drop 18% in 2022. She also mentioned that her 89-year-old mother was showing signs of cognitive decline and might need assisted living care within the next year, and that Margaret was the primary family member who would coordinate and potentially help fund that care. Margaret estimated the potential cost at \$6,000-\$9,000 per month for her mother, though her mother had approximately \$180,000 in her own savings.

David recommended that Margaret move \$480,000 of her \$620,000 IRA into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The annuity had a 7-year surrender schedule with charges starting at 7% and declining 1% per year, total annual fees of 3.15% (including the 1.10% mortality and expense charge, 0.85% investment management fees across the selected subaccounts, 1.05% GLWB rider charge, and a 0.15% administrative fee). The GLWB guaranteed a 5.25% annual withdrawal rate on a benefit base that would step up annually if markets performed well. David explained that this would guarantee Margaret approximately \$25,200 per year (\$2,100/month) in lifetime income starting at age 65, addressing her longevity concern while still allowing market participation through the subaccounts.

David documented that he discussed the surrender charges, fees, and the illiquid nature of the product. He noted Margaret's risk tolerance as "moderate-conservative" and her time horizon as "long-term (20+ years)." He also documented that Margaret said her mother's care needs were "uncertain" and that her mother "has her own resources." He did not recommend any long-term care insurance or discuss what would happen if Margaret needed to access the \$480,000 during the surrender period for her mother's care or her own emergencies.

Margaret signed all disclosures and acknowledged the surrender schedule in writing. She retained \$140,000 in her IRA invested in a balanced mutual fund, \$85,000 in her brokerage account, and \$42,000 in savings - a total of \$267,000 in liquid assets.

Fourteen months later, in May 2025, Margaret's mother moved into an assisted living facility costing \$8,200 per month. Her mother's \$180,000 in savings was projected to last roughly 22 months. Margaret began supplementing with \$2,000 per month from her own savings and brokerage account. She contacted David concerned that she might need to access the annuity funds within the next two years. David informed her that a surrender at that point would cost her approximately \$28,800 in surrender charges (6% on the amount withdrawn beyond the free withdrawal corridor of 10% annually). Margaret filed a complaint with her state insurance department alleging that the annuity was unsuitable given her foreseeable liquidity needs related to her mother's care.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that David violated applicable standards:

1. Concentration and illiquidity: Allocating \$480,000 (77% of the IRA, 57% of total investable assets) into a product with a 7-year surrender period is aggressive given Margaret's known family circumstances. Under FINRA Rule 2330, a registered representative must make reasonable efforts to obtain information about the customer's financial status and needs, including liquidity needs, before recommending a variable annuity. The NAIC Model Regulation 275 (as revised in 2020 to incorporate a best-interest standard) requires producers to consider reasonably foreseeable outcomes including the consumer's financial situation, insurance needs, and existing assets.
2. Known contingent liquidity need: Margaret explicitly disclosed that her 89-year-old mother might need assisted living care imminently. Even though her mother had her own savings, a reasonable advisor should have modeled scenarios in which those savings were exhausted and Margaret would need to supplement. The mother's \$180,000 at \$8,000/month would last less than two years, making it foreseeable that Margaret would bear costs. This is not a remote contingency - it was a disclosed, near-term, high-probability event.
3. Fee drag: Total annual fees of 3.15% are at the high end for variable annuities. Over a 20-year period, these fees would consume a substantial portion of returns. An alternative lower-cost product - such as a fixed indexed annuity with a GLWB, a deferred income annuity, or a systematic withdrawal plan from a balanced portfolio - may have achieved Margaret's goals at lower cost and with greater liquidity.
4. Inadequate alternatives analysis: David did not document consideration of less illiquid or lower-cost alternatives. Under NY Regulation 187 (applicable if the sale occurred in New York), the producer must consider reasonably available alternatives, and under the NAIC model, the recommendation must reflect the consumer's best interest at the time of the transaction without placing the producer's interest ahead of the consumer's.

5. Compensation motive: Variable annuities typically generate higher commissions (often 5-7%) than alternative products. A \$480,000 VA sale could have generated \$24,000-\$33,600 in upfront compensation, creating a potential conflict.

Arguments that David acted appropriately:

1. Documented suitability process: David documented Margaret's risk tolerance, time horizon, and the discussion of surrender charges. Margaret signed all disclosures and acknowledged the surrender schedule. The documentation reflects that Margaret characterized her mother's care needs as 'uncertain' and noted her mother had her own resources.

2. Retained liquid assets: Margaret retained \$267,000 in liquid or semi-liquid accounts. At the time of the recommendation, her monthly shortfall was only \$400. Even without annuity access, her liquid assets could sustain supplemental payments of \$2,000/month for over 11 years, or handle the mother's care shortfall for a significant period. The 10% free annual withdrawal corridor from the annuity provides an additional ~\$48,000/year of accessible funds without surrender charges.

3. Legitimate longevity and volatility concerns: Margaret's primary stated concern was outliving her savings and market volatility. The GLWB rider directly addresses both concerns by guaranteeing lifetime income regardless of market performance. This is a product designed precisely for someone in Margaret's demographic and risk profile.

4. Long time horizon: Margaret was 62 with a life expectancy of approximately 24 more years. The 7-year surrender period represents less than one-third of her expected remaining life. After the surrender period, the funds become fully liquid.

5. Mother's own resources: At the time of the sale, Margaret's mother had \$180,000 and the care need was prospective, not certain. An advisor cannot be expected to reserve all client assets for every family member's potential needs.

6. Customer autonomy: Margaret was a well-educated professional (school principal) who signed disclosures and had the capacity to understand the product. Regulators generally give weight to informed customer consent.

Why Borderline

This case sits at the intersection of several genuinely contested issues in VA suitability: (1) how much weight an advisor must give to contingent family care obligations that are foreseeable but not certain; (2) whether \$267,000 in liquid reserves plus the 10% free corridor adequately addresses liquidity needs for a client with a near-full pension; (3) whether the 3.15% fee structure is excessive or reasonable for the guarantees provided; and (4) how much responsibility the advisor bears for stress-testing scenarios versus relying on the client's own characterization of her needs. Reasonable compliance officers and arbitration panels have reached different conclusions on similar fact patterns.

Borderline Factors

- Mother's care need was disclosed but characterized by the client as uncertain, creating ambiguity about

whether the advisor should have treated it as a foreseeable liquidity requirement

- The \$267,000 in retained liquid assets plus the 10% annual free withdrawal corridor arguably provides adequate liquidity for several years, though this depends on assumptions about the mother's care costs and duration
- The 77% IRA concentration in a single illiquid product is high, but the client's pension covers most expenses, reducing dependence on the IRA for day-to-day needs
- Total annuity fees of 3.15% are high but not extraordinary for a VA with a GLWB rider, and the guaranteed income feature directly addresses the client's stated primary concern
- The advisor documented the discussion of surrender charges but did not document consideration of alternative products or stress-test the liquidity scenario involving the mother's care
- The client was a sophisticated, educated professional who signed all disclosures, which supports informed consent but does not eliminate the advisor's independent obligation
- Compensation on a \$480,000 VA sale likely exceeded what alternative recommendations would have generated, raising conflict-of-interest questions but not conclusively proving the recommendation was motivated by compensation

Likely Outcome

A state insurance department reviewing this complaint would most likely find a violation, though a narrow one. The key factor is that Margaret explicitly disclosed a near-term contingent liquidity need (her mother's potential assisted living costs) that the advisor failed to adequately incorporate into the recommendation. While David documented the conversation, his notes reflect that he essentially dismissed the concern rather than analyzing it. Under the revised NAIC Model 275 best-interest standard and analogous state requirements, the producer must act in the consumer's best interest at the time of the transaction, which includes considering reasonably foreseeable needs. A regulator would likely conclude that allocating 77% of the IRA to a 7-year surrender product without documenting a stress test of the mother's care scenario or discussing alternatives fell short of this standard. However, the penalty would likely be moderate (supervisory action, additional training, possible restitution of surrender charges) rather than severe, because the underlying product had legitimate suitability characteristics and the client retained meaningful liquid reserves. A FINRA arbitration panel reviewing the same facts under Rule 2330 might be more evenly split, with the outcome potentially depending on how persuasive the client's testimony is regarding what she communicated about her mother's situation versus what was documented.

Borderline Scenario 82

Topic: high_fees_unsuitable | Standard: FINRA Rule 2330 (Variable Annuity Suitability) requires that a registered representative hav

Fact Pattern

In March 2023, financial advisor Denise Kowalski at Pinnacle Financial Group recommended that her client, 58-year-old Martin Engstrom, move \$415,000 from an existing variable annuity into a new variable annuity contract. Martin is a semi-retired civil engineer who still earns approximately \$45,000/year from part-time consulting. He has a \$1.2 million 401(k), a \$180,000 traditional IRA, \$95,000 in a taxable brokerage account, and no outstanding debts. His home is fully paid off. He describes his risk tolerance as 'moderate' and says his primary goal is generating supplemental retirement income starting at age 65, with a secondary desire to leave assets to his two adult children.

Martin's existing variable annuity, purchased in 2017, carried total annual fees of 2.15% (including a 1.25% mortality and expense charge, 0.65% in underlying fund expenses, and a 0.25% administrative fee). It included a guaranteed minimum income benefit (GMIB) rider that would guarantee Martin \$2,480/month beginning at age 67, and it had already passed its surrender charge period. The subaccount allocation was a standard 60/40 equity-bond mix. Over the prior three years, the contract had returned an average of 6.1% annually before fees.

The new variable annuity Denise recommended carried total annual fees of 2.85% (including a 1.40% mortality and expense charge, 0.70% in underlying fund expenses, a 0.25% administrative fee, and a 0.50% enhanced guaranteed lifetime withdrawal benefit rider). The new product offered a guaranteed lifetime withdrawal benefit (GLWB) that would allow Martin to withdraw 5.5% of a benefit base annually starting at age 65 - two years earlier than his existing GMIB - projecting approximately \$2,270/month if no market growth occurred, or potentially \$2,750/month with moderate growth assumptions. The new contract carried a seven-year declining surrender charge schedule starting at 7%. The new product also offered access to a broader menu of 87 subaccount options compared to 34 in the old contract, including several ESG-focused and alternative strategy funds that Martin had expressed interest in during meetings.

Denise documented that Martin specifically asked about retiring earlier than 67 and wanted flexibility to begin drawing income at 65. She also noted Martin's stated interest in ESG investing and his frustration with the limited fund choices in his old contract. Her notes from three meetings reflect discussions about the fee differential, the new surrender period, and the trade-offs between the GMIB and GLWB rider structures. Martin signed an acknowledgment form indicating he understood he was giving up a guaranteed income stream at age 67 and accepting a new surrender period.

However, Martin's daughter later filed a complaint alleging that her father was confused about the differences between the two products, that the 70-basis-point fee increase was never clearly explained in dollar terms, and that the old annuity's GMIB - which guaranteed \$2,480/month at 67 - was more valuable than the new GLWB, which only projected \$2,270/month at 65 under a no-growth scenario. She also alleged that the advisor earned a \$22,000 commission on the replacement, creating a financial incentive to recommend the switch. The daughter noted that her father could have simply waited two additional years and received a higher guaranteed payment, and that the ESG fund interest was casual and not a driving investment priority.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Denise violated applicable standards: The replacement resulted in a 70-basis-point annual fee increase on a \$415,000 contract, translating to roughly \$2,900 per year in additional costs. Over a seven-year surrender period, that is approximately \$20,000+ in incremental fees, closely approximating the advisor's \$22,000 commission - raising concerns about whether the recommendation was driven by compensation rather than client benefit. The client surrendered a GMIB rider guaranteeing \$2,480/month at age 67 and replaced it with a GLWB projecting only \$2,270/month at 65 under a no-growth scenario. On a present-value basis, the guaranteed \$2,480/month at 67 may be more valuable than a projected

\$2,270/month at 65, particularly when you factor in the lower guarantee and the two additional years of compounding the old benefit base would have enjoyed. The new seven-year surrender charge essentially re-locks a 58-year-old client who wanted retirement income flexibility. Furthermore, the daughter's complaint suggests the client may not have fully understood the trade-offs despite the signed acknowledgment, raising questions about the quality of disclosure.

Arguments that Denise acted appropriately: Martin explicitly expressed a desire to begin drawing income at 65, not 67, and the old GMIB rider did not permit income commencement before 67 without forfeiting the guarantee. The GLWB rider in the new contract directly addressed this stated need. If moderate market growth occurs, the new GLWB could deliver \$2,750/month at 65 - exceeding the old guarantee by \$270/month and starting two years earlier. Denise conducted three documented meetings, discussed the fee differential and surrender charges, and obtained a signed acknowledgment. The broader subaccount menu addressed Martin's stated interest in ESG investing. Martin was financially well-situated - the \$415,000 annuity represented roughly 22% of his total investable assets, and he had ample liquidity elsewhere, reducing the practical impact of the new surrender charges. The fee increase, while meaningful, purchased a materially different benefit structure aligned with a changed retirement timeline.

The central tension is whether the tangible benefit of earlier income access and a potentially higher payment under growth scenarios justifies the higher fees, the loss of a known guarantee, and the reimposition of surrender charges - particularly when the advisor had a significant financial incentive to recommend the exchange.

Why Borderline

This case is genuinely ambiguous because the replacement addresses a real, documented client need (earlier income commencement) and the advisor followed meaningful process steps, but the quantitative trade-offs are debatable. The old product's hard guarantee was arguably more valuable on a risk-adjusted basis than the new product's growth-dependent projections, and the fee increase and commission create an unavoidable appearance of conflict. Reasonable compliance professionals could disagree on whether the earlier income access justifies the costs, particularly because the client could have simply waited two years and received a higher guaranteed amount with lower ongoing fees.

Borderline Factors

- 70-basis-point fee increase translating to ~\$2,900/year in additional costs on \$415,000
- Client surrendered a hard GMIB guarantee of \$2,480/month for a GLWB that only projects \$2,270/month under no-growth and requires market appreciation to exceed old guarantee
- New seven-year surrender charge locks up assets for a client approaching retirement age
- \$22,000 advisor commission creates a material conflict of interest
- Client expressly requested earlier income access at 65 rather than 67, which old product could not accommodate
- Three documented meetings with signed acknowledgment discussing trade-offs
- Client's overall financial picture (\$1.2M in 401k, paid-off home, no debt) reduces the relative impact of incremental fees
 - Daughter's complaint suggests client may not have fully understood the exchange despite documentation
- ESG fund access was a secondary interest, raising questions about how much weight it should carry in

the analysis

- Growth-dependent projections of \$2,750/month at 65 could materially exceed old guarantee, but are not certain

Likely Outcome

A regulator would likely conclude this is a close call but would probably find the replacement questionable and potentially in violation, primarily because the quantitative analysis does not clearly favor the new product. The no-growth GLWB benefit is lower than the existing GMIB guarantee, meaning the recommendation only works out if markets cooperate. Regulators generally view the surrender of a known guarantee in favor of a projection skeptically, especially when accompanied by higher fees and a substantial commission. However, the documented process, client-initiated desire for earlier access, and strong overall financial profile would likely mitigate any sanctions. The most probable outcome is a finding of a deficiency in the cost-benefit analysis and documentation of why the replacement materially improved the client's position, rather than a finding of outright fraud or willful misconduct. Remedial measures such as enhanced supervisory review of future replacements would be expected.

Borderline Scenario 83

Topic: high_fees_unsuitable | Standard: FINRA Rule 2330 requires that a member or associated person have a reasonable basis to

Fact Pattern

Margaret Colvin, age 62, is a recently retired school administrator with a \$1.2 million portfolio consisting of \$740,000 in a traditional IRA, \$310,000 in a taxable brokerage account, and \$150,000 in bank CDs. She receives a \$4,200 monthly pension and \$1,100 in Social Security, totaling \$5,300 per month, which covers approximately 85% of her monthly expenses of \$6,200. She has no debt, owns her home outright, and lists her risk tolerance as 'moderate' on her new account form. She tells her advisor, Derek Paulson, that her primary goals are (1) generating an additional \$900-\$1,100 per month in reliable income to cover her expense gap, (2) protecting her portfolio from significant market downturns as she has 'no stomach for another 2008,' and (3) leaving a meaningful inheritance to her two adult children.

Paulson recommends she move \$480,000 from her IRA into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The VA has a mortality and expense charge of 1.35%, an administrative fee of 0.15%, average underlying subaccount expense ratios of 0.82%, and the GLWB rider costs an additional 1.10% annually, bringing the all-in annual cost to approximately 3.42%. The GLWB guarantees a 5.25% withdrawal rate on the benefit base for life beginning at age 65, which would produce approximately \$2,100 per month at that point—well above her stated income gap. The product has a 7-year declining surrender charge schedule starting at 7% in year one.

Paulson documents that the guaranteed income feature addresses Margaret's income gap and downside protection concerns simultaneously, and that the remaining \$260,000 in IRA assets plus the \$310,000 brokerage account and \$150,000 in CDs provide adequate liquidity. He also notes that Margaret expressed strong anxiety about market volatility and that the GLWB provides a 'floor' of income regardless of market performance.

However, Margaret's \$740,000 IRA was previously invested in a diversified portfolio of low-cost index funds with a blended expense ratio of 0.11%. A balanced portfolio of similar index funds generating a 4% systematic withdrawal would have produced roughly the same \$900-\$1,100 monthly income Margaret needs, at dramatically lower cost. Additionally, a simpler immediate annuity from a highly-rated insurer could have guaranteed \$2,400 per month on the same \$480,000 for life, without the layered fee structure. Paulson received a 5.5% commission (\$26,400) on the VA sale, compared to approximately \$0 on the existing index fund portfolio and roughly \$2,400 (0.5%) on a typical immediate annuity. Paulson did consider and document the immediate annuity alternative but noted that it would not allow Margaret to participate in market upside or leave any residual value to her children, whereas the VA's death benefit would preserve some inheritance value. He did not, however, run a side-by-side cost projection showing the cumulative fee drag of the VA versus the index fund portfolio over 10, 20, or 30 years.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Paulson acted appropriately: Margaret explicitly stated she wanted downside protection and could not tolerate another severe market downturn. A systematic withdrawal strategy from an index fund portfolio carries sequence-of-returns risk-if a major downturn occurred early in retirement, Margaret could deplete her portfolio faster than projected, with no guaranteed floor. The GLWB rider directly addresses this risk by guaranteeing lifetime income regardless of market conditions, which is the core value proposition of the product. Paulson documented Margaret's anxiety about volatility and her dual goals of income certainty and inheritance. The VA's death benefit feature provides some residual value to heirs, which an immediate annuity would not. Furthermore, only \$480,000 of the \$1.2 million portfolio was placed in the VA, leaving \$720,000 in liquid, accessible assets-more than sufficient for emergencies, unexpected expenses, and flexibility. Paulson also documented his consideration of the immediate annuity alternative and articulated reasons for preferring the VA.

Arguments that Paulson may have violated applicable standards: The all-in cost of 3.42% annually is extraordinarily high and represents a substantial drag on returns. Over 20 years, fees on the \$480,000 would total roughly \$200,000-\$300,000 depending on performance, dramatically eroding the very inheritance value Paulson cited as a reason to choose the VA over an immediate annuity. A 4% systematic withdrawal from a low-cost balanced index fund portfolio could have met Margaret's income needs at a fraction of the cost. While sequence-of-returns risk is real, it could have been partially mitigated through a smaller allocation to the VA or through a bond/CD ladder strategy for the first several years of withdrawals, combined with equity exposure for growth-at vastly lower cost. The immediate annuity alternative would have provided higher guaranteed income (\$2,400/month vs. \$2,100/month) at a fraction of the cost and commission. Paulson's failure to prepare a side-by-side cumulative cost comparison is a significant omission, as it would have made the fee differential starkly visible to Margaret. The 5.5% commission (\$26,400) versus near-zero compensation on the existing portfolio or \$2,400 on an immediate annuity raises questions about whether the recommendation was influenced by compensation. The 7-year surrender charge period locks up a significant portion of a 62-year-old retiree's assets during a critical early-retirement window.

The central tension is between the genuine insurance value of the GLWB guarantee-which does provide

something a pure investment portfolio cannot-and the disproportionate cost of obtaining that guarantee relative to the client's actual income gap and available alternatives. A \$900/month income gap could arguably be addressed with far less expensive solutions, and the guarantee may be providing more protection than Margaret actually needs given her pension, Social Security, and substantial remaining liquid assets.

Why Borderline

This is genuinely borderline because the VA with GLWB does address the client's explicitly stated concerns about downside protection and lifetime income in a way that pure investment alternatives cannot perfectly replicate. Sequence-of-returns risk is a legitimate and well-documented threat to systematic withdrawal strategies in early retirement. However, the magnitude of the fees relative to the client's modest income gap, the availability of substantially cheaper alternatives that could have addressed most of the same concerns, the significant commission differential, and the absence of a detailed cost comparison all cut the other way. Reasonable practitioners disagree about whether the insurance guarantee embedded in a GLWB justifies a 3.42% annual fee when the client's income shortfall is relatively small and her overall financial picture is strong.

Borderline Factors

- All-in annual fees of 3.42% are high but the GLWB provides genuine insurance value not available through investment-only alternatives
- Client explicitly expressed strong volatility anxiety and desire for guaranteed income, which the VA directly addresses
- A systematic withdrawal from low-cost index funds could meet the same income need at dramatically lower cost but carries sequence-of-returns risk the VA eliminates
- An immediate annuity would have provided higher guaranteed income at lower cost but without market upside or death benefit-advisor documented this tradeoff
- Commission differential (\$26,400 on VA vs. near-zero on existing portfolio) raises conflict questions but does not alone establish a violation
- Only 40% of total portfolio placed in VA, with substantial remaining liquidity-reasonable asset allocation argument
- Advisor failed to prepare a side-by-side cumulative cost projection, which is a documentation gap but not necessarily dispositive
- 7-year surrender charge period restricts access to funds during early retirement years, though remaining liquid assets are substantial
- Client's income gap of \$900/month is modest relative to the \$480,000 committed to the VA-arguably over-insured for the risk

Likely Outcome

A regulator would likely find this to be a close case but would probably conclude that the recommendation, while not clearly unsuitable on its face, failed to adequately demonstrate that the high-cost VA was in the client's best interest when materially cheaper alternatives could have substantially met her needs. The failure to prepare a side-by-side cost comparison would be viewed as a significant process deficiency. The large commission differential would be treated as an aggravating factor requiring heightened justification. A regulator applying a best-interest standard would likely find a violation, reasoning that while the GLWB provides genuine value, the advisor did not sufficiently demonstrate why a 3.42% annual cost structure was

warranted over a combination of lower-cost alternatives (such as a partial immediate annuity for baseline guaranteed income plus low-cost index funds for growth and inheritance). Under a traditional suitability standard alone, the outcome is less certain, as the product does have a reasonable basis given the client's stated preferences. The most likely regulatory result is a finding of inadequate process and documentation rather than outright mis-selling, potentially resulting in enhanced supervision or a modest fine rather than disgorgement.

Borderline Scenario 84

Topic: *senior_investor_exploitation* | Standard: *FINRA Rule 2330 (variable annuity suitability and supervision, including specific requirements)*

Fact Pattern

Margaret Thornton, age 74, is a retired schoolteacher living in Syracuse, New York, with an annual pension income of \$52,000 and Social Security benefits of \$28,400. She has \$410,000 in total liquid assets: \$185,000 in a bank money market account, \$125,000 in an existing variable annuity she purchased in 2014 (which is now past its seven-year surrender period), and \$100,000 in a taxable brokerage account holding a mix of dividend-paying stocks and short-term bond funds. She owns her home outright, valued at approximately \$280,000, and has no outstanding debts. Her health is generally good for her age, though she takes medication for mild hypertension and mild arthritis. She has two adult children, both financially independent, and has expressed a desire to leave assets to her grandchildren.

Her financial advisor, Derek Pullman, age 38, has been her advisor for six years. In March 2023, during an annual review meeting, Pullman recommended that Margaret surrender her existing variable annuity - which had grown to \$138,000 from the original \$125,000 investment and carried annual fees of approximately 2.85% (including a mortality and expense charge of 1.10%, an administrative fee of 0.15%, underlying fund expenses averaging 0.72%, and a guaranteed minimum income benefit rider costing 0.88%) - and replace it with a new variable annuity from a different carrier. The proposed new contract had a seven-year surrender schedule starting at 7% and declining by 1% annually, annual all-in fees of approximately 2.35% (mortality and expense of 0.95%, administrative fee of 0.10%, underlying fund expenses averaging 0.65%, and a guaranteed lifetime withdrawal benefit rider at 0.65%), and offered a 5% bonus credit on the initial premium.

Pullman documented in his notes that the replacement was motivated by several factors: the new contract's lower total annual expense ratio (saving Margaret roughly \$690 per year on a \$138,000 investment), the 5% premium bonus (\$6,900 credit), access to a broader and more modern investment lineup including several low-cost index sub-accounts, and a guaranteed lifetime withdrawal benefit that Margaret could activate at age 80, providing a guaranteed 5.25% annual withdrawal rate on a benefit base that would grow at 6% simple interest during the deferral period. Pullman noted that Margaret had expressed anxiety about outliving her savings, particularly if she needed long-term care, and that the new rider's withdrawal guarantee could supplement her pension and Social Security.

However, several complicating factors exist. Margaret would be locked into a new seven-year surrender period, meaning she could not access the full \$138,000 without penalty until she was 81 years old. While

her existing annuity was fully liquid, the new contract would impose a 7% surrender charge (\$9,660) if she needed to withdraw beyond the 10% annual free withdrawal provision in the first year. Pullman earned a 5.5% commission (\$7,590) on the new contract, compared to trailing compensation of 0.25% (\$345 per year) on the existing contract. The old annuity's guaranteed minimum income benefit, which Margaret had been paying 0.88% annually for since 2014, was never activated and would be forfeited upon surrender; however, because the account value exceeded the benefit base (which was calculated without the market gains of 2020-2021 factored into the roll-up), the rider was effectively underwater and provided no current economic value.

Margaret's daughter, Patricia, later filed a complaint alleging that her mother did not fully understand that she was entering a new surrender period, that the commission motivated the recommendation, and that at 74, her mother should not be placed in a product she cannot fully access without penalty until age 81. Patricia also noted that her mother mentioned being confused about the difference between the 'bonus' and the surrender charges, and that she believed the 5% bonus was essentially 'free money.' Pullman's firm's compliance department had reviewed and approved the replacement paperwork before the transaction was processed, and Margaret signed all required replacement disclosure forms, including a side-by-side comparison of the old and new contracts' fees, surrender charges, and benefits.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Pullman violated applicable standards: Margaret is 74 years old and would be locked into a new seven-year surrender period extending to age 81, which is a significant liquidity constraint for a senior investor. The commission differential is striking - Pullman moved from earning \$345 per year in trails to a one-time \$7,590 commission, creating a substantial financial incentive that could cloud judgment. The 5% bonus credit (\$6,900) is largely offset by the new surrender charges and the time value of money during the new lock-up period; academic literature and regulatory guidance consistently warn that premium bonuses frequently serve as a sales tool that obscures net economic impact on the customer. Margaret's apparent confusion about the bonus versus surrender charges suggests the transaction may not have been adequately understood, raising questions about whether informed consent was truly obtained. Additionally, at 74 with \$410,000 in total liquid assets, the guaranteed lifetime withdrawal benefit that doesn't activate until age 80 requires a six-year deferral - during which Margaret is paying 0.65% annually for a benefit she cannot use, comparable to the rider she was already paying for and never activated on the old contract.

Arguments that Pullman acted appropriately: The replacement objectively reduces Margaret's annual expenses by approximately 50 basis points, saving roughly \$690 per year, which over a 10-year horizon amounts to nearly \$6,900 in fee savings alone - essentially matching the bonus credit as an additional economic benefit. The old annuity's guaranteed minimum income benefit rider was underwater and provided no economic value, meaning Margaret was paying 0.88% per year (\$1,214 annually) for a worthless benefit; eliminating this waste alone justifies scrutiny of the existing contract. The new contract's lifetime withdrawal benefit, with its 6% simple interest roll-up and 5.25% withdrawal rate at age 80, could provide Margaret with a meaningful guaranteed income stream of approximately \$11,500-\$12,000 annually starting at 80, directly addressing her stated concern about outliving her assets. Margaret retains \$285,000 in other liquid assets (\$185,000 money market plus \$100,000 brokerage account) plus \$80,400 in annual

guaranteed income from pension and Social Security, meaning the \$138,000 in the new annuity represents only about 33% of her liquid net worth and her liquidity needs are well-covered even with the new surrender period. The 10% annual free withdrawal provision provides access to approximately \$13,800 per year without penalty. Compliance reviewed and approved the transaction, and Margaret signed detailed side-by-side comparison disclosures. The old contract was past its surrender period, and without replacement, Margaret would have continued paying for a worthless rider indefinitely.

Under New York's enhanced standards for annuity transactions, which apply a best-interest standard to recommendations involving annuity products, the advisor must demonstrate that the recommendation is in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, and financial objectives. Under FINRA Rule 2330, firms must have procedures for reviewing replacement transactions involving variable annuities, with particular scrutiny of whether the customer would be subject to a new surrender period, lose existing benefits, and whether the transaction generates new compensation for the advisor. The NAIC Model Regulation 275, as adopted in many states, requires that replacement transactions be suitable and that the producing agent have reasonable grounds for believing the replacement is in the customer's interest after considering factors including surrender charges, loss of benefits, and the agent's compensation. Under Regulation Best Interest (Rule 15l-1), the advisor must satisfy the care obligation by exercising reasonable diligence, care, and skill in making the recommendation, considering reasonably available alternatives.

Why Borderline

This case presents genuine tension between measurable economic benefits of the replacement (lower fees, elimination of a worthless rider, access to a potentially valuable new guaranteed withdrawal benefit, premium bonus) and legitimate concerns about senior investor protection (new seven-year surrender period extending to age 81, large upfront commission incentive, customer confusion about bonus economics, deferral of benefit activation). Reasonable regulators could disagree because the quantitative analysis arguably favors the replacement while the qualitative and behavioral factors - a 74-year-old entering a long surrender period she may not fully understand, motivated by a 'bonus' she perceives as free money - cut against it. The fact that compliance pre-approved the transaction and that Margaret has substantial outside liquidity further complicates the analysis.

Borderline Factors

- Client is 74 and would not exit the new surrender period until age 81, but has substantial outside liquidity (\$285,000) and guaranteed income (\$80,400/year) that reduce the practical impact of the surrender restriction
- Commission differential is large (\$7,590 upfront vs. \$345/year trailing) creating a conflict, but the replacement produces objectively lower annual costs and eliminates an economically worthless rider
- The 5% premium bonus is often criticized as a misleading sales inducement, but in this case the fee savings and rider replacement independently support the economic case for the switch
- Margaret expressed confusion about the bonus versus surrender charges, suggesting possible lack of informed consent, but she signed detailed side-by-side comparison disclosures and the firm's compliance department reviewed the transaction
- The new guaranteed lifetime withdrawal benefit does not activate for six years, meaning Margaret pays for a benefit she cannot use until 80, mirroring the pattern with her old unused rider - though the new rider has a clear activation plan tied to her stated longevity concern

- The old annuity's rider was underwater and being paid for with no economic value, meaning the status quo also carried ongoing economic harm to the client

Likely Outcome

A regulator would likely find this to be a close case but would probably not sustain a violation, provided the advisor can demonstrate thorough documentation of the rationale, that the side-by-side cost comparison was clearly presented, and that Margaret's overall financial profile was considered. The quantitative case for the replacement is defensible: lower ongoing fees, elimination of a worthless rider costing \$1,214/year, a meaningful premium bonus, and a new guaranteed income benefit aligned with her stated objectives. Margaret's substantial outside liquidity and guaranteed income mitigate the surrender period concern. However, a New York regulator applying the state's enhanced annuity standard might scrutinize more heavily the customer confusion issue and the commission incentive, and could require the advisor to demonstrate that he considered alternatives such as simply dropping the old rider (if contractually possible) or using a lower-cost product without a surrender period. If the advisor cannot show he evaluated reasonably available alternatives - such as a fee-based advisory annuity, a fixed indexed annuity without a surrender charge, or simply repositioning within the existing contract - a regulator might find a technical violation of the care component. The most likely outcome is a supervisory letter or enhanced documentation requirement rather than a finding of outright mis-selling.

Borderline Scenario 85

Topic: high_fees_unsuitable | Standard: FINRA Rule 2330 (variable annuity suitability, requiring reasonable basis that the customer

Fact Pattern

Margaret Dunleavy, age 62, is a recently retired school administrator with a \$1.35 million retirement portfolio consisting of \$780,000 in a 403(b) plan, \$320,000 in a traditional IRA invested in a diversified mix of index funds with a combined expense ratio of 0.12%, and \$250,000 in a taxable brokerage account. Her annual pension from the school district is \$68,000, and she expects Social Security benefits of approximately \$2,400 per month starting at age 67. She has no debt, owns her home outright, and describes herself as moderately conservative. She told her advisor, Kevin Broderick, that her two primary goals are (1) generating supplemental income of roughly \$1,500 per month beginning in three years when she plans to travel extensively, and (2) leaving a meaningful inheritance to her two grandchildren.

In March 2023, Broderick recommended she transfer the entire \$320,000 IRA into a variable annuity issued by a nationally rated A+ carrier. The product features an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, and underlying subaccount expenses averaging 0.82%, bringing total annual costs to approximately 2.32%. Broderick also recommended she add a guaranteed minimum income benefit (GMIB) rider at an additional annual cost of 0.95%, and a guaranteed minimum death benefit (GMDB) rider at 0.55%, bringing total all-in annual costs to approximately 3.82%. Broderick earned a 5.5% commission on the sale, totaling \$17,600. The contract carries a seven-year surrender charge schedule starting at 8% and declining by 1% per year.

Broderick documented that the GMIB rider would guarantee a minimum income stream beginning at age 65 regardless of market performance, directly addressing Margaret's desire for predictable supplemental

income. He further noted that the GMDB rider would ensure her grandchildren would receive at least the amount invested even if the market declined, addressing her legacy goal. He prepared a side-by-side illustration showing that if the subaccounts returned 6% annually before fees, her account value at age 72 would be approximately \$312,000 after all charges, compared to roughly \$480,000 if the IRA remained in index funds at the same gross return. However, the illustration also showed the guaranteed income stream from the GMIB would provide \$1,620 per month starting at age 65, which slightly exceeds her stated income goal, and this amount was guaranteed regardless of market conditions.

Margaret signed all disclosure documents, including an explicit acknowledgment of the fee differential and the surrender charge schedule. She initialed a statement confirming she understood the product was more expensive than her current holdings. Broderick's notes from the meeting also reflect that Margaret expressed significant anxiety about a repeat of her 2008-2009 experience, during which her retirement accounts lost over 35% and she 'never wanted to feel that way again.' She mentioned that her late husband had died during that market downturn and the financial stress compounded her grief.

Margaret's daughter, who holds a CFA designation, later reviewed the transaction and filed a complaint, arguing that the 3.82% annual drag made the product fundamentally unsuitable, that the income need could have been met with a simple systematic withdrawal plan from low-cost index funds or a single premium immediate annuity costing a fraction of the fees, and that the death benefit rider was redundant given that Margaret's other assets already provided a sufficient legacy. The daughter also pointed out that less expensive variable annuity products with similar guarantees were available from competing carriers at total costs closer to 2.5%.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Broderick violated applicable standards: The total annual cost of 3.82% is exceptionally high and creates enormous performance drag. Over a ten-year period at a 6% gross return, the fee differential between the VA and the existing index fund portfolio could cost Margaret approximately \$168,000 in forgone account growth. Less expensive alternatives - including lower-cost variable annuities with comparable guarantee riders, single premium immediate annuities, or structured systematic withdrawal strategies - could have addressed both the income and legacy goals at substantially lower cost. The existence of cheaper VA products with similar guarantees suggests Broderick did not adequately consider reasonably available alternatives, a core component of the best-interest framework under the revised Model #275 and parallel broker-dealer obligations. The 5.5% commission creates a significant financial incentive that could have influenced the recommendation. Furthermore, the GMDB rider may be partially redundant given Margaret's other substantial assets (\$780,000 in the 403(b) plus \$250,000 in taxable accounts) that could serve legacy purposes, raising questions about whether both riders were genuinely necessary.

Arguments that Broderick acted appropriately: Margaret had a clearly articulated, deeply emotional need for downside protection rooted in a traumatic personal experience during the 2008-2009 financial crisis. The GMIB rider directly and precisely addressed her stated income goal, providing \$1,620/month guaranteed - slightly above her \$1,500 target - regardless of market conditions. This is a qualitatively different value proposition than a systematic withdrawal plan, which carries sequence-of-returns risk, or even a SPIA,

which would not allow her to participate in potential market upside. Broderick documented the client's risk aversion extensively and obtained explicit written acknowledgment of the fee differential. The recommendation involved only \$320,000 of a \$1.35 million portfolio (roughly 24%), leaving the vast majority of her assets in lower-cost vehicles. The carrier's A+ rating supports the reliability of the guarantees. Margaret's behavioral finance profile - a widow who experienced compounding financial and emotional trauma during a severe downturn - suggests that the psychological value of a guarantee may be worth the cost premium, and academic literature on annuity decision-making recognizes that utility from guaranteed income can exceed what pure cost-benefit analysis captures. The death benefit rider, while arguably less essential, does provide certainty that the specific \$320,000 earmarked for grandchildren would be preserved dollar-for-dollar even in a catastrophic market scenario, which may carry emotional significance beyond its financial necessity.

Under FINRA Rule 2330, the advisor must have a reasonable basis to believe the customer would benefit from certain features of a variable annuity, that the particular annuity is suitable, and in a replacement context, that the transaction is suitable considering surrender charges and new fees. Under the revised NAIC Model #275, the standard has been elevated to a best-interest obligation requiring the advisor to act in the consumer's best interest without placing the advisor's financial interest ahead of the consumer's interest. New York Regulation 187 imposes a similarly heightened best-interest standard for annuity transactions. SEC Regulation Best Interest (Rule 15l-1) requires broker-dealers to act in the retail customer's best interest and specifically requires consideration of reasonably available alternatives, cost, and the advisor's financial conflicts.

The critical question is whether the availability of comparable but materially cheaper VA products transforms an otherwise defensible recommendation into one that fails the best-interest test. If Broderick could demonstrate that the specific product features, carrier strength, rider terms, or subaccount options of the recommended VA were meaningfully superior to cheaper alternatives, the recommendation might survive scrutiny. If the products are substantially interchangeable and the primary differentiator is the commission paid to Broderick, the recommendation becomes much more difficult to defend.

Why Borderline

This scenario is genuinely ambiguous because the product type (variable annuity with guarantee riders) plausibly addresses the client's clearly articulated and well-documented needs - guaranteed income and legacy protection in the face of deep-seated market anxiety rooted in personal trauma. The recommendation involves only a portion of the client's total portfolio, and the client gave informed, documented consent to the fee structure. However, the total cost is extremely high even by VA standards, cheaper alternatives with comparable guarantees existed, the commission was substantial, and the death benefit rider's necessity is questionable given other assets. The tension between behavioral suitability (meeting emotional and psychological needs) and economic suitability (cost efficiency) is at the heart of the gray zone.

Borderline Factors

- Total all-in cost of 3.82% is high but not unprecedented for a VA with dual guarantee riders
- Client's documented psychological trauma from 2008-2009 provides genuine behavioral justification for guaranteed features
- Cheaper comparable VA products existed at approximately 2.5% all-in, raising questions about whether

this specific product was in the client's best interest

- Recommendation covered only 24% of total portfolio, leaving majority in low-cost vehicles
- 5.5% commission creates material financial conflict but is within industry norms for this product type
- GMDB rider arguably redundant given other assets available for legacy purposes
- Client provided explicit written acknowledgment of fee differential and surrender charges
- GMIB rider precisely addresses stated income goal with guaranteed floor that systematic withdrawal cannot replicate
- Academic research supports both sides: VA mis-selling is well-documented, but behavioral finance literature validates the welfare-enhancing value of guarantees for loss-averse individuals

Likely Outcome

A regulator would most likely find a partial violation, particularly under the heightened best-interest standards now prevailing in most jurisdictions. While the product type was defensible given the client's profile and documented emotional needs, the failure to recommend a comparable but materially less expensive variable annuity product - and the addition of the arguably redundant GMDB rider - would likely be viewed as placing the advisor's financial interest ahead of the customer's interest. A regulator applying the revised Model #275 or Reg BI would likely focus on the care obligation's requirement to consider reasonably available alternatives and conclude that Broderick did not adequately justify why this particular, more expensive product was superior to cheaper options with similar guarantees. The most likely regulatory outcome would be a finding of violation with respect to the specific product selection and the GMDB rider, with possible mitigation credited for the thorough documentation, the partial-portfolio approach, and the genuine alignment of the GMIB rider with the client's stated needs. Remedial measures might include fee-based restitution of the cost differential rather than full rescission.

Borderline Scenario 86

Topic: senior_investor_exploitation | Standard: FINRA Rule 2330 (variable annuity suitability); NAIC Model Regulation 275 (Suitability)

Fact Pattern

Margaret Hollings, age 74, retired school administrator, met with her financial advisor David Crane in March 2023 at a seminar hosted at a local restaurant in Syracuse, New York. Margaret had recently lost her husband of 48 years and received a \$410,000 life insurance death benefit. She also held \$185,000 in certificates of deposit, received \$2,800 per month in pension income, \$1,950 per month in Social Security, and owned her home free and clear (appraised at \$290,000). Her annual living expenses were approximately \$48,000. She had no long-term care insurance and a family history of dementia - her mother had been diagnosed at age 79. Margaret described herself as moderately conservative and said she wanted 'safety and income' but also wanted to 'leave something meaningful' to her three grandchildren for college. She stated she did not want to outlive her money. David had known Margaret socially through her late husband for about six years. During three meetings over the following two weeks - one at his office, one at her home, and one over the phone - David recommended she place \$310,000 into a variable annuity with a guaranteed minimum income benefit rider and a guaranteed minimum death benefit rider. The product had a 7-year surrender period with a declining surrender charge starting at 7% in year one. Total annual fees including the mortality and expense charge, administrative fees, underlying fund expenses, and both rider charges came to approximately 3.45% per year. The GMIB rider would allow Margaret to begin

guaranteed lifetime withdrawals of approximately \$15,500 per year starting at age 79 if the account value declined, and the death benefit rider would lock in the higher of the account value at each anniversary or total premiums paid, passing to her grandchildren. David allocated the subaccounts 55% to a balanced fund, 30% to a bond fund, and 15% to a large-cap equity index fund. He documented that Margaret's goals were income protection, legacy planning, and moderate growth, and noted her tax bracket was low (12%). He also documented that Margaret had previously held a fixed annuity for six years that had matured and paid out \$62,000 two years earlier, suggesting some familiarity with annuity products. The remaining \$100,000 of the death benefit was placed in a money market account for emergencies. Margaret signed all disclosures, including the surrender schedule and fee summary, and initialed a statement that she understood the product's liquidity constraints. Fourteen months later, Margaret's daughter, a CPA in Albany, reviewed her mother's finances and filed a complaint. The daughter argued that the 3.45% annual fee was excessive, that the surrender period was inappropriate for a 74-year-old, that the \$185,000 in CDs plus the \$100,000 in money market already provided sufficient liquidity and safety, making the VA unnecessary, and that a simple balanced mutual fund portfolio or fixed indexed annuity with lower costs could have achieved the same goals. The daughter also noted that Margaret had begun showing early signs of mild cognitive decline by late 2023 and questioned whether she fully understood the product at the time of purchase. David's firm countered that at the time of sale Margaret was alert and engaged, that she specifically asked about guarantees, that her pension and Social Security covered her living expenses with a surplus, that the GMIB and death benefit riders addressed her stated goals of income security and legacy, that the \$100,000 emergency reserve plus \$185,000 in CDs provided ample liquidity outside the annuity, and that a fixed indexed annuity would not have offered the same upside potential or death benefit lock-in features. David's notes from the meetings were detailed and contemporaneous. The firm also produced a comparison worksheet David had prepared showing the VA alongside a fixed indexed annuity and a managed portfolio, with pros and cons of each. Margaret had signed the worksheet acknowledging she reviewed all three options.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario implicates multiple overlapping regulatory frameworks governing annuity recommendations to senior investors. Under FINRA Rule 2330, a member or associated person must have a reasonable basis to believe that (a) the customer has been informed of the product's features including surrender charges and fees, (b) the customer would benefit from the annuity's features such as tax-deferral, annuitization, or death/living benefit riders, (c) the specific annuity is suitable considering the customer's age, income, financial situation, risk tolerance, liquidity needs, and stated objectives, and (d) any exchange or replacement meets the same standards. Here, several factors support the recommendation: Margaret had substantial liquidity outside the VA (\$285,000 in CDs and money market), her pension and Social Security exceeded her living expenses by approximately \$9,000 annually, the GMIB rider addressed her expressed concern about not outliving her money, the death benefit rider addressed her legacy goals, and she had prior annuity experience. David documented the recommendation process thoroughly, prepared a comparison of alternatives, and maintained \$100,000 in readily accessible funds. Under NAIC Model Regulation 275, an insurance producer must have reasonable grounds to believe the recommendation is suitable based on facts disclosed by the consumer regarding investments, insurance products, financial situation, needs, and objectives. The 2020 amendments to Model 275 further require that recommendations

be in the consumer's best interest, meaning the producer must act without placing their financial interest ahead of the consumer's. The detailed comparison worksheet and contemporaneous notes suggest David engaged in a meaningful process. However, arguments against the recommendation are also substantial. NY Regulation 187, effective for annuities since August 1, 2019, imposes a best-interest standard that requires producers to consider reasonably available alternatives. The 3.45% all-in annual cost is high, particularly for a 74-year-old whose moderate growth objectives might have been met with lower-cost alternatives. The 7-year surrender period means Margaret would be 81 before the charges expire, raising concerns about access to funds during a period when healthcare needs often escalate - especially given her family history of dementia. While she had outside liquidity, a \$310,000 commitment with declining surrender charges is significant relative to her total liquid assets. A fixed indexed annuity with an income rider might have provided comparable downside protection and income guarantees at substantially lower cost, though without the same equity upside or death benefit structure. The cognitive decline issue is particularly nuanced: if Margaret was competent at the time of sale - and David's contemporaneous notes suggest she was - the subsequent onset of cognitive symptoms does not retroactively invalidate the transaction, though it may inform a regulator's view of whether David should have been more cautious given her age and family history. Under Reg BI (Rule 15l-1), applicable if David's firm is a broker-dealer, the care obligation requires that the advisor exercise reasonable diligence, care, and skill in making a recommendation, consider reasonably available alternatives, and not place their own financial interest ahead of the customer's. The existence of the comparison worksheet is strong evidence of alternative consideration, but a regulator might question whether the comparison was genuinely balanced or designed to steer toward the higher-commission VA product. The compensation differential between the VA and the alternatives would be relevant to this analysis.

Why Borderline

This scenario is genuinely ambiguous because the advisor followed a thorough documentation process, the client had ample outside liquidity, the product features directly addressed her stated goals, and she had prior annuity experience - yet the high all-in cost, lengthy surrender period relative to her age, availability of lower-cost alternatives that could partially meet the same objectives, the family history of dementia, and the inherent tension between a 74-year-old's likely time horizon and a 7-year surrender schedule all create legitimate regulatory concern. Reasonable regulators could disagree on whether the rider benefits justified the cost differential over simpler alternatives.

Borderline Factors

- Client age of 74 with a 7-year surrender period extending to age 81, when healthcare and cognitive needs may increase
- High all-in annual cost of 3.45% versus potentially lower-cost alternatives that could partially address the same goals
- Family history of dementia raising questions about whether a more conservative and liquid approach was warranted, even though client appeared competent at sale
- Substantial outside liquidity (\$285,000) that arguably made the illiquidity of the VA acceptable
- Pension and Social Security income exceeding living expenses, reducing the urgency of the GMIB rider
- Thorough documentation including contemporaneous notes, signed disclosures, and a comparison worksheet showing three alternatives
- Client's expressed dual goals of income protection and legacy that specifically align with the VA's GMIB and death benefit riders

- Prior annuity experience suggesting client familiarity with similar products and their constraints
 - Potential compensation differential between the VA recommendation and lower-cost alternatives, creating a conflict of interest question
 - NY best-interest standard requiring consideration of reasonably available alternatives, not merely suitability

Likely Outcome

A regulator would likely view this as a close case but would probably not find a clear violation, particularly under a traditional suitability framework. Under the heightened NY Regulation 187 best-interest standard, however, there is a meaningful risk of an adverse finding. The regulator would likely credit the thorough documentation, comparison analysis, and the product's alignment with stated goals, but would scrutinize the cost differential closely and question whether the GMIB rider provided sufficient marginal value over a fixed indexed annuity given the client's existing income surplus. The most probable outcome is a supervisory letter or enhanced supervision recommendation rather than a formal enforcement action, with the firm potentially required to demonstrate that its product comparison process adequately weighted cost considerations for senior investors. If the compensation on the VA was substantially higher than on the alternatives shown in the comparison, the likelihood of an adverse finding increases significantly.

Borderline Scenario 87

Topic: senior_investor_exploitation | Standard: FINRA Rule 2330 (Variable Annuity Suitability): Requires a registered principal to rev

Fact Pattern

Margaret Thornton, age 74, is a retired school principal living in suburban Ohio. She has \$1.2 million in total liquid assets: \$480,000 in a traditional IRA rollover, \$320,000 in a brokerage account of mostly blue-chip equities, \$260,000 in bank CDs and money market funds, and \$140,000 in a fixed annuity paying 3.1% that was purchased eight years ago and is past its surrender period. Margaret receives \$3,400 per month in Social Security, \$2,100 per month from a state teacher's pension, and approximately \$900 per month in interest and dividend income. Her monthly expenses are roughly \$4,800. She is in good health, takes no expensive medications, and her family has a history of longevity - her mother lived to 97 and her father to 91. She has two adult children, both financially independent, and she has expressed a desire to leave a meaningful inheritance while also ensuring she never runs out of money.

In March 2023, her financial advisor, Kevin Driscoll (age 42, 16 years of industry experience, Series 6 and 63 licensed, insurance-licensed in Ohio), recommended that Margaret surrender her existing \$140,000 fixed annuity and use those proceeds, combined with \$210,000 from her CD and money market holdings, to purchase a \$350,000 variable annuity with a guaranteed minimum income benefit (GMIB) rider and a guaranteed minimum death benefit (GMDB) rider. The VA had an all-in annual expense ratio of 3.42% (mortality and expense charge of 1.25%, administrative fee of 0.15%, average underlying subaccount expense of 0.82%, GMIB rider fee of 1.00%, and GMDB rider fee of 0.20%). The surrender schedule ran seven years with a declining charge starting at 7% in year one. The GMIB rider could not be exercised until a 10-year waiting period elapsed, at which point Margaret would be 84.

Kevin documented that the recommendation was driven by Margaret's expressed concern about outliving

her assets, the longevity in her family history, the desire for some market participation with downside protection through the GMIB, and the estate-planning benefit of the GMDB for her children. He noted that her pension and Social Security already covered her core living expenses and that the \$350,000 represented approximately 29% of her liquid net worth, leaving her \$850,000 in other accessible assets. He also documented that Margaret had moderate risk tolerance based on a risk questionnaire she completed, and that she understood the surrender period and the 10-year GMIB waiting period.

Margaret's daughter, who holds a CPA license, later reviewed the paperwork and filed a complaint with Kevin's broker-dealer. The daughter argued that: (1) her mother did not need income from the GMIB since her pension and Social Security already exceeded her expenses by over \$1,600 per month; (2) the 3.42% total annual cost was excessive and would likely erode returns to the point where the guarantees would be the only source of value; (3) surrendering a 3.1% fixed annuity that was past surrender to buy a new product with a 7-year surrender schedule was a disadvantageous replacement; (4) at age 74, a 10-year waiting period for the GMIB was unreasonable; and (5) Kevin earned a 5.5% commission (\$19,250) on the sale, creating a conflict of interest.

Kevin's broker-dealer conducted an internal review. Kevin responded that Margaret was in excellent health with strong longevity prospects, that the GMIB was a hedge against the risk of living well into her 90s when her other assets might be depleted, that the GMDB provided tax-advantaged wealth transfer, that the old fixed annuity's 3.1% rate was below current inflation and offered no growth potential, and that the VA subaccounts gave Margaret equity exposure she wanted but with a guaranteed floor. He also noted that Margaret had signed all disclosure forms, including a replacement disclosure comparing the old and new products, and had a 20-day free-look period during which she did not cancel.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Kevin violated applicable standards: The 3.42% all-in expense ratio is substantially above average and creates a significant drag on performance, meaning the VA's subaccounts would need to consistently outperform their benchmarks by a wide margin just to match lower-cost alternatives. The replacement of a fixed annuity that had already passed its surrender period with a new product carrying a 7-year surrender charge is a classic red flag in annuity replacement examinations. The GMIB's 10-year waiting period means Margaret would be 84 before she could exercise the benefit, and actuarial tables suggest a non-trivial probability she may not reach that age or may face cognitive decline making it difficult to navigate the annuitization decision. The daughter's point about the income gap is well-taken: Margaret already has a \$1,600/month surplus from guaranteed income sources, and her remaining \$850,000 in liquid assets provides substantial additional cushion, raising legitimate questions about why she needs another guaranteed income stream at high cost. Kevin's \$19,250 commission, while not dispositive, adds to the inference that the recommendation may have been driven more by compensation than by Margaret's needs. Under the NAIC Model 275 framework and analogous state standards, the advisor must have reasonable grounds to believe the replacement is suitable and in the consumer's interest, and the high cost, long surrender period, and questionable need for the GMIB all weigh against that conclusion.

Arguments that Kevin acted within acceptable bounds: Margaret's family longevity history is genuinely

exceptional and distinguishes her from a typical 74-year-old. If she lives to 95, the GMIB could provide meaningful income protection during the final decade of her life when her other assets may have been drawn down by inflation, healthcare costs, or market downturns. The 29% allocation to the VA leaves 71% of her liquid assets fully accessible, which mitigates liquidity concerns. The old fixed annuity at 3.1% was indeed underperforming inflation (CPI was approximately 5-6% at the time of the recommendation in early 2023), and the VA offered both equity upside and a guaranteed floor - a combination the fixed annuity could not provide. Kevin thoroughly documented the rationale and Margaret signed replacement comparison forms and had a free-look period. The GMDB also addresses Margaret's stated estate-planning goal by providing a death benefit that steps up and passes outside probate. Under a totality-of-circumstances analysis, an advisor could reasonably conclude that this product served Margaret's dual objectives of longevity protection and legacy planning, and that the costs were the price of the guarantees she valued.

The tension between these positions is real. Regulators have historically scrutinized VA replacements involving seniors, long surrender periods, and high costs. However, blanket prohibitions on VA sales to seniors do not exist, and the specific facts - excellent health, strong longevity indicators, surplus income, substantial remaining liquidity, and documented informed consent - provide meaningful counterarguments.

Why Borderline

This scenario sits in a genuine gray zone because the customer profile contains competing signals. On one hand, she is 74, making the 10-year GMIB waiting period and 7-year surrender schedule potentially problematic; the costs are high; the replacement of a surrender-free product is facially suspect; and she arguably doesn't need more guaranteed income. On the other hand, she is in excellent health with exceptional family longevity, has substantial remaining liquidity, expressed specific goals that the product addresses (longevity protection and legacy), has income that already covers expenses (meaning the VA money is not needed short-term), and was fully informed. Reasonable compliance officers and regulators could look at identical facts and reach different conclusions about whether the recommendation crossed the line from aggressive-but-defensible to unsuitable.

Borderline Factors

- Customer age (74) combined with exceptional family longevity history and documented good health status
 - 10-year GMIB waiting period relative to customer's age - potentially valuable if she lives to 90s, potentially worthless if health declines
 - 3.42% all-in expense ratio is high but includes rider fees for guarantees the customer specifically sought
 - Replacement of a surrender-free fixed annuity with a new 7-year surrender product - classic replacement red flag but old product's 3.1% rate was below inflation
- Customer already has \$1,600/month income surplus - arguably doesn't need GMIB, but longevity risk is a legitimate 15-20 year concern
 - 29% of liquid assets in the VA leaves 71% accessible - mitigates but does not eliminate concentration and liquidity concerns
 - \$19,250 commission creates conflict but is standard for the product and does not alone establish unsuitability
- Thorough documentation and signed disclosures support informed consent but do not cure an unsuitable recommendation
 - Daughter's CPA expertise raises question of whether family was consulted before sale, which could

indicate isolation or transparency

Likely Outcome

A regulator would most likely find the recommendation to be a borderline violation, primarily due to the combination of the customer's age, the high total cost, and the replacement of a surrender-free annuity with a new surrender-charge product. While the advisor's documentation and the customer's longevity profile provide legitimate mitigating factors, regulators tend to apply heightened scrutiny to VA replacements involving seniors and would likely conclude that the 3.42% cost and 10-year GMIB waiting period were not sufficiently justified given the customer's existing income surplus and substantial liquid assets. The most probable outcome would be a finding of inadequate basis for the replacement recommendation, resulting in a directive to make the customer whole on surrender charges and excess costs, with a potential supervisory deficiency finding against the firm for approving the transaction. However, this is far from a slam-dunk case, and an arbitration panel might split the other way given the documented rationale and the customer's informed consent.

Borderline Scenario 88

Topic: high_fees_unsuitable | Standard: FINRA Rule 2330 (Variable Annuity Suitability): Requires consideration of whether the custo

Fact Pattern

In March 2022, financial advisor Gerald Kowalski recommended that his client, Diane Nguyen, age 58, purchase a variable annuity with a guaranteed lifetime withdrawal benefit rider. Diane is a senior project manager at a technology company earning \$185,000 annually and expects to retire at age 65. She has \$1.2 million in combined retirement assets: \$680,000 in a 401(k), \$290,000 in a traditional IRA, and \$230,000 in a taxable brokerage account. She is single, owns her home outright, has no dependents, and describes herself as moderately conservative. She expressed strong concern about running out of money in retirement and told Gerald she wanted 'a guaranteed paycheck for life no matter what happens in the stock market.' She also mentioned that her mother lived to age 97 and her father to age 91, and that longevity risk was her primary fear.

Gerald recommended she transfer \$220,000 from her taxable brokerage account into a variable annuity issued by a nationally recognized insurance carrier. The product had total annual expenses of 3.42%, broken down as follows: mortality and expense charges of 1.25%, administrative fees of 0.15%, underlying sub-account fund expenses averaging 0.82%, and a guaranteed lifetime withdrawal benefit rider costing 1.20%. The annuity carried a seven-year declining surrender charge schedule starting at 7% in year one and declining to 1% in year seven. The guaranteed withdrawal benefit provided a 5% annual withdrawal rate beginning at age 65, with a 6% annual roll-up on the benefit base during the deferral period, regardless of market performance.

Diane's existing brokerage account was invested in a diversified portfolio of low-cost index ETFs with a blended expense ratio of 0.09%. Gerald's firm also offered lower-cost variable annuities with total fees of approximately 2.10%, though these products did not include a guaranteed lifetime withdrawal benefit. Additionally, the firm offered fixed indexed annuities with guaranteed income riders at total costs of approximately 1.50%, though the upside participation was capped.

Gerald documented in his notes that Diane specifically wanted the guaranteed income feature and that he discussed the higher costs relative to her current portfolio. He noted that Diane acknowledged the fee differential but stated she valued the certainty of guaranteed income more than cost savings. Gerald also noted he discussed the surrender charge period and that Diane confirmed she did not expect to need access to the \$220,000 before retirement. The recommendation involved approximately 18% of her total retirement assets.

However, Diane's 401(k) plan at her employer already offered a stable value fund and a target-date fund series, and her employer provided a modest pension that would pay approximately \$18,000 per year starting at age 65. Gerald's notes do not reflect any analysis of how the variable annuity's guaranteed income would coordinate with the pension benefit or Social Security (estimated at \$2,400 per month at full retirement age). A competing advisor later reviewed Diane's situation and suggested that a combination of the existing pension, Social Security, and a systematic withdrawal strategy from a low-cost balanced portfolio could have met her income needs in retirement at substantially lower cost. That advisor estimated the fee differential over a 30-year retirement could amount to approximately \$145,000 in lost portfolio value compared to the lower-cost alternatives.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: The 3.42% total annual expense ratio is significantly above average for variable annuities and dramatically higher than Diane's existing 0.09% ETF portfolio. The fee drag over a multi-decade retirement horizon is substantial - an estimated \$145,000 in lost portfolio value. Gerald's firm offered lower-cost VA products and fixed indexed annuities with income guarantees at materially lower costs, raising questions about whether the specific product recommended was in the client's interest when cheaper alternatives with similar features existed. Perhaps most critically, Gerald's documentation does not reflect any analysis of how the VA's guaranteed income would coordinate with Diane's existing pension (\$18,000/year) and projected Social Security benefits (\$28,800/year), which together would provide approximately \$46,800 in guaranteed annual income before any portfolio withdrawals. A holistic analysis might have shown that Diane's longevity risk was already partially addressed by these existing guaranteed income sources, potentially reducing the marginal value of the expensive rider. Under FINRA Rule 2330, the advisor must consider whether the customer would benefit from the tax-deferred features, given this was purchased with after-tax dollars in a taxable account, losing the step-up in basis at death and converting capital gains into ordinary income. Under Reg BI and NY Regulation 187, the advisor must consider reasonably available alternatives, including those offered by the firm, and document why the recommended product was in the customer's best interest.

Arguments against a violation: The recommendation involved only 18% of Diane's total retirement assets, which is a moderate allocation rather than an outsized concentration. Diane articulated a clear, specific preference for guaranteed lifetime income and expressed genuine anxiety about longevity risk, which is rational given her family history of exceptional longevity. The guaranteed lifetime withdrawal benefit with a 6% roll-up during the deferral period provides meaningful value that cannot be replicated by a systematic withdrawal strategy, which carries sequence-of-returns risk. The product was issued by a nationally

recognized carrier, and the rider's guarantees are contractual - unlike a withdrawal strategy, they cannot be depleted by poor market performance or behavioral mistakes. Gerald documented the fee discussion and Diane's informed acknowledgment of the cost differential. The seven-year surrender period aligns with her seven-year timeline to retirement. The lower-cost VA alternatives at the firm did not include the guaranteed income rider that was the primary driver of the recommendation. While the fixed indexed annuity was cheaper, its capped upside may not have been suitable for a client with a potentially 30+ year retirement horizon who could benefit from equity market participation. The competing advisor's analysis uses hindsight and does not account for the insurance value of the guarantee in adverse market scenarios.

Why Borderline

This scenario is genuinely ambiguous because the product's high fees must be weighed against its contractual guarantees that directly address the client's stated primary concern (longevity risk), the client gave informed consent after fee disclosure, the allocation was moderate relative to total assets, and the product features (guaranteed income with equity participation) are not easily replicated by cheaper alternatives. However, the lack of documented coordination analysis with existing guaranteed income sources, the availability of lower-cost alternatives at the same firm, and the significant long-term fee drag create legitimate questions about whether the specific product was truly in the client's best interest versus merely suitable.

Borderline Factors

- Total fees of 3.42% are high but include a guaranteed income rider specifically requested by the client
- Lower-cost alternatives existed at the firm but lacked the exact combination of features (guaranteed income plus equity market participation)
- Client's existing pension and Social Security already provide \$46,800/year in guaranteed income, but no coordination analysis was documented
- Only 18% of total retirement assets were allocated, limiting concentration risk
- Client explicitly acknowledged fee differential and expressed preference for guarantee over cost savings
- Seven-year surrender period matches client's seven-year pre-retirement timeline
- After-tax money placed in VA loses step-up in basis at death and converts capital gains to ordinary income
- Family longevity history (parents living to 91 and 97) provides rational basis for heightened longevity risk concern
- Estimated \$145,000 fee drag over 30 years is significant but represents a comparison that ignores insurance value in adverse scenarios

Likely Outcome

A regulator would likely find a partial deficiency rather than a clear-cut violation. The recommendation to address the client's longevity concerns with a guaranteed income product is defensible, and the moderate allocation percentage and documented client preference weigh in the advisor's favor. However, regulators would likely criticize the failure to document a coordination analysis with existing guaranteed income sources (pension and Social Security) and the failure to adequately document why the specific higher-cost product was recommended over the firm's lower-cost alternatives, including the fixed indexed annuity with a guaranteed income rider at roughly 1.50% in total costs. Under NY Regulation 187's best-interest standard, the absence of documented consideration of reasonably available alternatives would be viewed as a material deficiency. The most likely regulatory outcome would be a supervisory deficiency finding with

enhanced documentation requirements, rather than a finding that the recommendation itself was unsuitable or violated the client's best interest. If the advisor could supplement the record with a retroactive analysis showing why the specific product's features (equity participation plus guaranteed income) justified the fee premium over the fixed indexed alternative, the case would likely be closed without further action.

Borderline Scenario 89

Topic: *complex_products_unsophisticated_investor* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability): Requires that the ad*

Fact Pattern

Margaret Dalton, age 62, is a retired school cafeteria worker living in upstate New York. She receives \$1,740 per month in Social Security and a small state pension of \$980 per month. In March 2023, she inherited \$285,000 from her late sister's estate - the largest sum of money she has ever possessed. She has a checking account with \$11,400, no other investments, no prior brokerage accounts, and has never owned any securities. She completed only a high school education and describes herself as having 'no knowledge whatsoever' about investing. Her stated goals on her new account paperwork were 'safety of principal' and 'some growth to help with bills down the road.' She listed her risk tolerance as 'conservative' and her investment time horizon as '5-10 years.' She also noted on the account form that she might need '\$30,000-\$50,000 in the next two to three years' for home repairs and potential dental surgery.

Her financial advisor, Kevin Royce, age 41, with 14 years of experience, recommended she invest \$215,000 into a variable annuity with a guaranteed minimum income benefit rider. The product carried an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, underlying subaccount expenses averaging 0.82%, and the income rider fee of 1.05%, bringing total annual costs to approximately 3.37%. The annuity had a seven-year declining surrender charge schedule starting at 7% in year one and declining to 1% in year seven. The guaranteed income benefit rider would begin paying a guaranteed 5.2% annual withdrawal of the benefit base starting at age 67, regardless of market performance, which Royce calculated would generate approximately \$11,180 per year - roughly \$930 per month - to supplement her existing income.

Royce placed the remaining \$70,000 in a short-term bond fund and a money market fund split roughly 60/40, which he told Margaret would serve as her 'emergency and home repair bucket.' He documented a two-hour meeting during which he explained the surrender charges, the difference between the benefit base and the account value, the subaccount options, and the fact that withdrawals above the guaranteed amount could reduce future benefits. Margaret signed a disclosure acknowledgment and a product summary sheet. Royce's notes from the meeting reflect that Margaret asked several questions about 'when she could get her money back' and whether 'the government guaranteed' the income payments, to which he noted he explained the surrender schedule and clarified the guarantee was from the insurance company, not the government.

Notably, a low-cost balanced index fund portfolio with a 40/60 equity-bond allocation was available through the same firm with an all-in expense ratio of 0.18%, and a single premium immediate annuity from a highly rated carrier would have generated approximately \$1,050 per month beginning immediately, with no

surrender period and no market risk. Royce earned a 5.25% commission (\$11,287.50) on the variable annuity sale. His commission on the alternative balanced fund would have been a one-time \$537.50 advisory fee. Royce had sold 38 variable annuities in the prior 18 months, representing 72% of his total gross production.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Royce violated applicable standards: Margaret Dalton is an unsophisticated investor with no prior investment experience, limited education, and conservative stated objectives emphasizing safety. The variable annuity's total annual cost of 3.37% is significantly higher than readily available alternatives. The seven-year surrender period conflicts with her stated potential need for \$30,000-\$50,000 within two to three years - even though Royce set aside \$70,000 in liquid funds, the locked-up \$215,000 represents 75% of her total inheritance. A single premium immediate annuity would have provided higher guaranteed monthly income (\$1,050 vs. \$930) starting immediately rather than at age 67, with no surrender charges and no market risk, which more directly aligns with her stated goal of supplemental income and safety. The commission differential (\$11,287.50 vs. \$537.50) raises a material conflict of interest. Margaret's questions about 'getting her money back' and government guarantees suggest she may not have fully understood the product despite signed disclosures. Royce's heavy concentration in VA sales (72% of production) could suggest a pattern of defaulting to this product regardless of individual client circumstances.

Arguments that Royce acted appropriately: The guaranteed income benefit rider does address Margaret's long-term income needs and provides a floor of protection regardless of market performance - a feature unavailable in a simple balanced fund. Royce set aside \$70,000 (roughly 25% of assets) in liquid, conservative vehicles specifically to address her stated near-term liquidity needs, which demonstrates planning and consideration of her full financial picture. The five-year deferral period before income begins (age 62 to 67) allows the benefit base to grow, potentially providing higher lifetime income than an immediate annuity if Margaret lives into her 80s or beyond. The guaranteed 5.2% withdrawal rate is contractual and not dependent on market conditions, providing exactly the kind of predictability a conservative investor values. Royce documented a lengthy meeting with multiple disclosures, addressed her specific questions, and obtained signed acknowledgments. The surrender charge is a standard feature of products with guaranteed living benefit riders, and the cost of the rider is the mechanism by which the insurance company can afford to make the guarantee - comparing the all-in cost to a product without guarantees is arguably an apples-to-oranges comparison. Margaret's 5-10 year time horizon is consistent with the seven-year surrender period. Furthermore, an SPIA would irrevocably consume the \$215,000 with no residual value for heirs or emergencies, whereas the VA preserves potential account value and a death benefit.

Under New York's insurance regulation requirements effective since August 2019 (for annuity transactions) requiring that recommendations be in the consumer's best interest considering the consumer's financial situation, insurance needs, and financial objectives, the analysis turns on whether the VA with the income rider - despite being more expensive - served a genuine protective and income function that cheaper alternatives could not replicate in exactly the same way. The question is whether the combination of guarantee features justifies the cost differential when weighed against the client's profile.

Why Borderline

This scenario is genuinely ambiguous because the advisor did take meaningful steps to address the client's liquidity needs, documented the meeting thoroughly, and the guaranteed income rider provides a contractual benefit (downside income protection) not available in cheaper alternatives. However, the client's extreme lack of sophistication, the significant cost differential, the large commission, the existence of a simpler and potentially more suitable alternative (SPIA), and the advisor's heavy production tilt toward VAs all cut the other way. Reasonable compliance professionals could disagree about whether the guaranteed living benefit feature sufficiently justifies the cost and complexity for this particular client.

Borderline Factors

- Client has zero investment experience and limited financial literacy, yet signed detailed disclosures after a documented two-hour meeting
- Total annual cost of 3.37% versus 0.18% for an alternative, but the VA includes a contractual income guarantee the alternative lacks
- A single premium immediate annuity would provide more income sooner with no surrender charges, but would irrevocably consume principal with no residual account value or death benefit
- Advisor carved out \$70,000 in liquid assets to meet stated near-term needs, partially addressing the liquidity concern
- Seven-year surrender period versus stated 5-10 year time horizon - technically consistent but leaves little margin
- Commission of \$11,287.50 versus \$537.50 for alternative creates a material but not necessarily dispositive conflict
- Advisor's 72% production concentration in VAs could suggest product-pushing or could reflect legitimate specialization in retirement income planning
- Client's questions about 'getting her money back' and 'government guarantees' suggest possible comprehension gaps despite signed disclosures
- The guaranteed 5.2% withdrawal provides inflation-insensitive but contractually certain income - valuable for a conservative retiree but not the only way to achieve income certainty

Likely Outcome

A regulator - particularly the New York Department of Financial Services applying its best-interest standard - would more likely than not find a violation, though it would be a close call. The critical factors tipping the analysis are: (1) the existence of a simpler, cheaper product (SPIA) that more directly matched the client's stated objectives of safety and supplemental income; (2) the client's extreme unsophistication, which raises the bar for demonstrating that the recommendation was genuinely in her best interest rather than merely not unsuitable; (3) the magnitude of the cost and commission differentials; and (4) the advisor's heavy VA production pattern. However, the advisor's documented process, liquidity carve-out, and the legitimate long-term income planning rationale would likely be treated as mitigating factors, potentially reducing the severity of any sanctions. A reasonable arbitration panel might split the other way, crediting the advisor's holistic planning approach and the genuine value of the guaranteed income rider for a client who cannot afford to lose principal.

Borderline Scenario 90

Fact Pattern

Margaret Dunleavy, age 62, is a recently retired school principal with a state pension providing \$68,000 annually, Social Security benefits of \$2,400 per month beginning at age 65, and total investable assets of approximately \$740,000. She has \$310,000 in a 403(b) plan, \$180,000 in a traditional IRA, \$150,000 in a taxable brokerage account, and \$100,000 in bank CDs. She described herself on her new account form as having 'moderate' risk tolerance, a primary goal of 'supplemental retirement income starting around age 67,' and an investment time horizon of 15-20 years. She noted she was 'comfortable with some market exposure but doesn't want to lose sleep.' She also indicated she had prior experience with mutual funds and target-date funds but had never owned an annuity product.

In March 2023, her financial advisor, Kevin Bautista, recommended she move \$265,000 - the entirety of her traditional IRA plus \$85,000 from her taxable brokerage account - into a registered index-linked annuity (RILA) tied to the S&P 500 with a six-year term, a 10% buffer against losses (meaning the insurance company absorbs the first 10% of index losses, but Margaret bears losses beyond that), and an upside cap of 14.5% per year. The product carries a surrender charge schedule of 6% declining to 0% over six years, and total annual fees (including the mortality and expense charge and optional living benefit rider) of 1.45%. Bautista also added a guaranteed minimum withdrawal benefit rider at an additional 0.95% annually, bringing total annual product costs to 2.40%.

Bautista documented in his recommendation notes that he chose the RILA over a traditional variable annuity because it offered downside protection Margaret desired without the higher fees of a full guarantee, and over a fixed indexed annuity because it offered higher upside potential more consistent with her 15-20 year horizon. He noted the 10% buffer addressed her concern about 'not losing sleep' while still providing meaningful equity participation. He also documented that Margaret's pension and future Social Security would cover approximately 90% of her anticipated living expenses, meaning the annuity assets were truly supplemental.

However, by placing \$265,000 - roughly 36% of her total investable assets - into a product with a six-year surrender period, Margaret's liquid assets dropped to approximately \$475,000, of which \$310,000 remained in her 403(b) (subject to its own distribution rules). Her truly liquid assets became roughly \$165,000 (\$65,000 remaining in the brokerage account and \$100,000 in CDs). Margaret's elderly mother, age 88, had recently been diagnosed with early-stage dementia, and Margaret had mentioned to Bautista in a prior meeting that she 'might need to help with Mom's care costs down the road,' though she did not indicate any immediate financial obligation and her mother currently had long-term care insurance.

Seven months later, Margaret's mother's condition deteriorated rapidly, requiring memory care placement at \$8,500 per month. The long-term care policy covered only \$5,000 per month, leaving a \$3,500 monthly gap. Margaret contacted Bautista asking to access her RILA funds. She was informed she would face a 5.5% surrender charge on any withdrawal exceeding the 10% free withdrawal corridor, and that her account had declined 3.8% due to market conditions (within the buffer zone, so no actual investment loss was realized, but the interim account value reflected market movement before the term matured). Margaret filed a complaint alleging that Bautista should never have concentrated so much of her accessible wealth in an

illiquid product given her family circumstances.

Bautista's firm's product committee had approved the RILA for use with clients having moderate risk profiles and investment horizons of five years or more. Bautista had earned a \$7,400 commission on the sale, which was approximately 2.8% of the invested amount - somewhat higher than the 1.2% trailing commission structure available through an advisory-fee RILA share class that his firm also offered but that Bautista did not present to Margaret as an alternative.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations that pull in opposite directions.

Arguments that Bautista acted appropriately:

1. The RILA product itself was reasonably matched to Margaret's stated risk tolerance (moderate), time horizon (15-20 years), and goal (supplemental income starting at age 67). The 10% buffer addressed her expressed desire for downside protection, and the 14.5% cap offered meaningful upside participation.
2. Margaret's pension and future Social Security covered approximately 90% of her anticipated living expenses, making the \$265,000 investment genuinely supplemental rather than essential for near-term income.
3. The RILA's 2.40% all-in cost, while not cheap, included a guaranteed minimum withdrawal benefit rider that aligned with her income goal, and was lower than many traditional variable annuities with comparable living benefit riders.
4. Bautista documented a reasoned comparison of product alternatives (traditional VA, fixed indexed annuity, RILA) and articulated why the RILA was most suitable.
5. Margaret's mother had long-term care insurance at the time of the recommendation, and Margaret described the potential caregiving obligation in speculative, not immediate, terms.
6. The product was on the firm's approved list for Margaret's profile type.

Arguments that Bautista may have violated applicable standards:

1. Under FINRA Rule 2330, a representative recommending a variable annuity (or analogous product) must consider the customer's liquidity needs. By placing 36% of total assets into a product with a six-year surrender period, Bautista materially reduced Margaret's accessible liquid assets to roughly \$165,000 in truly liquid form. This concentration in an illiquid vehicle may be excessive given her overall asset picture.
2. The customer disclosed a foreseeable contingent liquidity need (mother's potential care costs). Even though the need was not immediate, a reasonably diligent advisor should have stress-tested the recommendation against that scenario, particularly given the mother's age (88) and recent dementia diagnosis.
3. Under Reg BI's care obligation (Rule 15l-1), a broker-dealer must consider reasonably available alternatives. Bautista did not present the advisory-fee RILA share class, which carried a lower commission (1.2% trailing vs. 2.8% upfront). While the commission-based share class might have been appropriate in isolation, the failure to present the alternative - especially when the advisory class would have resulted in lower total costs for a hold period matching Margaret's stated horizon - raises questions about whether the recommendation was influenced by the compensation differential.

4. Under NY Regulation 187, if Margaret is a New York resident, the transaction must be in her best interest at the time of the recommendation, considering the insurer's full product shelf. The availability of a lower-cost share class on the same RILA product is directly relevant.
5. NAIC Model Regulation 275, as adopted in many states, requires that the producer have a reasonable basis to believe the recommended product is suitable based on facts disclosed by the consumer, including liquidity needs. The mother's dementia diagnosis was a disclosed fact that arguably should have led to a smaller allocation or a product with shorter surrender periods.
6. The \$85,000 from the taxable brokerage account moved into the RILA lost its tax-efficiency advantage - annuity withdrawals are taxed as ordinary income rather than potentially qualifying for long-term capital gains treatment. This tax inefficiency was not addressed in Bautista's notes.

The GAO and academic literature on VA mis-selling have consistently flagged two red flags present here: (a) concentration of a meaningful percentage of assets in a single illiquid product, and (b) higher-commission share classes recommended when lower-cost alternatives exist on the same product. The IRI's own guidance materials emphasize that producers should document why a particular share class was selected over alternatives.

Why Borderline

This case is genuinely ambiguous because the product itself (a RILA with buffer protection) was a reasonable match for Margaret's stated objectives, risk tolerance, and time horizon, and Bautista documented a thoughtful product-selection rationale. The pension-and-Social-Security safety net meant the annuity assets were supplemental. However, the concentration of 36% of total assets in one illiquid vehicle, the failure to present a lower-cost share class, the undiscussed tax inefficiency of moving taxable assets into an annuity, and the known (if contingent) family caregiving risk all create legitimate concerns that cut the other way. Reasonable compliance officers could disagree on whether Bautista's documented rationale adequately addressed these countervailing factors or whether the combination of issues - none of which alone is necessarily disqualifying - collectively tips the recommendation into unsuitable territory.

Borderline Factors

- 36% concentration in a single illiquid product with a six-year surrender period - high but not extreme given supplemental nature of the assets
- Customer disclosed a contingent but non-immediate potential liquidity need related to elderly mother's care - foreseeability is debatable
- Failure to present advisory-fee share class with materially lower compensation to advisor, even though commission-based class is not per se inappropriate
- Tax inefficiency of moving \$85,000 from a taxable brokerage account into an annuity wrapper was not documented or discussed
- Product itself was reasonably aligned with customer's stated risk tolerance, time horizon, and income objective
- Advisor earned \$7,400 upfront commission (2.8%) versus a 1.2% trailing fee alternative - meaningful but not egregious differential
- Advisor documented a comparative product analysis supporting the RILA recommendation over traditional VA and fixed indexed annuity alternatives
- Customer's remaining liquid assets (\$165,000) may or may not be sufficient depending on assumptions about emergency needs and the mother's care trajectory

- Mother had existing long-term care insurance at time of recommendation, partially mitigating the contingent liquidity concern

Likely Outcome

A regulator would most likely find a partial violation - not for the product selection itself, which was defensible, but for the failure to consider and present the lower-cost share class and for insufficient analysis of the liquidity impact given the disclosed contingent caregiving obligation. Under Reg BI's care obligation, the failure to document why the higher-commission share class was selected over the available lower-cost alternative on the same product is likely the strongest basis for a finding. A FINRA examiner applying Rule 2330 would focus on whether the concentration and liquidity analysis was adequate given the totality of the customer's disclosed circumstances, and would likely conclude that Bautista's documentation, while good on product selection, was deficient on share-class comparison and liquidity stress-testing. The result would likely be a supervisory deficiency letter or a modest fine rather than a major enforcement action, particularly if Margaret's losses from the surrender charge are relatively contained.

Borderline Scenario 91

Topic: *variable_annuity_unsuitable* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability)* requires that a registered representative

Fact Pattern

Margaret Kowalski, age 62, is a recently retired schoolteacher in Dallas, Texas, with a total net worth of approximately \$1.1 million. Her assets include a \$340,000 defined benefit pension providing \$3,200/month, a \$410,000 traditional IRA rollover from her 403(b), \$180,000 in a taxable brokerage account, \$85,000 in certificates of deposit, and \$85,000 in checking and savings. She has no debt, her home is paid off, and her monthly living expenses are approximately \$4,800. She is in good health and has a family history of longevity - both parents lived past 90. She has one adult daughter who is financially independent.

Her financial advisor, Tom Bledsoe, who holds both securities and insurance licenses, met with Margaret three times over six weeks in the fall of 2022. During these meetings, Margaret expressed several goals: (1) she wanted guaranteed lifetime income to supplement her pension so she would never outlive her money, (2) she wanted some market participation to keep pace with inflation over what she expected to be a 30+ year retirement, (3) she was moderately risk-tolerant and had experienced the 2008 downturn without panic-selling, and (4) she wanted to leave whatever remained to her daughter but said this was a secondary priority to her own income security.

Bledsoe recommended that Margaret move \$370,000 from her \$410,000 IRA rollover into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The product was issued by a well-rated carrier (A.M. Best A+) and featured a 7-year surrender schedule with declining charges starting at 7% in year one. Total annual contract expenses including the mortality and expense charge, administrative fee, underlying subaccount expenses, and the GLWB rider totaled 3.18% annually. The GLWB rider guaranteed a 5% annual withdrawal rate on a benefit base that would step up annually if the account value grew, locking in market gains for income purposes. The product offered a selection of 55 subaccounts across equity and fixed-income categories. Bledsoe allocated the funds 60% equity / 40% bond subaccounts.

Bledsoe documented Margaret's risk tolerance, time horizon, income needs, and existing assets. He presented a comparison of three alternatives: a fixed indexed annuity, the variable annuity he recommended, and a systematic withdrawal strategy from a diversified portfolio. His notes show he explained the surrender charges, the total fees, the death benefit provisions, and the GLWB mechanics. Margaret signed all disclosure forms, including a specific Texas-required annuity disclosure acknowledging she understood the product features and costs.

Several factors complicate the analysis. First, the 3.18% all-in annual cost is notably higher than the industry average for variable annuities with living benefit riders (which typically ranges from 2.3% to 2.8%). Bledsoe received a 5.25% upfront commission on the \$370,000 sale (\$19,425), which was at the higher end but within the range offered by the carrier. Second, the \$370,000 allocated to the VA represented approximately 90% of Margaret's IRA and roughly 34% of her total net worth. She retained \$40,000 in the IRA in a money market fund, plus her \$180,000 brokerage account and \$170,000 in CDs and bank accounts. Third, a lower-cost variable annuity from a competing carrier with comparable financial strength offered a similar GLWB rider with total annual expenses of 2.55% and a 5-year surrender period, though its step-up feature was biennial rather than annual and its guaranteed withdrawal rate was 4.75% rather than 5%. Bledsoe's notes do not reflect that he considered or presented this competing product.

Fourth, Margaret's combined pension income (\$3,200/month) and estimated Social Security at age 67 (\$2,100/month projected) would total \$5,300/month, already exceeding her stated \$4,800/month expenses by \$500. However, she expressed concern about inflation eroding her purchasing power and about potential long-term care costs. Fifth, the VA was purchased inside a tax-deferred IRA, meaning the tax-deferral benefit inherent in annuity contracts provided no incremental tax advantage, though Bledsoe's notes state the purpose was the GLWB income guarantee and market participation rather than tax deferral. Sixth, Margaret's daughter later complained to the Texas Department of Insurance that her mother didn't need the product because her pension and Social Security already covered expenses, and that the high fees would erode the inheritance she might otherwise receive.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Bledsoe acted appropriately: Margaret had a clearly articulated need for guaranteed lifetime income supplementation and inflation protection over a potentially 30+ year retirement horizon. The GLWB rider directly addresses longevity risk, which is a legitimate concern for a healthy 62-year-old with family longevity. Margaret's time horizon (30+ years) is long enough that the 7-year surrender period is a relatively small fraction of the expected holding period. She retained significant liquid assets outside the VA - approximately \$350,000 in brokerage, CDs, and cash - providing ample liquidity for emergencies. The VA represented about 34% of total net worth, not a dominant concentration. Bledsoe conducted multiple meetings, documented her profile, compared three product categories, and obtained all required disclosures. Margaret's moderate risk tolerance aligns with a 60/40 allocation in a VA with downside protection via the GLWB. The fact that current pension and projected Social Security exceed current expenses does not account for inflation over 30 years or potential healthcare/long-term care shocks, which Margaret specifically identified as concerns.

Arguments that Bledsoe may have violated applicable standards: The 3.18% all-in cost is meaningfully above the industry range, and a comparable product was available at 2.55% - a 63 basis point difference that on \$370,000 amounts to approximately \$2,330 per year in additional drag. Over the 7-year surrender period alone, this totals over \$16,000 in excess costs. Bledsoe's failure to document consideration of the lower-cost alternative raises questions about whether he engaged in a sufficiently thorough product-level comparison, even if he compared product categories. The 5.25% upfront commission creates an economic incentive that aligns with recommending the higher-cost product. Placing the VA inside a tax-deferred IRA eliminates the tax-deferral benefit that is a core value proposition of annuities, meaning the client is paying annuity-level fees primarily for the guarantee features. While the GLWB addresses longevity risk, Margaret's baseline income already exceeds expenses, and a systematic withdrawal strategy from a lower-cost diversified portfolio - one of the alternatives Bledsoe presented but did not recommend - might have achieved similar results at substantially lower cost given her existing income floor. The daughter's complaint, while motivated partly by inheritance concerns that were explicitly secondary to Margaret's goals, does highlight the fee erosion issue. Under Texas's best-interest framework adopted in 2021 and harmonized with federal standards, the advisor must act in the consumer's best interest at the time of the transaction, considering reasonably available alternatives. The question is whether the higher-cost product's marginally superior features (annual vs. biennial step-up, 5% vs. 4.75% withdrawal rate) justify the significant cost differential.

Why Borderline

This case sits in genuine gray territory because the product category (VA with GLWB) is arguably well-suited to the client's stated needs and profile, but the specific product selection raises cost-reasonableness questions. The advisor conducted meaningful due diligence and documentation, yet the absence of documented consideration of a materially cheaper comparable product - combined with higher-than-average commissions - creates an appearance of product-level self-interest. Additionally, the fact that existing guaranteed income already covers current expenses cuts both ways: it means the VA isn't necessary today but also means the client has the financial capacity to absorb VA costs without hardship. The IRA-inside-an-annuity issue is a classic red flag, but it is substantially mitigated when the stated purpose is the living benefit rider rather than tax deferral. Reasonable compliance officers and arbitrators could disagree on whether the incremental features of the recommended product (annual step-up, higher withdrawal rate) constitute a legitimate basis for selecting the more expensive option.

Borderline Factors

- All-in annual expenses of 3.18% are above industry average but not egregiously so, and the product includes a robust GLWB rider with features marginally superior to cheaper alternatives
- A comparable lower-cost product (2.55% annual cost, shorter surrender period) existed but had slightly less favorable guarantee terms - reasonable advisors could differ on whether the cost differential is justified
- Advisor documented the client's profile and compared product categories but did not document a product-level comparison within the VA category
- The VA was placed inside a tax-deferred IRA, eliminating the incremental tax-deferral benefit, though the stated rationale was the guarantee features
- Client's existing pension and projected Social Security already exceed current monthly expenses, but the client specifically expressed concern about inflation and long-term care over a 30+ year horizon
- The 5.25% upfront commission is at the higher end of the range, creating a potential conflict, but falls within the carrier's standard compensation schedule

- Client retained approximately \$350,000 in liquid assets outside the VA, mitigating concentration and liquidity concerns
- The complaint was initiated by the client's daughter focused partly on inheritance erosion, but the client herself had stated income security was her primary goal over legacy

Likely Outcome

A regulator reviewing this case would likely find the product category recommendation (VA with GLWB) defensible given Margaret's stated goals, risk tolerance, time horizon, and legitimate longevity concerns. However, the regulator would likely raise concerns about the product-level selection - specifically Bledsoe's failure to document why he recommended a VA with 3.18% annual costs and a 5.25% commission over a comparable product at 2.55% with a shorter surrender period. Under Texas's best-interest standard (implementing HB 1777) and analogous federal frameworks, the advisor has an obligation to consider reasonably available alternatives. The marginal differences in step-up frequency and withdrawal rate are unlikely to be found sufficient to justify a 63 basis point annual cost difference without explicit documentation of that analysis. The most probable outcome is a finding of a documentation deficiency and possible product-level best-interest concern, resulting in enhanced supervision, a requirement for additional client disclosure, or a modest fine - but probably not rescission or a finding of outright unsuitability of the annuity category. If the case proceeded to arbitration, the panel might award partial damages representing the cost differential between the two products over the surrender period.

Borderline Scenario 92

Topic: *illiquid_investments* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability)* requires that the advisor have a reasonable ba

Fact Pattern

Margaret Hollowell, age 62, is a recently retired school principal with a state pension providing \$4,800/month and Social Security projected at \$2,400/month starting at age 67. She received a \$410,000 lump-sum distribution from her 403(b) plan upon retirement and has an additional \$135,000 in a money market account. She has no debt, owns her home outright, and her monthly living expenses are approximately \$4,200. She told her financial advisor, Dean Caruso, that she wanted to 'make the money last and grow a little, but not lose it all in a crash,' and mentioned she was interested in leaving something meaningful to her two adult children. She also mentioned she might want to help her daughter with a down payment on a house within the next two to three years, estimating the gift at \$40,000 to \$60,000.

Caruso recommended she place \$310,000 of the 403(b) rollover into a variable annuity with a guaranteed lifetime withdrawal benefit rider. The annuity had a seven-year surrender period with a declining surrender charge starting at 7% in year one and dropping to 0% in year eight. The total annual expense ratio of the annuity - including mortality and expense charges, administrative fees, subaccount expenses, and the rider fee - came to 3.15% per year. The guaranteed withdrawal benefit rider promised a 5% annual withdrawal rate on an income base that would step up to the highest contract anniversary value. Caruso allocated the subaccounts to a moderate growth portfolio (60% equity, 40% bond subaccounts). He documented that the guaranteed income rider would supplement her pension if needed and that the death benefit would serve her legacy goal.

Caruso told Hollowell to keep the remaining \$100,000 of the 403(b) rollover in a traditional IRA invested in a balanced mutual fund, and to keep the \$135,000 money market account liquid for emergencies and the potential gift to her daughter. He noted in his file that the \$135,000 money market plus the \$100,000 IRA would give her sufficient liquidity outside the annuity.

Six months later, Hollowell's daughter asked for the \$55,000 down payment help. Hollowell paid it from the money market account, reducing that balance to \$80,000. Fourteen months after the annuity purchase, Hollowell was diagnosed with early-stage Parkinson's disease. Her neurologist recommended she begin planning for potential long-term care needs within five to ten years. Concerned about future care costs, Hollowell contacted Caruso and asked about accessing the annuity funds. He informed her that a surrender at that point would trigger a 6% surrender charge of approximately \$18,600 on any withdrawal beyond the free-withdrawal corridor of 10% of the contract value. Hollowell filed a complaint with her state insurance department, alleging that Caruso placed too much of her money in an illiquid product given her age, health uncertainties, and near-term gifting plans, and that the high fees would erode her retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Caruso violated applicable standards: The allocation of \$310,000 - roughly 57% of Hollowell's total investable assets - into a product with a seven-year surrender period and 3.15% all-in annual costs is aggressive for a 62-year-old recent retiree. The total expense drag over the surrender period could exceed \$68,000 in fees alone before accounting for subaccount performance. While Hollowell expressed a desire for growth and legacy planning, she also explicitly mentioned a near-term liquidity need (the \$40,000-\$60,000 gift), and at her age, health contingencies were foreseeable even before the Parkinson's diagnosis. The annuity's guaranteed income rider arguably duplicated the income security already provided by her pension and future Social Security, which together would cover her living expenses. A less costly product - such as a balanced portfolio of mutual funds or ETFs with no surrender restrictions - could have provided similar growth potential and legacy value with greater flexibility. The 3.15% annual cost is at the high end of the market for variable annuities with living benefit riders, and Caruso did not document a comparison to lower-cost alternatives or explain why this particular annuity's features justified the premium pricing.

Arguments that Caruso acted within acceptable bounds: Caruso did maintain \$235,000 in liquid assets outside the annuity (\$135,000 money market plus \$100,000 IRA), which represented 43% of her total portfolio at the time of the recommendation. This exceeded the estimated gift amount and provided a meaningful emergency reserve. The guaranteed lifetime withdrawal benefit rider addressed Hollowell's stated fear of market crashes eroding her savings and provided a floor income stream that, combined with her pension and Social Security, would create triple-layered retirement income protection. The death benefit feature addressed her legacy goal. Hollowell's pension covered her monthly expenses, meaning the annuity funds were genuinely long-term money at the time of purchase. The Parkinson's diagnosis was not foreseeable at the time the recommendation was made, and the complaint is arguably based on hindsight. Caruso documented his rationale, maintained a liquidity reserve, and matched the product features to the client's stated objectives. Additionally, the annuity did allow 10% annual free withdrawals without surrender charges, providing some access. Many variable annuities with robust living benefit riders carry all-in costs

in the 2.75%-3.50% range, so 3.15% is not an outlier.

The concentration question is the core tension. While 57% in an illiquid product is substantial, some practitioners and industry guidance suggest that for clients with guaranteed pension income covering living expenses, a higher allocation to annuities can be appropriate because the client's essential expenses are already funded and the annuity assets are truly discretionary long-term capital. Others would argue that at age 62, the probability of health events requiring liquidity access within a seven-year window is high enough that no more than 40-45% should be placed in surrender-charge-bearing products.

Why Borderline

This scenario is genuinely ambiguous because Caruso maintained meaningful liquidity outside the annuity, documented his rationale, and matched product features to the client's stated goals. The pension covered living expenses, making the annuity assets arguably long-term money. However, the high all-in cost (3.15%), the large concentration in an illiquid product for a retiree in her early 60s, the arguably redundant income guarantee given her pension coverage, and the known near-term liquidity need for the gifting plan all create legitimate concerns. The unforeseen health diagnosis complicates matters - it was not known at the time of the recommendation, but the general risk of health events for someone in their 60s is not unforeseeable. Reasonable practitioners disagree on acceptable concentration levels in surrender-charge products for retirees with pension income.

Borderline Factors

- 57% of total investable assets placed in a single illiquid product with a seven-year surrender period - high but not extreme given pension coverage of living expenses
- 3.15% all-in annual cost is at the upper end of the market range but within the band commonly seen for VA products with living benefit riders
- Client explicitly mentioned a near-term \$40,000-\$60,000 liquidity need, and while Caruso reserved enough liquid assets to cover it, the gift reduced the liquidity cushion significantly
- Guaranteed income rider arguably duplicates the income floor already provided by pension and Social Security, raising questions about whether the rider fee was justified
- Health diagnosis occurred 14 months post-purchase and was not foreseeable at the time of the recommendation, but actuarial probability of health events at age 62 is non-trivial
- Caruso documented his reasoning and maintained a liquidity reserve, demonstrating a process - but did not document consideration of lower-cost alternatives
- The client's stated goals (growth, crash protection, legacy) are facially consistent with a VA with living and death benefit riders
- Post-gift liquidity of \$80,000 money market plus \$100,000 IRA (\$180,000) still represents 33% of total assets in liquid form

Likely Outcome

A state insurance department examiner or arbitration panel would most likely find a partial violation. The recommendation was not facially unreasonable given the client's pension income, stated objectives, and the liquidity reserve Caruso maintained. However, the failure to document consideration of lower-cost alternatives, the arguably redundant income guarantee given the pension, and the high all-in expense ratio would likely be cited as deficiencies in the advisor's process. A regulator applying a best-interest standard (as opposed to a pure suitability standard) would likely conclude that Caruso did not adequately

demonstrate that this specific high-cost annuity was in the client's best interest when less expensive products with shorter or no surrender periods could have met the same objectives. The most probable outcome is a finding of a process deficiency rather than outright mis-selling, potentially resulting in a requirement to offer rescission or fee-based remediation rather than severe disciplinary action.

Borderline Scenario 93

Topic: *illiquid_investments* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability)* requires a registered representative to have a

Fact Pattern

Margaret Dalton, age 58, is a recently retired public school teacher with a \$420,000 lump-sum pension buyout, \$185,000 in a 403(b) plan, and approximately \$95,000 in a savings account. She has no outstanding mortgage but carries about \$12,000 in credit card debt. Her monthly pension income was replaced by a \$2,100/month Social Security disability payment following a diagnosis of multiple sclerosis in 2022. Her physician has described her condition as 'slowly progressive but manageable,' and Margaret has told her advisor, Kevin Barrows, that she expects to need long-term care within 10-15 years but currently lives independently. She described her investment objectives as 'moderate growth with some downside protection' and told Kevin she wanted to avoid the kind of losses her late husband experienced during the 2008 financial crisis.

In March 2024, Kevin recommended that Margaret invest \$350,000 of her pension buyout into a registered index-linked annuity (RILA) with a 6-year term tied to the S&P 500, offering a 10% buffer against losses and a 14.5% performance cap. The product carries a 6-year surrender schedule with declining charges starting at 8% in year one, dropping to 0% after year six. Kevin also discussed but ultimately did not recommend a traditional variable annuity with a guaranteed minimum withdrawal benefit rider, noting the rider fees (1.35% annually) would erode returns. He documented that the RILA's bounded return structure better matched Margaret's stated desire for downside protection without the ongoing fee drag.

Margaret signed the application and all required disclosures. Kevin's notes indicate she asked about liquidity and he explained the 10% annual free withdrawal provision. He did not, however, perform or document a detailed cash-flow analysis showing whether Margaret's remaining liquid assets (\$95,000 in savings plus \$70,000 of the pension buyout left uninvested) would be sufficient to cover potential medical expenses, long-term care costs, and the credit card debt during the surrender period. Margaret's new account form listed her liquid net worth as \$165,000 (the savings and remaining pension funds), her risk tolerance as 'moderate,' and her time horizon as '5-10 years.'

Six months later, Margaret's MS symptoms worsened unexpectedly, and she needed \$60,000 for home modifications and a specialized wheelchair. She withdrew the maximum free amount from the RILA (\$35,000) but had to surrender an additional \$45,000, incurring approximately \$3,150 in surrender charges. She filed a complaint alleging that Kevin placed too much of her pension buyout into an illiquid product given her known health condition and that the RILA was unsuitable for someone with her medical profile. Kevin's firm responded that the recommendation was appropriate because Margaret's stated time horizon aligned with the product term, the RILA addressed her explicitly stated fear of market losses, and she

retained \$165,000 in liquid assets at the time of purchase-representing roughly 39% of her total investable assets.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Kevin violated applicable standards: Margaret had a known progressive medical condition that created foreseeable, if not precisely quantifiable, liquidity needs. Allocating approximately 50% of her total investable assets (\$350,000 out of roughly \$700,000) to a product with a 6-year surrender period and 8% first-year surrender charges is aggressive for a client with MS, limited income (\$2,100/month disability), credit card debt, and an acknowledged expectation of needing long-term care. The absence of a documented cash-flow analysis is significant; under both insurance suitability frameworks and broker-dealer best-interest standards, the advisor is expected to consider the customer's liquidity needs and existing insurance or financial resources. A reasonable advisor should have stress-tested whether the remaining \$165,000 in liquid assets could absorb medical emergencies, ongoing living costs, debt repayment, and potential long-term care expenses over a 6-year window. The fact that Margaret needed to access funds within six months-incurring surrender charges-suggests the liquidity cushion was inadequate. Additionally, Kevin's decision not to recommend the VA with guaranteed minimum withdrawal benefit rider deserves scrutiny: while the rider fee was higher, the GMWB would have provided guaranteed income that might have better served a client facing uncertain health care costs.

Arguments that Kevin acted appropriately: Margaret explicitly stated she wanted downside protection and moderate growth, and the RILA's 10% buffer and 14.5% cap directly addressed those objectives. Her stated time horizon of 5-10 years was consistent with the 6-year surrender period. At the time of the recommendation, she retained \$165,000 in liquid assets-enough to cover approximately 6.5 years of her monthly living expenses beyond Social Security disability income, assuming modest spending. The 10% annual free withdrawal provision provided some liquidity within the RILA itself. Margaret's MS was described as 'slowly progressive but manageable,' and her physician did not indicate an imminent need for major expenditures. The rapid deterioration was unforeseeable. Kevin documented his rationale, obtained Margaret's informed consent, and the RILA's lower ongoing costs compared to the VA with rider arguably served her interest in fee efficiency. The complaint arose from an unfortunate health development, not necessarily from a flawed recommendation at the time it was made.

Why Borderline

This case sits in a genuine gray area because the recommendation was facially consistent with the client's stated objectives, time horizon, and risk tolerance, and approximately 39% of her assets remained liquid. However, the client's progressive medical condition introduced a foreseeable-if uncertain-need for above-average liquidity, and the advisor failed to document a cash-flow analysis that would demonstrate whether the liquid reserves were truly adequate. Reasonable practitioners could disagree about whether a 50% allocation to an illiquid product is excessive for a client with MS, or whether it represents prudent planning given the remaining liquid reserves and the product's alignment with her investment preferences.

Borderline Factors

- Client's progressive but currently manageable medical condition creates uncertain but foreseeable future liquidity needs

- Approximately 50% of total investable assets placed in a 6-year surrender product, leaving 39% liquid—a ratio that falls in an ambiguous zone
- Advisor documented the investment rationale and client preferences but did not perform or document a cash-flow stress test
- Client's stated time horizon (5-10 years) aligns with the product term but may not account for medical contingencies
- The adverse liquidity event occurred due to an unforeseeable acceleration of the client's condition
- The alternative product (VA with GMWB rider) had higher ongoing fees but offered guaranteed income and potentially better liquidity
- Client had \$12,000 in credit card debt at the time of purchase, a minor but relevant indicator of cash-flow tightness
- The 10% annual free withdrawal provision partially mitigated illiquidity concerns

Likely Outcome

A regulator would likely find a partial violation. While the RILA itself was not inherently unsuitable for this client, the failure to document a cash-flow analysis in light of the client's known progressive illness would be viewed as a deficiency in the care and documentation process. The allocation of 50% of assets to an illiquid product for a client with MS, limited income, and existing debt would likely be deemed to fall short of a reasonable investigation into liquidity needs, even though the stated time horizon matched the product term. The regulator would probably not find the product selection itself to be the violation, but rather the inadequacy of the process—particularly the failure to consider and document how the client would handle foreseeable medical expenses during the surrender period. The outcome would likely involve supervisory recommendations and possible restitution of surrender charges, but not a finding of outright fraud or willful misconduct.

Borderline Scenario 94

Topic: *illiquid_investments* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability)* requires that a member or associated person

Fact Pattern

In March 2022, financial advisor Derek Hollis recommended that his client, 58-year-old Maria Castillo, invest \$340,000 into an L-share variable annuity with a guaranteed minimum income benefit rider. The annuity carried a 3-year surrender charge schedule (starting at 5% in year one, declining to 3% and then 1%), total annual fees of approximately 3.15% (including mortality and expense charges, the income rider fee, and underlying subaccount expenses), and offered access to 42 investment subaccounts spanning domestic equity, international equity, fixed income, and balanced strategies.

Maria was a recently divorced public school teacher earning \$72,000 annually, with total investable assets of approximately \$810,000. Of this amount, \$295,000 sat in a 403(b) retirement account, \$175,000 was in a taxable brokerage account holding index funds and individual stocks, and the remaining \$340,000 represented her share of the divorce settlement proceeds held in a money market account. She had no pension, no other guaranteed income sources beyond eventual Social Security, and no outstanding debts aside from a modest car loan. Her home was fully paid off.

During discovery meetings in January and February 2022, Maria expressed deep anxiety about market volatility and told Derek she never wanted to 'end up with nothing' in retirement. She stated she planned to retire at 63 and wanted a floor of guaranteed income to supplement Social Security. She described herself as a moderate investor but acknowledged she had limited investment knowledge and had relied on her ex-husband for most financial decisions during her 26-year marriage. She mentioned she might need to help her 24-year-old son with a down payment on a house within the next two years, estimating that contribution at \$40,000 to \$50,000.

Derek documented these conversations and noted that Maria's primary objective was securing lifetime income beginning at age 63. He recommended placing the full \$340,000 divorce settlement into the L-share variable annuity, reasoning that the shorter surrender period (compared to a B-share with a 7-year schedule) would give Maria more flexibility, and the guaranteed income rider would address her core fear of outliving her savings. He allocated the subaccounts 60% to equity funds and 40% to bond funds within the annuity.

Derek did not recommend or discuss lower-cost alternatives such as a no-load variable annuity, a fixed indexed annuity, a simple balanced index fund portfolio, or a deferred income annuity. He did not address how Maria would fund her son's potential down payment if the full settlement amount was placed inside the annuity. Derek's firm received a 3% upfront commission on the L-share sale (\$10,200), and Derek personally earned 60% of that commission. Maria signed the application and all required disclosure forms.

Six months later, in September 2022, Maria's son asked for help with the down payment. Maria attempted to withdraw \$45,000 from the annuity and was assessed a \$2,250 surrender charge plus ordinary income tax treatment on the gain portion. She filed a complaint with Derek's firm, alleging that he placed too much of her liquid assets into an illiquid product without adequately considering her near-term cash needs, and that he failed to present less expensive alternatives that could have met her goals.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Derek violated applicable standards: First, placing 100% of Maria's liquid non-retirement assets (\$340,000 out of \$340,000 in accessible cash) into a product with surrender charges is problematic when the client articulated a foreseeable near-term liquidity need of \$40,000-\$50,000. The advisor's own notes reflect awareness of the son's potential down payment need within two years. A reasonable advisor exercising due care should have either carved out sufficient liquid reserves or discussed the liquidity implications of committing the entire settlement. Second, Derek failed to consider or present reasonably available alternatives - no-load variable annuities, fixed indexed annuities, or a ladder approach combining a smaller annuity with a liquid investment portfolio - that could have addressed Maria's income floor objective at lower cost or with better liquidity. This omission is particularly significant given Maria's self-described limited investment knowledge and reliance on Derek's guidance. Third, the total annual cost of 3.15% is substantial and compounds over time, meaningfully eroding the benefit base and account value, especially during the 5-year period before Maria planned to begin income withdrawals. Fourth, the 60/40 equity-bond allocation inside a tax-deferred annuity wrapper converts long-term capital gains into ordinary income upon withdrawal, which may be tax-inefficient given that Maria already had a 403(b) for

tax-deferred equity growth.

Arguments that Derek acted within acceptable bounds: The L-share's 3-year surrender period is among the shortest available and was specifically chosen over longer-surrender alternatives to provide Maria greater near-term flexibility - this demonstrates some consideration of liquidity. The guaranteed minimum income benefit rider directly addresses Maria's stated primary objective of securing a lifetime income floor, which no pure investment portfolio can replicate without significant longevity risk. Maria had \$175,000 in a taxable brokerage account that theoretically could be partially liquidated to help her son, meaning she was not entirely illiquid outside the annuity. Derek documented multiple meetings and Maria's stated priorities, and she signed all disclosures. The 3.15% all-in cost, while not inexpensive, is within the range of industry norms for variable annuities with living benefit riders. Finally, Maria was 58 - not elderly - and the annuity's accumulation and income features had a reasonable time horizon to add value before her planned retirement at 63.

Why Borderline

This scenario is genuinely ambiguous because the advisor selected a product that directly addresses the client's primary stated objective (guaranteed lifetime income), chose the most liquid share class available, and the client was not entirely without other liquid assets. However, the advisor committed 100% of the client's accessible non-retirement cash to an illiquid product despite documented awareness of a near-term cash need, failed to discuss any lower-cost alternatives, and the client's limited financial sophistication placed heightened reliance on the advisor's recommendations. Reasonable practitioners could disagree on whether the \$175,000 in the taxable brokerage account constituted sufficient liquidity reserves, and whether the advisor's failure to carve out \$50,000 in liquid reserves from the settlement was a material lapse or a minor oversight that Maria could have easily self-corrected.

Borderline Factors

- Client articulated a near-term liquidity need (\$40K-\$50K for son's down payment) that the advisor documented but did not address in the recommendation
- 100% of the client's liquid non-retirement assets were placed in a surrender-charge product, but the client had \$175,000 in a separate taxable brokerage account
- L-share class was chosen specifically for its shorter (3-year) surrender period, suggesting some liquidity consideration by the advisor
- The guaranteed income rider directly addressed the client's primary stated goal of lifetime income security
- No lower-cost or more liquid alternatives were discussed or documented despite their availability
- Client had limited investment knowledge and was highly reliant on the advisor's guidance
- Total annual fees of 3.15% are high but within industry norms for VA products with living benefit riders
- The advisor's commission of \$10,200 creates a conflict but does not alone establish a violation
- Client signed all disclosure forms, but informed consent is questionable given her self-described limited knowledge

Likely Outcome

A regulator would most likely find a violation, though not an egregious one. The critical failing is the advisor's documented awareness of a near-term liquidity need combined with the decision to commit the entirety of the client's liquid settlement proceeds to a surrender-charge product without addressing how that

need would be met. While the \$175,000 taxable account provides some mitigating context, the advisor's failure to discuss alternatives and failure to recommend a partial allocation strategy (e.g., \$290,000 in the annuity and \$50,000 in a liquid vehicle) would likely be viewed as a failure to exercise reasonable diligence and care. The omission of any alternative product analysis further weakens the advisor's position. However, the relatively short surrender period, the product's alignment with the client's primary goal, and the existence of other liquid assets would likely result in a moderate sanction - enhanced supervision, a fine, and possibly restitution of the surrender charge - rather than a finding of outright mis-selling.

Borderline Scenario 95

Topic: senior_investor_exploitation | Standard: FINRA Rule 2330 (variable annuity suitability, requiring consideration of age, liquidity

Fact Pattern

Margaret Thornton, age 74, is a retired school principal living in Sacramento, California. She has a total net worth of approximately \$1.4 million, consisting of a paid-off home valued at \$620,000, a state pension paying \$5,800 per month, Social Security of \$2,400 per month, a \$180,000 money market account, and a \$600,000 portfolio of individual bonds and bond mutual funds held at a brokerage firm. Her monthly expenses are approximately \$4,200, meaning her pension and Social Security provide a comfortable surplus of \$4,000 per month. She has no debt, carries long-term care insurance, and lists her two adult children as beneficiaries of her estate. Her health is good for her age, though she takes medication for controlled hypertension.

In March 2025, her financial advisor, Kevin Barfield (age 41, 16 years of experience, Series 6 and 63 licensed, also holds a California insurance license), met with Margaret after she expressed concern about stock market volatility following a sharp 8% equity correction in February. She told Kevin she was 'terrified of losing what she'd built' and wanted 'something safe that would still grow a little.' She also mentioned she wanted to leave a meaningful inheritance to her grandchildren but did not want to sacrifice access to her money 'in case something happens.'

Kevin recommended she move \$340,000 - roughly 57% of her liquid investment portfolio - from her bond holdings into a variable annuity issued by a well-rated carrier (AM Best A+ rated). The specific product featured a guaranteed minimum income benefit (GMIB) rider with a 5% annual roll-up on the benefit base, a guaranteed minimum death benefit (GMDB) rider that locked in the highest contract anniversary value, and access to a menu of 48 subaccounts including conservative allocation, bond, and balanced options. The total annual structure was: mortality and expense charge of 1.25%, administrative fee of 0.15%, GMIB rider fee of 1.05%, GMDB rider fee of 0.40%, and average underlying subaccount expense of 0.72%, totaling approximately 3.57% in annual costs. The surrender schedule was 7 years, declining from 7% to 1%, with a 10% annual free withdrawal provision.

Kevin allocated the \$340,000 across three subaccounts: 50% in a conservative allocation fund, 30% in an intermediate bond fund, and 20% in a balanced growth-and-income fund. He documented that the GMIB rider would give Margaret guaranteed income starting at age 80 if she chose to annuitize, and that the GMDB would protect her legacy goals regardless of market performance. He noted that her \$180,000

money market account and the remaining \$260,000 in bonds provided sufficient liquidity, and that her pension surplus meant she was unlikely to need the annuity funds for at least six years.

Margaret signed all disclosure documents, including a product prospectus, a surrender charge schedule, and an acknowledgment of the rider fees. Kevin completed a new four-hour annuity training course in January 2025 as required under recently updated California continuing education standards. His firm's home office approved the transaction after a supervisory review, noting the pension income surplus and the liquidity reserves.

However, Margaret's daughter, Elena, later filed a complaint. Elena argued that a 74-year-old woman should never have been sold a product with a 7-year surrender period and 3.57% in annual fees when she was already living comfortably on guaranteed income. Elena pointed out that her mother's bond portfolio was generating roughly 4.8% in yield with annual expenses under 0.40%, and that the variable annuity's conservative subaccount allocation was unlikely to outperform bonds net of the annuity's layered fees. Elena also noted that the GMIB rider was largely unnecessary because Margaret had no income gap - her pension and Social Security already exceeded her expenses by \$4,000 monthly - and that the death benefit rider was an expensive way to accomplish what a simple transfer-on-death designation on a brokerage account could do for free. Elena further alleged that Kevin earned a 5.25% commission on the sale (\$17,850), creating a financial incentive to recommend the annuity over keeping the existing bond portfolio.

Kevin's firm responded that Margaret had expressed a clear desire for market protection and legacy planning, that the GMDB rider specifically addressed her inheritance goal for grandchildren, that the product was issued by a top-rated carrier, that Margaret had ample liquidity outside the annuity, and that the conservative allocation was consistent with her risk tolerance. They also noted that Margaret's life expectancy could reasonably extend to age 87 or beyond, giving the contract time to potentially benefit from the roll-up feature even if she never annuitized, and that the surrender period would expire when she was only 81.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents genuinely competing considerations. Arguments that Kevin violated applicable standards include: (1) The all-in annual cost of 3.57% is exceptionally high and would need to be overcome by investment returns before Margaret sees any real growth, effectively creating a drag that could erode her principal over time - particularly problematic given the conservative subaccount allocation unlikely to generate returns much above 4-5% annually. (2) The GMIB rider appears to serve no functional purpose for a client whose guaranteed income already exceeds expenses by nearly \$4,000/month; purchasing income guarantees for a client who has no income need is difficult to justify under any standard. (3) A 7-year surrender period ending at age 81 is aggressive for a 74-year-old, even with the 10% free withdrawal provision, because health events and care needs become increasingly likely in one's late 70s. (4) The 5.25% commission (\$17,850) creates a significant financial incentive that could cloud judgment, and the recommendation to move from a lower-cost bond portfolio generating competitive yield to a higher-cost product with similar underlying allocations raises questions about whether the recommendation was driven by the client's interests or the advisor's compensation. (5) Under the NAIC Model 275 best-interest

framework (now adopted in California via SB 263 effective January 2025), the advisor must demonstrate that the recommendation is in the consumer's best interest at the time of the transaction and that there is no suitable alternative that would better serve the consumer without the additional costs and complexity.

Arguments in Kevin's defense include: (1) Margaret specifically expressed fear of market losses and a desire for downside protection - the GMDB rider directly addresses her stated legacy concern by guaranteeing that her grandchildren inherit at least the highest anniversary value regardless of market declines. (2) Her remaining liquid assets (\$180,000 money market plus \$260,000 in bonds = \$440,000) represent over 8.7 years of her monthly expense surplus, providing substantial liquidity. (3) The pension income surplus means she does not need the annuity for current income, making the surrender period less restrictive. (4) Life expectancy tables suggest a healthy 74-year-old woman has a reasonable probability of living well into her mid-to-late 80s, meaning the contract has 13+ years to work, potentially allowing the GMIB roll-up to create meaningful optionality if her circumstances change. (5) The transaction was approved by the firm's supervisory principal after review, and Kevin completed the updated California annuity training. (6) Margaret voluntarily signed all disclosures after reviewing them. (7) While the bond portfolio's current yield is attractive, it carries interest rate risk and credit risk without guarantees - the annuity's riders provide contractual guarantees that bonds do not.

Under FINRA Rule 2330, the key considerations are the customer's age, liquidity needs, time horizon, the role of the annuity in the overall portfolio, and whether the features and riders serve the customer's stated objectives. Under the NAIC Model 275 best-interest standard and California's implementation via SB 263, the advisor must consider reasonably available alternatives and ensure the recommendation reflects the consumer's best interest, not merely that it is 'suitable.' Under NY Regulation 187 (applicable only if the transaction occurred in New York, which it did not, but instructive as a framework), the best-interest standard requires evaluation of alternatives and a showing that the specific product recommended is superior to other options for the consumer. Under Regulation Best Interest (Rule 15l-1), applicable to the broker-dealer recommendation, Kevin must consider reasonably available alternatives and cannot place his financial interest ahead of the customer's.

The GMIB rider is the weakest element of the recommendation - paying 1.05% annually for income guarantees when the client has a \$4,000/month surplus and no stated income need is difficult to justify. The GMDB rider is more defensible given the stated legacy objective, but at 0.40% annually on top of already-high base charges, the question is whether a simpler, less expensive vehicle could accomplish the same goal. The overall cost comparison - 3.57% annually versus approximately 0.40% in the existing bond portfolio - means Margaret is paying roughly \$10,800 more per year in fees for guarantees she may not need.

Why Borderline

This is genuinely borderline because the client articulated specific fears (market loss) and goals (legacy for grandchildren) that the product's riders are designed to address, and she has ample liquidity and income outside the annuity. However, the extremely high all-in cost, the unnecessary income rider, the 7-year surrender period at age 74, and the significant commission create substantial counter-arguments. Reasonable practitioners could disagree on whether the contractual guarantees justify the cost premium over maintaining the existing bond portfolio, particularly because the conservative allocation within the

annuity is unlikely to generate returns that meaningfully exceed the fee drag.

Borderline Factors

- Client is 74 with a 7-year surrender period - aggressive but not unprecedented given good health and life expectancy projections
- All-in annual cost of 3.57% versus 0.40% in the existing portfolio - a 317 basis point differential that must be justified by the value of guarantees
- GMIB rider purchased for a client with no income gap - arguably unnecessary but provides optionality if circumstances change
- GMDB rider directly addresses stated legacy goal but could be accomplished more cheaply through other means
- Client expressed genuine fear of market losses, providing a documented basis for the recommendation
- Ample liquidity reserves of \$440,000 outside the annuity reduce concerns about the surrender period
- 5.25% commission (\$17,850) creates a material conflict of interest but alone does not establish a violation
- Firm supervisory review approved the transaction, suggesting institutional-level analysis found it reasonable
- Advisor completed updated California annuity best-interest training effective January 2025
- Existing bond portfolio generates 4.8% yield with lower costs and no surrender restrictions but lacks contractual guarantees

Likely Outcome

A regulator would most likely find a partial violation, specifically focusing on the GMIB rider as unnecessary and the overall cost structure as excessive relative to the client's documented needs. The GMDB rider is more defensible given the legacy objective, but a regulator applying a best-interest standard would likely conclude that the advisor failed to adequately consider less expensive alternatives that could accomplish the same goals - such as maintaining the bond portfolio with a transfer-on-death designation for legacy purposes, or recommending a less expensive fixed indexed annuity with a death benefit rider if downside protection was the primary concern. The 3.57% annual cost for a conservatively allocated annuity held by a 74-year-old with no income need is likely to be viewed as disproportionate to the benefits provided. However, the case is unlikely to result in severe sanctions because the client had genuine concerns the product partially addressed, had ample liquidity, and signed full disclosures. A probable outcome would be a supervisory deficiency letter, required remediation (potentially offering to unwind the GMIB rider or exchange into a lower-cost share class), enhanced supervision for the advisor, and possibly a modest fine.

Borderline Scenario 96

Topic: variable_annuity_unsuitable | Standard: FINRA Rule 2330 (Variable Annuity Suitability, requiring documented basis for recom

Fact Pattern

Margaret Ostrowski, age 64, recently retired from a 32-year career as a hospital administrator. In March 2023, she rolled over her employer 403(b) plan, valued at \$485,000, into an IRA. She also held \$210,000 in a taxable brokerage account (diversified equity mutual funds), a \$95,000 money market account, and received \$2,400/month in pension income. She had no debt and owned her home outright. She told her

financial advisor, Kevin Stahl, that she wanted to ensure she 'never ran out of money' and was anxious about market downturns after losing 18% of her 403(b) in 2022. She also mentioned she might want to leave a meaningful inheritance for her two grandchildren.

Stahl recommended she move \$340,000 of her IRA into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The VA had total annual expenses of 3.12% (1.30% mortality and expense charge, 0.85% fund management fees, and a 0.97% GLWB rider fee). The GLWB guaranteed a 5% annual withdrawal base growth rate during the deferral period and a guaranteed 5.2% withdrawal rate for life starting at age 67. The contract had a 7-year declining surrender charge schedule starting at 7% in year one and declining 1% per year. The death benefit provision guaranteed the greater of account value or total premiums paid, minus withdrawals.

Stahl's analysis showed that by age 67, the guaranteed withdrawal base would reach approximately \$393,000, generating a guaranteed annual income of roughly \$20,400 per year for life. He documented that this income, combined with her pension and eventual Social Security (estimated at \$2,100/month starting at 67), would cover her projected living expenses of \$5,800/month with a buffer. He also noted that the remaining \$145,000 in her IRA, plus her \$210,000 taxable account and \$95,000 money market, provided liquidity.

However, several factors complicate the picture. First, the \$340,000 was already in a tax-deferred IRA, so the VA's tax-deferral benefit was redundant—a point Stahl's documentation did not address. Second, Margaret had mentioned in a prior meeting in January 2023 that she might need to help her daughter, who was going through a divorce, with '\$50,000 or so' within the next year or two. Stahl's notes from the March meeting do not reference this earlier conversation. Third, a lower-cost alternative—a balanced mutual fund portfolio combined with a single premium immediate annuity (SPIA) for a portion of the assets—was discussed but Stahl noted it lacked the 'upside participation with downside protection' that a VA with GLWB offered. The SPIA option would have generated comparable guaranteed income at roughly one-third the ongoing cost, though without any potential for account value growth. Fourth, Stahl's firm received a 5.25% upfront commission on the VA sale, compared to an estimated 1.5% trail on a mutual fund alternative. Stahl had sold 22 variable annuities in the prior 12 months, representing 61% of his gross revenue.

Margaret signed all disclosure documents and a replacement form acknowledging she understood the surrender charges and fees. She initialed a page confirming she understood the VA was being purchased within a tax-qualified account and that the tax-deferral feature provided no additional benefit. Nine months later, her daughter's financial situation worsened, and Margaret requested a \$50,000 withdrawal from the annuity. She was assessed a 7% surrender charge of \$3,500 and the withdrawal reduced her guaranteed benefit base. She filed a complaint alleging the annuity was inappropriate for her needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Stahl violated applicable standards: (1) Placing \$340,000 of already tax-deferred IRA assets into a VA provides no incremental tax benefit, yet layers on significant additional costs (3.12% annually). Under FINRA Rule 2330(b), a registered representative recommending a VA within a

tax-qualified account must document a basis for the recommendation beyond tax deferral. Stahl's documentation did not adequately address why the VA wrapper was justified despite the redundant tax deferral. (2) Stahl was aware-or should have been aware-of a potential near-term liquidity need of approximately \$50,000 based on the January 2023 conversation about Margaret's daughter. Recommending a product with a 7-year declining surrender schedule while a known liquidity event loomed raises serious concerns. Under NAIC Model Regulation 275 Section 6, the advisor must have reasonable grounds for believing the recommendation is suitable based on facts disclosed by the consumer, including reasonably foreseeable financial needs. The omission of the daughter's situation from the March documentation is troubling. (3) Stahl's compensation structure-5.25% upfront commission, with VAs comprising 61% of his gross revenue-raises conflict-of-interest concerns under Regulation Best Interest (Rule 15l-1), which requires broker-dealers to identify, disclose, and mitigate conflicts that create incentives to place the advisor's interest ahead of the customer's. The compensation differential between the VA and the lower-cost SPIA/mutual fund alternative was significant. (4) Under NY Regulation 187 Section 224.4 (if applicable), a producer must act in the consumer's best interest at the time of the recommendation, considering reasonably available alternatives.

Arguments supporting Stahl's recommendation: (1) The GLWB rider addressed Margaret's stated primary concern-never running out of money-by providing a guaranteed lifetime income stream with potential for growth. This is a legitimate product feature that a SPIA alone does not provide (the SPIA locks in a fixed payment with no account value or upside). (2) Margaret retained substantial liquidity: \$145,000 in remaining IRA assets, \$210,000 in taxable accounts, and \$95,000 in money market-totaling \$450,000 outside the VA. This is more than adequate to cover the \$50,000 potential need for her daughter and several years of living expenses. (3) Margaret signed a disclosure specifically acknowledging the redundant tax deferral and the surrender charges. She was informed of the costs and made an informed decision. (4) The death benefit feature addressed her stated goal of leaving an inheritance-even in a severe downturn, her beneficiaries would receive at least premiums paid minus withdrawals. (5) Stahl documented a reasonable income plan showing the guaranteed income from the VA, combined with pension and Social Security, would cover her expenses. The recommendation was holistic, not viewed in isolation. (6) The fact that the January conversation about her daughter was not memorialized in the March recommendation doesn't necessarily mean Stahl failed to consider it-Margaret may have indicated the situation was uncertain or resolved.

Why Borderline

This scenario is genuinely ambiguous because the product arguably addressed Margaret's primary stated concern (lifetime income guarantee with growth potential), she retained significant liquidity outside the VA, and she signed robust disclosures. However, the redundant tax deferral inside an IRA, the high cost differential compared to alternatives, the known potential liquidity need that went undocumented, and the significant compensation conflict all create legitimate grounds for regulatory concern. Reasonable practitioners could disagree on whether the GLWB's unique features justified the cost premium over simpler alternatives, and whether the liquidity outside the VA was sufficient to excuse the failure to account for the daughter's potential need.

Borderline Factors

- VA purchased inside a tax-qualified IRA, providing no additional tax-deferral benefit, yet Stahl's documentation did not substantively justify the VA wrapper beyond its GLWB rider
- Known potential near-term liquidity need of \$50,000 discussed in January but absent from March

suitability documentation

- Substantial remaining liquid assets (\$450,000) outside the VA arguably mitigated the liquidity concern
- The GLWB rider provided a unique combination of guaranteed lifetime income and upside participation not available through a SPIA, directly addressing the client's stated primary fear
- Significant compensation differential: 5.25% upfront VA commission vs. approximately 1.5% on mutual fund alternatives, with VAs representing 61% of advisor's revenue
- Total annual VA expenses of 3.12% are high but not extreme for a GLWB product, and the guaranteed income math was documented and reasonable
- Client signed detailed disclosures including acknowledgment of redundant tax deferral and surrender charges
- The complaint arose from a specific life event (daughter's worsening divorce) that may or may not have been reasonably foreseeable at the time of the recommendation

Likely Outcome

A regulator would most likely find a partial violation, focusing primarily on two deficiencies: (1) inadequate documentation justifying the use of a VA inside a tax-qualified account, which is a specific requirement under FINRA Rule 2330(b), and (2) failure to document and address a known potential liquidity need. However, the substantive suitability of the recommendation is closer to the line-the GLWB rider served a legitimate purpose, the client retained substantial liquid assets, and the income plan was sound. A likely outcome would be a supervisory deficiency letter or a modest fine with required corrective action on documentation practices, rather than a finding of outright mis-selling. Under Reg BI, the conflict-of-interest component would receive heightened scrutiny, and the firm's failure to demonstrate mitigation of the compensation differential could lead to additional findings at the firm level. The case would likely not result in full rescission or disgorgement, but could result in restitution of the surrender charge and a compliance undertaking.

Borderline Scenario 97

Topic: complex_products_unsophisticated_investor | Standard: NY Insurance Regulation 187 (11 NYCRR 224) imposes a best-interest

Fact Pattern

Margaret Hensley, age 64, retired from her position as a school cafeteria manager in Rochester, New York in March 2022. She received a lump-sum pension distribution of \$287,000 and had an additional \$94,000 in a credit union savings account. Her annual Social Security income was \$21,600, and she had no other sources of income. She owned her home outright, valued at approximately \$185,000. She had no prior investment experience beyond her pension and savings account, had never owned a brokerage account, and listed her investment knowledge as 'limited' on her new account form. Her stated objectives were 'safety of principal' and 'income to supplement Social Security.' Her risk tolerance was marked as 'conservative.' She had no long-term care insurance.

Her financial advisor, Dale Whitmore, who had been in the insurance and securities business for 22 years, recommended she place \$230,000 of her pension distribution into a variable annuity with a guaranteed minimum income benefit (GMIB) rider. The product had a 7-year surrender schedule with a declining charge starting at 7% in year one. Total annual product expenses were 3.12%, broken down as: mortality

and expense charge of 1.25%, administrative fee of 0.15%, average underlying subaccount expense of 1.07%, and the GMIB rider fee of 0.65%. The GMIB rider guaranteed that after a 10-year waiting period, Margaret could annuitize at a rate based on 5% annual compounding of her initial premium, regardless of actual account performance. Whitmore allocated the subaccounts across a balanced portfolio: 40% in a bond fund, 35% in a large-cap equity index fund, and 25% in a moderate allocation fund.

Whitmore documented that he discussed three alternatives with Margaret: (1) a fixed annuity paying 3.4% guaranteed for 5 years with a 5-year surrender period, (2) a single premium immediate annuity providing approximately \$1,280/month for life, and (3) the variable annuity with GMIB. His notes indicated Margaret was concerned about inflation eroding her purchasing power over a potentially 25-year retirement, that she wanted some growth potential but was fearful of losing money, and that the GMIB rider addressed both concerns by providing a guaranteed income floor with upside participation. He noted she understood the surrender charges and did not anticipate needing the funds within the surrender period because she had \$94,000 in liquid savings plus \$57,000 remaining from the pension that she kept in a money market account. His commission on the variable annuity was \$13,800 (6%), compared to \$4,600 (2%) on the fixed annuity and \$2,300 (1%) on the immediate annuity.

Sixteen months later, Margaret needed \$18,000 for emergency roof repairs after storm damage. She withdrew the funds from the variable annuity and incurred a surrender charge of approximately \$1,080. She filed a complaint, stating Whitmore never adequately explained the surrender charges, that the product was too complicated for her to understand, and that she should have been placed in something simpler. Whitmore's file contained a signed disclosure form acknowledging the surrender schedule, a completed investor profile questionnaire, a product comparison worksheet, and handwritten notes from two meetings totaling approximately 90 minutes. Margaret's daughter, who attended the second meeting, confirmed in a written statement that Whitmore did explain the surrender charges but said her mother 'didn't really understand what a variable annuity was or how the rider worked.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: Margaret was an unsophisticated investor with no prior investment experience, limited financial literacy, conservative risk tolerance, and a stated primary objective of safety of principal. A variable annuity with 3.12% in total annual expenses is among the most expensive investment vehicles available and imposes significant drag on returns, particularly problematic for a retiree dependent on these funds. The 7-year surrender period and 10-year GMIB waiting period effectively locked up 80% of her liquid retirement assets for the better part of a decade. The commission differential-\$13,800 versus \$4,600 or \$2,300 for simpler alternatives-suggests a financial motivation that may have influenced the recommendation. The daughter's statement that Margaret 'didn't really understand' the product undermines the advisor's claim of adequate disclosure. Under New York's insurance sales standards, the producer must act in the consumer's best interest, which arguably requires not just disclosure but actual comprehension, particularly for complex products sold to unsophisticated investors. A fixed annuity or SPIA would have more directly addressed her stated objectives of safety and income with substantially lower costs and complexity.

Arguments against a violation: Whitmore conducted a documented needs analysis across two meetings, considered and presented three alternatives, and created a reasonable rationale for the recommendation. Margaret's inflation concern is legitimate—a 64-year-old woman has a life expectancy of approximately 22 additional years, and a fixed annuity at 3.4% may not keep pace with inflation. The GMIB rider directly addresses both her desire for a guaranteed income floor and inflation protection through equity participation. The 60/40-ish allocation in the subaccounts was conservative and consistent with her risk profile. Margaret retained \$151,000 in liquid assets (\$94,000 savings + \$57,000 money market), representing over 52% of her total non-housing assets, which was a reasonable liquidity cushion. The emergency that triggered the complaint—unexpected storm damage 16 months later—was unforeseeable and resulted in a relatively modest \$1,080 surrender charge. Margaret signed all disclosure documents, and a witness confirmed the surrender charges were explained. The fact that a product is complex does not per se make it unsuitable; the question is whether the recommendation was reasonable given the totality of the client's circumstances. A reasonable advisor could conclude that the long-term guaranteed income floor of the GMIB, combined with growth potential, served Margaret's 20+ year retirement horizon better than a 5-year fixed annuity that would need to be rolled at unknown future rates.

Why Borderline

This case sits at the intersection of several genuinely contested questions: (1) whether a complex product can ever be in the best interest of an unsophisticated investor when simpler alternatives exist; (2) whether the advisor's inflation-protection rationale is substantive or pretextual given the commission differential; (3) whether signed disclosures satisfy the advisor's obligations when the client demonstrably did not fully understand the product; and (4) whether maintaining 52% liquidity is sufficient cushion or whether concentrating 80% of pension assets in a single illiquid product is inherently problematic for a conservative retiree. Reasonable compliance professionals, arbitrators, and regulators have reached different conclusions on materially similar facts.

Borderline Factors

- Client had legitimate inflation concern over a 20+ year retirement horizon that simpler products may not adequately address
- Total annual expenses of 3.12% are high but include a GMIB rider that provides a quantifiable guaranteed income benefit
- Client retained 52% of liquid assets outside the variable annuity—a meaningful but arguably insufficient liquidity buffer
- Commission on the VA was 3x to 6x higher than alternatives, creating a significant conflict of interest
- Disclosure documents were signed but client comprehension is disputed by her own daughter who attended the meeting
- The 10-year GMIB waiting period means the guaranteed benefit would not be available until Margaret is 74
- The advisor documented a comparison of alternatives and a rationale, which is more than many advisors do
- The triggering complaint event—a \$1,080 surrender charge on a \$18,000 emergency withdrawal—is relatively minor in isolation but reveals the structural liquidity problem

Likely Outcome

A New York insurance department examiner would likely find a violation, though not an egregious one. The

core issue is that under New York's best-interest standard for annuity transactions, the advisor must demonstrate that the specific product recommended is in the consumer's best interest considering reasonably available alternatives. While the inflation-protection rationale has merit, the combination of the client's limited sophistication, the extreme cost differential, the commission disparity, and the availability of simpler products that substantially address the same needs (such as a ladder combination of a SPIA for immediate income and a deferred fixed annuity or conservative balanced fund for inflation protection) would likely lead a regulator to conclude that the variable annuity with GMIB was not the best-interest option for this particular client. The advisor would likely face a supervisory action or fine rather than severe sanctions, given the documentation effort and the non-frivolous rationale. A FINRA arbitration panel, however, might split on this—some panels have credited similar inflation-protection arguments where the advisor documented the analysis.

Borderline Scenario 98

Topic: *variable_annuity_unsuitable* | Standard: *FINRA Rule 2330 (Variable Annuity Suitability)* requires that the advisor have a reason

Fact Pattern

Margaret Chen, age 62, is a retired school administrator with a state pension providing \$68,000 annually and Social Security benefits of \$24,000 annually beginning at age 65. She has \$410,000 in a traditional IRA rollover, \$95,000 in a taxable brokerage account, \$55,000 in a money market account, and owns her home free of mortgage (valued at \$380,000). Her total liquid net worth is approximately \$560,000. She is in good health, single, and has two adult children who are financially independent. She describes herself as a moderate investor who 'never wants to run out of money' but also says she wants to leave a meaningful inheritance to her grandchildren. She has no long-term care insurance.

Her financial advisor, Ryan Dalton, age 38, with twelve years of experience, recommended she move \$275,000 from her IRA into a variable annuity with a guaranteed minimum income benefit (GMIB) rider and a guaranteed minimum death benefit (GMDB) rider. The product has a mortality and expense charge of 1.30%, an administrative fee of 0.15%, the GMIB rider costs 1.05% annually, the GMDB rider costs 0.55% annually, and the weighted average sub-account expense ratio is 0.82%, bringing total all-in annual costs to approximately 3.87%. The product has a seven-year declining surrender charge schedule starting at 7% in year one and declining to 1% in year seven. The GMIB rider guarantees a 5% simple roll-up rate on the benefit base, but can only be exercised after a ten-year waiting period by annuitizing at the insurer's then-current payout rates.

Dalton documented in his notes that Mrs. Chen wanted guaranteed lifetime income to supplement her pension and Social Security, protection against market downturns, and a way to leave assets to her grandchildren. He noted she was comfortable with a seven-to-ten year time horizon for the annuity portion and understood the surrender charges. He also documented that he discussed lower-cost alternatives, including a fixed indexed annuity with a simpler income rider (total cost approximately 1.1%) and a balanced portfolio of low-cost index funds with a systematic withdrawal plan, but that Mrs. Chen preferred the variable annuity because she wanted both market upside participation and the guaranteed income floor.

However, six months after the purchase, Mrs. Chen's daughter filed a complaint alleging that Dalton pushed her mother into an unnecessarily expensive product. The daughter noted that her mother's pension and future Social Security already covered 100% of her living expenses (approximately \$75,000 per year), that the 3.87% annual fee drag would significantly erode the inheritance Mrs. Chen wanted to leave, that the ten-year GMIB waiting period meant Mrs. Chen would be 72 before she could exercise the income guarantee, and that a lower-cost product or a simple balanced portfolio would have better served both her income and legacy goals. The daughter also pointed out that \$275,000 represented roughly 49% of her mother's liquid assets being locked into a product with a seven-year surrender period, leaving her potentially vulnerable if she needed funds for long-term care or an emergency.

Dalton's broker-dealer confirmed that the recommendation passed its automated suitability screening at the time of sale and that Dalton had completed all required annuity-specific training. Dalton's compensation on the variable annuity sale was approximately \$16,500 (6% gross commission), whereas the fixed indexed annuity alternative would have paid approximately \$13,750 (5%), and the managed portfolio alternative would have generated approximately \$2,750 in first-year advisory fees (1% AUM fee). Dalton has no history of customer complaints and his production is diversified across product types.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Dalton acted appropriately: (1) He documented a thorough needs analysis and the client's stated objectives - guaranteed income, downside protection, market participation, and legacy planning. The variable annuity with GMIB and GMDB riders facially addresses all four objectives. (2) He documented that he presented lower-cost alternatives and that the client affirmatively chose the VA after understanding the tradeoffs, suggesting informed consent. (3) Mrs. Chen's age (62), health status, and time horizon (7-10 years to the GMIB exercise date at age 72) are within the product's designed demographic sweet spot. (4) At \$275,000 of \$560,000 in liquid assets, she retains \$285,000 outside the annuity, including \$55,000 in readily accessible cash, arguably sufficient for emergencies. (5) The product passed the broker-dealer's automated suitability review. (6) The GMDB rider directly addresses her stated legacy goal.

Arguments that Dalton may have violated applicable standards: (1) The all-in cost of 3.87% annually is at the very high end of VA expenses and creates substantial fee drag - approximately \$10,643 per year on a \$275,000 investment - which materially undermines the legacy objective. Over a 10-year period, cumulative fees could exceed \$100,000, absent strong market performance. (2) Mrs. Chen's existing guaranteed income streams (pension plus Social Security) already cover or exceed her stated living expenses, raising the question of whether the GMIB rider - the most expensive component at 1.05% - provides marginal utility proportionate to its cost. If she doesn't truly need supplemental guaranteed income, the rider fee is essentially wasted. (3) The GMIB's ten-year waiting period and requirement to annuitize at the insurer's then-current rates significantly limits the rider's practical value; the guarantee is less valuable than it appears. (4) The concentration of 49% of liquid assets in a product with a seven-year surrender schedule creates meaningful liquidity risk, especially given that Mrs. Chen has no long-term care insurance and is entering the age range where LTC needs become increasingly probable. (5) The compensation differential - \$16,500 for the VA versus \$2,750 for the portfolio alternative - creates an appearance of a conflict of interest that the advisor must affirmatively demonstrate did not influence the recommendation. (6) Under

New York's heightened standard effective since August 2019, the recommendation must be in the consumer's best interest at the time of the transaction, considering reasonably available alternatives. A regulator could question whether a product costing 3.87% annually can be in a client's best interest when a product costing 1.1% or a portfolio approach costing 1.0% addresses materially similar objectives. (7) The GMDB rider, while addressing legacy goals, is generally less capital-efficient than simply investing in a diversified portfolio for inheritance purposes, particularly given the high ongoing cost.

The central tension is between the client's documented informed choice of a product that facially matches her stated objectives versus the question of whether a reasonably diligent advisor exercising professional judgment should have more forcefully steered the client toward a lower-cost alternative that would likely produce a better outcome for her specific circumstances - especially given the questionable marginal utility of the GMIB rider.

Why Borderline

This scenario is genuinely ambiguous because the advisor followed a defensible process - documented needs analysis, presented alternatives, obtained informed consent - and the product does address the client's stated goals. However, the cumulative cost structure is extremely high, the GMIB rider arguably provides little incremental value given her existing guaranteed income, and the compensation differential creates conflict-of-interest concerns. Reasonable regulators could disagree on whether proper process with a defensible-but-suboptimal product recommendation satisfies applicable standards, particularly under New York's heightened best-interest framework which looks beyond process to outcomes and available alternatives.

Borderline Factors

- Total all-in VA cost of 3.87% annually is at the high end but not unprecedented for a product with dual living and death benefit riders
- Client's existing guaranteed income already covers living expenses, making the GMIB rider's incremental value questionable but not zero (longevity risk, inflation)
 - 49% concentration in a surrender-charge product is aggressive but leaves 51% of liquid assets accessible
- Advisor documented presentation of alternatives and client's informed preference for the VA
- Commission differential (\$16,500 vs. \$2,750) is significant but advisor has no complaint history and diversified production
- Ten-year GMIB waiting period aligns with client's age (exercise at 72) but limits flexibility
- Absence of long-term care insurance creates potential liquidity vulnerability that cuts against heavy annuity allocation
- GMDB rider addresses legacy goal but high ongoing costs may erode the very inheritance it is designed to protect
- Product passed broker-dealer automated suitability screening
- Under New York's best-interest standard, process alone may be insufficient if a materially less costly alternative was reasonably available

Likely Outcome

A regulator reviewing this case would likely find the recommendation problematic but not clearly unsuitable. Under FINRA Rule 2330's specific VA suitability requirements, the recommendation arguably passes

because the product features align with stated client objectives, the client has sufficient liquid assets outside the annuity, and the time horizon is appropriate. However, under New York Regulation 187's best-interest standard - which requires that there be no suitable alternative that would better serve the consumer's interests - a New York examiner would likely focus heavily on the 3.87% cost relative to the 1.1% fixed indexed annuity alternative that addressed similar objectives. The most probable outcome is a supervisory letter or deficiency finding requiring enhanced documentation of why the cost differential was justified by incremental benefits, rather than a formal enforcement action. The broker-dealer's supervisory system may also face scrutiny for approving the transaction without flagging the cost-to-benefit ratio. If the matter were arbitrated, the panel would likely find a partial responsibility scenario - acknowledging the advisor's documented process but questioning the proportionality of the recommendation - potentially resulting in a reduced damages award covering the excess fees over a reasonable alternative.

Borderline Scenario 99

Topic: high_fees_unsuitable | Standard: FINRA Rule 2330 (Variable Annuity Suitability) requires that an advisor have a reasonable b

Fact Pattern

In March 2022, financial advisor Gerald Eastman met with Patricia Nolan, a 61-year-old recently retired high school principal with a \$1.2 million rollover from her state pension supplemental plan (a 403(b) account). Mrs. Nolan told Eastman she was concerned about outliving her savings, wanted guaranteed lifetime income starting at age 67, and also wanted some exposure to equity market growth. She described herself as having moderate risk tolerance, noting she had weathered the 2008 downturn without panicking. She had a separate state pension providing \$52,000 per year, Social Security projected at \$28,000 starting at 67, and \$180,000 in a savings account. Her annual living expenses were approximately \$85,000.

Eastman recommended she allocate \$850,000 of the rollover into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The product, issued by a well-rated carrier (A+ AM Best), offered a 5.25% guaranteed withdrawal rate at age 67 if no withdrawals were taken before then, a step-up feature that locked in market gains annually to the benefit base, and access to 42 investment sub-accounts. The total annual cost structure was as follows: mortality and expense charge of 1.35%, administrative fee of 0.15%, GLWB rider fee of 1.20%, and average sub-account expense ratios of 0.82%, bringing the all-in annual cost to approximately 3.52%. There was a 7-year declining surrender charge schedule starting at 7% and declining 1% per year. Eastman received a 5.5% upfront commission on the sale.

The remaining \$350,000 of the rollover was placed into a diversified portfolio of no-load mutual funds and ETFs with an average expense ratio of 0.35%, held in an IRA brokerage account. Eastman charged no advisory fee on this portion beyond the fund expenses.

Eastman documented that he had considered lower-cost alternatives including a fixed indexed annuity with an income rider (total annual cost approximately 1.1%), a systematic withdrawal strategy from a balanced portfolio, and a single premium immediate annuity combined with a growth portfolio. His notes stated that the variable annuity was preferable because it offered both upside participation and downside protection through the GLWB, and that the fixed indexed annuity's cap rates at the time (4.25%) would likely

underperform inflation over Mrs. Nolan's expected 25+ year retirement horizon. He also noted Mrs. Nolan expressed a strong preference for not having to worry about sequence-of-returns risk.

Mrs. Nolan signed all disclosure documents, including a fee summary showing the total annual cost, the surrender schedule, and a comparison of the variable annuity to lower-cost alternatives. She initialed a statement acknowledging she understood the fees were higher than some alternatives but valued the combination of growth potential and guaranteed income.

Two years later, in early 2024, Mrs. Nolan's variable annuity account value had declined to \$790,000 due to market losses and fee drag, though her GLWB benefit base had locked in at \$872,000 due to one favorable step-up. She filed a complaint stating the fees were excessive and that she could have achieved similar protection at far lower cost, and that Eastman's commission created an obvious conflict. She noted that a fee-only advisor she subsequently consulted told her she could have replicated the downside protection with a 60/40 portfolio and a \$300,000 SPIA, saving roughly \$18,000 per year in fees.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Eastman violated applicable standards: The all-in cost of 3.52% annually is at the high end of the variable annuity market and significantly exceeds alternatives that could have addressed Mrs. Nolan's stated needs. On \$850,000, the annual fee drag is approximately \$29,920 - a substantial wealth transfer from client to product manufacturer and advisor. Over the 5-year deferral period alone, cumulative fees could exceed \$150,000 before the guarantee is even activated. The 5.5% upfront commission (\$46,750) creates a significant conflict of interest that may have influenced the recommendation. A fixed indexed annuity at 1.1% annual cost with an income rider, combined with a separate growth portfolio, could arguably have delivered comparable guaranteed income with substantially lower fees. The SPIA-plus-portfolio approach identified by the subsequent advisor is also a credible lower-cost alternative. Under enhanced standards requiring advisors to consider reasonably available alternatives and not place their financial interests ahead of clients, the magnitude of the fee differential is concerning. The 7-year surrender schedule also locked a 61-year-old into illiquidity on a large portion of her retirement assets during a critical planning window.

Arguments that Eastman acted appropriately: Mrs. Nolan had a clearly expressed need for guaranteed lifetime income with market upside participation - a combination that variable annuities with GLWB riders are specifically designed to provide. The GLWB benefit base step-up feature is already demonstrating value, having locked in an \$872,000 base despite market losses, validating the core value proposition. The fixed indexed annuity alternative, while cheaper, had cap rates of only 4.25% - potentially insufficient to keep pace with inflation over a 25+ year retirement, which Eastman documented. The SPIA approach would have required irrevocable surrender of \$300,000 with no liquidity or death benefit, a meaningful tradeoff. Eastman documented his consideration of alternatives, disclosed all costs transparently, and Mrs. Nolan acknowledged understanding the fee differential. The product was from a highly-rated carrier, the allocation represented 71% of her rollover (not 100%), and she retained \$530,000 in liquid assets (\$350,000 IRA plus \$180,000 savings) - more than 6 years of expenses beyond her pension. The GLWB at 5.25% on the stepped-up base would provide \$45,780/year starting at 67, which combined with her pension

and Social Security would cover her \$85,000 expenses with a cushion. Eastman's commission, while substantial, is within industry norms for this product type and does not by itself establish a violation.

Why Borderline

This case sits in genuine tension because the product arguably serves the client's articulated needs and the advisor documented meaningful analysis of alternatives, yet the fee structure is at the high end of an already expensive product category and the commission creates an undeniable conflict. The alternative approaches (FIA plus growth portfolio, or SPIA plus growth portfolio) are credible but involve different tradeoffs that reasonable professionals could weigh differently. The client's own acknowledgment of fees cuts against a finding of deception but does not resolve whether the recommendation itself was in her interest. The GLWB step-up is already providing tangible value, complicating a hindsight analysis.

Borderline Factors

- 3.52% all-in annual cost is high but not unprecedented for VA with GLWB rider, and the rider is already demonstrating value through the benefit base step-up
- 5.5% commission creates significant conflict but is within industry norms for the product type
 - Advisor documented consideration of three specific alternatives with reasoned analysis of their shortcomings
 - Client expressed clear preference for combined growth potential and guaranteed income - the precise value proposition of the recommended product
 - Lower-cost alternatives exist but involve genuine tradeoffs (FIA cap rate limitations, SPIA irrevocability, sequence-of-returns risk with systematic withdrawal) that reasonable advisors could weigh differently
 - Client retained approximately \$530,000 in liquid assets outside the annuity, mitigating liquidity concerns from the surrender schedule
 - Full disclosure was provided and client acknowledged understanding the cost differential
 - The 7-year surrender schedule constrains flexibility during a critical retirement transition period (ages 61-68)
 - Cumulative fee drag over the deferral period may exceed \$150,000, raising questions about proportionality relative to the guarantee value

Likely Outcome

A regulator would likely find this to be a close case but would probably not sustain a violation, provided the documentation holds up to scrutiny. The advisor's contemporaneous notes reflecting genuine comparative analysis, the client's documented understanding of fees, the reasonable alignment between the product features and the client's stated objectives, the client's overall liquidity position, and the tangible value already delivered by the GLWB step-up would likely be sufficient to survive regulatory review. However, a regulator might issue a cautionary finding or heightened supervision recommendation, noting that the all-in cost at 3.52% approaches the outer boundary of what can be justified even for a product that matches the client's needs, and that the commission structure warranted even more robust documentation of why cheaper alternatives were insufficient. In a state applying the most stringent interpretation of enhanced standards (such as New York's approach), the outcome could tip the other way, with a regulator concluding the advisor failed to demonstrate that no reasonably available lower-cost alternative could have met the client's needs comparably.

Borderline Scenario 100

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2330(b)(1) (variable annuity suitability - reasonable efforts to obtain customer information)*

Fact Pattern

Margaret Olsen, age 62, met with financial advisor David Kwon in March 2023 at a dinner seminar hosted at a local steakhouse. Margaret had recently retired from a 30-year career as a school administrator and received a lump-sum pension buyout of \$410,000, which she deposited into a money market account at her bank. She also had approximately \$185,000 in a 403(b) account and Social Security benefits projected at \$2,350 per month starting at age 67. She owned her home outright, valued at approximately \$290,000. David met with Margaret twice at his office over the following two weeks. During the first meeting, he collected basic information: her age, marital status (widowed), income sources, and the pension lump sum. Margaret told David she was 'terrified of the stock market' after losing approximately \$40,000 during the 2008 financial crisis and said she wanted 'something safe that would last.' She mentioned she had no children but was close with a niece. David's notes from the first meeting listed her risk tolerance as 'conservative' and her investment objective as 'income with capital preservation.' During the second meeting, David recommended she move \$340,000 of the pension buyout into a variable annuity with a guaranteed lifetime withdrawal benefit rider. The product had total annual expenses of 3.15% (including the rider fee of 1.10%, mortality and expense charges of 1.25%, administrative fees of 0.15%, and underlying subaccount expenses averaging 0.65%). The contract included a 7-year declining surrender charge schedule starting at 7%. David allocated the subaccounts across a moderate-growth portfolio: 45% large-cap equity, 20% international equity, 15% bond, and 20% balanced fund. He explained the guaranteed withdrawal benefit would provide a floor of income regardless of market performance. David did not document any conversation about Margaret's monthly living expenses, existing health conditions, prescription drug costs, potential long-term care needs, or expected tax bracket in retirement. He did not ask whether Margaret had any upcoming major expenditures or whether she anticipated needing access to the funds within the surrender period. He also did not discuss lower-cost alternatives such as fixed annuities, immediate annuities, or a laddered bond portfolio. Margaret signed the application and the replacement disclosure form provided by the insurance company. Six months later, Margaret needed \$45,000 for emergency roof repairs and water damage remediation. She discovered she would face a surrender charge of approximately \$2,800 plus potential tax consequences for withdrawing beyond the 10% free withdrawal corridor. She filed a complaint stating David never asked about her financial needs in sufficient detail and placed her in a product that was too expensive and too illiquid for her situation. David's firm responded that Margaret had clearly expressed a desire for guaranteed income, that the product delivered exactly that guarantee, that she had \$70,000 remaining in the money market and \$185,000 in the 403(b) for liquidity, and that her complaint arose only because of an unforeseeable emergency.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

The central issue is whether David Kwon gathered sufficient information about Margaret Olsen's financial situation and needs before recommending the variable annuity, and whether the recommendation itself was suitable given her stated preferences and actual circumstances.

Arguments that David violated applicable standards:

1. Failure to know the customer adequately: Under FINRA Rule 2330(b)(1), before recommending a variable annuity, a registered representative must make reasonable efforts to obtain information about the customer's financial status, tax status, investment objectives, and other information used to make recommendations. David failed to document or inquire into Margaret's monthly living expenses, health status, potential long-term care needs, anticipated large expenditures, or tax situation. These are critical inputs for someone deploying the bulk of their liquid retirement savings into a long-surrender-period product. The NAIC Model Regulation 275 similarly requires that a producer have reasonable grounds for believing a recommendation is suitable, which presupposes adequate fact-finding.
2. Risk tolerance mismatch with allocation: Margaret explicitly stated she was 'terrified of the stock market,' yet David allocated 65% of the subaccounts to equities (45% large-cap, 20% international). While the guaranteed withdrawal benefit rider provides a floor, the high equity allocation creates the possibility of significant account value fluctuation, which could cause psychological distress and potential surrender during downturns - exactly the behavior Margaret exhibited in 2008.
3. Cost and product concerns: At 3.15% total annual costs, the variable annuity is expensive. For a conservative investor whose primary concern was safety, a fixed annuity or single premium immediate annuity could have provided guaranteed income at substantially lower cost and without market exposure. Under NY Regulation 187 (applicable if the transaction occurred in New York or as a model for other states adopting similar standards), the advisor must consider reasonably available alternatives.
4. Liquidity analysis: David placed \$340,000 of a \$410,000 lump sum - 83% of new liquid assets - into a product with a 7-year surrender schedule, leaving only \$70,000 liquid outside of the 403(b). For a 62-year-old retiree with a home that could need maintenance, no long-term care insurance discussion, and no documented emergency fund analysis, this concentration in an illiquid product raises red flags.

Arguments in David's defense:

1. Margaret had remaining liquidity: She retained \$70,000 in the money market account and \$185,000 in the 403(b), totaling \$255,000 in accessible assets. The \$45,000 emergency could theoretically have been covered from those sources, and the 10% free withdrawal corridor provided additional partial liquidity.
2. The product matched her stated objective: Margaret wanted guaranteed income that would last, and a GLWB rider on a variable annuity directly addresses that goal. The guarantee provides downside protection regardless of market performance, which addresses her fear of market losses.
3. The equity allocation, combined with the GLWB, was rational: The rider guarantees a withdrawal amount, so the equity allocation was designed to grow the benefit base. The client was not exposed to market downside risk on the income stream itself.
4. The emergency was unforeseeable: Roof damage from a storm is not a reasonably anticipated expense, and regulators generally do not judge suitability based on hindsight.

5. Two meetings occurred: David did not rush the sale. He met with Margaret twice and collected basic information about her situation.

However, the incomplete documentation of Margaret's full financial picture remains problematic. Even if the product conceptually matched her stated goals, the failure to conduct a thorough needs analysis - particularly around expenses, health, liquidity needs, and tax implications - undermines the foundation of the recommendation. Under Reg BI (Rule 15l-1), the care obligation requires broker-dealers to exercise reasonable diligence, care, and skill in making recommendations, which includes understanding the customer's investment profile. The absence of documented inquiry into critical financial planning variables suggests the advisor's understanding was insufficient.

Why Borderline

This case is genuinely ambiguous because the product's guaranteed income feature directly addressed Margaret's stated goal, she retained meaningful liquidity outside the annuity, and the emergency was unforeseeable. However, the advisor's fact-finding was demonstrably incomplete - he never documented basic retirement planning inputs like monthly expenses, health status, or liquidity needs. Reasonable regulators could disagree on whether the remaining liquidity and the product's alignment with stated goals are sufficient to overcome the deficient information-gathering process. The case sits at the intersection of a process failure (inadequate know-your-customer) and an outcome that was arguably reasonable until an unexpected event occurred.

Borderline Factors

- Margaret retained \$255,000 in liquid or semi-liquid assets outside the annuity, providing a meaningful cushion
- The GLWB rider directly addressed her stated desire for guaranteed lifetime income
- David failed to document inquiry into monthly expenses, health conditions, tax bracket, or anticipated large expenditures
- 83% of the pension lump sum was placed into a 7-year surrender charge product
- The 65% equity allocation in the subaccounts appears inconsistent with her stated fear of the stock market, though the GLWB mitigates actual income risk
- No documented discussion of lower-cost alternatives such as fixed annuities or SPIAs
- The emergency that triggered the complaint was an unforeseeable weather event
- Total annual product costs of 3.15% are high for a conservative investor who might have been equally served by a simpler product
- David held two meetings before making the recommendation, suggesting some deliberation rather than a rushed sale

Likely Outcome

A regulator would most likely find a violation based on the inadequate customer profile documentation, though potentially with mitigating factors affecting any sanction. The failure to inquire into and document monthly living expenses, health conditions, potential long-term care needs, upcoming expenditures, and tax implications represents a foundational deficiency in the know-your-customer process. While the product conceptually addressed Margaret's stated goal, the advisor cannot demonstrate that the recommendation was based on a reasonable understanding of her full financial picture. The high cost relative to simpler

alternatives, the aggressive equity allocation for a self-described conservative investor, and the concentration of pension assets in an illiquid product further support a finding that the process was insufficient. However, the remaining liquidity and the product's genuine income guarantee would likely be considered mitigating factors, potentially resulting in a lesser sanction than would apply in a case with clear harm caused by the recommendation itself rather than by an unforeseeable emergency.